



GumNaaM_Helpers



Mega File for Final Term

All Files in ONE FILE

(Handouts_waqar_moaz_junaaid_vu toper_orange monkey)

الحمد لله گمنام ہیلپرز ان تمام کتابوں میں مدد کرتے ہیں جن کے لنکس نیچے دیئے گئے ہیں
لیذا ہم سے صرف انہی کتابوں کی مدد کا سوال کیا جائے جن کے لنکس نیچے موجود ہیں

Groups Join Krty hi Description Read krna na bhoonlyn

جزاک اللہ خیرا و احسن الجزاء

GumNaaM_Helpers All What's App Group Links

- | | |
|---|--|
| 📞Cs101📞 https://chat.whatsapp.com/KCQ3jK6FcoYEvDYTF1gnBS | 📞Eng101📞 https://chat.whatsapp.com/Cwp4Ag9TG6ZKxyRgThqM6S |
| 📞Cs201📞 https://chat.whatsapp.com/DrYV1FAXmPpImVZFw6V2R | 📞Eng201📞 https://chat.whatsapp.com/EvvxcPtmrM22VTZh5NCTw |
| 📞Cs301📞 https://chat.whatsapp.com/EPLvH2f8EB7aH8e1AtidV | 📞Eco401📞 https://chat.whatsapp.com/K3NLvyue6BdK0sVMQDFoU2 |
| 📞Cs302📞 https://chat.whatsapp.com/BaYfW0P67vNIsI2n36otZM | 📞Mcm301📞 https://chat.whatsapp.com/GUyzfdHzu8r43TW16vhZWf |
| 📞Cs304📞 https://chat.whatsapp.com/C0mk0wdo0BU46dlhc67IQ | 📞Mgt101📞 https://chat.whatsapp.com/BmrYaQYulBOKguHOIT6t2Y |
| 📞Cs401📞 https://chat.whatsapp.com/Jz9WDdHX84IKgkrMPAV0Mf | 📞Mgt201📞 https://chat.whatsapp.com/DZwztUyxV50D6AshnvWCD |
| 📞Cs402📞 https://chat.whatsapp.com/DW9AZLb4i1P9la4XmcCsRz | 📞Mgt211📞 https://chat.whatsapp.com/EmX9xloZnbl12pX9m2DZwa |
| 📞Cs403📞 https://chat.whatsapp.com/HXV25Lc6MnLKZgrA7xOqjF | 📞Mgt301📞 https://chat.whatsapp.com/G62QTipycOXFrP0ZxfDIBK |
| 📞Cs408📞 https://chat.whatsapp.com/EFy2mrYJodx5d85W1jtII7 | 📞Mgt501📞 https://chat.whatsapp.com/H0dTUINbesw0GS4LLSt0W4 |
| 📞Cs411📞 https://chat.whatsapp.com/lrOaF8Q3tkJKzeVTHapHR9 | 📞Mgt502📞 https://chat.whatsapp.com/L3GSMFgwDl7DAsu9r0vAxl |
| 📞Cs501📞 https://chat.whatsapp.com/Eggx3X0SH2LhOysM57SIi | 📞Mgt503📞 https://chat.whatsapp.com/G7BNxqyLYwP48jftOfkbj |
| 📞Cs502📞 https://chat.whatsapp.com/FbLU96Xhmr2F199fnb25Yw | 📞Mgt602📞 https://chat.whatsapp.com/HXRpOrEL18vD7lb91nLHTB |
| 📞Cs504📞 https://chat.whatsapp.com/Gn7w0UzNCQ2FzRK7Zy4Io | 📞Mgt610📞 https://chat.whatsapp.com/BxMcR1ouiao0wuqLLlJ5dB |
| 📞Cs506📞 https://chat.whatsapp.com/BL4FFmDKf2S3WIoLSAD2JK | 📞Mth101📞 https://chat.whatsapp.com/LHsbl65FbwGH2SNFF9ipSb |
| 📞Cs507📞 https://chat.whatsapp.com/EINDZKv4e4zGLGg8ImozR | 📞Mth202📞 https://chat.whatsapp.com/GevRebusRaxFh6dgnzRJuM |
| 📞Cs508📞 https://chat.whatsapp.com/HTMAwnJ4Bic2ky8MbT3PuW | 📞Mth301📞 https://chat.whatsapp.com/EFm472nc2woDProEgnY1j |
| 📞Cs601📞 https://chat.whatsapp.com/KYoaAutdXRINDS0Mm5XfzP | 📞Mth401📞 https://chat.whatsapp.com/EP7tlcc17TzLtaNaOgD4AcA |
| 📞Cs602📞 https://chat.whatsapp.com/FpJkLAFNqpZHRyi6vhl5n8 | 📞Mth501📞 https://chat.whatsapp.com/Dy7XUUVqqD5LLw4i5X4Xzi |
| 📞Cs604📞 https://chat.whatsapp.com/KjDhHjxawtU43Veo9Eawa4 | 📞Mth601📞 https://chat.whatsapp.com/BoD3akuXGK25MFB4UEZcRr |
| 📞Cs605📞 https://chat.whatsapp.com/BoF34LtMIYK1L4nQaEO2Ce | 📞isL201📞 https://chat.whatsapp.com/BtoqaMbbELW99MLLTQMgWc |
| 📞Cs610📞 https://chat.whatsapp.com/FcNcztKyYfd9szsJElino2 | 📞Pak301📞 https://chat.whatsapp.com/KuR9Y7YWeA32enRwKeZJaR |
| 📞Cs615📞 https://chat.whatsapp.com/HLVjBNcorFN9bwZhGekFI3 | 📞Phy101📞 https://chat.whatsapp.com/GjC6e47vF1zHwRs5iOc13j |
| 📞Cs619📞 https://chat.whatsapp.com/FEklYr700ui0ihxqnk55A6 | 📞Phy301📞 https://chat.whatsapp.com/lBrOdznEHDi92fGa76Dqmr |
| | 📞Sta301📞 https://chat.whatsapp.com/BchodAnjbydKXLuxFfkGxR |

...Paid Service Available for LMS Activities...

Only for those students who are so busy in office or work or job that they can't watch their LMS due to their Busyness

FOR MORE INFO. CONTACT US ONLY WHAT'S APP 0302-1400084

PRINCIPLES OF MANAGEMENT - MGT503

Table of Contents

Ch#	Title	Page
1	Historical overview of Management	1
2	Management and Managers	5
3	Managerial Roles in Organizations	7
4	Managerial Functions i.e. POLCA	9
5	Managerial Levels and Skills	11
6	Management Ideas: Yesterday and Today	14
7	Classical View of Management (Scientific and Bureaucratic).....	16
8	Administrative View of Management	19
9	Behavioral Theories of Management	20
10	Quantitative, Contemporary and Emerging Views of Management	23
11	System's View of Management and Organization	25
12	Analyzing Organizational Environment and Understanding Organizational Culture	29
13	21 st Century Management Trends.....	32
14	Understanding Global Environment: WTO and SAARC	36
15	Decision Making and Decision Taking	39
16	Rational Decision Making	41
17	Nature and Types of Managerial Decisions	43
18	Non Rational Decision Making	45
19	Group Decision Making and Creativity	47
20	Planning and Decision Aids-I	50
21	Planning and Decision Aids-II	53
22	Planning: Functions & Benefits	56
23	Planning Process and Goals Levels	59
24	Management by Objective (MBO)	62
25	Strategic Management-I	65
26	Strategic Management-II	66
27	Levels of Strategies, Porter's Model and Strategy Development (BCG) & Implementation..	68
28	Entrepreneurship Management	73
29	Organizing	76
30	Job Design/Specialization and Departmentalization	78
31	Span of Command, Centralization vs. Decentralization and Line vs. Staff Authority.....	82
32	Organizational Design and Organic vs. Mechanistic vs. Virtual Structure.....	85
33	Leading and Leadership Motivating Self and Others	88
34	Maslow's Needs Theory and its Analysis	90
35	Other Need and Cognitive Theories of Motivation	91
36	Expectancy, Goal Setting and Re-Enforcement Theories	94
37	Motivating Knowledge Professionals Leadership Trait Theories	96
38	Behavioral and Situational Models of Leadership	98
39	Strategic Leadership Models	102
40	Understanding Group Dynamics in Organizations	105
41	Group Concepts, Stages of Group Development and Team Effectiveness	107
42	Understanding Managerial Communication	112
43	Communication Networks and Channels Effect of ICT on Managerial Communication ...	115
44	Controlling as a Management Function	119
45	Controlling Organizational Performance through Productivity and Quality	124

PLANNING PROCESS AND GOAL LEVELS

The overall planning process

- A. **Planning** is a two-part function—setting goals and determining how to try to achieve the goals.
 - 1. A **goal** (often used interchangeably with “objective”) is a future target or end result that an organization wishes to achieve.
 - 2. A **plan** is the means devised for attempting to reach a goal.
- B. An organization’s **mission** is the organization’s purpose or fundamental reason for existence.
 - 1. A **mission statement** is a broad declaration of the basic, unique purpose and scope of operations that distinguishes the organization from others of this type.
 - 2. A mission statement serves a variety of purposes.
 - a. For managers, a mission statement can be a benchmark against which to evaluate success.
 - b. For employees, mission statements define a common purpose, nurture organizational loyalty, and help foster a sense of community among members.
 - c. For external groups, mission statements help provide unique insights into an organization’s values and future directions.
 - 3. The mission statement typically defines the organization in terms of the important attributes of the organization. Answers to many of these questions are answered using information and processes described in the two previous chapters in the text.
 - a. Customers: Who are the organization’s customers?
 - b. Products or services: What are the organization’s major products or services?
 - c. Location: Where does the organization compete?
 - d. Technology: What is the firms’ basic technology?
 - e. Philosophy: What are the basic beliefs, values, aspirations, and philosophical priorities of the organization?
 - f. Self-concept: What are the organization’s major strengths and competitive advantages?
 - g. Concern for public image: what are the organization’s public responsibilities and what image is desired?
 - h. Concern for employees: What is the organization’s attitude toward its employees?

Types of Plans

Plans can be described by their breadth, time frame, specificity, and frequency of use.

- a. Breadth: strategic versus operational plans. **Strategic plans** are those that are organization wide, establish overall objectives, and position an organization in terms of its environment. **Operational plans** are plans that specify details on how overall objectives are to be achieved.
- b. Time frame: short-term versus long-term plans. **Short-term plans** are plans that cover one year or less. **Long-term plans** are those that extend beyond three years.
- c. Specificity: specific versus directional plans. **Specific plans** are those that are clearly defined and leave no room for interpretation. **Directional plans** are flexible plans that set out general guidelines.

The Nature of Organizational Goals

- A. The use of goals has several benefits.
 - 1. **Performance** can be improved.
 - 2. **Expectations** can be improved.
 - 3. The **Controlling function** can be facilitated so that progress can be assessed and corrective action taken.
 - 4. Meeting goals can increase **motivation**.

- B. The three levels of goals within an organization form a hierarchy of goals, with lower-level goals forming a mean-end chain with the next level of goals.
1. **Strategic goals** are broadly defined targets or future end results set by top management.
 2. **Tactical goals** are the targets or future end results usually set by middle management for specific departments or units.
 3. **Operational goals** are those targets or future end results set by lower management that address specific, measurable outcomes required from the lower levels.

How Goals Facilitate Performance

The content of goals should meet five criteria.

1. **Challenging** goals usually lead to higher performance from individuals and groups.
2. **Attainable** goals, not impossible demands, are more likely to improve performance.
3. **Specific and measurable** goals are needed so that it is clear when they have been achieved.
4. **Time-limited** goals give them meaning.
5. **Relevant** goals enable employees to see the purpose of the goals and to devise ways of meeting them.
6. **Measurable** means the performance and targets can be measured after an interval of time.

Goal commitment is one's attachment to, or determination to reach, a goal. Without commitment goals have little impact on performance. Managers can help foster commitments in a number of ways.

1. **Supervisory authority** should serve to motivate employees to meet their goals.
2. **Peer and group pressure** may serve as motivation.
3. **Expectations of success** can be improved by managerial coaching and instruction.
4. **Incentives** are offered during the goal-setting process; rewards occur upon goal achievement.
5. **Participation** in the goal setting process may be effective in engendering goals commitment.

Work behavior may be affected by four factors influenced by goals content and goal commitment.

1. Goals provide **Direction** by channeling attention and action toward activities related to those goals, rather than to other activities.
2. Goals to which we are **committed** boost effort by mobilizing energy.
3. **Persistence** involves maintaining direction and effort on behalf of a goal until it is reached.
4. Goal setting leads to **planning** if the goals are appropriately challenging.

The impact of goals on performance of any specific job can be influenced by a number of other process components.

1. **Job knowledge and ability** are likely to affect an individual's work behavior and prospects for reaching goals.
2. The **complexity** of the task may affect the degree to which goal-directed work behaviors influence job performance.
3. **Situation constraints** include such things as having the proper tools, materials, and equipment.
4. **Knowledge of results** or feedback about progress enables individuals to gauge their progress toward goal attainment.

Strategic plans typically involve time periods of 5 years or more, but the time frame is dependent upon the stability of the industry in question.

The planning process can be used to promote **innovation** in organizations.

1. The organizational mission statement can be a primary means of encouraging innovation.
2. The goals component can translate the mission in a way supporting innovation.

3. The plans component can provide actual plans for achieving innovative outcomes.

Obstacles to planning exist, but may be countered by organizations.

1. Obstacles to planning threaten the ability of organizations to develop effective plans.
 - a. Plans in a rapidly changing environment require frequent revisions. Manager may resist formalized planning if they believe planning is unnecessary. The pressure of day-to-day responsibilities may keep managers from planning. Managers may be poorly prepared.
 - Staff specialists may come to dominate the planning process
2. Organizations can take steps to reduce the obstacles to planning.
 - a. Top-level managers may demonstrate their support of the planning process.
 - b. A **planning staff** is a small group of individuals who assist top-level managers in developing the various components of the planning process. This staff should focus on helping rather than taking over the planning process.
 - c. **Contingency planning** is the development of alternative plans for use in the event that environmental conditions evolve differently than anticipated, rendering original plans unwise or unfeasible.

MANAGEMENT BY OBJECTIVE (MBO)**Time Span of Goals and Plans**

1. Strategic goals and plans generally involve time periods of 3-5 years.
2. Tactical goals and plans typically involve time periods of 1 to 3 years.
3. Operational goals and plans can be for as short a period as 1 week or as long as 1 year.

Characteristics of Well-Designed Goals

- a. Written in terms of outcomes
- b. Measurable and quantifiable
- c. Clear as to a time frame
- d. Challenging but attainable
- e. Written down
- f. Communicated to all organizational members

Steps in Goals Setting—Five Steps

- a. Review the organization's mission.
- b. Goals should reflect what the mission statement says.
- c. Evaluate available resources.
- d. Determine individually, or with input from others, the goals.
- e. Write down the goals and communicate them to all who need to know.
- f. Review results and whether goals are being met.

Developing Plans

The process of developing plans is influenced by three contingency factors and by the planning approach followed.

Contingency Factors in Planning

- a. Manager's level in the organization.
Operational planning usually dominates the planning activities of lower-level managers. As managers move up through the levels of the organization, their planning becomes more strategic.
- b. Degree of environmental uncertainty. The greater the environmental uncertainty, the more plans should be directional and emphasis placed on the short term.
 - 1) When uncertainty is high, plans should be specific, but flexible.
 - 2) Managers must be prepared to rework and amend plans, or even to abandon their plans.
- c. Length of Future Commitments.
 - 1) Commitment concept means that plans should extend far enough to meet those commitments made when the plans were developed.
 - 2) Planning for too long or for too short a time period is inefficient and ineffective.

Approaches to Establishing Goals

Goals can be established through a process of traditional goal setting or through management by objectives

- a. **Traditional goal setting** is defined as the process whereby goals are set at the top of the organization and then broken down into sub goals for each level in an organization.
 - 1) Top managers are assumed to know what's best because they see the "big picture."
 - 2) These goals are also often largely non operational.

- 3) Specificity is achieved as each manager applies his or her own set of interpretations and biases.
- 4) However, what often results is that objectives lose clarity and unity as they move from top to bottom.
- 5) When the hierarchy of objectives is clearly defined, it forms an integrated **means-end chain** in which higher-level objectives are linked to lower-level objectives. These lower-level objectives serve as the means for the accomplishment of the higher-level objectives. And the goals at the lower levels (means) must be achieved in order to reach the goals at the next level (ends.)

Goal setting has some potential pitfalls

1. Setting difficult goals increases the **risk** that they will not be reached.
 2. High goals may increase the **stress levels** of organizational members.
 3. Failure to meet high goals may undermine the **self-confidence** of organizational members.
 4. **Non goal areas** may be ignored.
 5. Setting goals may encourage excessive **shot-range thinking**.
 6. Inappropriate goals may lead to **dishonesty and cheating**.
- b. **Management by objectives (MBO)** is a process through which specific goals are set collaboratively for the organization as a whole and every unit and individual within it; the goals then are used as a basic for planning, managing organizational activities, and assessing and rewarding contributions.

In Management by objectives (MBO) specific performance goals are jointly determined by employees and their managers, progress toward accomplishing these goals is periodically reviewed, and rewards are allocated on the basis of this progress.

- 1) MBO was first described by Peter Drucker and consists of four elements:
 - i. Goal specificity
 - ii. Participative decision making
 - iii. Explicit time period
 - iv. Performance feedback
- 2) MBO makes objectives operational through the process by which they cascade down through the organization.

Although there is considerable variation across organizations, MBO processes typically include the following steps:

1. Organizational goals are developed based on organizational missions.
2. Specific goals are established for departments, subunits, and individuals.
 - a. In the top-down process, upper-level managers, conferring with their immediate managerial subordinates, formulate specific objectives for their areas of responsibility. These in turn enter into the formulation of objectives for the next level down, and so forth.
 - b. In the bottom-up process, operational goals are proposed by lower-level managers on the basis of what they think they can achieve. These in turn are developed into tactical and finally strategic plans.
3. Action plans are formulated, describing what is to be done, how, when, where, and by whom in order to achieve a particular goals.
4. Individuals are given the responsibility of reaching their objectives and that goals will ultimately be met.
5. Performance is appraised at the end of the goal-setting cycle, typically at one-year intervals. Praise, recognition, and rewards should be given for effective performance.

The **strengths** of MBO are that it:

1. Aids coordination of goals and plans.
2. Helps clarify priorities and expectations.
3. Facilitates vertical and horizontal communications.
4. Fosters employee motivation.

The **weaknesses** of MBO are that it:

1. Tends to falter without strong, continual commitment from top management.
2. Necessitates considerable training of managers.
3. Can be misused as a punitive device.
4. May cause overemphasis of quantitative goals.

The “spirit” of MBO is tremendous. In practice however, MBO has been successful only about 20 to 25 percent of the time, primarily because of lack of support from top management and poor goal-setting and communication skills.

STRATEGIC MANAGEMENT -I**INTRODUCTION**

Today's business news is filled with reports of organizations making changes in their strategies for whatever reasons. An underlying theme of discussing strategic management is that good strategies can lead to high organizational performance.

THE IMPORTANCE OF STRATEGIC MANAGEMENT

The environmental shocks during the decades of the 1970s and 1980s forced managers to develop a systematic means of analyzing the environment, assessing their organization's strengths and weaknesses, identifying opportunities that would give the organization a competitive advantage, and incorporating these findings into their planning. The value of thinking strategically was recognized.

The Concept of Strategic Management

Strategic management is a process through which managers formulate and implement strategies geared to optimizing goal achievement, given available environmental and internal conditions. **Strategic management** is that set of managerial decisions and actions that determines the long-run performance of an organization. It entails all of the basic management functions—planning, organizing, leading, and controlling.

Purposes of strategic management

1. One reason strategic management is important is because it's involved in many of the decisions that managers make.
2. Another reason is that studies of the effectiveness of strategic planning and management have found that, in general, companies with formal strategic management systems had higher financial returns than those companies with no such systems.
3. Strategic management has moved beyond for-profit organizations to include all types of organizations, including not-for-profit.

Strategic management is important to organizations because it:

1. Helps organizations identify and develop a **competitive advantage**, a significant edge over the competition in dealing with competitive forces.
2. Provides a sense of direction so that organization members know where to expend their efforts.

Helps highlight the need for innovation and provides an organized approach for encouraging new ideas related to strategies.

Strategies are large-scale action plans for interacting with the environment in order to achieve long-term goals. Most well-run organizations attempt to develop and follow strategies.

The strategic management process is made up of several components

1. **Strategy formulation** is the part of the strategic management process that includes:
 - a. Identifying the mission and strategic goals.
 - b. Conducting competitive analysis
 - c. Developing specific strategies
2. **Strategy implementation** is the part of the strategic management process that focuses on:
 - a. Carrying strategic plans.
 - b. Maintaining control over how those plans are carried out.

Q. Define strategic management and how it entails the four management functions.

- A. Strategic management is that set of managerial decisions and actions that determines the long-run performance of an organization. It entails all of the basic management functions because the organization's strategies must be planned, organized, put into effect, and controlled.

STRATEGIC MANAGEMENT - II**THE STRATEGIC MANAGEMENT PROCESS**

The **strategic management process** is an eight-step process that encompasses strategic planning, implementation, and evaluation.

- A. The first step is identifying the organization's current mission, objectives, and strategies.
 1. Every organization needs a **mission**, which defines the purpose of the organization. What is the organization's reason for being in business?
 2. It's also important to identify the organization's current objectives and strategies, as well.
- B. Step 2 is analyzing the external environment. It's important to analyze the environment because, to a large degree, it defines management's strategic options.
 1. A successful strategy is one that aligns well with the environment.
 2. This step is complete when managers have an accurate grasp of what is taking place in the external environment and are aware of important trends that might affect the organization.
- C. The third step is identifying opportunities and threats. After analyzing the external environment, managers need to assess what opportunities to exploit and what threats to avoid.
 1. **Opportunities** are positive external environmental factors.
 2. **Threats** are negative external environmental factors.
- D. Step 4 is analyzing the organization's resources. In this internal analysis, managers are looking at the organization's specific assets, skills, and work activities.
 1. Managers look for **core competencies**, which are an organization's major value-creating skills, capabilities, and resources that determine its competitive advantage.
 2. This step forces managers to realize that every organization, no matter how large or powerful, is constrained in some way by its resources and skills.
- E. Step 5 is identifying strengths and weaknesses. The analysis in step 4 should lead to a clear assessment of the organization's internal resources.
 1. **Strengths** are those activities the firm does well or the unique resources it controls.
 2. **Weaknesses** are those activities the firm doesn't do well or the resources it needs but doesn't possess.
 3. One area that's often overlooked in this step is an analysis of the organization's culture and its strengths and weaknesses.
 - a. Remember that culture is the organization's personality.
 - b. The strength of the culture is a result of how much employees understand and support the shared values.
 - c. A strong culture should make it easy for managers to convey to employees the organization's distinctive competencies. However, the strong culture will make it more difficult to change, if needed.
 - d. Strategic choices will also be influenced by the culture's tolerance of risk and innovation and how performance is rewarded.
 - e. The culture can also promote or hinder an organization's strategic actions.
 4. The merging of steps 3 and 5 results in a **SWOT analysis**, which is an analysis of an organization's strengths, weaknesses, opportunities, and threats. It brings together the internal and external analyses in order to identify a strategic niche the organization might exploit.
 5. In light of the SWOT analysis, managers need to reevaluate the organization's current mission and objectives.

- F. Step 6 is formulating strategies. Strategies need to be established for the corporate, business, and functional levels of the organization. In formulating strategies, managers hope to give the organization a competitive advantage.
- G. The next step is implementing strategies. The strategies must now be put into action. Strategies are only as good as their implementation.
- H. The eighth (and final) step in the strategic management process is evaluating results. Managers must evaluate the results to determine how effective their strategies have been and what corrections are necessary.

The Role of Competitive Analysis in Strategy Formulation

Before an effective strategy to gain a competitive advantage can be formulated, the organization's competitive situation needs to be carefully analyzed.

- A. A SWOT ANALYSIS is one method for doing so. The SWOT analysis involves assessing organization strengths (S) and weaknesses (W), as well as environmental opportunities (O) and threats (T).
 - 1. Strengths and weaknesses apply to internal characteristics.
 - a. A strength is an internal characteristic that has the potential of improving the organization's competitive situation.
 - b. A weakness is an internal characteristic that leaves the organization potentially vulnerable to strategic moves by competitors.
 - 2. Opportunities and threats are found in the external environment.
 - a. An opportunity is an environmental condition that offers significant prospects for improving an organization's situation relative to competitors.
 - b. A threat is an environmental condition that offers significant prospects for undermining an organization's competitive situation.

LEVELS OF STRATEGIES, PORTER'S MODEL AND STRATEGY DEVELOPMENT (BCG) AND IMPLEMENTATION**Level of Strategies**

Many organizations develop strategies at three different levels. These three different and distinct levels of strategy are corporate, business, and functional:

Corporate-level strategy is developed by top -level management and the board of directors. The **corporate-level strategy** seeks to determine what businesses a corporation should be in or wants to be in. Two popular approaches for answering the question of what business(es) should we be in are the grand strategies framework and the corporate portfolio matrix.

1. **These strategies address**
 - a. What business the organization will be coordinated to strengthen the organization's competitive position.
 - b. How the strategies of those businesses will be coordinated to strengthen the organization's competitive position.
 - c. How resources will be allocated among businesses.
2. **Business-level strategy** concentrates on the best means of competing within a particular business while also supporting the corporate-level strategy.
 - a. The distinction between corporate-level and business-level strategy applies only to organizations with separate divisions that compete in different industries.
 - b. A **strategic business unit (SBU)** is a distinct business, with its own set of competitors that can be managed reasonably independently of other businesses within the organization.
3. **Functional-level strategy** focuses on action plans for managing a particular functional area within a business in a way that supports the business-level strategy.
 - a. Functional areas include operations, marketing, finance, human resources management, accounting, research and development, and engineering.
 - b. Functional strategies are usually developed by functional managers and are typically reviewed by business unit heads.
4. **Coordinating** strategies across these three levels is critical in maximizing strategic impact.

The Role of Competitive Analysis in Strategy Formulation and Implementation**Porter's Forces Model:**

Michael E. Porter, a noted strategy expert, has devised the **five competitive forces model** as an approach for analyzing the external environment for both the nature and the intensity of competition in a given industry in terms of five major forces.

1. The model provides an environmental assessment of strategically significant elements of the organization's task environment.
2. Rivalry is the extent to which competitors use tactics to lower the profits of their competitors.
3. The bargaining power of suppliers is the extent to which suppliers can exert power over business in an industry by threatening to raise prices or reduce the quality of goods and services they provide.
4. The bargaining power of buyers depends on the factors such as number of customers in the market, customer information, and the availability of substitute which determine the amount of influence that buyers have in an industry.
5. The threat of new entrants is the threat of a price war if new competitors can enter the market.

6. The threat of substitute products or services is the extent to which businesses in other industries can offer substitute products, thus reducing the profit potential for the industry.

The competitive environment, in some industries, may reach the point of **hyper competition**-a state of rapidly escalating competition. When this happens, environments may become upward spirals of uncertainty, dynamism, and heterogeneity of players making it difficult for any organization to sustain competitive advantage.

An **organizational assessment** determines how organizational factors in the internal environment affect the competitive situation.

1. The resource-based strategic view is a useful approach to internal assessment as it focuses on competitive implications of several sets of organizational resources and capabilities.
 - a. Financial resources include debt, equity, retained earnings, and other money related matters.
 - b. Physical resources include buildings, machinery, and other materials to operate.
 - c. Human resources include skills, abilities, experience, and other work related characteristics of those associated with the organization.
 - d. Organizational resources include the history, relationships, levels of trust, and other culture dimensions.
2. Assessing the competitive implications of these resources and capabilities relative to the environment involves answering questions about four critical factors.
 - a. How much value does any resource or capability add?
 - b. What, if any, degree of rareness does each resource or capability has among competing firms?
 - c. What is the degree of imitability by competitors of each resource or capability?
 - d. Is the organization of the firm's resources and capabilities by the formal reporting relationships, the control and reward systems, and other factors such so as to achieve the best competitive advantage?
3. Achieving sustained competitive advantage requires both the development in industries in which competitive forces are favorable and upon the development of resources and capabilities that are valuable, rare, and are difficult to imitate. When a firm has valuable, rare, and difficult to imitate resources and capabilities, it is said to have a **distinctive competence**.

Formulating corporate-level strategy

- A. A **grand strategy** (master strategy) provides the basic strategic direction at the corporate level of the organization. Four grand strategies have been identified.
 1. **Growth strategies** are grand strategies that involve organizational expansion along some major dimension.
 - a. **Concentration** focuses on effecting the growth of a single product or service or a small number of closely related products or services.
 - 1) Market development is gaining a larger share of a current market or expanding into new ones.
 - 2) Product development is improving a basic product or service or expanding into closely related products or services.
 - 3) Horizontal integration is adding one or more business that is similar, usually by purchasing such business.
 - b. **Vertical integration** involves effecting growth through the production of inputs previously provided by suppliers or through the replacement of a customer role (such as that of a distributor) by disposing of one's own outputs.
 - 1) Backward integration occurs when a business grows by becoming its own supplier
 - 2) Forward integration occurs when organizational growth encompasses a role previously fulfilled by a customer.

- c. **Diversification** entails effecting growth through the development of new areas that are clearly distinct from current businesses.
 - 1) Conglomerate diversification takes place when an organization diversifies into areas that are unrelated to its current business.
 - 2) Concentric diversification occurs when an organization diversifies into a related, but distinct, business.

These growth strategies can be implemented through a number of means:

- 1) Internal growth occurs as the organization expands by building on its own internal resources.
 - 2) An **acquisition** is the purchase of all or part of one organization by another.
 - 3) A **merger** is the combining of two or more companies into one organization.
 - 4) A joint venture occurs when two or more organizations provide resources to support a given project or product offering.
2. A **stability strategy** is a second type of grand strategy that involves maintaining the status quo or growing in a methodical, but slow, manner.
- a. Small, privately owned businesses are most likely to adopt this strategy.
 - b. Some of the reasons for adopting a stability strategy are that it
 - 1) Avoids the risks or hassles of aggressive growth.
 - 2) Provides the opportunity to recover after a period of accelerated growth.
 - 3) Lets the company hold on to current market share.
 - 4) May occur through default.
3. **Defensive strategies**, the third class of grand strategies, are sometimes called retrenchment strategies. They tend to focus on the desire or need to reduce organizational operations usually through cost reductions, such as cutting back on non-essential expenditures and instituting hiring freezes, and/or asset reductions such as selling land, equipment, or the business itself.
- a. **Harvest** entails minimizing investments while attempting to maximize short-run profits and cash flow, with the long-run intention of existing with the market.
 - b. A **turnaround** is designed to reverse a negative trend and restore the organization to appropriate levels of profitability.
 - c. A **divestiture** involves an organization's selling or divesting of a business or part of a business.
 - d. A **bankruptcy** is a means whereby an organization that is unable to pay its debts can seek court protection from creditors and from certain contract obligations while it attempts to regain financial stability.
 - e. **Liquidation** entails selling or dissolving an entire organization.
- B. A **portfolio strategy approach** is a method of analyzing an organization's mix of businesses in terms of both individual and collective contributions to strategic goals. Two portfolio approaches are used most frequently. Each uses a two-dimensional matrix, and each may apply to either the existing or to potential strategic business units (SBUs). The portfolio concept is analogous to an individual's selecting a portfolio of stocks to achieve balance in terms of risk, long-term growth, etc.
1. **The Boston Consulting Groups (BCG) growth-share matrix** compares various businesses in an organization's portfolio on the basis of relative market share and market growth rate. The corporate portfolio matrix approach has been a popular approach to determining corporate-level strategy.

The **BCG matrix**, developed by the Boston Consulting Group, is a strategy tool to guide resource allocation decisions based on market share and growth of SBUs.

- a. Relative market share is determined by the ratio of a business's market share compared to the market share of its largest rival.

- b. Market growth rate is the growth in the market during the previous year relative to growth in the economy as a whole.

The matrix defines four business groups. SBUs plotted on the BCG matrix can be categorized:

- 1) The **Star** has a high market share in a rapidly growing market.
 - 2) A **Question Mark** (problem child) has a low market share in a rapidly growing market.
 - 3) The **Cash Cow** has a high market share in a slowly growing market.
 - 4) A **Dog** has a low market share in an area of low growth.
- c. Strategies are suggested by the SBU's position on the matrix.
 - 1) Use funds from cash cows to duns stars and possibly question marks.
 - 2) Divest dogs and less desirable question mark.
2. **The product/market evolution matrix** (sometimes called the life-cycle portfolio matrix) is a 15-cell matrix in which business is plotted according to the business unit's business strengths or competitive position, and the industry's stage in the evolutionary product/market life cycle.
- a. While the BCG matrix measures market growth rate the product/market evolution matrix shows the industry's stage in the evolutionary life cycle.
 - b. The maturity and saturation stage is particularly important because it may last for an extended period of time and is a stage that presents special challenges to preserve market share while facing the prospect of the decline stage.

In **assessing these portfolio matrixes** remember that each model offers a somewhat different perspective. Portfolio matrices do not provide advice about specific business within the organization-such specifics are derived at the business level.

The BCG matrix (and the portfolio concept) has lost much of its merit because:

- a. Not every organization has found that increased market share leads to lower costs.
- b. The portfolio concept assumes that an organization's businesses can be divided into a reasonable number of independent units.
- c. Contrary to predictions, many so-called dogs have shown consistently higher levels of profitability than their growing competitors with dominant market shares.
- d. Given the rate at which the economy has been growing and the fact that a market can have only one leader, well over half of all businesses by definition fall into the dog category.
- e. Strategic implications of the BCG matrix are: "milk" the cash cows; invest resources in the stars; liquidate or sell the dogs; and sell off or invest in the question marks.

Formulating Business-level strategy

- A. Business-level strategies provide advice about specific strategies for various businesses.
- B. Michael E. Porter has developed three business-level strategies that are generic, i.e., widely applicable to a variety of situations.
 1. A **cost leadership strategy** involves emphasizing organizational efficiency so that the overall costs of providing products and services are lower than those of competitors.
 - a. The business should have a cost advantage that is not easily or inexpensively imitated.
 - b. Managers should consider making those product or service innovations that are most important to customers.
 2. A **differentiation strategy** involves attempting to develop products and services that are viewed as unique in the industry.

- a. Differentiation may occur in brand image, technology, customer service, features, quality, and election.
 - b. Costs are not as important as product or service uniqueness.
3. A **focus strategy** entails specializing by establishing a position of overall cost leadership, differentiation, or both, but only within a particular portion, or segment, or an entire market.

Formulating functional-level strategy

- A. Strategies at the functional level are important in supporting a business-level strategy.
- B. Functional areas develop the distinctive competencies that lead to potential competitive advantages.

Strategy Implementation

Strategies at the functional level are important in supporting a business-level strategy. Functional areas develop the distinctive competencies that lead to potential competitive advantages.

Strategy implementation includes the various management activities that are necessary to put the strategy in motion, institute strategic controls that monitor progress, and ultimately achieve organizational goals.

- A. Managers need to synchronize major factors within an organization needed to put a chosen strategy into action.
 1. **Technology** is the knowledge, tool, equipment, and work technique used by an organization in delivering its product or service.
 2. **Human resources** are the individuals who are members of the organization.
 3. **Reward systems** include bonuses, awards, or promotions provided by others, as well as rewards related to internal experiences, such as feeling of achievement and challenge.
 4. **Decision processes** include the means of resolving questions and problems that occur in organizations.
 5. **Organization structure** is the formal pattern of interactions and coordination designed by management to link the tasks of individuals and groups in achieving organizational goals.
- B. Managers need to be able to monitor progress through strategic control.

Strategic control involves monitoring critical environmental factors that could affect the viability of strategic plans, assessing the effects of organizational strategic actions, and ensuring that strategic plans are implemented as intended.

Strategic control systems include information systems that provide feedback on the implementation and effectiveness of strategic plans.

ENTREPRENEURSHIP MANAGEMENT**What Is Entrepreneurship?**

1. **Entrepreneurship**—the process where individuals or a group of individuals risk time and money in pursuit of opportunities to create value and grow through innovation regardless of the resources they currently control.
2. **Entrepreneurial ventures vs. small businesses**
Entrepreneurial ventures—organizations that are pursuing opportunities, characterized by innovative practices, and have growth and profitability as their main goals.
Small businesses—organization that is independently owned, operated, and financed; has fewer than 100 employees; doesn't necessarily engage in any new or innovative practices, and has relatively little impact on its industry, usually remaining small by choice or by default.

Why Is Entrepreneurship Important?

1. Innovation—a process of changing, experimenting, transforming, revolutionizing, and a key aspect of entrepreneurial activity.
2. Number of New Start-Ups
Assuming that some of these new businesses engage in innovative practices and pursue profitability and growth, then entrepreneurship has contributed to the overall creation of new firms.
3. Job Creation
The latest figures show that virtually all new net jobs were generated by firms with fewer than 500 employees.

The Entrepreneurial Process

1. Exploring the entrepreneurial context
It includes the realities of the new economy, society's laws and regulations that compose the legal environment, and the realities of the changing world of work.
2. Identifying opportunity and possible competitive advantages
3. Starting the venture
It includes researching the feasibility of the venture, planning the ventures, organizing the ventures, and launching the venture.
4. Managing the venture
It includes managing processes, people, and growth.

What Do Entrepreneurs Do?

1. Initially, an entrepreneur is engaged in assessing the potential for the venture, and then dealing with start-up issues.
2. Once the venture is up and running, the entrepreneur's attention switches to managing it.
3. Finally, the entrepreneur must manage the venture's growth.

Preparing to Operate a Small Business:**Writing a Business Plan:**

A business plan is a document written by an entrepreneur or perspective owner that details the nature of business, the product or service, the customers, the competition, the production and marketing methods, the management, the financing and other significant aspects of proposed business venture.

It has several purposes:

- To think in concrete terms about every aspect of business.
- To be able to get financing
- To measure progress

- To establish credibility with others.

The plan should describe the match between the entrepreneur's abilities and the requirements for producing and marketing a particular product or service.

WHAT IS CHANGE?

Organizational change is defined as any alteration in people, structure, or technology. Change is ever present in organizations and cannot be eliminated. Instead, we need to look at the key issues related to managing change.

FORCES FOR CHANGE

There are external and internal forces that create the need for change.

- A. External forces that create the need for change come from various sources.
 1. The marketplace
 2. Government laws and regulations
 3. Technology
 4. Labor markets
 5. Economic changes
- B. Internal forces tend to originate primarily from the internal operations of the organization or from the impact of external changes.
 1. Changes in strategy
 2. Changes in the workforce
 3. New equipment
 4. Change in employee attitudes

STIMULATING INNOVATION

Innovation is important to organizational success in the marketplace.

Creativity versus Innovation

There is a difference between creativity and innovation.

1. **Creativity** is the ability to combine ideas in a unique way or to make unusual associations between ideas.
2. **Innovation** is the process of taking a creative idea and turning it into a useful product, service, or method of operation.

How can managers foster innovation?

- a. Organic structures positively influence innovation.
- b. The easy availability of organizational resources provides a critical building block for innovation.
- c. Frequent inter-unit communication helps break down barriers to innovation.

Human resources variables are indicative of the important role that people play in innovative organizations.

- a. Innovative organizations actively promote the training and development of their employees so their knowledge remains current.
- b. Innovative organizations offer employees high job security.
- c. Innovative organizations encourage individuals to become **idea champions**—individuals, who actively and enthusiastically support a new idea, build support, overcome resistance, and ensure that the innovation is implemented.

Answering the Questions**1. Differentiate between entrepreneurial ventures and small businesses.**

Entrepreneurial Ventures—organizations that are pursuing opportunities, characterized by innovative practices, and have growth and profitability as their main goals.

Small Businesses—organization that is independently owned, operated, and financed; has fewer than 100 employees; doesn't necessarily engage in any new or innovative practices, and has relatively little impact on its industry, usually remaining small by choice or by default.

2. Why is entrepreneurship important in Pakistan?

The importance of entrepreneurship in Pakistan can be shown in three areas: innovation, number of new start-up business and SMEs, and job creation.

3. Is the pursuit of entrepreneurship important only in Pakistan? Explain.

The Global Entrepreneurship Monitor (GEM) studied the pace of entrepreneurial activity on economic growth in various countries. Among the major industrialized G-7 countries in particular, there was a very strong relationship between the level of entrepreneurial activity and annual economic growth. Same is true for every country like Pakistan i.e. developing nation.

4. Describe the four key steps in the entrepreneurial process.

- Exploring the entrepreneurial context; includes the realities of the new economy, society's laws and regulations that compose the legal environment, and the realities of the changing world of work.
- Identifying opportunity and possible competitive advantages
- Starting the venture; includes researching the feasibility of the venture, planning the ventures, organizing the ventures, and launching the venture.
- Managing the venture; includes managing processes, people, and growth.

5. What do entrepreneurs do?

Initially, an entrepreneur is engaged in assessing the potential for the venture, and then dealing with start-up issues. Once the venture is up and running, the entrepreneur's attention switches to managing it. Finally, the entrepreneur must manage the venture's growth.

6. Why are social responsibility and ethical considerations important to entrepreneurs?

Ethical considerations play a role in decisions and actions of entrepreneurs. The results of a study of approximately 300 entrepreneurs and corporate managers showed that entrepreneurs generally have more strict ethical standards than do managers and are also better able to live by their beliefs, probably because they have more control over their decisions and actions.

ORGANIZING

Organizations are experimenting with different approaches to organizational structure and design. Organizational structure can play an important role in an organization's success. The process of **ORGANIZING**—the second management functions—is how an organization's structure is created.

The Nature of Organization Structure

Managers are seeking structural designs that will best support and allow employees to effectively and efficiently do their work. **Organizing** is the process of creating an organization's structure.

Organization structure is the formal pattern of interactions and coordination designed by management to link the tasks of individuals and groups in achieving organizational goals. An **organizational structure** is the formal framework by which job tasks are divided, grouped, and coordinated.

1. This formal pattern designed by management is to be distinguished from the informal pattern of interactions that simply emerges within an organization.
2. Organization structure consists primarily of four elements:
 - a. Job design
 - b. Departmentalization
 - c. Vertical coordination
 - d. Horizontal coordination
3. **Organization design** is the process of developing an organization structure. **Organizational design** is the process of developing or changing an organization's structure. It involves decisions about six key elements: work specialization, departmentalization, and chain of command, span of control, centralization/decentralization, and formalization. We need to take a closer look at each of these structural elements.

The **organization chart** is a line diagram that depicts the broad outlines of an organization's structure. While varying in detail from one organization to another, typically organization charts show the major positions or departments in the organization, the way positions are grouped together, reporting relationships for lower to higher levels, official channels for communications, and possibly the titles associated with major positions in the organization.

1. The organization chart provides a visual map of the **chain of command**, the unbroken line of authority that ultimately links each individual with the top organizational position thorough a managerial position at each successive layer in between.
2. Nearly all organizations having just a few members have an organization chart.

Responsibility is the obligation or expectation to perform and carry out duties and achieve goals related to a position.

Authority is the right inherent in a managerial position to tell people what to do and to expect them to do it, right to make decisions and carry out actions to achieve organizational goals.

While part of a manager's work may be delegated, the manager remains accountable for results.

- a. **Accountability** is the requirement of being able to answer for significant deviations from duties or expected results.
- b. The fact that managers remain accountable for delegated work may cause them to resist delegation.

Delegation is assignment of part of manager's work to others along with responsibility and authority.

-
1. In addition to issues of accountability, managers may resist delegation for a number of reasons.
 - a. Managers may fear if subordinates fail.
 - b. Managers may think they lack time to train subordinates.
 - c. Managers may want to hold on to their power.
 - d. Managers may enjoy doing the tasks subordinates could do.
 - e. Managers may feel threatened by subordinates.
 - f. Managers may not know how to delegate.
 2. Subordinates may resist delegation because of fear of failure or of risk taking.
 3. Failure to delegate may have serious negative consequences for a manager's career.

JOB DESIGN/SPECIALIZATION AND DEPARTMENTALIZATION

Building Blocks of Organizing

1. Job design

A. Job design is an essential part of organizational structure.

1. **Job design** is the specification of task activities, usually repeated on a regular basis, associated with each particular job.
 - a. Task activities need to be grouped in reasonably logical ways for each job.
 - b. The way the jobs are configured influences employee motivation.
2. **Work specialization** is the degree to which the work necessary to achieve organizational goals is broken down into various jobs.

In **Work specialization** the tasks in an organization are divided into separate jobs. Another term for this is *division of labor*.

1. Work specialization can be traced back to the writings of Adam Smith.
2. Work specialization was seen as a way to make the most efficient use of workers' skills because workers would be placed in jobs according to their skills and paid accordingly.
3. Other advantages of work specialization included improvement in employees' skills at performing a task, more efficient employee training, and encouragement of special inventions and machinery to perform work tasks.
4. Work specialization was viewed as a source of unending productivity improvements. And it was—up to a certain point.
5. The human diseconomies from work specialization included boredom, fatigue, stress, lowered productivity, poor quality of work, increased absenteeism, and higher job turnover.

B. There are four approaches to job design.

1. **Job simplification** is the process of configuring or designing jobs so that job holders have only a small number of narrow, repetitive, activities to perform.
 - a. The concept of job simplification was championed by economist Adam Smith and by Frederick Taylor
 - b. Training new workers becomes relatively easy and workers become almost interchangeable.
 - c. The advantage is that major production efficiencies may be gained.
 - d. The disadvantages are that, if carried too far, job satisfaction may be destroyed by narrow, repetitive, boring jobs and the firm may become too inflexible to serve customers with varying needs.

Types of Departmentalization

Departmentalization is the clustering of individuals into units and units into departments and larger units in order to facilitate achieving organizational goals.

1. An organization design is an overall pattern of departmentalization.
2. There are four major patterns of departmentalization.
 - a. The functional structure groups jobs into units based upon similarity of expertise, skills, and work activities, e.g., marketing, accounting.
 - b. The divisional structure groups jobs into units according to the similarity of products or markets.
 - c. The hybrid structure combines aspects of both the functional and divisional forms, with some jobs grouped into departments by functions and other grouped by products or markets.
 - d. The matrix structure superimposes a horizontal set of divisional reporting relationships onto a hierarchical functional structure.

Assessing Structural Alternatives

Each of the four most common types of departmentalization has major advantages and disadvantages.

- A. Functional structure** is a type of departmentalization in which positions are grouped according to their main functional (or specialized) area.
1. Typical functional form of organization has several major advantages.
 2. The functional form of organization has several major advantages.
 - a. In-depth development of expertise is encouraged.
 - b. Employees have clear career paths within their function.
 - c. Resources are used more efficiently.
 - d. Economies of scale may be possible because of specialized people and equipment.
 - e. Intradepartmental coordination is facilitated.
 - f. Specialized technical competencies may be developed and may constitute a competitive advantage.
 3. The functional form of origination has several disadvantages.
 - a. Response time on multifunctional problems may be slow due to coordination problems.
 - b. Major issues and conflicts between departments may have to be resolved by top management, with resultant delays.
 - c. Bottlenecks due to sequential tasks.
 - d. Over specialization may lead to a restricted view of the department's and the organization's needs.
 - e. Performance may be difficult to measure because several functions are responsible for organizational results.
 - f. Managers may be trained too narrowly in a single department.
 4. The functional form of departmentalization is more appropriate under certain circumstances.
 - a. The organization is small or medium-sized.
 - b. There is a limited number of related products or services, or a relatively homogeneous set of customers or clients.
 - c. The organization is large and diverse, but the environment is stable.
- B. Divisional structure** is a type of departmentalization in which positions are grouped according to similarity of products, services, or markets.
1. Divisional structures are also called “self-contained structures” because each division contains the major functional resources it needs to pursue its own goals with little or no reliance on other divisions.
 2. The three major forms of divisional structure differ according to the rationale for forming the divisions.
 - a. **Product divisions** are divisions created to concentrate on a single product or service or at least a relatively homogeneous set of products or services.
 - b. **Geographic divisions** are divisions designed to serve different geographic areas.
 - c. **Customer divisions** are divisions set up to service particular types of clients or customers.
 3. Divisional structure has several major advantages.
 - a. Divisions can react quickly to changes in the environment.
 - b. Coordination across functions is simplified.
 - c. Each division can focus upon serving its customers.
 - d. The division's goals can be emphasized.
 - e. Performance is more easily measured.
 - f. Managers can be trained in general management skills.
 4. Divisional structure has several disadvantages.
 - a. Duplication of resources in each division often occurs.
 - b. In-depth expertise may be sacrificed.

- c. Divisions may compete for limited resources.
 - d. Expertise across divisions may not be shared.
 - e. Innovations may be restricted to single divisions.
 - f. Divisional goals may take priority over overall organizational goals.
5. The divisional structure is likely to be used in large organizations where substantial differences exist among products or services, geographic areas, or customers served.
- C. Hybrid structure** is a form of departmentalization that adopts parts of both functional and divisional structures at the same level of management.
- 1. Hybrid structures are adopted by large organizations to gain the advantages of functional and divisional structures.
 - a. Functional departments are created to take advantage of resource utilization efficiencies, economies of scale, or in-depth expertise.
 - b. Divisional departments are usually created to benefit from a stronger focus on products, services, or markets.
 - 2. The hybrid structure has several advantages.
 - a. Corporate and divisional goals can be aligned.
 - b. Specialized expertise and economies of scale can be achieved in major functional areas.
 - c. Adaptability and flexibility may be achieved in handling diverse product or service lines, geographic areas, or customers.
 - 3. The hybrid structure has several disadvantages.
 - a. Conflict may arise between departments and divisions.
 - b. Hybrid organizations tend to develop excessively large staffs in the corporate-level functional departments.
 - c. There may be a slow response to exceptional situations requiring coordination between a division and a corporate functional department.
 - 4. The hybrid structure is best used under particular conditions.
 - a. The organization faces environmental uncertainty best met by a divisional structure.
 - b. The organization requires functional expertise and/or efficiency.
 - c. The organization has sufficient resources to justify the structure.
- D. A matrix structure** is a type of departmentalization that superimposes a horizontal set of divisional reporting relationships onto a hierarchical functional structure.
- 1. An organization with a matrix structure has a functional and a divisional structure at the same time.
 - 2. Employees who work in a matrix organization report to two “bosses,” thus, the unity-of-command principle is violated.
 - 3. Organizations that adopt a matrix structure usually go through several identifiable structural stages.
 - a. Stage 1 is a traditional structure, usually a functional structure, which follows the unity-of-command principle.
 - b. Stage 2 is a temporary overlay in which managerial integrator positions are created to handle issues of finite duration that involves coordinating across functional departments.
 - c. Stage 3 is a permanent overlay in which the managerial integrator positions become permanent.
 - d. Stage 4 is a mature matrix, in which matrix bosses have equal power.
 - 4. As an organization passes through the matrix stages, horizontal integration increases at the cost of greater administrative complexity. The matrix form of organization has several advantages.
 - 5. The matrix form of organization has several advantages.
 - a. Decision making can be decentralized.

- b. Horizontal coordination is strengthened.
 - c. Environmental monitoring is improved.
 - d. Responses to environmental changes are quickly made.
 - e. Functional specialists can be added to or resigned to projects as needed.
 - f. Support systems can be allocated to projects as needed.
6. Matrix designs have several disadvantages.
- a. Administrative costs are increased.
 - b. Lines of authority and responsibility may not be clear to individual employees.
 - c. Possibilities of conflict are increased.
 - d. Individuals can become preoccupied with internal relations at the expense of clients and project goals.
 - e. All decisions may become group decisions, leading to gross inefficiency.
 - f. Reactions to change may be slowed if interpersonal skills are lacking or top management fights for control.
7. Matrix designs are usually appropriate when the following three conditions are met:
- a. The considerable pressure from the environment that necessitates a simultaneous and strong focus on both functional and divisional dimensions.
 - b. The demands placed on the organization are changing and unpredictable, making it important to have a large capacity for processing information and coordinating activities quickly.
 - c. There is pressure for shared resources.
8. Research indicates some of the factors that may be necessary to the success of a matrix systems
- a. The organizational culture may need to be changed to support collaboration.
 - b. Managers may need special training, especially in interpersonal relations.
- E. Of particular interest are two new types of organizational structure that have recently emerged: the **process structure** and the **networked structure**.
- 1. A process structure is a type of departmentalization which groups positions into process team which are given beginning-to-end responsibility for that process or that specified work flow. The process structure is sometimes called the horizontal organization.
 - 2. The networked structure is a form of organizing in which many functions are contracted out to other independent firms and coordinated through the use of information technology networks. Sometimes the networked structure is called the virtual corporation because it performs as virtually one corporation.

SPAN OF COMMAND, CENTRALIZATION VS. DE-CENTRALIZATION AND LINE VS. STAFF AUTHORITY**Methods of Vertical Coordination**

Vertical coordination is the linking of activities at the top of the organization with those at the middle and lower levels in order to achieve organizational goals.

Formalization is the degree to which written policies, rules, procedures, job descriptions, and other documents specify what actions are (or are not) to be taken under a given set of circumstances.

1. Most organizations need some degree of formalization so that fundamental decisions do not have to be made more than once and so that inequities will be less likely to occur.
2. Being too highly formalized can lead to cumbersome operations, slowness in reacting to change, and low levels of creativity and innovation.

Span of management or **span of control** is the number of subordinates who report directly to a specific manager.

1. Managers should have neither too many nor too few subordinates.
2. Research indicates that there is no universally correct span of management for all managers. Rather, spans of management can be narrower or broader depending on the circumstances of each managerial job.
 - a. Subordinates' work is such that little interaction with others is required.
 - b. Managers and/or their subordinates are highly competent.
 - c. The work of subordinates is similar.
 - d. Problems are infrequent.
 - e. Subordinates are located within close physical proximity of one another.
 - f. Managers have few non supervisory duties to perform.
 - g. Managers have additional help such as secretaries or assistants.
 - h. The work is challenging enough to motivate subordinates to do a good job.

Spans of management determine the number of hierarchical levels in an organization.

- a. A **tall structure** is one that has narrow spans of management and many hierarchical levels in an organization.
- b. A **flat structure** is one that has broader spans of management and few hierarchical levels and wide spans of control.

The number of hierarchical levels in an organization affects organizational effectiveness.

- a. Very tall organizations raise administrative overhead, slow communication and decision making, make it more difficult to pinpoint responsibility for various tasks, and encourage the formation of dull, routine jobs.
- b. **Downsizing** is the process of significantly reducing the layers of middle management, expanding the spans of control, and shrinking the size of the work force.
- c. **Restructuring** is the process of making a major change in organization structure that often involves reducing management levels and also possibly changing some major components of the organization through divestiture and/or acquisition.
- d. Downsizing must be planned and implemented carefully.
 - 1) Done well, downsizing may result in reduced costs, faster decision making, more challenging jobs, fewer redundancies, and increased innovation.
 - 2) Done poorly, downsizing may result in the loss of valuable employees, demoralized survivors, and an ultimate decline in productivity.

- 3) A five-year study showed only increases in profits and productivity in a relatively small number of firms that downsized while most had noticeable decreased in morale.

The degree to which authority in an organization is centralized or decentralized affects the pattern of decision making in the organization.

1. **Centralization** is the extent to which power and authority are retained at the top organizational levels.
2. **Decentralization** is the extent to which power and authority are delegated to lower levels.
3. An organization is centralized if decisions made at lower levels are governed by a restrictive set of policies, procedures, and rules, and if situations not explicitly covered are referred to higher levels for resolution.
4. An organization is decentralized to the extent that decisions made at lower levels are made within a general set of policies, procedures, and rules, with decisions not covered left to the discretion of lower-level managers.
5. Centralization offers advantages.
 - a. It is easier to coordinate the activities of various units and individuals.
 - b. Top managers have more experience and may therefore make better decisions.
 - c. Top managers have a broader perspective on decision situations.
 - d. Duplication of effort by various organizational units can be avoided.
 - e. Strong leadership is promoted.
6. Decentralization offers advantages.
 - a. Top managers can concentrate upon major issues.
 - b. The jobs of lower-level employees are enriched by the challenge of making decisions.
 - c. Decisions can be made faster.
 - d. Individuals at lower levels may be closer to the problem and may be in a better position to make good decisions.
 - e. Relatively independent units emerge as divisions, with more easily measured outputs.
7. Organizations should move toward a decentralized structure when:
 - a. The organization is so large that top managers do not have the time or the knowledge to make all the major decisions.
 - b. Operations are geographically dispersed.
 - c. Top managers cannot keep up with complex technology.
 - d. The environment is increasingly uncertain.

The configuration of line and staff positions can affect the vertical integration in organizations.

1. A **line position** is a position that has authority and responsibility for achieving the major goals of the organization.
2. A **staff position** is a position whose primary purpose is providing specialized expertise and assistance to line positions.
3. Line authority differs from staff authority.
 - a. **Line authority** is authority that follows the chain of command established by the formal hierarchy.
 - b. Staff departments have **functional authority**, authority over others in the organization in matters related directly to the staff departments' functions.
 - c. Conflicts of line and functional authority.
 - 1) Staff personnel may usurp line authority.
 - 2) Line personnel may abdicate responsibility of staff departments.
 - 3) Conflicts may be avoided by clarifying lines of authority and encouraging team work.
 - d. Recently a trend had developed to reduce the number of corporate-level staff positions in cost cutting moves.

Promoting Innovation: Methods of Horizontal coordination

Horizontal coordination is the linking of activities across departments at similar levels.

1. The need for horizontal coordination in an organization is directly proportional to the information-processing needs of the organization.
2. Organizations need to process more information under certain circumstances.
 - a. The organization faces complex and/or changing technology.
 - b. The environment is uncertain.
 - c. The company is growing.
3. In facilitating information processing across the organization, horizontal coordination also promotes innovation.
 - a. New ideas are more likely to emerge when views are shared.
 - b. Awareness of problems and opportunities across areas may spark creative solutions.
 - c. Involving employees in the development of ideas promotes commitment to proposed changes.

A **managerial integrator** is a manager who is given the tasks of coordinating related work that involves several functional departments.

- 1) Project managers usually are responsible for coordinating the work associated with a particular project until its completion.
- 2) Product managers orchestrate the launching of new products and services and may then continue coordinating interdepartmental work related to the new products and services.
- 3) Brand manager coordinate organizational efforts involving particular brand-name products, most often within the soap, food, and toiletries industries.

Managerial integrators do not have the line authority and must gain the cooperation of staff managers to implement their proposals.

ORGANIZATIONAL DESIGN AND ORGANIC VS. MECHANISTIC VS. VIRTUAL STRUCTURES

1. **Job rotation** is the practice of periodically shifting workers through a set of jobs in a planned sequence.
 - a. One purpose of job rotation is to combat boredom, but its success is short-lived if tasks are too simple.
 - b. Another purpose of job rotation is cross training so that there is maximum flexibility in job assignments.
 - c. A related purpose is employee development so that employees increase their capabilities and understanding of various aspects of the organization.
 - d. A potential problem is that rotating individuals may be treated as temporary helps and their loyalty perceived as questionable.
2. **Job enlargement** is the allocation of a wider variety of similar tasks to a job in order to make it more challenging.
 - a. Job enlargement broadens **job scope**, the number of different tasks an employee performs in a particular job.
 - b. The problem is that if additional simple tasks are added, worker boredom may persist. Too, lower efficiency, mental overload, increased errors, and other problems may develop.
3. **Job enrichment**, pioneered by Frederick Herzberg, is the process of upgrading the job-task mix in order to increase significantly the potential for growth, achievement, responsibility, and recognition.
 - a. Job enrichment increases **Job depth**, the degree to which individuals can plan and control the work involved in their jobs.
 - b. The important **job characteristics model** is a model developed to guide job enrichment efforts that include consideration of **core job characteristics**, **critical psychological states**, and **outcomes**.
 - c. The job characteristics model has five core job characteristics.
 - 1) **Skill variety** is the extent to which the job requires a number of activities that require different skills.
 - 2) **Task identity** is the degree to which the job allows the completion of a major identifiable piece of work, rather than just a fragment.
 - 3) **Task significance** is the extent to which the worker sees the job output as having an important impact on others.
 - 4) **Autonomy** is the amount of discretion allowed in determining schedules and work methods for achieving the required output.
 - 5) **Feedback** is the degree to which the job provides clear, timely information about performance results.
 - d. According to the job characteristics model, the core characteristics will increase worker motivation only if workers experience three critical psychological states.
 - 1) Workers must feel that the work is meaningful.
 - 2) Workers must know they are responsible for the outcomes.
 - 3) Workers must actually find out results.
 - e. According to the job characteristics model, outcomes of the critical states will be higher internal work motivation, greater satisfaction of growth needs, higher general job satisfaction, and increased work effectiveness.
 - f. The job characteristics model is likely to be used successfully under two conditions.
 - 1) Workers have high **growth-need strength**, the degree to which an individual needs personal growth and development on the job.
 - 2) Workers are satisfied with other aspects of the job context, i.e. supervision, pay, coworkers, and job security.

ORGANIZATIONAL DESIGN DECISIONS

Organizations aren't structured the same way. Top managers put a lot of thought into how best to design the organization's structure. That "best" design depends on four contingency variables: the organization's strategy, size, technology, and degree of environmental uncertainty.

There are two generic models of organizational design.

1. A **mechanistic organization** is an organizational structure that is characterized by high specialization, rigid departmentalization, narrow spans of control, high formalization, a limited information network, and little participation in decision making by low-level employees.
2. An **organic organization** is a structure that is highly adaptive and flexible with little work specialization, minimal formalization and little direct supervision of employees.
3. When is each design favored? It "depends" on the contingency variables.

Contingency factors—appropriate structure depends on four contingency variables:

1. Strategy and structure

One of the contingency variables that influence organizational design is the *organization's strategy*. Most current strategy-structure frameworks tend to focus on three strategy dimensions:

- 1) Innovation—needs the flexibility and free flow of information of the organic organization
- 2) Cost minimization—needs the efficiency, stability, and tight controls of the mechanistic organization
- 3) Imitation—which uses characteristics of both mechanistic and organic

2. Size and structure

There is considerable historical evidence that an *organization's size* significantly affects its structure. Larger organizations tend to have more specialization, departmentalization, centralization and formalization although the size-structure relationship is not linear.

Technology also has been shown to affect an organization's choice of structure.

- a. Every organization uses some form of technology to transform inputs into outputs.
- b. The study of structure and technology found that organizations adapted to their technology and that three distinct technologies had increasing levels of complexity and sophistication.
 - 1) **Unit production** is the production of items in units or small batches.
 - 2) **Mass production** is large-batch manufacturing.
 - 3) **Process production** is continuous-process production.

3 Environmental uncertainty and structure

The final contingency factor that has been shown to affect organizational structure is *environmental uncertainty*. One way to manage environmental uncertainty is through adjustments in the organization's structure. The more uncertain the environment, the more flexible and responsive the organization may need to be.

COMMON ORGANIZATIONAL DESIGNS

A. Traditional organizational designs.

We now need to look at various organizational designs that you might see in today's organizations.

1. A **simple structure** is an organizational design with low departmentalization, wide spans of control, authority centralized in a single person, and little formalization.
 - a. Its strengths are its flexibility, speed and low cost to maintain.
 - b. Its major drawback is that it's most effective in small organizations.

As an organization grows, the structure tends to become more specialized and formalized. When contingency factors favor a bureaucratic or mechanistic design, one of two options is likely to be used.

2. One option expands functional departmentalization into the **functional structure**, which is an organizational design that groups similar or related occupational specialties together.
3. The other option is the **divisional structure**, which is an organizational structure made up of autonomous, self-contained units.

B. Contemporary organizational designs

However, many of today's organizations are finding that the traditional hierarchical organizational designs aren't appropriate for the increasingly dynamic and complex environments they face.

1. Team-based structures:

One of the newer concepts in organizational design is the **team-based structure**, which is an organizational structure made up of work groups or teams that performs the organization's work.

2. Project and matrix structures:

Another variation in organizational arrangements is based on the fact that many of today's organizations deal with work activities of different time requirements and magnitude.

- a. One of these arrangements is the **matrix organization** that assigns specialists from different functional departments to work on one or more projects being led by project managers.
- b. Another of these designs is the **project structure**, which is a structure in which employees are permanently assigned to projects.

3. Autonomous Internal Units:

Some large organizations have adopted a structure that's described as **autonomous internal units**, a design in which there are independent, autonomous decentralized business units, each with its own products, clients, competitors, and profit goals.

4. The Boundary less Organization:

Another approach to organizational design is the **boundary less organization**, which describes an organization whose design is not defined by, or limited to the horizontal, vertical, or external boundaries imposed by a predefined structure.

5. Learning Organization:

An organization that facilitate the life long learning and development of its employees while transforming itself to respond to changing demands and needs of market.

LEADING AND LEADERSHIP MOTIVATING SELF AND OTHERS**The Nature of Motivation**

Being able to effectively motivate employees is a challenge that managers face in all types and sizes of organizations. “Everything that we give to our workers gets returned to us in terms of efficiency, quality, loyalty, and innovation.”

Motivation is the willingness to exert high levels of effort to reach organizational goals, conditioned by the effort's ability to satisfy some individual need.

- A. Effort is a measure of intensity or drive. High levels of effort are unlikely to lead to favorable job performance unless the effort is channeled in a direction that benefits the organization.
- B. A **need** is an internal state that makes certain outcomes appears attractive. An unsatisfied need creates tension that stimulates drives within an individual. These drives generate a search behavior to find particular goals that, if attained, will satisfy the need and reduce the tension.

Hence motivation is the force that energizes behavior, gives direction to behavior, and underlies the tendency to persist.

- 1. A person's motivation is not directly measurable, but must be inferred from behavior.
- 2. Performance is a function of ability, motivation and working conditions.
- 3. Besides hiring individual with ability to do the work, managers have the challenge to provide working conditions that nurture and support individual motivation to work toward organization goals.

The main elements of motivation have been identified based on numerous studies. A simplified model of motivation has been developed.

- 1. Inner needs and cognitions lead to behaviors.
- 2. Appropriate behaviors may result in rewards, which reinforce the behaviors, fulfill needs, and provide cognitive input regarding the future association of behaviors and rewards.
- 3. Lack of rewards may lead to unfulfilled needs, un-reinforced behaviors, and cognitive input in the form of expectations about the future.

Intrinsic Motivators

A person's internal desire to do some thing for his satisfaction, respect, prestige or loyalty

Extrinsic Motivators

Factors of motivation that comes from outside (environment) or organization like pay, bonuses, tangible benefits etc

FROM THEORY TO PRACTICE: SUGGESTIONS FOR MOTIVATING EMPLOYEES

Several suggestions for motivating employees are given and are based on what is currently known about motivation.

- A. Recognize individual differences in terms of needs, attitudes, personality, and other important individual factors.
- B. Match people to jobs by identifying what needs are important to individuals and trying to provide jobs that allow them to fulfill those needs.

- C. Use goals because the literature on goal setting suggests that managers should ensure that employees have hard, specific goals and feedback on how well they're doing in pursuit of those goals.
- D. Ensure that goals are perceived as attainable. Employees who see goals as unattainable will reduce their levels of effort.
- E. Individualize rewards. Because employees have different needs, what is a reward and reinforce to one may not work for another.
- F. Link rewards to performance by making rewards contingent on desired levels of performance.
- G. Check the system for equity. Employees should perceive that the rewards or outcomes are equal to the inputs given.
- H. Don't ignore money. The allocation of performance-based increases, piecework bonuses, and other pay incentives is important in determining employee motivation.

MASLOW'S NEEDS THEORY AND ITS ANALYSIS

Maslow's Need Theory

One of the most widely mentioned theories of motivation is the hierarchy of need theory put forth by Abraham Maslow, one of the most widely known theories of motivation. Maslow saw human needs in the form of hierarchy ascending from the lowest to the highest and concluded that, when one set of need is satisfied this kind of need ceases to be a motivator.

- 1 Maslow's hierarchy of needs from the most basic to the highest.
 - a. **Physiological needs** are basic and include needs for food, water, and shelter. Maslow took the position that until these needs are satisfied to the degree necessary to maintain life, other needs will not motivate people.
 - b. **Safety needs** pertain to the desire to be safe, secure and free from threats to our existence. These needs can be satisfied in the workplace by job continuity, or retirement benefits.
 - c. **Belongingness needs** involve the desire to affiliate with and be accepted by others. These needs are satisfied for most people by family and community relationship outside of work and friendship on the job.
 - d. **Esteem needs** are related to the two-pronged desire to have a positive self-image and to have our contributions valued and appreciated by others. According to Maslow, once people begin to satisfy their need to belong, they tend to want to be held in esteem both by themselves and by others this kind of need produces such satisfactions as power, prestige, status and self confidence.
 - e. **Self-actualization needs** pertain to the requirement of developing our capabilities and reaching our full potential. Maslow regards this as the highest need in his hierarchy. It is the desire to become what one is capable of becoming- to maximize one's potential and to accomplish something.
- 2 Maslow suggests that the five need categories constitute a hierarchy. An individual is motivated first and foremost to satisfy physiological needs. As long as they remain unsatisfied, the individual is motivated only to fulfill them. When satisfaction of physiological needs is achieved they cease to act as primary motivational factors and the individual moves up the hierarchy and become concerned with security need. This process continues until the individual reaches the self- actualization level.
- 3 Recent studies have raised questions as to whether the hierarchical aspect of Maslow's theory is applicable to everyone and whether there might be fewer than five levels of needs.

Analysis and Weakness of Theory

1. Five levels of need are not always present.
2. Order of needs and hierarchy may not be the same for all employees.
3. There are certainly cultural differences which the theory did not take care.
4. Analyzing the theory in country and cultural context, for example in China, the hierarchy of needs found was different than Maslow's theory.

OTHER NEED AND COGNITIVE THEORIES OF MOTIVATION**McGregor's Theory X and Theory Y**

This theory was developed by Douglas McGregor and describes two distinct views of human nature.

1. **Theory X** was the assumption that employees dislike work, are lazy, seek to avoid responsibility, and must be coerced to perform.
2. **Theory Y** was the assumption that employees are creative, seek responsibility, and can exercise self-direction.
3. Theory X assumed that lower-order needs (Maslow's) dominated individuals, and Theory Y assumed that higher-order needs dominated.

Motivation-Hygiene Theory

This is the theory developed by Frederick Herzberg that suggests that intrinsic factors are related to job satisfaction and motivation, and extrinsic factors are associated with job dissatisfaction. The basis of Herzberg's theory is that he believed that the opposite of satisfaction was not dissatisfaction. Removing dissatisfying characteristics from a job would not necessarily make the job satisfying. Frederick Herzberg's **two-factor** theory states that there are only two categories of needs.

Hygiene factors are factors that eliminate dissatisfaction. They include things such as supervision, company policy, salary, working conditions, security and so forth—extrinsic factors associated with job context, or those things surrounding a job.

Hygiene factors are necessary to keep workers away from feeling dissatisfied. There are several hygiene factors.

- a. Pay
- b. Working conditions
- c. Supervisors
- d. Company policies
- e. Benefits

Motivators are factors that increase job satisfaction and hence motivation. They include things such as achievement, recognition, responsibility, advancement and so forth—intrinsic factors associated with job content, or those things within the job itself.

Motivator factor can only lead workers to feel satisfied and motivated.

- a. Achievement
- b. Responsibility
- c. Work itself
- d. Recognition
- e. Growth and achievement

ERG Theory

Clayton Alderfer's ERG theory combines Maslow's five needs into three need levels: existence, relatedness and growth.

1. **Existence needs** include the various forms of material and physiological desires, such as food and water, as well as such work-related forms as pay, fringe benefits and physical working conditions.

2. **Relatedness needs** address our relationships with significant others, such as families, friendship groups, work groups and professional groups.
3. **Growth needs** impel creativity and innovation, along with the desire to have a productive impact on our surroundings.
4. ERG needs differ in concreteness, i.e. the degree to which their presence or absence can be verified.
5. The **satisfaction-progression principle** is a principle that states that satisfaction of one level of need encourages concern with the next level.
6. Besides disagreeing as to the number of need levels that might exist, the ERG theory differs from Maslow's hierarchy of needs theory in three other significant ways:
 - a. Although the general notion of a hierarchy is retained, Alderfer's theory argues that we can be concerned with more than one need category at the same time.
 - b. ERG theory is more flexible in acknowledging that some individuals' needs may occur in a somewhat different order than the posited by the ERG framework.
 - c. ERG theory incorporates a **frustration regression principle** which states that if we are continually frustrated in our attempts to satisfy a higher-level need, we may cease to be concerned about that need.

Acquired-Needs Theory

McClelland's acquired-needs theory argues that our needs are acquired or learned on the basis of our life experience.

1. The Thematic Apperception Test (TAT) measures the needs for achievement, affiliation, and power.
2. The **need of achievement (nAch)** is the desire to accomplish challenging tasks and achieve a standard of excellence in one's work.
3. The **need for affiliation (nAff)** is the desire to maintain warm, friendly relationships with others.
4. The **need for power (nPow)** is the desire to influence others and control one's environment.
 - a. **Personal power** is the need for power in which individuals want to dominate others for the sake of demonstrating their ability to wield power.
 - b. **Institutional power** is the need for power in which individuals focus on what they can do to solve problems and further organizational goals.
5. The need profile of successful managers in competitive environments appears to include:
 - a. A moderate-to-high need for institutional power.
 - b. A moderate need for achievement to facilitate individual contributions early in one's career and a desire for the organization to maintain a competitive edge as one moves to higher levels
 - c. At least a minimum need for affiliation to provide sufficient sensitivity for influencing others.
 - d. Need for achievement may actually be more important than need for power in running small or large, decentralized companies.
6. It may be possible to foster the needs for achievement and for institutional power through training.

Significance for Managers

Many aspects of need theories are of value to managers.

1. Need theories are compatible in pointing out the importance of higher-level needs as a source of motivation.
2. Research indicates that it is more likely that individuals differ in the makeup of their need structures than that the need structures of individuals are basically the same.
3. The frustration-regression aspect of ERG theory may have serious implications for organizations.

Cognitive Perspectives**Equity Theory**

Equity Theory, developed by J. Stacey Adams, says that an employee perceives what he or she got from a job situation (outcomes) in relation to what he or she put into it (inputs) and then compares the inputs-outcomes ratio with the inputs-outcomes ratios of relevant others and finally corrects any inequity.

1. The **referents** are the persons, systems, or selves against which individuals compare themselves to assess equity.
2. Equity theory recognizes that individuals are concerned with their absolute rewards as well as the relationship of those rewards to what others receive.
3. What will employees do when they perceive an inequity?
 - a. Distort either their own or others' inputs or outcomes.
 - b. Behave in some way to induce others to change their inputs or outcomes.
 - c. Behave in some way to change their inputs or outcomes.
 - d. Choose a different comparison person.
 - e. Quit their job

EXPECTANCY, GOAL SETTING AND RE-ENFORCEMENT THEORIES**Expectancy Theory**

Expectancy Theory is the theory that an individual tends to act in a certain way based on the expectation that the act will be followed by a given outcome and on the attractiveness of that outcome to the individual. Three relationships are important to this theory.

1. Effort-performance linkage (expectancy) is the probability perceived by the individual that exerting a given amount of effort will lead to a certain level of performance.
2. Performance-reward linkage (instrumentality) is the degree to which an individual believes that performing at a particular level is instrumental in, or will lead to, the attainment of a desired outcome.
3. Attractiveness of the reward (valence) is the importance that the individual places on the potential outcome or reward that can be achieved on the job.
4. There are four features inherent in the theory.
 - a. What perceived outcomes does the job offer the employee?
 - b. How attractive do employees consider these outcomes to be?
 - c. What kind of behavior must the employee exhibit to achieve these outcomes?
 - d. How does the employee view his or her chance of doing what is asked?
5. The key to understanding this theory is to understand an individual's goal and the linkage between effort and performance, between performance and rewards, and between rewards and individual goal satisfaction.

Goal-Setting Theory

This theory says that specific goals increase performance, and difficult goals, when accepted, result in higher performance than easy goals. What do we know about goals as motivators?

- A. Intention to work toward a goal is a major source of job motivation. Specific and challenging goals are superior motivating forces. Specific hard goals produce a higher level of output than do generalized goals.
- B. Is there a contradiction between achievement motivation and goal setting? No, and here's why.
 - A. Goal-setting theory deals with people in general; achievement theory is based only on people who have a high need for achievement. Difficult goals are still recommended for the majority of employees.
 - B. The conclusions of goal-setting theory apply to those who accept and are committed to the goals. Difficult goals will lead to higher performance only if they are accepted.
- C. Will employees try harder if they participate in the setting of goals?
 - A. We can't say that participation is always desirable.
 - B. However, participation is probably preferable to assigning goals when the manager expects resistance.
- D. Will people do better when they get feedback on how well they're progressing toward their goals?
 - A. Feedback acts to guide behavior.
 - B. Self-generated feedback has been shown to be a more powerful motivator than externally generated feedback.
- E. What contingencies exist in goal-setting theory? There are four contingencies we need to know about.
 - A. Feedback influences the goal-performance relationship.

- b. Goal commitment is another contingency. Commitment is most likely to occur when goals are made public, when the individual has an internal locus of control, and when the goals are self-set rather than assigned.
 - c. **Self-efficacy** is another contingency and refers to an individual's belief that he or she is capable of performing a task. The higher your self-efficacy, the more confidence you have in your ability to succeed in a task.
 - d. The last contingency that affects goal setting is national culture.
6. Our conclusion about motivation from goal-setting theory is that intentions, as defined by hard and specific goals, are a powerful motivating force.
 - a. In the proper conditions, they can lead to higher performance.
 - b. However, there's no evidence that such goals are associated with increased job satisfaction.

Reinforcement Theory

Reinforcement Theory is counter to goal-setting theory. It proposes that behavior is a function of its consequences.

1. Reinforcement theory argues that behavior is externally caused.
2. What controls behavior are **reinforcers**, which are consequences immediately following a response that increase the probability that the behavior will be repeated.
3. Reinforcement theory ignores factors such as goals, expectations, and needs.
4. It focuses solely on what happens when a person takes some action.
5. How can the concept of reinforcement be used to explain motivation?
 - a. People will most likely engage in a desired behavior if they are rewarded for doing so.
 - b. These rewards are most effective if they immediately follow a desired response.
 - c. Behavior that isn't rewarded or is punished is less likely to be repeated.
6. Managers can influence employees' behavior by reinforcing the work behaviors they desire.

Open Book Management

This is a motivational approach in which an organization's financial statements (the "books") are opened to and shared with all employees.

1. The goal of open-book management is to get employees to think like an owner by seeing the impact their decisions and actions have on financial results.
2. To be effective, employees have to be taught the fundamentals of financial statement analysis and what the numbers show.
3. The style of management demands for involvement of employees in all decision making for organization involving the transparency of financial statements.
4. Employees may be treated as business partners so productivity and profitability is enhanced.

Pay-for-performance programs are compensation plans that pay employees on the basis of some performance measure.

1. Performance-based compensation is probably most compatible with expectancy theory.
2. The increasing popularity of pay-for-performance programs can be explained in terms of both motivation and cost control.
3. Do pay-for-performance programs work? Studies seem to indicate that they do.

Integrating Contemporary Theories of Motivation

1. The basic foundation is the simplified expectancy model.
2. The model also considers the achievement-need, reinforcement and equity theories.
3. Rewards also play an important role in the model.

MOTIVATING KNOWLEDGE PROFESSIONALS LEADERSHIP TRAIT THEORIES**Motivating the “New Workforce i.e. Knowledge Professionals”**

Another current motivation issue revolves around motivating the “new workforce.” These special groups present unique motivational challenges to managers. These professionals possess specialty knowledge of markets, of customers, of supplier, of software, of hardware, of technology and are very important to run the organizations smoothly in 21st century.

Motivating professionals is one of these special challenges.

- a. Professionals are different from nonprofessionals and have different needs.
- b. Money and promotions are typically low on the motivation priority list for professionals. Job challenge is usually ranked high as is support and the feeling that they’re working on something important.

Special challenges in motivating professionals include their long-term commitment to their field of expertise, with greater loyalty to their profession than to their employer. Money and promotions are typically low on professionals’ priority list. Contingent workers lack the security that permanent employees have and do not identify with or display much commitment to the organization. Temporary workers also typically lack benefits such as health care and pensions. Low-skilled minimum-wage workers typically have limited education and skills; offering higher pay is usually not an option.

Leadership

The recognition of the important role that leadership plays in organizational performance is widely acknowledged by managers everywhere. Leadership is what makes things happen in organizations.

MANAGERS VERSUS LEADERS

There are distinctions between managers and leaders. Managers are appointed and have legitimate power within the organization.

Leaders are those persons who are able to influence others and who possess managerial authority.

Leadership, then, is the ability to influence a group toward the achievement of goals

How leaders influence others

Leadership, the foundation of the management function of leading, is the process of influencing others toward the achievement of organizational goals.

Power is the capacity to affect the behavior of others.

There are different types of power depending upon their sources originally identified by French and Raven.

1. **Legitimate power** stems from a position’s placement in the managerial hierarchy and the authority vested in the position.
2. **Reward power** is based on the capacity to control and provide valued rewards to others.
3. **Coercive power** is based on the ability to obtain compliance through fear of punishment.
4. **Expert power** is based on the possession of expertise that is valued by others.
5. **Information power** result from access to and control over the distribution of important information about organizational operations and future plans.
6. **Referent power** results from being admired, personally identified with, or liked by others.

The different types of power can engender different levels of subordinate motivation.

1. With commitment, employees respond enthusiastically and exert a high level of effort toward organizational goals.
 - a. Commitment is the most common outcome of referent power and expert power.
 - b. Commitment is least likely to result from the use of coercive power.
2. With compliance, employees exert at least minimal efforts to complete directives, but are likely to deliver average, rather than stellar, performance.
 - a. Compliance is the most likely outcome of the use of legitimate power, information power, and reward power.
 - b. Compliance is a possible outcome of coercive power if used in a helpful way or of referent power of expert power when some element of apathy is present.
3. With resistance, employees may appear to comply, but actually do the absolute minimum, possibly even attempting to sabotage the attainment of organizational goals.
 - a. Resistance is a likely outcome of coercive power.
 - b. Resistance is a possible outcome of other types of power if used inappropriately.
4. The effective manager is one who does not have to rely on a single power base but rather, has high levels of power in several (all if possible) of these six power types.

Searching for Leadership Traits

Researchers began to study leadership in the early part of the 20th century. These early theories focused on the leader (trait theories) and how the leader interacted with his/her group members (behavior theories).

- A. Trait Theories
 1. Research in the 1920s and 1930s focused basically on leader traits with the intent to isolate one or more traits that leaders possessed, but that non-leaders did not.
 2. Identifying a set of traits that would always differentiate leaders from non-leaders proved impossible.
- B. **Traits** are distinctive internal qualities or characteristics of an individual such as physical characteristics (e.g., height, weight, appearance, energy), personality characteristics (e.g., dominance, extroversion, originality), skills and abilities (e.g., intelligence, knowledge, technical competence), and social factors (e.g., interpersonal skills sociability, and socioeconomic position).
- C. A number of the early research attempts were reanalyzed in the 1950s and concluded that there is no set of traits which consistently distinguish leaders from non-leaders.
- D. Recent efforts suggest that the trait approach may have been abandoned prematurely.
 1. More sophisticated statistical techniques are now available.
 2. Several rather predictable traits have now been suggested such as:
 - a. intelligence
 - b. dominance
 - c. aggressiveness
 - d. decisiveness
- E. The question of whether traits can be associated with leadership remains open. Recent research work has looked at communication skills, human relations skills, resistance to stress, tolerance of uncertainty, and others.

BEHAVIORAL AND SITUATIONAL MODELS OF LEADERSHIP**Identifying Leader Behaviors**

A number of researchers have focused on the question of whether specific behaviors, rather than traits, make some leaders more effective than others.

1. If behavior studies turned up critical behavioral determinants of leadership, people could be trained to be leaders.
2. Four main leader behavior studies are carried out.
 - a. University of Iowa Studies—Kurt Lewin and associates—studied three leadership styles: autocratic, democratic, and laissez-faire.
 - b. The Ohio State Studies identified two important dimensions of leader behavior—initiating structure and consideration.
 - c. University of Michigan Studies identified two dimensions of leader behavior—employee oriented and production oriented.
 - d. The Managerial Grid is a two-dimensional grid for appraising leadership styles using “concern for people” and “concern for production” as dimensions.
3. Predicting leadership success involved more than isolating a few leader traits or behavior. This “failure” to attain consistent results led to a focus on situational influences.

University of Iowa researcher, Kurt Lewin, conducted some of the earliest attempts to identify effective leadership behaviors.

1. Three types of leadership behavior styles were identified.
 - a. **Autocratic** leaders tend to make unilateral decisions, dictate work methods, limit worker knowledge about goals to just the next step to be performed, and sometimes give feedback that is punitive.
 - b. **Democratic** leaders tend to involve the group in decision making, let the group determine work methods, make overall goals known, and use feedback as an opportunity for helpful coaching.
 - c. **Laissez-faire** leaders generally give the group complete freedom, provide necessary materials, participate only to answer questions, and avoid giving feedback.
2. Research on the comparative effectiveness of the three leadership styles was inconclusive.
 - a. The laissez-fair style was ineffective.
 - b. The effectiveness of the autocratic and democratic leaders varied, although satisfaction levels tended to be higher in the democratically led groups.

Michigan Studies

The Michigan studies compared leadership within groups already identified as effective or as ineffective.

1. A continuum was developed from employee-centered to job-centered approaches.
2. With the **employee-centered** approach, managers channel their main attention to the human aspects of subordinates' problems and to the development of an effective work group dedicated to high performance goals.
3. With the **job-centered** approach (or production-centered approach), leaders divide the work into routine tasks, determine work methods, and closely supervise workers to ensure that the methods are followed and productivity standards are met.
4. The outcomes of the study were mixed, but they sometimes showed that the high-producing work units tended to have job-centered supervisors.

Ohio State Studies

Researchers at the Ohio State University developed a questionnaire to measure leaders' behaviors and to correlate them with group performance and satisfaction.

1. Two behaviors were identified as particularly important.
 - a. **Initiating structure** is the degree to which a leader defines his or her own role and the roles of subordinates in terms of achieving unit goals.
 - b. **Consideration** is the degree to which a leader builds mutual trust with subordinates, respects their ideas, and shows concern for their feelings.
2. In contrast to the Iowa and Michigan studies, the two behaviors were considered to be independent variables and are best illustrated with separate continuums rather than the single continuum developed in the Iowa and Michigan studies.
3. The leader who is high in both initiating structure and consideration was thought to be the most effective, but further research indicated that such a generalization was too simplistic.

The Mouton-Blake Managerial Grid uses concern for people and concern for production as its two axes.

1. Used a training device, the grid enables managers to understand their own styles.
2. The manager high in concern for people and concern for production is the theoretical ideal. Research into male-female stereotypes of management styles do not hold. Most studies indicate that male and female leaders are similar in the amounts of interpersonal and task behaviors exhibited.

Situational Theories

- A. Lack of success in identifying an effective leadership style generalize-able to all situations led to consideration of situational factors—i.e., any particular style of leadership could be effective depending on the situation.
 1. **Situational theories** are theories that emphasize situations.
 2. Contingency theories are theories of leadership because they hold that appropriate leader traits or behaviors are contingent, or dependent, on relevant situational characteristics.
- B. **Fielder's contingency model** is a situational approach originally developed by Fred Fielder and his associates.
 1. A leader's **LPC orientation** is a personality trait measured by the least preferred coworker (LPC) scale.
 2. The LPC scale is a 1 to 8 rating by the leader of "the person with whom the leader can work least well."
 3. The interpretation of the scale has been controversial, but there is an orthodox interpretation at present.
 - a. Low-LPC leaders describe a least-preferred coworker in relatively negative terms and are likely to be task-motivated.
 - b. High-LPC leaders describe a least-preferred coworker in relatively positive terms and are likely to be people-motivated.
 4. Fielder maintains that management style or LPC orientation is difficult to change, so it is important to carefully match the leader's personality to situational factors that favor the leader's prospects for success.
 - a. The situation should be assessed to determine the degree of situational control for the leader.

1. The most important situational variable is leader-member relations, i.e., the extent to which the leader has the support of group members.
 2. Task structure is the extent to which a task is clearly specified with regard to goals, methods, and standards of performance.
 3. Position power is the amount of power that the organization gives the leader to accomplish necessary tasks.
- b. Leadership style should be matched with situation.
 - 1) Low-LPC leaders do best in situations of either high favorability or extremely low favorability.
 - 2) High-LPC leaders do best in situations of moderate favorability
5. Recent analyses are tending to support Fielder's original research do suggest that there are additional factors at work that are not accounted for in the contingency model.
- C. The **normative leadership model** is a model that helps leaders assess important situational factors that affect the extent to which they should involve subordinates in particular decisions.
1. Five types of management method for solving group problems are delineated.
 - a. Autocratic I (AI): You solve the problem or make the decision yourself using present information.
 - b. Autocratic II (AII): You obtain necessary information from subordinates without involving them in the decision, and make the decision yourself.
 - c. Consultative I (CI): You share the problem with the relevant subordinates individually, then you make a decision which may or may not be influenced by subordinates.
 - d. Consultative II (CII): You obtain ideas and suggestions from subordinates in a group session, but make the decision yourself.
 - e. Group II (GII): You share the problem with your subordinates as a group and coordinate their efforts to devise a solution.
 2. A decision about which method to use is guided by the answer to eight questions.
 - a. How important is the technical quality of this decision?
 - b. How important is subordinate commitment to this decision?
 - c. Do you have sufficient information to make a high-quality decision?
 - d. Is the problem well structured?
 - e. If you were to make the decision by yourself, is it reasonably certain that your subordinates would be committed to the decision?
 - f. Do subordinates share the organizational goals to be attained in solving this problem?
 - g. Is conflict among subordinates over preferred solution likely?
 - h. Do subordinates have sufficient information to make a high-quality decision?
 3. The revised normative leadership model can be used in either of two variations: when developing subordinates is more important than conserving time in decision making or when minimizing time is more important.
- D. The **situational leadership theory**, developed by Paul Hersey and Ken Blanchard, is on the premise that leaders need to alter their behaviors depending on the readiness of followers.
1. Two leader behaviors are considered to be independent dimensions.
 - a. Task behavior is the extent to which the leader engages in spelling out the duties and responsibilities of an individual or group.
 - b. Relationship behavior is the extent to which the leader engages in two-way or multi-way communication
 2. The four levels of readiness defined along a continuum from low to high readiness prescribe the appropriate leadership style.

- a. Telling is used in situations of low readiness, when followers are unable and also unwilling or too insecure to take responsibility for a given task.
 - b. Selling is used for low to moderate readiness, when followers are unable to take responsibility, but are willing or feel confident to do so.
 - c. Participating is used with moderate to high readiness, when followers are able to take responsibility, but are unwilling or too insecure to do so.
 - d. Delegating is used for high readiness, when followers are able and willing or confident enough to take appropriate responsibility.
3. Leaders should help increase the task-related readiness of their followers as quickly as feasible by adjusting their own leadership styles.
 4. Studies have found the situational theory of leadership particularly effective with newly hired employees and employees in new jobs.
 5. Recent analyses are tending to support Fielder's original research do suggest that there are additional factors at work that are not accounted for in the contingency model.

The **path-goal theory** of leadership attempts to explain how leader behavior impacts the motivation and job satisfaction of subordinates.

1. The theory gets its name from the fact that it focuses on how leaders influence the way that subordinates perceive work goals and possible paths to reaching both work goals (performance) and personal goals (intrinsic and extrinsic rewards).
2. Path-goal theory relies heavily on the expectancy theory of motivation.
3. Four major leader behaviors can be used to affect subordinate perceptions of paths and goals.
 - a. **Directive** leader behavior involves letting subordinates know what is expected of them, providing guidance about work methods, developing work schedules, identifying work evaluation standards, and indicating the basis for outcomes or rewards.
 - b. **Supportive** leader behavior entails showing concern for the status, well-being, and needs of subordinates; doing small things to make the work more pleasant; and being friendly and approachable.
 - c. **Participative** leader behavior is characterized by consulting with subordinates, encouraging their suggestions, and carefully considering their ideas when making decisions.
 - d. **Achievement-oriented** leader behavior involves setting challenging goals, expecting subordinates to perform at their highest level, and conveying a high degree of confidence in subordinates.

Situational factors must be taken into account when choosing a leader behavior.

1. Subordinate characteristics include personality traits, skills, abilities, and needs.
2. Context characteristics include the task itself, the work group, and the organization's formal authority system.

Diagnosis in terms of expectancy theory leads to a choice of appropriate leader behavior and involves three steps.

1. Think in terms of the elements used in expectancy theory to diagnose various situational factors in terms of their effects on the three expectancy-theory elements (the path).
 - a. Effort-performance is the probability that our efforts will lead to the required performance level.
 - b. Performance-outcome expectancy is the probability that our successful performance will lead to certain outcomes or rewards.
 - c. Valence is the anticipated value of the outcomes or rewards.
- 1) Diagnose situational factors that can be changed to enhance the expectancy theory elements are targeted.
- 2) Appropriate leader behaviors are initiated to change the situational factors.

Path-goal theory encompasses multiple leader behaviors and a potentially large number of situational variables. Its flexibility provides a useful framework about likely impacts of leader behavior on subordinate motivation, goal attainment, and job satisfaction.

STRATEGIC LEADERSHIP MODELS

CUTTING-EDGE APPROACHES TO STRATEGIC LEADERSHIP

The most current approaches to looking at leadership are discussed.

The research we've discussed has described transactional leader. What is the difference between transactional and transformational leaders?

1. **Transactional leaders** are leaders who guide or motivate their followers in the direction of established goals by clarifying role and task requirements.
2. **Transformational leaders** are leaders who provide individualized consideration and intellectual stimulation and possess charisma.
3. Transformational leadership is built on top of transactional leadership.
4. The evidence supporting the superiority of transformational leadership over the transactional variety is overwhelmingly impressive.
 - a. **Transformational leaders** motivate subordinates to perform at expected levels by helping them recognize task responsibilities, identify goals, acquire confidence about meeting desired performance levels, and understand how their needs and the rewards that they desire are linked to goal achievement.
 - b. **Transformational leaders** motivate individuals to perform beyond normal expectations by inspiring subordinates to focus on broader missions that transcend their own immediate self-interests, to concentrate on intrinsic higher-level goals (such as safety and security), and to have confidence in their abilities to achieve the extraordinary missions articulated by the leadership.
 - c. **Transformational leadership** is not a substitute for transactional leadership; it is an enhancement.
 - d. **Charisma** is the leader's ability to inspire pride, faith, and respect; to recognize what is really important, and to articulate effectively a sense of mission, or vision, that inspires followers.
 - Charisma was once thought to be an inborn personality trait.

Recent research attempts to identify behaviors which cause people to view a person as charismatic.

Charismatic-Visionary Leadership

Charismatic leadership theory is an extension of attribution theory and suggests that followers make attributions of heroic or extraordinary leadership abilities when they observe certain behaviors.

1. Five personal characteristics of charismatic leaders have been identified.
 - a. Have a vision
 - b. Are able to articulate that vision
 - c. Are willing to take risks to achieve that vision
 - d. Are sensitive to both environmental constraints and follower needs
 - e. Exhibit behaviors that are out of the ordinary
2. An increasing amount of research shows impressive correlations between charismatic leadership and high performance and satisfaction among followers.
3. Most experts think that individuals can be trained to exhibit charismatic behaviors.
4. Charismatic leadership may not always be needed to achieve high levels of employee performance. It may be most appropriate when an employee's job has a lot of ideological content.

Visionary leadership is described as going beyond charisma with the ability to create and articulate a realistic, credible, attractive vision of the future for an organization or organizational unit that grows out of and improves on the present.

1. If the vision is properly selected and implemented, it can be so energizing that it incites individuals to use their skills, talents, and resources to make it happen.
2. A vision differs from other forms of organizational direction in that it uses compelling imagery, taps into people's emotions and energy, and creates the enthusiasm that people need to bring energy and commitment to the workplace.
3. The key properties of a vision are that it has inspirational possibilities that are value centered, are realizable, have superior imagery, and are well articulated.
4. What skills do visionary leaders have?
 - a. The ability to explain the vision to others.
 - b. The ability to express the vision not just verbally but through behavior.
 - c. The ability to extend or apply the vision to different leadership contexts.

Another important contemporary issue for leaders is creating a culture of trust and credibility.

1. **Credibility** is the degree to which followers perceive someone as honest, competent, and able to inspire.
2. **Trust** is the belief in the integrity, character, and ability of a leader.
3. Research has identified five dimensions that make up the concept of trust.
 - a. Integrity (honesty and truthfulness)
 - b. Competence (technical and interpersonal knowledge and skills)
 - c. Consistency (reliability, predictability, and good judgment in handling situations)
 - d. Loyalty (willingness to protect a person, physically and emotionally)
 - e. Openness (willingness to share ideas and information freely)
4. Given the fact that many organizations have moved to self-managed work teams, trust is extremely important because many of the traditional control mechanisms have been removed.
5. How should leaders build trust? Here are eight suggestions.
 - a. Practice openness.
 - b. Be fair.
 - c. Speak your feelings.
 - d. Tell the truth.
 - e. Show consistency.
 - f. Fulfill your promises.
 - g. Maintain confidences.
 - h. Demonstrate competence.

Team Leadership

As the usage of work teams grows, the role of team leader becomes increasingly important.

1. The challenge for most managers is learning how to become an effective team leader.
2. Effective team leaders have mastered the difficult balancing act of knowing when to leave their teams alone and when to get involved.
3. There are two priorities for a team leader.
 - a. Managing the team's external boundaries
 - b. Facilitating the team process
4. These priorities can be broken down into four specific leadership roles.
 - a. Liaisons with external constituencies
 - b. Troubleshooters
 - c. Conflict managers
 - d. Coaches

Gender and Leadership

The next contemporary leadership issue we want to discuss is gender and leadership. This topic is one that still creates controversy! What, if any, differences exist between male and female leaders and what implications would these differences have?

1. The evidence generally has found that males and females *do* use different leadership styles.
 - a. Women tend to adopt a more democratic or participative style and a less autocratic or directive style than men do.
 - b. Women are more likely to encourage participation, share power and information, and attempt to enhance followers' self-worth.
 - c. Men are more likely to use a directive, command-and-control style.
 - d. Men rely on the formal authority of their position for their influence base.
 - e. Men use transactional leadership, handing out rewards for good work and punishment for bad.
2. Is different better? The best managers (leaders) listen, motivate, and provide support to their people. They inspire and influence rather than control. Generally speaking, women seem to do these things better than men.
3. However, gender doesn't imply destiny. Which leadership style is effective depends on the situation. Gender simply provides a behavioral *tendency* in leadership style.

UNDERSTANDING GROUP DYNAMICS IN ORGANIZATIONS

INTRODUCTION

Work groups are a common arrangement within today's business organizations. Work is being restructured around groups of all kinds and in all sizes of organizations. Managers need an understanding of group behavior and the concept of teams in order to appreciate what groups can and cannot do within organizations and how groups function.

Any one member in group can influence the behavior of the individuals in the group and teamwork. We will examine some basic characteristics of groups including the types of work groups, the development of informal groups, and the manner in which groups operate.

UNDERSTANDING GROUP BEHAVIOR

Groups exhibit different behavior—more than just the sum total of each group member's individual behavior. In this section, we're going to look at various aspects of group behavior.

What is a Group?

A **group** is defined as two or more interacting and interdependent individuals who come together to achieve particular objectives.

1. Groups differ from mere aggregates of individual because the latter have no interdependence, interaction, or common goal.
2. Groups differ from organizations because the latter involve systematic efforts and are engaged in the production of goods and services.
3. Teamwork occurs when groups are able to work efficiently and effectively together to achieve organizational goals.

There are a number of types of work groups

1. A **formal group** is a group officially planned and created by an organization for a specific purpose.
 - A **command** or **functional group** is a formal group consisting of a manager and all the subordinates who report to that manager.
 - 1) Each identifiable work group consisting of manager and subordinates is a command group.
 - 2) A linking is an individual who provides a means of coordination between command groups at two different levels by fulfilling a supervisory role in the lower-level group and a subordinate role in the higher-level group.
2. Informal groups are natural social formations that appear in the work environment. An **informal group** is a group that is established by employees, rather than by the organization, in order to serve group members' interests or social needs. Informal groups are unplanned groups.
 - a. An interest group is an informal group created to facilitate employee pursuits of common concern.
 - b. A friendship group is an informal group that evolves primarily to meet employee social needs.

Overview of Group Dynamics

Formal and informal work groups are becoming increasingly important competitive factors in organizations. Teamwork is the result of groups working together to effectively and efficiently achieving organizational goals. Formal groups include command and task groups. Informal groups include interest and friendship groups. A useful way to analyze groups is to view them as systems that use inputs, engage in various processes or transformations, and produce outcomes.

Principles of Management – MGT503 **VU** Managers can help bring about higher performance from formal work groups by weighing the characteristics of members they assign to particular groups. Group members should have task-relevant expertise and appropriate interpersonal skills. Also, it has been found, that a degree of diversity among group members usually adds to performance. Group training, particularly for diverse groups, has been found to be useful.

Members may be attracted to a group for a number of reasons including being attracted to or liking other members of the group, liking the activities of the group, the goals or purposes of the group, because the group satisfies an individual's need for affiliation, and/or because the group can help an individual achieve a goal outside the group. The absence of attraction can prevent the group from achieving high performance. Member roles in groups include group task roles, group maintenance roles, and self performance. Member roles in groups include group task roles, group maintenance roles, and self oriented roles. The size of the group has also been found to have significant bearing on the group's performance. Mid-sized groups, from five to seven members, seem to be an optimum size according to recent research. Smaller groups can often exacerbate individual differences. Large groups tend to be when working in groups than when working alone. Free riding is particularly likely when members exhibit individualism rather than collectivism. Managers can combat social loafing by several methods. Assign just enough people to do the work is one key method. Other methods include making each individual's work visible, providing for individual feedback, have people work with those the respect, have standards to actually measure group performance, and making rewards contingent on a combination of individual and group performance.

The work group processes usually result in greater or lesser performance than would occur if the individuals worked alone rather than as members of the group. This process is called synergy. Managers strive to have a positive synergy from the group rather than negative. Three key characteristics of the group help determine the synergy levels. These are group norms, group cohesiveness, and group development. Norms are the behaviors of group members that are acceptable to the group. Norms stem from explicit statements by supervisors and coworkers, critical events in a group's history, primacy, and carryover behaviors. Group cohesiveness has important consequences for group communication, satisfaction, performance, hostility and aggression toward other groups, and a group's willingness to innovate and change. Factors influencing the amount of cohesiveness in a group include whether or not members of the group share attitudes and values, the amount and severity of external threats to the group, whether or not the group experiences recognizable successes, the degree of difficulty encountered in joining the group, and the size of the group. One view of group development shows groups passing through five distinct stages: forming, storming, norming, performing, and adjourning. A group's performance varies depending on the stage it is in.

A special kind of group behavior is found in group meetings. Because of the considerable amount of time spent in meetings, it is important for managers to know how to maximize group meeting effectiveness. This chapter includes an excellent short guide for how managers can lead more effective group meetings. Groups can also help facilitate creativity and innovation in the organization. Some of the major mechanisms that organizations use to encourage the creative and innovative capacity of groups include the use of task forces, or ad hoc committees, and teams, particularly entrepreneurial and self-managing teams.

GROUP CONCEPTS, STAGES OF GROUP DEVELOPMENT AND TEAM EFFECTIVENESS**Work Group Inputs**

- A. Work group inputs are those that are necessary for the group to operate.
- B. The composition of a work group has a strong bearing on the group's ultimate success, so careful consideration should be made in making group assignments.
 - 1. Characteristics of members that influence group effectiveness include task-relevant expertise, interpersonal skills, and diversity in the makeup of the group to include sufficient individual skills and interest.
 - 2. Individuals may be attracted to a group because of friendships, interest in the activities of the group, shared values, the need for affiliation, and the need to fulfill objectives outside those of the group.
- C. An input into the group is the members' assumption of **roles**, set of behaviors expected of individuals who occupy particular positions in a group.
 - 1. **Group task roles** are roles that help a group develop and accomplish its goals.
 - a. The initiator-contributor proposes goals, suggests way of approaching tasks, and recommends procedures for approaching a problem or task.
 - b. The information seeker asks for information, view points, and suggestions about the problem or task.
 - c. The information giver offers information, viewpoints, and suggestions about the problem or task.
 - d. The coordinator clarifies and synthesizes various ideas in an effort to tie together the work of the members.
 - e. The orienter summarizes, points to departures from goals, and raises questions about discussion direction.
 - f. The energizer stimulates the group to higher levels of work and better quality.
 - 2. Group leaders often assume task roles.
 - 3. An **informal leader** is an individual, other than the formal leader, who emerges from a group, has major influence, and is perceived by group members as a leader.
- D. **Group Size** is an important input into the functioning of groups.
 - 1. The number of individuals in a group influences how the members interact.
 - a. Very small groups have a number of disadvantages.
 - 1) In two-person groups, or dyads, members are either at odds frequently or are extremely polite to avoid differences.
 - 2) Three-person groups frequently lead to two-against-one situations.
 - 3) Even-numbered groups often lead to deadlocks
 - b. Groups of five to seven are ideal because of enough input and the lack of deadlocks.
 - c. Large groups beyond seven and more so beyond eleven, pose difficulties.
 - 1) Interactions tend to become centralized to a few members.
 - 2) Overall group satisfaction declines.
 - 3) Interactions become too lengthy when complex issues are considered.
 - 2. Group performance stops rising and even possibly declines as group size increases.
 - a. Social loafing is the tendency of individuals to expend less effort when working in groups than when working alone.
 - b. Free riders are individuals who engage in social loafing in a group
 - c. **Individualism**, a condition where by personal interests are stronger than the needs of the group, often leads to social loafing.

- d. On the other hand, **collectivists** tend to put the good of the group before personal interest.
- e. To reduce the likelihood of social loafing, managers, may
 - 1) Assign just enough people to do the work
 - 2) Have each group member of different tasks
 - 3) Make each individual's work visible in some way
 - 4) Provide for individual feedback
 - 5) Having individuals work with people they respect
 - 6) Provide standards against which to measure how the group is doing
 - 7) Make rewards contingent on individual, as well as group performance
 - 8) Design interesting, challenging tasks, or select members committed to particular tasks.

Work Group Processes

- A. Group processes are the dynamic, inner workings of groups as they operate over a period of time.
 - 1. Process loss is the energy diverted from the task to develop and operate the group itself.
 - 2. **Positive synergy** is the force that results when the combined gains from group interaction (as opposed to individuals operating alone) are greater than group process losses.
 - 3. **Negative synergy** is the force that results when group process losses are greater than any gains achieved from combining the forces of group members.
- B. **Norms** are expected behaviors sanctioned by a group that regulate and foster uniformity in member behaviors.
 - 1. Work groups tend to develop and enforce norms related to certain central issues.
 - a. Groups develop norms regarding production processes.
 - b. Groups develop norms regarding informal social relationships, e.g., where to have lunch.
 - c. Groups develop norms regarding allocation of resources, e.g., materials, equipment, etc.
 - 2. Norms typically develop through one of four mechanisms.
 - a. Explicit statements made by supervisors and coworkers can provide information about expectations.
 - b. Critical events set precedents for the future.
 - c. Primacy is the phenomenon that the first behavior pattern that emerges in a group tends to establish group expectations.
 - d. Carryover behaviors are those that arise among individuals who have worked together in other groups.
- C. **Group cohesiveness** is the degree to which members are attracted to a group, are motivated to remain in the group, and are mutually influenced by one another.
 - 1. A high degree of cohesiveness in a group can have consequences on group performance.
 - a. Members tend to communicate more frequently and be more sensitive to one another, leading to greater job satisfaction.
 - b. Cohesiveness can also lead to giving more aid to other group member, a form of organizational citizenship.
 - c. Aggression among groups may arise.
 - 1) Within the same organization, competition may be helpful or detrimental.
 - 2) Competition with other organizations may have positive effects.
 - d. Performance levels may be either very high or very low, depending upon the group's norms and cohesiveness.
 - e. The group's openness to innovation may be very high or very low.
 - 2. A number of factors have a positive effect on group cohesiveness; they include:
 - a. Similar attitudes and values.
 - b. External threats

- c. Outstanding successes
- d. Difficulties encountered in joining a group
- e. Small group size

Stages of Groups Development

1. It has been proposed that groups progress through a series of five stages, but may regress with changes in membership.
 - a. Stage 1: **Forming** occurs as group members attempt to assess the ground rules that will apply to a task and to group interaction.
 - b. Stage 2: **Storming** occurs as group members experience conflict with one another as they locate and attempt to resolve differences of opinion regarding key issues.
 - c. Stage 3: **Norming** occurs as group members begin to build group cohesion, as well as develop a consensus about norms for performing a task and relating to one another.
 - d. Stage 4: **Performing** occurs as energy is channeled toward a task and as norms support teamwork.
 - e. Stage 5: **Adjourning** occurs as group members prepare for disengagement as the group nears successful completion of its goals.
2. Research indicates that these five stages apply primarily to newly formed, relatively unstructured groups.

Many organizational decisions are made by groups

1. Group decisions have certain advantages over individual decisions.
 - a. Provide more complete information.
 - b. Generate more alternatives.
 - c. Increase acceptance of a solution.
 - d. Increase legitimacy.
2. However, group decisions also have disadvantages.
 - a. Time consuming.
 - b. Minority domination.
 - c. Pressures to conform, which can lead to **groupthink**.
 - d. Ambiguous responsibility.
3. Effectiveness and Efficiency of Group Decision Making.
 - Are group decisions more effective? It depends on the criteria used for defining effectiveness.
 - a. Group decisions tend to be more accurate.
 - b. Individual decisions are quicker in terms of speed.
 - c. Group decisions tend to have more acceptances.
 - d. The effectiveness of group decisions tends to be influenced by the size of the group. Groups should not be too large.
 - e. Groups also are not as efficient as individual decision makers.
4. Techniques for Improving Group Decision Making.
 - a. **Brainstorming** is an idea-generating process that encourages alternatives while withholding criticism.
 - b. **Nominal group technique** is a group decision-making technique in which group members are physically present but operate independently.
 - c. **Electronic meetings** are one way that decision-making groups can interact by way of linked computers.

TURNING GROUPS INTO EFFECTIVE TEAMS

Work teams are formal groups made up of interdependent individuals, responsible for attaining goals. Organizations are increasingly designing work around teams rather than individuals. Why?

Most of us are probably familiar with the concept of a team. However, we may not be as familiar with work teams. All work teams are groups, but only formal groups can be work teams.

There are different types of teams. Four characteristics can be used to distinguish different types of teams.

1. Teams can vary in their *purpose or goal*.
2. The *duration* of a team tends to be either permanent or temporary.
3. *Team membership* can be either functional or cross-functional.
4. Finally, teams can either be *supervised or self-managed*.
5. Given these four characteristics, some of the most popular types of teams used today include the following:
 - a. A **functional team** is a type of work team that is composed of a manager and his or her subordinates from a particular functional area.
 - b. A **self-directed or self-managed team** is one that operates without a manager and is responsible for a complete work process or segment that delivers a product or service to an external or internal customer.
 - c. A **virtual team** is one that uses computer technology to link physically dispersed members in order to achieve a common goal.
 - d. Finally, a **cross-functional team** is one in which individuals who are experts in various specialties (or functions) work together on various organizational tasks.

DEVELOPING AND MANAGING EFFECTIVE TEAMS

Teams aren't automatically going to magically perform at high levels. We need to look more closely at how managers can develop and manage effective teams.

There are eight characteristics associated with effective teams.

1. Clear goals
2. Relevant skills
3. Mutual trust
4. Unified commitment
5. Good communication
6. Negotiating skills
7. Appropriate leadership
8. Internal and external support

What's involved with managing teams?

1. In planning, it's important that teams have clear goals and that these goals be clear to and accepted by every member of the team.
2. Organizing tasks associated with managing a team include clarification of authority and structural issues.
3. Leading issues include such things as determining what role the leader will play, how conflict will be handled, and what the best communication process is.
4. Two important controlling issues include how to evaluate the team's performance and how to reward team members.

One popular approach to group incentive plans is **gain-sharing**, which is a program that shares the gains of the efforts of group members with those group members.

Principles of Management – MGT503 VU In conclusion, a **TEAM** is a temporary or ongoing task group whose members are charged with working together to identify problems, form a consensus about what should be done, and implement necessary actions in relation to a particular task or organizational area.

1. Teams differ from task forces in two ways.
 - a. Teams identify problems rather than merely reacting to problems identified by others.
 - b. Teams decide on a course of action and implement it, rather than leaving the implementation to others.
2. Teams are widely used today and are often, but not always, task groups from across command groups.
3. An **entrepreneurial team** is a group of individuals with diverse expertise and backgrounds who are brought together to develop and implement innovative ideas aimed at creating new products or services or significantly improving existing ones.
4. **Self-managed teams**, or autonomous work groups, are work groups given responsibility for a task area without day-to-day supervision and with authority to influence and control both group membership and behavior.
 - a. Assessment of the situation is critical in that self-managing teams are not successful in all situations.
 - b. Group makeup and proper allocation of needed resources is important.
 - c. Team training and guidance in cultivating appropriate norms are important.
 - d. Managers need to remove performance obstacles and assistance to help the group continue to learn.

Managing Conflict in Groups

- A. **Conflict** is a process in which one party perceives that its interests are being opposed or adversely affected by one or more other parties.
- B. Conflict can have constructive as well as destructive consequence.
 1. Conflict can delay projects, drive up costs, and cause valued employees to leave.
 2. Conflict can highlight areas for improvement, promote constructive changes, enhance morale and cohesiveness, and encourage new ideas.
- C. There are a number of causes of conflict.
 1. Two types of task interdependence can lead to conflict.
 - a. Sequential interdependence occurs when one individual or work unit is heavily dependent on another.
 - b. Reciprocal interdependence occurs when individuals or work units are mutually interdependent.
 2. Scarcity of resources can lead to conflict.
 3. Goals of different organizational members may be incompatible.
 4. Communication may fail due to distortions or lack of communication.
 5. Differences in personality, experience, and values may breed conflict.
 6. Poorly designed reward systems may foster competitions when cooperative behavior is necessary for organizational success.
- D. Managers may use a number of approaches to reduce and resolve conflict.
 1. Conflict-producing factors in a situation can be changed.
 2. One of five interpersonal modes may be adopted to resolve conflicts.
 - a. **Avoidance** involves ignoring or suppressing a conflict in the hope that it will either go away or not become too disruptive.
 - b. **Accommodation** focuses on solving conflicts by allowing the desires of the other party to prevail.
 - c. **Competition** involves attempting to win a conflict at the other party's expense.
 - d. **Compromise** aims to solve conflict issues by having each party give up some desired outcomes in order to get other desired outcomes.
 - e. **Collaboration** involves devising solutions that allow both parties to achieve their desired outcomes.

UNDERSTANDING MANAGERIAL COMMUNICATION

INTRODUCTION

Communication between managers and employees provides the information necessary to get work done effectively and efficiently in organizations. In this and following lecture, basic concepts in managerial communications will be presented including: the interpersonal communication process, methods of communicating, barriers to effective communications and ways to overcome these barriers, communication flow and communication networks, and contemporary issues and challenges associated with electronic communications and information technology.

The Nature of Managerial Communication

- A. **Communication** is the transfer and understanding of meaning.
 - 1. If no information or ideas have been conveyed or transferred, communication hasn't taken place.
 - 2. For communication to be successful, the meaning must be imparted and understood.
- B. Good communication does not require agreement with the message; just clear understanding of the message.
- C. Managerial communication encompasses both **interpersonal communication** (between two or more people) and **organizational communication** (all the patterns, networks, and system of communication within an organization).
- D. **Communication** and associated **interpersonal processes** are important ingredients of organizational effectiveness.
- E. **Communication** is the exchange of messages between people for the purpose of achieving common meanings.
- F. Managers use two types of communication in their work.
 - 1. **Verbal communication** is the use of words to communicate.
 - a. Written communication includes letters, memoranda, reports, newsletters, policy manuals, etc.
 - b. Disadvantage includes the fact that the conversations may be time-consuming and difficult to terminate, and that additional time may have to be spent to document what was said.\
 - 2. **Nonverbal communication** is communication by means of elements and behaviors that are not coded into words.
 - 3. **Nonverbal Communication** is communication transmitted without words. The best-known types of nonverbal communication are body language and verbal intonation.
 - a. **Body language** refers to gestures, facial expressions, and other body movements that convey meaning.
 - b. **Verbal intonation** refers to the emphasis someone gives to words or phrases that convey meaning.

The communication process can be analyzed into its basic components

- 1. The **sender** is the initiator of the message.
- 2. **Encoding** is the process of translating the intended meaning into symbols.
 - a. Symbols include words and gestures.
 - b. The sender's choice of symbols depends upon
 - 1) Sender encoding skills.
 - 2) Assessments of the ability of the intended receiver to understand various symbols
 - 3) Judgments regarding the appropriateness of the use of certain symbols
 - 4) Past experience in similar situations
 - 5) Job status and education
 - 6) Emotional state at the time of the communication attempt

3. The **message** is the encoding-process outcome, which consists of verbal and nonverbal symbols that have been developed to convey meaning to the receiver.
 - a. The **medium** is the method used to convey the message to the intended receiver, e.g., telephone, meeting, formal report.
 - b. Factors to consider when selecting a medium include relative speed, cost, intelligibility, convenience, timing, flow of communication, feedback options, interpersonal dynamics, and documentation.
4. The **receiver** is the person with whom the message is exchanged.
 - a. **Decoding** is the process of translating the symbols into the interpreted message.
 - 1) Effective communication results in the senders and receivers achieving a common meaning.
 - 2) The receiver needs to consider the medium and the context of the message.
 - b. **Noise** is any factor in the communication process that interferes with exchanging messages and achieving common meaning.
 - c. **Feedback** is the basic response of the receiver to the interpreted message.
 - 1) The receiver becomes the sender during feedback.
 - 2) Feedback provides preliminary information to the sender about the success of the communication.
 - 3) **One-way communication** is the communication that results when the communication process does not allow for feedback.
 - 4) **Two-way communication** is the communication that results when the communication process explicitly includes feedback.

Barriers to Effective Interpersonal Communication

1. **Filtering** is the deliberate manipulation of information to make it appear more favorable to the receiver.
 - a. As information is communicated up through the organizational levels, it's condensed and synthesized, and those doing the condensing filter communication through their personal interests and perceptions of what is important.
 - b. The more that organizational cultural reward emphasizes style and appearance, the more that managers will be motivated to filter communications in their favor.
2. **Selective perception** is when people selectively interpret what they see or hear on the basis of their interests, background, experience, and attitudes.
3. **Emotions** influence how a receiver interprets a message when it is received. It's best to avoid reacting to a message when the receiver is upset because he/she is not likely to be thinking clearly.
4. **Information overload** happens when the information we have to work with exceeds our processing—such as 600 waiting e-mail messages in the inbox.
 - a. Receivers tend to select out, ignore, pass over, or forget information when they have too much information.
 - b. Or, receivers may put off further processing until the overload situation is over—still ineffective communication.
5. **Defensiveness**—engaging in behaviors such as verbally attacking others, making sarcastic remarks, being overly judgmental, and questioning others' motives—happens when people feel that they're being threatened.
6. **Language**—words mean different things to different people.
 - a. Age, education, and cultural background can influence language use and definition given to words
 - b. **Jargon** is specialized terminology or technical language that members of a group use to communicate among themselves.

7. **National culture** can affect the way a manager chooses to communicate.

Overcoming the Barriers to Effective Interpersonal Communication

1. Use feedback. This feedback can be verbal or nonverbal.
2. Simplify language.
3. Listen actively.
 - a. Listening is an active search for meaning, whereas hearing is passive.
 - b. **Active listening** is listening for full meaning without making premature judgments or interpretations, and demands total concentration.
 - c. Active listening is enhanced by developing empathy with the sender—placing yourself in the sender's position.
 - d. Emotions: The simplest answer is for a manager to refrain from communicating until he/she has regained composure.
4. Watch nonverbal cues—actions speak louder than words.

ORGANIZATIONAL COMMUNICATION

Formal versus Informal Communication

1. **Formal communication** refers to communication that follows the official chain of command or is part of the communication required to do one's job.
2. **Informal communication** is organizational communication that is not defined by the organization's structural hierarchy.
 - a. Informal communication systems permit employees to satisfy their needs for social interaction.
 - b. Informal communication systems can improve an organization's performance by creating alternative, and frequently faster and more efficient, channels of communication.

Direction of Communication Flow

1. **Downward communication**—flows from a manager to employees and is used to inform, direct, coordinate, and evaluate employees.
2. **Upward communication** flows from employees to managers
 - a. Upward communication can be used in order to keep managers aware of how employees feel about their jobs, their coworkers, and the organization in general.
 - b. The organizational culture influences the extent of upward communication. A climate of trust, respect, and participative decision making will encourage considerable upward communication. A highly mechanistic and authoritarian environment will severely limit upward communication in both style and content.
3. **Lateral communication** takes place among employees on the same organizational level.
4. **Diagonal communication** is communication that cuts across both work areas and organizational levels.
 - a. The increased use of e-mail facilitates diagonal communications.
 - b. Diagonal communication has the potential to create problems if employees don't keep their managers informed.

COMMUNICATION NETWORKS AND CHANNELS EFFECT OF ICT ON MANAGERIAL COMMUNICATION

As organizational workforces become more and more diverse and widespread throughout the world, communication issues increase in importance.

Organizational communication network

It is the pattern of information flow among task group members.

Five major network structures have been identified.

1. The three centralized networks are structured so that most messages must flow through a pivotal person in the network.
 - a. In the wheel network, all messages must flow through the individual at the center of the wheel.
 - b. In the chain network, some members can communicate with more than one member of the network, but the individual in the center of the chain still tends to control the messages.
 - c. In the Y network, the member at the fork of the “Y” usually becomes the central person in the network.
2. The two decentralized networks permit freer communication among the various members.
 - a. In the circle network, each member can communicate with the individual on either side.
 - b. In the star network, each member can communicate with any other member.
3. Some general differences have been found between the centralized and the decentralized types of networks.
 - a. Effective performance is a function of type of network and type of tasks undertaken.
 - 1) The centralized networks were usually faster and more accurate at performing simple, routine tasks.
 - 2) The decentralized networks were usually faster and more accurate at performing complex tasks.
 - b. Group moral in the decentralized networks was consistently higher than in the centralized, regardless of task assignment.

Organizational communication channels

- A. **Communication channels** are various patterns of organizational communication flow that represent potential established conduits through which managers and other organization members can send and receive information.
- B. **Vertical communication** is a communication that flows from a higher level to one or more lower levels in the organization.
 1. **Downward communication** is a vertical communication that flows from a higher level to one or more lower levels in the organization.
 - a. Most downward communication involves information in one of five categories:
 - 1) Job instructions related to specific tasks.
 - 2) Job rationales explaining the relationship between a task and other organizational tasks.
 - 3) Procedures and practices of the organization.
 - 4) Feedback on individual performance on assigned tasks.
 - 5) Efforts to encourage a sense of mission and dedication to the goals of the organization.
 - b. Downward communication is prone to distortion.

- 1) Faulty message transmission may occur because of sender carelessness, poor communication skills, and the difficulty of encoding a message for a number of receivers.
- 2) Overuse of one-way communication methods means that manager get no feedback
- 3) Filtering of communication may occur through withholding, screening, or manipulating information to enhance personal power.
- c. The effectiveness of downward communication can be increased by using multiple channels, by repeating the message, and by encouraging feedback.
2. **Upward communication** is the vertical flow of communication from a lower level to one or more higher levels in the organization.
 - a. Forms of upward communication include individual and group meetings with superiors, memos and reports, suggestion systems, grievance procedures, and employee attitude surveys.
 - b. The information disseminated through upward communication typically pertains to:
 - 1) Progress of current work projects
 - 2) Serious unsolved problems and situations in which subordinates need help from superiors.
 - 3) New developments arising within or affecting the work unit or organization suggestions for improvements and innovations.
 - 4) Employee attitudes, morale, and efficiency
 - c. Upward communication can be distorted.
 - 1) Subordinates filter information that they send upward.
 - 2) Managers do not expend enough effort to encourage upward communication.
 - d. **Management by wandering around (MBWA)** is a practice whereby managers frequently tour areas for which they are responsible, talk to various employees, and encourage upward communication.
- C. **Horizontal communication** is lateral or diagonal message exchange either within work-unit boundaries, involving peers who report to the same supervisor, or across work-unit boundaries, involving individuals who report to different supervisors.
 1. Horizontal communication can take the form of meetings, reports, memos, telephone conversations, and face-to-face discussions.
 2. Horizontal communication usually relates to:
 - a. Task coordination
 - b. Problem solving
 - c. Information sharing
 - d. Conflict resolution
 - e. Peer support
 3. There are three impediments to necessary, work-related horizontal communication.
 - a. Rivalry among individuals or work units may cause individuals to hide information.
 - b. Specialization may cause individuals to be concerned mainly about the work of their own unit and to have little appreciation for the work and communication needs of others.
 - c. Motivation may be lacking when subordinate horizontal communication is not encouraged or rewarded.
- D. **Informal communication**, better known as “the **grapevine**,” is communication that takes place without regard to hierarchical or task requirements.
 1. Informal communication within organizations differs from formal communication.

- a. **Formal communication** is vertical and horizontal communication that follows paths specified by the official hierarchical organization structure and related task requirements.
 - b. Formal communication relates to position in the organization; informal communication depends upon personal relationships.
2. Grapevines can be configured in a number of ways.
 - a. In the single-strand chain, communication moves serially from person A to B to C and so on.
 - b. With the gossip chain, person A seeks out and tells others.
 - c. When following the probability chain, person A spreads the message randomly, as do individuals F and D.
 - d. In the cluster chain, the most predominant form, person A tells three selected individuals, and then one of these tells three others.
 3. Grapevines have a number of characteristics.
 - a. They are fast.
 - b. The data produced ranges from 50 to 90 percent accurate.
 4. Grapevines are most harmful when they carry false rumors and gossip.
 5. Grapevines might serve positive organizational purposes.
 - a. They may serve to transmit organizational rules, values, and morals.
 - b. They may serve to disseminate organizational traditions and history.
 - c. They may help to reinforce formal messages, to test new proposals, and to obtain feedback about employee feelings and ideas.
 - d. They may help to foster innovation by facilitating communication among various parts of the organization.

How Technology Affects Managerial Communication

Two developments in information and communication technology seem to be having the most significant impact on current managerial communication: networked computer systems and wireless capabilities.

Networked Systems

1. An **electronic mail system** is a mail system that allows high-speed exchange of written messages through the use of computerized text-processing and communication networks.
 - a. Electronic mail has advantages.
 - 1) It is a time-saver.
 - 2) It leads to exchanges of information among managers who previously did not communicate.
 - 3) Managers tend to receive new types of information through these systems.
 - b. Electronic mail has a couple of disadvantages.
 - 1) It eliminates the nonverbal cues that serve as aids in face-to-face communication.
 - 2) It is easy to vent anger and frustrations over email that would never be communicated through regular written communication channels.
 - 3) It leads to an excess of irrelevant mail.
2. **Voice mail** is the recording systems which enable senders to leave messages for receivers by telephone.
 - a. Some nonverbal cues are sent, such as voice quality and tone.
 - b. It is particularly suited for short messages that require no further discussions or feedback.
3. **Teleconferencing** is the simultaneous communication among a group by telephone or via computer using specially designed software. The software is often referred to a “groupware.”

- a. Meeting can be held while members are not in the same location.
 - b. Each group member has access to their own computer which is linked to a network and to an overhead projector.
 - c. Messages are anonymous.
 - d. Most, and sometimes all, communication is done through the computers.
 - e. These systems have incredibly high speeds and, usually, very high success rates.
4. **Videoconferencing** is the holding of meetings with individuals in two or more locations by means of closed-circuit television.
- 1) It is synchronous, meaning that senders and receivers can engage in simultaneous communication of the type associated with face-to-face conversation.
 - 2) It is fast.
5. **Electronic data interchange (EDI)** is a way for organizations to exchange standard business transaction documents, such as invoices or purchase orders, using direct computer-to-computer networks.
6. **Intranet** systems are organizational communication networks that use Internet technology and are accessible only by organizational employees.
7. **Extranet** systems are organizational communication networks that use Internet technology and allow authorized users inside the organization to communicate with certain outsiders such as customers and vendors.

Wireless Capabilities

Wireless communication depends on signals sent through air or space without any physical connection using things such as microwave signals, satellites, radio waves and radio antennas, or infrared light rays.

How Information Technology Affects Organizations

1. Communication and the exchange of information among organizational members are no longer constrained by geography or time.
2. However, managers must not forget to address the psychological drawbacks such as the cost of an employee being constantly accessible, pressure to “check in” even during off hours, and the separation of work lives and personal lives.

CONTROLLING AS A MANAGEMENT FUNCTION**Introduction and Overview of Controlling**

Regardless of the thoroughness of the planning done, a program or decision still may be poorly or improperly implemented without a satisfactory control system in place.

Controlling is that process of regulating organizational activities so that actual performance conforms to expected organizational goals and standards. While interrelated with all of the other management functions, a special relationship exists between the planning function of management and controlling. Planning, essentially, is the deciding of goals and objectives and the means of reaching them. Controlling lets manager tell if the organization is on track for goal achievement, and if not, why not. A well-developed plan should provide benchmarks that can be used in the control process.

Controls serve other important roles including helping managers cope with uncertainty, detecting irregularities, identifying opportunities, handling complex situations, and decentralizing authority. Like planning, controlling responsibilities differ by managerial level with control responsibilities paralleling planning responsibilities at the strategic, tactical, and operational level.

There are several major steps usually identified in the basic control process. These are, in order, determining the areas to be controlled, establishing the appropriate standards, measuring performance, comparing the performance against standards, recognizing performance if standards are met or exceeded or take corrective actions as necessary if not, and adjusting either/or standards and measures as necessary. Of course it would be impossible to control all activity in an organization. Consequently, it is important for the manager to decide which activities should have the control process applied. Argues that managers need to consider controls mainly in areas in which they depend on others for resources necessary to reach organizational goals. Four conditions help delineate when controls should be used. These are having a high dependence on the resource, having a high expectation that the resource flows would be unacceptable without proper controls, that the instituting of a control process would be feasible, and that the total control process costs would be within the acceptable range.

Timing is one of the bases for differentiating control systems. Some major control types are based on timing. These include feed forward controls, concurrent controls, and feedback controls. These are terms which are unfamiliar to many students and special note needs to be made in reviewing this material. A variety of these types of control is frequently used in multiple control systems and usually involve non-cybernetic. Cybernetic controls involve little, if any, human discretion as part of the system. Rather, it is a self-regulating system that, once put into operation, can automatically monitor the situation and take corrective action when necessary. Non-cybernetic systems, on the other hand rely on human discretion as a basic part of its process.

In addition to deciding the types of controls to use, managers also have the options regarding the mechanisms to be used to implement controls. The three basic approaches are bureaucratic, clan, and market. Bureaucratic controls rely on regulation through rules, policies, supervision, budgets, schedules, reward systems, and other administrative mechanisms aimed at ensuring acceptable behavior and performance. Clan controls rely on the values, beliefs, traditions, corporate culture, shared norms, and informal relationships to regulate behavior and to facilitate the reaching of organizational goals. The market controls have a somewhat more limited application in organizations than do bureaucratic or clan controls; all three approaches are likely to be used to some extent. Market controls rely on market mechanisms to regulate prices for certain goods and services used by the organization.

There are some potential dysfunctional aspects of control systems the manager must consider. Behavioral displacement, game playing, operating delays, and negative attitudes are some of these. To decrease the likelihood of the effects, managers need to avoid engaging in either over-control or under-control. To be

Control as a management process

- A. **Controlling**, one of the four major functions of POLCA management, is the process of regulating organizational activities so that actual performance conforms to expected organizational standards and goals.
 - 1. Controlling is largely geared to ensuring that the behavior of individuals in the organization contributes to reaching organizational goals.
 - 2. Controls encourage wanted behaviors and discourage unwanted behaviors.
- B. A **control system** is a set of mechanisms that are designed to increase the probability of meeting organizational standards and goals.
- C. Controls can play five important roles in organizations.
 - 1. Control systems enable managers to cope with uncertainty by monitoring the specific activities and reacting quickly to significant changes in the environment.
 - 2. Controls help managers detect undesirable irregularities, such as product defects, cost overruns, or rising personnel turnover.
 - 3. Controls alert managers to possible opportunities by highlighting situations in which things are going better than expected.
 - 4. Controls enable managers to handle complex situations by enhancing coordination within large organizations.
 - 5. Controls can decentralize authority by enabling managers to encourage decision making at lower levels in the organization while still remaining in control.
- D. Control responsibilities differ according to managerial level.
 - 1. **Strategic control** involves monitoring critical environmental factors that could affect the viability of strategic plans, assessing the effects of organizational strategic actions, and ensuring that strategic plans are implemented as intended.
 - a. Strategic control is typically the domain of top-level managers who must insure core competencies are developed and maintained.
 - b. Long time frames are involved, although shorter time frames may be appropriate in turbulent environments.
 - 2. **Tactical control** focuses on assessing the implementation of tactical plans at departmental levels, monitoring associated periodic results, and taking corrective action as necessary.
 - a. Tactical control is primarily under the direction of middle managers, but top-level managers may at times get involved.
 - b. Time frames are periodic, involving weekly or monthly reporting cycles.
 - c. Tactical control involves department-level objectives programs, and budgets.
 - 3. **Operational control** involves overseeing the implementation of operating plans, monitoring day-to-day results, and taking corrective action when required.
 - a. Operational control is the responsibility of lower-level managers.
 - b. Control is a day-to-day process.
 - c. The concern is with schedules, budgets, rules, and specific outputs of individuals.
 - 4. For controls and three levels to be effective they must operate in concert with one another.

The Control Process

- A. The basic process used in controlling has several major steps. 1. Determine areas to control.

- a. It is impractical, if not impossible, to control every aspect of an organization's activities.
 - b. Major controls are based on the organizational goals and objectives developed during the planning process.
2. Develop standards spelling out specific criteria for evaluating performance and related employee behaviors.
 - a. Standards are often incorporated into the objectives set in the planning process.
 - b. Standards serve three main purposes related to employee behavior.
 - 1) Standards help employee understand what is expected and how their work will be evaluated.
 - 2) Standards provide a basis for detecting job difficulties that are related to personal limitations of organization members.
 - 3) Standards help reduce the potential negative effects of **goal incongruence**, a condition in which there are major incompatibilities between the goals of an organization member and those of the organization.
 3. Make a decision about how and how often to measure performance related to a given standard.
 - a. MBO is a popular technique for coordinating the measurement of performance throughout an organization.
 - b. The means of measuring performance depends upon the performance standards that have been set, as well as data, such as units produced, quality of output, or profits.
 - c. Most organizations use combinations of both quantitative and qualitative performance measures.
 - d. The period of measurement usually depends upon
 - 1) The importance of the goal to the organization
 - 2) How quickly the situation is likely to change
 - 3) The difficulty and expense of rectifying a problem if one were to occur
 4. Compare performance against standards.
 - a. Reports that summarize planned versus actual results are often developed.
 - b. **Management by exception** is a control principle which suggests that managers should be informed of a situation only if control data show a significant deviation from standards.
 - c. Managers may compare performance and standards through personal observation.
 - d. The 360-degree feedback system described in chapter 10 is being used by a number of organizations as an evaluation approach.
 5. Recognize above-standard performance both to give precognition to top performing employees and also to aid improving performance on regular bases.
 6. Assess the reason why standards are not met, and take corrective action.
 7. Adjust standards and measures as necessary.
 - a. Standards and measures need to be checked for relevance.
 - b. Managers must decide whether the cost of meeting certain standards is worth the resources consumed.
 - c. Exceeding a standard may signal opportunities, the potential to raise standards, and/or the need for possible adjustments in organizational plans.
- B. Managers can take a number of approaches to deciding what to control.
1. **Resource dependence** is an approach based on the view that managers need to consider controls mainly in areas in which they depend on others for resources consider control mainly in areas in which they depend on others for resources necessary to reach organizational goals.
 - a. **Strategic control points** are performance areas chosen for control because these are particularly important in meeting organizational goals.
 - b. Strategic control points meet four conditions.
 - 1) Dependence on a resource is high because the resource is important and limited in availability.

- 2) The probability that the expected resource flow will be unacceptable is high because of anticipated problems with quantity, quality, or timeliness.
 - 3) Instituting a control system is feasible.
 - 4) The cost of instituting the control system is acceptable.
2. Managers need to develop an alternative to controls if they are needed, but cannot be instituted due to problems of feasibility or cost.
 - a. The dependence relationship can be changed so that controls are unnecessary, e.g., lining up several suppliers.
 - b. The nature of the dependence relationship can be changed so that a control system is feasible and/or cost-effective, e.g., job simplification or vertical integration.
 - c. Organizational goals can be changed so that the resources in question are no longer necessary.

REVISITING CONTROL PROCESS

Let us take the **control process** as the three-step process of measuring actual performance, comparing it against a standard, and taking managerial action to correct deviations or inadequate standards.

B. Measuring.

Measuring is the first step in the control process.

1. *How we measure* is done through four common sources of information that managers use. Each of these sources has its own advantages and drawbacks.
 - a. Personal observation
 - b. Statistical reports
 - c. Oral reports
 - d. Written reports
2. *What we measure* is probably more critical than the how. Both objective and subjective measures are used.

C. Comparing is the next step in the control process.

1. It determines the degree of variation between *actual* performance and the standard.
2. It's critical to determine the **range of variation**, which are the acceptable parameters of variance between actual performance and the standard.

D. Taking managerial action is the final step in the control process. Although the manager might decide to “do nothing,” two other alternatives are possible.

1. *Correct actual performance.* Once the manager has decided to correct actual performance, he or she has another decision to make.
 - a. Take **immediate corrective action**, which is correcting an activity at once in order to get performance back on track.
 - b. Take **basic corrective action**, which is determining how and why performance has deviated and correcting the source of deviations.
 - c. The action taken will depend on the cost/benefit of doing so.

2. *Revise the standard.* If the standard was set too high or too low, a manager may decide to revise

it. D. Summary of Managerial Decisions.

The control process is a continuous flow between measuring, comparing, and managerial action.

Designing Control Systems

Since control is the process of monitoring activities to ensure they are being accomplished as planned and of correcting any significant deviations. There are three different approaches to designing organizational control systems.

- A. **Market control** is an approach that emphasizes the use of external market mechanisms to establish the standards used in the control system.
- B. **Bureaucratic control** is an approach that emphasizes organizational authority and relies on administrative rules, regulations, procedures, policies, standardization of activities, well-defined job descriptions, and other administrative mechanisms to ensure that employees exhibit appropriate behaviors and meet performance standards.
 1. Bureaucratic control has advantages.
 - a. Unlike market control, bureaucratic control does not require that all requirements be specified in advance.
 - b. Bureaucratic control is useful for keeping recurring, relatively predictable activities running smoothly.
 - c. Bureaucratic control focuses on doing the job and aids extrinsic reward systems.
 2. Bureaucratic control has disadvantages.
 - a. Innovation is not encouraged.
 - b. Needed changes may be inhibited.
 - c. Employees tend to comply with regulations rather than committing to a course of action.
- C. **Market control** relies on market mechanisms to regulate prices for certain clearly specified goods and services needed by an organization.
 1. Two conditions must hold if market control is to be used.
 - a. There must be a reasonable level of competition in the goods or service area.
 - b. It must be possible to specify requirements clearly.
 2. Market controls may be used to regulate internal operations as well as external relations.
 - a. Profit centers, e.g., photocopying centers, are set up and charge other departments for their services.
 - b. The intra-organizational use of market controls is limited because the conditions of competitiveness and specificity or requirements may not hold.

The use of market controls is increasing. For example, **outsourcing**, using outside vendors to perform services normally carried out within the organization, is becoming a more common practice.

- D. **Clan control** is an approach to designing control systems in which employee behaviors are regulated by the shared values, norms, traditions, rituals, beliefs, and other aspects of the organization's culture.

Clan control relies on values, beliefs, traditions, corporate culture, shared norms and information relationships to regulate employee behaviors and facilitate the reaching of organizational goals.

 1. Clan control differs from bureaucratic control.
 - a. Internal motivation is emphasized.
 - b. Duties are flexible and tasks are broadly defined.
 - c. Influence is based on relevant information and expertise, rather than upon position in the hierarchy.
 2. A primary advantage of clan control is that it is conducive to innovation.

CONTROLLING ORGANIZATIONAL PERFORMANCE THROUGH PRODUCTIVITY AND QUALITY**Types of Controls**

- A. Controls can be classified according to their timing or place in the productive cycle.
 - 1. **Feed forward control** focuses on the regulation of inputs to ensure that they meet the standards necessary for the transformation process.
 - a. The emphasis is upon preventing problems.
 - b. Other names for feed forward control are “preliminary control,” “pre-control,” “preventative control” and “steering control.”
 - 2. **Concurrent control** involves the regulation of ongoing activities that are part of the transformation process to ensure that conform to organizational standards.
 - a. Checkpoints are in place to determine whether to continue the process, take corrective action, or stop worked altogether.
 - b. Other names for concurrent control are “screening” and “yes-no control.”
 - c. This type of control is not appropriate for work that requires creativity or innovation.
 - 3. **Feedback control** is regulation exercised after a product or service has been completed in order to ensure that the final output meets organizational standards and goals.
 - a. Feedback control is used when feed forward and concurrent controls are not feasible or are too costly.
 - b. Feedback control serves a number of functions:
 - 1) To serve as a final means to check for deviations not detected earlier
 - 2) To provide information that will facilitate the planning process
 - 3) To provide information regarding employee performance
 - c. Other names for feedback control are “post action control” or “output control.”
- B. **Multiple control systems** are systems that use two or more of the feed forward, concurrent, and feedback control processes and involve several strategic control points.
 - 1. Multiple control systems develop because of the need to control various aspects of a productive cycle, including inputs, transformation, and outputs.
 - 2. Computer software companies provide examples of processes complex enough to require multiple controls.
- C. The degree to which human discretion is part of a control process determines whether it is cybernetic or non-cybernetic.
 - 1. A **cybernetic control system** is a self-regulated control system that, once it is put into operation, can automatically monitor the situation and take corrective action when necessary, e.g., a heating system or some computerized inventory systems.
 - 2. A **non-cybernetic control system** is a control system that relies on human discretion as a basic part of its process.

CONTROLLING FOR ORGANIZATIONAL PERFORMANCE**What Is Organizational Performance?**

Performance is the end result of an activity. Managers are concerned with **organizational performance**—the accumulated end results of all the organization’s work processes and activities.

Measures of Organizational Performance

Employees need to see the connection between what they do and the outcomes. The most frequently used organizational performance measures include organizational productivity, organizational effectiveness, and industry rankings.

1. **Organizational productivity** is the overall output of goods or services produced divided by the inputs needed to generate that output. It's the management's job to increase this ratio.
2. **Organizational effectiveness** is a measure of how appropriate organizational goals are and how well an organization is achieving those goals.

TOOLS FOR MONITORING AND MEASURING ORGANIZATIONAL PERFORMANCE

Managers might use any of the following types of performance control tools: financial controls, information controls, balanced scorecard approach, or benchmarking best practices approach.

A. Financial Controls.

1. Traditional Financial Control Measures.
 - a. Financial ratios are calculated by taking numbers from the organization's primary financial statements—the income statement and the balance sheet. The four key categories of financial ratios are as follows.
 - 1) Liquidity ratios measure an organization's ability to meet its current debt obligations.
 - 2) Leverage ratios examine the organization's use of debt to finance its assets and whether it's able to meet the interest payments on the debt.
 - 3) Activity ratios measure how efficiently the firm is using its assets.
 - 4) Profitability ratios measure how efficiently and effectively the firm is using its assets to generate profits.
 - b. We have also discussed budgets as a planning tool. However, budgets are also control tools. They provide managers with quantitative standards against which to measure and compare actual performance and resource consumption.
2. Other Financial Control Measures. Managers are using measures such as EVA (economic value added) and MVA (market value added).
 - a. **Economic value added** is a tool for measuring corporate and divisional performance by calculating after-tax operating profit minus the total annual cost of capital.
 - b. **Market value added** adds a market dimension by measuring the stock market's estimate of the value of a firm's past and expected capital investment projects.

B. Information Controls.

Controlling information can be vital to an organization's success. We need to look at the development and use of management information systems.

1. A **management information system** is a system that provides managers with needed and usable information on a regular basis.
 - a. Managers need usable information, not just data
 - b. **Data** are raw, unanalyzed facts. **Information** is analyzed and processed data.
2. Information can help managers control the various organizational areas efficiently and effectively. It plays a vital role in the controlling process.

C. Balanced Scorecard Approach.

1. The **balanced scorecard** is a performance measurement tool that looks at four areas—financial, customer, internal processes, and people/innovation/growth assets—that contribute to a company's performance.
2. The intent of the balanced scorecard is to emphasize that all of these areas are important to an organization's success.

D. Benchmarking of Best Practices

1. **Benchmarking** is the search for the best practices among competitors or non-competitors that lead to their superior performance.

2. Research shows that best practices frequently already exist within an organization, but usually go unidentified and unused.
 - Internal benchmarking best practices program.

Establishing Quality Management Systems

By implementing international quality standards like ISO-9000, European Quality Award, Deming Prize, or Malcolm Baldrige Award; an organization can boost its productivity and quality. This will give leverage for a continuous improvement and consistent quality products for customers and keeping the employees happy as well. One can also adapt TQM philosophy of Deming, Juran or Crosby or Taguchi to outperform their competitors in the global market.

THE END

1. Which famous management thinker was related with the development of "Theory X"?

Douglas McGregor

Abraham Maslow

Frederick Herzberg

Chester Barnard

2. Feed Back of _____ is necessary to improve the quality of the product.

Customers

Employees

Investors

All of the given options

3. Ali is a manager in a multinational organization. He believes that the employees of the company are lazy and do not have much ambition. Ali can be classed as _____ manager based on the perspectives of Douglas McGregor.

Select correct option:

Theory Y

Bureaucratic

Theory X

Administrative

4. Which one of the following individuals is most closely associated with scientific management?

Frederick Taylor

Mary Parker Follett

Harold Koontz

Max Weber

5. Which management theory focuses on managing the total organization?

Scientific management

Administrative management

Behavioral management

Quantitative management

6. TCS represents what factor to the Pakistan Postal Service in its specific environment?

Select correct option:

Competitor

Supplier

Customer

Government agency

7. Who presented the Concept of Quality?

Henri Fayol

Prof. Henry Mintzberg

Frank & Lillian Gilbreth

Prof. Edward Deming

8. Amir is representing his company at the local Chamber of Commerce Annual Business Recognition luncheon. He is performing which of the following managerial role?

Negotiation

Monitor

Figurehead

Liaison

9. Usman currently holds a management position within his company. His job responsibilities include maintaining a focus toward long-term issues that may impact the company as well as developing appropriate goals to guide the organization. Jim is most probably which type of manager?

First line managers

Middle level manager

Operational manager

Top Level Manager

10. What type of forecasting technique relies on the judgment and opinion of knowledgeable individuals?

Qualitative

Short-term

Confirmatory

Predictive

11. People with which of the following decision making style have a high tolerance for ambiguity and tend to focus on the people or social aspects of a work situation?

Analytical

Behavioral

Directive

Conceptual

12. Within the members of the North American Free Trade Agreement, trade has ____ since the treaty was signed.

Decreased initially, but increased steadily

Increased

Decreased

Neither increased nor decreased

13. The best way to characterize management is to say that it is:

Part of the economy

An activity or process

An overcrowded career field

One of the chief difficulties for most firms

14. Which of the following is noted for the development of time motion studies that utilized stopwatches and cameras to analyze workplace efficiencies?

Frederick Taylor

Henri Fayol

Henry Gantt

Frank and Lillian Gilbreth

15. If a group's desire for consensus and cohesiveness overwhelms its desire to reach the best possible decision, it is called:

Groupthink

Group pressure

Group decision

Group dynamics

16. When an organization does everything that is required of it legally but nothing more. It is called:

Social obligation

Social obstruction

Social response

Social contribution

17. Concern for employee motivation is most closely associated with which of the following management approach?

Bureaucracy

Organizational behavior

Scientific management

Systems

18. Toyota motor company will be called efficient if it produces:

High quality products at relatively low cost

Quality products at high cost

High quality products at relatively high cost

Quality products at low cost

19. Primarily managers perform which of the following tasks?

Selling

Stocking merchandise

Directing the activities of other people

Ordering merchandise

20. Which viewpoint emphasizes finding ways to manage work more efficiently?

Behavioral

Quantitative

Classical

Qualitative

21. When call center managers spend much of their time monitoring customer calls and giving employees feedback about how to improve their dialogue with customers in the future, these managers are using which of the following skills?

Technical

Conceptual

Situational

Ethical

22. CEO of Siemens presents 10000 \$ scholarships to the winners of Math, Science and Technology in a high school. He is acting the role of:

Figurehead

Leader

Spokesperson

Liaison

23. Which famous management thinker developed "Theory Y"?

Douglas McGregor

Abraham Maslow

Frederick Herzberg

Chester Barnard

24. Sony Corporation's focus on product innovation is an example of which of the following dimensions of organizational culture?

People orientation

Attention to detail

Outcome orientation

Aggressiveness

25. Lower-level managers typically confront which type of decision making?

Unique

Non-routine

Programmed

Non-programmed

26. Mr. A is a manager in XYZ Company; he has a reputation for being an open and honest person and understands how to motivate employees and customers, he is said to have good _____ skills.

Sales

Political

Interpersonal

Technical

27. In management, the development of mathematical models is called:

Management science

Scientific management

Administrative management

Behavioral management

28. Which one of the following is an example of organization?

Hospitals

Colleges

Factories

All of the given options

29. Interpersonal and communication skills are often referred to as:

Technical skills

Conceptual skills

People skills

Planning skills

30. Organizational culture is similar to an individual's:

Skills

Personality

Motivation

Ability

31. Which of the following is one of Fayol's principles of management?

Authority

Discipline

Unity of command

All of the given options

32. When Shumaila is comparing actual sales figures with goals established earlier to see if her department met the target, she is performing which of the following functions?

Planning

Organizing

Leading

Controlling

33. Environmental scanning establishes the basis for _____, which are predictions of outcomes.

Scenarios

Projects

Budgets

Forecasts

34. Which of the following interpersonal role emphasizes the contacts that a manager has with those outside the formal authority chain of command?

The Liaison Role

The Leader Role

The Figurehead Role

The Spokesman Role

35. Which of the following is part of the 14 principles of management identified by Henri Fayol?

Scalar chain

Innovation

Efficiency

Motivation

36. The people who work directly on a job or task and have no responsibility for overseeing the work of others are called:

First-line managers

Middle managers

Non managerial staff

Supervisors

37. Amir is representing his company at the local Chamber of Commerce Annual Business Recognition luncheon. He is performing which of the following managerial role?

Negotiation

Monitor

Figurehead

Liaison

38. Hawthorne studies were a series of early experiments that focused on:

Behavior in the workplace

Ethics in the workplace

Group norms

Interpersonal dynamics

39. Power and authority that are concentrated at the upper levels of the organization as much as possible, is called:

Authority

Unity of command

Unity of direction

Centralization

40. Which of the following is a highly structured technique, designed to keep personal interactions at a minimum?

Clustering

Brainstorming

Nominal group technique

Group interview

41. Low level management has a complete authority to make decisions in case of:

Centralization

Decentralization

Scalar Chain

Order

42. If a company is paying minimum wage, when necessary, and applying the minimum standard to laws, such as affirmative action, it would be said to have fulfilled its:

Social obligation

Social responsibility

Social responsiveness

Social expectation

43. The quantitative approach has contributed directly in the areas of:

Planning and control

Control and leading

Organizing and control

Planning and leading

44. For a company such as Walt Disney world in Florida, a bank would be an example of what kind of factor in their specific environment?

Competitor

Supplier

Special-interest group

Government agency

45. Henri Fayol, a French industrialist, first analyzed what managers do and divided that work into functions. The study of the management function that defines goals and establishes strategies to achieve them is called:

Select correct option:

Planning

Organizing

Leading

Controlling

46. The idea that employees should also share the profit of organization was given by:

Select correct option:

Frederick Taylor

Robert Owen

Charles Babbage

W. Edwards Deming

47. Which of the following is an explicit statement that tells a manager what he or she can or cannot do?

Select correct option:

Procedure

Policy

Rule

Solution

48. Which of the following approaches to ethical decision-making focuses on the consequences of an action?

Select correct option:

Utilitarian approach

Universalism approach

Moral rights approach

Justice approach

49. Ali is a manager in a multinational organization. He believes that the employees of the company are lazy and do not have much ambition. Ali can be classed as _____ manager based on the perspectives of Douglas McGregor.

Select correct option:

Theory Y

Bureaucratic

Theory X

Administrative

50. All of the following are characteristics of total quality management EXCEPT:

Select correct option:

Intense focus on the competition

Concern for continual improvement

Improvement in quality of everything the organization does

Accurate measurement

51. Tax revenues and government grants for a city are called its:

Select correct option:

Human resources

Financial resources

Physical resources

Informational resources

52. TCS represents what factor to the Pakistan Postal Service in its specific environment?

Select correct option:

Competitor

Supplier

Customer

Government agency

53. The general economic condition consists of all of the following EXCEPT:

Select correct option:

Legislation

Interest rates

Change in disposable income

Stock market fluctuations

54. All of the following are reasons to look at theoretical perspectives of management EXCEPT:

Select correct option:

Understanding the present

Source of new ideas

History repeats itself

Guide to action

55. Which of the following statement Best describes a Procedure?

Select correct option:

An explicit statement detailing exactly how to deal with a decision

A series of interrelated sequential steps to respond to a structured problem

A set of guidelines that channel a manager's thinking in dealing with a problem

Allows a manager to use broad decision-making authority

56. The best way to characterize management is to say that it is:

Select correct option:

Part of the economy

An activity or process

An overcrowded career field

One of the chief difficulties for most firms

57.If a group's desire for consensus and cohesiveness overwhelms its desire to reach the best possible decision, it is called:

Select correct option:

Groupthink

Group pressure

Group decision

Group dynamics

58.To determine the _____, a manager must determine what is relevant or important in resolving the problem.

Select correct option:

Geocentric behavior needed

Number of allowable alternatives

Weighting of decision criteria

Decision criteria

59.A form of group decision making in which a group is used to achieve a consensus of expert opinion is called:

Select correct option:

Interacting group

Delphi technique

Nominal group

Brainstorming

60.Which of the following is the final step in the decision-making process?

Select correct option:

Identifying the problem

Evaluating the decision's effectiveness

Identifying decision criteria

Selecting an alternative that can resolve the problem

61. Labor unions, employees, suppliers, customers, clients, and public interest groups are all examples of:

Select correct option:

Management constituencies

Stockholders

Stakeholders

Business owners

62. Fredrick Taylor was the student of:

Select correct option:

Robert Owen

Charles Babbage

W. Edwards Deming

Henry Towne

63. Plant managers come under which of following management levels?

Select correct option:

First-line managers

Non-managerial employees

Middle managers

Top managers

64. Tax revenues and government grants for a city are called its:

Select correct option:

Human resources

Financial resources

Physical resources

Informational resources

65. Computers and campus facilities given to a university are called its:

Select correct option:

Human resources

Financial resources

Physical resources

Information resources

66. A human resource manager attending a local Society for Human Resource Management meeting would be functioning in which of the following role?

Select correct option:

Informational

Leader

Liaison

Disseminator

67. When Ali decides to take corrective action and provide damage control, he is acting in which of the following roles?

Select correct option:

Spokesperson

Figure head

Negotiator

Disturbance handler

68. Programmed decision making technique tends to rely on which of the following?

Select correct option:

The problem solver's ability to think on his or her feet

The development of a clear set of alternative solutions

Previous solutions

Identification of the actual problem

69. Organizational culture is similar to an individual's:

Select correct option:

Skills

Personality

Motivation

Ability

70. Communication should be:

Select correct option:

From Top to Bottom level

From Bottom to top

2 way

None of the given option

71. Which of the following management thinker created a role classification system based on how managers spend their time at work to describe a manager's role?

Select correct option:

Peter Brabeck-Letmathe

Abraham Maslow

Andrea Jung

Henry Mintzberg

72. Sony Corporation's focus on product innovation is an example of which of the following dimensions of organizational culture?

Select correct option:

People orientation

Attention to detail

Outcome orientation

Aggressiveness

73. Discrepancy between existing and a desired state of affairs is called:

Select correct option:

Opportunity

Solution

Weakness

Problem

74. Estimated cost of Sydney Opera House was:

Select correct option:

\$ 7 Million

\$ 102 Million

\$95 Million

\$ 60 Million

75. Which famous management thinker was related with the development of "Theory X"?

Select correct option:

Douglas McGregor

Abraham Maslow

Frederick Herzberg

Chester Barnard

76. Which famous management thinker was related with the development of "Theory X"?

Select correct option:

Douglas McGregor

Abraham Maslow

Frederick Herzberg

Chester Barnard

77. Which of the following is the most ancient management monument?

Select correct option:

Wall of China

Egyptian Pyramid

Taj Mahal

Sydney Opera House

78. Computers and campus facilities given to a university are called its:

Select correct option:

Human resources

Financial resources

Physical resources

Information resources

79. Selecting an alternative in the decision-making process is accomplished by:

Select correct option:

Choosing the alternative with the highest score

Choosing the One You Like Best

Selecting the alternative that has the lowest price

Selecting the alternative that is the most reliable

80. The people at the bottom of the organization generally deal with repetitive and familiar problems such as workers who are late or machinery that breaks down. As a result, most of the decisions made by first line supervisors are:

Select correct option:

Programmed decisions

Ill-structured decisions

Novel decisions

Non-programmed decisions

81. Which management theory focuses on managing the total organization?

Select correct option:

Scientific management

Administrative management

Behavioral management

Quantitative management

82. A learning organization develops the capability to:

Select correct option:

Add new training programs

Accept conventional wisdom of the industry

Continuously learn, adapt and change

Work in teams

83. The first step in the decision-making process is which of the following?

Select correct option:

Developing decision criteria

Allocating weights to the criteria

Analyzing alternatives

Identifying a problem

84. Which of the following is the final step in the decision-making process?

Select correct option:

Identifying the problem

Evaluating the decision's effectiveness

Identifying decision criteria

Selecting an alternative that can resolve the problem

85. Cultivating a learning culture where organizational members systematically gather knowledge and share it with others in the organization so as to achieve better performance is called:

Select correct option:

Knowledge management

Technical management

Software management

Systems management

86. CEO of Siemens presents 10000 \$ scholarships to the winners of Math, Science and Technology in a high school. He is acting the role of:

Select correct option:

Figurehead

Leader

Spokesperson

Liaison

87. It is assumed that a perfectly rational decision maker:

Select correct option:

Does not follow rational assumptions

Does not consider value maximizing as an objective

Offers inconsistent decisions

Would be objective and logical

88. Which of the following term is defined as a business firm's obligation, beyond that required by law and economics, to pursue long-term goals that are good for society?

Select correct option:

Social obligation

Social responsibility

Social screening

Values-based management

89. Which of the following early advocates of organizational behavior created the field of industrial psychology, the scientific study of people at work?

Select correct option:

Robert Owens

Hugo Munsterberg

Mary Parker Follett

Chester Barnard

90. Which of the following means that you achieve the best possible balance among several goals?

Select correct option:

Sacrificing

Satisficing

Minimizing

Optimizing

91. The process of monitoring performance, comparing it with goals and correcting any significant deviations is known as:

Select correct option:

Planning

Organizing

Leading

Controlling

92. When a manager made a decision and he is uncertain about the outcomes. His decision is likely to be:

Select correct option:

Of Poor Quality

Unacceptable

Successful

Risky

93. When a firm advertises that it only uses recycled paper products, it is called:

Select correct option:

Meeting its social obligation

Meeting social responsibilities

Being socially responsive

Paying attention to the bottom line

94. How would you define the problem if all outcome of every alternative is known?

Select correct option:

Bounded rationality

Unbounded rationality

Certainty

Uncertainty

95. When Ali decides to take corrective action and provide damage control, he is acting in which of the following roles?

Select correct option:

Spokesperson

Figure head

Negotiator

Disturbance handler

96. What type of forecasting technique relies on the judgment and opinion of knowledgeable individuals?

Select correct option:

Qualitative

Short-term

Confirmatory

Predictive

97. Which of these is the ability to perform a specialized task that involves a certain method or process?

Select correct option:

Technical

Conceptual

Interpersonal

Communication

98. The sales and marketing component of e-business is:

Select correct option:

Intranet

Evolution

E-commerce

Extranet

99. Attempting to understand the signs of some problem comes under:

Select correct option:

Scanning stage

Categorization stage

Diagnosis stage

Implementation stage

100. Cultivating a learning culture where organizational members systematically gather knowledge and share it with others in the organization so as to achieve better performance is called:

Select correct option:

Knowledge management

Technical management

Software management

Systems management

101. Who presented the Concept of Quality?

Select correct option:

Henri Fayol

Prof. Henry Mintzberg

Frank & Lillian Gilbreth

Prof. Edward Deming

102. Which of the following is the final step in the decision-making process?

Select correct option:

Identifying the problem

Evaluating the decision's effectiveness

Identifying decision criteria

Selecting an alternative that can resolve the problem

103. In order to communicate, motivate and delegate a manager must have:

Select correct option:

Political skills

Conceptual skills

Technical skills

Interpersonal skills

104. Which famous management thinker was related with the development of "Theory X"?

Select correct option:

Douglas McGregor

Abraham Maslow

Frederick Herzberg

Chester Barnard

105. Lower-level managers typically confront which type of decision making?

Select correct option:

Unique

Non-routine

Programmed

Non-programmed

106. Amna has been given goals related to the rollout and sales of her department. Her success at implementing the strategy will be assessed by comparing actual performance against the goals. This comparison is known as:

Select correct option:

Planning

Organizing

Implementing

Controlling

107. The specific organizational environment includes which of the following?

Select correct option:

Economic factors

Political conditions

Technological factors

Competitors

108. Managers are responsible for improving _____ involvement in decision making and action taking.

Select correct option:

Stakeholder's

Liaison's

Leader's

Figurehead's

109. Which of the following is part of the 14 principles of management identified by Henri Fayol?

Select correct option:

Scalar chain

Innovation

Efficiency

Motivation

110. Which of the following is important in effectively implementing the chosen alternative in the decision-making process?

Select correct option:

Getting upper-management support

Double-checking your analysis for potential errors

Allowing those impacted by the outcome to participate in the process

Ignoring criticism concerning your chosen alternative

111. Sony Corporation's focus on product innovation is an example of which of the following dimensions of organizational culture?

Select correct option:

People orientation

Attention to detail

Outcome orientation

Aggressiveness

112. An organization is called:

Select correct option:

The physical location where people work

A collection of individuals working for the same company

A deliberate arrangement of people to accomplish some specific purpose

A group of individuals focused on profit-making for their shareholders

113. Which of the following is a highly structured technique, designed to keep personal interactions at a minimum?

Select correct option:

Clustering

Brainstorming

Nominal group technique

Group interview

114. Amna has been given goals related to the rollout and sales of her department. Her success at implementing the strategy will be assessed by comparing actual performance against the goals. This comparison is known as:

Select correct option:

Planning

Organizing

Implementing

Controlling

115. Which famous management thinker developed "Theory Y"?

Select correct option:

Douglas McGregor

Abraham Maslow

Frederick Herzberg

Chester Barnard

116. The most important point of Prof. Edward Deming's Philosophy was:

Select correct option:

Achieving the Goals

Consistency of Purpose

Wastage of the resources should be minimized

Collaboration among the members

117. Knowledge management involves encouraging the members of the organization to:

Select correct option:

Improve the educational level of the average employee

Develop new training programs to help new employees

Develop a corporate university

Systematically gather information and share it with others

118. Selecting an alternative in the decision-making process is accomplished by:

Select correct option:

Choosing the alternative with the highest score

Choosing the One You Like Best

Selecting the alternative that has the lowest price

Selecting the alternative that is the most reliable

119. Power and authority that are concentrated at the upper levels of the organization as much as possible, is called:

Select correct option:

Authority

Unity of command

Unity of direction

Centralization

120. Which famous management thinker was related with the development of "Theory X"?

Select correct option:

Douglas McGregor

Abraham Maslow

Frederick Herzberg

Chester Barnard

121. Which of the following is NOT an example of a constituency that makes up the specific environment?

Select correct option:

Customers

Socio-cultural

Suppliers

Competitors

122. The time period for the construction of pyramids was:

Select correct option:

10 years

15 years

30 years

20 years

123. Which of the following scientist is most closely associated with the Hawthorne studies?

Select correct option:

Adams

Mayo

Lawler

Barnard

124. The process of monitoring performance, comparing it with goals and correcting any significant deviations is known as:

Select correct option:

Planning

Organizing

Leading

Controlling

125. Which of the following encourages efficiency and productivity and is consistent with the goal of profit maximization?

Select correct option:

Utilitarian view

Principled view

Rights view

Theory of justice view

126. CEO of Siemens presents 10000 \$ scholarships to the winners of Math, Science and Technology in a high school. He is acting the role of:

Select correct option:

Figurehead

Leader

Spokesperson

Liaison

127. The best way to characterize management is to say that it is:

Select correct option:

Part of the economy

An activity or process

An overcrowded career field

One of the chief difficulties for most firms

128. Which of the management tasks is the most important for a supervisory manager?

Select correct option:

Planning

Organizing

Controlling

Staffing

129. Which of the following approaches did not study management by dividing it into elements or components?

Select correct option:

Operational approach

Administrative approach

Systems approach

Behavioral approach

130. The Hawthorne studies were initially devised to study:

Select correct option:

Productivity levels of groups versus individuals

The effect of noise on employee productivity

The effect of illumination levels on employee productivity

The effect of competitive organizational environments on productivity

131. What is the best term to describe the process of attempting to influence other people to attain the organization's objectives?

Select correct option:

Planning

Organizing

Leading

Controlling

132. Which of the following is NOT a category of decision making style?

Select correct option:

Directive style

Managerial style

Analytical style

Conceptual style

133. Which of the following management thinker created a role classification system based on how managers spend their time at work to describe a manager's role?

Select correct option:

Peter Brabeck-Letmathe

Abraham Maslow

Andrea Jung

Henry Mintzberg

134. The belief that businesses should be responsible because such actions are right for their own sake is known as which argument for social responsibility?

Select correct option:

Public expectation

Ethical obligation

Public image

Discouragement of government regulation

135. An organization's specific environment:

Select correct option:

Is unique and changes with conditions

Is the same regardless of the organization's age

Is determined by the top level of management

Is quantified to determine its existence

136. Agency head or plant manager is most likely associated with which of the following managerial role?

Select correct option:

Team leaders

Middle managers

First-line managers

Top managers

137. Creativity is formed when the elements of creative skills, expertise, and ____ intersect.

Select correct option:

Personality

Experience

Task motivation

Consistency

138. Ali is a manager in a multinational organization. He believes that the employees of the company are lazy and do not have much ambition. Ali can be classed as _____ manager based on the perspectives of Douglas McGregor.

Select correct option:

Theory Y

Bureaucratic

Theory X

Administrative

139. The task environment of organizations consists of constituencies that have a direct impact on managers' decisions and actions. The main constituencies are made up of customers, suppliers, competitors, and _____.

Select correct option:

Legislators

Pressure groups

Employees

Lawyers

140. Which of the following early advocates of organizational behavior was concerned about deplorable working conditions?

Select correct option:

Robert Owens

Hugo Munsterberg

Mary Parker Follett

Chester Barnard

141. Activities such as taking visitors to dinner and attending ribbon cutting ceremonies come under which of the following management role?

Select correct option:

Leader

Liaison

Figurehead

Negotiator

142. What type of forecasting technique relies on the judgment and opinion of knowledgeable individuals?

Select correct option:

Qualitative

Short-term

Confirmatory

Predictive

143. The classical view of social responsibility holds that management's only social responsibility is to:

Select correct option:

Maximize organizational profits for stockholders

Maximize adherence to the laws for stockholders

Maximize organizational profits for stakeholders

Minimize adherence to the laws for stockholders

144. Which of the management tasks is the most important for a supervisory manager?

Select correct option:

Planning

Organizing

Controlling

Staffing

145. Sony Corporation's focus on product innovation is an example of which of the following dimensions of organizational culture?

Select correct option:

People orientation

Attention to detail

Outcome orientation

Aggressiveness

146. Non-programmed decisions are typically made under a condition of which of the following?

Select correct option:

Certainty

Low levels of risk

Uncertainty

Reliability

147. Interest rates, inflation rates, and stock market indexes are all examples of which of the factor of an organization's general environment?

Select correct option:

Economic

Political

Social

Technological

148. Which one of the following individuals is most closely associated with scientific management?

Select correct option:

Frederick Taylor

Mary Parker Follett

Harold Koontz

Max Weber

149. Amir is representing his company at the local Chamber of Commerce Annual Business Recognition luncheon. He is performing which of the following managerial role?

Select correct option:

Negotiation

Monitor

Figurehead

Liaison

150. A business school's statement that it "strives for productive relationships with local organizations" is an example of which of the following?

Select correct option:

Rule

Policy

Procedure

Commitment

151. Ali has just received each and every necessary statistics on the proposed new purchases for his organization. Ali is now ready to render his decision about them. Ali will be making his decision under conditions best referred to as:

Select correct option:

Risk

Certainty

Risk avoidance

Uncertainty

152. All of the following are reasons to look at theoretical perspectives of management EXCEPT:

Select correct option:

Understanding the present

Source of new ideas

History repeats itself

Guide to action

153. The task environment of organizations consists of constituencies that have a direct impact on managers' decisions and actions. The main constituencies are made up of customers, suppliers, competitors, and _____.

Select correct option:

Legislators

Pressure groups

Employees

Lawyers

154. Which of the following approach focuses on a set of interrelated and interdependent parts arranged in a manner that produces a unified whole?

Select correct option:

Process

Function

Systems

Contingency

155. The idea that employees should also share the profit of organization was given by:

Select correct option:

Frederick Taylor

Robert Owen

Charles Babbage

W. Edwards Deming

156. A business school's statement that it "strives for productive relationships with local organizations" is an example of which of the following?

Select correct option:

Rule

Policy

Procedure

Commitment

157. Group decisions provide ____ information as compared to individual ones.

Select correct option:

Current

Complete

Relevant

Consistent

158. Role of disseminator, figurehead, negotiator, liaison and spokesperson is most important for:

Select correct option:

Top level managers

First line managers

Middle level managers

Non managerial staff

159. Which of the following approaches to ethical decision-making focuses on the consequences of an action?

Select correct option:

Utilitarian approach

Universalism approach

Moral rights approach

Justice approach

160. All of the following are characteristics of total quality management EXCEPT:

Select correct option:

Intense focus on the competition

Concern for continual improvement

Improvement in quality of everything the organization does

Accurate measurement

161. Non-programmed decisions are typically made under a condition of which of the following?

Select correct option:

Certainty

Low levels of risk

Uncertainty

Reliability

162. All of the following are managerial roles identified in Mintzberg's Model EXCEPT:

Select correct option:

Informational

Interpersonal

Functional

Decisional

163. Power and authority that are concentrated at the upper levels of the organization as much as possible, is called:

Select correct option:

Authority

Unity of command

Unity of direction

Centralization

164. CEO of Siemens presents 10000 \$ scholarships to the winners of Math, Science and Technology in a high school. He is acting the role of:

Select correct option:

Figurehead

Leader

Spokesperson

Liaison

165. Which of the following describe(s) a global marketplace?

Select correct option:

The entire world is a marketplace

National borders are irrelevant

The potential for organizations to grow expands dramatically

All of the given options

166. Which of the following is a basic definition of ethics?

Select correct option:

Moral guidelines for behavior

Rules for acknowledging the spirit of the law

Principles that define right and wrong conduct

Principles for legal and moral development

167. The most outspoken advocate of the classical view of social responsibility is economist and Nobel prize winner:

Select correct option:

Carnegie Milton

Charles Darwin

Milton Freeman

Milton Friedman

168. The management process includes all of the following management functions EXCEPT:

Select correct option:

Planning

Innovating

Leading

Organizing

169. All of the following are reasons to look at theoretical perspectives of management EXCEPT:

Select correct option:

Understanding the present

Source of new ideas

History repeats itself

Guide to action

170. Assembling additional information and identifying both the nature and the causes of the problem comes under:

Select correct option:

Scanning stage

Categorization stage

Diagnosis stage

Implementation stage

171. Assembling additional information and identifying both the nature and the causes of the problem comes under:

Select correct option:

Scanning stage

Categorization stage

Diagnosis stage

Implementation stage

172. Mr. A is a manager in XYZ Company; he has a reputation for being an open and honest person and understands how to motivate employees and customers, he is said to have good _____ skills.

Select correct option:

Sales

Political

Interpersonal

Technical

173. Environmental scanning establishes the basis for ____, which are predictions of outcomes.

Select correct option:

Scenarios

Projects

Budgets

Forecasts

174. Cultivating a learning culture where organizational members systematically gather knowledge and share it with others in the organization so as to achieve better performance is called:

Select correct option:

Knowledge management

Technical management

Software management

Systems management

175. All levels of management between the supervisory level and the top level of the organization are termed as:

Select correct option:

Middle managers

First-line managers

Supervisors

Foremen

176. The process of monitoring performance, comparing it with goals and correcting any significant deviations is known as:

Select correct option:

Planning

Organizing

Leading

Controlling

177. The time period for the construction of pyramids was:

Select correct option:

10 years

15 years

30 years

20 years

178. Which of the following acts as an unambiguous measure of the effectiveness of a business organization?

Select correct option:

Efficiency

Employee satisfaction

Increased revenues

Profits

179. Which of the following is a cultural measure of the degree to which people will tolerate risk and unconventional behavior?

Select correct option:

Power distance

Uncertainty avoidance

Short- versus long-term orientation

Individualism versus collectivism

180. Group decisions provide ____ information as compared to individual ones.

Select correct option:

Current

Complete

Relevant

Consistent

181. Within the members of the North American Free Trade Agreement, trade has ____ since the treaty was signed.

Select correct option:

Decreased initially, but increased steadily

Increased

Decreased

Nither increased nor decreased

182. The best way to characterize management is to say that it is:

Select correct option:

Part of the economy

An activity or process

An overcrowded career field

One of the chief difficulties for most firms

183. The classical view of social responsibility holds that management's only social responsibility is to:

Select correct option:

Maximize organizational profits for stockholders

Maximize adherence to the laws for stockholders

Maximize organizational profits for stakeholders

Minimize adherence to the laws for stockholders

184. How would you define the problem if all outcome of every alternative is known?

Select correct option:

Bounded rationality

Unbounded rationality

Certainty

Uncertainty

185. The behaviorist Mary Parker Follett referred to integration as a process in which:

Select correct option:

Managers use their directive might to solve conflicts

Employees use their own intuition to solve conflicts

Managers and employees work together to solve conflicts

Conflicts are ignored

186. When a firm advertises that it only uses recycled paper products, it is called:

Select correct option:

Meeting its social obligation

Meeting social responsibilities

Being socially responsive

Paying attention to the bottom line

187. All of the following are managerial roles identified in Mintzberg's Model EXCEPT:

Select correct option:

Informational

Interpersonal

Functional

Decisional

188. Which ethical approach is guided by what will result in the greatest good for the greatest number of people?

Select correct option:

Moral-Rights approach

Individual approach

Utilitarian approach

Justice approach

189. In order to communicate, motivate and delegate a manager must have:

Select correct option:

Political skills

Conceptual skills

Technical skills

Interpersonal skills

190. Power and authority that are concentrated at the upper levels of the organization as much as possible, is called:

Select correct option:

Authority

Unity of command

Unity of direction

Centralization

191. People with which of the following decision making style have a high tolerance for ambiguity and tend to focus on the people or social aspects of a work situation?

Select correct option:

Analytical

Behavioral

Directive

Conceptual

192. Which of the following is called an input to a system?

Select correct option:

Materials

Products

Services

Employee behavior

193. Which of the following is noted for the development of time motion studies that utilized stopwatches and cameras to analyze workplace efficiencies?

Select correct option:

Frederick Taylor

Henri Fayol

Henry Gantt

Frank and Lillian Gilbreth

194. A culture where employees show a great deal of respect for authority and where titles and ranks are important would be an example of which dimension of national culture?

Select correct option:

Individualism versus collectivism

Power distance

Uncertainty avoidance

Short- versus long-term orientation

195. Which of the following theory proposes that ethical decisions be based on existing ethical norms in industries and communities in order to determine what constitutes right and wrong?

Select correct option:

Theory of justice of ethics

Integrative social contracts

Right view of ethics

Utilitarian view of ethics

196. Grouping activities and resources in a logical fashion is called:

Select correct option:

Planning

Organizing

Leading

Controlling

197. Which of the following is NOT an example of a constituency that makes up the specific environment?

Select correct option:

Customers

Socio-cultural

Suppliers

Competitors

198. Groups that are affected by organizational decisions and policies are known as:

Select correct option:

Management constituencies

Stockholders

Stakeholders

Business owners

199. The management function that specifies goals to be achieved and deciding in advance the appropriate actions to achieve those goals is:

Select correct option:

Leading

Controlling

Organizing

Planning

200. The behaviorist Mary Parker Follett referred to integration as a process in which:

Select correct option:

Managers use their directive might to solve conflicts

Employees use their own intuition to solve conflicts

Managers and employees work together to solve conflicts

Conflicts are ignored

201. Fredrick Taylor was the student of:

Select correct option:

Robert Owen

Charles Babbage

W. Edwards Deming

Henry Towne

202. Which viewpoint emphasizes finding ways to manage work more efficiently?

Select correct option:

Behavioral

Quantitative

Classical

Qualitative

203. Which of the following is an explicit statement that tells a manager what he or she can or cannot do?

Select correct option:

Procedure

Policy

Rule

Solution

204. Which of the following is one of Fayol's principles of management?

Select correct option:

Authority

Discipline

Unity of command

All of the given options

205. Which of the following is NOT an example of an organization's general environment?

Select correct option:

Economic conditions

Political conditions

Social conditions

Industry conditions

206. When call center managers spend much of their time monitoring customer calls and giving employees feedback about how to improve their dialogue with customers in the future, these managers are using which of the following skills?

Select correct option:

Technical

Conceptual

Situational

Ethical

207. A manager transmits the information outside the organization. He is performing which of the following role?

Select correct option:

Spokesperson

Representative

Disseminator

Agent

208. Which of the following is an explicit statement that tells a manager what he or she can or cannot do?

Select correct option:

Procedure

Policy

Rule

Solution

209. Which of the following scientist is most closely associated with the Hawthorne studies?

Select correct option:

Adams

Mayo

Lawler

Barnard

210. The classical view of social responsibility holds that management's only social responsibility is to:

Select correct option:

Maximize organizational profits for stockholders

Maximize adherence to the laws for stockholders

Maximize organizational profits for stakeholders

Minimize adherence to the laws for stockholders

211. Primarily managers perform which of the following tasks?

Select correct option:

Selling

Stocking merchandise

Directing the activities of other people

Ordering merchandise

S o l v e d M G T 5 0 3

212. The following four different approaches to management thinking were developed in the first half of the 20th century:

☐ Scientific management, general administrative, quantitative, and contingency approach.

• ☐ **Scientific management, general administrative, quantitative, and organizational behavior.**

• General administrative, globalization, organizational behavior, and quantitative.

• Systems approach, scientific management, general administrative, and organizational behaviour.

• Scientific management, Hawthorne Studies, quantitative, and organizational behavior.

213. When we classify managers according to their level in the organization they are described as _____.

- ☐ Functional, staff and line managers
- ☒ **Top managers, middle managers and supervisors**
- ☐ High level and lower level managers
- ☐ General managers and administrative managers

214. Frederick Taylor and Frank and Lillian Gilbreth were advocates of an approach to management involving the use of scientific method, known as:

- ☐ The quantitative approach.
- ☐ Management science.
- ☒ **Scientific management.**
- ☐ The contingency approach.

215. Authority, discipline, unity of command, and unity of direction are:

- ☐ Taylor's four principles of management.
- ☐ Principles of the human relations movement.
- ☐ Elements of Weber's ideal bureaucratic structure.
- ☒ **Four of Fayol's fourteen principles of management.**

216. Some of the other fields of study that affect management theory or practice include:

- ☒ **Political science, philosophy, anthropology and sociology**
- ☐ Zoology, psychology, sociology and philosophy.
- ☐ Anthropology, astrology, political science and psychology.
- ☐ Political science, sociology, typography and economics.

217. The philosophy of management known as total quality management developed primarily out of the work of:

- ☐ Henri Fayol
- ☐ Frederick Taylor
- ☐ Robert McNamara
- ☒ **W. Edwards Deming**

218. Possibly the most important pre-20th century influence on management was:

- ☐ Therbligs
- ☒ **The industrial revolution.**
- ☐ Scientific management.
- ☐ The division of labor.

219. _____ need involves the desire to affiliate with and be accepted by others.

- ☐ Esteem
- ☐ **Belongingness**
- ☐ Safety
- ☐ Self Actualization

220. Needs that impel creativity and innovation, along with the desire to have a productive impact on our surroundings are _____ needs.

- ☐ Existence
- ☐ Relatedness
- ☐ **Growth**
- ☐ None of the Above

221. Division of labor, authority hierarchy, formal selection, formal rules and regulations, impersonality, and career orientation are all features of:

- ☐ **Weber's ideal type bureaucracy.**
- ☐ General administrative theory.
- ☐ Fayol's principles of management.
- ☐ Taylor's principles of management.

222. The decision-making model consists of four styles: directive, analytic, behavioral and _____.

- ☐ **Conceptual**
- ☐ Intuitive
- ☐ Group interaction
- ☐ Laggard

223. _____ is characteristic of liquidity ratios.

- ☐ **Organization's ability to meet its current debt obligations**
- ☐ Organization's use of debt to finance its assets and whether it's able to meet the interest payments on the debt
- ☐ How efficiently the firm is using its assets
- ☐ None of given options

224. _____ is a communication that flows from a higher level to one or more lower levels in the organization.

- ☐ Horizontal communication
- ☐ Upward communication
- ☐ Downward communication
- ☐ **None of given options**

225. 1st stage of group development is _____.

- ☐ Storming
- ☐ Norming
- ☒ **Forming**
- ☐ Performing

226. _____ is an individual's capacity to influence decisions.

- ☐ Span of control
- ☐ Line authority
- ☐ Staff authority
- ☒ **Power**

227. An organizational design with low departmentalization, wide spans of control, authority centralized in a single person and little formalization are characteristics of _____.

- ☒ **Simple structure**
- ☐ Functional structure
- ☐ Divisional structure
- ☐ None of given option

228. _____ is the form of departmentalization that groups similar jobs and activities into departments.

- ☐ A product structure
- ☐ A divisional structure
- ☐ A matrix structure
- ☒ **A functional structure**

229. The main influence on the behavioral science theories were:

- ☒ **Psychology and sociology.**
- ☐ Sociology and bureaucracy.
- ☐ Sociology and science.
- ☐ Bureaucracy and psychology.

230. ERG theory was introduced by _____.

- ☒ **Clayton Alderfer**
- ☐ McClelland
- ☐ Douglas McGregor
- ☐ J. Stacey Adams

231. _____ is counter to goal-setting theory.

- ☐ Expectancy Theory
- ☒ **Reinforcement Theory**

- ☐ERG Theory
- ☐None of given option

232. Autocratic, Democratic and Laissez-faire leader behavior styles were introduced by _____.

- ☐University of Iowa researcher
- ☐Michigan Studies
- ☐Ohio State Studies
- ☐None of given option

233. The difference between an e-business enhanced organization and an e-business enabled organization is:

- ☐Only an e-business enhanced organization uses the Internet.
- ☐Only an e-business enhanced organization relies on an intranet.
- ☐Only e-business enhanced organizations use e-business tools and applications.
- ☐Only e-business enhanced organizations have e-business units within their organization.

234. _____ is not one of the eight steps in the decision making process.

- ☐Identifying the problem
- ☐Analyzing alternative solutions
- ☐Implementing the decision
- ☐Delegating the decision making

235. _____ is the capacity to affect the behaviors of others.

- ☐Leadership
- ☐Power
- ☐Trait
- ☐Aggression

236. Which of the following is NOT associated with learning organizations or knowledge management?

- ☐COIN
- ☐A recommended response to a rapidly changing world.
- ☐Systematic gathering and sharing of useful information.
- ☐PSTN

237. Surroundings are _____ needs.

- ☐Existence
- ☐Relatedness
- ☐Growth

☐ None of the Above

238. The vertical flow of communication from lower level to one or more higher levels is _____.

- ☒ **Upward communication**
- ☐ Downward communication
- ☐ Formal Communication
- ☐ Horizontal communication

239. Inputs necessary for the group to operate are _____ inputs.

- ☐ Group Size
- ☒ **Work Group**
- ☐ Group Task
- ☐ None of the Above

240. A _____ is the combining of two or more companies into one organization.

- ☒ **Merger**
- ☐ Acquisition
- ☐ Diversification
- ☐ None of the given options

241. The General Manager's meeting was most likely a result of the following management function:

- ☐ Organizing
- ☐ Planning
- ☒ **Decision-Making**
- ☐ Controlling

242. Managers today realize that long-term success can be achieved primarily by satisfying the customer. Customers are demanding quicker service, higher quality, and more _____.

- ☒ **Value for their money**
- ☐ Personal attention
- ☐ Variety in services
- ☐ Online choices

243. The belief that a firm's obligation goes beyond that required by law and economics, and includes a pursuit of long-term goals that are good for society is known as:

- ☐ Social responsiveness

- ☐ Ethical responsibility
- ☒ **Social responsibility**
- ☐ Social obligation

244. Challenging goals usually lead to _____ performance from individuals and groups.

- ☒ **Higher**
- ☐ Lower
- ☐ Excellent
- ☐ None of the Above

245. Which of the following is not a basic function of the management process?

- ☐ Controlling
- ☐ Organizing
- ☒ **Working**
- ☐ Leading

246. One of the greatest effects of e-commerce is that:

- ☒ **Costs will be reduced**
- ☐ Customers will be empowered
- ☐ Employees become more powerful
- ☐ Computers will be less important

247. Conceptual skills relate to a manager's ability to

- ☒ **Take a strategic view of how parts of the organization function**
- ☐ Solve detailed problems in groups
- ☐ Correctly evaluate organizational problems
- ☐ Understand and interact effectively with others in the organization

248. Which of the following functions or activities requires recruiting and placing qualified personnel needed for the organization so that it may achieve its objectives and goals?

- ☐ Planning
- ☒ **Staffing**
- ☐ Organizing
- ☐ Controlling

249. A variation of the electronic meeting that links together media from different locations is _____

- ☐ E-commerce
- ☐ The Delphi technique
- ☐ **Video conference**
- ☐ E-conference

250. _____ plans have clearly defined objectives.

- ☐ Directional
- ☐ Flexible
- ☐ **Specific**
- ☐ Standing

251. Who studied the nature of specific jobs, and broke the tasks into basic work units with the end result providing the one right way to perform the job?

- ☐ Douglas M. McGregor
- ☐ **Frederick W. Taylor**
- ☐ Henry L. Gantt
- ☐ Henry L. Gantt

252. The recently emerged type of managerial job is _____

- ☐ Top Manager
- ☐ Middle Manager
- ☐ **First Line Manager**
- ☐ Team Leader

253. The Hawthorne studies:

- ☐ Found that to increase worker efficiency, management must analyze and minimize the motions required to complete a task.
- ☐ **Found that when workers know they are being watched, their productivity increases.**
- ☐ Found that a worker is inherently lazy and will use any excuse not to perform their duties.
- ☐ Found that workers accept a managerial directive only if it is acceptable in terms of their personal interests.

254. The *Behavioral* approach to management focused on:

- ☐ **The worker**
- ☐ The manager
- ☐ The owner
- ☐ None of the above.

255. The external environment factor that states: The values and culture that

affect the way people feel about the organization they are in and about work itself is:

- ☐ **Sociological factors**
- ☐ Political factors
- ☐ Economic factors
- ☐ Psychological factors

256. The external environment factor that includes: Factors that have a less immediate effect on a business such as the nation's rate of inflation or recession, unemployment rate, or standard of living, is

- ☐ Political factors
- ☐ Sociological factors
- ☐ **Indirect economic factors**
- ☐ Direct economic factors

257. The resources within an organization, used to achieve its goal, make up the _____ of a business.

- ☐ External environment
- ☐ **Internal environment**
- ☐ Social responsibility
- ☐ Workers motivation

258. Strategic planning:

- ☐ **Addresses the organization's basic mission or business, issuing broad statements of purpose or direction that have a long lead time.**
- ☐ Involves managers in each unit of an organization who are responsible for achieving the unit's objectives within a specified period of time.
- ☐ Looks specifically at resources, finances, and market conditions to determine ways to accomplish the overall plans of the organization.
- ☐ Determines the day-to-day operations within an organization.

259. GAP analysis:

- ☐ Is a planning approach for determining where an organization is today.
- ☐ Is a planning approach for determining how an organization will reach its goals.
- ☐ Provides a diagram showing a company's present momentum and its potential.
- ☐ **All of the above.**

260. The SWOT approach assesses an organization's

- ☐ Speed, Wants, Order, Timing
- ☐ Structure, Workforce, Organization, Types

- ☐ **Strengths, Weaknesses, Opportunities, Threats.**
- ☐ Signs, Worries, Objectives, Techniques

261. _____ is the process of using the resources and personnel of an organization in an orderly way to achieve the objectives and long-term goals of the organization.

- ☐ Planning
- ☐ **Organizing**
- ☐ Leading
- ☐ Controlling

262. Which of the following is the most common type of departmentalization?

- ☐ Customer/Market Departmentalization
- ☐ **Function Departmentalization**
- ☐ Geography Departmentalization
- ☐ Process Departmentalization

263. A manufacturing company has divided its departments into pattern making, fabric cutting, and fabric coloring. What type of departmentalization is this?

- ☐ Geography Departmentalization
- ☐ **Process Departmentalization**
- ☐ Matrix/Project Departmentalization
- ☐ Function Departmentalization

264. A _____ organizational structure is the simplest form and has clear lines of authority and ease of decision making.

- ☐ Horizontal
- ☐ **Line**
- ☐ Vertical
- ☐ Staff

265. The management of people/labor should be handled by what department in an organization?

- ☐ Administration
- ☐ **Human Resources**
- ☐ Information Systems
- ☐ Accounting

266. When a candidate for a position is asked general, open-ended job related

questions, they are experiencing what type of interview?

- ☐ **Unstructured Interview**
- ☐ Structured Interview
- ☐ Relaxed Interview
- ☐ Unorganized Interview

267. Which of the following is NOT a major influence on the rate of compensation?

- ☐ Competition
- ☐ **Voluntary retirement**
- ☐ Laws
- ☐ Unions

268. Which type of separation is most unpleasant for an employee?

- ☐ **Termination**
- ☐ Mandatory retirement
- ☐ Voluntary retirement
- ☐ Resignation

269. Leadership can _____ subordinates to help the organization achieve its goals.

- ☐ Motivate
- ☐ Communicate
- ☐ Direct
- ☐ **All of the above**

270. Which source of power is based on an individual's knowledge, special skills, abilities, or previous experience?

- ☐ Referent power
- ☐ **Expert power**
- ☐ Referent power
- ☐ Legitimate power

271. Which source of power is based on a manager's ability to punish a subordinate?

- ☐ **Coercive power**
- ☐ Referent power
- ☐ Rewarded power
- ☐ Legitimate power

272. A budget is what type of control?

- ☐ Standard

- ☐ Process
- ☐ Division
- ☐ **Financial**

273. The theory that an individual tends to act in a certain way, with the expectation that the act will be followed by a given outcome and according to the attractiveness of the outcome is ____.

- ☐ **Equity theory**
- ☐ Three-needs theory
- ☐ Motivation-hygiene theory
- ☐ Expectancy theory

274. Leaders who inspire followers to transcend their own self-interests for the good of the organization, and are capable of having a profound and extraordinary effect on followers are ____ leaders.

- ☐ Transactional
- ☐ **Transformational**
- ☐ Democratic
- ☐ Autocratic

275. A group of employees with expertise in a variety of specialty areas who are brought together to work on a project or specific activity is a:

- ☐ **Cross functional team**
- ☐ Self-managed team
- ☐ Virtual team
- ☐ Problem-solving team

276. _____ is the power to give positive benefits or rewards.

- ☐ Expert power
- ☐ **Reward power**
- ☐ Legitimate power
- ☐ Coercive power

277. The final step of the strategic management process is ____.

- ☐ Doing an internal analysis
- ☐ Formulating strategies
- ☐ Implementing strategies
- ☐ **Evaluating results**

278. A/An _____ is a formal evaluation of an organization's financial statements, performed either by an outside accounting firm or by an internal department.

- ☐ Revenue operating budget
- ☐ Incident log
- ☐ **Financial audit**
- ☐ Balance sheet budget

279. In a PERT network, slack time is ____.

- ☐ The end point that represents the completion of a major activity
- ☐ The time or resources required to progress from one event to another
- ☐ **The amount of time an individual activity can be delayed without delaying the whole Project**
- ☐ The longest or most time-consuming sequence of events and activities

280. Which type of decision making is carried out by lower level management and deals with specific day-to-day processes?

- ☐ Programmed decision making
- ☐ **Operational decision making**
- ☐ Administrative decision making
- ☐ Mid-level decision making

281. _____ involves allocating resources by detailing what activities have to be done, the order in which they are to be completed, who is to do each, and when they are to be completed.

- ☐ Benchmarking
- ☐ **Budgeting**
- ☐ Scheduling
- ☐ Competitor intelligence

282. A problem solver is a style of problem solving reflected by the manager

- ☐ **Who confronts the problem, reacts to it, and makes those changes necessary solve it.**
- ☐ Who notices a problem and does not react.
- ☐ Who actively looks at situations, searching for problems or anticipating possible problems so that corrective action can be taken before the problem grows.
- ☐ None of the above

283. The process by which a sender transmits content is known as

- ☐ **Encoding**
- ☐ Decoding
- ☐ Feedback
- ☐ Receiver

284. When a subordinate or lower level manager passes information or offers suggestions to higher level management, they're using which level of communication?

- ☒ **Upward communication**
- ☐ Downward communication
- ☐ Lateral communication
- ☐ Diagonal communication

285. If a solution to a particular problem is not vital to the functioning of an organization and management is willing to overlook the causes of the conflict, managers may choose to use which type of conflict resolution?

- ☐ Confrontation
- ☒ **Avoidance**
- ☐ Dominance
- ☐ Compromise

286. Which of the following statements would a Theory X manager consider to be true?

- ☐ The average person can learn to accept and even seek responsibility
- ☒ **Employees will shirk responsibility**
- ☐ Employees will exercise self-direction if they are committed to the objectives
- ☐ Employees view work as being as natural as play

287. A short letter written to a potential employer with a resume attached is known as a

- ☐ Introduction letter
- ☒ **Cover letter**
- ☐ Interview letter
- ☐ Ice-breaker letter

288. _____ is the process of getting results accomplished through others.

- ☐ Ordering
- ☐ Mandating
- ☒ **Delegating**
- ☐ Working

289. What is the term used to define the number of subordinates directly controlled by a manager?

- ☐ Division management

- ☐ Departmentation
- ☐ Investment span
- ☐ **Span of management**

290. Which management theorist is responsible for the motivation-hygiene theory?

- ☐ Abraham Maslow
- ☐ Dale Hawthorne
- ☐ Peter Drucker
- ☐ **Frederick Herzberg**

291. What kind of organizational structure combines a vertical chain of command with horizontal reporting requirements?

- ☐ Line authority
- ☐ **Matrix**
- ☐ Functional
- ☐ Line-and-staff

292. What kind of training program is most appropriate for a simple task?

- ☐ **On-the-job training**
- ☐ vestibule training
- ☐ laboratory training
- ☐ job rotation

293. Which leadership theory suggests that management style should adapt itself to changing circumstances?

- ☐ **Contingency theory**
- ☐ Delegation theory
- ☐ Autocratic theory
- ☐ Participatory theory

294. According to Abraham Maslow, the most elevated type of need is

- ☐ **Self-actualization**
- ☐ Physiological
- ☐ Esteem
- ☐ Safety

295. Mr. A. is a manager in a manufacturing company, he attempts to establish a culture of quality affecting the attitudes and actions of every employee and

relies on a workforce that wants to improve quality. He focuses on establishing:

- ☐ Total Quality Management
- ☐ Knowledge management
- ☐ **Operations Management**
- ☐ Management of Information System

296. Ali is working in XYZ Company, he desires to get himself secure from crimes, company lay offs and other adverse impacts. We can say that he fulfils the ----- need.

- ☐ Self Actualization
- ☐ Social need
- ☐ Esteem
- ☐ **Safety**

297. In ----- theory management assumes that employees may be ambitious, self-motivated, and anxious to accept greater responsibility, and exercise self-control, self-direction, autonomy and empowerment.

- ☐ Theory Y manager
- ☐ Theory X manager
- ☐ Theory Z manager
- ☐ **All of the above**

298. ----- roles involve people and other duties that are ceremonial and symbolic in nature.

- ☐ Informational.
- ☐ **Interpersonal.**
- ☐ Decisional.
- ☐ All of the given options.

299. ----- is the use of scientific method to define the “one best way” for a job to be done.

- ☐ **Scientific management**
- ☐ Bureaucratic management
- ☐ Administrative management
- ☐ Management

300. The planning process can be used to promote _____ in organization

- ☐ Advancement
- ☐ Technologies

☐ **Innovation**

☐ Discoveries

301. The study of people in relation to their fellow human beings is

☐ Psychology

☐ **Sociology**

☐ Anthropology

☐ All of the given options

302. Which management concept suggests that low-importance decisions be handled by subordinates, so that managers can focus on high-importance decisions?

☐ management by objective

☐ **management by exception**

☐ participatory management

☐ inclusionary management

303. Getting work done with a minimum of effort, expense or waste is the definition of _____

☐ Effectiveness.

☐ Management

☐ Planning.

☐ **Efficiency**

304. _____ are mathematical models that describe the operating characteristics of queuing situations.

☐ **Waiting line models**

☐ Simulation models

☐ Decision trees

☐ All of the given options

305. Main purpose to build Sydney opera hall is to provide _____

☐ Knowledge.

☐ Information

☐ Education.

☐ **Entertainment**

306. Managers having the least authority and are at the lowest level in the

hierarchy of the organization are called _____

☐ Middle level managers

☐ Top level managers

- ☐ **First-line managers**
- ☐ None of the given options

307. _____ reduces uncertainty

- ☐ Negotiating
- ☐ **Planning**
- ☐ Organizing
- ☐ Leading

308. Decision makers face _____ types of problems.

- ☐ 2
- ☐ **3**
- ☐ 4
- ☐ 5

309. _____ are those plans that are extended beyond three years.

- ☐ Short Term Plans
- ☐ **Long Term Plans**
- ☐ Specific Plans
- ☐ Strategic Plans

310. _____ need involves the desire to affiliate with and be accepted by others.

- ☐ Esteem
- ☐ **Belongingness**
- ☐ Safety
- ☐ Self-Actualization

311. _____ is the recording system which enables sender to leave messages for receiver by telephone.

- ☐ E-Mail
- ☐ **Voice Mail**
- ☐ Videoconferencing
- ☐ Teleconferencing

312. A motivational approach in which an organization's financial statements are opened to and shared with all of the employees is called _____

- ☐ **Open Book Management**
- ☐ Pay for Performance Program
- ☐ Reinforcement Theory
- ☐ Feedback

313. A _____ refers to the authority and responsibility for achieving the major goals of the Organization.

- ☐ **Line position**
- ☐ Staff position
- ☐ Line authority
- ☐ None of the given options

314. ----- maintains self developed network of outside contacts and informers who provide favors and information.

- ☐ Entrepreneur
- ☐ Monitor
- ☐ **Liaison**
- ☐ Figurehead

315. ----- is the planning and implementing of organizational systems and practices that maximize the potential of employees to contribute to organizational goals and develop their capabilities unhindered by group identities such as race, gender, age, or ethnic group.

- ☐ **Managing Diversity**
- ☐ Anthropology
- ☐ Bureaucracy
- ☐ Remuneration

316. Seema desires for friendship, love, and a sense of belonging, we can say that she fulfils the _____

- ☐ Physical need
- ☐ Self Actualization
- ☐ **Social need**
- ☐ Esteem

317. ----- is a condition in which the decision maker chooses a course of action without complete knowledge of the consequences that will follow implementation.

- ☐ Risk
- ☐ **Uncertainty**
- ☐ Ambiguity
- ☐ Accuracy

318. NAFTA stands for:

- ☐ **North American Free Trade Agreement**
- ☐ North Asian Free Trade Agreement
- ☐ North American Free Trade Association
- ☐ None of the given options

319. Which one of the following is not the characteristic of Weber's ideal bureaucracy?

- ☐ Specialization of labor
- ☐ Formalization of rules
- ☐ **Division of labor**
- ☐ Formalization of links authority into a hierarchical structure

320. _____ shows the management structure of an organization.

- ☐ **Hierarchy**
- ☐ Decision Tree
- ☐ Incremental Model
- ☐ Satisfying model

321. If the average human being prefers to be directed, wishes to avoid responsibility, has relatively little ambition and wants security above all, the management attitude would Be:

- ☐ Theory Y manager
- ☐ **Theory X manager**
- ☐ Theory Z manager
- ☐ All of the given options

322. Getting work done with a minimum effort, expense, or waste is the definition of _____.

- ☐ Management
- ☐ Planning
- ☐ **Efficiency**
- ☐ Effectiveness

323. Which of the following is not an argument for the assumption of social responsibility by business?

- ☐ Long-run profits
- ☐ **Stockholder interests**
- ☐ Ethical obligations
- ☐ Costs

324. _____ concluded that managers perform 10 interrelated activities that relate to decision making, using information and interpersonal

relationships.

- ☐ **Mintzberg**
- ☐ Abraham Maslow
- ☐ Robert Owen
- ☐ Henri Fayol

www.virtualinspire.com

MGT503 Short Notes

Provided by **VUAnswer.com**

Lecture No.23 to 45 for Final-Term Exam

Types of Planning?

Informal Planning

1. Nothing is written down
2. Little or no sharing of goals
3. General and lacking in continuity

Formal Planning

1. Written and defined specific goals
2. Specific action programs exist to achieve goals

Approaches to Planning

Inclusive Approach

Employees at each level develop plans suited to their needs

Employees acquire greater sense of the importance of planning when they participate in the process

The planning process 'Setting goals and developing plans that leads to goal attainment and ultimately, to organisational efficiency and effectiveness.'

How Do Managers Plan?

Steps in Goal Setting

- 1 - Review the organization's mission
- 2 - Evaluate available resources
- 3 - Determine the goals individually or with input from others

4. Should be congruent with the organizational mission and goals in other organizational areas

5- Write down the goals and communicate them to all who need to know them

6- Review results and whether goals are being met

The planning process

Mission

The organisation's purpose or fundamental reason for existence.

Goal

Future target or end result an organisation wishes to achieve.

Plan

Means devised for attempting to reach a goal.

Organisational Mission

Mission statement may:

Be unwritten.

Address customers,
products/services, location,
technology, concern for survival,
concern for public image,
concern for employees.

Organisational Goals

Benefits of Goals

Increases Performance

Clarifies Expectations

Facilitates Control

Increases Motivation

Levels of goals

Top Managers

Middle Managers

1st level Managers

Goals and Performance

Organisational Perspective

Departmental Perspective

Unit/individual Perspective

Key Aspects:

- 1.Goal Content
- 2.Goal Commitment
- 3.Work Behaviour
- 4.Other Process Components
- 5.Possible Problems

Goal Content

Content should be:

Challenging

Specific

Measurable

Attainable

Relevant

Time limited

Goal Commitment

Influenced by:

Supervisory Authority

Peer & Group Pressure

Public Display

Expectations of Success

Incentives & Rewards

Participation

Goals & Work Behaviour

Goals & Commitment affect

Work Behaviour:

Direction

Effort

Persistence
Planning

Goals & other Process Components

Job process components
affect performance:
Job Knowledge & Ability
Task Complexity
Situational Constraints

Goals & Possible Problems

Possible Problems with Goals:
Excessive risk taking
Increased stress
Undermined self-confidence
Ignored non-goal area
Excessive short-run thinking
Dishonesty & cheating

Levels of Goals and Plans:

Operational
Tactical
Strategic

Linking Goals & Plans

Time span of Goals and Plans:
Short (Operational)
Intermediate (Tactical)
Long range (Strategic)

How to Make a Plan That Works Developing Effective Action Plans

Starting at the Top

A Corporation's Mission Bending in the Middle Finishing at the Bottom

Linking Goals & Plans

Recurring use:

Single use

Standing Plans-

Policies,

Procedures,

Rules

Kinds of Operational Plans Special-

Purpose Plans Management by
Objectives (MBO)

'Process through which specific goals are set collaboratively for the organisation as a whole and every unit within it;

The goals are then used as a basis for planning, managing organisational activities, and assessing and rewarding contributions.'

Steps in the MBO process:

1. Develop organisational goals
2. Establish specific goals for departments
3. Formulate action plans
4. Implement & maintain 'self-control'
5. Review progress periodically
6. Appraise performance

Strengths:

1. Helps link goals & plans
2. Clarifies priorities, and expectations
3. Fosters organisational communication

4. Builds member motivation

Weaknesses:

1. Needs strong, enduring commitment
2. Requires training of managers
3. May be misused (i.e. for punishment)
4. Risk of dominance of quantitative goals

Strategic Management

Large scale action plan for interacting with the environment to achieve long term goals.

Concepts of Strategic Management

1. Strategic management process
2. Importance of strategic management
3. Levels of strategy

Strategic Management

Strategic Management Process:

‘Process through which managers Formulate and Implement strategies geared to optimising strategic goal achievement, given available external and internal environmental conditions.’

Strategy Formulation

1. Identify Mission & Goals
2. Competitive Situation Analysis (external & internal)
3. Develop / Formulate strategies to achieve identified goals

Strategic Management

Strategy Implementation

1. Implement Plans
2. Control / Monitor execution of Plans

Importance of Strategic Management

Important because:

1. Helps organisations to develop a competitive advantage (significant edge over competition in dealing with competitive forces).
2. Provides a sense of long-term direction for organisation members.
3. Highlights need for innovation.
4. Process involves members and fosters understanding of goals/strategy.

What Would You Do?

You are Head of a Furniture Company...

The furniture industry is highly fragmented and You like to turn this into opportunities!

What Would You Do?

You like to formulate strategies that include low prices and convenient packaging.

Will the strategies work on a global basis?

How can You identify opportunities and threats, and select a competitive advantage strategy?

A way of approaching business opportunities and challenges.

A comprehensive and ongoing management process aimed at formulating and implementing effective strategies which align the organization with its environment to achieve major organizational goals.

Importance of Strategic Management

1. Direction for Organization
2. Competitive Advantage
3. Builds Managers Commitment
4. Supports Innovation

The Basic Strategic Planning Process

The Components of Strategy

1. Distinctive Competence something the organization does exceptionally well!
2. Scope Range of markets in which the organization will compete
3. Resource Deployment. How an organization distributes its resources across areas in which it competes

Competitive analysis in strategy formulation

SWOT analysis

Method of analysing an organisation's competitive situation involving assessing organisational strengths (S), weaknesses (W), environmental opportunities (O) and threats (T).

Environmental Assessment:

Five Competitive Forces Model (Porter)

Competitive Analysis in Strategy Formulation

1. Rivalry among Existing Firms
2. Bargaining power of Customers
3. Bargaining power of Suppliers
4. Threat of New Entrants
5. Threat of Substitute products/services within the Industry.

Levels of strategy

Corporate Level Strategy:

'Type of strategy addressing what businesses the organisation will operate, how strategies of those businesses will be co-ordinated to strengthen the organisation's competitive position, and how resources will be allocated among businesses.'

Business Level Strategy:

'Type of strategy concentrating on the best means of competing within a particular business while also supporting corporate level strategy.'

Functional Level Strategy:

'Type of strategy focussing on action plans for managing a particular functional area within a business in a way that supports business level strategy.'

Competitive Analysis in Strategy Formulation

Before managers devise an effective strategy for getting a competitive edge, they

must analyse the organisation's competitive situation.

This is done through:

Environmental analysis (external)

Organisational assessment (internal)

Formulating Corporate Level Strategy

Corporate level strategy is the overall strategy an organisation follows. Its development involves selecting a Grand Strategy and using Portfolio-Strategy approaches to determine the various businesses making up the organisation:

Portfolio Strategies:

Method of analysing an organisation's mix of businesses in terms of both individual and collective contributions to strategic goals.

1. BCG Growth–Share Matrix

Compares businesses in an organisation's portfolio on the basis of relative market market share and market growth rate.

2.Product–Market Evaluation Matrix

Compares businesses' strength against product/market life-cycle.

Formulating Corporate Level Strategy

Grand Strategies

1.Growth

Concentration

Vertical integration

Diversification

2.Stability

Harvest

Turnaround

3.Defensive

Divestiture

Bankruptcy

Liquidation

Formulating Business Level Strategy

1. Business level strategy is concerned with how a particular business competes.
2. The best known approach for strategy development is based on Porter's research.

Generic Business Strategies:

Porter outlined three generic business level strategies to gain competitive advantage over other firms operating in the same industry.

Generic Business Strategies (Porter)

1. Cost Leadership Strategy

Emphasises operational efficiency i.e. overall costs are lower than competitors.

2. Differentiation Strategy

Attempts to develop products/services viewed as unique in the industry.

3. Focus strategy

Concentration on a segment, portion of a market.

Functional level strategies spell out specific ways that functional areas can bolster business level strategy. For example:

Under a product differentiation strategy, the R & D dept. may accelerate the innovation process to provide new products in advance of competitors.

Strategy Implementation

Strategy implementation involves management activities needed to put the strategy in motion, institute strategic controls for monitoring progress, and ultimately achieve organisation goals.

The Nature of Entrepreneurship

Entrepreneurship: The process of planning, organizing, operating, and assuming the risk of a business venture.

Entrepreneur: Someone who engages in entrepreneurship.

Small Business:

A business that is privately owned by one individual or a small group of individuals; it has sales and assets that are not large enough to influence its environment.

Three Basic Strategic Challenges:

1. Choosing an Industry in which to compete.
2. Emphasizing, Distinctive, Competencies.
3. Writing a Business Plan.

Writing a Business Plan

A Business Plan is a document that summarizes the business strategy and structure.

It should include:

1. Business Goals and Objectives.
2. Strategies used to achieve these goals and objectives.
3. A plan of HOW the entrepreneur will implement these strategies.

Financing the New Business

1. Personal Resources

Using your own money and money borrowed from friends and relatives to finance the business.

2. Strategic Alliances

Partnering with established firms such as suppliers in a mutually beneficial relationship.

3. Lenders

Obtaining funding from traditional lenders (e.g., banks, independent investors, and government loans).

4. Venture Capital Companies

Groups of small investors who provide capital funds to small high-growth potential start-up firms in exchange for an equity position (stock) in the firms.

The Role of Entrepreneurship in Society

Job Creation

1. Small business creates many new jobs in Pakistan.
2. Industry sectors dominated by small business have added the most jobs.

Innovation

Historically, major innovations are as likely to come from small businesses as from large firms.

Promoting Innovation

Intrepreneurship:

Encourage the take-up of entrepreneurship roles by organisation members e.g:

Idea generator

Idea champion

Idea sponsor

Promoting Innovation

Innovation is critical to various differentiation strategies.

Forces for Change & Innovation:

Promoting Innovation

Structure's ability to support strategy can be enhanced by using structural means to encourage innovation.

Key Concepts

Organizing

Deciding how to best group organizational activities and resources!

Responsibility

Obligation to carry out duties and achieve goals related to a position.

Authority

Right to make decisions, carry out actions, and direct others in matters related to the duties and goals of a position.

Accountability

Requirement to provide satisfactory reasons for significant deviations from duties or expected results.

Delegation

Assignment of part of a manager's work to others, along with both responsibility and authority necessary to achieve expected results.

Autonomy

Amount of discretion allowed in determining schedules and work methods for achieving required output.

Feedback

Degree to which the job provides for clear and timely information about performance results.

Organization Chart

Line diagram depicting broad outlines of an organization's structure!

Nature of Organisational Chart/Structure

Principles of Chart Design:

1. As few hierarchical levels as possible.
2. Charts should show who has authority over who.
3. Charts should show official lines of responsibility & communication.

Organization Structure

Set of building blocks that can be used to configure an organization!

Nature of Organisational Structure

Formal pattern of interactions and co-ordination designed by management to link the tasks of individuals and groups in achieving organisational goals.

Four elements:

1. Assignment of tasks and responsibilities to individuals and units.
2. Clustering these (units and people) to form a hierarchy.
3. Mechanisms for vertical co-ordination.
4. Mechanisms for horizontal co-ordination.

1. Designing Jobs (Job Specialization)

2. Grouping Jobs (Departmentalization)
3. Establishing Reporting Relationships
4. Distributing Authority
5. Coordinating Activities
6. Differentiating Between Positions

1. Job Design

The determination of an individual's work-related responsibilities.

Specification of task activities associated with a particular job

Job Specialization

Degree to which the overall task of the organization is broken down into smaller components.

Benefits

1. Workers can become proficient at a task

2. Transfer time between tasks decrease
3. Specialized equipment can be developed
4. Employee replacement becomes easier

Limitations

1. Employee boredom and dissatisfaction
2. Anticipated benefits do not always occur
2. Grouping Jobs: Departmentalization

The process of grouping jobs according to some logical arrangement.

Rationale for Departmentalization

Organizational growth exceeds the owner-manager's capacity to personally supervise all of the organization.

Additional managers are employed and assigned specific employees to supervise.

Departmentalization

4 Basic Types:

1. Functional
2. Product
3. Customer
4. Location

Functional Departmentalization

Functional Structure

Structure in which positions are grouped according to their main functional (or specialised) area.

Advantages

1. Department can be staffed by experts
2. Supervision is facilitated
3. Coordination within department is easier

Disadvantages

1. Decision making becomes slow and bureaucratic
2. Lose sight of organizational goals/issues
3. Accountability and performance are difficult to monitor

1. Managers specialize,
but have broader experiences

2. Easier to assess work-unit performance
3. Decision-making is faster.

Customer Departmentalization

Focuses on customer needs

Products and services tailored to customer needs

Geographic Departmentalization

Responsive to the demands of different market areas.

Unique resources located close to the customer

Matrix Departmentalization

Efficiently manage large, complex tasks

Effectively carry out large, complex tasks

3. Establishing Reporting Relationships

Chain of Command

The vertical line of authority in an organization. Clarifies who reports to whom.

Unity of Command

Each person within an organization must have a clear reporting relationship to one and only one boss.

Span of Management

(Span of Control)

The number of people who report to a particular manager.

Narrow versus Wide Operative Span - Upto 30 Subordinates Executive Span - 3 to 9 Subordinates

Tall versus Flat Organizations

Tall Organizations

1. More expensive .
2. Communication can be difficult because of the number of channels through which it must pass.

Flat Organizations

1. Leads to higher levels of employee morale and productivity.
2. More administrative responsibility for managers.
3. Tall Versus Flat Organizations

4. Distributing Authority

Delegation

The process by which managers assign a portion of their total workload to others.

Reasons for Delegation

1. To enable the manager to get more work done by utilizing the skills and talents of subordinates.
2. To foster the development of subordinates by having them participate in decision making and problem solving that allows them to learn about overall operations and improve their managerial skills.

Centralization of Authority

Primary authority is held by upper management

Decentralization

Significant authority is found in lower levels of the organization

5. Coordinating Activities

The process of linking the activities of the various departments of the organization.

6. Differentiating Between Line & Staff Positions

Line Positions

Positions in the direct chain of command that are responsible for the achievement of an organization's goals/profits.

Staff Positions

Positions intended to provide expertise, advice, and support to line positions.

Staff Authority

The right to advise but not command others. An activity that supports profit generation.

Job Rotation

Enlargement, and Enrichment Job Rotation Periodically moving workers from one specialized job to another.

Job Enlargement

Increasing the number of tasks performed by a worker.

Job Enrichment

Adding more tasks and authority to an employee's job.

Organization Design (OD)

OD Concepts

Organizations are not designed and then left intact. Organizations are in a continuous state of change.

Organization's design for larger organizations is extremely complex and has many variations.

OD is a means to implement strategies and plans to achieve organizational goals.

Influences on Organization Design

Core Technology

1. Technology is the conversion processes used to transform inputs into outputs.
2. A core technology is an organization's most important technology.
3. As the complexity of technology increases, so do the number of levels of management.

Unit or Small-Batch Technology

Produce custom-made products for customer .

Large Batch/Mass Production

Uses assembly-line production methods to manufacture large quantities of products.

Continuous Process

Use continuous-flow processes to convert raw materials by processes and/or machines into finished products.

Influences on Organization Design

Environment

1. Stable environments that remain constant over time.
2. Unstable environments subject to uncertainty and rapid change.

Mechanistic organizations that are bureaucratic and found most frequently in stable environments.

Organic organizations that are flexible and more informal and usually found in unstable and unpredictable environments.

Mechanistic Structure

Organic Structure

Emerging Issues in Organization Design

The Team Organization

An approach to organizational design that relies almost exclusively on project-type teams, with little or no underlying functional hierarchy.

Emerging Issues in Organization Design

The Virtual Organization

An organizational that has little or no formal structure with few permanent employees, and may conduct its business entirely on-line .

Emerging Issues in Organization Design

The Learning Organization

An organization that works to facilitate the lifelong learning and development of its employees while transforming itself to respond to changing demands and needs.

Leading Motivating and Leadership

Leadership is a process of influencing others to achieve organisational goals.

Nature of Motivation

Motivation is the force energising, giving direction to, and / or leading Human Behaviour.

Motivation is a complex interaction of behaviours, needs, rewards/reinforcement and cognitive activities.

3 Major Types of Motivation Theories

1. Content Theories of Motivation

WHAT motivates us?

2.Process Theories of Motivation

WHY and HOW motivation occurs!

3. Reinforcement Theory

HOW outcomes influence behaviors!

What is Motivation?

The processes that account for an individual's intensity, direction, and persistence of effort toward attaining a goal

Intensity: how hard a person tries

Direction: where effort is channeled

Persistence: how long effort is maintained

Unsatisfied Needs develop a tension and creates a drive to fulfill those needs.

When those needs are satisfied, it reduces the tension and a state of relaxation is achieved.

Types of Motivators

1. Intrinsic
2. Extrinsic

Intrinsic

A person's internal desire to do something, due to such things as interest, challenge, and personal satisfaction.

Extrinsic

Motivation that comes from outside the person, such as pay, bonuses, and other tangible rewards.

1. Hierarchy of Needs Theory (Maslow)
2. Two-Factor Theory (Herzberg)
3. ERG Theory (Aldefe)
4. Acquired Needs Theory (McClelland)

Maslow's Hierarchy of Needs

Physiological

It includes hunger, thirst, shelter, sex and other bodily needs.

Maslow's Hierarchy of Needs

Safety

It includes security and protection from physical and emotional harm.

Maslow's Hierarchy of Needs

Social

It includes affection, belongingness, acceptance, and friendship.

Maslow's Hierarchy of Needs

Esteem

It includes internal esteem factors such as self-respect, autonomy, achievement; and external esteem factors such as status, recognition, and attention.

Maslow's Hierarchy of Needs

Self-Actualization

The drive to become what one is capable of becoming; includes growth, and achieving one's potential.

Weakness of Theory

1. Five levels of need are not always present
2. Order is not always the same
3. Cultural differences

Need's Hierarchy in China...an example:

Belongingness

Physiological

Safety

Self actualizing in service to society

Hygiene Factors

Extrinsic factors when these are adequate, people will not be dissatisfied.

Company policy and administration, supervision, working conditions, and salary.

Motivating Factors

Intrinsic factors, such as achievement, recognition, the work itself, responsibility, advancement and growth.

People will be either satisfied or not satisfied.

ERG Theory

1. Existence Needs

2. Related Needs

3. Growth Needs

McClelland's Theory of Needs

Need for Achievement

The drive to excel, to achieve in relation to a set of standards, to strive to succeed.

McClelland's Theory of Needs

Need for Power

The need to make others behave in a way that they would not have behaved otherwise.

McClelland's Theory of Needs

Need for Affiliation

The desire for friendly and close interpersonal relationships.

Acquired Needs Theory (McClelland)

Theory stating that our needs are acquired or learned on the basis of our life experiences.

Needs Classification

Cognitive or Process Perspective Theories

1. Equity Theory
2. Expectancy Theory
3. Goal-setting Theory

Process Perspectives

Why people choose certain behavioral options to satisfy their needs and how they evaluate their satisfaction after they have attained their goals.

Equity Theory

Theory arguing that we prefer situations of Balance or, Equity.

Inputs

Employee contributions to the organization

Outcomes

Rewards employees receive from the organization

Outcome / input (O / I) Ratio

A comparison between self and others Output/Input Ratio Inequity

When Your O / I ratio differ from other's

Underreward

If other's O / I ratio is greater than yours, You experience anger or frustration !

Overreward

If other's O / I ratio is less than yours, You may experience guilt !

Reaction to Perceived Inequity

1. Reduce inputs
2. Increase outcomes
3. Rationalize inputs or outcomes
4. Change the referent
5. Leave

Equity Theory

Implications for Managers:

Communication is essential to assess Equity / Inequity perceptions in employees.

Expectancy Theory

Theory arguing that we consider three main issues; (Effort-Performance, Performance-Outcome, and Valence) before we expend effort necessary to perform at a given level.

Effort-Performance Expectancy

Our assessment of our efforts that will lead to the required level of performance.

Performance-Outcome Expectancy

Our assessment of our performance that will lead to desired outcomes.

Instrumentality

Perceived relationship between Performance and Rewards / Outcomes.

Valence

Our assessment of anticipated value of various outcomes or rewards.

Expectancy Model of Motivation

Expectancy Theory

$$M = E \times I \times V$$

For motivated behavior to occur:

1. Effort-to-performance must be greater than 0
2. Performance-to-outcome must be greater than 0
3. Sum of valences must be greater than 0

Motivating with Expectancy Theory

1. Systematically gather information to find out what employees want from their jobs
2. Clearly link rewards to individual performance
3. Empower employees to make decisions which enhance expectancy perceptions

Goal-setting Theory

It works by focussing attention on action, mobilising effort, increasing persistence, & encouraging the development of strategy to achieve goals.

Goal Difficulty

Extent to which a goal is challenging and requires effort.

Goal Specificity

Clarity and precision of the goal.

Goal Acceptance

Extent to which persons accept a goal as their own.

Goal Commitment

Extent to which an individual is personally interested in reaching a goal.

Performance Feedback

Information on goal progress

Motivating with Goal-Setting Theory

1. Assign specific, challenging goals
2. Make sure workers truly accept organizational goals
3. Provide frequent, specific performance-related feedback

Integrated Model

Reinforcement THEORY

It explains the role of rewards as they cause behavior to change or remain the same over time.

Reinforcement Process

Positive Reinforcement

It strengthens behavior by providing a desirable consequence.

Punishment

It weakens behavior by providing an undesirable consequence.

Reinforcement THEORY

Extinction

It weakens behavior by not providing a desirable consequence.

Current Issues In Motivation

Open-Book Management

1. Involve employees in workplace decisions by opening up the financial statements.
2. Workers treated as business partners.
3. Get workers to think like an owner.
4. May also provide bonuses based on profit improvements.

Current Issues In Motivation

Motivating Professionals

1. They are more loyal to their profession than their employer ?
2. They value challenging jobs and need the support for their work.

Current Issues In Motivation

Motivating Professionals

Professionals tend to derive intrinsic satisfaction from their work and receive higher pay.

Social Learning Theory

Theory arguing that learning occurs through continuous reciprocal interaction

of our behaviours, various personal factors and environmental forces.

Other Motivational Strategies

1. Empowerment
2. Participation
3. Variable Work Schedules

Compressed work schedule

4. Flexible Work Schedules

Flextime

Job Sharing

Telecommuting

Designing Effective Systems

Reward system must meet an individual's needs.

Rewards should compare favorably with other organizations.

Distribution of rewards must be perceived to be equitable.

Designing Effective Systems

Reward system must recognize different needs.

Merit system.

Incentive system.

Leadership

Leader

Someone who can influence others and who has managerial authority.

All managers should ideally be leaders

Not all leaders have the ability to be an effective manager.

Leadership is a process of influencing others toward the achievement of goals.

A heavily researched topic

Nature of Leadership

Leadership is an ability to influence and motivate others toward organizational goals.

What leaders actually do!

Process behaviors include:

1. Influencing organizational goals;
2. Motivating behavior toward goals;
3. Helping define organizational culture.

Leadership Property!

Set of characteristics attributed to individuals perceived to be leaders.

How Leaders influence others?

Sources of Leadership Power:

1. Legitimate power

Power stemming from a position's placement in the managerial hierarchy.

2. Reward power

Power based on the capacity to provide valued rewards to others.

3. Coercive power

Power based on the ability to punish others.

4. Expert power

Power based on the possession of expertise valued by others.

5. Information power

Power based on access and control over the distribution of information.

6. Referent power

Power resulting from being liked, admired or identified with.

Effective use of Power

Likely reaction to use of power! = Resistance
= Compliance
= Commitment

Leadership Schools

1. Trait Model

2. Behavioral Models

--Michigan Studies

--Ohio State Studies

--Leadership Grid

3. Situational (Contingency) Models

Leadership Continuum

Least Preferred Coworker Theory (Fiedler)

Path Goal Model

Vroom Model

The Leader-Member Exchange Approach

Search for Leadership Traits

Approach assumes that some basic traits (individual qualities) differentiated leaders from non-leaders.

Search for Leadership Traits

Approach eventually determined to be impractical- the list of suggested traits grew too long to be useful.

Search for Leadership Traits

Despite weaknesses, leaders today are often chosen on various traits.

Traits

1. Intelligence
2. Supervisory Ability
3. Initiative
4. Drive
5. Individuality

Traits

6. Self Confident
7. Risk Taker
8. Motivated
9. Hard Working
10. Self Assurance

Leadership Behaviour

Michigan Studies

Employee centred leaders superior to Job centred leaders.

Leadership Behaviour

Ohio State Studies

Suggested that the ideal was for leaders to combine job-centred-ness with an ability to build mutual trust with subordinates.

Leadership grid

Behavioral Theories

Knowing the ways how effective leaders behave would provide basis for training other leaders !

Leadership Schools

2. Behavioral Models

--Iowa Studies

--Michigan Studies
--Ohio State Studies
--Leadership Grid
Leadership Behaviour
Iowa Studies

(By Kurt Lewin)

Explored three leadership styles related to performance!

Leadership Styles

1. Autocratic

Leader dictated the work methods.

2. Democratic

Involved staff in decision making.

3. Laissez-Faire

Gave the group complete freedom.

Leadership Behaviour

Michigan Studies

Employee centred leaders superior to Job or Production centred leaders?

Ohio State Studies

Suggested that the ideal was for leaders to combine
job-centred-ness (Initiating Structure) with an ability to build mutual trust with
subordinates (Consideration).

Leadership grid

Contingency Theories Of Leadership

Basic Assumptions

1. Leader's effectiveness depends on the situation.
2. Must isolate situational conditions or contingencies.

Leadership Schools

3. Situational (Contingency) Models

1. Fiedler's Model

2. Path Goal Model

3. Hersey and Blanchard Leadership approach

4. Leaders Member Exchange Model

Situational Theory

Theories of leadership taking into consideration important situational factors and related leadership styles.

Fiedler's Contingency Theory

Putting Leaders in the Right Situation:

Leadership Style:

Least Preferred Coworker

Leadership style is the way a leader generally behaves toward followers.

Style is measured by the LPC Scale!

Relationship-oriented Style

Task-oriented Style

Situational Favorableness

How a particular situation affects a leader's ability to lead

Three factors

1. Leader-member relations

2. Task structure

3. Position power

Situational Favorableness

Matching Leadership Styles to Situations

Path-Goal Theory

Leadership Styles

1. Directive

Clarifying expectations and guidelines

2. Supportive

Being friendly and approachable

3. Participative

Allowing input on decisions

4. Achievement-Oriented

Setting challenging goals

Four leadership styles defined by the two dimensions i.e.

1. Task Behavior and

2. Relationship Behavior!

Tests of the theory have yielded disappointing results

LMX Leadership Model

Leader Member Exchange approach stresses the importance of variable relationships between supervisors and each of their subordinates.

Leaders form unique independent relationships with each subordinate in which the subordinate becomes a member of the leader's out-group or in-group.

Cutting-Edge Approaches To Leadership or Strategic Leadership

Transactional Leadership

Transactional Leaders guide or motivate their followers in the direction of established goals by clarifying role and task requirements!

Transformational Leaders inspire followers to transcend their own self-interests for the good of the organization!

1. Capable of having profound effect on followers.
2. Pay attention to concerns of followers.
3. Change follower's awareness of issues.
4. Excite and inspire followers to put forth extra effort.
5. Built on top of Transactional leadership
6. good evidence of superiority of this type of leadership!

Goes beyond Charismatic leadership.

Different than Transactional leadership!

Components of Transformational Leadership

Charismatic leadership or idealized influence.

Inspirational motivation.

Intellectual stimulation.

Individualized consideration.

Charismatic Leadership

Charismatic leaders are enthusiastic, and self-confident leader whose personality and actions influence people.

Charismatic leaders creates an exceptionally strong relationship between leader and followers.

Kinds of Charismatic Leaders

Ethical Charismatics

1. Provide developmental opportunities.
2. Open to positive and negative feedback.
3. Recognize others' contributions.
4. Share information.
5. Concerned with the interests of the group.

Unethical Charismatics

1. Control and manipulate followers.
2. Only want positive feedback.
3. Motivated by self-interest.

Visionary Leadership

Visionary leader has the ability to:

1. Explain the vision to others.
2. Express the vision verbally and behaviorally.
3. Apply the vision to different leadership contexts.

Team Leadership

It requires skills such as:

1. Patience to share information.
2. Ability to trust others and give up authority.
3. Understanding when to intervene.

Gender and Leadership

When rated by peers, employees, and bosses, women executives score better than male counterparts

<https://vuanswer.com>

Explanations of difference in effectiveness include:

1. Flexibility, teamwork, trust, and information sharing are replacing rigid structures, competitive individualism, control, and secrecy
2. Women managers listen, motivate, and provide support better than men

There is still no "one best" leadership style

Can't assume that women's style is always better

Leadership Styles in Different Countries

Effectiveness of leadership style influenced by national culture

Most leadership theories developed in the U.S.

1. Emphasize follower responsibilities rather than rights.
2. Stress rationality rather than spirituality.

What Would You Do?

You are the CEO of Unique Food Co...

1. Your success is based on your reputation and your staff.
2. But, business is down and employee benefits expenses are increasing.

<https://vuanswer.com>

3. You have three options: eliminate health benefits, find a cheaper plan, or pass the cost to the employee!

How can you best make the tough decision?

How involved should your employees be in making it?

Understanding Group

Behavior

Why People Join Groups ?

1. Interpersonal Attraction

People are attracted to one another.

2. Group Activities

Activities of the group appeal to them.

3. Group Goals

Group's goals motivate them.

4. Need Satisfaction

Satisfies an individual's need for affiliation.

Foundations of Work Groups

Two or more interdependent individuals interacting and influencing each other in collective pursuit of a common goal.

What is a Group?

Two or more interacting and interdependent individuals who come together to achieve particular goals!

Types of Groups?

Formal Groups

Informal Groups

Formal Groups

Group officially created by an organisation for a specific purpose.

1. Command/Functional
2. Task Groups:
Permanent.
Temporary.

Task Group

A group created by the organization to accomplish a relatively narrow range of purposes within a stated time horizon.

Informal Groups:

Group established by employees (not the organisation) to serve members' interests or social needs.

Interest groups

Friendship groups

Groups and Teams in Organizations

Basic Group Concepts

1. Group Size

Effect on behavior of group depends upon the type of outcome and number of persons in group.

1. Large groups - good for getting diverse input
2. Small groups - good at making use of information
3. Dispersion of responsibility in large groups leads to free rider tendency !

2. Group Role.

Set of expected behavior patterns attributed to someone who occupies a given position in a social unit or group.

1. Group members have particular roles oriented towards task accomplishment or maintaining group member satisfaction.
2. Individuals play multiple roles.

3. Group Norms

Acceptable standards or expectations that are shared by the group's members.

1. its own unique set of norms.
2. Common norms related to levels of effort and performance.

3. Exert powerful influence on performance.

4. Group Cohesiveness

Degree to which members are attracted to a group and share the group's goals.
The group effectiveness depends upon the alignment of group and organizational goals.

Effectiveness and Efficiency of Group Decisions

1. Size of group affects effectiveness.
2. The groups of 5-7 are the most effective.
3. Odd number of members helps avoid deadlocks.

Steps must be taken to avoid Group Think.

Conformity marked by withholding different or unpopular views in order to give the appearance of agreement.

Stages of Group Development

1. Forming

People join the group either because of a work assignment or for some other benefit.

Define the group's purpose, structure, and leadership.

2. Storming

Acceptance of the group's existence.

Conflict over who will control the group !

3. Norming

Relationships and a sense of group identity develops.

Group assimilates a common set of expectations and defines correct member behavior.

4. Performing

Group structure is functional and accepted!

Group energy has moved to task performance!

5. Adjourning

Group prepares to disband!

Attention devoted to wrapping up activities.

Group Development

Turning Groups into Effective Teams

Teams versus Groups

Work Group

A group that interacts primarily to share information and to make decisions to help each other perform within his or her area of responsibility.

Work Team

A group whose individual efforts result in a performance that is greater than the sum of those individual inputs.

What Is a Team?

Work Team is a formal group made up of interdependent individuals who are responsible for the attainment of a goal
work teams are popular in organizations

Why Have Teams

Become So Popular?

1. Performance on complex tasks
2. Utilization of employee talents
3. Flexibility and responsiveness
4. Motivational properties

Developing And Managing Effective Teams

Characteristics of Effective Teams

1. Clear Goals - members understand and support the goals to be achieved.
2. Relevant Skills - members have the necessary technical and interpersonal skills.
3. Mutual Trust - members are confident in each others' ability, character, and integrity.
4. Unified Commitment - loyalty and dedication to the team.
5. Good Communication - messages are readily understood.

Types of Teams

1. Problem Solving Team

Comprises knowledge workers who gather to solve a specific problem, then disband.

2. Management Team

Consists mainly of managers from various functions, who coordinate work among other teams.

3. Work Team

Responsible for the daily work of the organization and, when empowered, are self-managed teams.

4. Quality Circle

Consists of workers and supervisors, who meet to discuss workplace problems.

Special Kinds of Teams

Cross-Functional Team

Employees from different functional areas.

Attack problems from multiple perspectives.

Generate more ideas and alternative solutions.

Project Teams

Created to complete specific, one-time projects within a limited time.

Often used to develop new products, improve existing products, roll out new information systems, or build new factories/offices.

Understanding Managerial Communication

What is Communication?

Everything that a manager does ... involves communication!

Ineffective communication is the basis for many managerial problems.

Communication

The process of transmitting information from one person to another.

Effective Communication

The process of sending a message so that the message received is as close in meaning as possible to the message intended.

Interpersonal Communication

It occurs between people.

<https://vuanswer.com>

Organizational Communication

All the patterns, networks, and systems of communication in an organization.

Communication in Management

Communication Process

Information Richness of Channels

Managerial Communication

Verbal

Written or oral use of words to communicate.

Non-Verbal

Communication by means of elements and behaviours that are not coded into words.

Communication Channels

Patterns of communication flow through which managers and other organisation members can send and receive information.

1. Vertical communication
2. Horizontal communication
3. Informal communication

Vertical Communication

1. Downward Communication

Managers overuse downward communication.

Filtering

(deliberate or accidental).

<https://vuanswer.com>

2. Upward Communication

Can be distorted by 'only' favourable messages going up.

Managers don't encourage upward flow.

Horizontal Communication

Lateral or diagonal message exchange within work-unit boundaries, involving peers reporting to the same supervisor, or across work-unit boundaries, involving individuals who report to different supervisors.

Informal Communication

Communication which takes place without regard to hierarchical or task requirements.

Problems Can carry gossip/distorted information.

Benefits Valuable tool for continuation/propagation of culture.

Communication Networks

Patterns through which members of a group or team communicate.

Grapevine

An informal network that is active in almost every organization.

1. Important source of information.

2. Identifies issues that employees consider important and anxiety producing.
3. Can use the grapevine to disseminate important information.
4. Grapevine cannot be abolished.

Rumors can never be eliminated entirely.

Barriers to Communication

Individual Barriers

Conflicting or inconsistent cues.

Credibility about the subject.

Reluctance to communicate.

Poor listening skills.

Predispositions about the subject.

Organizational Barriers

Status or power differences.

Different perceptions.

Noise.

Overload.

Improving Communication Effectiveness

Individual Skills

1. Encourage two-way communication.
2. Be aware of language and meaning.
3. Be sensitive to sender's and receiver's perspective.
4. Develop good listening skills.

Organizational Skills

1. Follow up.
2. Regulate information flow
3. Understand the richness of media.

How Technology Affects Managerial Communication!

Communication Channels

Information Technology has changed organizational communication.

1. Disseminates more complete information
2. Provides more opportunities for collaboration
3. Employees are fully accessible

Effects of IT

1. Networked Computer Systems

Linking computers through compatible hardware and software.

1.e-mail - instantaneous transmission of written messages

7. Intranet - Internet technology that links organizational employees

8. Extranet - Internet technology that links an organization with customers and suppliers

9. Internet-based voice communication - allows users to talk with each other

2. Wireless Capabilities

Depends on signals sent through space without any physical connection.

Based on microwave signals, satellites, radio waves, or infrared light rays.

Control as a Management Function

<https://vuanswer.com>

Process of regulating organisational activities so that actual performance conforms to expected organisational standards and goals.

Planning-Controlling Link

What Is Control?

Control is the process of monitoring activities to ensure that they are being accomplished as planned and of correcting significant deviations.

Control systems are judged in terms of how well they facilitate goal achievement

Control as a Management Function

Role of Controls:

1. Coping with uncertainty

2. Detecting irregularities

3. Identifying opportunities

4. Handling complex situations

Control as a Management Function

Levels of Plan

Levels of Control

The Control Process

The Control Process

Steps in the control process:

Five Eras of Management Control

Primary Types of Organizational Control

Managerial Approaches

Bureaucratic control

Organic/Clan control
Market control
Quality & Innovation
Managerial Approaches

Bureaucratic Control

Managerial approach relying on regulation through rules, policies, supervision, budgets, schedules, reward systems and other administrative mechanisms aimed at ensuring employees exhibit appropriate behaviours and meet performance standards.

Market Control

Managerial approach relying on market mechanisms to regulate prices for certain clearly specified goods and services needed by an organisation.

It emphasizes the use of external market mechanisms to establish standards of performance.

1. Useful where products and services are distinct
2. Useful where marketplace competition is considerable
3. Divisions turned into profit centers and judged by the percentage of total corporate profits each contributes

Organic/Clan Control

Managerial approach relying on values, beliefs, traditions, corporate culture, shared norms and informal relationships to regulate employee behaviours and facilitate reaching of organisational goals.

Quality & Innovation:

Levers for strategic control/innovation:

1. Belief Systems
Mission, core values
2. Performance Management Systems
Critical goals, evaluation & feedback
3. Interactive Monitoring System
Networking, continuous search & learning based system

Traditional Financial Controls

The budgets provide quantitative standards against which to measure and compare resources consumption.

Other

Financial Controls

Other Financial Control Measures increasing in popularity;

1. Economic Value Added (EVA)

Economic value created with the firm's assets less any capital investments made by the firm in its assets.

2. Market Value Added (MVA)

Stock market's estimate of the value of the firm's past and expected capital investment projects.

Automation Based Controls

Management Information Systems

MIS are used to provide management with needed information on a regular basis.

1. Organizes data in a meaningful way
2. Can access the information in a reasonable amount of time

Quality-Related Characteristics

ISO 9000

1. A series of international standards:

ISO 9000 to ISO 9004

2. Certifies quality processes

3. Customers are increasingly demanding ISO 9000 certification

HRM Process

Job Analysis and HRM

Value Chain Management

Value

Performance characteristics, features, and attributes, and any other aspects of goods and services for which customers are willing to pay resources.

Value Chain is the entire series of work activities that add value at each step of the transformation process.

Value Chain Management is the process of managing an entire sequence of activities along the entire value chain.

Focuses on both incoming materials and outgoing products and services.

Goal of Value Chain Management

Better the collaboration among chain participants, better the customer solutions!

www.vuanswer.com

MGT503 IMP notes

Provided by

www.VUAnswer.com

authority : the formal and legitimate right of a manager to make decisions, issue orders, and allocate resources to achieve organizational goals.

behavioral a method that focuses on people as individuals with needs (also known management as the human relations movement).

theory: :

compensation: all work-related payments, including wages, commissions, insurance, and other benefits.

continuous a system that produces goods by continuously feeding raw materials process: : through highly automated technology.

control: : the systematic process of regulating organization activities to make them consistent with the expectations established in plans, targets, and standards of performance.

concurrent method of regulation applied to processes as they are happening. control: :

cost- system that focuses on keeping costs as low as possible through efficient leadership operations and tight controls. strategy: :

crisis an unexpected problem that has the potential to lead to disaster if not problem: : resolved quickly and appropriately.

cross- groups of experts in various specialties (or functions) who work together functional on solutions to organizational problems. teams: :

decentralized firms that consciously attempt to spread authority to the lowest organizations: possible levels.

demographics: measurements of various characteristics of the people and social groups who make up a society.

development a series of steps that can help employees acquire skills to reach long-plans: : term goals, such as job promotions.

division of see work specialization.

labor: :

financial audits: : formal investigations to ensure that procedures, policies, laws, and ethical guidelines are followed in the handling and reporting of financial activities.

financial ratio analysis: : the relationship between specific figures on an organization's financial statements; helps explain the significance of those figures.

first-line management: : the lowest level of management.

flexiplace: : see telecommuting.

force-field analysis: : a technique to implement change by determining which forces drive change and which forces resist it.

functional authority: : authority to make decisions about specific activities undertaken by personnel in other departments.

job enlargement: : a type of job re-design that increases the variety of tasks a position includes (also known as horizontal job loading).

job sharing: : process in which one full-time job is split between two or more persons (also known as twinning).

joint venture: : a business relationship formed between a domestic and foreign firm.

kaizen: : a Japanese term used in the business setting to mean incremental, continuous improvement.

leading: : establishing and influencing others to follow a specific direction.

learning organizations: : firms that utilize people, values, and systems to continuously change and improve performance based on the lessons of experience.

legitimate power: : vested authority stemming from a formal management position in an organization.

licensure contract that grants one firm the right to make or sell another company's
agreement: products.
:

line a manager's right to direct the work of his or her employees and make
authority: : decisions without consulting others.

liquidity measurements of an organization's ability to generate cash.
ratios: :

manager: : a person responsible for the work performance of one or more other
persons.

quality: : reflects the degree to which a goods or services meet the demands and
requirements of the marketplace.

quantitative using quantitative techniques, such as statistics, information models, and
approach: : computer simulations, to improve decision making.

queuing a rationale that helps allocate services or workstations to minimize
theory: : customer waiting and service cost.

quotas: : government regulations that limit the import of specific products within
the year.

recruitment: activities an organization uses to attract a pool of viable candidates.
:

reengineering: redesigning processes requiring input from every employee in the
: company to achieve dramatic improvements in cost, quality, service,
and speed.

referent influence that results from leadership characteristics that command
power: : identification, respect, and admiration from subordinates (also known as
charismatic power).

resources: : the people, information, facilities, infrastructure, machinery, equipment,
supplies, and finances at an organization's disposal.

risk: : the environment that exists when a manager must make a decision
without complete information.

rule: : an explicit statement that tells a supervisor what he or she can and cannot
do.

satisfice: : the making of the best decision possible with the information, resources, and time available.

scalar principle: : a system that demonstrates a clearly defined line of authority in the organization that includes all employees.

simulation: : a broad term indicating any type of activity that attempts to imitate an existing system or situation in a simplified manner.

situational theory: : see contingency theory.

small-batch production: : manufacturing of a variety of custom, made-to-order products.

social network: : see grapevine.

strategic change: : revision that takes place when a company changes its tactics (strategy) — possibly even its mission statement — to achieve current goals.

strategic plan: : an outline of steps designed with the goals of the entire organization as a whole in mind, rather than with the goals of specific divisions or departments.

structural change: : variation that occurs when a company changes its procedures, policies, and rules, and as a result, its organizational structure.

structured problems: : familiar, straightforward, and clear difficulties with respect to the information needed to resolve them.

tactical plan: : steps detailing the actions needed to achieve the organization's larger strategic plan.

tariffs: : taxes placed on imports and/or exports in response to a political event.

interpersonal communication: : real-time, face-to-face, or voice-to-voice conversation that allows immediate feedback.

intrapreneurship: : organizational culture that allows employees flexibility and authority in pursuing and developing new ideas.

job study : a study that determines all tasks and qualifications needed for each

analysis: : position.

job description: : a written statement of a job's requirements, processes, and rationale.

job enrichment: : a type of job re-design that not only includes an increased variety of tasks, but also provides the employee with more responsibility and authority (also known as vertical job loading).

job rotation: : temporarily assigning employees to different job, or tasks to different people, on a rotating basis.

team structure: : organizational design that places separate functions into a group according to one overall objective.

technology: : the knowledge, machinery, work procedures, and materials that transform inputs into outputs.

telecommuting: : a work arrangement that allows at least a portion of scheduled work hours to be completed outside of the office, with work at home as one of the options (also known as flexiplace).

Total Quality Management (TQM): : a philosophy that states that uniform commitment to quality in all areas of the organization promotes a culture that meets consumers' perceptions of quality.

twinning: : see job sharing

unity of command: : principle that states that an employee should have one and only one supervisor to whom he or she is directly responsible.

unstructured problems: : difficulties that involve ambiguities and information deficiencies and often occur as new or unexpected situations.

validity: : proof that the relationship between a selection device and some relevant job criterion exists.

vertical job loading: : see job enrichment.

vision: : the ability of the leader to bind people together with an idea.

wholly-owned subsidiary: a foreign firm owned outright, or with a controlling interest, by an out-of-country firm.

work specialization: the degree to which organizational tasks are divided into separate jobs (also known as the division of labor).

zero defects: a program that emphasizes doing it right the first time.

brainstorming: an idea-generating process that encourages the development of alternatives while withholding criticism of those alternatives.

bureaucracy: a form of organization based on logic, order, and legitimate use of formal authority.

decision tree: a diagram that analyzes hiring, marketing, investment, equipment purchases, pricing, and similar decisions. Decision trees assign probabilities to each possible outcome and calculate payoffs for each decision path.

delegation: the downward transfer of authority from a manager to a subordinate.

embargo: a prohibition on trade in a particular area.

empowerment: giving individuals an organization autonomy.

expectancy theory: a motivational theory stating that the three factors that influence behavior are the value of the reward, the relationship of the reward to performance, and the effort required for performance

expert power: a leader's special knowledge or skills regarding the tasks performed by followers.

exporting: selling of an organization's products to a foreign broker or agent.

feedforward method used to identify and prevent defects and deviations from controls: standards.

grapevine: the informal communications network within an organization (also known as social network and informal channels).

horizontal see job enlargement.
job
loading: :

human see behavioral management theory.
relations
movement:
:

incentive links compensation and performance by paying employees for actual
pay: : results, not for seniority or hours worked.

income a report that presents the difference between an organization's income and
statement: : expenses to determine whether the firm operated at a profit or loss over a
specified time.

informal see grapevine.
channels: :

network an operating process that relies on other organizations to perform critical
structure: : functions on a contractual basis.

open a method in which an individual or organization must interact with
system: : various and constantly changing components in both the external and
internal environments.

operational specific, measurable results expected from first-level managers, work
goals: : groups, and individuals.

organizational a significant change that affects an entire company.
change: :

organizational a pictorial display of the official lines of authority and communication
chart: : within an organization.

organizational the byproduct of organizational culture; it is the barometer for
climate: : determining the morale of the employees.

organizational an organization's personality.
culture: :

organizational the creation or change of an organization's structure, the configuration
design: : and interrelationships of positions and departments.

organizational a plan that focuses on changing an entire organization by changing
development processes and organizational culture.

(OD): :

organizing: the process of establishing the orderly use of resources by assigning and
: coordinating tasks.

orientation: a socialization process designed to provide necessary information to new
: employees and welcome them into the organization.

performance a formal, structured system designed to measure an employee's job
appraisal: : performance against designated standards.

philosophy of management: a manager's set of personal beliefs and values about people and work.
:

plan: : a blueprint for goal achievement that specifies the necessary resource
allocations, schedules, tasks, and other actions.

planned change: : the deliberate structuring of operations and behaviors in anticipation of
environmental forces.

planning: : the act of determining the organization's goals and defining the means for
achieving them.

privacy laws: : legal rights of employees regarding who has access to information about
their work history and job performance.

procedure: : a set of step-by-step directions that explain how activities or tasks are to
be carried out.

process theories: : rationales that attempt to explain how workers select behavioral actions
to meet their needs and determine their choices.

profitability ratios: : measurements of an organization's ability to generate profits.

acceptance theory of management: principle that emphasizes the willingness of subordinates to accept those
with authority to act.

accountability : the answering for one's actions and accepting the consequences

affirmative action : a plan that requires employers to make an extra effort to hire and promote people who belong to a protected group

boundary spanning: : the process of gathering information from the external environment to identify current or likely events and determine how those events will affect the organization.

centralized organization: : authority is concentrated at the top of the organization.

chain of command: : a line of authority that links all persons in an organization and defines who reports to whom.

classical administrative: : the branch of classical management theory that emphasizes the flow of information in organizations.

classical management theory: : a theory, developed during the Industrial Revolution, that proposes "one best way" to perform tasks. Classical management theory developed into two separate branches: the classical scientific school and the classical administrative school.

closed system: : an organization that interacts little with its external or outside environment.

coercive power: : authority to punish or recommend punishment.

communication: : the exchange of ideas, messages, or information, by speech, signals, or writing.

contingency theory: : this principle examines the fit between the leader and the situation and provides guidelines for managers to achieve an effective fit (also known as situational theory).

differentiation strategy: : a plan whereby a company attempts to set the organization's products or services apart from those of other companies.

charismatic power: : see referent power.

classical scientific: : a branch of the school of classical management theory, whose emphasis is on increasing productivity and efficiency.

competitive any aspect of an organization that distinguishes it from its competitors in advantage: a positive way.
:

condition situation that occurs when the decision maker has perfect knowledge of
of all the information needed to make a decision.
certainty: :

content identifies physical or psychological conditions that act as stimuli for
theory: : human behavior.

contingency development of alternative courses of action that can be implemented if
planning: : and when the original plan proves inadequate because of changing
circumstances.

employee legally required or voluntary compensation provided to employees in
benefits: : addition to their salaries.

financial reports that provide management with information to monitor financial
statements: resources.
:

flextime: : an employment alternative that allows employees to decide, within a
certain range, when to begin and end each work day.

formal the hierarchical arrangement of tasks and people within an organization.
structure: :

functional an organizational design that groups positions into departments on the
structure: : basis of the specialized activities of the business.

functional work groups that perform specific organizational functions with members
teams: : from several vertical levels of the hierarchy.

management: the process of administering and coordinating resources effectively,
: efficiently, and in an effort to achieve the goals of the organization.

management collects, organizes, and distributes data in such a way that the
information information meets managers' needs.
systems:
(MIS) :

mass a system used to manufacture a large number of uniform products in an
production: assembly line.
:

means-end chain: the effective design of organizational goals that encourages the accomplishment of low-level goals as a way of achieving high-level goals.

mechanistic structure: a highly bureaucratic organizational method, with centralized authority, detailed rules and procedures, a clear-cut division of labor, narrow span of controls, and formal coordination.

mission statement: a document that describes what an organization stands for and why it exists.

motion study: research designed to isolate the best possible method of performing a given job.

multinational corporations (MNC): organizations operating facilities in one or more countries.

need theory: a construct of motivation based upon physical or psychological conditions that act as stimuli for human behavior.

nonverbal communication: actions, gestures, and other aspects of physical appearance that can be a powerful means of transmitting messages (also known as body language).

ongoing plans: see continuing plans.

operational plan: developed by a first level supervisor as the means to achieve operational objectives in support of tactical plans.

organic structure: a management system founded on cooperation and knowledge-based authority.

organization: a group of individuals who work together to accomplish a common goal.

reward power: the authority to reward others.

selective perception: the tendency to single out for attention those aspects of a situation or person that reinforce or appear consistent with one's existing beliefs, values, or needs.

self-fulfilling: a belief that a manager can, through his or her behavior, create a situation where subordinates act in ways that confirm his or her original

prophecy: : expectations.

Question: Who are Managers?

Answer: A manager is someone who works with and through other people by coordinating their work activities in order to accomplish organizational goals.

Question: What do managers do?

Answer: We can focus on following five categorization schemes while making mind what do managers do: Traditionally, a manager's job has been classified according to the following four functions i.e.: Planning: determining organizational goals and the means for achieving them Organizing: deciding where decisions will be made, who will do what jobs and tasks, and who will work for whom Leading: inspiring and motivating workers to work hard to achieve organizational goals Controlling: monitoring progress towards goal achievement and taking corrective action when needed Good managers are those who assure themselves to perform these functions

Question: What is an Organization?

Answer: An entity where two or more persons work together to achieve a goal or a common purpose is called Organization.

Question: What are the four major approaches to the study of management?

Answer: The four major approaches to the study of management are scientific, general administrative, quantitative, and organizational behavior. Each is correct and makes an important contribution to our overall understanding of management.

Question: Discuss the three important themes in the definition of entrepreneurship?

Answer: First, is the pursuit of opportunities, because entrepreneurship is about pursuing environmental trends and changes that no one else has seen or paid attention to. Second, is innovation, because entrepreneurship involves changing, revolutionizing, transforming, and introducing products or services or new ways of doing business. Third, is growth, because entrepreneurs are not content to stay small or to stay the same in size.

Question: What are the functions of management in the hierarchy?

Answer: A number of aspects of the management process differ within the hierarchy. The importance of each of the functions of management differs from one managerial level to another. a. Planning tends to be more important for top-level managers. b. Organizing tends to be more important for both top and middle-level managers. c. Leading is more important for first-line managers. d. Controlling is important among all

levels of the hierarchy.

Question: What is scientific management?

Answer: Scientific management is defined as the use of the scientific method to define the “one best way” for a job to be done.

Question: Quantitative Approach to Management:

Answer: The quantitative approach involves the use of quantitative techniques to improve decision making. This approach has also been labeled operations research of management science. It includes applications of statistics, optimization models, information models, and computer simulations

Question: What is total quality management?

Answer: Total quality management is a philosophy of management that is driven by customer needs and expectations and focuses on continual improvement in work processes

Question: What is objective of total quality management(TQM)?

Answer: The objective of TQM is to create an organization committed to continuous improvement

Question: What is system?

Answer: A system is a set of interrelated and interdependent parts arranged in a manner that produces a unified whole.

Question: Describe Frederick W. Taylor's contributions to scientific management?

Answer: Frederick Taylor defined four principles of management—develop a science for each element of an individual's work; scientifically select, train, teach, and develop each worker; cooperate with workers to ensure that all work is done in accordance with the principles of science; and divide work and responsibility almost equally between management and workers.

Question: Explain Frank and Lillian Gilbreth's contributions to scientific management?

Answer: Frank and Lillian Gilbreth studied work arrangements to eliminate wasteful hand and body motions. They also experimented with the design and use of proper tools and equipment for optimizing work performance.

Question: What is organizational behavior?

Answer: Organizational behavior is the field of study concerned with the actions or behavior of people at work.

Question: How is globalization affecting the way managers do their jobs?

Answer: Management is no longer constrained by national borders, and managers

in organizations of all sizes and types around the world are faced with the opportunities and challenges of operating in a global market.

Question: What is social responsibility?

Answer: Social responsibility is an obligation, beyond that required by the law and economics, for a firm to pursue long-term goals that are good for society

Question: What are two opposing views of social responsibility?

Answer: There are two opposing views of what social responsibility is. 1. The classical view is the view that management's only social responsibility is to maximize profits. 2. The socioeconomic view is the view that management's social responsibility goes well beyond the making of profits to include protecting and improving society's welfare.

Question: What is E-business?

Answer: E-business (electronic business) is a comprehensive term describing the way an organization does its work by using electronic (Internet-based) linkages with its key constituencies (employees, managers, customers, suppliers, and partners) in order to efficiently and effectively achieve its goals.

Question: Compare and contrast national culture and organizational culture?

Answer: Like organizational culture, national culture is shared by all or most inhabitants of a country and shapes their behavior and the way they see the world. Organizational and national cultures differ in that national culture has a greater effect on employees than does organizational culture

Question: What is Management?

Answer: Simply speaking, management is what managers do. However, this simple statement doesn't tell us much. We define management as the process of coordinating and integrating work activities so that they are completed efficiently and effectively with and through other people.

Question: What is mega-environment?

Answer: The mega-environment, or general environment as it is sometimes called, is that segment of the external environment that reflects the broad conditions and trends in the societies within which an organization operates.

Question: what is task environment?

Answer: The task environment is that segment of the external environment made up of specific outside elements (usually organizations) with which an organization interfaces in the course of conducting its business

Question: what are the different ways for employees to learn an organization's

culture?

Answer: Employees “learn” an organization’s culture in different ways. 1. Organizational stories are one way that employees learn the culture. These stories typically involve a narrative of significant events or people. 2. Rituals are repetitive sequences of activities that express and reinforce the key values of the organization, what goals are most important, which people are important.

Question: In which areas psychologists help industry according to Hugo Munsterbeg ?

Answer: He argued that psychologists could help industry in three major areas: a. Finding ways to identify individuals best suited to particular jobs. b. Identifying the psychological conditions for optimum efficiency. c. Finding ways to influence individual behavior to be congruent with management’s objectives

Question: What are the assumptions of Maslow’s need theory?

Answer: Abraham Maslow (1908-1970) developed a theory of motivation that was based on three assumptions about human nature. a. Human beings have needs that are never completely satisfied. b. Human behavior is aimed at satisfying the needs that are yet unsatisfied at a given point in time. c. Needs fit into a somewhat predictable hierarchy ranging from basic, lower-level needs to higher-level needs: 1) Physiological (lowest) 2) Safety 3) Belongingness or social 4) Esteem Self-actualization (highest and NOT achieved by everyone)

Question: What is Globalization?

Answer: Organizational operations no longer stop at geographic borders. Managers in all types and sizes of organizations are faced with the opportunities and challenges of globalization.

Question: Why we use quantitative approach to management?

Answer: The quantitative approach involves the use of quantitative techniques to improve decision making. This approach has also been labeled operations research or management science. It includes applications of statistics, optimization models, information models, and computer simulations

Question: How many branches of quantitative management?

Answer: There are three main branches in the Quantitative Management Viewpoint: management science, operations management, and management information systems Management science (or operations research as it has been called) is an approach aimed at increasing decision effectiveness through the use of sophisticated mathematical models and statistical methods. This is NOT a term to be used synonymously with either the term “Scientific Management” described earlier featuring Taylor and others or “The Science of Management,” a term that usually refers broadly, to a deliberate, rational approach to management issues.

Operations Management is the function or field of expertise that is primarily responsible for the production and delivery of an organization's products and services. Management information systems (MIS) is the name often given to the field of management that focuses on designing and implementing computer-based information systems for use by management

Question: Who are early advocates?

Answer: Four people stand out as early advocates of the OB approach. These include Robert Owen Hugo Munsterberg, Mary Parker Follett, and Chester Barnard.

Question: What reflects the Hawthorne Studies?

Answer: 1. In the first set of studies, no correlation was found between changes in lighting conditions and individual work performance. In fact, performance nearly always went up with any change—brighter or darker—in illumination. 2. In the second set of studies, the concept of the Hawthorne effect emerged. The Hawthorne effect refers to the possibility that individuals singled out for a study may improve their performance simply because of the added attention they receive from the researchers, rather than because of any specific factors being tested in the study. 3. The third set of studies centered on group production norms and individual motivation.

	FINALTERM EXAMINATION SPRING 2006 MGT503 - PRINCIPLES OF MANAGEMENT (Session - 1)	Marks: 60 Time: 120min
--	---	--

StudentID/LoginID: _____

Student Name: _____

Center Name/Code:

Exam Date: Tuesday, August 22, 2006

All questions are compulsory.

This exam consists of **15** Multiple Choice Questions (MCQ's), **5** fill in the blanks, **5** true false, **5** short questions and **2** descriptive questions.

Each MCQ carries **1** mark each, each fill in the blank carries **1** mark each, each true false carries **1** mark each, each short Question carries **3** marks each and descriptive questions carry **10** marks each.

For each MCQ question, read the choices available and select the choice which you consider is the correct answer.

Remember not to spend too much time on any one MCQ. Since all MCQ's carry equal marks, it is important to manage your time and responses to test questions effectively.

Failure to comply with the Supervisor's directions will result in your test being cancelled. Please comply with supervisor's directions to avoid any unpleasant event.

[illegible]

Question No: 1 (Marks: 1) - Please choose one

_____ are those plans that are extended beyond three

- ▶ Short term
- ▶ Long term
- ▶ Specific plans
- ▶ Strategic plans

Question No: 2 (Marks: 1) - Please choose one

_____ need involves the desire to affiliate with and be accepted by

- ▶ Esteem
- ▶ Belongingness
- ▶ Safety
- ▶ Self-actualization

Question No: 3 (Marks: 1) - Please choose one

_____ is the recording system which enables sender to leave messages for receiver telephone

- ▶ Electronic mail
- ▶ Voice mail
- ▶ Videoconferencing
- ▶ Teleconferencing

Question No: 4 (Marks: 1) - Please choose one

A motivational approach in which an organization's financial statements are opened to and shared with of the employees is called _____

- ▶ Open-book management

- ▶ Pay-for-performance
- ▶ Reinforcement
- ▶ Feedback

Question No: 5 (Marks: 1) - Please choose one

A _____ refers to the authority and responsibility for achieving the major goals of organization.

- ▶ Line position
- ▶ Staff position
- ▶ Line authority
- ▶ None of the given

Question No: 6 (Marks: 1) - Please choose one

Needs that impel creativity and _____ ion, along with the desire to have a productive impact on surroundings are _____

- ▶ Existence
- ▶ Relatednes
- ▶ Growth
- ▶ None of the given

Question No: 7 (Marks: 1) - Please choose one

_____ is the capacity to affect the behaviors of others.

- ▶ Leadership
- ▶ Power
- ▶ Trait
- ▶ Aggression

Question No: 8 (Marks: 1) - Please choose one

A_____ is the combining of two or more companies into one

- ▶ Merger
- ▶ Acquisition
- ▶ Diversification
- ▶ None of the given

Question No: 9 (Marks: 1) - Please choose one

The vertical flow of communication from lower level to one or more higher levels is

- ▶ Upward
- ▶ Downward
- ▶ Formal
- ▶ Horizontal

Question No: 10 (Marks: 1) - Please choose one

Inputs necessary for the group to operate are _____

- ▶ Group size
- ▶ Work group
- ▶ Group task
- ▶ None of the given

Question No: 11 (Marks: 1) - Please choose one

Challenging goals usually lead to _____ performance from individuals and

- ▶ higher
- ▶ lower

- ▶ excellent
- ▶ none of the given

Question No: 12 (Marks: 1) - Please choose one

The recently emerged type of managerial job is

- ▶ Top
- ▶ Middle
- ▶ First- line manager
- ▶ Team leader

Question No: 13 (Marks: 1) - Please choose one

A _____ is an organizational design with low _____ alization, wide spans of control, authority centralized in a single person, and little

- ▶ Simple
- ▶ Divisional structure
- ▶ Functional
- ▶ Team based

Question No: 14 (Marks: 1) - Please choose one

_____ is the extent to which power and authority are retained at the top levels.

- ▶ Centralization
- ▶ Decentralization
- ▶ Departmentalization
- ▶ None of the given

Question No: 15 (Marks: 1) - Please choose one

_____ ratio measures how efficiently and effectively the firm is using its assets to generate

- ▶ Liquidity
- ▶ Leverage
- ▶ Profitability
- ▶ Activity

Question No: 16 (Marks: 1)

Factors that eliminate dissatisfaction from job are

Question No: 17 (Marks: 1)

An organization's _____ is the organization's purpose or fundamental reason for

Question No: 18 (Marks: 1)

_____ influences the goal-performance

Question No: 19 (Marks: 1)

_____ integration occurs when a business grows by becoming its own

Question No: 20 (Marks: 1)

The _____ performs symbolic legal or social

Question No: 21 (Marks: 1) - Please choose one

A policy is an explicit statement that tells managers what they ought or ought not to

- ▶ True
- ▶ False

Question No: 22 (Marks: 1) - Please choose one

Organizing is to motivate and to inspire

- ▶ True

► False

Question No: 23 (Marks: 1) - Please choose one

A learning organization is one that has developed the capacity to continuously adapt and

► True

► False

Question No: 24 (Marks: 1) - Please choose one

Charisma was once thought to be an inborn personality

► True

► False

Question No: 25 (Marks: 1) - Please choose one

Teams cannot vary in their purpose or

► True

► False

Question No: 26 (Marks: 3)

What is the difference between Theory X and Theory

Question No: 27 (Marks: 3)

How rational decision making is affected by bounded rationality and

Question No: 28 (Marks: 3)

Differentiate between Esteem need and Self-actualization

Question No: 29 (Marks: 3)

How strategy is helpful in the planning

Question No: 30 (Marks: 3)

Why motivation is

Question No: 31 (Marks: 10)

Being a manager in “an electronic company”, how would you set goals for your

Question No: 32 (Marks: 10)

Please describe the concept of using “power” by a leader to influence a worker?

FINALTERM EXAMINATION
MGT503- Principles of Management
Spring 2010
By ADNAN AWAN
Adnanawan6@gmail.com

Time: 90 min

Marks: 69

Question No: 1 (Marks: 1) - Please choose one

The bank of New England uses models to figure out how many teller need to be on duty at each location at various times throughout the day. Bank is using which of the following approaches?

- ▶ Management science
- ▶ Operations management
- ▶ Total quality management
- ▶ **Contingency perspective**

Question No: 2 (Marks: 1) - Please choose one

The culture of an organization is largely determined by:

- ▶ **Top management**
- ▶ Employees
- ▶ Stockholders
- ▶ The company founders

Question No: 3 (Marks: 1) - Please choose one

Sony Corporation's focus on product innovation is an example of which of the following dimensions of organizational culture?

- ▶ Attention to detail
- ▶ People orientation
- ▶ **Outcome orientation**
- ▶ Aggressiveness

Question No: 4 (Marks: 1) - Please choose one

An individual's personal beliefs regarding what is right and wrong or good and bad is called:

- ▶ **Ethics**
- ▶ Values
- ▶ Norms
- ▶ Rituals

Question No: 5 (Marks: 1) - Please choose one

EU, NAFTA, FTAA and ASEAN are examples of:

- ▶ **Regional trade alliances**
- ▶ Foreign airlines
- ▶ Soccer teams in Europe
- ▶ New multinational corporations

Adnanawan6gmail.com

Question No: 6 (Marks: 1) - Please choose one

Which one is the final step in the decision-making process:

- ▶ Evaluating the decision
- ▶ Recognizing the decision
- ▶ Evaluating the alternatives
- ▶ **Implementing the decision**

Question No: 7 (Marks: 1) - Please choose one

All of the following are the assumptions of rational decision making EXCEPT:

- ▶ Alternatives are known
- ▶ Possible outcomes known
- ▶ Optimal decision is possible
- ▶ **Information is unknown**

Question No: 8 (Marks: 1) - Please choose one

Which of the following is a variation of the electronic meeting that links media from different locations?

- ▶ E-commerce
- ▶ The Delphi technique
- ▶ E-Brainstorming
- ▶ **Video conference**

Question No: 9 (Marks: 1) - Please choose one

Mission Statement of Johnson & Johnson is:

"We believe our first responsibility is to the doctors, nurses, and patients, to mothers and all others who use our products"

This statement shows which of the following attributes of mission statement?

- ▶ Location
- ▶ Customers
- ▶ Self concept
- ▶ **Desired public image**

Question No: 10 (Marks: 1) - Please choose one

Operational plans are normally associated with which of the following organizational level?

- ▶ Global level
- ▶ Corporate level
- ▶ **Business level**
- ▶ Functional level

Question No: 11 (Marks: 1) - Please choose one

Which of the following is a primary benefit of MBO?

- ▶ Avoid competition
- ▶ Resistance against new entrance
- ▶ **Improve employee motivation**
- ▶ Increase resources

Question No: 12 (Marks: 1) - Please choose one

In BCG matrix which of the following businesses have a large share of a market that are not expected to grow substantially?

- ▶ Dogs
- ▶ **Question mark**

- ▶ Star
- ▶ Cash cow

Question No: 13 (Marks: 1) - Please choose one

Which of the following organization is responsible for the development of small business in Pakistan?

- ▶ **SMEDA**
- ▶ BISE
- ▶ ICMA
- ▶ PCSIR

Question No: 14 (Marks: 1) - Please choose one

Employees with more training and experience are able to work with less direct supervision which is the characteristics of which of the following?

- ▶ Wide span of control and a flatter organization
- ▶ Violates Fayol's principle of chain of command
- ▶ A highly centralized organization
- ▶ **Very narrow span of control and more levels of managers**

Question No: 15 (Marks: 1) - Please choose one

Maslow's hierarchy of needs theory proposes that every person has a hierarchy of:

- ▶ Four needs
- ▶ **Five needs**
- ▶ Three needs
- ▶ Six needs

Question No: 16 (Marks: 1) - Please choose one

Which of the following theory points out that the individual has to be rewarded with something that he or she values?

- ▶ Herzberg's theory
- ▶ Expectancy theory
- ▶ **Equity theory**
- ▶ McClelland's goal setting theory

Question No: 17 (Marks: 1) - Please choose one

Which of the following is a major drawback of written communication?

- ▶ Lack of feedback
- ▶ Lack of precision
- ▶ **Less well thought out**
- ▶ Lack of verifiable permanent record

Question No: 18 (Marks: 1) - Please choose one

The process in which a sender manipulates information so the receiver will see it more favorably, is called:

- ▶ **Filtering**
- ▶ Selective perception
- ▶ Noise
- ▶ Information overload

Question No: 19 (Marks: 1) - Please choose one

Control that prevents anticipated problems is called:

- ▶ **Feed forward control**
- ▶ Concurrent control

- ▶ Feedback control
- ▶ Management control

Question No: 20 (Marks: 1) - Please choose one

Amir has found out that his department operates on the most popular type of control that many other companies use. Which type of control all companies have in common?

- ▶ **Feed forward**
- ▶ Concurrent
- ▶ Feedback
- ▶ Indirect

Question No: 21 (Marks: 1) - Please choose one

Which one of Fayol's 14 principles of management helps preserve the concept of a continuous line of authority?

- ▶ Unity of demand
- ▶ **Unity of command**
- ▶ Demand structure
- ▶ Continuous demand

Question No: 22 (Marks: 1) - Please choose one

Ali always consults with his employees and uses their suggestions before making a decision. He is demonstrating which type of leadership style?

- ▶ Directive
- ▶ Achievement-oriented
- ▶ **Participative**
- ▶ Supportive

Question No: 23 (Marks: 1) - Please choose one

A significant edge over the competition in dealing with competitive forces is called:

- ▶ Core Competencies
- ▶ Competitive advantage
- ▶ **Competitive force**
- ▶ Swot analysis

Question No: 24 (Marks: 1) - Please choose one

Which of the following is the benefit of strategic management for the organizations?

- ▶ Direction for organization
- ▶ Competitive advantage
- ▶ Supports innovation
- ▶ **All of the given options**

Question No: 25 (Marks: 1) - Please choose one

If the environment is stable then the structure of the organization could be:

- ▶ Organic
- ▶ Divisional
- ▶ **Mechanistic**
- ▶ Simple

Question No: 26 (Marks: 1) - Please choose one

On achieving the targeted sales, Salman the marketing manager of ABC Company has been rewarded an award of "Best employee of the year". He is happy with this

outcome as a result of his performance, because this reward has _____ for him.

► **Equity valence value**

- Negative valence value
- Less valence value
- More valence value

Question No: 27 (Marks: 1) - Please choose one

The president of ABC Company asks his employees to follow the rule and regulations and all of his employees comply with his order. President influences the employees by which of the following power?

- Referent Power
- Coercive Power
- Expert Power

► **Legitimate Power**

Question No: 28 (Marks: 1) - Please choose one

50 applicants had been interviewed for the post of financial analyst. Among these 50 people, 5 people had been short listed because they were holding diplomas of specialization along with the degrees required. They influenced the interviewer with which of the following powers?

► **Expert Power**

- Coercive Power
- Legitimate Power
- Reward Power

Question No: 29 (Marks: 1) - Please choose one

Workers in spinning department are trying to communicate the bad working conditions to their supervisor by saying; "machines are creating too much heat and noise and disturbing our work". Workers have used which of the following type of communication?

► **Oral**

- Written
- Non-verbal
- All of the given options

Question No: 30 (Marks: 1) - Please choose one

Tendency of people to expend less effort while working in a group as compare to working alone is called:

- Synergy
- **Social Loafing**
- Group Task
- Group Cohesiveness

Question No: 31 (Marks: 1) - Please choose one

Communication which takes place without regard to hierarchical or task requirements is called:

- Formal
- **Informal**
- Official
- Ceremonial

Question No: 32 (Marks: 1) - Please choose one

Cognitive ability of an individual effects the decision making process in which of the following manner?

- ▶ Can not utilize the available resources
- ▶ **Can not interpret all available information**
- ▶ Can not provide required financial resources
- ▶ Can not control the external situations

Question No: 33 (Marks: 1) - Please choose one
SWOT analysis is a technique of:

- ▶ **Environmental scanning**
- ▶ Forecasting
- ▶ Benchmarking
- ▶ Budgeting

Question No: 34 (Marks: 1) - Please choose one
Group members usually do not see each other while making decisions in:

- ▶ Brainstorming
- ▶ Delphi
- ▶ **Interacting**
- ▶ Interacting

Adnanawan6@gmail.com

Question No: 35 (Marks: 1) - Please choose one
Which of the following behaviour had dramatically influenced by Hawthorne studies?

- ▶ **Informal behaviour**
- ▶ Social behaviour
- ▶ Moral behaviour
- ▶ Ethical behaviour

Question No: 36 (Marks: 1) - Please choose one
Which of the following is called an input to an organizational system?

- ▶ **Employees**
- ▶ Products
- ▶ Services
- ▶ Customers

Question No: 37 (Marks: 1) - Please choose one
Which of the following techniques relies on individual or group judgments rather than on mathematical analysis?

- ▶ Quantitative forecasting
- ▶ Technological forecasting
- ▶ **Qualitative forecasting**
- ▶ Benchmark forecasting

Question No: 38 (Marks: 1) - Please choose one
Considering the changing patterns of the business world, which of the given is considered to be the modern motivating tool?

- ▶ High salary
- ▶ Flexi time
- ▶ **Secured job**
- ▶ Medical allowance

Question No: 39 (Marks: 1) - Please choose one

In order to make organization more flexible and responsive through employee participation, organization should tend towards which of the following?

▶ **Decentralization**

- ▶ Globalization
- ▶ Departmentalization
- ▶ Widen the span of control

Question No: 40 (Marks: 1) - Please choose one

Which of the following is an extrinsic factor of motivation?

▶ **Wages and salaries**

- ▶ Job variety
- ▶ Sense of accomplishment
- ▶ All of the given options

Question No: 41 (Marks: 1) - Please choose one

Starbuck's _____ of opening one hundred stores per year helps everyone in the firm, in recognizing the strong emphasis on growth.

- ▶ Goal
- ▶ Mission
- ▶ Vision

▶ **Plan**

Question No: 42 (Marks: 1) - Please choose one

Call centers have been developed to record and put forward the customers' complaints to:

- ▶ Problem solving teams
- ▶ Cross functional teams

▶ **Quality circles**

- ▶ Work teams

Question No: 43 (Marks: 1) - Please choose one

Pamphlets used for the promotion of a product are the example of:

- ▶ Oral communication

▶ **Non-verbal communication**

- ▶ Written communication
- ▶ None of the given options

Question No: 44 (Marks: 1) - Please choose one

In recent research on trait theory all of the following were indicators of leadership EXCEPT:

- ▶ Extraversion
- ▶ Introversion
- ▶ **Honesty**
- ▶ Desire to lead

Question No: 45 (Marks: 1) - Please choose one

Who developed the first comprehensive contingency model for leadership?

▶ **Fiedler**

- ▶ Vroom
- ▶ House
- ▶ Hersey

Question No: 46 (Marks: 1) - Please choose one

Which of the following is a power that has been legitimated by the organizations?

- ▶ Responsibility
- ▶ Span of control
- ▶ **Authority**
- ▶ Accountability

Question No: 47 (Marks: 1) - Please choose one

The individuals who are working in the organizations in a capacity of generating & supporting new ideas for the organization are called:

- ▶ Lender
- ▶ Entrepreneur
- ▶ **Stakeholder**
- ▶ Financer

Question No: 48 (Marks: 1) - Please choose one

SWOT analysis divides organizational strengths into two categories; common strength and_____.

- ▶ Chance of growth
- ▶ Core competency
- ▶ **System loophole**
- ▶ Competitor risk

Adnanawan6@gmail.com

PAPER NO 2

FINAL TERM EXAMINATION

Spring 2010

MGT503- Principles of Management

BY ADNAN AWAN

Adnanawan6@gmail.com

Time: 90 min

Marks: 69

Question No: 1 (Marks: 1) - Please choose one

All of following are true regarding teams EXCEPT:

- ▶ Teams are more flexible than traditional departments
- ▶ **Teams are less responsive to a changing environment**
- ▶ Teams can serve as a source of job satisfaction
- ▶ Teams better utilize employee talents

Question No: 2 (Marks: 1) - Please choose one

If you get more output from a given input, you have:

- ▶ Decreased effectiveness
- ▶ Increased effectiveness

- ▶ Decreased efficiency
- ▶ **Increased efficiency**

Question No: 3 (Marks: 1) - Please choose one

Constituencies in an organization's external environment that are affected by the organization's decisions and actions are called:

- ▶ **Stakeholders**
- ▶ Advisories
- ▶ Beneficiaries
- ▶ Environmentalists

Question No: 4 (Marks: 1) - Please choose one

European Union was established in:

- ▶ February 1992
- ▶ January 1994
- ▶ **July 1992**
- ▶ November 1993

Question No: 5 (Marks: 1) - Please choose one

Mission Statement of Johnson & Johnson is:

"We believe our first responsibility is to the doctors, nurses, and patients, to mothers and all others who use our products"

This statement shows which of the following attributes of mission statement?

- ▶ Location
- ▶ Customers
- ▶ Self concept
- ▶ **Desired public image**

Question No: 6 (Marks: 1) - Please choose one

Operational plans are normally associated with which of the following organizational level?

- ▶ Global level
- ▶ Corporate level
- ▶ **Business level**
- ▶ Functional level

Question No: 7 (Marks: 1) - Please choose one

Which of the following is the set of strategic alternatives that an organization chooses from, as it conducts business in a particular industry or market?

- ▶ Business-level strategy
- ▶ **Corporate-level strategy**
- ▶ Functional-level strategy
- ▶ Market-level strategy

Question No: 8 (Marks: 1) - Please choose one

In BCG matrix which of the following businesses have a very small share of a market and are not expected to grow?

- ▶ Star
- ▶ Dogs
- ▶ Cash cow
- ▶ **Question mark**

Question No: 9 (Marks: 1) - Please choose one

When managers delegate authority, they must allocate equal:

- ▶ **Responsibility**
- ▶ Power
- ▶ Money
- ▶ Influence

Question No: 10 (Marks: 1) - Please choose one

Which of the following organization is responsible for the development of small business in Pakistan?

- ▶ **SMEDA**
- ▶ BISE
- ▶ ICMA
- ▶ PCSIR

Question No: 11 (Marks: 1) - Please choose one

Which of the following creates the "Dual Chain of Command?"

- ▶ Team based and Project Structure
- ▶ Functional and Simple structure
- ▶ **Project and matrix Structure**
- ▶ Simple and matrix Structure

Question No: 12 (Marks: 1) - Please choose one

Which of the following is an internal state that makes certain outcomes appear attractive?

- ▶ Fad
- ▶ Desire
- ▶ **Need**
- ▶ Fashion

Question No: 13 (Marks: 1) - Please choose one

The statement that people will exercise self direction and self control if they are committed to the objectives, is true about which of the following?

- ▶ Equity Theory
- ▶ **ERG Theory**
- ▶ Theory X
- ▶ Theory Y

Question No: 14 (Marks: 1) - Please choose one

According to Herzberg's Motivation-Hygiene Theory, which of the following is NOT a hygiene factor?

- ▶ Working Conditions
- ▶ Salary
- ▶ **Relationship with supervisor**
- ▶ Work itself

Question No: 15 (Marks: 1) - Please choose one

Which of the following group engages in collective work that requires joint effort and generates a positive synergy?

- ▶ **Work group**
- ▶ Work team
- ▶ Quality circle
- ▶ Functional team

Question No: 16 (Marks: 1) - Please choose one

A team whose members are at different locations, who work together and solve problems through computer-assisted exchange rather than personal, face-to-face meetings are operating as which of the following?

- ▶ Virtual team
- ▶ Quality circle
- ▶ Self-directed team
- ▶ **Cross-functional team**

Question No: 17 (Marks: 1) - Please choose one

Amir has found out that his department operates on the most popular type of control that many other companies use. Which type of control all companies have in common?

- ▶ Feed forward
- ▶ **Concurrent**
- ▶ Feedback
- ▶ Indirect

Question No: 18 (Marks: 1) - Please choose one

Which of the following can be defined as the art and science of formulating, implementing and evaluating cross-functional decisions that enable an organization to achieve its objectives?

- ▶ Strategy formulation
- ▶ Strategy evaluation
- ▶ Strategy implementation
- ▶ **Strategic management**

Question No: 19 (Marks: 1) - Please choose one

Decisions which deal with situations where the factors are fairly structured and occur with some frequency are called:

- ▶ Heuristic decision
- ▶ **Programmed decision**
- ▶ Satisfying decision
- ▶ Non-programmed decision

Question No: 20 (Marks: 1) - Please choose one

"Employees dislike work, they are lazy, dislike responsibilities and must be coerced to perform". Which of the following best describes this statement?

- ▶ Hygiene Factor Theory
- ▶ Resistance Theory
- ▶ **Theory X**
- ▶ Two factors Theory

Question No: 21 (Marks: 1) - Please choose one

Management of ABC Company has decided to adopt a systematic way of setting goals for its work units and for employees so that all their activities are directly linked to achieve the organizational goals. Management of ABC Company is following which of the following concept?

- ▶ Management by objective
- ▶ **Management by resources**
- ▶ Management by authority
- ▶ Management by system

Question No: 22 (Marks: 1) - Please choose one

Mr. Ali is working in XYZ Company for the last three years and since then he is performing the same tasks. Now he wants to put his efforts in the more challenging tasks that could increase the amount of his control and responsibilities.

What possible job practices should be added to Ali's job?

- ▶ Job enlargement
- ▶ **Job enrichment**
- ▶ Job rotation
- ▶ Feedback

Question No: 23 (Marks: 1) - Please choose one

Honda has decided to shift towards the higher efficiency rather than sales growth. For achieving such goal, some authorities were delegated to middle managers, which were previously held by top management. Honda has applied which of the following concept?

- ▶ **Highly centralized**
- ▶ Departmentalization
- ▶ Decentralization
- ▶ Centralization

Question No: 24 (Marks: 1) - Please choose one

"How long effort is maintained" relates to which of the following approach of performing a task?

- ▶ **Intensity**
- ▶ Direction
- ▶ Persistence
- ▶ Motivation

Question No: 25 (Marks: 1) - Please choose one

All of the following are the behavioural theories EXCEPT:

- ▶ Path Goal studies
- ▶ Ohio State Studies
- ▶ Michigan Studies
- ▶ **Iowa Studies**

Question No: 26 (Marks: 1) - Please choose one

Which of the following can be used as a medium of communication in the organizations?

- ▶ Manuals
- ▶ Meetings
- ▶ Face to face discussions
- ▶ **All of the given options**

Question No: 27 (Marks: 1) - Please choose one

During a meeting Mr. A, from the quality control department was not agreeing with the marketing manager on the issue like "how to improve the product quality ". He simply leaves the meeting and by doing so he wants to communicate his disagreement with the marketing manager. This is an example of:

- ▶ Non-verbal
- ▶ Verbal
- ▶ Written
- ▶ **Oral**

Question No: 28 (Marks: 1) - Please choose one

The force that results in greater combined gains/benefits through group interaction is called:

- ▶ **Positive synergy**
- ▶ Negative synergy
- ▶ Individualism
- ▶ Cohesiveness

Question No: 29 (Marks: 1) - Please choose one

Which of the given option represents the relationship between 'Management Science' & 'Operation Management'?

- ▶ **Both are used interchangeably**
- ▶ Operation management is an applied form of management science
- ▶ Management science is an applied form of operation management
- ▶ No relationship exists between the two

Question No: 30 (Marks: 1) - Please choose one

Job activities performed by workers of an organization are served as:

- ▶ **Input in a system**
- ▶ Transformation process
- ▶ Output offered by organization
- ▶ Feedback from the environment

Question No: 31 (Marks: 1) - Please choose one

In order to respond to irrational situations, which of the following style is preferred?

- ▶ Crisis decision making style
- ▶ **Programmed decision making style**
- ▶ Opportunity decision making style
- ▶ Non-programmed decision making style

Question No: 32 (Marks: 1) - Please choose one

Amir is representing his company at the local Chamber of Commerce Annual Business Recognition luncheon. He is performing which of the following managerial role?

- ▶ **Liaison**
- ▶ Negotiator
- ▶ Monitor
- ▶ Figurehead

Question No: 33 (Marks: 1) - Please choose one

Selection of students in the admission process of university is an illustration of:

- ▶ Structured decisions
- ▶ Ill-structured decisions
- ▶ **Programmed decisions**
- ▶ Non-programmed decisions

Question No: 34 (Marks: 1) - Please choose one

Which of the following reasoning gave emergence to the concept of non-rational models of decision making?

- ▶ All the necessary information is not always available
- ▶ Strict rules and regulations are defined in the organizations
- ▶ Highly needed by the bureaucratic & public sector organizations
- ▶ **All of the given options**

Question No: 35 (Marks: 1) - Please choose one

Behavioral viewpoint emphasizes the need of understanding the various factors affecting the_____in an organization.

- ▶ Undesired behavior
- ▶ Moral behavior
- ▶ **Ethical behavior**
- ▶ Human behavior

Question No: 36 (Marks: 1) - Please choose one

Which of the following is called an input to an organizational system?

- ▶ **Employees**
- ▶ Products
- ▶ Services
- ▶ Customers

Question No: 37 (Marks: 1) - Please choose one

Disney World buys soft drinks from coca-cola, food from Sara Lee and paper products from Mead. Coca-cola, Sara Lee and Mead are Disney's:

- ▶ Competitors

► **Suppliers**

- Owners
- Customers

Question No: 38 (Marks: 1) - Please choose one

The common currency used by European Union is called:

- Franc
- Franc-mark
- Pound
- **Euro**

Question No: 39 (Marks: 1) - Please choose one

In order to achieve efficiency organizations segregate tasks in terms of similarity of its activities, the process is labeled as:

- Job specification
- **Job specialization**
- Job design
- Job description

Question No: 40 (Marks: 1) - Please choose one

Which of the given power is attained through formal hierarchy?

- Expert power
- **Information power**
- Charismatic power
- Referent power

Question No: 41 (Marks: 1) - Please choose one

Goal-setting theory states that "more difficult goals lead to more efforts". Therefore goals should be:

- Beyond the individuals capacity
- Challenging but not unattainable
- Timeless to continue the efforts in long run
- **All of the given options**

Question No: 42 (Marks: 1) - Please choose one

Employee's personal inclination towards goal attainment is referred as:

- Goal commitment
- Goal difficulty
- Goal acceptance
- **Goal specificity**

Question No: 43 (Marks: 1) - Please choose one

Mr. A, Mr. B, Mr. C and Mr. D are working on a project in a team. Mr. A wants to dominate others, as he wants to become a leader and controlling authority. Mr. A meets which of the following needs?

- **Need for power**
- Need for achievement
- Need for success

- ▶ Need for affiliation

Question No: 44 (Marks: 1) - Please choose one

It is essential for a team to be a:

- ▶ **Formal group**
- ▶ Large group
- ▶ Informal group
- ▶ Small group

Question No: 45 (Marks: 1) - Please choose one

Which of the following is selected by the sender and may be formal for job-related messages or informal for personal or social messages?

- ▶ Message
- ▶ **Channel**
- ▶ Feedback
- ▶ Noise

Question No: 46 (Marks: 1) - Please choose one

Which of the following leader's behavior was identified by Researchers at Ohio State Universities?

- ▶ **Consideration and initiating structure**
- ▶ Consideration and autocratic
- ▶ Autocratic style
- ▶ Charismatic skills

Question No: 47 (Marks: 1) - Please choose one

In Pakistan China imported goods are relatively cheap. These companies are practicing which of the following strategies?

- ▶ Focus Strategy
- ▶ Differentiation strategy
- ▶ **Cost leadership strategy**
- ▶ Emergent strategy

Question No: 48 (Marks: 1) - Please choose one

Which of the following is the set of strengths, characteristics and qualities including skills, technologies or resources that distinguish a firm from its competitors?

- ▶ Scope of business
- ▶ **Distinctive competency**
- ▶ Resource deployment
- ▶ Effective strategy

PAPER NO 3

FINAL TERM EXAMINATION
Spring 2010
MGT503- Principles of Management
BY ADNAN AWAN
Adnanawan6@gmail.com

Time: 90 min

Question No: 1 (Marks: 1) - Please choose one

Which of the following courses helps managers gain a better understanding of motivation, leadership, trust, employee selection, performance appraisals and training techniques?

- ▶ Psychology
- ▶ Sociology
- ▶ Political science
- ▶ **Anthropology**

Question No: 2 (Marks: 1) - Please choose one

All of the following are included in the four components of the management process EXCEPT:

- ▶ Organizing
- ▶ Leading
- ▶ **Delegating**
- ▶ Planning

Question No: 3 (Marks: 1) - Please choose one

Ali is a Branch Manager at Mutual Saving Bank. If he is an average middle manager, which of the following management activities is he likely to spend the greatest amount of time?

- ▶ Planning
- ▶ **Controlling**
- ▶ Leading
- ▶ Organizing

Question No: 4 (Marks: 1) - Please choose one

Who studied work to eliminate inefficient hand-and-body motions?

- ▶ Henri Fayol
- ▶ **Frank and Lillian Gilbreth**
- ▶ Fredrick Taylor
- ▶ Henry Towne

Question No: 5 (Marks: 1) - Please choose one

All of the following are called "Classical Viewpoints" EXCEPT:

- ▶ Scientific management
- ▶ **Industrial management**
- ▶ Administrative management
- ▶ Bureaucratic management

Question No: 6 (Marks: 1) - Please choose one

Which of the following concept suggests that organizational units may often be more successful working together than working alone?

- ▶ Transformation
- ▶ **Synergy**
- ▶ Negative Entropy
- ▶ Entropy

Synergy

is the ability of the whole to equal more than the sum of its parts.

Question No: 7 (Marks: 1) - Please choose one

A form of business exchange or transaction in which the parties interact electronically is called:

▶ **E-commerce**

- ▶ E-business
- ▶ E-shopping
- ▶ E- trading

Question No: 8 (Marks: 1) - Please choose one

Which one is the final step in the decision-making process:

- ▶ Evaluating the decision
- ▶ Recognizing the decision
- ▶ Evaluating the alternatives

▶ **Implementing the decision**

Question No: 9 (Marks: 1) - Please choose one

A situation that offers a strong potential for significant organizational gain if appropriate actions are taken is called:

- ▶ Crisis problem
- ▶ Non- Crisis problem

▶ **Opportunity problem**

- ▶ Financial Problem

Question No: 10 (Marks: 1) - Please choose one

Competitor intelligence allows managers to do which of the following?

- ▶ React to competitor actions
- ▶ Cut cost below the competition
- ▶ Increase market diversification

▶ **Predict competitor actions**

Question No: 11 (Marks: 1) - Please choose one

Mission Statement of Johnson & Johnson is:

"We believe our first responsibility is to the doctors, nurses, and patients, to mothers and all others who use our products"

This statement shows which of the following attributes of mission statement?

- ▶ Location
- ▶ **Customers**
- ▶ Self concept
- ▶ Desired public image

Question No: 12 (Marks: 1) - Please choose one

Operational plans are normally associated with which of the following organizational level?

- ▶ Global level
- ▶ Corporate level
- ▶ Business level
- ▶ **Functional level**

Question No: 13 (Marks: 1) - Please choose one

The method by which strategies are operationalized or executed within the organization is called:

- ▶ Strategy formulation
- ▶ **Strategy implementation**
- ▶ Strategy evaluation
- ▶ Strategy imitation

Question No: 14 (Marks: 1) - Please choose one

When the strength provides superior and unique customer value and is difficult to imitate then the distinctive competence creates a sustainable:

- ▶ **Competitive advantage**
- ▶ Scope
- ▶ Resource deployment
- ▶ Effective strategy

Question No: 15 (Marks: 1) - Please choose one

Which of the following is an area in the environment that if exploited may generate high performance for organization?

- ▶ Strength
- ▶ Weakness
- ▶ **Opportunity**
- ▶ Threat

Question No: 16 (Marks: 1) - Please choose one

In BCG matrix which of the following businesses have a large share of a market that are not expected to grow substantially?

- ▶ Dogs
- ▶ Question mark
- ▶ Star
- ▶ **Cash cow**

The Cash Cow has a high market share in a slowly growing market.

Question No: 17 (Marks: 1) - Please choose one

A company's "chain of command" is a part of which process?

- ▶ Span of control
- ▶ **Organizational design**
- ▶ Formalization
- ▶ Work specialization

Question No: 18 (Marks: 1) - Please choose one

Which of the following is a characteristic of an organic organization?

- ▶ Centralization
- ▶ High specialization
- ▶ High formalization
- ▶ **Free flow of information**

Question No: 19 (Marks: 1) - Please choose one

According to Maslow, which one of the following needs does not fit into the higher-order needs?

- ▶ Self-actualization
- ▶ Esteem
- ▶ **Physiological**
- ▶ Social

According to maslow it is most basic or lower order need.

Question No: 20 (Marks: 1) - Please choose one
According to Maslow, which hierarchy is in proper order from lowest to highest?

- ▶ Safety, physiological, esteem, self-actualization, social.
- ▶ Esteem, physiological, self-actualization, safety, social
- ▶ Self-actualization, physiological, social, esteem, safety
- ▶ **Physiological, safety, social, esteem, self-actualization**

Question No: 21 (Marks: 1) - Please choose one
The statement that people will exercise self direction and self control if they are committed to the objectives, is true about which of the following?

- ▶ Equity Theory
- ▶ ERG Theory
- ▶ Theory X
- ▶ **Theory Y**

Question No: 22 (Marks: 1) - Please choose one
Which theory includes the component that employee motivation is influenced by relative as well as absolute rewards?

- ▶ Expectancy
- ▶ Three-needs
- ▶ Goal-setting
- ▶ **Equity**

Question No: 23 (Marks: 1) - Please choose one
Which of following is the?

- ▶ Group Conformity
- ▶ **Group cohesiveness**
- ▶ Group decision making
- ▶ Group norms

Question No: 24 (Marks: 1) - Please choose one
Self-managing teams possess all of the following characteristics EXCEPT:

- ▶ **Members hire other members**
- ▶ Members determine the compensation of its members
- ▶ Members have discretion in scheduling work within the team
- ▶ Members have discretion in distributing tasks within the team

Question No: 25 (Marks: 1) - Please choose one
Which of the following is the most cited benefit of value chain management?

- ▶ **Cost savings**
- ▶ Increased sales
- ▶ Inventory reductions
- ▶ Accelerated delivery times

Question No: 26 (Marks: 1) - Please choose one

A large chemical company not only dispose off all toxic waste properly as outlined by law, but it also spends \$1 million dollars each year on research to determine better processes for all businesses to use in disposing of toxic wastes. This company is exhibiting which of the following?

► **Social responsibility**

- Social obligation
- Moral obligation
- Social responsiveness

Question No: 27 (Marks: 1) - Please choose one

If goals are _____, it will help the employees to identify the purpose of goals and to recognize the ways of meeting them.

► **Relevant**

- Time-limit
- General
- Measurable

Question No: 28 (Marks: 1) - Please choose one

When we talk about an organization's core technology, we mean organization's:

- Less important technology
- **Most important technology**
- All technologies the organization is using
- Technology that is never used

Question No: 29 (Marks: 1) - Please choose one

An organizational structure made up of working groups or teams is called:

► **Team-based structure**

- Project structure
- Matrix structure
- Divisional structure

Question No: 30 (Marks: 1) - Please choose one

Tall structure is more expensive because of:

- Few departments
- Lesser resources
- Fewer hierarchical levels
- **More hierarchical levels**

Question No: 31 (Marks: 1) - Please choose one

Which of the following theory directly relates the individual's behavior with the consequences of their actions?

► **Reinforcement theory**

- Goal setting theory
- Equity theory
- Expectancy theory

Question No: 32 (Marks: 1) - Please choose one

Mr. Haris and Mr. Fahad are working equally but Mr. Haris is paid more than Mr. Fahad. Mr. Haris is being----- and Mr. Fahad is being-----.

- Over rewarded, under rewarded
- **Under rewarded, over rewarded**
- Rewarded, unrewarded

- ▶ Over rewarded, unrewarded

Question No: 33 (Marks: 1) - Please choose one

To analyze the group performance, group should be viewed as:

- ▶ System
- ▶ **Feedback**
- ▶ Output
- ▶ Input

Question No: 34 (Marks: 1) - Please choose one

XYZ Company is dealing in consumer products and operating in highly competitive market. Company wants to assure the quality of its product by applying best suitable control method. Which of the following control method will be suitable for XYZ Company?

- ▶ Bureaucratic control
- ▶ **Market control**
- ▶ Clan control
- ▶ None of the given options

Question No: 35 (Marks: 1) - Please choose one

Tax revenue is one of the significant resources of the city government, in which type of resource category tax revenue falls?

- ▶ Human resources
- ▶ **Financial resources**
- ▶ Physical resources
- ▶ Information resources

Question No: 36 (Marks: 1) - Please choose one

Which of the following group techniques allows group members to meet together, but also allows independent thinking?

- ▶ Brainstorming technique
- ▶ **Nominal group technique**
- ▶ Delphi technique
- ▶ Devil's advocacy technique

Question No: 37 (Marks: 1) - Please choose one

In terms of linear programming, profit margins on different products that a company can produce represent which of the following?

- ▶ Constraints
- ▶ Feasibility regions
- ▶ Scenarios
- ▶ **Objective function**

Question No: 38 (Marks: 1) - Please choose one

The university has selected some of its faculty members to conduct the worthy researches on variant topics. These members are also responsible for their courses in addition to this creative task of assisting research. Which of the following is applied in the given situation?

- ▶ Job rotation
- ▶ **Job enlargement**
- ▶ Job enrichment
- ▶ Job specification

Question No: 39 (Marks: 1) - Please choose one
Which of the given power is attained through formal hierarchy?

- ▶ **Expert power**
- ▶ Information power
- ▶ Charismatic power
- ▶ Referent power

Question No: 40 (Marks: 1) - Please choose one
Keeping distinguished features of Transformational leaders, at which hierarchical level they mostly found in an organization?

- ▶ Bottom level
- ▶ **Top level**
- ▶ Middle level
- ▶ First-line level

Question No: 41 (Marks: 1) - Please choose one
With respect to five hierarchical needs of Marlow's theory, at which level transformational style is more beneficial?

- ▶ Physical needs
- ▶ Safety needs
- ▶ Social needs
- ▶ **Self-actualization needs**

Question No: 42 (Marks: 1) - Please choose one
Which of the following groups usually adjourns?

- ▶ **Task group**
- ▶ Command group
- ▶ Friendship group
- ▶ Functional group

Question No: 43 (Marks: 1) - Please choose one
Health camps were established in Azad Jammu Kashmir as the rehabilitation program for earthquake effecties. These camps consisted of doctors and surgeons from various fields of specialization. Therefore health camp is an example of:

- ▶ Quality circle
- ▶ Virtual teams
- ▶ **Cross- functional teams**
- ▶ Management teams

Question No: 44 (Marks: 1) - Please choose one
Which of the following purpose is served through communication?

- ▶ Motivating employees
- ▶ Sharing information
- ▶ Conveying emotional expressions
- ▶ **All of the given options**

Question No: 45 (Marks: 1) - Please choose one
In a growing number of organizations, the traditional team consisting of a manager and a team that reports directly to him or her is being replaced, into _____, by giving relative autonomy to them to form more flexible teams.

- ▶ Quality improvement teams

- ▶ Virtual teams
- ▶ **Self-managing teams**

- ▶ Cross-functional teams

Question No: 46 (Marks: 1) - Please choose one

XYZ Company has been dealing in crockery since the last 12 years. Company's performance is satisfactory and the environment appears to be constant, that's why company perceives no reason to change, hence falls under:

- ▶ **Stability**
- ▶ Diversification
- ▶ Concentration
- ▶ Direct Expansion

Question No: 47 (Marks: 1) - Please choose one

When public sector organizations serve in terms of varying needs of children, disabled & adults, it is said to be adopting which kind of departmentalization?

- ▶ Product
- ▶ Geographic
- ▶ Outcome
- ▶ **Customer**

Question No: 48 (Marks: 1) - Please choose one

Zarkoo Airlines use _____ departmentalization to arrange its activities as commercial airplanes and military airplanes.

- ▶ **Functional**
- ▶ Geographic
- ▶ Customer
- ▶ Matrix

Adnanawan6@gmail.com

PAPER NO 4

FINAL TERM EXAMINATION
Spring 2010
MGT503- Principles of Management
BY ADNAN AWAN

Adnanawan6@gmail.com

Time: 90 min
Marks: 69

Question No: 1 (Marks: 1) - Please choose one
 Leadership role is more important for:

- ▶ **Top level managers**
- ▶ First line managers
- ▶ Middle level managers
- ▶ Non managerial staff

Question No: 2 (Marks: 1) - Please choose one

All of the following are included in Fayol's fundamental principles of management EXCEPT:

- ▶ **Diversity**
- ▶ Order
- ▶ Initiative
- ▶ Authority

Question No: 3 (Marks: 1) - Please choose one

A situation in which manager can make an accurate decision is called:

- ▶ **Certainty**
- ▶ Uncertainty
- ▶ Risk
- ▶ Factual

Question No: 4 (Marks: 1) - Please choose one

A manager who is deciding how to invest excess cash gets information from the bank. The manager describes various options available for investment, each of which has a guaranteed rate of return. This situation is called:

- ▶ Certainty
- ▶ Uncertainty
- ▶ Risk
- ▶ **Optimal decision-making**

Question No: 5 (Marks: 1) - Please choose one

All of the following are the assumptions of rational decision making EXCEPT:

- ▶ Alternatives are known
- ▶ Possible outcomes known
- ▶ Optimal decision is possible
- ▶ **Information is unknown**

Question No: 6 (Marks: 1) - Please choose one

Plans which have the broadest organizational focus and the longest time frame are called:

- ▶ Tactical
- ▶ **Strategic**
- ▶ Directional
- ▶ Operational

Question No: 7 (Marks: 1) - Please choose one

The method by which strategies are operationalized or executed within the organization is called:

- ▶ Strategy formulation
- ▶ **Strategy implementation**
- ▶ Strategy evaluation
- ▶ Strategy imitation

Question No: 8 (Marks: 1) - Please choose one

Which stage of strategic management focuses on; "how the strategy is achieved"?

- ▶ Implementation stage
- ▶ Evaluation stage
- ▶ Realization stage
- ▶ **Formulation stage**

Question No: 9 (Marks: 1) - Please choose one

Which of the following is a document that summarizes the business strategy and structure?

- ▶ **Business plan**
- ▶ Letter of credit
- ▶ Article of association
- ▶ Memorandum

Question No: 10 (Marks: 1) - Please choose one

Horizontal coordination links the activities of which of the following?

- ▶ Same departmental level
- ▶ From Top to bottom
- ▶ From Bottom to top level
- ▶ **Different departmental level**

Question No: 11 (Marks: 1) - Please choose one

All of the following factors are the most challenging for the managers in today's competitive world EXCEPT:

- ▶ Meet the market demand of products
- ▶ **Motivating competitors to do work efficiently**
- ▶ Facing the competition
- ▶ Environmental uncertainty

Question No: 12 (Marks: 1) - Please choose one

Channelized efforts are the result of which of the following?

- ▶ **Right direction**
- ▶ Centralization
- ▶ Proper guidance
- ▶ Good hierarchy

Question No: 13 (Marks: 1) - Please choose one

The statement that people will exercise self direction and self control if they are committed to the objectives, is true about which of the following?

- ▶ Equity Theory
- ▶ ERG Theory
- ▶ Theory X
- ▶ **Theory Y**

Question No: 14 (Marks: 1) - Please choose one

To motivate professionals what point should be in consideration?

- ▶ Commitment to their field
- ▶ Job security
- ▶ Offering high pay
- ▶ **Promotions**

Question No: 15 (Marks: 1) - Please choose one

A leader who involves employees in decision making, delegates authority and allows employees to have direct input into the final decision is using which of the following leadership style?

- ▶ Democratic-participative
- ▶ **Laissez-faire**
- ▶ Autocratic
- ▶ Democratic-consultative

Question No: 16 (Marks: 1) - Please choose one

Which of the following is a characteristic of a high-performing team that makes the group greater than the sum of its parts?

- ▶ A quality circle
- ▶ Group dynamics
- ▶ Synergy
- ▶ **Cohesiveness**

Question No: 17 (Marks: 1) - Please choose one

Which of the following group engages in collective work that requires joint effort and generates a positive synergy?

- ▶ **Work group**
- ▶ Work team
- ▶ Quality circle
- ▶ Functional team

Question No: 18 (Marks: 1) - Please choose one

As if's work team does its own hiring and scheduling and is even responsible for evaluating each other's performance. Asif is part of which of the following team?

- ▶ Problem-solving
- ▶ Cross-functional
- ▶ **Self-managed**
- ▶ Virtual

Question No: 19 (Marks: 1) - Please choose one

All of the following are examples of non-verbal communication EXCEPT:

- ▶ **Conference**
- ▶ Body position
- ▶ The distance between two people
- ▶ The style of clothing people wear

Question No: 20 (Marks: 1) - Please choose one

The supplies or raw material is needed to create a product are called:

- ▶ **Outputs**
- ▶ Investments
- ▶ Processes
- ▶ Inputs

Question No: 21 (Marks: 1) - Please choose one

What do we call the entire series of organizational work activities that add value at each step that begin with the processing of raw materials and end with a finished product in the hands of end users?

- ▶ Value Chain Management
- ▶ **Value Chain Management Operations**
- ▶ Value
- ▶ Value Chain

Question No: 22 (Marks: 1) - Please choose one

Which of the following is the obligation or expectation to perform a duty?

- ▶ **Responsibility**
- ▶ Unity of command
- ▶ Chain of command
- ▶ Span of control

Question No: 23 (Marks: 1) - Please choose one

Aslam is a manager of a software house. He is very competitive and tries to stay ahead of the competition. For this purpose he should provide information or services before any other company provides. But as internet industry is a dynamic industry, he has to provide information to his clients before it comes to market. In different situations he doesn't know what new trend will come in market. Aslam is operating under which of the following conditions?

- ▶ Risk
- ▶ Bounded Rationality
- ▶ **Uncertainty**
- ▶ Certainty

Question No: 24 (Marks: 1) - Please choose one

MBO was first described by:

- ▶ **Michael Porter**
- ▶ Charles Babbage
- ▶ Peter Drucker
- ▶ Hugo Munsterbeg

Question No: 25 (Marks: 1) - Please choose one

Policies, procedures, rules and regulations are kinds of:

- ▶ Budgeting
- ▶ Single-use plans
- ▶ **Standing plans**
- ▶ Informal plans

Question No: 26 (Marks: 1) - Please choose one

Which of the following is also known as strategy analysis?

- ▶ **SWOT analysis**
- ▶ External analysis
- ▶ Internal analysis
- ▶ Situation analysis

Question No: 27 (Marks: 1) - Please choose one

Which of the following should be completed first in the strategic management process?

- ▶ Performing SWOT analysis
- ▶ Implementing strategies

- ▶ Scan the environment
- ▶ **Define the organizational mission**

Question No: 28 (Marks: 1) - Please choose one

Small companies may not have so many opportunities of promotions, so they usually try to motivate employees through:

- ▶ Attractive packages
- ▶ High Incentives
- ▶ Turnover
- ▶ **Job enlargement**

Question No: 29 (Marks: 1) - Please choose one

Mr. Haris and Mr. Fahad are working equally but Mr. Haris is paid more than Mr. Fahad. Mr. Haris is being----- and Mr. Fahad is being-----.

- ▶ Over rewarded, under rewarded
- ▶ Under rewarded, over rewarded
- ▶ **Rewarded, unrewarded**
- ▶ Over rewarded, unrewarded

Question No: 30 (Marks: 1) - Please choose one

In many organizations individuals who have good computer skills and ability to solve related problems can influence others because of their:

- ▶ Coercive Power
- ▶ Referent Power
- ▶ **Expert Power**
- ▶ Reward Power

Question No: 31 (Marks: 1) - Please choose one

The effectiveness of downward communication can be increased by using all of the following approaches EXCEPT:

- ▶ By using multiple channels
- ▶ By repeating the message
- ▶ By encouraging feedback
- ▶ **By distorting the message**

Question No: 32 (Marks: 1) - Please choose one

Feed-forward, Feedback and Concurrent control are the types of control methods based on:

- ▶ **Decision making**
- ▶ Market information
- ▶ Timing
- ▶ Financial resources

Question No: 33 (Marks: 1) - Please choose one

A universally accepted model of a successful manager could be described as:

- ▶ **One who practices all the four management functions**
- ▶ One who executes all of the roles in a professional manner
- ▶ One who possesses all management skills at high levels
- ▶ There is no universally accepted model of a successful manager

Question No: 34 (Marks: 1) - Please choose one

With the passage of time the concept of work specialization has emerged in the business world. Which of the following skill category is influenced significantly due to this change?

▶ **Conceptual skill**

- ▶ Interpersonal skill
- ▶ Technical skill
- ▶ Human skill

Question No: 35 (Marks: 1) - Please choose one

Why customers are recognized as one of the major stakeholders of an organization?

▶ They are directly influenced by the company's culture

▶ **They engage their finances in the company's offerings**

- ▶ They are highly influenced by the company stock ratings
- ▶ They can impact the labor market of an organization

Question No: 36 (Marks: 1) - Please choose one

Which of the given role is played by Central Board of Revenue (CBR) in our environment with respect to the operating organizations?

- ▶ Competitors
- ▶ Clients
- ▶ Labor markets

▶ **Regulators**

Question No: 37 (Marks: 1) - Please choose one

In order to make effective decisions, managers have to be cautious enough while allocating the resources. Which of the given technique helps managers in this regard?

- ▶ Environmental scanning
- ▶ Forecasting
- ▶ Benchmarking

▶ **Budgeting**

Question No: 38 (Marks: 1) - Please choose one

Disney World buys soft drinks from Coca-Cola, food from Sara Lee and paper products from Mead. Coca-Cola, Sara Lee and Mead are Disney's:

- ▶ Competitors
- ▶ **Suppliers**
- ▶ Owners
- ▶ Customers

Question No: 39 (Marks: 1) - Please choose one

Scrutinizing the work situation for changing conditions that may signal the materialization of a problem comes under:

- ▶ Scanning stage
- ▶ Categorization stage
- ▶ Diagnosis stage

▶ **Implementation stage**

Question No: 40 (Marks: 1) - Please choose one

Pakistan Cricket Board (PCB) has appointed Waqar Younis as the coach of the Pakistani team to guide them the game tactics. On what grounds PCB has selected Waqar Younis?

► **He possesses expert power**

- He exercises reward power
- He occupies coercive power
- He enjoys information power

Question No: 41 (Marks: 1) - Please choose one

Considering the changing patterns of the business world, which of the given is considered to be the modern motivating tool?

► **High salary**

- Flexi time
- Secured job
- Medical allowance

Question No: 42 (Marks: 1) - Please choose one

Which of the following is the best description of motivation?

- An internal drive in a specific direction
- A trait that some people have and some people don't
- A trained condition or response

► **A talent that must be developed and perfected**

Question No: 43 (Marks: 1) - Please choose one

Which one of the following is a strength of MBO?

► **Overemphasis on quantitative goals**

- Requires training of employees
- Clarify priorities and expectation
- Tends to falter without strong commitment

Question No: 44 (Marks: 1) - Please choose one

ABC Corp. has turned each of its divisions into profit centers and evaluates each division by the percentage of total corporate profits that it generates. It uses which of the following control?

- Accounting
- Bureaucratic
- **Financial**
- Sector

Question No: 45 (Marks: 1) - Please choose one

Which of the following best describes this statement; "The degree to which the individual believes that performing at a particular level is instrumental in attaining the desired outcome"?

- Effort-performance linkage
- **Performance-reward linkage**
- Valence of a reward
- All of the given options

Question No: 46 (Marks: 1) - Please choose one

Which of the following is the set of strengths, characteristics and qualities including skills, technologies or resources that distinguish a firm from its competitors?

- Scope of business
- Distinctive competency
- **Resource deployment**
- Effective strategy

Question No: 47 (Marks: 1) - Please choose one

"Cost-saving advantages from specialization" is a feature of which kind of structural organization?

- ▶ Divisional
- ▶ Team
- ▶ Learning
- ▶ **Functional**

Question No: 48 (Marks: 1) - Please choose one

An organization that groups activities according to women's footwear, men's footwear, apparel and accessories would use which of the following departmentalization?

- ▶ Product
- ▶ **Operational**
- ▶ Geographic
- ▶ Functional

Paper No 5

FINAL TERM EXAMINATION
Fall 2009
MGT503- Principles of Management
BY ADNAN AWAN
Adnanawan6@gmail.com

Time: 120 min
Marks: 92

Question No:1 (Marks: 1) - Please choose one

Which of the following is the latest concept in financial control?

- ▶ Economic Market Value
- ▶ Earning Market Value
- ▶ Financial Value Added
- ▶ **Economic Value Added**

Question No: 2 (Marks: 1) - Please choose one

Feed forward control is also called as:

- ▶ **Preliminary control**
- ▶ Post action control
- ▶ Output control
- ▶ Concurrent control

Question No: 3 (Marks: 1) - Please choose one

A ----- is a control system that relies on human discretion as a basic part of its process.

- ▶ Cyber control system
- ▶ **Non-cybernetic control system**
- ▶ Market control system
- ▶ None of the given option

Question No: 4 (Marks: 1) - Please choose one

----- is a tool for measuring corporate and divisional performance by calculating after-tax operating profit minus the total annual cost of capital.

- ▶ Market value added
- ▶ **Economic value added**
- ▶ Balanced Scorecard
- ▶ Benchmarking

Question No:5 (Marks: 1) - Please choose one

All of the following are managerial roles identified in Mintzberg's Model EXCEPT:
<http://vustudents.ning.com>

- ▶ Informational
- ▶ Interpersonal
- ▶ **Functional**
- ▶ Decisional

Question No: 6 (Marks: 1) - Please choose one

When managers motivate employees, direct the activities of others and resolve conflicts, they are performing which of the following functions of management?

- ▶ Controlling
- ▶ Organizing
- ▶ **Leading**
- ▶ Planning

Question No: 7 (Marks: 1) - Please choose one

Who studied work to eliminate inefficient hand-and-body motions?

- ▶ Henri Fayol
- ▶ Frank and Lillian Gilbreth
- ▶ **Fredrick Taylor**
- ▶ Henry Towne

Question No: 8 (Marks: 1) - Please choose one

Low level management has a complete authority to make decisions in case of:

- ▶ Centralization
- ▶ **Decentralization**
- ▶ Scalar Chain
- ▶ Order

Question No: 9 (Marks: 1) - Please choose one

System approach recognizes that organizations are not:

- ▶ **Self-contained**
- ▶ Self-controlled
- ▶ Self-discipline
- ▶ Self-motivated

Question No: 10 (Marks: 1) - Please choose one

Mega environment is also called:

- ▶ Open environment
- ▶ Close environment
- ▶ Flexible environment

► **General environment**

Question No:11 (Marks: 1) - Please choose one

Maslow's hierarchy of needs theory proposes that every person has a hierarchy of:

- Four needs
- **Five needs**
- Three needs
- Six needs

Question No:12 (Marks: 1) - Please choose one

Which of the following deals with the need of a business to meet only basic economic and legal standards?

- Social responsibility
- **Social obligation**
- Moral obligation
- Social responsiveness

Question No: 13 (Marks: 1) - Please choose one

NAFTA was established by the Mexican, Canadian and U.S government on:

- August 12, 1990
- August 12, 1993
- **August 12, 1994**
- August 12, 1992

Question No:14 (Marks: 1) - Please choose one

A society where there is relatively little job mobility and widely practiced lifetime employment would be an example of which of the following dimensions of national culture?

- Power distance
- **Uncertainty avoidance**
- Short- versus long-term orientation
- Individualism versus collectivism

Question No:15 (Marks: 1) - Please choose one

A situation in which manager can make an accurate decision is called:

- **Certainty**
- Uncertainty
- Risk
- Factual

Question No:16 (Marks: 1) - Please choose one

"No smoking allowed" is an example of which of the following?

- **Rule**
- Procedure
- Policy
- Plan

Question No:17 (Marks: 1) - Please choose on

"Whenever possible, we promote from within" is an example of which of the following?

- Rule
- Procedure

- ▶ **Policy**
- ▶ Plan

Question No:18 (Marks: 1) - Please choose one

Aisha uses a decision-making style characterized by low tolerance for ambiguity and a rational way of thinking. What style does Aisha use?

- ▶ Analytic
- ▶ Conceptual
- ▶ **Directive**
- ▶ Behavioral

Question No: 19 (Marks: 1) - Please choose one

A problem with groupthink is that no one is actually in charge of making the final decision or outcome, which results in:

- ▶ **Ambiguous responsibility**
- ▶ Role incoherence
- ▶ Role ambiguity
- ▶ Ambiguous delegation

Question No: 20 (Marks: 1) - Please choose one

Which of the following is NOT one of the three techniques for assessing the environment?

- ▶ **Project management**
- ▶ Benchmarking
- ▶ Forecasting
- ▶ Environmental scanning

Question No:21 (Marks: 1) - Please choose one

Operational plans are normally associated with which of the following organizational level?

- ▶ Global level
- ▶ Corporate level
- ▶ Business level
- ▶ **Functional level**

Question No:22 (Marks: 1) - Please choose one

Which stage of strategic management focuses on; “how the strategy is achieved”?

- ▶ Implementation stage
- ▶ **Evaluation stage**
- ▶ Realization stage
- ▶ Formulation stage

Question No:23 (Marks: 1) - Please choose one

Which of the following is a system in which specific performance objectives are jointly determined by subordinates and their superiors and progress towards objectives is periodically reviewed?

- ▶ **Management by objective**
- ▶ Management by resources
- ▶ Management by authority
- ▶ Management by system

Question No: 24 (Marks: 1) - Please choose one

At the first step of goal setting a manager should:

► **Evaluate available resources**

- Review organization's mission
- Write down goals
- Estimate expected benefits

Question No: 25 (Marks: 1) - Please choose one

In Pakistan China imported goods are available on very inexpensive price. These companies are practicing which of the following strategies?

- Focus Strategy
- Differentiation strategy
- **Cost leadership strategy**
- Emergent strategy

Question No:26 (Marks: 1) - Please choose one

Which of the following is the collection of managerial decisions and actions that determine the long-run performance of an organization?

- **Strategic management**
- Goal-oriented management
- Planning
- Leadership

Question No:27 (Marks: 1) - Please choose one

Which of the following is a document that summarizes the business strategy and structure?

- **Business plan**
- Letter of credit
- Article of association
- Memorandum

Question No: 28 (Marks: 1) - Please choose one

Ali has just been promoted to line manager for the assembling plant. Since Ali is now a manager, which of the following automatically also goes with the title of manager?

- Span of control
- Authority
- Acceptance by the employees
- Respect

Question No:29 (Marks: 1) - Please choose one

Explicit job descriptions and clearly defined procedures are part of which of the following organizational design process?

- **Formalized**
- Process
- Centralized
- Functional

Question No:30 (Marks: 1) - Please choose one

Which of the following is best described as, it is any business that is independently owned and operated and is not dominate in its market?

- Corporation

- ▶ Entrepreneurship
- ▶ **Small business**
- ▶ Strategic alliance

Question No:31 (Marks: 1) - Please choose one

While making a business plan an entrepreneur cannot conduct market research until he:

- ▶ Develops legal plan
- ▶ Develops insurance plan
- ▶ Writes cover letter
- ▶ **Chooses product or service**

Question No: 32 (Marks: 1) - Please choose one

Which of the following is present in a Learning organization?

- ▶ Well-defined structure
- ▶ No leaders
- ▶ Unlimited autonomy
- ▶ A strong sense of community

Question No:33(Marks: 1) - Please choose one

Which of the following is the crucial element of team structure?

- ▶ **Employee empowerment**
- ▶ Faster decision-making
- ▶ Inexpensive to maintain
- ▶ Clear chain of command

Question No: 34 (Marks: 1) - Please choose one

Which of the following is a characteristic of an organic organization?

- ▶ Centralization
- ▶ High specialization
- ▶ High formalization
- ▶ **Free flow of information**

Question No:35 (Marks: 1) - Please choose one

What was the focus of leadership studies in 1920s and 1930s?

- ▶ Charisma
- ▶ Tasks
- ▶ **Traits**
- ▶ Behaviors

Question No:36 (Marks: 1) - Please choose one

Reinforcement theorists believe that behavior results from which of the following?

- ▶ **External consequences**
- ▶ Internal personality traits
- ▶ Setting high goals
- ▶ Intrinsic satisfiers

Question No:37 (Marks: 1) - Please choose one

A leader who involves employees in decision making, delegates authority and allows employees to have direct input into the final

decision is using which of the following leadership style?

- ▶ **Democratic-participative**
- ▶ Laissez-faire
- ▶ Autocratic
- ▶ Democratic-consultative

Question No:38 (Marks: 1) - Please choose one

Women tend to use which of the following leadership style?

- ▶ Autocratic
- ▶ Laissez-faire
- ▶ Dictatorial
- ▶ **Democratic**

Question No:39 (Marks: 1) - Please choose one

Asif's work team does its own hiring and scheduling and is even responsible for evaluating each other's performance. Asif is part of which of the following team?

- ▶ Problem-solving
- ▶ **Cross-functional**
- ▶ Self-managed
- ▶ Virtual

Question No:40 (Marks: 1) - Please choose one

The supplies or raw materials needed to create a product are called:

- ▶ Outputs
- ▶ Investments
- ▶ Processes
- ▶ **Inputs**

Question No:41 (Marks: 1) - Please choose one

Behavioral viewpoint emphasizes the need of understanding the various factors affecting the _____ in an organization.

- ▶ Social behavior
- ▶ Moral behavior
- ▶ Ethical behavior
- ▶ **Human behavior**

Question No:42 (Marks: 1) - Please choose one

ABC Corp. has turned each of its divisions into profit centers and evaluates each division by the percentage of total corporate profits that it generates. It uses which of the following control?

- ▶ Accounting
- ▶ Bureaucratic
- ▶ **Market**
- ▶ Sector

Question No:43 (Marks: 1) - Please choose one

Which of the following factor is more important for men than women?

- ▶ Opportunity to learn
- ▶ Flexibility
- ▶ **Autonomy**
- ▶ Convenience

Question No:44 (Marks: 1) - Please choose one

The Walt Disney Company's movies, theme parks and television programs all benefit one another. Children who enjoy a Disney movie like LION KING want to go to Disney world and see lion king show. They benefit greatly from:

- ▶ **Negative Entropy**
- ▶ Synergy
- ▶ Transformation
- ▶ Entropy

Question No:45 (Marks: 1) - Please choose one

According to Adam Smith, the division of labor results in:

- ▶ Increased worker's motivation
- ▶ Decreased worker's specialization
- ▶ **Increased worker's productivity**
- ▶ Decreased worker's motivation

Question No: 46 (Marks: 1) - Please choose one

Which one of Fayol's 14 principles of management helps preserve the concept of a continuous line of authority?

- ▶ Unity of demand
- ▶ **Unity of command**
- ▶ Demand structure
- ▶ Continuous demand

Question No:47 (Marks: 1) - Please choose one

Mr. A wants to earn a master's degree within two years from a native university. Which of the following SMART objective Mr. A has missed while setting this goal?

- ▶ Time-bound
- ▶ Acceptable
- ▶ **Measurable**
- ▶ Specific

Question No: 48 (Marks: 1) - Please choose one

Which of the following is also known as strategy analysis?

- ▶ **SWOT analysis**
- ▶ External analysis
- ▶ Internal analysis
- ▶ Situation analysis

Question No: 49 (Marks: 1) - Please choose one

Which of the following involves selling or dissolving an entire organization?

- ▶ Divesture
- ▶ **Liquidation**
- ▶ Bankruptcy
- ▶ Harvest

Question No: 50 (Marks: 1) - Please choose one

Grouping of job activities is also known as:

- ▶ **Job design**

- ▶ Job specification
- ▶ Departmentalization
- ▶ Distributing authority

Question No:51 (Marks: 1) - Please choose one

Some students are planning to form a group. They have decided to serve their community by creating the awareness among the people about the adverse effects of pollution. This group will be named as:

- ▶ Command group
- ▶ Functional group
- ▶ Task group
- ▶ **Interest group**

Question No: 52 (Marks: 1) - Please choose one

Which of the following is an example of a group that is formed by the employees themselves to serve the members' social needs?

- ▶ Cross functional group
- ▶ Command group
- ▶ Formal group
- ▶ **Informal group**

Question No: 53 (Marks: 1) - Please choose one

Which of the following characteristics of a group is helpful in determining the synergy level in a group?

- ▶ Group norms
- ▶ Group cohesiveness
- ▶ Group development
- ▶ **All of the given options**

Question No:54 (Marks: 1) - Please choose one

Which of the following can be used as a medium of communication in the organizations?

- ▶ Manuals
- ▶ Meetings
- ▶ Face to face discussions
- ▶ **All of the given options**

Question No:55 (Marks: 1) - Please choose one

Honda has decided to shift towards the higher efficiency rather than sales growth. For achieving such goal, some authorities were delegated to middle managers, which were previously held by top management. Honda has applied which of the following concept?

- ▶ Highly centralized
- ▶ Departmentalization
- ▶ **Decentralization**
- ▶ Centralization

Question No56 (Marks: 1) - Please choose one

Which of the following organizational structure has fewer hierarchical levels?

- ▶ Matrix Structure
- ▶ Divisional Structure
- ▶ **Flat Structure**
- ▶ Tall Structure

Question No:57 (Marks: 1) - Please choose one

The way you use your hands relates to which of the following?

- ▶ **Emotional quotient**
- ▶ Intelligence quotient
- ▶ Technical quotient
- ▶ Emotional intelligence

Question No:58 (Marks: 1) - Please choose one

Mr. Ali, Production manager of Alpha Company has been assigned a task of completing an assignment in a specific time. Mr. Ali is assessing his efforts that will lead to the required level of performance. Mr. Ali is concentrating on which issue according to expectancy theory?

- ▶ **Effort- performance relationship**
- ▶ Performance- outcome relationship
- ▶ Performance- valence relationship
- ▶ All of the given options

Question No:59 (Marks: 1) - Please choose one

Tendency of people to expend less effort while working in a group as compare to working alone is called:

- ▶ Synergy
- ▶ **Social Loafing**
- ▶ Group Task
- ▶ Group Cohesiveness

Question No:60 (Marks: 1) - Please choose one

Mr. Haris and Mr. Fahad are working equally but Mr. Haris is paid more than Mr. Fahad. Mr. Haris is being----- and Mr. Fahad is being-----.

- ▶ **Over rewarded, under rewarded**
- ▶ Under rewarded, over rewarded
- ▶ Rewarded, unrewarded
- ▶ Over rewarded, unrewarded

Question No:61 (Marks: 1) - Please choose one

Which of the following is a variation of the electronic meeting that links media from different locations?

- ▶ E-commerce
- ▶ The Delphi technique
- ▶ E-Brainstorming
- ▶ **Video conference**

Question No:62 (Marks: 1) - Please choose one

50 applicants had been interviewed for the post of financial analyst. Among these 50 people, 5 people had been short listed because they were holding diplomas of specialization along with the degrees required. They influenced the interviewer with which of the following powers?

- ▶ **Expert Power**
- ▶ Coercive Power
- ▶ Legitimate Power
- ▶ Reward Power

Question No:63 (Marks: 1) - Please choose one

Leaders are those who-----:

- ▶ Do things right
- ▶ Do the right things
- ▶ **Both of the given options**
- ▶ None of the given options

Question No: 64 (Marks: 1) - Please choose one
 According to Ohio State Studies, a leader will be more effective who is exhibiting;

- ▶ Low in initiating structure and low consideration
- ▶ **High in initiating structure and high consideration**

Adnanawan6@gmail.com

PAPER NO 6

FINAL TERM EXAMINATION

Spring 2010

MGT503- Principles of Management

BY ADNAN AWAN

Adnanawan6@gmail.com

Time: 90 min

Marks: 69

Question No: 1 (Marks: 1) - Please choose one

The traditional shape of an organization was:

- ▶ Circle
- ▶ **Pyramid**
- ▶ Square
- ▶ Diamond

Question No: 2 (Marks: 1) - Please choose one

When the CEO of a large retail store chain decided to sell off or close some of the stores that were not profitable, he was performing which of the following management functions?

- ▶ Leading

► Planning

► **Controlling**

- ▶ Organizing

Question No: 3 (Marks: 1) - Please choose one

NASA shoots a rocket and then continuously observes and makes whatever course corrections are needed to keep it on track. This process is called:

- ▶ Planning
- ▶ Organizing
- ▶ Leading
- ▶ **Controlling**

Question No: 4 (Marks: 1) - Please choose one

Munsterberg is considered to be the father of _____psychology.

- ▶ Clinical
- ▶ **Industrial**
- ▶ Behavior
- ▶ Theoretical

Question No: 5 (Marks: 1) - Please choose one

Decision making is typically described as which of the following?

- ▶ Deciding what is correct
- ▶ Putting preferences on paper
- ▶ **Choosing among alternatives**
- ▶ Processing information to completion

Question No: 6 (Marks: 1) - Please choose one

When objectives are not written down or rarely verbalized, and the planning is general and lacks continuity, which one of the following type of planning is used?

- ▶ Environmental planning
- ▶ Economic planning
- ▶ **Informal planning**

- ▶ Formal planning

Question No: 7 (Marks: 1) - Please choose one

Which one of the following is a weakness of MBO?

- ▶ Coordination of goals and plans
- ▶ Clarify priorities and expectation
- ▶ Foster employee motivation

▶ May cause overemphasis of quantitative goals.

Question No: 8 (Marks: 1) - Please choose one

If managers significantly change the organization's strategy, they need to modify which part to accommodate and support the change?

- ▶ Span of control
- ▶ Chain of command
- ▶ Goals

▶ Structure

Question No: 9 (Marks: 1) - Please choose one

Which of the following is a contemporary organizational structural design?

- ▶ Functional
- ▶ Divisional

▶ Learning

- ▶ Simple

Question No: 10 (Marks: 1) - Please choose one

According to Maslow's hierarchy of needs, which needs are predominantly satisfied internally?

- ▶ Safety

▶ Esteem

- ▶ Physiological
- ▶ social

Question No: 11 (Marks: 1) - Please choose one

Self respect, achievement and recognition are the example of which type of need?

- ▶ Social
- ▶ Physiological
- ▶ Self actualization

▶ **Esteem**

Question No: 12 (Marks: 1) - Please choose one

Which theory includes the component that employee motivation is influenced by relative as well as absolute rewards?

- ▶ Expectancy
- ▶ Three-needs
- ▶ Goal-setting

▶ **Equity**

Question No: 13 (Marks: 1) - Please choose one

Which of the following is a special group presenting unique motivational challenges?

- ▶ Top management

▶ **Professionals**

- ▶ Stakeholders
- ▶ Competitors

Question No: 14 (Marks: 1) - Please choose one

Which of the following is a situational leadership model?

- ▶ The trait approach
- ▶ **Transformational leadership**

- ▶ Blake and Mouton's Leadership Grid
- ▶ The path goal theory

Question No: 15 (Marks: 1) - Please choose one

Leaders who revitalize organizations by instilling a vision and deep sense of commitment in their followers are referred to as which of the following types of leaders?

- ▶ Charismatic
- ▶ Autocratic
- ▶ **Transformational**
- ▶ Transactional

Question No: 16 (Marks: 1) - Please choose one

All of the following are the major types of barrier that limit the success of value chain management EXCEPT:

- ▶ Required capabilities
- ▶ Organizational factors
- ▶ **Cultural factors**
- ▶ Technology investments

Question No: 17 (Marks: 1) - Please choose one

Decisions which deal with situations where the factors are fairly structured and occur with some frequency are called:

- ▶ Heuristic decision
- ▶ **Programmed decision**
- ▶ Satisfying decision
- ▶ Non-programmed decision

Question No: 18 (Marks: 1) - Please choose one

Which of the following refers to the concentration of decision authority at the top levels of the organizational hierarchy?

- ▶ Decentralization
- ▶ Departmentalization

▶ **Centralization**

- ▶ Formalization

Question No: 19 (Marks: 1) - Please choose one

A mission statement of an organization provides a unique insight to its _____ regarding future growth.

- ▶ Employees
- ▶ Stockholders

▶ **External group**

- ▶ Customers

Question No: 20 (Marks: 1) - Please choose one

Mr. A wants to earn a master's degree within two years from a native university. Which of the following SMART objective Mr. A has missed while setting this goal?

- ▶ Time-bound
- ▶ Acceptable

▶ **Measurable**

- ▶ Specific

Question No: 21 (Marks: 1) - Please choose one

Strategy formulation is the part of the strategic management process that includes all of the following EXCEPT:

- ▶ Identifying the mission and strategic goals
- ▶ Conducting competitive analysis

▶ **Communicating to all stakeholders**

- ▶ Developing specific strategies

Question No: 22 (Marks: 1) - Please choose one

----- helps the organizations identify and develop a competitive advantage, a significant edge over the competition in dealing with competitive forces.

- ▶ **Strategic management**
- ▶ Contingency Planning
- ▶ Operations management
- ▶ Management by objective

Question No: 23 (Marks: 1) - Please choose one

Which of the following level strategy is narrow in scope than business level strategy?

- ▶ Corporate level
- ▶ **Functional level**
- ▶ Regional level
- ▶ National level

Question No: 24 (Marks: 1) - Please choose one

Mr. A is a marketing manger of an organization where he is controlling six employees whereas Mr. B is a production manager of the same organization and he is controlling Fifteen employees. Mr. B is having _____as compare to Mr. A.

- ▶ Narrow span of control
- ▶ **Wide span of control**
- ▶ Central span of control
- ▶ All of the given options

Question No: 25 (Marks: 1) - Please choose one

For the workers with external locus of control, manager will use which of the following leadership style?

- ▶ Achievement-oriented
- ▶ Participative
- ▶ Supportive
- ▶ **Directive**

Question No: 26 (Marks: 1) - Please choose one

According to Ohio State Studies, a leader will be more effective who is exhibiting;

▶ Low in initiating structure and low consideration

▶ **High in initiating structure and high consideration**

▶ Low in initiating structure and high consideration

▶ High in initiating structure and low consideration

Question No: 27 (Marks: 1) - Please choose one

Which of the following is an example of informal group?

▶ College

▶ Marketing department

▶ **Welfare committee formed in an area**

▶ Organization

Question No: 28 (Marks: 1) - Please choose one

In which of the given situation probabilities are objective?

▶ **Certain situations**

▶ Uncertain situations

▶ Ambiguous situations

▶ Indefinite situations

Question No: 29 (Marks: 1) - Please choose one

In order to respond to irrational situations, which of the following style is preferred?

▶ Crisis decision making style

▶ **Programmed decision making style**

▶ Opportunity decision making style

▶ Non-programmed decision making style

Question No: 30 (Marks: 1) - Please choose one

Hospitals have well structured procedures to admit the patients, hence are:

▶ Structured decisions

▶ **Programmed decisions**

- ▶ Ill-structured decisions
- ▶ Non-programmed decisions

Question No: 31 (Marks: 1) - Please choose one

The best opinion is selected among various alternatives through voting by the participants in a group decision making while conducting:

- ▶ Brainstorming
- ▶ Delphi
- ▶ **Nominal**
- ▶ Interacting

Question No: 32 (Marks: 1) - Please choose one

Which of the given decisional tool is mostly used in the production sector?

- ▶ Queuing
- ▶ Simulation
- ▶ Decision tree
- ▶ All of the given options

Question No: 33 (Marks: 1) - Please choose one

Which of the following equation represents break even point?

- ▶ **Revenue = Costs**
- ▶ Revenue > Costs
- ▶ Revenue < Costs
- ▶ All of the given options

Question No: 34 (Marks: 1) - Please choose one

All of the following are major elements of the mega environment, EXCEPT:

- ▶ Technology
- ▶ Economy
- ▶ Socio-cultural

► **Competitor**

Question No: 35 (Marks: 1) - Please choose one

Organizations prefer departmentalization on which of the following grounds?

- Maintain specific rules & policies overall the organization
- Facilitate decentralization within the organization
- Monitor the customers' trend in the market

► **All of the following options**

Question No: 36 (Marks: 1) - Please choose one

Which of the following is the crucial element of team structure?

► **Employee empowerment**

- Faster decision-making
- Inexpensive maintenance
- Clear chain of command

Question No: 37 (Marks: 1) - Please choose one

Which of the following group commonly improves interpersonal communication?

► **Task**

- Command
- Functional
- Friendship

Question No: 35 (Marks: 1) - Please choose one

Which of the given factor significantly differentiate 'Teams' from 'Groups'?

- ▶ Teams consisted of at least 5 members, whereas group with at least 2 members
- ▶ Teams have common goal which is missing among the groups
- ▶ Teams are more synergized than groups
- ▶ **Teams interact regularly while groups occasionally**

Question No: 39 (Marks: 1) - Please choose one

Call centers have been developed to record and put forward the customers' complaints to:

- ▶ **Problem solving teams**
- ▶ Cross functional teams
- ▶ Quality circles
- ▶ Work teams

Question No: 40 (Marks: 1) - Please choose one

Which of the given factor significantly differentiate 'Teams' from 'Groups'?

- ▶ Teams consisted of at least 5 members, whereas group with at least 2 members
- ▶ Teams have common goal which is missing among the groups
- ▶ Teams are more synergized than groups
- ▶ **Teams interact regularly while groups occasionally**

Question No: 41 (Marks: 1) - Please choose one

The bureaucratic organization believes in the implementation of:

- ▶ **Downward communication channel**
- ▶ Upwards communication channel
- ▶ Lateral communication channel
- ▶ Diagonal communication channel

Question No: 42 (Marks: 1) - Please choose one

In a growing number of organizations, the traditional team consisting of a manager and a team that reports directly to him or her is being replaced, into _____, by giving relative autonomy to them to form more flexible teams.

- ▶ Quality improvement teams
- ▶ Virtual teams
- ▶ **Self-managing teams**
- ▶ Cross-functional teams

Question No: 43 (Marks: 1) - Please choose one

A group phenomenon in which individual members reduce their individual efforts and contributions as the group increases in size is called:

- ▶ **Free rider tendency**
- ▶ Group think
- ▶ Carryover behavior
- ▶ None of the given options

Question No: 44 (Marks: 1) - Please choose one

Managers focus on problem solving whereas the focus of leader is on:

- ▶ Maintaining standards
- ▶ **Inspiring the individuals**
- ▶ Planning for short-term goals
- ▶ Concentrating on set instructions

Question No: 45 (Marks: 1) - Please choose one

In Pakistan China imported goods are relatively cheap. These companies are practicing which of the following strategies?

- ▶ Focus Strategy
- ▶ Differentiation strategy
- ▶ **Cost leadership strategy**
- ▶ Emergent strategy

Question No: 46 (Marks: 1) - Please choose one

Boredom, task repetition and fatigue are three negative consequences of which of the following organizational design process?

- ▶ Span of control
- ▶ Decentralization
- ▶ **Work specialization**
- ▶ Departmentalization

Question No: 47 (Marks: 1) - Please choose one

When public sector organizations serve in terms of varying needs of children, disabled & adults, it is said to be adopting which kind of departmentalization?

- ▶ Product
- ▶ Geographic
- ▶ Outcome
- ▶ **Customer**

Question No: 48 (Marks: 1) - Please choose one

An organization that groups activities according to women's footwear, men's footwear, apparel and accessories would use which of the following departmentalization?

- ▶ **Product**
- ▶ Operational
- ▶ Geographic

- ▶ Functional

PAPER NO 7

FINAL TERM EXAMINATION

Fall 2009

MGT503- Principles of Management (Session - 1)

Time: 120 min

Marks: 92

Question No: 1 (Marks: 1) - Please choose one

According to Fiedler's LPC Theory, the extent to which the leader delineates "which, what, how, and why" work should be performed is referred to as which of the following?

- ▶ Task structure
- ▶ Leader member relations
- ▶ Position power
- ▶ **Task oriented leadership**

Question No: 2 (Marks: 1) - Please choose one

Which of the following leaders can inspire followers above their own self-interests and can have a profound effect on their performance?

- ▶ Transactional leader
- ▶ **Transformational leader**
- ▶ Emotional leader
- ▶ Informational leader

Question No: 3 (Marks: 1) - Please choose one

Which of the following statements would be TRUE according to Theory Y manager?

- ▶ **Employees view work as being as natural as rest or play**
- ▶ Employees will shirk responsibilities whenever possible
- ▶ Employees dislike work
- ▶ Employees must be coerced, controlled, or threatened

Question No: 4 (Marks: 1) - Please choose one

The Great China Wall has been built in almost:

- ▶ 900 years
- ▶ **956 years**
- ▶ 856 years
- ▶ 1000 years

Question No: 5 (Marks: 1) - Please choose one

Which one of the following is explaining the Entrepreneur in the best way?

- ▶ Goals Setter
- ▶ Decision Maker
- ▶ Communicator
- ▶ **Initiator**

Question No: 6 (Marks: 1) - Please choose one

Determining the tasks to be accomplished, how the tasks are to be grouped and who is responsible for the various tasks is known as which of the following processes of management?

- ▶ Planning
- ▶ **Organizing**
- ▶ Leading
- ▶ Controlling

Question No: 7 (Marks: 1) - Please choose one

If you get more output from a given input, you have:

- ▶ Decreased effectiveness
- ▶ Increased effectiveness
- ▶ Decreased efficiency
- ▶ **Increased efficiency**

Question No: 8 (Marks: 1) - Please choose one

All of the following are titles of middle level managers EXCEPT:

- ▶ **Operator**
- ▶ District manager
- ▶ Dean
- ▶ Division manager

Question No: 9 (Marks: 1) - Please choose one

When management provides orderly personnel planning and ensures that replacements are available to fill vacancies, it is called :

- ▶ Division of work
- ▶ Discipline
- ▶ Unity of command
- ▶ **Stability of tenure of personnel**

Question No: 10 (Marks: 1) - Please choose one

A field of expertise that is responsible for the production and delivery of an organization's products and services is called:

- ▶ Management information system
- ▶ **Operations management**
- ▶ Marketing management
- ▶ Principles of management

Question No: 11 (Marks: 1) - Please choose one

Which of the following must be present in order to initiate the decision-making process?

- ▶ Plenty of time
- ▶ Pressure to act
- ▶ Time management
- ▶ **Effective use of resources**

Question No: 12 (Marks: 1) - Please choose one

Choosing the best alternative is a relatively simple matter if we have done a good job in step five of rational decision making process while assigning:

- ▶ The weighted criteria correctly
- ▶ Right decision criteria
- ▶ **Analyzing alternatives**
- ▶ The highest weighted score

Question No: 13 (Marks: 1) - Please choose one

Only employees with top-secret clearance may enter the sealed room, is an example of which of the following?

- ▶ **Rule**
- ▶ Procedure
- ▶ Policy
- ▶ Plan

Question No: 14 (Marks: 1) - Please choose one

Aisha uses a decision-making style characterized by low tolerance for ambiguity and a rational way of thinking. What style does Aisha use?

- ▶ Analytic
- ▶ Conceptual
- ▶ **Directive**
- ▶ Behavioral

Question No: 15 (Marks: 1) - Please choose one

Which of the following styles of decision making is characterized by individuals who prefer complete information and consider several alternatives?

- ▶ Analytic
- ▶ Conceptual
- ▶ **Directive**
- ▶ Behavioral

Question No: 16 (Marks: 1) - Please choose one

Sara has a new job and is learning to perform the tasks assigned to her. Different situations demand different decision-making processes. As she learns the general guidelines of the job, Sara is given more decision-making authority. The guidelines establish parameters for decision making and are referred as:

- ▶ Rule
- ▶ Policy
- ▶ Broad guideline
- ▶ **Procedure**

Question No: 17 (Marks: 1) - Please choose one

A few years ago Black and Decker bought general electric's small appliance business. 150 products were converted from GE to Black and Decker label. A total of 140 steps were used for each product. It took 3 years. The total conversion of product line was:

- ▶ A Program
- ▶ **A project**
- ▶ A policy
- ▶ A rule

Question No: 18 (Marks: 1) - Please choose one

Plans that apply to the entire organization, establish the organization's overall objectives and seek to position the organization in terms of its environment are called:

- ▶ Tactical plans
- ▶ **Strategic plans**
- ▶ Single-use plans
- ▶ Operational plans

Question No: 19 (Marks: 1) - Please choose one

Operational plans are normally associated with which of the following organizational level?

- ▶ Global level
- ▶ Corporate level
- ▶ Business level
- ▶ **Functional level**

Question No: 20 (Marks: 1) - Please choose one

In Pakistan film industry, all studios possess strengths in lighting, sound recording, set and costume design. It is called:

- ▶ Distinctive competencies
- ▶ **Common strength**
- ▶ Competitive edge
- ▶ Competitive parity

Question No: 21 (Marks: 1) - Please choose one

In Pakistan China imported goods are available on very inexpensive price. These companies are practicing which of the following strategies?

- ▶ Focus Strategy
- ▶ Differentiation strategy
- ▶ **Cost leadership strategy**
- ▶ Emergent strategy

Question No: 22 (Marks: 1) - Please choose one

A strategy in which an organization operates in several business that are some how linked with one another is called:

- ▶ Single product strategy
- ▶ **Related diversification**
- ▶ Unrelated diversification
- ▶ Conglomerate diversification

Question No: 23 (Marks: 1) - Please choose one

Which of the following is NOT a strategy implementation step?

- ▶ Define strategic tasks
- ▶ Develop implementation agenda
- ▶ Develop mission and goals
- ▶ **Assess organizational capabilities**

Question No: 24 (Marks: 1) - Please choose one

"Cost-savings advantages from specialization" is a feature of which kind of structural organization?

- ▶ Divisional
- ▶ Team
- ▶ Learning

▶ **Functional**

Question No: 25 (Marks: 1) - Please choose one

Which of the following is not among the three perspectives that should be considered in preparing a business plan?

- ▶ Marketing perspective
- ▶ Perspective of the entrepreneur
- ▶ Investor perspective
- ▶ **Technical perspective**

Question No: 26 (Marks: 1) - Please choose one

An owner of an organization hires a sales representative to market his products. He gave power to sale representative to make certain decision. He has been given:

- ▶ Responsibility
- ▶ Span of control
- ▶ **Authority**
- ▶ Accountability

Question No: 27 (Marks: 1) - Please choose one

While addressing the organizational design needs of the small organization which of the following is an important consideration?

- ▶ More formalization
- ▶ More specialization
- ▶ **More centralization**
- ▶ Tall hierarchy of authority

Question No: 28 (Marks: 1) - Please choose one

Which of the following is strength of an organization with a simple structure?

- ▶ Clear accountability
- ▶ **Rely on one person**
- ▶ Maintain as the organization grows
- ▶ Employees are more empowered

Question No: 29 (Marks: 1) - Please choose one

Which of the following is a contemporary organizational structural design?

- ▶ Functional
- ▶ Divisional
- ▶ **Learning**
- ▶ Simple

Question No: 30 (Marks: 1) - Please choose one

Suppose that motivated employees are in great tension. In order to relieve this tension they should:

- ▶ Involve in entertaining activities
- ▶ **Achieve their personal Goal**
- ▶ Reduce putting efforts
- ▶ Exert more efforts

Question No: 31 (Marks: 1) - Please choose one

What should a manager do while motivating employees?

- ▶ Increase wages and salaries
- ▶ Incorporate promotional opportunities
- ▶ **Recognize individual differences**
- ▶ Use employee-recognition program

Question No: 32 (Marks: 1) - Please choose one

According to Maslow, which hierarchy is in proper order from lowest to highest?

- ▶ Safety, physiological, esteem, self-actualization, social.
- ▶ Esteem, physiological, self-actualization, safety, social
- ▶ Self-actualization, physiological, social, esteem, safety
- ▶ **Physiological, safety, social, esteem, self-actualization**

Question No: 33 (Marks: 1) - Please choose one

According to Herzberg's Motivation-Hygiene Theory, which of the following is NOT a hygiene factor?

- ▶ Working Conditions
- ▶ Salary
- ▶ Relationship with supervisor
- ▶ **Work itself**

Question No: 34 (Marks: 1) - Please choose one

Which of the following is a special group presenting unique motivational challenges?

- ▶ Top management
- ▶ **Professionals**
- ▶ Stakeholders
- ▶ Competitors

Question No: 35 (Marks: 1) - Please choose one

The need for such factors as status, recognition, attention, self-respect, autonomy, and achievement are examples of which of the following needs according to Maslow's hierarchy of needs?

- ▶ Physiological
- ▶ **Esteem**
- ▶ Social
- ▶ Self-actualization

Question No: 36 (Marks: 1) - Please choose one

Groups that are determined by the organization chart and composed of individuals who report directly to a given manager are called:

- ▶ **Formal groups**
- ▶ Informal groups
- ▶ Task groups
- ▶ Command groups

Question No: 37 (Marks: 1) - Please choose one

Which of the following is a variation of the electronic meeting that links media from different locations?

- ▶ E-commerce
- ▶ The Delphi technique

► E-Brainstorming

► **Video conference**

Question No: 38 (Marks: 1) - Please choose one

Asif's work team does its own hiring and scheduling and is even responsible for evaluating each other's performance. Asif is part of which of the following team?

► Problem-solving

► **Cross-functional**

► Self-managed

► Virtual

Question No: 39 (Marks: 1) - Please choose one

Tone of voice, posture and nonverbal facial expressions are examples of which of the following?

► **Body language**

► Feelings

► Formal communication

► Informal Communication

Question No: 40 (Marks: 1) - Please choose one

Which of the following refers to the fact that individuals see and hear depending upon their needs, motivation, experience, background and other personal characteristics?

► Filtering

► Feedback

► Emotions

► **Selective Perception**

Question No: 41 (Marks: 1) - Please choose one

The organizational communication network that uses internet technology and allows authorized users inside the organization to communicate with certain outsiders such as customers or vendors is called:

► Intranet

► **Extranet**

► Videoconference

► E-mail

Question No: 42 (Marks: 1) - Please choose one

Which of the following is the most popular type of control?

► **Feed forward**

► Concurrent

- ▶ Feedback
- ▶ Budgetary

Question No: 43 (Marks: 1) - Please choose one

The supplies or raw materials needed to create a product are called:

▶ **Outputs**

- ▶ Investments
- ▶ Processes
- ▶ Inputs

Question No: 44 (Marks: 1) - Please choose one

Adam Smith wrote which of the following books?

▶ **Wealth of Nations**

- ▶ Behavioral Science
- ▶ Fundamentals of Management
- ▶ Organizational Behavior

Question No: 45 (Marks: 1) - Please choose one

Employees are also known as:

▶ Internal customers

▶ **Stock holders**

- ▶ Investors
- ▶ Shareholders

Question No: 46 (Marks: 1) - Please choose one

As managers move toward the organizational hierarchy, problems are more likely to become which of the following?

▶ Well-structured

▶ **Ill-structured**

- ▶ Programmed
- ▶ Non-programmed

Question No: 47 (Marks: 1) - Please choose one

Salman enjoys coming to work because of working in a team that is developing a new product. The sense of belonging and friendship he shares with them demonstrates what Maslow categorized as:

▶ Physiological needs

▶ Safety needs

▶ **Social needs**

▶ Power needs

Question No: 48 (Marks: 1) - Please choose one

ABC Corp. has turned each of its divisions into profit centers and evaluates each division by the percentage of total corporate profits that it generates. It uses which of the following control?

- ▶ **Accounting**
- ▶ Bureaucratic
- ▶ Market
- ▶ Sector

Question No: 49 (Marks: 1) - Please choose one

Mr. Ali, Production manager of Alpha Company has been assigned a task of completing an assignment in a specific time. Mr. Ali is assessing his efforts that will lead to the required level of performance. Mr. Ali is concentrating on which issue according to expectancy theory?

- ▶ **Effort- performance relationship**
- ▶ Performance- outcome relationship
- ▶ Performance- valence relationship
- ▶ All of the given options

Question No: 50 (Marks: 1) - Please choose one

A significant edge over the competition in dealing with competitive forces is called:

- ▶ Core Competencies
- ▶ **Competitive advantage**
- ▶ Competitive force
- ▶ Swot analysis

Question No: 51 (Marks: 1) - Please choose one

A company is having cost advantages due to its efficient process, this cost advantage of company will be traded as which of the following?

- ▶ Threat
- ▶ Opportunity
- ▶ Weakness
- ▶ **Strength**

Question No: 52 (Marks: 1) - Please choose one

Which of the following level strategy is narrow in scope than business level strategy?

- ▶ Corporate level
- ▶ **Functional level**
- ▶ Regional level
- ▶ National level

Question No: 53 (Marks: 1) - Please choose one

All of the following are defensive strategies **EXCEPT:**

- ▶ Divesture
- ▶ Bankruptcy
- ▶ **Stability**
- ▶ Harvest

Question No: 54 (Marks: 1) - Please choose one

What is one of the weaknesses of functional departmentalization?

- ▶ A limited view of organizational goals
- ▶ **Can only be used with certain types of products**
- ▶ Can feel isolated from other organizational areas
- ▶ A duplication of functions

Question No: 55 (Marks: 1) - Please choose one

In which of the following type of departmentalization, employees are more concern about specialty than the needs of organization overall.

- ▶ Product
- ▶ Customer
- ▶ **Functional**
- ▶ Geographic

Question No: 56 (Marks: 1) - Please choose one

Mr. A was given the task of making 100 questions per day and 600 questions after a week, but he was able to make 500 questions at the weekend. Now he is answerable for his performance which is below expected target. Which of the following title mostly suits Mr. A?

- ▶ Responsible
- ▶ Authoritative
- ▶ **Accountable**
- ▶ Autonomous

Question No: 57 (Marks: 1) - Please choose one

“What motivates us” relates to which of the following type of motivation theory?

- ▶ Content Theories of motivation
- ▶ Process theories of motivation
- ▶ **Reinforcement theories of motivation**
- ▶ Hawthorne studies

Question No: 58 (Marks: 1) - Please choose one

When we talk about risk taker, which name comes first in your mind?

► **Leader**

- ▶ Manager
- ▶ Businessman
- ▶ Entrepreneur

Question No: 59 (Marks: 1) - Please choose one

Challenging job itself is -----.

- ▶ Extrinsic satisfaction
- ▶ Achievement
- ▶ High target

► **intrinsic satisfaction**

Question No: 60 (Marks: 1) - Please choose one

Some students are planning to form a group. They have decided to serve their community by creating the awareness among the people about the adverse effects of pollution. This group will be named as:

- ▶ Command group
- ▶ Functional group
- ▶ Task group

► **Interest group**

Question No: 61 (Marks: 1) - Please choose one

Amir has very good communication skills and inspires his followers through his personal appeal and confidence. Which leadership styles Amir adopts?

- ▶ Visionary
- ▶ **Charismatic**
- ▶ Transformational
- ▶ Laissez fair

Question No: 62 (Marks: 1) - Please choose one

Which of the following is an example of a group that is formed by the employees themselves to serve the members' social needs?

- ▶ Cross functional group
- ▶ Command group
- ▶ Formal group

► **Informal group**

Question No: 63 (Marks: 1) - Please choose one

Which of the following is included in communication functions?

- ▶ Motivating
- ▶ Sharing information
- ▶ Conveying emotional expressions

► **All of the given options**

Question No: 64 (Marks: 1) - Please choose one

Letters, memos and manuals are the examples of which of the following type of communication?

- ▶ Non-verbal
- ▶ Verbal
- ▶ **Written**
- ▶ Oral

Paper No 8

FINALTERM EXAMINATION

Spring 2010

MGT503- Principles of Management

BY ADNAN AWAN

Adnanawan6@gmail.com

Question No: 1 (Marks: 1) - Please choose one

Through technological and managerial process inputs of an organization are transformed into:

- ▶ **Output**
- ▶ Feedback
- ▶ Feed forward
- ▶ Transformation

Question No: 2 (Marks: 1) - Please choose one

Promoting team spirit within the organization is called:

- ▶ Stability of tenure of personnel
- ▶ Remuneration

► Centralization

► **Esprit de corps**

Question No: 3 (Marks: 1) - Please choose one

Constituencies in an organization's external environment that are affected by the organization's decisions and actions are called:

► **Stakeholders**

► Advisories

► Beneficiaries

► Environmentalists

Question No: 4 (Marks: 1) - Please choose one

The culture of an organization is largely determined by:

► **Top management**

► Employees

► Stockholders

► The company founders

Question No: 5 (Marks: 1) - Please choose one

The set of processes involved in creating or determining the strategies of the organization is called:

► **Strategy formulation**

► Strategy implementation

► Strategy evaluation

► Strategy imitation

Question No: 6 (Marks: 1) - Please choose one

When the strength provides superior and unique customer value and is difficult to imitate then the distinctive competence creates a sustainable:

► **Competitive advantage**

► Scope

- ▶ Resource deployment
- ▶ Effective strategy

Question No: 7 (Marks: 1) - Please choose one

Most managers believe that if an MBO (management by objective) program is to be successful, it must start at:

- ▶ Non-managerial level
- ▶ Top Level
- ▶ **Middle level**
- ▶ Lower level

Question No: 8 (Marks: 1) - Please choose one

Which of the following is the set of strategic alternatives that an organization chooses from, as it manages its operations simultaneously across several industries and several markets?

- ▶ Business-level strategy
- ▶ **Corporate-level strategy**
- ▶ Functional-level strategy
- ▶ Market-level strategy

Question No: 9 (Marks: 1) - Please choose one

ABC Company continues to offer the same quality beauty products it has for the last 10 years. The company is successful and has no current plans for change. Which of the following types of strategies is it employing?

- ▶ Growth
- ▶ **Stability**
- ▶ Retrenchment
- ▶ Combination

Question No: 10 (Marks: 1) - Please choose one

A strategy in which an organization seeks to distinguish itself from competitors through the quality of its products or services is called:

- ▶ Deliberate strategy

► **Differentiation strategy**

► Emergent strategy

► Focus Strategy

Question No: 11 (Marks: 1) - Please choose one

In which organizational structure employee have two managers?

► Team

► Learning

► Boundaryless

► **Matrix**

Question No: 12 (Marks: 1) - Please choose one

Suppose that motivated employees are in great tension. In order to relieve this tension they should:

► **Involve in entertaining Strategy**

► Stability of tenure of personnel

► Remuneration

► Centralization

Question No: 13 (Marks: 1) - Please choose one

In Equity theory, which of the following term is used for persons, systems or selves against which individuals compare themselves?

► Model

► **Referent**

► Leader

► Professional

Question No: 14 (Marks: 1) - Please choose one

Which of the following is one of the seven traits associated with leadership?

► Fluency of speech

► **Honesty**

- ▶ Appearance
- ▶ Social class

Question No: 15 (Marks: 1) - Please choose one

Women tend to use which of the following leadership style?

- ▶ Autocratic
- ▶ Laissez-faire
- ▶ Dictatorial
- ▶ **Democratic**

Question No: 16 (Marks: 1) - Please choose one

It is most appropriate to use oral communication when you have to communicate:

- ▶ A monthly report to the CEO on company performance
- ▶ **An impersonal message to a group of people**
- ▶ A lengthy welcoming message to a new salesperson
- ▶ A brief, time sensitive personal message

Question No: 17 (Marks: 1) - Please choose one

Direct supervision is the best-known form of which of the following control?

- ▶ Feed forward
- ▶ Concurrent
- ▶ Feedback
- ▶ **Management**

Question No: 18 (Marks: 1) - Please choose one

Which of the following is a process that involves managers from all parts of the organization in the formulation of strategic goals?

- ▶ Strategic organizing
- ▶ **Strategic management**
- ▶ Strategic positioning

- ▶ Strategic planning

Question No: 19 (Marks: 1) - Please choose one

Which of the following is the disadvantage of the Process departmentalization?

- ▶ Time consuming process
- ▶ **Cost of Production is high**
- ▶ Can be used only with certain type of products
- ▶ Duplication of functions across the departments

Question No: 20 (Marks: 1) - Please choose one

According to Adam Smith, the division of labor results in:

- ▶ Increased worker's motivation
- ▶ Decreased worker's specialization
- ▶ **Increased worker's productivity**
- ▶ Decreased worker's motivation

Question No: 21 (Marks: 1) - Please choose one

Which of the following terms is sometimes used to describe picking a course of action that is satisfactory under the circumstances?

- ▶ Escalation of commitment
- ▶ **Satisfying**
- ▶ Risk
- ▶ Bounded rationality

Question No: 22 (Marks: 1) - Please choose one

Which of the following order is correct about strategy formulation?

- ▶ Developing specific strategies, identifying the mission and strategic goals, conducting competitive analysis
- ▶ **Identifying the mission and strategic goals, conducting competitive analysis, developing specific strategies**
- ▶ Identifying the mission and strategic goals, developing specific strategies, conducting competitive analysis

► Developing specific strategies, conducting competitive analysis, identifying the mission and strategic goals

Question No: 23 (Marks: 1) - Please choose one

When we talk about an organization's core technology, we mean organization's:

- Less important technology
- **Most important technology**
- All technologies the organization is using
- Technology that is never used

Question No: 24 (Marks: 1) - Please choose one

"What motivates us" relates to which of the following type of motivation theory?

- Content Theories of motivation
- Process theories of motivation
- **Reinforcement theories of motivation**
- Hawthorne studies

Question No: 25 (Marks: 1) - Please choose one

Mr. A is working as machine operator and he has to take precautionary measures to keep himself safe from any injury. Which of the following needs is critical for Mr. A?

- Social
- Self actualization
- Esteem
- **Safety**

Question No: 26 (Marks: 1) - Please choose one

Saad, a new employee has observed that one of his colleagues is being warned by the manager on coming late. Saad decided to come on time to avoid such warning, manager has used which of the following behaviour modification method?

- Extinction
- Negative reinforcement
- Punishment

► **Positive reinforcement**

Question No: 27 (Marks: 1) - Please choose one

According to Goal setting theory which of the following is important while setting the goals?

► Goal commitment

► **All of the given options**

► Goal specificity

► Goal acceptance

Question No: 28 (Marks: 1) - Please choose one

Mr. A has been given the project of collecting data on students' motivation from different institutes. He is performing the tasks by putting all of his efforts because he will be given bonus pay if he fulfills his task on time. He is influenced by which of the following powers of his boss?

► **Reward Power**

► Coercive Power

► Referent Power

► Expert Power

Question No: 29 (Marks: 1) - Please choose one

Amir has very good communication skills and inspires his followers through his personal appeal and confidence. Which leadership styles Amir adopts?

► Visionary

► **Charismatic**

► Transformational

► Laissez fair

Question No: 30 (Marks: 1) - Please choose one

The behavior that arises among individuals who have previously worked in any other groups is called:

► Primacy

► **Carryover behavior**

► Group cohesiveness

- ▶ Group behavior

Question No: 31 (Marks: 1) - Please choose one

Controlling function is important at which level of organizations?

- ▶ Strategic
- ▶ Tactic
- ▶ Operation

▶ **All of the given options**

Question No: 32 (Marks: 1) - Please choose one

A performance measurement tool that covers four areas "financial, customer, internal processes, and people" and that can enhance company's performance is called:

- ▶ Benchmarking
- ▶ Cyber control system
- ▶ Non-cybernetic control system

▶ **Balanced scorecard**

Question No: 33 (Marks: 1) - Please choose one

In order to successfully attain the organizational targets & customer satisfaction, in which of the following area managers have to concentrate?

- ▶ Co-ordination with subordinates & peers
- ▶ Feedback from internal & external environment
- ▶ Integrated network of departments & divisions

▶ **All of the given options**

Question No: 34 (Marks: 1) - Please choose one

In order to deal against global competition which of the given approach is generally adopted by different countries?

- ▶ Concentrate on producing cheap products
- ▶ Target the elite class of the society only

▶ **Draft cooperation agreement with other countries**

- ▶ Enhance profit margins by setting high prices

Question No: 35 (Marks: 1) - Please choose one

Cognitive ability of an individual affects the decision making process in which of the following manner?

- ▶ Can not utilize the available resources
- ▶ **Can not interpret all available information**
- ▶ Can not provide required financial resources
- ▶ Can not control the external situations

Question No: 36 (Marks: 1) - Please choose one

While scanning the environment, which of the given element is considered at the most, by the organizations?

- ▶ Internal environment
- ▶ **Task external environment**
- ▶ Mega external environment
- ▶ Domestic environment

Question No: 37 (Marks: 1) - Please choose one

Which of the element of SWOT analysis is most useful in developing competitive advantage of a firm?

- ▶ **Strength**
- ▶ Weakness
- ▶ Opportunity
- ▶ Threat

Question No: 38 (Marks: 1) - Please choose one

All of the following are the characteristics of Max Weber's ideal bureaucracy EXCEPT:

- ▶ Formalization of rules and procedures
- ▶ Impersonality in application of rules and sanctions
- ▶ **Production enhancement through employee empowerment**

- ▶ Specialization of labor

Question No: 39 (Marks: 1) - Please choose one

Which of the following is called an input to an organizational system?

- ▶ **Employees**

- ▶ Products

- ▶ Services

- ▶ Customers

Question No: 40 (Marks: 1) - Please choose one

Decisions should be made after a thorough:

- ▶ Action

- ▶ **Planning**

- ▶ Investigation

- ▶ Proceeding

Question No: 41 (Marks: 1) - Please choose one

In order to make organization more flexible and responsive through employee participation, organization should tend towards which of the following?

- ▶ **Decentralization**

- ▶ Globalization

- ▶ Departmentalization

- ▶ Widen the span of control

Question No: 42 (Marks: 1) - Please choose one

With respect to five hierarchical needs of Marlow's theory, at which level transformational style is more beneficial?

- ▶ Physical needs

- ▶ Safety needs

- ▶ Social needs

- ▶ **Self-actualization needs**

Question No: 43 (Marks: 1) - Please choose one

A third member in a group of three individuals significantly:

- ▶ **Assists in taking decisions through majority agreement**
- ▶ Adds valuable suggestions and ideas than other two
- ▶ Maintains unbiased environment within group
- ▶ Helps in decreasing individualism and enhances cohesiveness

Question No: 44 (Marks: 1) - Please choose one

Organic control is best described as the controlling mechanism of:

- ▶ **Learning organization**
- ▶ Bureaucratic organization
- ▶ Mechanistic organization
- ▶ Centralized organization

Question No: 45 (Marks: 1) - Please choose one

Which of the following groups usually adjourns?

- ▶ **Task group**
- ▶ Command group
- ▶ Friendship group
- ▶ Functional group

Question No: 46 (Marks: 1) - Please choose one

Which of the given factor significantly differentiate 'Teams' from 'Groups'?

- ▶ Teams consisted of at least 5 members, whereas group with at least 2 members
- ▶ Teams have common goal which is missing among the groups
- ▶ Teams are more synergized than groups
- ▶ **Teams interact regularly while groups occasionally**

Question No: 47 (Marks: 1) - Please choose one

MA. Sohail, CEO of Leads Group has to increase the salaries of marketing staff because of high turnover, demand of more salary and lack of motivation in the marketing department. Which of the following force created the need for change in the salary of marketing department?

- ▶ Change in implemented technology
- ▶ Change in the regional economy
- ▶ **Change in employees' behavior**
- ▶ Change in marketing strategy

Question No: 48 (Marks: 1) - Please choose one

When public sector organizations serve in terms of varying needs of children, disabled & adults, it is said to be adopting which kind of departmentalization?

- ▶ Product
- ▶ Geographic
- ▶ Outcome
- ▶ **Customer**

PAPER NO 9

FINAL TERM EXAMINATION
Fall 2008
MGT503- Principles of Management
BY ADNAN AWAN
Adnanawan6@gmail.com

Time: 120 min
Marks: 85

Question No: 1 (Marks: 1) - Please choose one

Which of the following statement shows the starting point in strategic management process?

- ▶ **Analyzing current mission, strategies and objectives**
- ▶ Identifying opportunities and threats

- ▶ Conducting an environmental scan
- ▶ Identifying opportunities and weaknesses

Question No: 2 (Marks: 1) - Please choose one

The supplies or raw materials needed to create a product are called:

- ▶ Outputs
- ▶ Investments
- ▶ Processes
- ▶ **Inputs**

Question No: 3 (Marks: 1) - Please choose one

Which one of the following roles is most important for managers in small firms?

- ▶ Disseminator
- ▶ **Leader**
- ▶ Spokesperson
- ▶ Figurehead

Question No: 4 (Marks: 1) - Please choose one

Adam Smith wrote his book “The Wealth of Nations” in:

- ▶ 20th century
- ▶ **18th century**
- ▶ 15th century
- ▶ 17th century

Question No: 5 (Marks: 1) - Please choose one

Tone of voice, posture and nonverbal facial expressions are examples of which of the following?

- ▶ **Body language**
- ▶ Feelings
- ▶ Formal communication
- ▶ Informal Communication

Question No: 6 (Marks: 1) - Please choose one

All of the following are advantages of oral communication **EXCEPT:**

- ▶ It is easy to use
- ▶ **It is accurate (Oral)**
- ▶ It facilitates feedback
- ▶ It can be done with little preparation

Question No: 7 (Marks: 1) - Please choose one

Control that prevents anticipated problems is called:

- ▶ **Feed forward control**
- ▶ Concurrent control
- ▶ Feedback control
- ▶ Management control

Question No: 8 (Marks: 1) - Please choose one
Women tend to use which of the following leadership style?

- ▶ Autocratic
- ▶ Laissez-faire
- ▶ Dictatorial
- ▶ **Democratic**

Question No: 9 (Marks: 1) - Please choose one
Which of the following is the correct order of the interpersonal communication process?

- ▶ Sender > message > encoding > receiver > feedback > decoding > message
- ▶ Sender > message > encoding > receiver > decoding > message > feedback
- ▶ **Sender > encoding > message > receiver > decoding > message > feedback**
- ▶ Sender > message > encoding > receiver > feedback > decoding > message

Question No: 10 (Marks: 1) - Please choose one
According to Herzberg's Motivation-Hygiene Theory, which of the following is NOT a motivator?

- ▶ Recognition
- ▶ Responsibility
- ▶ Advancement
- ▶ **Status**

Question No: 11 (Marks: 1) - Please choose one
"Employees dislike work, they are lazy, dislike responsibilities and must be coerced to perform". Which of the following best describes this statement?

- ▶ Hygiene Factor Theory
- ▶ Resistance theory
- ▶ **Theory X**
- ▶ Two factors theory

Question No: 12 (Marks: 1) - Please choose one
According to Maslow's hierarchy of needs, which needs are predominantly satisfied internally?

- ▶ Safety
- ▶ **Esteem**
- ▶ Physiological
- ▶ social

Question No: 13 (Marks: 1) - Please choose one
What should a manager do while motivating employees?

- ▶ Increase wages and salaries
- ▶ Incorporate promotional opportunities
- ▶ **Recognize individual differences**

- ▶ Use employee-recognition program

Question No: 14 (Marks: 1) - Please choose one

Which of the following factor is more important for men than women?

- ▶ Opportunity to learn
- ▶ Flexibility
- ▶ **Autonomy**
- ▶ Convenient

Question No: 15 (Marks: 1) - Please choose one

All of the following factors are the most challenging for the managers in today's competitive world EXCEPT:

- ▶ Meet the market demand of products
- ▶ Motivating competitors to do work efficiently
- ▶ Facing the competition
- ▶ **Environmental uncertainty**

Question No: 16 (Marks: 1) - Please choose one

Which of the following organization has a limitless span of control?

- ▶ **Learning**
- ▶ Boundaryless
- ▶ Team
- ▶ Matrix

Question No: 17 (Marks: 1) - Please choose one

A structure that is characterized by narrow span of management and many hierarchical levels is:

- ▶ **Tall Structure**
- ▶ Flat Structure
- ▶ Matrix Structure
- ▶ Divisional Structure

Question No: 18 (Marks: 1) - Please choose one

A company would have a characteristic of a mechanistic organization if:

- ▶ It contained cross-functional teams
- ▶ **It had narrow spans of control**
- ▶ There is low formalization
- ▶ There is a free flow of information

Question No: 19 (Marks: 1) - Please choose one

Which of the following processes allows lower level employees to be involved in decision-making?

- ▶ Departmentalization
- ▶ Unity of command

- ▶ Span of control
- ▶ **Decentralization**

Question No: 20 (Marks: 1) - Please choose one

Identify the organizational design process which has a potential weakness that, managers will not be able to provide necessary leadership and support?

- ▶ Span of control
- ▶ **Decentralization**
- ▶ Departmentalization
- ▶ Chain of command

Question No: 21 (Marks: 1) - Please choose one

An organization that wants to be more responsive to changes in its environment, especially to customers, is likely to have which kind of organization structure?

- ▶ Decentralized
- ▶ Very formal and rule oriented
- ▶ Highly centralized

▶ **Mechanistic**

Question No: 22 (Marks: 1) - Please choose one

Employees with more training and experience are able to work with less direct supervision which is the characteristics of which of the following?

- ▶ Wide span of control and a flatter organization
- ▶ Violates Fayol's principle of chain of command
- ▶ A highly centralized organization
- ▶ **Very narrow span of control and more levels of managers**

Question No: 23 (Marks: 1) - Please choose one

Explicit job descriptions and clearly defined procedures are part of which of the following organizational design process?

▶ **Formalized**

- ▶ Process
- ▶ Centralized
- ▶ Functional

Question No: 24 (Marks: 1) - Please choose one

The accounting department in an organization is an example of which of the following?

- ▶ Product departmentalization

- ▶ Customer departmentalization
- ▶ **Functional departmentalization**
- ▶ Geographical departmentalization

Question No: 25 (Marks: 1) - Please choose one

In BCG matrix which of the following businesses have a large share of a market that are not expected to grow substantially?

- ▶ Dogs
- ▶ Question mark
- ▶ Star
- ▶ **Cash cow**

Question No: 26 (Marks: 1) - Please choose one

A strategy in which an organization seeks to distinguish itself from competitors through the quality of its products or services is called:

- ▶ Deliberate strategy
- ▶ Differentiation strategy
- ▶ Emergent strategy
- ▶ **Focus Strategy**

Question No: 27 (Marks: 1) - Please choose one

ABC Company is in the process of buying a smaller competitor and incorporating that company's resources into his business. This is an example of which of the following types of strategies?

- ▶ Merger
- ▶ Stability
- ▶ Retrenchment
- ▶ **Acquisition**

Question No: 28 (Marks: 1) - Please choose one

Which one of the following is a strength of MBO?

- ▶ Overemphasis of quantitative goals
- ▶ **Requires training of employees**
- ▶ Clarify priorities and expectation
- ▶ Tends to falter without strong commitment

Question No: 29 (Marks: 1) - Please choose one

Most managers believe that if an MBO (management by objective) program is to be successful, it must start at:

- ▶ Non-managerial level
- ▶ Top Level
- ▶ **Middle level**
- ▶ Lower level

Question No: 30 (Marks: 1) - Please choose one

Organizations that exploit their distinctive competencies often attain above normal economic performance and obtain which of the following?

- ▶ Distinctive competencies
- ▶ Common strength
- ▶ **Competitive edge**
- ▶ Competitive parity

Question No: 31 (Marks: 1) - Please choose one

Which of the following is a strategy that promotes a superior alignment between the organization and its environment and the achievement of strategic goals?

- ▶ Effective strategy
- ▶ Scope
- ▶ **Emergent strategy**
- ▶ Deliberate strategy

Question No: 32 (Marks: 1) - Please choose one

Sony Recently set a goal of reducing its reliance on the consumer electronics market. Manager believes that the volatile nature of market made reliance too risky. It comes under which of the following goals?

- ▶ **Strategic goal**
- ▶ Operational goal
- ▶ Tactical goal
- ▶ Personal goal

Question No: 33 (Marks: 1) - Please choose one

Mission Statement of Hoover Universal Inc is:“Hoover universal is a diversified multi-industry corporation with strong manufacturing capabilities, entrepreneurial policies and individual business unit autonomy”

This statement shows which of the following attributes of mission statement?

- ▶ Customers
- ▶ Location
- ▶ Self concept
- ▶ **Desired public image**

Question No: 34 (Marks: 1) - Please choose one

Competitor intelligence allows managers to do which of the following?

- ▶ React to competitor actions
- ▶ Cut cost below the competition
- ▶ **Increase market diversification**
- ▶ Predict competitor actions

Question No: 35 (Marks: 1) - Please choose one

Tactical and strategic plans differ in all of the following ways EXCEPT:

- ▶ Time frame
- ▶ Scope
- ▶ Known set of organizational objectives
- ▶ **Environmental effects (correct)**

Question No: 36 (Marks: 1) - Please choose one

A single use plan of less scope and complexity which may be a part of broader program or may be a self contained plan is called:

- ▶ A Program
- ▶ **A project**
- ▶ A policy
- ▶ A rule

Question No: 37 (Marks: 1) - Please choose one

When a manager evaluates alternatives, selects it and then goes on to other problems without considering the remaining rational alternatives, it is known as:

- ▶ Optimizing
- ▶ Satisficing
- ▶ **Bounded Rationality**
- ▶ Rational decision-making

Question No: 38 (Marks: 1) - Please choose one

Suppose you need a subject to take in order to graduate. There are five different courses you could take. You call one friend and on the basis of her excellent experiences in mathematics, you choose it. Which of the following would best describe this situation?

- ▶ Bounded rationality
- ▶ Unbounded rationality
- ▶ Escalation of commitment
- ▶ **Rational decision-making**

Question No: 39 (Marks: 1) - Please choose one

Only employees with top-secret clearance may enter the sealed room, is an example of which of the following?

- ▶ **Rule**
- ▶ Procedure
- ▶ Policy
- ▶ Plan

Question No: 40 (Marks: 1) - Please choose one

"Whenever possible, we promote from within" is an example of which of the following?

- ▶ Rule
- ▶ **Procedure**
- ▶ Policy
- ▶ Plan

Question No: 41 (Marks: 1) - Please choose one

Once a manager has identified a problem, the next step would be the identification of:

- ▶ **Discrepancies**
- ▶ Decision criteria
- ▶ Scenarios
- ▶ Factor weights

Question No: 42 (Marks: 1) - Please choose one

In decision making process, ideas should be evaluated on the basis of:

- ▶ **Acceptability**
- ▶ Durability
- ▶ Accountability
- ▶ Liability

Question No: 43 (Marks: 1) - Please choose one

All of the following are the assumptions of rational decision making EXCEPT:

- ▶ Alternatives are known
- ▶ Possible outcomes known
- ▶ Optimal decision is possible
- ▶ **Information is unknown**

Question No: 44 (Marks: 1) - Please choose one

The choice of alternative is influenced by the limited amount of information available to the decision maker and by the psychological orientation of the decision maker under the conditions of:

- ▶ Certainty
- ▶ Uncertainty
- ▶ Risk
- ▶ **Intuition**

Question No: 45 (Marks: 1) - Please choose one

All of the following are Dimensions of organizational culture EXCEPT:

- ▶ Innovation
- ▶ Aggressiveness

- ▶ Stability
- ▶ **Customer orientation**

Question No: 46 (Marks: 1) - Please choose one

Which of the following is called an input to a system?

- ▶ **Human**
- ▶ Products
- ▶ Services
- ▶ Employee behavior

Question No: 47 (Marks: 1) - Please choose one

Group of studies that was conducted at Western Electric's during 1920 and 1930 are called:

- ▶ Social studies
- ▶ Moral studies
- ▶ Ethical studies
- ▶ **Hawthorne studies**

Question No: 48 (Marks: 1) - Please choose one

Which of the following is NOT one of Fredrick Taylor's four principles of management?

- ▶ **Avoid cooperation with workers**
- ▶ Scientifically select and then train workers
- ▶ Divide work and responsibility
- ▶ Study tasks scientifically and develop best method to perform it

Question No: 49 (Marks: 1) - Please choose one

Which of the following theory describes that effective group performance depends on the proper match between the leader's style of interacting with employees and the degree to which the situation gives control and influence to the leader?

- ▶ Fiedler's contingency model
- ▶ **Path-goal theory**
- ▶ Hersey and Blanchard's model
- ▶ The Ohio State studies

Question No: 50 (Marks: 1) - Please choose one

Which of the following is the obligation or expectation to perform a duty?

- ▶ **Responsibility**
- ▶ Unity of command
- ▶ Chain of command
- ▶ Span of control

PAPER NO 10

FINAL TERM EXAMINATION

Fall 2009
MGT503- Principles of Management

BY ADNAN AWAN
Adnanawan@gmail.com

Time: 120 min

Marks: 92

Question No: 1 (Marks: 1) - Please choose one

All of the following are said to be the early advocates of Behavioral viewpoints EXCEPT :

- ▶ Robert Owen
- ▶ Hugo Munsterberg
- ▶ Mary parker Follett
- ▶ **Max Weber**

Question No: 2 (Marks: 1) - Please choose one

An individual's belief that he or she is capable of performing a task is called:

- ▶ Self esteem
- ▶ Self direction
- ▶ **Self efficacy**
- ▶ Self confidence

Question No: 3 (Marks: 1) - Please choose one

The traditional shape of an organization was:

- ▶ Circle
- ▶ **Pyramid**
- ▶ Square

- ▶ Diamond

Question No: 4 (Marks: 1) - Please choose one

The basic purpose of the construction of China Wall was:

- ▶ To make territory clear
- ▶ To defend the area
- ▶ To protect the Silk Road
- ▶ **All of the given options**

Question No: 5 (Marks: 1) - Please choose one

The distinct purpose of an organization is typically expressed in terms of:

- ▶ **Systematic structure**
- ▶ A goal or set of goals
- ▶ Management competencies
- ▶ Vision & Mission statement

Question No: 6 (Marks: 1) - Please choose one

Amir is representing his company at the local Chamber of Commerce Annual Business Recognition luncheon. He is performing which of the following managerial role?

- ▶ Negotiation
- ▶ Monitor
- ▶ Figurehead
- ▶ **Liaison**

Question No: 7 (Marks: 1) - Please choose one

Munib is the CEO of a hospital. He has spent his day planning the schedules of employees for next month. He spent his day in:

- ▶ **Planning**
- ▶ Organizing
- ▶ Leading
- ▶ Controlling

Question No: 8 (Marks: 1) - Please choose one

NASA shoots a rocket and then continuously observes and makes whatever course corrections are needed to keep it on track. This process is called:

- ▶ Planning
- ▶ **Organizing**
- ▶ Leading
- ▶ Controlling

Question No: 9 (Marks: 1) - Please choose one

“Specialization increases output by making employees more efficient” it is called:

- ▶ **Division of work**
- ▶ Authority
- ▶ Scalar chain
- ▶ Order

Question No: 10 (Marks: 1) - Please choose one

Daimler- Benz, an automobile manufacturer use realistic computer simulations to study collision damage to cars. These simulations give them precise information and avoid the costs of crashing so many test cars. Which of the following approach of management is helping them in reducing their cost?

- ▶ **Management science**

- ▶ Operations management
- ▶ Total quality management
- ▶ Contingency perspective

Question No: 11 (Marks: 1) - Please choose one

Mega environment, that includes the attitudes, values, norms, beliefs, behaviors and associated demographic trends that are characteristics of a given geographic area, is called:

- ▶ **The socio-cultural element**
- ▶ The international element
- ▶ The economic element
- ▶ The legal-political element

Question No: 12 (Marks: 1) - Please choose one

The belief that a firm's obligation goes beyond that required by law and economics, and includes a pursuit of long-term goals that are good for society is known as:

- ▶ Ethical responsibility
- ▶ **Social responsibility**
- ▶ Social obligation
- ▶ Social responsiveness

Question No: 13 (Marks: 1) - Please choose one

EU, NAFTA, FTAA and ASEAN are examples of:

▶ **Regional trade alliances**

- ▶ Foreign airlines
- ▶ Soccer teams in Europe
- ▶ New multinational corporations

Question No: 14 (Marks: 1) - Please choose one

When an organization encounters an issue that requires resolution, but not very immediate action, it is called:

- ▶ Crisis problem
- ▶ **Non- Crisis problem**
- ▶ Opportunity problem
- ▶ Financial Problem

Question No: 15 (Marks: 1) - Please choose one

Which of the following is NOT one of the three techniques for assessing the environment?

- ▶ **Project management**
- ▶ Benchmarking
- ▶ Forecasting
- ▶ Environmental scanning

Question No: 16 (Marks: 1) - Please choose one

Which of the following is the basic rule of brainstorming?

- ▶ **Criticism is not allowed**
- ▶ Ideas should be radical
- ▶ Improvement of ideas is encouraged

- ▶ Quantity of idea production is stressed

Question No: 17 (Marks: 1) - Please choose one

Few years ago Nike has problem with inconsistency of goals. The firm was producing high quality shoes but they were not stylish. As a result company lost substantial market share. In this situation which kind of goal was missing?

- ▶ Manufacturing goal
- ▶ Marketing goal
- ▶ Financial goal
- ▶ **Operational goal**

Question No: 18 (Marks: 1) - Please choose one

When objectives are not written down or rarely verbalized, and the planning is general and lacks continuity, which one of the following type of planning is used?

- ▶ Environmental planning
- ▶ Economic planning
- ▶ **Informal planning**
- ▶ Formal planning

Question No: 19 (Marks: 1) - Please choose one

Which of the following is the set of strategic alternatives that an organization chooses from, as it manages its operations simultaneously across several industries and several markets?

- ▶ Business-level strategy
- ▶ **Corporate-level strategy**
- ▶ Functional-level strategy
- ▶ Market-level strategy

Question No: 20 (Marks: 1) - Please choose one

ABC Company continues to offer the same quality beauty products it has for the last 10 years. The company is successful and has no current plans for change. Which of the following types of strategies is it employing?

- ▶ Growth
- ▶ **Stability**
- ▶ Retrenchment
- ▶ Combination

Question No: 21 (Marks: 1) - Please choose one

A firm that stops buying supplies from other companies and begins to provide its own supplies, has diversified through:

- ▶ Forward vertical integration
- ▶ **Backward vertical integration**
- ▶ Forward horizontal integration
- ▶ Backward horizontal integration

Question No: 22 (Marks: 1) - Please choose one

Which of the following is NOT a strategy implementation step?

- ▶ Define strategic tasks
- ▶ Develop implementation agenda
- ▶ **Develop mission and goals**
- ▶ Assess organizational capabilities

Question No: 23 (Marks: 1) - Please choose one

Which of the following is the set of elements that can be used to configure an organization?

- ▶ Organization structure

► **Organization design**

- Organization chart
- Organization rotation

Question No: 24 (Marks: 1) - Please choose one

What things the Organizations are doing to facilitate an effective wider span of control for their managers?

- Decentralizing management functions
- Increasing inventory levels
- Increasing budget allowances
- **Investing in employee training**

Question No: 25 (Marks: 1) - Please choose one

While addressing the organizational design needs of the small organization which of the following is an important consideration?

- More formalization
- More specialization
- **More centralization**
- Tall hierarchy of authority

Question No: 26 (Marks: 1) - Please choose one

Which type of organizational entity is more of an organizational mind-set than a structured design?

- Matrix
- **Boundary less**
- Functional
- Learning

Question No: 27 (Marks: 1) - Please choose one

Contemporary organizational design includes all of the following EXCEPT :

- ▶ Team based structure
- ▶ Matrix structure
- ▶ Project structure
- ▶ **Divisional structure**

Question No: 28 (Marks: 1) - Please choose one

Which of the following creates the “Dual Chain of Command?”

- ▶ Team based and Project Structure
- ▶ Functional and Simple structure
- ▶ **Project and matrix Structure**
- ▶ Simple and matrix Structure

Question No: 29 (Marks: 1) - Please choose one

Suppose that motivated employees are in great tension. In order to relieve this tension they should:

- ▶ Involve in entertaining activities
- ▶ Achieve their personal Goal
- ▶ **Reduce putting efforts**
- ▶ Exert more efforts

Question No: 30 (Marks: 1) - Please choose one

Canalized efforts are the result of which of the following?

- ▶ Right direction

- ▶ Centralization
- ▶ Proper guidance
- ▶ **Good hierarchy**

Question No: 31 (Marks: 1) - Please choose one

Researchers have emphasized upon which trait of leadership?

- ▶ Self-confidence
- ▶ Situations
- ▶ Behavior
- ▶ **Leader-member relations**

Question No: 32 (Marks: 1) - Please choose one

To motivate professionals what point should be in consideration?

- ▶ **Commitment to their field**
- ▶ Job security
- ▶ Offering high pay
- ▶ Promotions

Question No: 33 (Marks: 1) - Please choose one

Visionary leaders appear to have all of the following qualities related to effectiveness in their leadership roles EXCEPT:

- ▶ Ability to explain the vision
- ▶ Ability to express the vision
- ▶ Ability to extend the vision
- ▶ **Ability to enforce the vision**

Question No: 34 (Marks: 1) - Please choose one

Which of the following is a characteristic of a high-performing team that makes the group greater than the sum of its parts?

- ▶ A quality circle
- ▶ Group dynamics
- ▶ **Synergy**
- ▶ Cohesiveness

Question No: 35 (Marks: 1) - Please choose one

Students in the Management class were required to complete a group project worth 25% of their marks in the course. By the later part of the semester Group One had completed their project and dispersed, Group Two were putting the final touches on the presentation, Group Three were arguing over who would do which part of the project, and Group Four had met once and done nothing more. What stage of group development was Group Four in?

- ▶ Adjourning
- ▶ **Forming**
- ▶ Storming
- ▶ Norming

Question No: 36 (Marks: 1) - Please choose one

Which of the following is a major drawback of written communication?

- ▶ Lack of feedback
- ▶ Lack of precision
- ▶ **Less well thought out**
- ▶ Lack of verifiable permanent record

Question No: 37 (Marks: 1) - Please choose one

Which of the following is the most popular type of control?

► **Feed forward**

- Concurrent
- Feedback
- Budgetary

Question No: 38 (Marks: 1) - Please choose one

A large chemical company not only dispose off all toxic waste properly as outlined by law, but it also spends \$1 million dollars each year on research to determine better processes for all businesses to use in disposing of toxic wastes. This company is exhibiting which of the following?

- **Social responsibility**
- Social obligation
- Moral obligation
- Social responsiveness

Question No: 39 (Marks: 1) - Please choose one

Mr. Kamran is a manager at virtual university of Pakistan. His responsibilities include developing a organization-wide marketing strategy that plays on the synergies between institute's offered Programs in order to drive increased no. of students. Kamran is a:

- Middle manager
- First-line manager
- **Top manager**
- Non-managerial

Question No: 40 (Marks: 1) - Please choose one

Sulman thinks about his job while playing with his son on the weekend, and he continually volunteers to do extra assignments and project for his department. These suggest that Sulman has a strong need for :

- Esteem
- Security
- **Achievement**

- ▶ Power

Question No: 41 (Marks: 1) - Please choose one

According to University of Michigan studies, a leader who emphasizes the technical aspects of the job and is concerned with accomplishing the group's tasks is said to be which of the following?

- ▶ Employee-oriented
- ▶ Initiating
- ▶ Considerate
- ▶ **Production-oriented**

Question No: 42 (Marks: 1) - Please choose one

Which of the following factor is more important for men than women?

- ▶ Opportunity to learn
- ▶ Flexibility
- ▶ **Autonomy**
- ▶ Convenience

Question No: 43 (Marks: 1) - Please choose one

Which of the following group techniques allows group members to meet together, but also allows independent thinking?

- ▶ Groupthink
- ▶ Electronic meetings
- ▶ Brainstorming
- ▶ **Nominal group technique**

Question No: 44 (Marks: 1) - Please choose one

A mission statement of an organization provides a unique insight to its _____ regarding future growth.

- ▶ Employees
- ▶ Stockholders
- ▶ **External group**
- ▶ Customers

Question No: 45 (Marks: 1) - Please choose one

Which of the following order is correct about strategy formulation?

- ▶ Developing specific strategies, identifying the mission and strategic goals, conducting competitive analysis
- ▶ Identifying the mission and strategic goals, conducting competitive analysis, developing specific strategies
- ▶ **Identifying the mission and strategic goals, developing specific strategies, conducting competitive analysis**
- ▶ Developing specific strategies, conducting competitive analysis, identifying the mission and strategic goals

Question No: 46 (Marks: 1) - Please choose one

All are the strategic challenges for entrepreneurs EXCEPT:

- ▶ choosing an Industry in which to compete
- ▶ emphasizing distinctive competencies
- ▶ **writing a business plan**
- ▶ increasing the number of employees

Question No: 47 (Marks: 1) - Please choose one

A Company organizes its 20000 employees into five departments i.e. Finance, HR, Marketing , Collection & Tax Control. Company is using which of the following type of departmentalization?

- ▶ Geographic
- ▶ **Functional**
- ▶ Customers
- ▶ Product

Question No: 48 (Marks: 1) - Please choose one

Grouping of job activities is also known as:

- ▶ Job design
- ▶ Job specification
- ▶ **Departmentalization**
- ▶ Distributing authority

Question No: 49 (Marks: 1) - Please choose one

ABC manufacturers have broken jobs into small component and assigned each component to specialists, Company has implemented which of the following concept?

- ▶ Distributing authority
- ▶ Departmentalization
- ▶ **Job specification**
- ▶ Job design

Question No: 50 (Marks: 1) - Please choose one

All of the following are the core characteristics of a Job Characteristics Model EXCEPT:

- ▶ Autonomy
- ▶ Task significance
- ▶ Feedback
- ▶ **Opportunity**

Question No: 51 (Marks: 1) - Please choose one

Tall structure is more expensive because of:

- ▶ Few departments
- ▶ Lesser resources
- ▶ Fewer hierarchical levels
- ▶ **More hierarchical levels**

Question No: 52 (Marks: 1) - Please choose one

Sara has switched to a new job where she is handling a wide variety of communication tasks. She feels that she can utilize her full potential in new job as compare to previous job with more pay. In this situation which of the following need is more important for Sara?

- ▶ Physiological
- ▶ **Self actualization**
- ▶ Esteem
- ▶ Safety

Question No: 53 (Marks: 1) - Please choose one

Seema is preparing for exams; she is studying for 12 hours daily because it gives her a sense of satisfaction that she is working hard. What urges Seema to work hard?

- ▶ Extrinsic motivation
- ▶ Self confidence
- ▶ Self efficacy
- ▶ **intrinsic motivation**

Question No: 54 (Marks: 1) - Please choose one

Mr. Ali and Ms. Fatima work for ABC Company. Both are equally working hard and putting same amount of efforts, but Mr. Ali is paid more than Ms. Fatima.

What kind of condition is being perceived by Fatima?

▶ Equity

▶ **Inequity**

▶ Power need

▶ Growth need

Question No: 55 (Marks: 1) - Please choose one

ERG stands for:

▶ Esteem, Relatedness and Growth

▶ Existence, Recognition and Growth

▶ **Existence, Relatedness and Growth**

▶ Esteem, Recognition and Growth

Question No: 56 (Marks: 1) - Please choose one

If an employee A compares his equity ratio with the other employee B, in which case he will feel inequity due to being over rewarded?

▶ $O/I_a < O/I_b$

▶ **$O/I_a > O/I_b$**

▶ $O/I_a = O/I_b$

▶ $O/I_b > O/I_a$

Question No: 57 (Marks: 1) - Please choose one

According to Ohio State Studies, a leader will be more effective who is exhibiting;

▶ Low in initiating structure and low consideration

▶ **High in initiating structure and high consideration**

▶ Low in initiating structure and high consideration

▶ High in initiating structure and low consideration

Question No: 58 (Marks: 1) - Please choose one

“Delegating” leadership style of Hersey and Ken Blanchard Contingency Theory relates to which of the following leadership style of Path-goal theory?

- ▶ Achievement-oriented
- ▶ **Participative**
- ▶ Supportive
- ▶ Directive

Question No: 59 (Marks: 1) - Please choose one

To analyze the group performance, group should be viewed as:

- ▶ **System**
- ▶ Feedback
- ▶ Output
- ▶ Input

Question No: 60 (Marks: 1) - Please choose one

All of the following are the dimensions that make the concept of trust. EXCEPT:

- ▶ Competence
- ▶ Consistency
- ▶ Communication
- ▶ **Integrity**

Question No: 61 (Marks: 1) - Please choose one

The behavior that arises among individuals who have previously worked in any other groups is called:

- ▶ Group behavior
- ▶ **Carryover behavior** not sure
- ▶ Group cohesiveness

- ▶ Primacy

Question No: 62 (Marks: 1) - Please choose one

The process in which one party perceives that its interests are being opposed or adversely affected by some other parties is called:

- ▶ Crises
- ▶ **Conflict**
- ▶ Agreement
- ▶ Stress

Question No: 63 (Marks: 1) - Please choose one

Feed-forward, Feedback and Concurrent control are the types of control methods based on:

- ▶ Decision making
- ▶ Market information
- ▶ **Timing**
- ▶ Financial resource

Question No: 64 (Marks: 1) - Please choose one

----- is a tool for measuring corporate and divisional performance by calculating after-tax operating profit minus the total annual cost of capital.

- ▶ Market value added
- ▶ Economic value added
- ▶ **Balanced Scorecard**
- ▶ Benchmarking

PAPER NO 11

FINAL TERM EXAMINATION

MGT503- Principles of Management
Fall 2008
BY ADNAN AWAN
Adnanawan6@gmail.com

Time: 120 min
Marks: 85

Question No: 1 (Marks: 1) - Please choose one
Value chain partners are part of which of the following component of Value Chain Management.

- ▶ Technical investment
- ▶ Leadership
- ▶ **Coordination and Collaboration**
- ▶ Planning

Question No: 2 (Marks: 1) - Please choose one
The process of managing the entire sequence of integrated activities and information about product flow is called:

- ▶ Total Quality Management
- ▶ **Supply Chain Management**
- ▶ Kaizen
- ▶ Value Chain Management

Question No: 3 (Marks: 1) - Please choose one
Control that prevents anticipated problems is called:

- ▶ **Feed forward control**
- ▶ Concurrent control
- ▶ Feedback control
- ▶ Management control

Question No: 4 (Marks: 1) - Please choose one
The organizational communication network that uses internet technology and allows authorized users inside the organization to communicate with certain outsiders such as customers or vendors is called:

- ▶ **Intranet**
- ▶ Extranet
- ▶ Videoconference
- ▶ E-mail

Question No: 5 (Marks: 1) - Please choose one
A leader who involves employees in decision making, delegates authority and allows employees to have direct input into the final decision is using which of the following leadership style?

- ▶ **Democratic-participative**
- ▶ Laissez-faire
- ▶ Autocratic
- ▶ Democratic-consultative

Question No: 6 (Marks: 1) - Please choose one
According to Fiedler, in moderately favorable situations which of the following leader performs better?

- ▶ Structure oriented
- ▶ Position oriented
- ▶ Production oriented
- ▶ **Relationship oriented**

Question No: 7 (Marks: 1) - Please choose one

The recent survey depicts that in the opinion of employees the most powerful workplace motivator is:

- ▶ Flextime
- ▶ Recognition
- ▶ **Goals**
- ▶ Salary

Question No: 8 (Marks: 1) - Please choose one

Which theory includes the component that employee motivation is influenced by relative as well as absolute rewards?

- ▶ Expectancy
- ▶ Three-needs
- ▶ Goal-setting
- ▶ **Equity**

Question No: 9 (Marks: 1) - Please choose one

According to Herzberg's Motivation-Hygiene Theory, which of the following is NOT a hygiene factor?

- ▶ Working Conditions
- ▶ Salary
- ▶ Relationship with supervisor
- ▶ **Work itself**

Question No: 10 (Marks: 1) - Please choose one

According to Maslow's hierarchy of needs, which needs are predominantly satisfied internally?

- ▶ Safety
- ▶ **Esteem**
- ▶ Physiological
- ▶ social

Question No: 11 (Marks: 1) - Please choose one

Maslow's hierarchy of needs theory proposes that every person has a hierarchy of:

- ▶ Four needs
- ▶ **Five needs**
- ▶ Three needs
- ▶ Six needs

Question No: 12 (Marks: 1) - Please choose one

What should a manager do while motivating employees?

- ▶ Increase wages and salaries
- ▶ Incorporate promotional opportunities
- ▶ Recognize individual differences
- ▶ **Use employee-recognition program**

Question No: 13 (Marks: 1) - Please choose one

An unsatisfied need creates which type of emotion?

- ▶ Anxiety
- ▶ **Tension**
- ▶ Drive
- ▶ Pressure

Question No: 14 (Marks: 1) - Please choose one

Which of the following is the best description of effort?

- ▶ The level of willpower towards work
- ▶ **The measure of intensity or drive**
- ▶ One's ability to work
- ▶ The work required to complete a task

Question No: 15 (Marks: 1) - Please choose one

Contemporary organizational design includes all of the following EXCEPT :

- ▶ Team based structure
- ▶ **Matrix structure**
- ▶ Project structure
- ▶ Divisional structure

Question No: 16 (Marks: 1) - Please choose one

Which of the following is the crucial element of team structure?

- ▶ Employee empowerment
- ▶ **Faster decision-making**
- ▶ Inexpensive to maintain
- ▶ Clear chain of command

Question No: 17 (Marks: 1) - Please choose one

Which of the following factors influence an organization towards centralization?

- ▶ Lower-level managers want a part in decision making
- ▶ Environment is complex and uncertain
- ▶ **Decisions are significant**
- ▶ Company is geographically dispersed

Question No: 18 (Marks: 1) - Please choose one

Identify the organizational design process which has a potential weakness that, managers will not be able to provide necessary leadership and support?

- ▶ Span of control
- ▶ **Decentralization**
- ▶ Departmentalization
- ▶ Chain of command

Question No: 19 (Marks: 1) - Please choose one

An organization that groups activities according to women's footwear, men's footwear, apparel and accessories would use which of the following departmentalization?

- ▶ **Product**
- ▶ Customer
- ▶ Geographic
- ▶ Functional

Question No: 20 (Marks: 1) - Please choose one

What kind of departmentalization would be in place in a government organization where different public service responsibilities are divided into activities for employers, children, and the disabled?

- ▶ Product
- ▶ Geographic
- ▶ Outcome
- ▶ **Customer**

Question No: 21 (Marks: 1) - Please choose one

Which of the following is not among the three perspectives that should be considered in preparing a business plan?

- ▶ Marketing perspective
- ▶ Perspective of the entrepreneur
- ▶ **Investor perspective**
- ▶ Technical perspective

Question No: 22 (Marks: 1) - Please choose one

An organization's structure should facilitate which of the following?

- ▶ Chain of command
- ▶ Necessity of departmentalization
- ▶ **Achievement of goals**
- ▶ Span of control

Question No: 23 (Marks: 1) - Please choose one

In which organizational structure employee have two managers?

- ▶ Team
- ▶ Learning
- ▶ Boundary less
- ▶ **Matrix**

Question No: 24 (Marks: 1) - Please choose one

The fact that managers can become experts within their industry is a function of which kind of departmentalization?

- ▶ Process
- ▶ Geographical
- ▶ **Functional**
- ▶ Product

Question No: 25 (Marks: 1) - Please choose one

Which of the following is a process by which individuals pursue opportunities, fulfill needs and wants through innovation, without regard to the resources they currently control?

- ▶ Small business ownership
- ▶ Innovative Management
- ▶ **Entrepreneurship**
- ▶ Privatization

Question No: 26 (Marks: 1) - Please choose one

First step of strategic management process, the mission, answers which of the following question?

- ▶ What business should we be in?
- ▶ **What is our reason for being in business?**
- ▶ Who are our customers?
- ▶ Who are our creditors?

Question No: 27 (Marks: 1) - Please choose one

When the hierarchy of organizational goals is clearly defined, it forms an integrated network of goals which is called:

- ▶ Hierarchical-link chain
- ▶ **Means-ends chain**
- ▶ Weakest-link chain
- ▶ Level-level chain

Question No: 28 (Marks: 1) - Please choose one

Safeguard is an anti-bacterial soap that provides superior longer lasting germ protection. Through this soap Procter & Gamble is practicing which of the following strategies?

- ▶ Stability Strategy
- ▶ **Differentiation strategy**

- ▶ Emergent strategy
- ▶ Cost leadership strategy

Question No: 29 (Marks: 1) - Please choose one
At the first step of goal setting a manager should:

- ▶ Evaluate available resources
- ▶ **Review organization's mission**
- ▶ Write down goals
- ▶ Estimate expected benefits

Question No: 30 (Marks: 1) - Please choose one
Which of the following is a primary benefit of MBO?

- ▶ Avoid competition
- ▶ Resistance against new entrance
- ▶ **Improve employee motivation**
- ▶ Increase resources

Question No: 31 (Marks: 1) - Please choose one
Which of the following is an area in the environment that if exploited may generate high performance for organization?

- ▶ Strength
- ▶ Weakness
- ▶ **Opportunity**
- ▶ Threat

Question No: 32 (Marks: 1) - Please choose one
A skill and capability that does not enable an organization to choose and implement strategies that support its mission is called its:

- ▶ Strength
- ▶ **Weakness**
- ▶ Opportunity
- ▶ Threat

Question No: 33 (Marks: 1) - Please choose one
Which of the following strategy specifies the range of markets in which an organization will compete?

- ▶ **Scope**
- ▶ Distinctive Competency
- ▶ Resource deployment
- ▶ Effective strategy

Question No: 34 (Marks: 1) - Please choose one
Few years ago Nike has problem with inconsistency of goals. The firm was producing high quality shoes but they were not stylish. As a result company lost substantial market share. In this situation which kind of goal was missing?

- ▶ **Manufacturing goal**
- ▶ Marketing goal
- ▶ Financial goal
- ▶ Operational goal

Question No: 35 (Marks: 1) - Please choose one
Sony has a goal to acquire a firm in the entertainment industry. The goal was realized when Sony bought Columbia picture. It comes under which of the following?

- ▶ **Strategic goal**
- ▶ Operational goal
- ▶ Tactical goal
- ▶ Personal goal

Question No: 36 (Marks: 1) - Please choose one

Which of the following group technique allows group members to meet together, but also allows independent thinking?

- ▶ Groupthink
- ▶ Electronic meetings
- ▶ Brainstorming
- ▶ **Nominal group technique**

Question No: 37 (Marks: 1) - Please choose one

Many decisions fail after the final choice because of the occurrence of which of the following?

- ▶ Decision criteria weights were incorrect
- ▶ People affected failed to accept the solution
- ▶ Satisficing occurred
- ▶ **Choice was wrong**

Question No: 38 (Marks: 1) - Please choose one

Which of the following term sometimes used to describe picking a course of action that is satisfactory under the circumstances?

- ▶ Escalation of commitment
- ▶ **Satisficing**
- ▶ Risk
- ▶ Bounded rationality

Question No: 39 (Marks: 1) - Please choose one

Jay tends to always look at the broad picture and likes to look at many alternatives. He focuses on the long run and looks for creative solutions. He prefers which of the following styles of decision making?

- ▶ Analytic
- ▶ **Conceptual**
- ▶ Directive
- ▶ Behavioral

Question No: 40 (Marks: 1) - Please choose one

The decision-making model consists of four styles: directive, analytic, behavioral and

-
- ▶ **Conceptual**
 - ▶ Intuitive
 - ▶ Group interaction
 - ▶ Laggard

Question No: 41 (Marks: 1) - Please choose one

"Whenever possible, we promote from within" is an example of which of the following?

- ▶ Rule
- ▶ Procedure
- ▶ **Policy**
- ▶ Plan

Question No: 42 (Marks: 1) - Please choose one

A large chemical company not only disposes of all toxic waste properly as outlined by law, but it also spends \$1 million dollars each year on research to determine better processes for

all businesses to use in disposing of toxic wastes. This company is exhibiting which of the following?

- ▶ **Social responsibility**
- ▶ Social obligation
- ▶ Moral obligation
- ▶ Social responsiveness

Question No: 43 (Marks: 1) - Please choose one

Which of the following approaches recognize differences among organizations and categorizes variables that affect an organization's performance?

- ▶ **Process approach**
- ▶ Contingency approach
- ▶ Function approach
- ▶ System approach

Question No: 44 (Marks: 1) - Please choose one

Giving prestigious job titles would be one way to satisfy people's need for :

- ▶ **Esteem**
- ▶ Belongingness
- ▶ Self-actualization
- ▶ Safety

Question No: 45 (Marks: 1) - Please choose one

"Specialization increases output by making employees more efficient" it is called:

- ▶ **Division of work**
- ▶ Authority
- ▶ Scalar chain
- ▶ Order

Question No: 46 (Marks: 1) - Please choose one

Henry Fayol described principles of management in the form of:

- ▶ 11 points
- ▶ 12 points
- ▶ **14 points**
- ▶ 15 points

Question No: 47 (Marks: 1) - Please choose one

Which of the following functions or activities involve recruiting and placing qualified personnel needed for the organization so that it may achieve its objectives and goals?

- ▶ Planning
- ▶ Organizing
- ▶ **Staffing**
- ▶ Leading

Question No: 48 (Marks: 1) - Please choose one

An organized set of behavior that is associated with particular office or position is called:

- ▶ **Role**
- ▶ Obligation
- ▶ Responsibility
- ▶ Responsibility

Question No: 49 (Marks: 1) - Please choose one

The person who maintains network of connection outside the organization to obtain information is called:

- ▶ Entrepreneur
- ▶ Disseminator
- ▶ **Spokesperson**
- ▶ Liaison

Question No: 50 (Marks: 1) - Please choose one

Ali has a job that pays him well, he desires to make a contribution to the organization, and he has an active social life. His desire is to become all that he is capable of becoming. Ali is at which of the following need defined by maslow?

- ▶ **Self-actualization**
- ▶ Safety
- ▶ Social
- ▶ Esteem

PAPER NO 12

FINAL TERM EXAMINATION

MGT503- Principles of Management

By ADNAN AWAN

Adnanawan6@gmail.com

Question No: 1 (Marks: 1) - Please choose one

All of the following are requirements for successful value chain management EXCEPT :

- ▶ Coordination and Collaboration
- ▶ Continuous Process Improvement
- ▶ **Organizational Processes**
- ▶ Technology Investment

Question No: 2 (Marks: 1) - Please choose one

An individual's belief that he or she is capable of performing a task is called:

- ▶ Self esteem
- ▶ Self direction
- ▶ **Self efficacy**
- ▶ Self confidence

Question No: 3 (Marks: 1) - Please choose one

The most important point of Prof. Edward Deming's Philosophy was:

- ▶ Achieving the Goals
- ▶ **Consistency of Purpose**
- ▶ Wastage of the resources should be minimized
- ▶ Collaboration among the members

Question No: 4 (Marks: 1) - Please choose one

LG and Sony electronics agreed to cooperate on developing new technologies. Representatives from each firm meet regularly to coordinate this new venture. Which of the following roles these managers are playing?

▶ **Liaison**

- ▶ Leader
- ▶ Disseminator
- ▶ Spokesperson

Question No: 5 (Marks: 1) - Please choose one

Munib is the CEO of a hospital. He has spent his day planning the schedules of employees for next month. He spent his day in:

- ▶ Planning
- ▶ **Organizing**
- ▶ Leading
- ▶ Controlling

Question No: 6 (Marks: 1) - Please choose one

Which type of managerial skill refers to the ability to analyze and diagnose complex situations?

- ▶ Problem-solving
- ▶ Interpersonal
- ▶ **Conceptual**
- ▶ Technical

Question No: 7 (Marks: 1) - Please choose one

Munsterberg is considered to be the father of _____ psychology.

- ▶ Clinical
- ▶ **Industrial**
- ▶ Behavior
- ▶ Theoretical

Question No: 8 (Marks: 1) - Please choose one

Two major characteristics of open system are :

► **Negative entropy and synergy**

- Positive entropy and synergy
- Entropy and synergy
- Anthropology and synergy

Question No: 9 (Marks: 1) - Please choose one

In Europe today banks and insurance companies are linking up in an effort to market a wide array of financial products that each would have trouble selling on its own. They are practicing which of the following concept?

- Transformation
- Entropy
- Negative Entropy

► **Synergy**

Question No: 10 (Marks: 1) - Please choose one

Few years ago, employees of a international company took wages cuts to help the firm offset large losses. Now firm is again earning profits and employees believe that their wages should be restored but company is not willing to restore their wages. Organization is showing which of the following behavior?

► **Unethical**

- Socially responsible
- Ethical
- Socioeconomic

Question No: 11 (Marks: 1) - Please choose one

Under which of the following approach, managers impose and enforce rules fairly and impartially and do so by following all legal rules and regulations. A manager using this theory would decide to provide the same rate of pay to individuals who are similar in their level of skills, performance and gender?

- Integrative social contracts
- Right view of ethics
- Utilitarian view of ethics

► **Theory of justice of ethics**

Question No: 12 (Marks: 1) - Please choose one

Only employees with top-secret clearance may enter the sealed room, is an example of which of the following?

- ▶ **Rule**
- ▶ Procedure
- ▶ Policy
- ▶ Plan

Question No: 13 (Marks: 1) - Please choose one

Jay tends to always look at the broad picture and likes to look at many alternatives. He focuses on the long run and looks for creative solutions. He prefers which of the following styles of decision making?

- ▶ Analytic
- ▶ **Conceptual**
- ▶ Directive
- ▶ Behavioral

Question No: 14 (Marks: 1) - Please choose one

The strap of Ali's bag tore off as he threw it over his shoulder. On the way to school, he stopped at the first store that carries bags, walked in and purchased one from the front rack. Ali has just made which of the following type of decision?

- ▶ Maximizing
- ▶ **Satisfying**
- ▶ Risky
- ▶ Optimal

Question No: 15 (Marks: 1) - Please choose one

All of the following include in the definition of planning EXCEPT:

- ▶ Defining organization's objectives or goals
- ▶ Establishing an overall strategy for achieving objectives or goals
- ▶ **Allocating resources and developing a chain of communication**
- ▶ Developing a hierarchy of plans to integrate and coordinate activities

Question No: 16 (Marks: 1) - Please choose one

Mission Statement of Johnson & Johnson is:

“We believe our first responsibility is to the doctors, nurses, and patients, to mothers and all others who use our products”

This statement shows which of the following attributes of mission statement?

- ▶ Location
- ▶ Customers
- ▶ Self concept
- ▶ **Desired public image**

Question No: 17 (Marks: 1) - Please choose one

When objectives are not written down or rarely verbalized, and the planning is general and lacks continuity, which one of the following type of planning is used?

- ▶ Environmental planning
- ▶ Economic planning
- ▶ **Informal planning**
- ▶ Formal planning

Question No: 18 (Marks: 1) - Please choose one

In those organizations where formal planning did not lead to higher performance, the culprit may be which of the following?

- ▶ Employees
- ▶ Marketing plan
- ▶ Management
- ▶ **Environment**

Question No: 19 (Marks: 1) - Please choose one

Which of the following is the set of strengths, characteristics and qualities including skills, technologies or resources that distinguish a firm from its competitors?

- ▶ Scope
- ▶ **Distinctive Competency**
- ▶ Resource deployment
- ▶ Effective strategy

Question No: 20 (Marks: 1) - Please choose one

A skill and capability that does not enable an organization to choose and implement strategies that support its mission is called its:

- ▶ Strength
- ▶ **Weakness**
- ▶ Opportunity
- ▶ Threat

Question No: 21 (Marks: 1) - Please choose one

ABC Company is in the process of buying a smaller competitor and incorporating that company's resources into his business. This is an example of which of the following types of strategies?

- ▶ Merger
- ▶ Stability
- ▶ Retrenchment
- ▶ **Acquisition**

Question No: 22 (Marks: 1) - Please choose one

Few years before Polka was a leading brand of ice-cream in Pakistan. Than it was purchased by Walls and all its products were replaced with “Walls” name. Here "Walls" adopted which of the following strategy?

- ▶ Merger
- ▶ Vertical integration
- ▶ **Acquisition**
- ▶ Horizontal integration

Question No: 23 (Marks: 1) - Please choose one

In BCG matrix which of the following businesses have only a small share of a quickly growing market?

- ▶ Star
- ▶ Dogs
- ▶ Cash cow
- ▶ **Question mark**

Question No: 24 (Marks: 1) - Please choose one

Which of the following is NOT a strategy implementation step?

- ▶ Define strategic tasks
- ▶ Develop implementation agenda
- ▶ **Develop mission and goals**
- ▶ Assess organizational capabilities

Question No: 25 (Marks: 1) - Please choose one

The degree to which tasks in an organization are divided into separate jobs is called:

- ▶ Centralization
- ▶ Span of control
- ▶ Chain of command
- ▶ **Work specialization**

Question No: 26 (Marks: 1) - Please choose one

While making a business plan an entrepreneur cannot conduct market research until he:

- ▶ Develops legal plan
- ▶ Develops insurance plan
- ▶ Writes cover letter
- ▶ **Chooses product or service**

Question No: 27 (Marks: 1) - Please choose one

Which of the following is the set of elements that can be used to configure an organization?

- ▶ **Organization structure**
- ▶ Organization design
- ▶ Organization chart
- ▶ Organization rotation

Question No: 28 (Marks: 1) - Please choose one

An owner of an organization hires a sales representative to market his products. He gave power to sales representative to make certain decision. He has been given:

- ▶ Responsibility

- ▶ Span of control
- ▶ **Authority**
- ▶ Accountability

Question No: 29 (Marks: 1) - Please choose one

What kind of departmentalization would be in place in a government organization where different public service responsibilities are divided into activities for employers, children, and the disabled?

- ▶ Product
- ▶ Geographic
- ▶ Outcome
- ▶ **Customer**

Question No: 30 (Marks: 1) - Please choose one

Identify the organizational design process which has a potential weakness that, managers will not be able to provide necessary leadership and support?

- ▶ **Decentralization**
- ▶ Departmentalization
- ▶ Chain of command
- ▶ Span of control

Question No: 31 (Marks: 1) - Please choose one

Today the concepts of Unity of Command, Authority and Responsibility are less important because of which of the following?

- ▶ Organizational structure
- ▶ Centralization and decentralization
- ▶ **Employee's Empowerment and Information Technology**
- ▶ Departmentalization

Question No: 32 (Marks: 1) - Please choose one

A structure that is characterized by narrow span of management and many hierarchical levels is:

- ▶ **Tall Structure**
- ▶ Flat Structure

- ▶ Matrix Structure
- ▶ Divisional Structure

Question No: 33 (Marks: 1) - Please choose one

Which of the following is a weakness of a simple structure?

- ▶ **It relies on one person**
- ▶ It is not flexible
- ▶ It is expensive
- ▶ There is unclear accountability

Question No: 34 (Marks: 1) - Please choose one

Which of the following is a contemporary organizational structural design?

- ▶ Functional
- ▶ Divisional
- ▶ **Learning**
- ▶ Simple

Question No: 35 (Marks: 1) - Please choose one

Which type of organizational entity is more of an organizational mind-set than a structured design?

- ▶ Matrix
- ▶ **Boundary less**
- ▶ Functional
- ▶ Learning

Question No: 36 (Marks: 1) - Please choose one

Which of the following creates the “Dual Chain of Command?”

- ▶ Team based and Project Structure
- ▶ Functional and Simple structure
- ▶ **Project and matrix Structure**
- ▶ Simple and matrix Structure

Question No: 37 (Marks: 1) - Please choose one

An unsatisfied need creates which type of emotion?

- ▶ Anxiety
- ▶ **Tension**
- ▶ Drive
- ▶ Pressure

Question No: 38 (Marks: 1) - Please choose one

People who want to exert more power often engage in which of the following activities?

- ▶ Visionary leadership
- ▶ Reward power
- ▶ **Office politics**
- ▶ Charismatic training

Question No: 39 (Marks: 1) - Please choose one

At Sony (an electronics manufacturer) a special team was selected to work out a marketing plan for its newest product, a voice-activated DVD player, that uses voice recognition commands instead of control buttons. During their most recent meeting, there was a conflict between a design manager and a marketing representative about whose responsibility it was to draft the marketing plan. Several members of the team got into a shouting match with one another. This team seems to be at which of the following stages of group development?

- ▶ Conflict
- ▶ Forming
- ▶ Norming
- ▶ **Storming**

Question No: 40 (Marks: 1) - Please choose one

A specific group of accountants at an accounting firm that meets regularly to develop better auditing procedures for the firm can be referred as which of the following?

- ▶ Task force
- ▶ **Functional team**
- ▶ Cross-functional team
- ▶ Virtual team

Question No: 41 (Marks: 1) - Please choose one

It is most appropriate to use oral communication when you have to communicate:

- ▶ A monthly report to the CEO on company performance
- ▶ **An impersonal message to a group of people**
- ▶ A lengthy welcoming message to a new salesperson
- ▶ A brief, time sensitive personal message

Question No: 42 (Marks: 1) - Please choose one

Atif just received the news that he has received the promotion for which he has been waiting for two years. He is ecstatic. Every communication for the rest of the day will be affected by which of the following?

- ▶ Filtering
- ▶ **Emotions**
- ▶ Language
- ▶ Nonverbal cues

Question No: 43 (Marks: 1) - Please choose one

Which of the following is a process that involves managers from all parts of the organization in the formulation of strategic goals?

- ▶ Strategic organizing
- ▶ Strategic management
- ▶ Strategic positioning
- ▶ **Strategic planning**

Question No: 44 (Marks: 1) - Please choose one

Which of the following is the obligation or expectation to perform a duty?

- ▶ **Responsibility**
- ▶ Unity of command
- ▶ Chain of command
- ▶ Span of control

Question No: 45 (Marks: 1) - Please choose one

Which one of Fayol's 14 principles of management helps preserve the concept of a continuous line of authority?

- ▶ Unity of demand
- ▶ **Unity of command**
- ▶ Demand structure
- ▶ Continuous demand

Question No: 46 (Marks: 1) - Please choose one

Mr. Kamran is a manager at virtual university of Pakistan. His responsibilities include developing a organization-wide marketing strategy that plays on the synergies between institute's offered Programs in order to drive increased no. of students. Kamran is a:

- ▶ Middle manager
- ▶ First-line manager
- ▶ **Top manager**
- ▶ Non-managerial

Question No: 47 (Marks: 1) - Please choose one

Which of the following was created by the unification of 12 countries in Europe?

- ▶ European Common Market
- ▶ **European Union**
- ▶ Western European Alliance
- ▶ Trans-European Market

Question No: 48 (Marks: 1) - Please choose one

Motivation is the result of interaction between which of the following?

- ▶ **Efforts and situation**
- ▶ Employee and manager
- ▶ Efforts and intention
- ▶ Individual and situation

Question No: 49 (Marks: 1) - Please choose one

Which of the following are the hygiene factors?

- ▶ Fringe benefits, recognition and motivation
- ▶ **Achievement, responsibility and growth**
- ▶ Friendship groups, working conditions and responsibilities

- ▶ Company policies, working conditions and salary

Question No: 50 (Marks: 1) - Please choose one

Which of the following is an example of body language?

- ▶ Eye contact
- ▶ Style of dress
- ▶ Facial expressions
- ▶ **All of the given options**

Adnanawan6gmail.com

PAPER NO 13

FINAL TERM EXAMINATION

Mgt503 principle of management

2009

By ADNAN AWAN

Adnanawan6@gmail.com

Question No: 1 (Marks: 1) - Please choose one

What is the basic assumption of situational approaches to leadership?

- ▶ Increasing worker job satisfaction through consideration behavior will get leaders the best results
- ▶ Initiating structure for employees by telling them what to do and how to do.
- ▶ **The appropriate leadership style varies from one set of circumstances to another**
- ▶ Effective leaders possess certain traits that are situation specific

Question No: 2 (Marks: 1) - Please choose one

Which of the following statement is NOT true for productivity?

- ▶ Productivity is a major goal in virtually every organization
- ▶ For individual companies, increased productivity means a more competitive cost structure
- ▶ Productivity is a composite of people and operations variables
- ▶ **Productivity can be improved by dealing with large number of suppliers**

Question No: 3 (Marks: 1) - Please choose one

All of the following are primary management functions EXCEPT:

- ▶ Setting goals
- ▶ **Hiring employees**
- ▶ Monitoring activities
- ▶ Motivating employees

Adnanawan6gmail.com

Question No: 4 (Marks: 1) - Please choose one

Which one of the following is explaining the Entrepreneur in the best way?

- ▶ Goals Setter
- ▶ Decision Maker
- ▶ Communicator
- ▶ **Initiator**

Question No: 5 (Marks: 1) - Please choose one

The success of the business can be judged through:

- ▶ Customer satisfaction
- ▶ Achieving of Organizational Goals
- ▶ Cost price reduction
- ▶ **All of the given options**

Question No: 6 (Marks: 1) - Please choose one

LG and Sony electronics agreed to cooperate on developing new technologies. Representatives from each firm meet regularly to coordinate this new venture. Which of the following roles these managers are playing?

- ▶ **Liaison**
- ▶ Leader

- ▶ Disseminator
- ▶ Spokesperson

Question No: 7 (Marks: 1) - Please choose one

Determining the tasks to be accomplished, how the tasks are to be grouped and who is responsible for the various tasks is known as which of the following processes of management?

- ▶ Planning
- ▶ **Organizing**
- ▶ Leading
- ▶ Controlling

Question No: 8 (Marks: 1) - Please choose one

Which level of management is responsible for making organization wide decisions and establishing the plans and goals that affect the entire organization?

- ▶ Non managerial staff
- ▶ **Top management**
- ▶ Middle management
- ▶ First-line management

Question No: 9 (Marks: 1) - Please choose one

Henry Fayol described principles of management in the form of:

- ▶ 11 points
- ▶ 12 points
- ▶ **14 points**
- ▶ 15 points

Question No: 10 (Marks: 1) - Please choose one

When management provides orderly personnel planning and ensures that replacements are available to fill vacancies, it is called :

- ▶ Division of work
- ▶ Discipline
- ▶ Unity of command
- ▶ **Stability of tenure of personnel**

Question No: 11 (Marks: 1) - Please choose one

The father of industrial psychology is:

- ▶ Robert Owen
- ▶ **Hugo Munsterberg**
- ▶ Mary parker Follett
- ▶ Max Weber

Question No: 12 (Marks: 1) - Please choose one

Environment reacts to the output of organization and provides:

- ▶ Feed forward
- ▶ Input
- ▶ Output
- ▶ **Feedback**

Question No: 13 (Marks: 1) - Please choose one

Which of the following styles of decision making is characterized by individuals who prefer complete information and consider several alternatives?

- ▶ Analytic
- ▶ Conceptual
- ▶ **Directive**
- ▶ Behavioral.

Question No: 14 (Marks: 1) - Please choose one

The intent of which of the following is to reduce uncertainty by playing out potential situations under different specific conditions?

- ▶ Project management
- ▶ Scheduling
- ▶ Environmental analysis
- ▶ **Scenario planning**

Question No: 15 (Marks: 1) - Please choose one

Mission Statement of Dow Chemicals is:

“To share the world’s obligation for the protection of the environment.”

This statement shows which of the following attributes of mission statement?

► **Desired public image**

- Customers
- Location
- Self concept

Question No: 16 (Marks: 1) - Please choose one

Which of the following is an area in the environment that if exploited may generate high performance for organization?

- Strength
- Weakness
- **Opportunity**
- Threat

Question No: 17 (Marks: 1) - Please choose one

Which of the following is a system in which specific performance objectives are jointly determined by subordinates and their superiors and progress towards objectives is periodically reviewed?

► **Management by objective**

- Management by resources
- Management by authority
- Management by system

Question No: 18 (Marks: 1) - Please choose one

Most managers believe that if an MBO (program is to be successful, it must start at:

- Non-managerial level
- **Top Level**
- Middle level
- Lower level

Question No: 19 (Marks: 1) - Please choose one

A firm that stops buying supplies from other companies and begins to provide its own supplies, has diversified through:

- Forward vertical integration
- **Backward vertical integration**

- ▶ Forward horizontal integration
- ▶ Backward horizontal integration

Question No: 20 (Marks: 1) - Please choose one

In BCG matrix which of the following businesses have the largest share of a rapidly growing market?

- ▶ Cash cow
- ▶ Question mark
- ▶ **Star**
- ▶ Dogs

Question No: 21 (Marks: 1) - Please choose one

In BCG matrix which of the following businesses have a large share of a market that are not expected to grow substantially?

- ▶ Dogs
- ▶ **Question mark**
- ▶ Star
- ▶ Cash cow

Question No: 22 (Marks: 1) - Please choose one

The degree to which tasks in an organization are divided into separate jobs is called:

- ▶ Centralization
- ▶ Span of control
- ▶ Chain of command
- ▶ **Work specialization**

Work specialization is the degree to which the work necessary to achieve organizational goals is broken down into various jobs.

Question No: 23 (Marks: 1) - Please choose one

As the number of employees in an organization grows, structure tends to become more:

- ▶ Informal
- ▶ Centralized
- ▶ **Decentralized**
- ▶ Specialized

Question No: 24 (Marks: 1) - Please choose one

The fact that managers can become experts within their industry is a function of which kind of departmentalization?

▶ **Product**

- ▶ Functional
- ▶ Process
- ▶ Geographical

Question No: 25 (Marks: 1) - Please choose one

The organization structure in which separate business units are grouped under a manager who is responsible for performance, strategy and operations is called:

▶ Outdated structure

▶ **A divisional structure**

- ▶ Functional structure
- ▶ A simple structure

Question No: 26 (Marks: 1) - Please choose one

“CLEAR” shampoo introduced the first ever anti-dandruff shampoo range for men. Through this shampoo Unilever is practicing which of the following strategies?

▶ Focus Strategy

▶ **Differentiation strategy**

- ▶ Cost leadership strategy
- ▶ Emergent strategy

A differentiation strategy

involves attempting to develop products and services that are viewed as unique in the industry.

Question No: 27 (Marks: 1) - Please choose one

What things the Organizations are doing to facilitate an effective wider span of control for their managers?

▶ **Decentralizing management functions**

- ▶ Increasing inventory levels
- ▶ Increasing budget allowances
- ▶ Investing in employee training

Question No: 28 (Marks: 1) - Please choose one

A complex uncertain environment influences an organization toward which of the following?

- ▶ Work specification
- ▶ Departmentalization
- ▶ **Decentralization**
- ▶ Formalization

Question No: 29 (Marks: 1) - Please choose one

A company's "chain of command" is a part of which process?

- ▶ Span of control
- ▶ **Organizational design**
- ▶ Formalization
- ▶ Work specialization

Question No: 30 (Marks: 1) - Please choose one

While addressing the organizational design needs of the small organization which of the following is an important consideration?

- ▶ More formalization
- ▶ More specialization
- ▶ **More centralization**
- ▶ Tall hierarchy of authority

Question No: 31 (Marks: 1) - Please choose one

Which of the following is an internal state that makes certain outcomes appear attractive?

- ▶ Fad
- ▶ Desire
- ▶ **Need**
- ▶ Fashion

Question No: 32 (Marks: 1) - Please choose one

Which of the following is the best description of effort?

- ▶ The level of willpower towards work
- ▶ **The measure of intensity or drive**
- ▶ One's ability to work

- ▶ The work required to complete a task.

Question No: 33 (Marks: 1) - Please choose one

Which of the following factor is more important for men than women?

- ▶ Opportunity to learn
- ▶ Flexibility
- ▶ **Autonomy**
- ▶ Convenient

Question No: 34 (Marks: 1) - Please choose one

According to Maslow, which hierarchy is in proper order from lowest to highest?

- ▶ Safety, physiological, esteem, self-actualization, social.
- ▶ Esteem, physiological, self-actualization, safety, social
- ▶ Self-actualization, physiological, social, esteem, safety
- ▶ **Physiological, safety, social, esteem, self-actualization**

Question No: 35 (Marks: 1) - Please choose one

According to Herzberg's Motivation-Hygiene Theory, which of the following is NOT a motivator?

- ▶ Recognition
- ▶ Responsibility
- ▶ Advancement
- ▶ **Status**

Question No: 36 (Marks: 1) - Please choose one

According to McClelland's three-need theory, people who are striving for personal achievement rather than for the trappings and rewards of success have a high:

- ▶ Need for achievement
- ▶ Need for affiliation
- ▶ **Need for power**
- ▶ Need for sympathy.

Question No: 37 (Marks: 1) - Please choose one

While motivating Professionals which of the following is at the lowest Priority list?

- ▶ Challenging Goals

► **Money and Promotion**

- Appreciation letters
- Job satisfaction

Question No: 38 (Marks: 1) - Please choose one

Which of the following is NOT an option while motivating low skilled employees?

- Clarity of goals
- Security

► **High pay**

- Job satisfaction

Question No: 39 (Marks: 1) - Please choose one

Visionary leaders appear to have all of the following qualities related to effectiveness in their leadership roles EXCEPT:

- Ability to explain the vision
- Ability to express the vision
- Ability to extend the vision

► **Ability to enforce the vision**

Question No: 40 (Marks: 1) - Please choose one

Leaders who guide or motivate their followers toward established goals by clarifying role and task requirements are using which of the following?

- Charismatic
- Transformational

► **Transactional**

- Democratic-participative

Question No: 41 (Marks: 1) - Please choose one

Which of the following group engages in collective work that requires joint effort and generates a positive synergy?

► **Work group**

- Work team
- Quality circle
- Functional team

Question No: 42 (Marks: 1) - Please choose one

All of the following are advantages of oral communication EXCEPT:

- ▶ It is easy to use
- ▶ **It is accurate**
- ▶ It facilitates feedback
- ▶ It can be done with little preparation

Question No: 43 (Marks: 1) - Please choose one

Which of the following is the process of monitoring activities and correcting any significant deviations?

- ▶ **Controlling**
- ▶ Planning
- ▶ Organizing
- ▶ Leading

Question No: 44 (Marks: 1) - Please choose one

Which of the following is NOT a formal group?

- ▶ Command groups
- ▶ Task forces
- ▶ Cross-functional teams
- ▶ **Business unit alliances**

Question No: 45 (Marks: 1) - Please choose one

Decisions which deal with situations where the factors are fairly structured and occur with some frequency are called:

- ▶ Heuristic decision
- ▶ **Programmed decision**
- ▶ Satisficing decision
- ▶ Non-programmed decision

Question No: 46 (Marks: 1) - Please choose one

Which one of the following functions or activities involves in recruiting and placing qualified personnel needed for the organization so that it may achieve its objectives and goals?

- ▶ Planning

► **Organizing**

- Staffing
- Leading

Question No: 47 (Marks: 1) - Please choose one

An organized set of behavior that is associated with particular office or position is called:

► **Role**

- Obligation
- Responsibility
- Function

Question No: 48 (Marks: 1) - Please choose one

Which of the following is the disadvantage of the Process departmentalization?

- Time consuming process
- **Cost of Production is high**
- Can be used only with certain type of products
- Duplication of functions across the departments

Question No: 49 (Marks: 1) - Please choose one

Which of the following are groups defined by the organization's structure, that have designated work assignments and specific tasks?

► **Formal groups**

- Informal groups
- Command groups
- Interest groups

Question No: 50 (Marks: 1) - Please choose one

There are three different approaches to designing control systems. Which of the following is used primarily in team-based or less bureaucratic types of organizations?

- Market control
- Economic control
- Bureaucratic control

► **Clan control**

PAPER NO 14

FINAL TERM EXAMINATION

MGT503- Principles of Management

Fall 2008

By ADNAN AWAN

Adnanawan6@gmail.com

Question No: 1 (Marks: 1) - Please choose one

Value chain partners are part of which of the following component of Value Chain Management.

- ▶ Technical investment
- ▶ Leadership
- ▶ **Coordination and Collaboration**
- ▶ Planning

Question No: 2 (Marks: 1) - Please choose one

The process of managing the entire sequence of integrated activities and information about product flow is called:

- ▶ Total Quality Management
- ▶ **Supply Chain Management**
- ▶ Kaizen
- ▶ Value Chain Management

Question No: 3 (Marks: 1) - Please choose one

Control that prevents anticipated problems is called:

- ▶ **Feed forward control**
- ▶ Concurrent control
- ▶ Feedback control

- ▶ Management control

Question No: 4 (Marks: 1) - Please choose one

The organizational communication network that uses internet technology and allows authorized users inside the organization to communicate with certain outsiders such as customers or vendors is called:

- ▶ Intranet
- ▶ **Extranet**
- ▶ Videoconference
- ▶ E-mail

Question No: 5 (Marks: 1) - Please choose one

A leader who involves employees in decision making, delegates authority and allows employees to have direct input into the final decision is using which of the following leadership style?

- ▶ **Democratic-participative**
- ▶ Laissez-faire
- ▶ Autocratic

- ▶ Democratic-consultative

Question No: 6 (Marks: 1) - Please choose one

According to Fiedler, in moderately favorable situations which of the following leader performs better?

- ▶ Structure oriented

- ▶ Position oriented
- ▶ Production oriented

▶ Relationship oriented

Question No: 7 (Marks: 1) - Please choose one

The recent survey depicts that in the opinion of employees the most powerful workplace motivator is:

- ▶ Flextime
- ▶ Recognition
- ▶ Goals
- ▶ Salary

Question No: 8 (Marks: 1) - Please choose one

Which theory includes the component that employee motivation is influenced by relative as well as absolute rewards?

- ▶ Expectancy
- ▶ Three-needs
- ▶ Goal-setting
- ▶ Equity

Equity

theory recognizes that individuals are concerned with their absolute rewards as well as the relationship of those rewards to what others receive.

Question No: 9 (Marks: 1) - Please choose one

According to Herzberg's Motivation-Hygiene Theory, which of the following is NOT a hygiene factor?

- ▶ Working Conditions
- ▶ Salary
- ▶ Relationship with supervisor

▶ Work itself

Question No: 10 (Marks: 1) - Please choose one

According to Maslow's hierarchy of needs, which needs are predominantly satisfied internally?

- ▶ Safety
- ▶ Esteem
- ▶ Physiological
- ▶ social

Question No: 11 (Marks: 1) - Please choose one

Maslow's hierarchy of needs theory proposes that every person has a hierarchy of:

- ▶ Four needs
- ▶ **Five needs**
- ▶ Three needs
- ▶ Six needs

Question No: 12 (Marks: 1) - Please choose one

What should a manager do while motivating employees?

- ▶ Increase wages and salaries
- ▶ Incorporate promotional opportunities
- ▶ Recognize individual differences
- ▶ **Use employee-recognition program**

Question No: 13 (Marks: 1) - Please choose one

An unsatisfied need creates which type of emotion?

- ▶ Anxiety
- ▶ **Tension**
- ▶ Drive
- ▶ Pressure

Question No: 14 (Marks: 1) - Please choose one

Which of the following is the best description of effort?

- ▶ The level of willpower towards work
- ▶ **The measure of intensity or drive**
- ▶ One's ability to work
- ▶ The work required to complete a task

Question No: 15 (Marks: 1) - Please choose one

Contemporary organizational design includes all of the following EXCEPT :

- ▶ Team based structure
- ▶ Matrix structure
- ▶ Project structure
- ▶ **Divisional structure**

Question No: 16 (Marks: 1) - Please choose one

Which of the following is the crucial element of team structure?

- ▶ **Employee empowerment**
- ▶ faster decision-making

- ▶ Inexpensive to maintain
- ▶ Clear chain of command

Question No: 17 (Marks: 1) - Please choose one

Which of the following factors influence an organization towards centralization?

- ▶ Lower-level managers want a part in decision making
- ▶ Environment is complex and uncertain
- ▶ **Decisions are significant**
- ▶ Company is geographically dispersed

Question No: 18 (Marks: 1) - Please choose one

Identify the organizational design process which has a potential weakness that, managers will not be able to provide necessary leadership and support?

- ▶ Span of control
- ▶ **Decentralization**
- ▶ Departmentalization
- ▶ Chain of command

Question No: 19 (Marks: 1) - Please choose one

An organization that groups activities according to women's footwear, men's footwear, apparel and accessories would use which of the following departmentalization?

- ▶ **Product**
- ▶ Customer
- ▶ Geographic
- ▶ Functional

Question No: 20 (Marks: 1) - Please choose one

What kind of departmentalization would be in place in a government organization where different public service responsibilities are divided into activities for employers, children, and the disabled?

- ▶ Product
- ▶ Geographic
- ▶ Outcome
- ▶ **Customer**

Question No: 21 (Marks: 1) - Please choose one

Which of the following is not among the three perspectives that should be considered in preparing a business plan?

- ▶ Marketing perspective
- ▶ Perspective of the entrepreneur
- ▶ Investor perspective
- ▶ **Technical perspective**

Question No: 22 (Marks: 1) - Please choose one

An organization's structure should facilitate which of the following?

- ▶ Chain of command
- ▶ Necessity of departmentalization
- ▶ **Achievement of goals**
- ▶ Span of control

Question No: 23 (Marks: 1) - Please choose one

In which organizational structure employee have two managers?

- ▶ Team
- ▶ Learning
- ▶ Boundary less
- ▶ **Matrix**

Question No: 24 (Marks: 1) - Please choose one

The fact that managers can become experts within their industry is a function of which kind of departmentalization?

- ▶ Process
- ▶ Geographical
- ▶ **Functional**
- ▶ Product

Question No: 25 (Marks: 1) - Please choose one

Which of the following is a process by which individuals pursue opportunities, fulfill needs and wants through innovation, without regard to the resources they currently control?

- ▶ Small business ownership
- ▶ Innovative Management
- ▶ **Entrepreneurship**
- ▶ Privatization

Question No: 26 (Marks: 1) - Please choose one

First step of strategic management process, the mission, answers which of the following question?

- ▶ What business should we be in?
- ▶ **What is our reason for being in business?**
- ▶ Who are our customers?
- ▶ Who are our creditors?

Question No: 27 (Marks: 1) - Please choose one

When the hierarchy of organizational goals is clearly defined, it forms an integrated network of goals which is called:

- ▶ Hierarchical-link chain
- ▶ **Means-ends chain**
- ▶ Weakest-link chain
- ▶ Level-level chain

Question No: 28 (Marks: 1) - Please choose one

Safeguard is an anti-bacterial soap that provides superior longer lasting germ protection. Through this soap Procter & Gamble is practicing which of the following strategies?

- ▶ Stability Strategy
- ▶ **Differentiation strategy**
- ▶ Emergent strategy
- ▶ Cost leadership strategy

Question No: 29 (Marks: 1) - Please choose one

At the first step of goal setting a manager should:

- ▶ Evaluate available resources
- ▶ **Review organization's mission**
- ▶ Write down goals
- ▶ Estimate expected benefits

Question No: 30 (Marks: 1) - Please choose one

Which of the following is a primary benefit of MBO?

- ▶ Avoid competition
- ▶ Resistance against new entrance
- ▶ **Improve employee motivation**
- ▶ Increase resources

Question No: 31 (Marks: 1) - Please choose one

Which of the following is an area in the environment that if exploited may generate high performance for organization?

- ▶ Strength
- ▶ Weakness
- ▶ **Opportunity**
- ▶ Threat

Question No: 32 (Marks: 1) - Please choose one

A skill and capability that does not enable an organization to choose and implement strategies that support its mission is called its:

- ▶ Strength
- ▶ **Weakness**
- ▶ Opportunity
- ▶ Threat

Question No: 33 (Marks: 1) - Please choose one

Which of the following strategy specifies the range of markets in which an organization will compete?

- ▶ **Scope**
- ▶ Distinctive Competency
- ▶ Resource deployment
- ▶ Effective strategy

Question No: 34 (Marks: 1) - Please choose one

Few years ago Nike has problem with inconsistency of goals. The firm was producing high quality shoes but they were not stylish. As a result company lost substantial market share. In this situation which kind of goal was missing?

- ▶ **Manufacturing goal**
- ▶ Marketing goal
- ▶ Financial goal
- ▶ Operational goal

Question No: 35 (Marks: 1) - Please choose one

Sony has a goal to acquire a firm in the entertainment industry. The goal was realized when Sony bought Columbia picture. It comes under which of the following?

- ▶ **Strategic goal**
- ▶ Operational goal
- ▶ Tactical goal
- ▶ Personal goal

Question No: 36 (Marks: 1) - Please choose one

Which of the following group technique allows group members to meet together, but also allows independent thinking?

- ▶ Groupthink
- ▶ Electronic meetings
- ▶ Brainstorming

▶ **Nominal group technique**

Question No: 37 (Marks: 1) - Please choose one

Many decisions fail after the final choice because of the occurrence of which of the following?

- ▶ Decision criteria weights were incorrect
- ▶ People affected failed to accept the solution
- ▶ Satisfying occurred

▶ **Choice was wrong**

Question No: 38 (Marks: 1) - Please choose one

Which of the following term sometimes used to describe picking a course of action that is satisfactory under the circumstances?

- ▶ Escalation of commitment

▶ **Satisficing**

- ▶ Risk
- ▶ Bounded rationality

Question No: 39 (Marks: 1) - Please choose one

Jay tends to always look at the broad picture and likes to look at many alternatives. He focuses on the long run and looks for creative solutions. He prefers which of the following styles of decision making?

- ▶ Analytic

▶ **Conceptual**

- ▶ Directive
- ▶ Behavioral

Question No: 40 (Marks: 1) - Please choose one

The decision-making model consists of four styles: directive, analytic, behavioral and _____.

▶ **Conceptual**

- ▶ Intuitive

- ▶ Group interaction
- ▶ Laggard

Question No: 41 (Marks: 1) - Please choose one

"Whenever possible, we promote from within" is an example of which of the following?

- ▶ Rule
- ▶ Procedure
- ▶ **Policy**
- ▶ Plan

Question No: 42 (Marks: 1) - Please choose one

A large chemical company not only disposes of all toxic waste properly as outlined by law, but it also spends \$1 million dollars each year on research to determine better processes for all businesses to use in disposing of toxic wastes. This company is exhibiting which of the following?

- ▶ **Social responsibility**
- ▶ Social obligation
- ▶ Moral obligation
- ▶ **Social responsiveness**

Question No: 43 (Marks: 1) - Please choose one

Which of the following approaches recognize differences among organizations and categorizes variables that affect an organization's performance?

- ▶ **Process approach**
- ▶ Contingency approach
- ▶ Function approach
- ▶ System approach

Question No: 44 (Marks: 1) - Please choose one

Giving prestigious job titles would be one way to satisfy people's need for :

- ▶ **Esteem**
- ▶ Belongingness
- ▶ Self-actualization
- ▶ Safety

Question No: 45 (Marks: 1) - Please choose one

"Specialization increases output by making employees more efficient" it is called:

- ▶ **Division of work**
- ▶ Authority

- ▶ Scalar chain
- ▶ Order

Question No: 46 (Marks: 1) - Please choose one

Henry Fayol described principles of management in the form of:

- ▶ 11 points
- ▶ 12 points
- ▶ 14 points
- ▶ 15 points

Question No: 47 (Marks: 1) - Please choose one

Which of the following functions or activities involve recruiting and placing qualified personnel needed for the organization so that it may achieve its objectives and goals?

- ▶ Planning
- ▶ Organizing
- ▶ Staffing
- ▶ Leading

Question No: 48 (Marks: 1) - Please choose one

An organized set of behavior that is associated with particular office or position is called:

- ▶ Role
- ▶ Obligation
- ▶ Responsibility
- ▶ Responsibility

Question No: 49 (Marks: 1) - Please choose one

The person who maintains network of connection outside the organization to obtain information is called:

- ▶ Entrepreneur
- ▶ Disseminator
- ▶ Spokesperson
- ▶ Liaison

Liaison

Is maintains a network of contacts outside the work unit to obtain information.

Question No: 50 (Marks: 1) - Please choose one

Ali has a job that pays him well, he desires to make a contribution to the organization, and he has an active social life. His desire is to become all that he is capable of becoming. Ali is at which of the following need defined by maslow?

► **Self-actualization**

- Safety
- Social
- Esteem

PAPER NO 15

FINAL TERM EXAMINATION
MGT503- Principles of Management
BY ADNAN AWAN
Adnanawan@gmail.com

Time: 120 min
Marks: 92

Question No: 1 (Marks: 1) - Please choose one
Sociology can be defined as:

► **The study of people in relation to their fellow human beings**

- The study of societies which help to learn about human and their activities
- It is the study of behavior of the individuals or groups within the political environment
- The science that seeks to measure and explains human behavior

Question No: 2 (Marks: 1) - Please choose one
The basic purpose of the construction of China Wall was:

- To make territory clear
- To defend the area
- To protect the Silk Road
- **All of the given options**

Question No: 3 (Marks: 1) - Please choose one
The person who maintains network of connection outside the organization to obtain information is called:

- Entrepreneur
- Disseminator
- Spokesperson
- **Liaison**

Question No: 4 (Marks: 1) - Please choose one
Jamshed is a CFO at Mutual Saving Bank. According to research studies, which management activities are likely to take up the greatest amount of his time?

- **Planning**
- Organizing
- Controlling
- Leading

Question No: 5 (Marks: 1) - Please choose one
All of the following are called "Classical Viewpoints" EXCEPT:
► Scientific management

▶ **Industrial management**

- ▶ Administrative management
- ▶ Bureaucratic management

Question No: 6 (Marks: 1) - Please choose one

Munsterberg is considered to be the father of _____ psychology.

- ▶ Clinical
- ▶ **Industrial**
- ▶ Behavior
- ▶ Theoretical

Question No: 7 (Marks: 1) - Please choose one

Viewpoint arguing that appropriate managerial action depends on the particular parameters of the situation is called:

- ▶ **Contingency theory**
- ▶ Behavioral theory
- ▶ Administrative theory
- ▶ Social theory

Question No: 8 (Marks: 1) - Please choose one

An organization that has developed the capacity to continuously learn, adapt and change is called:

- ▶ **Learning organization**
- ▶ Open organization
- ▶ Leading organization
- ▶ Close organization

Question No: 9 (Marks: 1) - Please choose one

System approach recognizes that organizations are not:

- ▶ **Self-contained**
- ▶ Self-controlled
- ▶ Self-discipline
- ▶ Self-motivated

Question No: 10 (Marks: 1) - Please choose one

Which of the following is called output of a system?

- ▶ Human
- ▶ Information resource
- ▶ **Employee behavior**
- ▶ Material

Question No: 11 (Marks: 1) - Please choose one

All of the following are Dimensions of organizational culture EXCEPT:

- ▶ Innovation
- ▶ Aggressiveness
- ▶ Stability
- ▶ **Customer orientation**

Question No: 12 (Marks: 1) - Please choose one

If an individual knows the price of three similar cars at different dealerships, he or she is operating under what type of decision-making condition?

- ▶ Risk

- ▶ Uncertainty
- ▶ **Certainty**
- ▶ Factual

Question No: 13 (Marks: 1) - Please choose one

In decision making process, ideas should be evaluated on the basis of:

- ▶ **Acceptability**
- ▶ Durability
- ▶ Accountability
- ▶ Liability

Question No: 14 (Marks: 1) - Please choose one

Asad spoke out in a meeting in favor of a potential cost savings that would result from a new employee benefits program offered by the company. He later received information that showed that his initial decision about the cost savings was incorrect, but he was too embarrassed to publicly admit that he was wrong, so he stuck by his original statement. Asad is practicing which of the following?

- ▶ **Bounded rationality**
- ▶ Satisfying
- ▶ Escalation of commitment
- ▶ Maximizing

Question No: 15 (Marks: 1) - Please choose one

Which of the following is NOT one of the three techniques for assessing the environment?

- ▶ **Project management**
- ▶ Benchmarking
- ▶ Forecasting
- ▶ Environmental scanning

Question No: 16 (Marks: 1) - Please choose one

In terms of linear programming, profit margins on different products that a company can produce represent which of the following?

- ▶ **Constraints**
- ▶ Feasibility regions
- ▶ Scenarios
- ▶ Basis for the objective function

Question No: 17 (Marks: 1) - Please choose one

Plans that apply to the entire organization, establish the organization's overall objectives and seek to position the organization in terms of its environment are called:

- ▶ Tactical plans
- ▶ **Strategic plans**
- ▶ Single-use plans
- ▶ Operational plans

Question No: 18 (Marks: 1) - Please choose one

Starbuck's _____ of opening one hundred stores per year helps everyone in the firm recognize the strong emphasis on growth.

- ▶ Goal
- ▶ Mission
- ▶ Vision

► **Plan**

Question No: 19 (Marks: 1) - Please choose one

Mission Statement of Johnson & Johnson is:

“We believe our first responsibility is to the doctors, nurses, and patients, to mothers and all others who use our products”

This statement shows which of the following attributes of mission statement?

- Location
- Customers
- Self concept
- **Desired public image**

Question No: 20 (Marks: 1) - Please choose one

A skill and capability that does not enable an organization to choose and implement strategies that support its mission is called its:

- Strength
- **Weakness**
- Opportunity
- Threat

Question No: 21 (Marks: 1) - Please choose one

At the first step of goal setting a manager should:

- Evaluate available resources
- **Review organization's mission**
- Write down goals
- Estimate expected benefits

Question No: 22 (Marks: 1) - Please choose one

In which of the following methods goals are defined at the top of the organization and then broken down into sub groups?

- Directional goal setting
- Stated goal setting
- **Traditional goal setting**
- Specific goal setting

Question No: 23 (Marks: 1) - Please choose one

A strategy in which an organization operates in several business that are some how linked with one another is called:

- Single product strategy
- **Related diversification**
- Unrelated diversification
- Conglomerate diversification

Question No: 24 (Marks: 1) - Please choose one

As the number of employees in an organization grows, structure tends to become more:

- Informal
- Centralized
- Decentralized
- **Specialized**

Question No: 25 (Marks: 1) - Please choose one

Being "closer to customers" is a strength of which form of departmentalization?

- ▶ Functional
- ▶ Geographic
- ▶ **Product**
- ▶ Process

Question No: 26 (Marks: 1) - Please choose one

What kind of structure does the parent company often provide to support services of its child company?

- ▶ Matrix
- ▶ **Divisional**
- ▶ Functional
- ▶ Team

Question No: 27 (Marks: 1) - Please choose one

Which type of organizational structure is made up of autonomous and self-contained units?

- ▶ **Divisional**
- ▶ Functional
- ▶ Bureaucracy
- ▶ Customer

Question No: 28 (Marks: 1) - Please choose one

The "degree of environmental uncertainty" affects a company's:

- ▶ **Unit production**
- ▶ Structure
- ▶ Technology
- ▶ Flow of information

Question No: 29 (Marks: 1) - Please choose one

An organization that wants to be more responsive to changes in its environment, especially to customers, is likely to have which kind of organization structure?

- ▶ **Decentralized**
- ▶ Very formal and rule oriented
- ▶ Highly centralized
- ▶ Mechanistic

Question No: 30 (Marks: 1) - Please choose one

A structure that is characterized by narrow span of management and many hierarchical levels is:

- ▶ **Tall Structure**
- ▶ Flat Structure
- ▶ Matrix Structure
- ▶ Divisional Structure

Question No: 31 (Marks: 1) - Please choose one
Which of the following is a weakness of a simple structure?

- ▶ **It relies on one person**
- ▶ It is not flexible
- ▶ It is expensive
- ▶ There is unclear accountability

Question No: 32 (Marks: 1) - Please choose one
Which of the following is the crucial element of team structure?

- ▶ **Employee empowerment**
- ▶ Faster decision-making
- ▶ Inexpensive to maintain
- ▶ Clear chain of command

Question No: 33 (Marks: 1) - Please choose one
Which type of organizational entity is more of an organizational mind-set than a structured design?

- ▶ Matrix
- ▶ **Boundary less**
- ▶ Functional
- ▶ Learning

Question No: 34 (Marks: 1) - Please choose one
All of the following factors are the most challenging for the managers in today's competitive world EXCEPT:

- ▶ Meet the market demand of products
- ▶ **Motivating competitors to do work efficiently**
- ▶ Facing the competition
- ▶ Environmental uncertainty

Question No: 35 (Marks: 1) - Please choose one
Which of the following characteristics is NOT a part of Theory X?

- ▶ Employees will dislike work
- ▶ Employees will need to be closely controlled
- ▶ **Employees will consider work to be a natural activity**
- ▶ Employees will have little ambition

Question No: 36 (Marks: 1) - Please choose one
Which of the following are the motivating variables of equity theory?

- ▶ Gender, tenure, education and level in organization
- ▶ Inputs, outputs, gender and time duration
- ▶ Level in organization, power and responsibility
- ▶ **Outputs, inputs, education and experience**

Question No: 37 (Marks: 1) - Please choose one
Which theory includes the component that employee motivation is influenced by relative as well as absolute rewards?

- ▶ **Expectancy**
- ▶ Three-needs
- ▶ Goal-setting
- ▶ Equity

Question No: 38 (Marks: 1) - Please choose one

People who want to exert more power often engage in which of the following activities?

- ▶ Visionary leadership
- ▶ Reward power
- ▶ **Office politics**
- ▶ Charismatic training

Question No: 39 (Marks: 1) - Please choose one

A leader who involves employees in decision-making, delegate's authority and gathers input from employees, but makes the final decision, he is using which of the following leadership style?

- ▶ Democratic-participative
- ▶ Laissez-faire
- ▶ Autocratic
- ▶ **Democratic-consultative**

Question No: 40 (Marks: 1) - Please choose one

A leader who involves employees in decision making, delegates authority and allows employees to have direct input into the final decision is using which of the following leadership style?

- ▶ Democratic-participative
- ▶ Laissez-faire
- ▶ Autocratic
- ▶ **Democratic-consultative**

Question No: 41 (Marks: 1) - Please choose one

Visionary leaders appear to have all of the following qualities related to effectiveness in their leadership roles EXCEPT:

- ▶ Ability to explain the vision
- ▶ Ability to express the vision
- ▶ Ability to extend the vision
- ▶ **Ability to enforce the vision**

Question No: 42 (Marks: 1) - Please choose one

Inputs into the operation system include all of the following EXCEPT:

- ▶ People
- ▶ Information
- ▶ Capital
- ▶ **Strategies**

Question No: 43 (Marks: 1) - Please choose one

Ali is especially good at communicating company goals to his employees and motivating them to achieve these goals. Ali is practicing which of the following skills?

- ▶ Conceptual skills
- ▶ Organizational skills
- ▶ Technical skills
- ▶ **Human skills**

Question No: 44 (Marks: 1) - Please choose one

The supplier is late with the order of papers that is needed by the college during final exams. The secretary is sent to Urdu Bazar to purchase papers until the delivery of order. This is an example of which of the following problem?

- ▶ Well-structured
- ▶ **Ill-structured**
- ▶ Programmed
- ▶ Non-programmed

Question No: 45 (Marks: 1) - Please choose one

Departmental store structured around home accessories, appliances, women's clothing, men's clothing and children's clothing is an example of which of the following?

- ▶ Functional departmentalization
- ▶ **Product departmentalization**
- ▶ Process departmentalization
- ▶ Geographical departmentalization

Question No: 46 (Marks: 1) - Please choose one

Which of the following is TRUE about the goal of Open-Book Management?

- ▶ **Get employees to think like owners**
- ▶ Help employees determine whether their salary is fair or not
- ▶ Allow employees to see the company's profitability
- ▶ Allow employees to seek other positions

Question No: 47 (Marks: 1) - Please choose one

Mr. A wants to earn a master's degree within two years from a native university. Which of the following SMART objective Mr. A has missed while setting this goal?

- ▶ Time-bound
- ▶ Acceptable
- ▶ **Measurable**
- ▶ Specific

Question No: 48 (Marks: 1) - Please choose one

Which of the following plan will be exercised for a situation where the company has to prepare a plan for the repairs of a newly introduced mobile in the market in case of any malfunctioning?

- ▶ Specific plan
- ▶ **Operational plan**
- ▶ Standing plan
- ▶ Single-use plan

Question No: 49 (Marks: 1) - Please choose one

Which of the following is not TRUE about strategic management?

- ▶ It's involved in many of the decisions that managers make
- ▶ Companies with formal strategic management systems had higher financial returns than those companies with no such systems
- ▶ **It makes decisions by focusing on the targets or future end results set by lower management that address specific, measurable outcomes required from the lower levels**
- ▶ It has moved beyond for-profit organizations to include all types of organizations, including not-for-profit

Question No: 50 (Marks: 1) - Please choose one

A significant edge over the competition in dealing with competitive forces is called:

- ▶ Core Competencies
- ▶ **Competitive advantage**
- ▶ Competitive force
- ▶ Swot analysis

Question No: 51 (Marks: 1) - Please choose one

Entrepreneurs can act as:

- ▶ Idea sponsor
- ▶ Idea champion
- ▶ Idea generator
- ▶ **All of the following options**

Question No: 52 (Marks: 1) - Please choose one

A Company is dealing in many businesses, for its fertilizer's business , company will require which of the following level strategy?

- ▶ Corporate level
- ▶ **Business level**
- ▶ Functional level
- ▶ Operational level

Question No: 53 (Marks: 1) - Please choose one

In which of the following type of departmentalization, employees are more concern about specialty than the needs of organization overall.

- ▶ Product
- ▶ Customer
- ▶ **Functional**
- ▶ Geographic

Question No: 54 (Marks: 1) - Please choose one

Degree to which the job provides clear and timely information about performance results is called:

- ▶ Autonomy
- ▶ **Feedback**
- ▶ Supervision
- ▶ Responsibility

Question No: 55 (Marks: 1) - Please choose one

When we talk about an organization's core technology, we mean organization's:

- ▶ Less important technology
- ▶ **Most important technology**
- ▶ All technologies the organization is using
- ▶ Technology that is never used

Question No: 56 (Marks: 1) - Please choose one

The structure of a learning organization should be:

- ▶ Mechanistic
- ▶ **Organic**
- ▶ Rigid
- ▶ Inflexible

Question No: 57 (Marks: 1) - Please choose one

Mr. A is a marketing manger of an organization where he is controlling six employees whereas Mr. B is a production manager of the same organization and he is controlling Fifteen employees. Mr. B is having _____ as compare to Mr. A.

- ▶ Narrow span of control
- ▶ **Wide span of control**
- ▶ Central span of control
- ▶ All of the given options

Question No: 58 (Marks: 1) - Please choose one

Mr. A is working as machine operator and he has to take precautionary measures to keep himself safe from any injury. Which of the following needs is critical for Mr. A?

- ▶ Social
- ▶ Self actualization
- ▶ Esteem
- ▶ **Safety**

Question No: 59 (Marks: 1) - Please choose one

Which of the following can be used by the mangers to weaken the behavior by not providing a desirable outcome to employees?

- ▶ Avoidance
- ▶ Positive reinforcement
- ▶ Extinction
- ▶ **Punishment**

Question No: 60 (Marks: 1) - Please choose one

The president of ABC Company asks his employees to follow the rule and regulations and all of his employees comply with his order. President influences the employees by which of the following power?

- ▶ Referent Power
- ▶ Coercive Power
- ▶ Expert Power
- ▶ **Legitimate Power**

Question No: 61 (Marks: 1) - Please choose one

Martin Luther king was a passionate leader with influencing personality and had the ability to make stirring, emotionally arousing speeches. Which leadership style he had?

- ▶ Transactional
- ▶ Transformational
- ▶ **Charismatic**
- ▶ Visionary

Question No: 62 (Marks: 1) - Please choose one

Workers in the production department are given a manual having information regarding the machine operations. This is an example of:

- ▶ Non-verbal
- ▶ Verbal
- ▶ **Written**
- ▶ Oral

Question No: 63 (Marks: 1) - Please choose one

The process in which one party perceives that its interests are being opposed or adversely affected by some other parties is called:

- ▶ Crises
- ▶ **Conflict**
- ▶ Agreement
- ▶ Stress

Question No: 64 (Marks: 1) - Please choose one

A performance measurement tool that covers four areas "financial, customer, internal processes, and people" and that can enhance company's performance is called:

- ▶ Benchmarking
- ▶ Cyber control system
- ▶ Non-cybernetic control system
- ▶ **Balanced scorecard**

REMEMBER ME IN YOUR Prayer

Adnanawan6@gmail.com

ADNAN AWAN

Adnanawan6@gmail.com

FINALTERM EXAMINATION
MGT503- Principles of Management
Spring 2010
By ADNAN AWAN
Adnanawan6@gmail.com

Time: 90 min

Marks: 69

Question No: 1 (Marks: 1) - Please choose one

The bank of New England uses models to figure out how many teller need to be on duty at each location at various times throughout the day. Bank is using which of the following approaches?

- ▶ Management science
- ▶ Operations management
- ▶ Total quality management
- ▶ **Contingency perspective**

Question No: 2 (Marks: 1) - Please choose one

The culture of an organization is largely determined by:

- ▶ **Top management**
- ▶ Employees
- ▶ Stockholders
- ▶ The company founders

Question No: 3 (Marks: 1) - Please choose one

Sony Corporation's focus on product innovation is an example of which of the following dimensions of organizational culture?

- ▶ Attention to detail
- ▶ People orientation
- ▶ **Outcome orientation**
- ▶ Aggressiveness

Question No: 4 (Marks: 1) - Please choose one

An individual's personal beliefs regarding what is right and wrong or good and bad is called:

- ▶ **Ethics**
- ▶ Values
- ▶ Norms
- ▶ Rituals

Question No: 5 (Marks: 1) - Please choose one

EU, NAFTA, FTAA and ASEAN are examples of:

- ▶ **Regional trade alliances**
- ▶ Foreign airlines
- ▶ Soccer teams in Europe
- ▶ New multinational corporations

Adnanawan6gmail.com

Question No: 6 (Marks: 1) - Please choose one

Which one is the final step in the decision-making process:

- ▶ Evaluating the decision
- ▶ Recognizing the decision
- ▶ Evaluating the alternatives
- ▶ **Implementing the decision**

Question No: 7 (Marks: 1) - Please choose one

All of the following are the assumptions of rational decision making EXCEPT:

- ▶ Alternatives are known
- ▶ Possible outcomes known
- ▶ Optimal decision is possible
- ▶ **Information is unknown**

Question No: 8 (Marks: 1) - Please choose one

Which of the following is a variation of the electronic meeting that links media from different locations?

- ▶ E-commerce
- ▶ The Delphi technique
- ▶ E-Brainstorming
- ▶ **Video conference**

Question No: 9 (Marks: 1) - Please choose one

Mission Statement of Johnson & Johnson is:

"We believe our first responsibility is to the doctors, nurses, and patients, to mothers and all others who use our products"

This statement shows which of the following attributes of mission statement?

- ▶ Location
- ▶ Customers
- ▶ Self concept
- ▶ **Desired public image**

Question No: 10 (Marks: 1) - Please choose one

Operational plans are normally associated with which of the following organizational level?

- ▶ Global level
- ▶ Corporate level
- ▶ **Business level**
- ▶ Functional level

Question No: 11 (Marks: 1) - Please choose one

Which of the following is a primary benefit of MBO?

- ▶ Avoid competition
- ▶ Resistance against new entrance
- ▶ **Improve employee motivation**
- ▶ Increase resources

Question No: 12 (Marks: 1) - Please choose one

In BCG matrix which of the following businesses have a large share of a market that are not expected to grow substantially?

- ▶ Dogs
- ▶ **Question mark**

- ▶ Star
- ▶ Cash cow

Question No: 13 (Marks: 1) - Please choose one

Which of the following organization is responsible for the development of small business in Pakistan?

- ▶ **SMEDA**
- ▶ BISE
- ▶ ICMA
- ▶ PCSIR

Question No: 14 (Marks: 1) - Please choose one

Employees with more training and experience are able to work with less direct supervision which is the characteristics of which of the following?

- ▶ Wide span of control and a flatter organization
- ▶ Violates Fayol's principle of chain of command
- ▶ A highly centralized organization
- ▶ **Very narrow span of control and more levels of managers**

Question No: 15 (Marks: 1) - Please choose one

Maslow's hierarchy of needs theory proposes that every person has a hierarchy of:

- ▶ Four needs
- ▶ **Five needs**
- ▶ Three needs
- ▶ Six needs

Question No: 16 (Marks: 1) - Please choose one

Which of the following theory points out that the individual has to be rewarded with something that he or she values?

- ▶ Herzberg's theory
- ▶ Expectancy theory
- ▶ **Equity theory**
- ▶ McClelland's goal setting theory

Question No: 17 (Marks: 1) - Please choose one

Which of the following is a major drawback of written communication?

- ▶ Lack of feedback
- ▶ Lack of precision
- ▶ **Less well thought out**
- ▶ Lack of verifiable permanent record

Question No: 18 (Marks: 1) - Please choose one

The process in which a sender manipulates information so the receiver will see it more favorably, is called:

- ▶ **Filtering**
- ▶ Selective perception
- ▶ Noise
- ▶ Information overload

Question No: 19 (Marks: 1) - Please choose one

Control that prevents anticipated problems is called:

- ▶ **Feed forward control**
- ▶ Concurrent control

- ▶ Feedback control
- ▶ Management control

Question No: 20 (Marks: 1) - Please choose one

Amir has found out that his department operates on the most popular type of control that many other companies use. Which type of control all companies have in common?

- ▶ **Feed forward**
- ▶ Concurrent
- ▶ Feedback
- ▶ Indirect

Question No: 21 (Marks: 1) - Please choose one

Which one of Fayol's 14 principles of management helps preserve the concept of a continuous line of authority?

- ▶ Unity of demand
- ▶ **Unity of command**
- ▶ Demand structure
- ▶ Continuous demand

Question No: 22 (Marks: 1) - Please choose one

Ali always consults with his employees and uses their suggestions before making a decision. He is demonstrating which type of leadership style?

- ▶ Directive
- ▶ Achievement-oriented
- ▶ **Participative**
- ▶ Supportive

Question No: 23 (Marks: 1) - Please choose one

A significant edge over the competition in dealing with competitive forces is called:

- ▶ Core Competencies
- ▶ Competitive advantage
- ▶ **Competitive force**
- ▶ Swot analysis

Question No: 24 (Marks: 1) - Please choose one

Which of the following is the benefit of strategic management for the organizations?

- ▶ Direction for organization
- ▶ Competitive advantage
- ▶ Supports innovation
- ▶ **All of the given options**

Question No: 25 (Marks: 1) - Please choose one

If the environment is stable then the structure of the organization could be:

- ▶ Organic
- ▶ Divisional
- ▶ **Mechanistic**
- ▶ Simple

Question No: 26 (Marks: 1) - Please choose one

On achieving the targeted sales, Salman the marketing manager of ABC Company has been rewarded an award of "Best employee of the year". He is happy with this

outcome as a result of his performance, because this reward has _____ for him.

▶ **Equity valence value**

- ▶ Negative valence value
- ▶ Less valence value
- ▶ More valence value

Question No: 27 (Marks: 1) - Please choose one

The president of ABC Company asks his employees to follow the rule and regulations and all of his employees comply with his order. President influences the employees by which of the following power?

- ▶ Referent Power
- ▶ Coercive Power
- ▶ Expert Power

▶ **Legitimate Power**

Question No: 28 (Marks: 1) - Please choose one

50 applicants had been interviewed for the post of financial analyst. Among these 50 people, 5 people had been short listed because they were holding diplomas of specialization along with the degrees required. They influenced the interviewer with which of the following powers?

▶ **Expert Power**

- ▶ Coercive Power
- ▶ Legitimate Power
- ▶ Reward Power

Question No: 29 (Marks: 1) - Please choose one

Workers in spinning department are trying to communicate the bad working conditions to their supervisor by saying; "machines are creating too much heat and noise and disturbing our work". Workers have used which of the following type of communication?

▶ **Oral**

- ▶ Written
- ▶ Non-verbal
- ▶ All of the given options

Question No: 30 (Marks: 1) - Please choose one

Tendency of people to expend less effort while working in a group as compare to working alone is called:

- ▶ Synergy
- ▶ **Social Loafing**
- ▶ Group Task
- ▶ Group Cohesiveness

Question No: 31 (Marks: 1) - Please choose one

Communication which takes place without regard to hierarchical or task requirements is called:

- ▶ Formal
- ▶ **Informal**
- ▶ Official
- ▶ Ceremonial

Question No: 32 (Marks: 1) - Please choose one

Cognitive ability of an individual effects the decision making process in which of the following manner?

- ▶ Can not utilize the available resources
- ▶ **Can not interpret all available information**
- ▶ Can not provide required financial resources
- ▶ Can not control the external situations

Question No: 33 (Marks: 1) - Please choose one
SWOT analysis is a technique of:

- ▶ **Environmental scanning**
- ▶ Forecasting
- ▶ Benchmarking
- ▶ Budgeting

Question No: 34 (Marks: 1) - Please choose one
Group members usually do not see each other while making decisions in:

- ▶ Brainstorming
- ▶ Delphi
- ▶ **Interacting**
- ▶ Interacting

Adnanawan6@gmail.com

Question No: 35 (Marks: 1) - Please choose one
Which of the following behaviour had dramatically influenced by Hawthorne studies?

- ▶ **Informal behaviour**
- ▶ Social behaviour
- ▶ Moral behaviour
- ▶ Ethical behaviour

Question No: 36 (Marks: 1) - Please choose one
Which of the following is called an input to an organizational system?

- ▶ **Employees**
- ▶ Products
- ▶ Services
- ▶ Customers

Question No: 37 (Marks: 1) - Please choose one
Which of the following techniques relies on individual or group judgments rather than on mathematical analysis?

- ▶ Quantitative forecasting
- ▶ Technological forecasting
- ▶ **Qualitative forecasting**
- ▶ Benchmark forecasting

Question No: 38 (Marks: 1) - Please choose one
Considering the changing patterns of the business world, which of the given is considered to be the modern motivating tool?

- ▶ High salary
- ▶ Flexi time
- ▶ **Secured job**
- ▶ Medical allowance

Question No: 39 (Marks: 1) - Please choose one

In order to make organization more flexible and responsive through employee participation, organization should tend towards which of the following?

▶ **Decentralization**

- ▶ Globalization
- ▶ Departmentalization
- ▶ Widen the span of control

Question No: 40 (Marks: 1) - Please choose one

Which of the following is an extrinsic factor of motivation?

▶ **Wages and salaries**

- ▶ Job variety
- ▶ Sense of accomplishment
- ▶ All of the given options

Question No: 41 (Marks: 1) - Please choose one

Starbuck's _____ of opening one hundred stores per year helps everyone in the firm, in recognizing the strong emphasis on growth.

- ▶ Goal
- ▶ Mission
- ▶ Vision

▶ **Plan**

Question No: 42 (Marks: 1) - Please choose one

Call centers have been developed to record and put forward the customers' complaints to:

- ▶ Problem solving teams
- ▶ Cross functional teams

▶ **Quality circles**

- ▶ Work teams

Question No: 43 (Marks: 1) - Please choose one

Pamphlets used for the promotion of a product are the example of:

- ▶ Oral communication

▶ **Non-verbal communication**

- ▶ Written communication
- ▶ None of the given options

Question No: 44 (Marks: 1) - Please choose one

In recent research on trait theory all of the following were indicators of leadership EXCEPT:

- ▶ Extraversion
- ▶ Introversion
- ▶ **Honesty**
- ▶ Desire to lead

Question No: 45 (Marks: 1) - Please choose one

Who developed the first comprehensive contingency model for leadership?

▶ **Fiedler**

- ▶ Vroom
- ▶ House
- ▶ Hersey

Question No: 46 (Marks: 1) - Please choose one

Which of the following is a power that has been legitimated by the organizations?

- ▶ Responsibility
- ▶ Span of control
- ▶ **Authority**
- ▶ Accountability

Question No: 47 (Marks: 1) - Please choose one

The individuals who are working in the organizations in a capacity of generating & supporting new ideas for the organization are called:

- ▶ Lender
- ▶ Entrepreneur
- ▶ **Stakeholder**
- ▶ Financer

Question No: 48 (Marks: 1) - Please choose one

SWOT analysis divides organizational strengths into two categories; common strength and_____.

- ▶ Chance of growth
- ▶ Core competency
- ▶ **System loophole**
- ▶ Competitor risk

Adnanawan6@gmail.com

PAPER NO 2

FINAL TERM EXAMINATION

Spring 2010

MGT503- Principles of Management

BY ADNAN AWAN

Adnanawan6@gmail.com

Time: 90 min

Marks: 69

Question No: 1 (Marks: 1) - Please choose one

All of following are true regarding teams EXCEPT:

- ▶ Teams are more flexible than traditional departments
- ▶ **Teams are less responsive to a changing environment**
- ▶ Teams can serve as a source of job satisfaction
- ▶ Teams better utilize employee talents

Question No: 2 (Marks: 1) - Please choose one

If you get more output from a given input, you have:

- ▶ Decreased effectiveness
- ▶ Increased effectiveness

- ▶ Decreased efficiency
- ▶ **Increased efficiency**

Question No: 3 (Marks: 1) - Please choose one

Constituencies in an organization's external environment that are affected by the organization's decisions and actions are called:

- ▶ **Stakeholders**
- ▶ Advisories
- ▶ Beneficiaries
- ▶ Environmentalists

Question No: 4 (Marks: 1) - Please choose one

European Union was established in:

- ▶ February 1992
- ▶ January 1994
- ▶ **July 1992**
- ▶ November 1993

Question No: 5 (Marks: 1) - Please choose one

Mission Statement of Johnson & Johnson is:

"We believe our first responsibility is to the doctors, nurses, and patients, to mothers and all others who use our products"

This statement shows which of the following attributes of mission statement?

- ▶ Location
- ▶ Customers
- ▶ Self concept
- ▶ **Desired public image**

Question No: 6 (Marks: 1) - Please choose one

Operational plans are normally associated with which of the following organizational level?

- ▶ Global level
- ▶ Corporate level
- ▶ **Business level**
- ▶ Functional level

Question No: 7 (Marks: 1) - Please choose one

Which of the following is the set of strategic alternatives that an organization chooses from, as it conducts business in a particular industry or market?

- ▶ Business-level strategy
- ▶ **Corporate-level strategy**
- ▶ Functional-level strategy
- ▶ Market-level strategy

Question No: 8 (Marks: 1) - Please choose one

In BCG matrix which of the following businesses have a very small share of a market and are not expected to grow?

- ▶ Star
- ▶ Dogs
- ▶ Cash cow
- ▶ **Question mark**

Question No: 9 (Marks: 1) - Please choose one

When managers delegate authority, they must allocate equal:

- ▶ **Responsibility**
- ▶ Power
- ▶ Money
- ▶ Influence

Question No: 10 (Marks: 1) - Please choose one

Which of the following organization is responsible for the development of small business in Pakistan?

- ▶ **SMEDA**
- ▶ BISE
- ▶ ICMA
- ▶ PCSIR

Question No: 11 (Marks: 1) - Please choose one

Which of the following creates the "Dual Chain of Command?"

- ▶ Team based and Project Structure
- ▶ Functional and Simple structure
- ▶ **Project and matrix Structure**
- ▶ Simple and matrix Structure

Question No: 12 (Marks: 1) - Please choose one

Which of the following is an internal state that makes certain outcomes appear attractive?

- ▶ Fad
- ▶ Desire
- ▶ **Need**
- ▶ Fashion

Question No: 13 (Marks: 1) - Please choose one

The statement that people will exercise self direction and self control if they are committed to the objectives, is true about which of the following?

- ▶ Equity Theory
- ▶ **ERG Theory**
- ▶ Theory X
- ▶ Theory Y

Question No: 14 (Marks: 1) - Please choose one

According to Herzberg's Motivation-Hygiene Theory, which of the following is NOT a hygiene factor?

- ▶ Working Conditions
- ▶ Salary
- ▶ **Relationship with supervisor**
- ▶ Work itself

Question No: 15 (Marks: 1) - Please choose one

Which of the following group engages in collective work that requires joint effort and generates a positive synergy?

- ▶ **Work group**
- ▶ Work team
- ▶ Quality circle
- ▶ Functional team

Question No: 16 (Marks: 1) - Please choose one

A team whose members are at different locations, who work together and solve problems through computer-assisted exchange rather than personal, face-to-face meetings are operating as which of the following?

- ▶ Virtual team
- ▶ Quality circle
- ▶ Self-directed team
- ▶ **Cross-functional team**

Question No: 17 (Marks: 1) - Please choose one

Amir has found out that his department operates on the most popular type of control that many other companies use. Which type of control all companies have in common?

- ▶ Feed forward
- ▶ **Concurrent**
- ▶ Feedback
- ▶ Indirect

Question No: 18 (Marks: 1) - Please choose one

Which of the following can be defined as the art and science of formulating, implementing and evaluating cross-functional decisions that enable an organization to achieve its objectives?

- ▶ Strategy formulation
- ▶ Strategy evaluation
- ▶ Strategy implementation
- ▶ **Strategic management**

Question No: 19 (Marks: 1) - Please choose one

Decisions which deal with situations where the factors are fairly structured and occur with some frequency are called:

- ▶ Heuristic decision
- ▶ **Programmed decision**
- ▶ Satisfying decision
- ▶ Non-programmed decision

Question No: 20 (Marks: 1) - Please choose one

"Employees dislike work, they are lazy, dislike responsibilities and must be coerced to perform". Which of the following best describes this statement?

- ▶ Hygiene Factor Theory
- ▶ Resistance Theory
- ▶ **Theory X**
- ▶ Two factors Theory

Question No: 21 (Marks: 1) - Please choose one

Management of ABC Company has decided to adopt a systematic way of setting goals for its work units and for employees so that all their activities are directly linked to achieve the organizational goals. Management of ABC Company is following which of the following concept?

- ▶ Management by objective
- ▶ **Management by resources**
- ▶ Management by authority
- ▶ Management by system

Question No: 22 (Marks: 1) - Please choose one

Mr. Ali is working in XYZ Company for the last three years and since then he is performing the same tasks. Now he wants to put his efforts in the more challenging tasks that could increase the amount of his control and responsibilities.

What possible job practices should be added to Ali's job?

- ▶ Job enlargement
- ▶ **Job enrichment**
- ▶ Job rotation
- ▶ Feedback

Question No: 23 (Marks: 1) - Please choose one

Honda has decided to shift towards the higher efficiency rather than sales growth. For achieving such goal, some authorities were delegated to middle managers, which were previously held by top management. Honda has applied which of the following concept?

- ▶ **Highly centralized**
- ▶ Departmentalization
- ▶ Decentralization
- ▶ Centralization

Question No: 24 (Marks: 1) - Please choose one

"How long effort is maintained" relates to which of the following approach of performing a task?

- ▶ **Intensity**
- ▶ Direction
- ▶ Persistence
- ▶ Motivation

Question No: 25 (Marks: 1) - Please choose one

All of the following are the behavioural theories EXCEPT:

- ▶ Path Goal studies
- ▶ Ohio State Studies
- ▶ Michigan Studies
- ▶ **Iowa Studies**

Question No: 26 (Marks: 1) - Please choose one

Which of the following can be used as a medium of communication in the organizations?

- ▶ Manuals
- ▶ Meetings
- ▶ Face to face discussions
- ▶ **All of the given options**

Question No: 27 (Marks: 1) - Please choose one

During a meeting Mr. A, from the quality control department was not agreeing with the marketing manager on the issue like "how to improve the product quality ". He simply leaves the meeting and by doing so he wants to communicate his disagreement with the marketing manager. This is an example of:

- ▶ Non-verbal
- ▶ Verbal
- ▶ Written
- ▶ **Oral**

Question No: 28 (Marks: 1) - Please choose one

The force that results in greater combined gains/benefits through group interaction is called:

- ▶ **Positive synergy**
- ▶ Negative synergy
- ▶ Individualism
- ▶ Cohesiveness

Question No: 29 (Marks: 1) - Please choose one

Which of the given option represents the relationship between 'Management Science' & 'Operation Management'?

- ▶ **Both are used interchangeably**
- ▶ Operation management is an applied form of management science
- ▶ Management science is an applied form of operation management
- ▶ No relationship exists between the two

Question No: 30 (Marks: 1) - Please choose one

Job activities performed by workers of an organization are served as:

- ▶ **Input in a system**
- ▶ Transformation process
- ▶ Output offered by organization
- ▶ Feedback from the environment

Question No: 31 (Marks: 1) - Please choose one

In order to respond to irrational situations, which of the following style is preferred?

- ▶ Crisis decision making style
- ▶ **Programmed decision making style**
- ▶ Opportunity decision making style
- ▶ Non-programmed decision making style

Question No: 32 (Marks: 1) - Please choose one

Amir is representing his company at the local Chamber of Commerce Annual Business Recognition luncheon. He is performing which of the following managerial role?

- ▶ **Liaison**
- ▶ Negotiator
- ▶ Monitor
- ▶ Figurehead

Question No: 33 (Marks: 1) - Please choose one

Selection of students in the admission process of university is an illustration of:

- ▶ Structured decisions
- ▶ Ill-structured decisions
- ▶ **Programmed decisions**
- ▶ Non-programmed decisions

Question No: 34 (Marks: 1) - Please choose one

Which of the following reasoning gave emergence to the concept of non-rational models of decision making?

- ▶ All the necessary information is not always available
- ▶ Strict rules and regulations are defined in the organizations
- ▶ Highly needed by the bureaucratic & public sector organizations
- ▶ **All of the given options**

Question No: 35 (Marks: 1) - Please choose one

Behavioral viewpoint emphasizes the need of understanding the various factors affecting the_____in an organization.

- ▶ Undesired behavior
- ▶ Moral behavior
- ▶ **Ethical behavior**
- ▶ Human behavior

Question No: 36 (Marks: 1) - Please choose one

Which of the following is called an input to an organizational system?

- ▶ **Employees**
- ▶ Products
- ▶ Services
- ▶ Customers

Question No: 37 (Marks: 1) - Please choose one

Disney World buys soft drinks from coca-cola, food from Sara Lee and paper products from Mead. Coca-cola, Sara Lee and Mead are Disney's:

- ▶ Competitors

► **Suppliers**

- Owners
- Customers

Question No: 38 (Marks: 1) - Please choose one

The common currency used by European Union is called:

- Franc
- Franc-mark
- Pound
- **Euro**

Question No: 39 (Marks: 1) - Please choose one

In order to achieve efficiency organizations segregate tasks in terms of similarity of its activities, the process is labeled as:

- Job specification
- **Job specialization**
- Job design
- Job description

Question No: 40 (Marks: 1) - Please choose one

Which of the given power is attained through formal hierarchy?

- Expert power
- **Information power**
- Charismatic power
- Referent power

Question No: 41 (Marks: 1) - Please choose one

Goal-setting theory states that "more difficult goals lead to more efforts". Therefore goals should be:

- Beyond the individuals capacity
- Challenging but not unattainable
- Timeless to continue the efforts in long run
- **All of the given options**

Question No: 42 (Marks: 1) - Please choose one

Employee's personal inclination towards goal attainment is referred as:

- Goal commitment
- Goal difficulty
- Goal acceptance
- **Goal specificity**

Question No: 43 (Marks: 1) - Please choose one

Mr. A, Mr. B, Mr. C and Mr. D are working on a project in a team. Mr. A wants to dominate others, as he wants to become a leader and controlling authority. Mr. A meets which of the following needs?

- **Need for power**
- Need for achievement
- Need for success

- ▶ Need for affiliation

Question No: 44 (Marks: 1) - Please choose one

It is essential for a team to be a:

- ▶ **Formal group**
- ▶ Large group
- ▶ Informal group
- ▶ Small group

Question No: 45 (Marks: 1) - Please choose one

Which of the following is selected by the sender and may be formal for job-related messages or informal for personal or social messages?

- ▶ Message
- ▶ **Channel**
- ▶ Feedback
- ▶ Noise

Question No: 46 (Marks: 1) - Please choose one

Which of the following leader's behavior was identified by Researchers at Ohio State Universities?

- ▶ **Consideration and initiating structure**
- ▶ Consideration and autocratic
- ▶ Autocratic style
- ▶ Charismatic skills

Question No: 47 (Marks: 1) - Please choose one

In Pakistan China imported goods are relatively cheap. These companies are practicing which of the following strategies?

- ▶ Focus Strategy
- ▶ Differentiation strategy
- ▶ **Cost leadership strategy**
- ▶ Emergent strategy

Question No: 48 (Marks: 1) - Please choose one

Which of the following is the set of strengths, characteristics and qualities including skills, technologies or resources that distinguish a firm from its competitors?

- ▶ Scope of business
- ▶ **Distinctive competency**
- ▶ Resource deployment
- ▶ Effective strategy

PAPER NO 3

FINAL TERM EXAMINATION
Spring 2010
MGT503- Principles of Management
BY ADNAN AWAN
Adnanawan6@gmail.com

Time: 90 min

Question No: 1 (Marks: 1) - Please choose one

Which of the following courses helps managers gain a better understanding of motivation, leadership, trust, employee selection, performance appraisals and training techniques?

- ▶ Psychology
- ▶ Sociology
- ▶ Political science
- ▶ **Anthropology**

Question No: 2 (Marks: 1) - Please choose one

All of the following are included in the four components of the management process EXCEPT:

- ▶ Organizing
- ▶ Leading
- ▶ **Delegating**
- ▶ Planning

Question No: 3 (Marks: 1) - Please choose one

Ali is a Branch Manager at Mutual Saving Bank. If he is an average middle manager, which of the following management activities is he likely to spend the greatest amount of time?

- ▶ Planning
- ▶ **Controlling**
- ▶ Leading
- ▶ Organizing

Question No: 4 (Marks: 1) - Please choose one

Who studied work to eliminate inefficient hand-and-body motions?

- ▶ Henri Fayol
- ▶ **Frank and Lillian Gilbreth**
- ▶ Fredrick Taylor
- ▶ Henry Towne

Question No: 5 (Marks: 1) - Please choose one

All of the following are called "Classical Viewpoints" EXCEPT:

- ▶ Scientific management
- ▶ **Industrial management**
- ▶ Administrative management
- ▶ Bureaucratic management

Question No: 6 (Marks: 1) - Please choose one

Which of the following concept suggests that organizational units may often be more successful working together than working alone?

- ▶ Transformation
- ▶ **Synergy**
- ▶ Negative Entropy
- ▶ Entropy

Synergy

is the ability of the whole to equal more than the sum of its parts.

Question No: 7 (Marks: 1) - Please choose one

A form of business exchange or transaction in which the parties interact electronically is called:

▶ **E-commerce**

- ▶ E-business
- ▶ E-shopping
- ▶ E- trading

Question No: 8 (Marks: 1) - Please choose one

Which one is the final step in the decision-making process:

- ▶ Evaluating the decision
- ▶ Recognizing the decision
- ▶ Evaluating the alternatives

▶ **Implementing the decision**

Question No: 9 (Marks: 1) - Please choose one

A situation that offers a strong potential for significant organizational gain if appropriate actions are taken is called:

- ▶ Crisis problem
- ▶ Non- Crisis problem

▶ **Opportunity problem**

- ▶ Financial Problem

Question No: 10 (Marks: 1) - Please choose one

Competitor intelligence allows managers to do which of the following?

- ▶ React to competitor actions
- ▶ Cut cost below the competition
- ▶ Increase market diversification

▶ **Predict competitor actions**

Question No: 11 (Marks: 1) - Please choose one

Mission Statement of Johnson & Johnson is:

"We believe our first responsibility is to the doctors, nurses, and patients, to mothers and all others who use our products"

This statement shows which of the following attributes of mission statement?

- ▶ Location
- ▶ **Customers**
- ▶ Self concept
- ▶ Desired public image

Question No: 12 (Marks: 1) - Please choose one

Operational plans are normally associated with which of the following organizational level?

- ▶ Global level
- ▶ Corporate level
- ▶ Business level
- ▶ **Functional level**

Question No: 13 (Marks: 1) - Please choose one

The method by which strategies are operationalized or executed within the organization is called:

- ▶ Strategy formulation
- ▶ **Strategy implementation**
- ▶ Strategy evaluation
- ▶ Strategy imitation

Question No: 14 (Marks: 1) - Please choose one

When the strength provides superior and unique customer value and is difficult to imitate then the distinctive competence creates a sustainable:

- ▶ **Competitive advantage**
- ▶ Scope
- ▶ Resource deployment
- ▶ Effective strategy

Question No: 15 (Marks: 1) - Please choose one

Which of the following is an area in the environment that if exploited may generate high performance for organization?

- ▶ Strength
- ▶ Weakness
- ▶ **Opportunity**
- ▶ Threat

Question No: 16 (Marks: 1) - Please choose one

In BCG matrix which of the following businesses have a large share of a market that are not expected to grow substantially?

- ▶ Dogs
- ▶ Question mark
- ▶ Star
- ▶ **Cash cow**

The Cash Cow has a high market share in a slowly growing market.

Question No: 17 (Marks: 1) - Please choose one

A company's "chain of command" is a part of which process?

- ▶ Span of control
- ▶ **Organizational design**
- ▶ Formalization
- ▶ Work specialization

Question No: 18 (Marks: 1) - Please choose one

Which of the following is a characteristic of an organic organization?

- ▶ Centralization
- ▶ High specialization
- ▶ High formalization
- ▶ **Free flow of information**

Question No: 19 (Marks: 1) - Please choose one

According to Maslow, which one of the following needs does not fit into the higher-order needs?

- ▶ Self-actualization
- ▶ Esteem
- ▶ **Physiological**
- ▶ Social

According to maslow it is most basic or lower order need.

Question No: 20 (Marks: 1) - Please choose one
According to Maslow, which hierarchy is in proper order from lowest to highest?

- ▶ Safety, physiological, esteem, self-actualization, social.
- ▶ Esteem, physiological, self-actualization, safety, social
- ▶ Self-actualization, physiological, social, esteem, safety
- ▶ **Physiological, safety, social, esteem, self-actualization**

Question No: 21 (Marks: 1) - Please choose one
The statement that people will exercise self direction and self control if they are committed to the objectives, is true about which of the following?

- ▶ Equity Theory
- ▶ ERG Theory
- ▶ Theory X
- ▶ **Theory Y**

Question No: 22 (Marks: 1) - Please choose one
Which theory includes the component that employee motivation is influenced by relative as well as absolute rewards?

- ▶ Expectancy
- ▶ Three-needs
- ▶ Goal-setting
- ▶ **Equity**

Question No: 23 (Marks: 1) - Please choose one
Which of following is the?

- ▶ Group Conformity
- ▶ **Group cohesiveness**
- ▶ Group decision making
- ▶ Group norms

Question No: 24 (Marks: 1) - Please choose one
Self-managing teams possess all of the following characteristics EXCEPT:

- ▶ **Members hire other members**
- ▶ Members determine the compensation of its members
- ▶ Members have discretion in scheduling work within the team
- ▶ Members have discretion in distributing tasks within the team

Question No: 25 (Marks: 1) - Please choose one
Which of the following is the most cited benefit of value chain management?

- ▶ **Cost savings**
- ▶ Increased sales
- ▶ Inventory reductions
- ▶ Accelerated delivery times

Question No: 26 (Marks: 1) - Please choose one

A large chemical company not only dispose off all toxic waste properly as outlined by law, but it also spends \$1 million dollars each year on research to determine better processes for all businesses to use in disposing of toxic wastes. This company is exhibiting which of the following?

► **Social responsibility**

- Social obligation
- Moral obligation
- Social responsiveness

Question No: 27 (Marks: 1) - Please choose one

If goals are _____, it will help the employees to identify the purpose of goals and to recognize the ways of meeting them.

► **Relevant**

- Time-limit
- General
- Measurable

Question No: 28 (Marks: 1) - Please choose one

When we talk about an organization's core technology, we mean organization's:

- Less important technology
- **Most important technology**
- All technologies the organization is using
- Technology that is never used

Question No: 29 (Marks: 1) - Please choose one

An organizational structure made up of working groups or teams is called:

► **Team-based structure**

- Project structure
- Matrix structure
- Divisional structure

Question No: 30 (Marks: 1) - Please choose one

Tall structure is more expensive because of:

- Few departments
- Lesser resources
- Fewer hierarchical levels
- **More hierarchical levels**

Question No: 31 (Marks: 1) - Please choose one

Which of the following theory directly relates the individual's behavior with the consequences of their actions?

► **Reinforcement theory**

- Goal setting theory
- Equity theory
- Expectancy theory

Question No: 32 (Marks: 1) - Please choose one

Mr. Haris and Mr. Fahad are working equally but Mr. Haris is paid more than Mr. Fahad. Mr. Haris is being----- and Mr. Fahad is being-----.

- Over rewarded, under rewarded
- **Under rewarded, over rewarded**
- Rewarded, unrewarded

- ▶ Over rewarded, unrewarded

Question No: 33 (Marks: 1) - Please choose one

To analyze the group performance, group should be viewed as:

- ▶ System
- ▶ **Feedback**
- ▶ Output
- ▶ Input

Question No: 34 (Marks: 1) - Please choose one

XYZ Company is dealing in consumer products and operating in highly competitive market. Company wants to assure the quality of its product by applying best suitable control method. Which of the following control method will be suitable for XYZ Company?

- ▶ Bureaucratic control
- ▶ **Market control**
- ▶ Clan control
- ▶ None of the given options

Question No: 35 (Marks: 1) - Please choose one

Tax revenue is one of the significant resources of the city government, in which type of resource category tax revenue falls?

- ▶ Human resources
- ▶ **Financial resources**
- ▶ Physical resources
- ▶ Information resources

Question No: 36 (Marks: 1) - Please choose one

Which of the following group techniques allows group members to meet together, but also allows independent thinking?

- ▶ Brainstorming technique
- ▶ **Nominal group technique**
- ▶ Delphi technique
- ▶ Devil's advocacy technique

Question No: 37 (Marks: 1) - Please choose one

In terms of linear programming, profit margins on different products that a company can produce represent which of the following?

- ▶ Constraints
- ▶ Feasibility regions
- ▶ Scenarios
- ▶ **Objective function**

Question No: 38 (Marks: 1) - Please choose one

The university has selected some of its faculty members to conduct the worthy researches on variant topics. These members are also responsible for their courses in addition to this creative task of assisting research. Which of the following is applied in the given situation?

- ▶ Job rotation
- ▶ **Job enlargement**
- ▶ Job enrichment
- ▶ Job specification

Question No: 39 (Marks: 1) - Please choose one
Which of the given power is attained through formal hierarchy?

- ▶ **Expert power**
- ▶ Information power
- ▶ Charismatic power
- ▶ Referent power

Question No: 40 (Marks: 1) - Please choose one
Keeping distinguished features of Transformational leaders, at which hierarchical level they mostly found in an organization?

- ▶ Bottom level
- ▶ **Top level**
- ▶ Middle level
- ▶ First-line level

Question No: 41 (Marks: 1) - Please choose one
With respect to five hierarchical needs of Marlow's theory, at which level transformational style is more beneficial?

- ▶ Physical needs
- ▶ Safety needs
- ▶ Social needs
- ▶ **Self-actualization needs**

Question No: 42 (Marks: 1) - Please choose one
Which of the following groups usually adjourns?

- ▶ **Task group**
- ▶ Command group
- ▶ Friendship group
- ▶ Functional group

Question No: 43 (Marks: 1) - Please choose one
Health camps were established in Azad Jammu Kashmir as the rehabilitation program for earthquake effecties. These camps consisted of doctors and surgeons from various fields of specialization. Therefore health camp is an example of:

- ▶ Quality circle
- ▶ Virtual teams
- ▶ **Cross- functional teams**
- ▶ Management teams

Question No: 44 (Marks: 1) - Please choose one
Which of the following purpose is served through communication?

- ▶ Motivating employees
- ▶ Sharing information
- ▶ Conveying emotional expressions
- ▶ **All of the given options**

Question No: 45 (Marks: 1) - Please choose one
In a growing number of organizations, the traditional team consisting of a manager and a team that reports directly to him or her is being replaced, into _____, by giving relative autonomy to them to form more flexible teams.

- ▶ Quality improvement teams

- ▶ Virtual teams
- ▶ **Self-managing teams**

- ▶ Cross-functional teams

Question No: 46 (Marks: 1) - Please choose one

XYZ Company has been dealing in crockery since the last 12 years. Company's performance is satisfactory and the environment appears to be constant, that's why company perceives no reason to change, hence falls under:

- ▶ **Stability**
- ▶ Diversification
- ▶ Concentration
- ▶ Direct Expansion

Question No: 47 (Marks: 1) - Please choose one

When public sector organizations serve in terms of varying needs of children, disabled & adults, it is said to be adopting which kind of departmentalization?

- ▶ Product
- ▶ Geographic
- ▶ Outcome
- ▶ **Customer**

Question No: 48 (Marks: 1) - Please choose one

Zarkoo Airlines use _____ departmentalization to arrange its activities as commercial airplanes and military airplanes.

- ▶ **Functional**
- ▶ Geographic
- ▶ Customer
- ▶ Matrix

Adnanawan6@gmail.com

PAPER NO 4

FINAL TERM EXAMINATION
Spring 2010
MGT503- Principles of Management
BY ADNAN AWAN

Adnanawan6@gmail.com

Time: 90 min
Marks: 69

Question No: 1 (Marks: 1) - Please choose one
 Leadership role is more important for:

- ▶ **Top level managers**
- ▶ First line managers
- ▶ Middle level managers
- ▶ Non managerial staff

Question No: 2 (Marks: 1) - Please choose one

All of the following are included in Fayol's fundamental principles of management EXCEPT:

- ▶ **Diversity**
- ▶ Order
- ▶ Initiative
- ▶ Authority

Question No: 3 (Marks: 1) - Please choose one

A situation in which manager can make an accurate decision is called:

- ▶ **Certainty**
- ▶ Uncertainty
- ▶ Risk
- ▶ Factual

Question No: 4 (Marks: 1) - Please choose one

A manager who is deciding how to invest excess cash gets information from the bank. The manager describes various options available for investment, each of which has a guaranteed rate of return. This situation is called:

- ▶ Certainty
- ▶ Uncertainty
- ▶ Risk
- ▶ **Optimal decision-making**

Question No: 5 (Marks: 1) - Please choose one

All of the following are the assumptions of rational decision making EXCEPT:

- ▶ Alternatives are known
- ▶ Possible outcomes known
- ▶ Optimal decision is possible
- ▶ **Information is unknown**

Question No: 6 (Marks: 1) - Please choose one

Plans which have the broadest organizational focus and the longest time frame are called:

- ▶ Tactical
- ▶ **Strategic**
- ▶ Directional
- ▶ Operational

Question No: 7 (Marks: 1) - Please choose one

The method by which strategies are operationalized or executed within the organization is called:

- ▶ Strategy formulation
- ▶ **Strategy implementation**
- ▶ Strategy evaluation
- ▶ Strategy imitation

Question No: 8 (Marks: 1) - Please choose one

Which stage of strategic management focuses on; "how the strategy is achieved"?

- ▶ Implementation stage
- ▶ Evaluation stage
- ▶ Realization stage
- ▶ **Formulation stage**

Question No: 9 (Marks: 1) - Please choose one

Which of the following is a document that summarizes the business strategy and structure?

- ▶ **Business plan**
- ▶ Letter of credit
- ▶ Article of association
- ▶ Memorandum

Question No: 10 (Marks: 1) - Please choose one

Horizontal coordination links the activities of which of the following?

- ▶ Same departmental level
- ▶ From Top to bottom
- ▶ From Bottom to top level
- ▶ **Different departmental level**

Question No: 11 (Marks: 1) - Please choose one

All of the following factors are the most challenging for the managers in today's competitive world EXCEPT:

- ▶ Meet the market demand of products
- ▶ **Motivating competitors to do work efficiently**
- ▶ Facing the competition
- ▶ Environmental uncertainty

Question No: 12 (Marks: 1) - Please choose one

Channelized efforts are the result of which of the following?

- ▶ **Right direction**
- ▶ Centralization
- ▶ Proper guidance
- ▶ Good hierarchy

Question No: 13 (Marks: 1) - Please choose one

The statement that people will exercise self direction and self control if they are committed to the objectives, is true about which of the following?

- ▶ Equity Theory
- ▶ ERG Theory
- ▶ Theory X
- ▶ **Theory Y**

Question No: 14 (Marks: 1) - Please choose one

To motivate professionals what point should be in consideration?

- ▶ Commitment to their field
- ▶ Job security
- ▶ Offering high pay
- ▶ **Promotions**

Question No: 15 (Marks: 1) - Please choose one

A leader who involves employees in decision making, delegates authority and allows employees to have direct input into the final decision is using which of the following leadership style?

- ▶ Democratic-participative
- ▶ **Laissez-faire**
- ▶ Autocratic
- ▶ Democratic-consultative

Question No: 16 (Marks: 1) - Please choose one

Which of the following is a characteristic of a high-performing team that makes the group greater than the sum of its parts?

- ▶ A quality circle
- ▶ Group dynamics
- ▶ Synergy
- ▶ **Cohesiveness**

Question No: 17 (Marks: 1) - Please choose one

Which of the following group engages in collective work that requires joint effort and generates a positive synergy?

- ▶ **Work group**
- ▶ Work team
- ▶ Quality circle
- ▶ Functional team

Question No: 18 (Marks: 1) - Please choose one

As if's work team does its own hiring and scheduling and is even responsible for evaluating each other's performance. Asif is part of which of the following team?

- ▶ Problem-solving
- ▶ Cross-functional
- ▶ **Self-managed**
- ▶ Virtual

Question No: 19 (Marks: 1) - Please choose one

All of the following are examples of non-verbal communication EXCEPT:

- ▶ **Conference**
- ▶ Body position
- ▶ The distance between two people
- ▶ The style of clothing people wear

Question No: 20 (Marks: 1) - Please choose one

The supplies or raw material is needed to create a product are called:

- ▶ **Outputs**
- ▶ Investments
- ▶ Processes
- ▶ Inputs

Question No: 21 (Marks: 1) - Please choose one

What do we call the entire series of organizational work activities that add value at each step that begin with the processing of raw materials and end with a finished product in the hands of end users?

- ▶ Value Chain Management
- ▶ **Value Chain Management Operations**
- ▶ Value
- ▶ Value Chain

Question No: 22 (Marks: 1) - Please choose one

Which of the following is the obligation or expectation to perform a duty?

- ▶ **Responsibility**
- ▶ Unity of command
- ▶ Chain of command
- ▶ Span of control

Question No: 23 (Marks: 1) - Please choose one

Aslam is a manager of a software house. He is very competitive and tries to stay ahead of the competition. For this purpose he should provide information or services before any other company provides. But as internet industry is a dynamic industry, he has to provide information to his clients before it comes to market. In different situations he doesn't know what new trend will come in market. Aslam is operating under which of the following conditions?

- ▶ Risk
- ▶ Bounded Rationality
- ▶ **Uncertainty**
- ▶ Certainty

Question No: 24 (Marks: 1) - Please choose one

MBO was first described by:

- ▶ **Michael Porter**
- ▶ Charles Babbage
- ▶ Peter Drucker
- ▶ Hugo Munsterbeg

Question No: 25 (Marks: 1) - Please choose one

Policies, procedures, rules and regulations are kinds of:

- ▶ Budgeting
- ▶ Single-use plans
- ▶ **Standing plans**
- ▶ Informal plans

Question No: 26 (Marks: 1) - Please choose one

Which of the following is also known as strategy analysis?

- ▶ **SWOT analysis**
- ▶ External analysis
- ▶ Internal analysis
- ▶ Situation analysis

Question No: 27 (Marks: 1) - Please choose one

Which of the following should be completed first in the strategic management process?

- ▶ Performing SWOT analysis
- ▶ Implementing strategies

- ▶ Scan the environment
- ▶ **Define the organizational mission**

Question No: 28 (Marks: 1) - Please choose one

Small companies may not have so many opportunities of promotions, so they usually try to motivate employees through:

- ▶ Attractive packages
- ▶ High Incentives
- ▶ Turnover
- ▶ **Job enlargement**

Question No: 29 (Marks: 1) - Please choose one

Mr. Haris and Mr. Fahad are working equally but Mr. Haris is paid more than Mr. Fahad. Mr. Haris is being----- and Mr. Fahad is being-----.

- ▶ Over rewarded, under rewarded
- ▶ Under rewarded, over rewarded
- ▶ **Rewarded, unrewarded**
- ▶ Over rewarded, unrewarded

Question No: 30 (Marks: 1) - Please choose one

In many organizations individuals who have good computer skills and ability to solve related problems can influence others because of their:

- ▶ Coercive Power
- ▶ Referent Power
- ▶ **Expert Power**
- ▶ Reward Power

Question No: 31 (Marks: 1) - Please choose one

The effectiveness of downward communication can be increased by using all of the following approaches EXCEPT:

- ▶ By using multiple channels
- ▶ By repeating the message
- ▶ By encouraging feedback
- ▶ **By distorting the message**

Question No: 32 (Marks: 1) - Please choose one

Feed-forward, Feedback and Concurrent control are the types of control methods based on:

- ▶ **Decision making**
- ▶ Market information
- ▶ Timing
- ▶ Financial resources

Question No: 33 (Marks: 1) - Please choose one

A universally accepted model of a successful manager could be described as:

- ▶ **One who practices all the four management functions**
- ▶ One who executes all of the roles in a professional manner
- ▶ One who possesses all management skills at high levels
- ▶ There is no universally accepted model of a successful manager

Question No: 34 (Marks: 1) - Please choose one

With the passage of time the concept of work specialization has emerged in the business world. Which of the following skill category is influenced significantly due to this change?

▶ **Conceptual skill**

- ▶ Interpersonal skill
- ▶ Technical skill
- ▶ Human skill

Question No: 35 (Marks: 1) - Please choose one

Why customers are recognized as one of the major stakeholders of an organization?

▶ They are directly influenced by the company's culture

▶ **They engage their finances in the company's offerings**

- ▶ They are highly influenced by the company stock ratings
- ▶ They can impact the labor market of an organization

Question No: 36 (Marks: 1) - Please choose one

Which of the given role is played by Central Board of Revenue (CBR) in our environment with respect to the operating organizations?

- ▶ Competitors
- ▶ Clients
- ▶ Labor markets

▶ **Regulators**

Question No: 37 (Marks: 1) - Please choose one

In order to make effective decisions, managers have to be cautious enough while allocating the resources. Which of the given technique helps managers in this regard?

- ▶ Environmental scanning
- ▶ Forecasting
- ▶ Benchmarking

▶ **Budgeting**

Question No: 38 (Marks: 1) - Please choose one

Disney World buys soft drinks from Coca-Cola, food from Sara Lee and paper products from Mead. Coca-Cola, Sara Lee and Mead are Disney's:

- ▶ Competitors
- ▶ **Suppliers**
- ▶ Owners
- ▶ Customers

Question No: 39 (Marks: 1) - Please choose one

Scrutinizing the work situation for changing conditions that may signal the materialization of a problem comes under:

- ▶ Scanning stage
- ▶ Categorization stage
- ▶ Diagnosis stage

▶ **Implementation stage**

Question No: 40 (Marks: 1) - Please choose one

Pakistan Cricket Board (PCB) has appointed Waqar Younis as the coach of the Pakistani team to guide them the game tactics. On what grounds PCB has selected Waqar Younis?

► **He possesses expert power**

- He exercises reward power
- He occupies coercive power
- He enjoys information power

Question No: 41 (Marks: 1) - Please choose one

Considering the changing patterns of the business world, which of the given is considered to be the modern motivating tool?

► **High salary**

- Flexi time
- Secured job
- Medical allowance

Question No: 42 (Marks: 1) - Please choose one

Which of the following is the best description of motivation?

- An internal drive in a specific direction
- A trait that some people have and some people don't
- A trained condition or response

► **A talent that must be developed and perfected**

Question No: 43 (Marks: 1) - Please choose one

Which one of the following is a strength of MBO?

► **Overemphasis on quantitative goals**

- Requires training of employees
- Clarify priorities and expectation
- Tends to falter without strong commitment

Question No: 44 (Marks: 1) - Please choose one

ABC Corp. has turned each of its divisions into profit centers and evaluates each division by the percentage of total corporate profits that it generates. It uses which of the following control?

- Accounting
- Bureaucratic
- **Financial**
- Sector

Question No: 45 (Marks: 1) - Please choose one

Which of the following best describes this statement; "The degree to which the individual believes that performing at a particular level is instrumental in attaining the desired outcome"?

- Effort-performance linkage
- **Performance-reward linkage**
- Valence of a reward
- All of the given options

Question No: 46 (Marks: 1) - Please choose one

Which of the following is the set of strengths, characteristics and qualities including skills, technologies or resources that distinguish a firm from its competitors?

- Scope of business
- Distinctive competency
- **Resource deployment**
- Effective strategy

Question No: 47 (Marks: 1) - Please choose one

"Cost-saving advantages from specialization" is a feature of which kind of structural organization?

- ▶ Divisional
- ▶ Team
- ▶ Learning
- ▶ **Functional**

Question No: 48 (Marks: 1) - Please choose one

An organization that groups activities according to women's footwear, men's footwear, apparel and accessories would use which of the following departmentalization?

- ▶ Product
- ▶ **Operational**
- ▶ Geographic
- ▶ Functional

Paper No 5

FINAL TERM EXAMINATION
Fall 2009
MGT503- Principles of Management
BY ADNAN AWAN
Adnanawan6@gmail.com

Time: 120 min
Marks: 92

Question No:1 (Marks: 1) - Please choose one

Which of the following is the latest concept in financial control?

- ▶ Economic Market Value
- ▶ Earning Market Value
- ▶ Financial Value Added
- ▶ **Economic Value Added**

Question No: 2 (Marks: 1) - Please choose one

Feed forward control is also called as:

- ▶ **Preliminary control**
- ▶ Post action control
- ▶ Output control
- ▶ Concurrent control

Question No: 3 (Marks: 1) - Please choose one

A ----- is a control system that relies on human discretion as a basic part of its process.

- ▶ Cyber control system
- ▶ **Non-cybernetic control system**
- ▶ Market control system
- ▶ None of the given option

Question No: 4 (Marks: 1) - Please choose one

----- is a tool for measuring corporate and divisional performance by calculating after-tax operating profit minus the total annual cost of capital.

- ▶ Market value added
- ▶ **Economic value added**
- ▶ Balanced Scorecard
- ▶ Benchmarking

Question No:5 (Marks: 1) - Please choose one

All of the following are managerial roles identified in Mintzberg's Model EXCEPT:

<http://vustudents.ning.com>

- ▶ Informational
- ▶ Interpersonal
- ▶ **Functional**
- ▶ Decisional

Question No: 6 (Marks: 1) - Please choose one

When managers motivate employees, direct the activities of others and resolve conflicts, they are performing which of the following functions of management?

- ▶ Controlling
- ▶ Organizing
- ▶ **Leading**
- ▶ Planning

Question No: 7 (Marks: 1) - Please choose one

Who studied work to eliminate inefficient hand-and-body motions?

- ▶ Henri Fayol
- ▶ Frank and Lillian Gilbreth
- ▶ **Fredrick Taylor**
- ▶ Henry Towne

Question No: 8 (Marks: 1) - Please choose one

Low level management has a complete authority to make decisions in case of:

- ▶ Centralization
- ▶ **Decentralization**
- ▶ Scalar Chain
- ▶ Order

Question No: 9 (Marks: 1) - Please choose one

System approach recognizes that organizations are not:

- ▶ **Self-contained**
- ▶ Self-controlled
- ▶ Self-discipline
- ▶ Self-motivated

Question No: 10 (Marks: 1) - Please choose one

Mega environment is also called:

- ▶ Open environment
- ▶ Close environment
- ▶ Flexible environment

► **General environment**

Question No:11 (Marks: 1) - Please choose one

Maslow's hierarchy of needs theory proposes that every person has a hierarchy of:

- Four needs
- **Five needs**
- Three needs
- Six needs

Question No:12 (Marks: 1) - Please choose one

Which of the following deals with the need of a business to meet only basic economic and legal standards?

- Social responsibility
- **Social obligation**
- Moral obligation
- Social responsiveness

Question No: 13 (Marks: 1) - Please choose one

NAFTA was established by the Mexican, Canadian and U.S government on:

- August 12, 1990
- August 12, 1993
- **August 12, 1994**
- August 12, 1992

Question No:14 (Marks: 1) - Please choose one

A society where there is relatively little job mobility and widely practiced lifetime employment would be an example of which of the following dimensions of national culture?

- Power distance
- **Uncertainty avoidance**
- Short- versus long-term orientation
- Individualism versus collectivism

Question No:15 (Marks: 1) - Please choose one

A situation in which manager can make an accurate decision is called:

- **Certainty**
- Uncertainty
- Risk
- Factual

Question No:16 (Marks: 1) - Please choose one

"No smoking allowed" is an example of which of the following?

- **Rule**
- Procedure
- Policy
- Plan

Question No:17 (Marks: 1) - Please choose on

"Whenever possible, we promote from within" is an example of which of the following?

- Rule
- Procedure

- ▶ **Policy**
- ▶ Plan

Question No:18 (Marks: 1) - Please choose one

Aisha uses a decision-making style characterized by low tolerance for ambiguity and a rational way of thinking. What style does Aisha use?

- ▶ Analytic
- ▶ Conceptual
- ▶ **Directive**
- ▶ Behavioral

Question No: 19 (Marks: 1) - Please choose one

A problem with groupthink is that no one is actually in charge of making the final decision or outcome, which results in:

- ▶ **Ambiguous responsibility**
- ▶ Role incoherence
- ▶ Role ambiguity
- ▶ Ambiguous delegation

Question No: 20 (Marks: 1) - Please choose one

Which of the following is NOT one of the three techniques for assessing the environment?

- ▶ **Project management**
- ▶ Benchmarking
- ▶ Forecasting
- ▶ Environmental scanning

Question No:21 (Marks: 1) - Please choose one

Operational plans are normally associated with which of the following organizational level?

- ▶ Global level
- ▶ Corporate level
- ▶ Business level
- ▶ **Functional level**

Question No:22 (Marks: 1) - Please choose one

Which stage of strategic management focuses on; “how the strategy is achieved”?

- ▶ Implementation stage
- ▶ **Evaluation stage**
- ▶ Realization stage
- ▶ Formulation stage

Question No:23 (Marks: 1) - Please choose one

Which of the following is a system in which specific performance objectives are jointly determined by subordinates and their superiors and progress towards objectives is periodically reviewed?

- ▶ **Management by objective**
- ▶ Management by resources
- ▶ Management by authority
- ▶ Management by system

Question No: 24 (Marks: 1) - Please choose one

At the first step of goal setting a manager should:

► **Evaluate available resources**

- Review organization's mission
- Write down goals
- Estimate expected benefits

Question No: 25 (Marks: 1) - Please choose one

In Pakistan China imported goods are available on very inexpensive price. These companies are practicing which of the following strategies?

- Focus Strategy
- Differentiation strategy
- **Cost leadership strategy**
- Emergent strategy

Question No:26 (Marks: 1) - Please choose one

Which of the following is the collection of managerial decisions and actions that determine the long-run performance of an organization?

- **Strategic management**
- Goal-oriented management
- Planning
- Leadership

Question No:27 (Marks: 1) - Please choose one

Which of the following is a document that summarizes the business strategy and structure?

- **Business plan**
- Letter of credit
- Article of association
- Memorandum

Question No: 28 (Marks: 1) - Please choose one

Ali has just been promoted to line manager for the assembling plant. Since Ali is now a manager, which of the following automatically also goes with the title of manager?

- Span of control
- Authority
- Acceptance by the employees
- Respect

Question No:29 (Marks: 1) - Please choose one

Explicit job descriptions and clearly defined procedures are part of which of the following organizational design process?

- **Formalized**
- Process
- Centralized
- Functional

Question No:30 (Marks: 1) - Please choose one

Which of the following is best described as, it is any business that is independently owned and operated and is not dominate in its market?

- Corporation

- ▶ Entrepreneurship
- ▶ **Small business**
- ▶ Strategic alliance

Question No:31 (Marks: 1) - Please choose one

While making a business plan an entrepreneur cannot conduct market research until he:

- ▶ Develops legal plan
- ▶ Develops insurance plan
- ▶ Writes cover letter
- ▶ **Chooses product or service**

Question No: 32 (Marks: 1) - Please choose one

Which of the following is present in a Learning organization?

- ▶ Well-defined structure
- ▶ No leaders
- ▶ Unlimited autonomy
- ▶ A strong sense of community

Question No:33(Marks: 1) - Please choose one

Which of the following is the crucial element of team structure?

- ▶ **Employee empowerment**
- ▶ Faster decision-making
- ▶ Inexpensive to maintain
- ▶ Clear chain of command

Question No: 34 (Marks: 1) - Please choose one

Which of the following is a characteristic of an organic organization?

- ▶ Centralization
- ▶ High specialization
- ▶ High formalization
- ▶ **Free flow of information**

Question No:35 (Marks: 1) - Please choose one

What was the focus of leadership studies in 1920s and 1930s?

- ▶ Charisma
- ▶ Tasks
- ▶ **Traits**
- ▶ Behaviors

Question No:36 (Marks: 1) - Please choose one

Reinforcement theorists believe that behavior results from which of the following?

- ▶ **External consequences**
- ▶ Internal personality traits
- ▶ Setting high goals
- ▶ Intrinsic satisfiers

Question No:37 (Marks: 1) - Please choose one

A leader who involves employees in decision making, delegates authority and allows employees to have direct input into the final

decision is using which of the following leadership style?

- ▶ **Democratic-participative**
- ▶ Laissez-faire
- ▶ Autocratic
- ▶ Democratic-consultative

Question No:38 (Marks: 1) - Please choose one

Women tend to use which of the following leadership style?

- ▶ Autocratic
- ▶ Laissez-faire
- ▶ Dictatorial
- ▶ **Democratic**

Question No:39 (Marks: 1) - Please choose one

Asif's work team does its own hiring and scheduling and is even responsible for evaluating each other's performance. Asif is part of which of the following team?

- ▶ Problem-solving
- ▶ **Cross-functional**
- ▶ Self-managed
- ▶ Virtual

Question No:40 (Marks: 1) - Please choose one

The supplies or raw materials needed to create a product are called:

- ▶ Outputs
- ▶ Investments
- ▶ Processes
- ▶ **Inputs**

Question No:41 (Marks: 1) - Please choose one

Behavioral viewpoint emphasizes the need of understanding the various factors affecting the _____ in an organization.

- ▶ Social behavior
- ▶ Moral behavior
- ▶ Ethical behavior
- ▶ **Human behavior**

Question No:42 (Marks: 1) - Please choose one

ABC Corp. has turned each of its divisions into profit centers and evaluates each division by the percentage of total corporate profits that it generates. It uses which of the following control?

- ▶ Accounting
- ▶ Bureaucratic
- ▶ **Market**
- ▶ Sector

Question No:43 (Marks: 1) - Please choose one

Which of the following factor is more important for men than women?

- ▶ Opportunity to learn
- ▶ Flexibility
- ▶ **Autonomy**
- ▶ Convenience

Question No:44 (Marks: 1) - Please choose one

The Walt Disney Company's movies, theme parks and television programs all benefit one another. Children who enjoy a Disney movie like LION KING want to go to Disney world and see lion king show. They benefit greatly from:

- ▶ **Negative Entropy**
- ▶ Synergy
- ▶ Transformation
- ▶ Entropy

Question No:45 (Marks: 1) - Please choose one

According to Adam Smith, the division of labor results in:

- ▶ Increased worker's motivation
- ▶ Decreased worker's specialization
- ▶ **Increased worker's productivity**
- ▶ Decreased worker's motivation

Question No: 46 (Marks: 1) - Please choose one

Which one of Fayol's 14 principles of management helps preserve the concept of a continuous line of authority?

- ▶ Unity of demand
- ▶ **Unity of command**
- ▶ Demand structure
- ▶ Continuous demand

Question No:47 (Marks: 1) - Please choose one

Mr. A wants to earn a master's degree within two years from a native university. Which of the following SMART objective Mr. A has missed while setting this goal?

- ▶ Time-bound
- ▶ Acceptable
- ▶ **Measurable**
- ▶ Specific

Question No: 48 (Marks: 1) - Please choose one

Which of the following is also known as strategy analysis?

- ▶ **SWOT analysis**
- ▶ External analysis
- ▶ Internal analysis
- ▶ Situation analysis

Question No: 49 (Marks: 1) - Please choose one

Which of the following involves selling or dissolving an entire organization?

- ▶ Divesture
- ▶ **Liquidation**
- ▶ Bankruptcy
- ▶ Harvest

Question No: 50 (Marks: 1) - Please choose one

Grouping of job activities is also known as:

- ▶ **Job design**

- ▶ Job specification
- ▶ Departmentalization
- ▶ Distributing authority

Question No:51 (Marks: 1) - Please choose one

Some students are planning to form a group. They have decided to serve their community by creating the awareness among the people about the adverse effects of pollution. This group will be named as:

- ▶ Command group
- ▶ Functional group
- ▶ Task group
- ▶ **Interest group**

Question No: 52 (Marks: 1) - Please choose one

Which of the following is an example of a group that is formed by the employees themselves to serve the members' social needs?

- ▶ Cross functional group
- ▶ Command group
- ▶ Formal group
- ▶ **Informal group**

Question No: 53 (Marks: 1) - Please choose one

Which of the following characteristics of a group is helpful in determining the synergy level in a group?

- ▶ Group norms
- ▶ Group cohesiveness
- ▶ Group development
- ▶ **All of the given options**

Question No:54 (Marks: 1) - Please choose one

Which of the following can be used as a medium of communication in the organizations?

- ▶ Manuals
- ▶ Meetings
- ▶ Face to face discussions
- ▶ **All of the given options**

Question No:55 (Marks: 1) - Please choose one

Honda has decided to shift towards the higher efficiency rather than sales growth. For achieving such goal, some authorities were delegated to middle managers, which were previously held by top management. Honda has applied which of the following concept?

- ▶ Highly centralized
- ▶ Departmentalization
- ▶ **Decentralization**
- ▶ Centralization

Question No56 (Marks: 1) - Please choose one

Which of the following organizational structure has fewer hierarchical levels?

- ▶ Matrix Structure
- ▶ Divisional Structure
- ▶ **Flat Structure**
- ▶ Tall Structure

Question No:57 (Marks: 1) - Please choose one

The way you use your hands relates to which of the following?

- ▶ **Emotional quotient**
- ▶ Intelligence quotient
- ▶ Technical quotient
- ▶ Emotional intelligence

Question No:58 (Marks: 1) - Please choose one

Mr. Ali, Production manager of Alpha Company has been assigned a task of completing an assignment in a specific time. Mr. Ali is assessing his efforts that will lead to the required level of performance. Mr. Ali is concentrating on which issue according to expectancy theory?

- ▶ **Effort- performance relationship**
- ▶ Performance- outcome relationship
- ▶ Performance- valence relationship
- ▶ All of the given options

Question No:59 (Marks: 1) - Please choose one

Tendency of people to expend less effort while working in a group as compare to working alone is called:

- ▶ Synergy
- ▶ **Social Loafing**
- ▶ Group Task
- ▶ Group Cohesiveness

Question No:60 (Marks: 1) - Please choose one

Mr. Haris and Mr. Fahad are working equally but Mr. Haris is paid more than Mr. Fahad. Mr. Haris is being----- and Mr. Fahad is being-----.

- ▶ **Over rewarded, under rewarded**
- ▶ Under rewarded, over rewarded
- ▶ Rewarded, unrewarded
- ▶ Over rewarded, unrewarded

Question No:61 (Marks: 1) - Please choose one

Which of the following is a variation of the electronic meeting that links media from different locations?

- ▶ E-commerce
- ▶ The Delphi technique
- ▶ E-Brainstorming
- ▶ **Video conference**

Question No:62 (Marks: 1) - Please choose one

50 applicants had been interviewed for the post of financial analyst. Among these 50 people, 5 people had been short listed because they were holding diplomas of specialization along with the degrees required. They influenced the interviewer with which of the following powers?

- ▶ **Expert Power**
- ▶ Coercive Power
- ▶ Legitimate Power
- ▶ Reward Power

Question No:63 (Marks: 1) - Please choose one

Leaders are those who-----:

- ▶ Do things right
- ▶ Do the right things
- ▶ **Both of the given options**
- ▶ None of the given options

Question No: 64 (Marks: 1) - Please choose one
 According to Ohio State Studies, a leader will be more effective who is exhibiting;

- ▶ Low in initiating structure and low consideration
- ▶ **High in initiating structure and high consideration**

Adnanawan6@gmail.com

PAPER NO 6

FINAL TERM EXAMINATION

Spring 2010

MGT503- Principles of Management

BY ADNAN AWAN

Adnanawan6@gmail.com

Time: 90 min

Marks: 69

Question No: 1 (Marks: 1) - Please choose one

The traditional shape of an organization was:

- ▶ Circle
- ▶ **Pyramid**
- ▶ Square
- ▶ Diamond

Question No: 2 (Marks: 1) - Please choose one

When the CEO of a large retail store chain decided to sell off or close some of the stores that were not profitable, he was performing which of the following management functions?

- ▶ Leading

► Planning

► **Controlling**

- ▶ Organizing

Question No: 3 (Marks: 1) - Please choose one

NASA shoots a rocket and then continuously observes and makes whatever course corrections are needed to keep it on track. This process is called:

- ▶ Planning
- ▶ Organizing
- ▶ Leading
- ▶ **Controlling**

Question No: 4 (Marks: 1) - Please choose one

Munsterberg is considered to be the father of _____psychology.

- ▶ Clinical
- ▶ **Industrial**
- ▶ Behavior
- ▶ Theoretical

Question No: 5 (Marks: 1) - Please choose one

Decision making is typically described as which of the following?

- ▶ Deciding what is correct
- ▶ Putting preferences on paper
- ▶ **Choosing among alternatives**
- ▶ Processing information to completion

Question No: 6 (Marks: 1) - Please choose one

When objectives are not written down or rarely verbalized, and the planning is general and lacks continuity, which one of the following type of planning is used?

- ▶ Environmental planning
- ▶ Economic planning
- ▶ **Informal planning**

- ▶ Formal planning

Question No: 7 (Marks: 1) - Please choose one

Which one of the following is a weakness of MBO?

- ▶ Coordination of goals and plans
- ▶ Clarify priorities and expectation
- ▶ Foster employee motivation

▶ May cause overemphasis of quantitative goals.

Question No: 8 (Marks: 1) - Please choose one

If managers significantly change the organization's strategy, they need to modify which part to accommodate and support the change?

- ▶ Span of control
- ▶ Chain of command
- ▶ Goals

▶ Structure

Question No: 9 (Marks: 1) - Please choose one

Which of the following is a contemporary organizational structural design?

- ▶ Functional
- ▶ Divisional

▶ Learning

- ▶ Simple

Question No: 10 (Marks: 1) - Please choose one

According to Maslow's hierarchy of needs, which needs are predominantly satisfied internally?

- ▶ Safety

▶ Esteem

- ▶ Physiological
- ▶ social

Question No: 11 (Marks: 1) - Please choose one

Self respect, achievement and recognition are the example of which type of need?

- ▶ Social
- ▶ Physiological
- ▶ Self actualization

▶ **Esteem**

Question No: 12 (Marks: 1) - Please choose one

Which theory includes the component that employee motivation is influenced by relative as well as absolute rewards?

- ▶ Expectancy
- ▶ Three-needs
- ▶ Goal-setting

▶ **Equity**

Question No: 13 (Marks: 1) - Please choose one

Which of the following is a special group presenting unique motivational challenges?

- ▶ Top management

▶ **Professionals**

- ▶ Stakeholders
- ▶ Competitors

Question No: 14 (Marks: 1) - Please choose one

Which of the following is a situational leadership model?

- ▶ The trait approach
- ▶ **Transformational leadership**

- ▶ Blake and Mouton's Leadership Grid
- ▶ The path goal theory

Question No: 15 (Marks: 1) - Please choose one

Leaders who revitalize organizations by instilling a vision and deep sense of commitment in their followers are referred to as which of the following types of leaders?

- ▶ Charismatic
- ▶ Autocratic
- ▶ **Transformational**
- ▶ Transactional

Question No: 16 (Marks: 1) - Please choose one

All of the following are the major types of barrier that limit the success of value chain management EXCEPT:

- ▶ Required capabilities
- ▶ Organizational factors
- ▶ **Cultural factors**
- ▶ Technology investments

Question No: 17 (Marks: 1) - Please choose one

Decisions which deal with situations where the factors are fairly structured and occur with some frequency are called:

- ▶ Heuristic decision
- ▶ **Programmed decision**
- ▶ Satisfying decision
- ▶ Non-programmed decision

Question No: 18 (Marks: 1) - Please choose one

Which of the following refers to the concentration of decision authority at the top levels of the organizational hierarchy?

- ▶ Decentralization
- ▶ Departmentalization

▶ **Centralization**

- ▶ Formalization

Question No: 19 (Marks: 1) - Please choose one

A mission statement of an organization provides a unique insight to its _____ regarding future growth.

- ▶ Employees
- ▶ Stockholders

▶ **External group**

- ▶ Customers

Question No: 20 (Marks: 1) - Please choose one

Mr. A wants to earn a master's degree within two years from a native university. Which of the following SMART objective Mr. A has missed while setting this goal?

- ▶ Time-bound
- ▶ Acceptable

▶ **Measurable**

- ▶ Specific

Question No: 21 (Marks: 1) - Please choose one

Strategy formulation is the part of the strategic management process that includes all of the following EXCEPT:

- ▶ Identifying the mission and strategic goals
- ▶ Conducting competitive analysis

▶ **Communicating to all stakeholders**

- ▶ Developing specific strategies

Question No: 22 (Marks: 1) - Please choose one

----- helps the organizations identify and develop a competitive advantage, a significant edge over the competition in dealing with competitive forces.

- ▶ **Strategic management**
- ▶ Contingency Planning
- ▶ Operations management
- ▶ Management by objective

Question No: 23 (Marks: 1) - Please choose one

Which of the following level strategy is narrow in scope than business level strategy?

- ▶ Corporate level
- ▶ **Functional level**
- ▶ Regional level
- ▶ National level

Question No: 24 (Marks: 1) - Please choose one

Mr. A is a marketing manger of an organization where he is controlling six employees whereas Mr. B is a production manager of the same organization and he is controlling Fifteen employees. Mr. B is having _____as compare to Mr. A.

- ▶ Narrow span of control
- ▶ **Wide span of control**
- ▶ Central span of control
- ▶ All of the given options

Question No: 25 (Marks: 1) - Please choose one

For the workers with external locus of control, manager will use which of the following leadership style?

- ▶ Achievement-oriented
- ▶ Participative
- ▶ Supportive
- ▶ **Directive**

Question No: 26 (Marks: 1) - Please choose one

According to Ohio State Studies, a leader will be more effective who is exhibiting;

▶ Low in initiating structure and low consideration

▶ **High in initiating structure and high consideration**

▶ Low in initiating structure and high consideration

▶ High in initiating structure and low consideration

Question No: 27 (Marks: 1) - Please choose one

Which of the following is an example of informal group?

▶ College

▶ Marketing department

▶ **Welfare committee formed in an area**

▶ Organization

Question No: 28 (Marks: 1) - Please choose one

In which of the given situation probabilities are objective?

▶ **Certain situations**

▶ Uncertain situations

▶ Ambiguous situations

▶ Indefinite situations

Question No: 29 (Marks: 1) - Please choose one

In order to respond to irrational situations, which of the following style is preferred?

▶ Crisis decision making style

▶ **Programmed decision making style**

▶ Opportunity decision making style

▶ Non-programmed decision making style

Question No: 30 (Marks: 1) - Please choose one

Hospitals have well structured procedures to admit the patients, hence are:

▶ Structured decisions

▶ **Programmed decisions**

- ▶ Ill-structured decisions
- ▶ Non-programmed decisions

Question No: 31 (Marks: 1) - Please choose one

The best opinion is selected among various alternatives through voting by the participants in a group decision making while conducting:

- ▶ Brainstorming
- ▶ Delphi
- ▶ **Nominal**
- ▶ Interacting

Question No: 32 (Marks: 1) - Please choose one

Which of the given decisional tool is mostly used in the production sector?

- ▶ Queuing
- ▶ Simulation
- ▶ Decision tree
- ▶ All of the given options

Question No: 33 (Marks: 1) - Please choose one

Which of the following equation represents break even point?

- ▶ **Revenue = Costs**
- ▶ Revenue > Costs
- ▶ Revenue < Costs
- ▶ All of the given options

Question No: 34 (Marks: 1) - Please choose one

All of the following are major elements of the mega environment, EXCEPT:

- ▶ Technology
- ▶ Economy
- ▶ Socio-cultural

► **Competitor**

Question No: 35 (Marks: 1) - Please choose one

Organizations prefer departmentalization on which of the following grounds?

- Maintain specific rules & policies overall the organization
- Facilitate decentralization within the organization
- Monitor the customers' trend in the market

► **All of the following options**

Question No: 36 (Marks: 1) - Please choose one

Which of the following is the crucial element of team structure?

► **Employee empowerment**

- Faster decision-making
- Inexpensive maintenance
- Clear chain of command

Question No: 37 (Marks: 1) - Please choose one

Which of the following group commonly improves interpersonal communication?

► **Task**

- Command
- Functional
- Friendship

Question No: 35 (Marks: 1) - Please choose one

Which of the given factor significantly differentiate 'Teams' from 'Groups'?

- ▶ Teams consisted of at least 5 members, whereas group with at least 2 members
- ▶ Teams have common goal which is missing among the groups
- ▶ Teams are more synergized than groups
- ▶ **Teams interact regularly while groups occasionally**

Question No: 39 (Marks: 1) - Please choose one

Call centers have been developed to record and put forward the customers' complaints to:

- ▶ **Problem solving teams**
- ▶ Cross functional teams
- ▶ Quality circles
- ▶ Work teams

Question No: 40 (Marks: 1) - Please choose one

Which of the given factor significantly differentiate 'Teams' from 'Groups'?

- ▶ Teams consisted of at least 5 members, whereas group with at least 2 members
- ▶ Teams have common goal which is missing among the groups
- ▶ Teams are more synergized than groups
- ▶ **Teams interact regularly while groups occasionally**

Question No: 41 (Marks: 1) - Please choose one

The bureaucratic organization believes in the implementation of:

- ▶ **Downward communication channel**
- ▶ Upwards communication channel
- ▶ Lateral communication channel
- ▶ Diagonal communication channel

Question No: 42 (Marks: 1) - Please choose one

In a growing number of organizations, the traditional team consisting of a manager and a team that reports directly to him or her is being replaced, into _____, by giving relative autonomy to them to form more flexible teams.

- ▶ Quality improvement teams
- ▶ Virtual teams
- ▶ **Self-managing teams**
- ▶ Cross-functional teams

Question No: 43 (Marks: 1) - Please choose one

A group phenomenon in which individual members reduce their individual efforts and contributions as the group increases in size is called:

- ▶ **Free rider tendency**
- ▶ Group think
- ▶ Carryover behavior
- ▶ None of the given options

Question No: 44 (Marks: 1) - Please choose one

Managers focus on problem solving whereas the focus of leader is on:

- ▶ Maintaining standards
- ▶ **Inspiring the individuals**
- ▶ Planning for short-term goals
- ▶ Concentrating on set instructions

Question No: 45 (Marks: 1) - Please choose one

In Pakistan China imported goods are relatively cheap. These companies are practicing which of the following strategies?

- ▶ Focus Strategy
- ▶ Differentiation strategy
- ▶ **Cost leadership strategy**
- ▶ Emergent strategy

Question No: 46 (Marks: 1) - Please choose one

Boredom, task repetition and fatigue are three negative consequences of which of the following organizational design process?

- ▶ Span of control
- ▶ Decentralization
- ▶ **Work specialization**
- ▶ Departmentalization

Question No: 47 (Marks: 1) - Please choose one

When public sector organizations serve in terms of varying needs of children, disabled & adults, it is said to be adopting which kind of departmentalization?

- ▶ Product
- ▶ Geographic
- ▶ Outcome
- ▶ **Customer**

Question No: 48 (Marks: 1) - Please choose one

An organization that groups activities according to women's footwear, men's footwear, apparel and accessories would use which of the following departmentalization?

- ▶ **Product**
- ▶ Operational
- ▶ Geographic

- ▶ Functional

PAPER NO 7

FINAL TERM EXAMINATION

Fall 2009

MGT503- Principles of Management (Session - 1)

Time: 120 min

Marks: 92

Question No: 1 (Marks: 1) - Please choose one

According to Fiedler's LPC Theory, the extent to which the leader delineates "which, what, how, and why" work should be performed is referred to as which of the following?

- ▶ Task structure
- ▶ Leader member relations
- ▶ Position power
- ▶ **Task oriented leadership**

Question No: 2 (Marks: 1) - Please choose one

Which of the following leaders can inspire followers above their own self-interests and can have a profound effect on their performance?

- ▶ Transactional leader
- ▶ **Transformational leader**
- ▶ Emotional leader
- ▶ Informational leader

Question No: 3 (Marks: 1) - Please choose one

Which of the following statements would be TRUE according to Theory Y manager?

- ▶ **Employees view work as being as natural as rest or play**
- ▶ Employees will shirk responsibilities whenever possible
- ▶ Employees dislike work
- ▶ Employees must be coerced, controlled, or threatened

Question No: 4 (Marks: 1) - Please choose one

The Great China Wall has been built in almost:

- ▶ 900 years
- ▶ **956 years**
- ▶ 856 years
- ▶ 1000 years

Question No: 5 (Marks: 1) - Please choose one

Which one of the following is explaining the Entrepreneur in the best way?

- ▶ Goals Setter
- ▶ Decision Maker
- ▶ Communicator
- ▶ **Initiator**

Question No: 6 (Marks: 1) - Please choose one

Determining the tasks to be accomplished, how the tasks are to be grouped and who is responsible for the various tasks is known as which of the following processes of management?

- ▶ Planning
- ▶ **Organizing**
- ▶ Leading
- ▶ Controlling

Question No: 7 (Marks: 1) - Please choose one

If you get more output from a given input, you have:

- ▶ Decreased effectiveness
- ▶ Increased effectiveness
- ▶ Decreased efficiency
- ▶ **Increased efficiency**

Question No: 8 (Marks: 1) - Please choose one

All of the following are titles of middle level managers EXCEPT:

- ▶ **Operator**
- ▶ District manager
- ▶ Dean
- ▶ Division manager

Question No: 9 (Marks: 1) - Please choose one

When management provides orderly personnel planning and ensures that replacements are available to fill vacancies, it is called :

- ▶ Division of work
- ▶ Discipline
- ▶ Unity of command
- ▶ **Stability of tenure of personnel**

Question No: 10 (Marks: 1) - Please choose one

A field of expertise that is responsible for the production and delivery of an organization's products and services is called:

- ▶ Management information system
- ▶ **Operations management**
- ▶ Marketing management
- ▶ Principles of management

Question No: 11 (Marks: 1) - Please choose one

Which of the following must be present in order to initiate the decision-making process?

- ▶ Plenty of time
- ▶ Pressure to act
- ▶ Time management
- ▶ **Effective use of resources**

Question No: 12 (Marks: 1) - Please choose one

Choosing the best alternative is a relatively simple matter if we have done a good job in step five of rational decision making process while assigning:

- ▶ The weighted criteria correctly
- ▶ Right decision criteria
- ▶ **Analyzing alternatives**
- ▶ The highest weighted score

Question No: 13 (Marks: 1) - Please choose one

Only employees with top-secret clearance may enter the sealed room, is an example of which of the following?

- ▶ **Rule**
- ▶ Procedure
- ▶ Policy
- ▶ Plan

Question No: 14 (Marks: 1) - Please choose one

Aisha uses a decision-making style characterized by low tolerance for ambiguity and a rational way of thinking. What style does Aisha use?

- ▶ Analytic
- ▶ Conceptual
- ▶ **Directive**
- ▶ Behavioral

Question No: 15 (Marks: 1) - Please choose one

Which of the following styles of decision making is characterized by individuals who prefer complete information and consider several alternatives?

- ▶ Analytic
- ▶ Conceptual
- ▶ **Directive**
- ▶ Behavioral

Question No: 16 (Marks: 1) - Please choose one

Sara has a new job and is learning to perform the tasks assigned to her. Different situations demand different decision-making processes. As she learns the general guidelines of the job, Sara is given more decision-making authority. The guidelines establish parameters for decision making and are referred as:

- ▶ Rule
- ▶ Policy
- ▶ Broad guideline
- ▶ **Procedure**

Question No: 17 (Marks: 1) - Please choose one

A few years ago Black and Decker bought general electric's small appliance business. 150 products were converted from GE to Black and Decker label. A total of 140 steps were used for each product. It took 3 years. The total conversion of product line was:

- ▶ A Program
- ▶ **A project**
- ▶ A policy
- ▶ A rule

Question No: 18 (Marks: 1) - Please choose one

Plans that apply to the entire organization, establish the organization's overall objectives and seek to position the organization in terms of its environment are called:

- ▶ Tactical plans
- ▶ **Strategic plans**
- ▶ Single-use plans
- ▶ Operational plans

Question No: 19 (Marks: 1) - Please choose one

Operational plans are normally associated with which of the following organizational level?

- ▶ Global level
- ▶ Corporate level
- ▶ Business level
- ▶ **Functional level**

Question No: 20 (Marks: 1) - Please choose one

In Pakistan film industry, all studios possess strengths in lighting, sound recording, set and costume design. It is called:

- ▶ Distinctive competencies
- ▶ **Common strength**
- ▶ Competitive edge
- ▶ Competitive parity

Question No: 21 (Marks: 1) - Please choose one

In Pakistan China imported goods are available on very inexpensive price. These companies are practicing which of the following strategies?

- ▶ Focus Strategy
- ▶ Differentiation strategy
- ▶ **Cost leadership strategy**
- ▶ Emergent strategy

Question No: 22 (Marks: 1) - Please choose one

A strategy in which an organization operates in several business that are some how linked with one another is called:

- ▶ Single product strategy
- ▶ **Related diversification**
- ▶ Unrelated diversification
- ▶ Conglomerate diversification

Question No: 23 (Marks: 1) - Please choose one

Which of the following is NOT a strategy implementation step?

- ▶ Define strategic tasks
- ▶ Develop implementation agenda
- ▶ Develop mission and goals
- ▶ **Assess organizational capabilities**

Question No: 24 (Marks: 1) - Please choose one

"Cost-savings advantages from specialization" is a feature of which kind of structural organization?

- ▶ Divisional
- ▶ Team
- ▶ Learning

▶ **Functional**

Question No: 25 (Marks: 1) - Please choose one

Which of the following is not among the three perspectives that should be considered in preparing a business plan?

- ▶ Marketing perspective
- ▶ Perspective of the entrepreneur
- ▶ Investor perspective
- ▶ **Technical perspective**

Question No: 26 (Marks: 1) - Please choose one

An owner of an organization hires a sales representative to market his products. He gave power to sale representative to make certain decision. He has been given:

- ▶ Responsibility
- ▶ Span of control
- ▶ **Authority**
- ▶ Accountability

Question No: 27 (Marks: 1) - Please choose one

While addressing the organizational design needs of the small organization which of the following is an important consideration?

- ▶ More formalization
- ▶ More specialization
- ▶ **More centralization**
- ▶ Tall hierarchy of authority

Question No: 28 (Marks: 1) - Please choose one

Which of the following is strength of an organization with a simple structure?

- ▶ Clear accountability
- ▶ **Rely on one person**
- ▶ Maintain as the organization grows
- ▶ Employees are more empowered

Question No: 29 (Marks: 1) - Please choose one

Which of the following is a contemporary organizational structural design?

- ▶ Functional
- ▶ Divisional
- ▶ **Learning**
- ▶ Simple

Question No: 30 (Marks: 1) - Please choose one

Suppose that motivated employees are in great tension. In order to relieve this tension they should:

- ▶ Involve in entertaining activities
- ▶ **Achieve their personal Goal**
- ▶ Reduce putting efforts
- ▶ Exert more efforts

Question No: 31 (Marks: 1) - Please choose one

What should a manager do while motivating employees?

- ▶ Increase wages and salaries
- ▶ Incorporate promotional opportunities
- ▶ **Recognize individual differences**
- ▶ Use employee-recognition program

Question No: 32 (Marks: 1) - Please choose one

According to Maslow, which hierarchy is in proper order from lowest to highest?

- ▶ Safety, physiological, esteem, self-actualization, social.
- ▶ Esteem, physiological, self-actualization, safety, social
- ▶ Self-actualization, physiological, social, esteem, safety
- ▶ **Physiological, safety, social, esteem, self-actualization**

Question No: 33 (Marks: 1) - Please choose one

According to Herzberg's Motivation-Hygiene Theory, which of the following is NOT a hygiene factor?

- ▶ Working Conditions
- ▶ Salary
- ▶ Relationship with supervisor
- ▶ **Work itself**

Question No: 34 (Marks: 1) - Please choose one

Which of the following is a special group presenting unique motivational challenges?

- ▶ Top management
- ▶ **Professionals**
- ▶ Stakeholders
- ▶ Competitors

Question No: 35 (Marks: 1) - Please choose one

The need for such factors as status, recognition, attention, self-respect, autonomy, and achievement are examples of which of the following needs according to Maslow's hierarchy of needs?

- ▶ Physiological
- ▶ **Esteem**
- ▶ Social
- ▶ Self-actualization

Question No: 36 (Marks: 1) - Please choose one

Groups that are determined by the organization chart and composed of individuals who report directly to a given manager are called:

- ▶ **Formal groups**
- ▶ Informal groups
- ▶ Task groups
- ▶ Command groups

Question No: 37 (Marks: 1) - Please choose one

Which of the following is a variation of the electronic meeting that links media from different locations?

- ▶ E-commerce
- ▶ The Delphi technique

▶ E-Brainstorming

▶ **Video conference**

Question No: 38 (Marks: 1) - Please choose one

Asif's work team does its own hiring and scheduling and is even responsible for evaluating each other's performance. Asif is part of which of the following team?

▶ Problem-solving

▶ **Cross-functional**

▶ Self-managed

▶ Virtual

Question No: 39 (Marks: 1) - Please choose one

Tone of voice, posture and nonverbal facial expressions are examples of which of the following?

▶ **Body language**

▶ Feelings

▶ Formal communication

▶ Informal Communication

Question No: 40 (Marks: 1) - Please choose one

Which of the following refers to the fact that individuals see and hear depending upon their needs, motivation, experience, background and other personal characteristics?

▶ Filtering

▶ Feedback

▶ Emotions

▶ **Selective Perception**

Question No: 41 (Marks: 1) - Please choose one

The organizational communication network that uses internet technology and allows authorized users inside the organization to communicate with certain outsiders such as customers or vendors is called:

▶ Intranet

▶ **Extranet**

▶ Videoconference

▶ E-mail

Question No: 42 (Marks: 1) - Please choose one

Which of the following is the most popular type of control?

▶ **Feed forward**

▶ Concurrent

- ▶ Feedback
- ▶ Budgetary

Question No: 43 (Marks: 1) - Please choose one

The supplies or raw materials needed to create a product are called:

▶ **Outputs**

- ▶ Investments
- ▶ Processes
- ▶ Inputs

Question No: 44 (Marks: 1) - Please choose one

Adam Smith wrote which of the following books?

▶ **Wealth of Nations**

- ▶ Behavioral Science
- ▶ Fundamentals of Management
- ▶ Organizational Behavior

Question No: 45 (Marks: 1) - Please choose one

Employees are also known as:

- ▶ Internal customers
- ▶ **Stock holders**
- ▶ Investors
- ▶ Shareholders

Question No: 46 (Marks: 1) - Please choose one

As managers move toward the organizational hierarchy, problems are more likely to become which of the following?

- ▶ Well-structured
- ▶ **Ill-structured**
- ▶ Programmed
- ▶ Non-programmed

Question No: 47 (Marks: 1) - Please choose one

Salman enjoys coming to work because of working in a team that is developing a new product. The sense of belonging and friendship he shares with them demonstrates what Maslow categorized as:

- ▶ Physiological needs
- ▶ Safety needs
- ▶ **Social needs**
- ▶ Power needs

Question No: 48 (Marks: 1) - Please choose one

ABC Corp. has turned each of its divisions into profit centers and evaluates each division by the percentage of total corporate profits that it generates. It uses which of the following control?

- ▶ **Accounting**
- ▶ Bureaucratic
- ▶ Market
- ▶ Sector

Question No: 49 (Marks: 1) - Please choose one

Mr. Ali, Production manager of Alpha Company has been assigned a task of completing an assignment in a specific time. Mr. Ali is assessing his efforts that will lead to the required level of performance. Mr. Ali is concentrating on which issue according to expectancy theory?

- ▶ **Effort- performance relationship**
- ▶ Performance- outcome relationship
- ▶ Performance- valence relationship
- ▶ All of the given options

Question No: 50 (Marks: 1) - Please choose one

A significant edge over the competition in dealing with competitive forces is called:

- ▶ Core Competencies
- ▶ **Competitive advantage**
- ▶ Competitive force
- ▶ Swot analysis

Question No: 51 (Marks: 1) - Please choose one

A company is having cost advantages due to its efficient process, this cost advantage of company will be traded as which of the following?

- ▶ Threat
- ▶ Opportunity
- ▶ Weakness
- ▶ **Strength**

Question No: 52 (Marks: 1) - Please choose one

Which of the following level strategy is narrow in scope than business level strategy?

- ▶ Corporate level
- ▶ **Functional level**
- ▶ Regional level
- ▶ National level

Question No: 53 (Marks: 1) - Please choose one

All of the following are defensive strategies **EXCEPT:**

- ▶ Divesture
- ▶ Bankruptcy
- ▶ **Stability**
- ▶ Harvest

Question No: 54 (Marks: 1) - Please choose one

What is one of the weaknesses of functional departmentalization?

- ▶ A limited view of organizational goals
- ▶ **Can only be used with certain types of products**
- ▶ Can feel isolated from other organizational areas
- ▶ A duplication of functions

Question No: 55 (Marks: 1) - Please choose one

In which of the following type of departmentalization, employees are more concern about specialty than the needs of organization overall.

- ▶ Product
- ▶ Customer
- ▶ **Functional**
- ▶ Geographic

Question No: 56 (Marks: 1) - Please choose one

Mr. A was given the task of making 100 questions per day and 600 questions after a week, but he was able to make 500 questions at the weekend. Now he is answerable for his performance which is below expected target. Which of the following title mostly suits Mr. A?

- ▶ Responsible
- ▶ Authoritative
- ▶ **Accountable**
- ▶ Autonomous

Question No: 57 (Marks: 1) - Please choose one

“What motivates us” relates to which of the following type of motivation theory?

- ▶ Content Theories of motivation
- ▶ Process theories of motivation
- ▶ **Reinforcement theories of motivation**
- ▶ Hawthorne studies

Question No: 58 (Marks: 1) - Please choose one

When we talk about risk taker, which name comes first in your mind?

► **Leader**

- ▶ Manager
- ▶ Businessman
- ▶ Entrepreneur

Question No: 59 (Marks: 1) - Please choose one

Challenging job itself is -----.

- ▶ Extrinsic satisfaction
- ▶ Achievement
- ▶ High target

► **intrinsic satisfaction**

Question No: 60 (Marks: 1) - Please choose one

Some students are planning to form a group. They have decided to serve their community by creating the awareness among the people about the adverse effects of pollution. This group will be named as:

- ▶ Command group
- ▶ Functional group
- ▶ Task group

► **Interest group**

Question No: 61 (Marks: 1) - Please choose one

Amir has very good communication skills and inspires his followers through his personal appeal and confidence. Which leadership styles Amir adopts?

- ▶ Visionary
- ▶ **Charismatic**
- ▶ Transformational
- ▶ Laissez fair

Question No: 62 (Marks: 1) - Please choose one

Which of the following is an example of a group that is formed by the employees themselves to serve the members' social needs?

- ▶ Cross functional group
- ▶ Command group
- ▶ Formal group

► **Informal group**

Question No: 63 (Marks: 1) - Please choose one

Which of the following is included in communication functions?

- ▶ Motivating
- ▶ Sharing information
- ▶ Conveying emotional expressions

► **All of the given options**

Question No: 64 (Marks: 1) - Please choose one

Letters, memos and manuals are the examples of which of the following type of communication?

- ▶ Non-verbal
- ▶ Verbal
- ▶ **Written**
- ▶ Oral

Paper No 8

FINALTERM EXAMINATION

Spring 2010

MGT503- Principles of Management

BY ADNAN AWAN

Adnanawan6@gmail.com

Question No: 1 (Marks: 1) - Please choose one

Through technological and managerial process inputs of an organization are transformed into:

- ▶ **Output**
- ▶ Feedback
- ▶ Feed forward
- ▶ Transformation

Question No: 2 (Marks: 1) - Please choose one

Promoting team spirit within the organization is called:

- ▶ Stability of tenure of personnel
- ▶ Remuneration

► Centralization

► **Esprit de corps**

Question No: 3 (Marks: 1) - Please choose one

Constituencies in an organization's external environment that are affected by the organization's decisions and actions are called:

► **Stakeholders**

► Advisories

► Beneficiaries

► Environmentalists

Question No: 4 (Marks: 1) - Please choose one

The culture of an organization is largely determined by:

► **Top management**

► Employees

► Stockholders

► The company founders

Question No: 5 (Marks: 1) - Please choose one

The set of processes involved in creating or determining the strategies of the organization is called:

► **Strategy formulation**

► Strategy implementation

► Strategy evaluation

► Strategy imitation

Question No: 6 (Marks: 1) - Please choose one

When the strength provides superior and unique customer value and is difficult to imitate then the distinctive competence creates a sustainable:

► **Competitive advantage**

► Scope

- ▶ Resource deployment
- ▶ Effective strategy

Question No: 7 (Marks: 1) - Please choose one

Most managers believe that if an MBO (management by objective) program is to be successful, it must start at:

- ▶ Non-managerial level
- ▶ Top Level
- ▶ **Middle level**
- ▶ Lower level

Question No: 8 (Marks: 1) - Please choose one

Which of the following is the set of strategic alternatives that an organization chooses from, as it manages its operations simultaneously across several industries and several markets?

- ▶ Business-level strategy
- ▶ **Corporate-level strategy**
- ▶ Functional-level strategy
- ▶ Market-level strategy

Question No: 9 (Marks: 1) - Please choose one

ABC Company continues to offer the same quality beauty products it has for the last 10 years. The company is successful and has no current plans for change. Which of the following types of strategies is it employing?

- ▶ Growth
- ▶ **Stability**
- ▶ Retrenchment
- ▶ Combination

Question No: 10 (Marks: 1) - Please choose one

A strategy in which an organization seeks to distinguish itself from competitors through the quality of its products or services is called:

- ▶ Deliberate strategy

► **Differentiation strategy**

► Emergent strategy

► Focus Strategy

Question No: 11 (Marks: 1) - Please choose one

In which organizational structure employee have two managers?

► Team

► Learning

► Boundaryless

► **Matrix**

Question No: 12 (Marks: 1) - Please choose one

Suppose that motivated employees are in great tension. In order to relieve this tension they should:

► **Involve in entertaining Strategy**

► Stability of tenure of personnel

► Remuneration

► Centralization

Question No: 13 (Marks: 1) - Please choose one

In Equity theory, which of the following term is used for persons, systems or selves against which individuals compare themselves?

► Model

► **Referent**

► Leader

► Professional

Question No: 14 (Marks: 1) - Please choose one

Which of the following is one of the seven traits associated with leadership?

► Fluency of speech

► **Honesty**

- ▶ Appearance
- ▶ Social class

Question No: 15 (Marks: 1) - Please choose one

Women tend to use which of the following leadership style?

- ▶ Autocratic
- ▶ Laissez-faire
- ▶ Dictatorial
- ▶ **Democratic**

Question No: 16 (Marks: 1) - Please choose one

It is most appropriate to use oral communication when you have to communicate:

- ▶ A monthly report to the CEO on company performance
- ▶ **An impersonal message to a group of people**
- ▶ A lengthy welcoming message to a new salesperson
- ▶ A brief, time sensitive personal message

Question No: 17 (Marks: 1) - Please choose one

Direct supervision is the best-known form of which of the following control?

- ▶ Feed forward
- ▶ Concurrent
- ▶ Feedback
- ▶ **Management**

Question No: 18 (Marks: 1) - Please choose one

Which of the following is a process that involves managers from all parts of the organization in the formulation of strategic goals?

- ▶ Strategic organizing
- ▶ **Strategic management**
- ▶ Strategic positioning

- ▶ Strategic planning

Question No: 19 (Marks: 1) - Please choose one

Which of the following is the disadvantage of the Process departmentalization?

- ▶ Time consuming process
- ▶ **Cost of Production is high**
- ▶ Can be used only with certain type of products
- ▶ Duplication of functions across the departments

Question No: 20 (Marks: 1) - Please choose one

According to Adam Smith, the division of labor results in:

- ▶ Increased worker's motivation
- ▶ Decreased worker's specialization
- ▶ **Increased worker's productivity**
- ▶ Decreased worker's motivation

Question No: 21 (Marks: 1) - Please choose one

Which of the following terms is sometimes used to describe picking a course of action that is satisfactory under the circumstances?

- ▶ Escalation of commitment
- ▶ **Satisfying**
- ▶ Risk
- ▶ Bounded rationality

Question No: 22 (Marks: 1) - Please choose one

Which of the following order is correct about strategy formulation?

- ▶ Developing specific strategies, identifying the mission and strategic goals, conducting competitive analysis
- ▶ **Identifying the mission and strategic goals, conducting competitive analysis, developing specific strategies**
- ▶ Identifying the mission and strategic goals, developing specific strategies, conducting competitive analysis

► Developing specific strategies, conducting competitive analysis, identifying the mission and strategic goals

Question No: 23 (Marks: 1) - Please choose one

When we talk about an organization's core technology, we mean organization's:

- Less important technology
- **Most important technology**
- All technologies the organization is using
- Technology that is never used

Question No: 24 (Marks: 1) - Please choose one

"What motivates us" relates to which of the following type of motivation theory?

- Content Theories of motivation
- Process theories of motivation
- **Reinforcement theories of motivation**
- Hawthorne studies

Question No: 25 (Marks: 1) - Please choose one

Mr. A is working as machine operator and he has to take precautionary measures to keep himself safe from any injury. Which of the following needs is critical for Mr. A?

- Social
- Self actualization
- Esteem
- **Safety**

Question No: 26 (Marks: 1) - Please choose one

Saad, a new employee has observed that one of his colleagues is being warned by the manager on coming late. Saad decided to come on time to avoid such warning, manager has used which of the following behaviour modification method?

- Extinction
- Negative reinforcement
- Punishment

► **Positive reinforcement**

Question No: 27 (Marks: 1) - Please choose one

According to Goal setting theory which of the following is important while setting the goals?

► Goal commitment

► **All of the given options**

► Goal specificity

► Goal acceptance

Question No: 28 (Marks: 1) - Please choose one

Mr. A has been given the project of collecting data on students' motivation from different institutes. He is performing the tasks by putting all of his efforts because he will be given bonus pay if he fulfills his task on time. He is influenced by which of the following powers of his boss?

► **Reward Power**

► Coercive Power

► Referent Power

► Expert Power

Question No: 29 (Marks: 1) - Please choose one

Amir has very good communication skills and inspires his followers through his personal appeal and confidence. Which leadership styles Amir adopts?

► Visionary

► **Charismatic**

► Transformational

► Laissez fair

Question No: 30 (Marks: 1) - Please choose one

The behavior that arises among individuals who have previously worked in any other groups is called:

► Primacy

► **Carryover behavior**

► Group cohesiveness

- ▶ Group behavior

Question No: 31 (Marks: 1) - Please choose one

Controlling function is important at which level of organizations?

- ▶ Strategic
- ▶ Tactic
- ▶ Operation

▶ **All of the given options**

Question No: 32 (Marks: 1) - Please choose one

A performance measurement tool that covers four areas "financial, customer, internal processes, and people" and that can enhance company's performance is called:

- ▶ Benchmarking
- ▶ Cyber control system
- ▶ Non-cybernetic control system

▶ **Balanced scorecard**

Question No: 33 (Marks: 1) - Please choose one

In order to successfully attain the organizational targets & customer satisfaction, in which of the following area managers have to concentrate?

- ▶ Co-ordination with subordinates & peers
- ▶ Feedback from internal & external environment
- ▶ Integrated network of departments & divisions

▶ **All of the given options**

Question No: 34 (Marks: 1) - Please choose one

In order to deal against global competition which of the given approach is generally adopted by different countries?

- ▶ Concentrate on producing cheap products
- ▶ Target the elite class of the society only

▶ **Draft cooperation agreement with other countries**

- ▶ Enhance profit margins by setting high prices

Question No: 35 (Marks: 1) - Please choose one

Cognitive ability of an individual affects the decision making process in which of the following manner?

- ▶ Can not utilize the available resources
- ▶ **Can not interpret all available information**
- ▶ Can not provide required financial resources
- ▶ Can not control the external situations

Question No: 36 (Marks: 1) - Please choose one

While scanning the environment, which of the given element is considered at the most, by the organizations?

- ▶ Internal environment
- ▶ **Task external environment**
- ▶ Mega external environment
- ▶ Domestic environment

Question No: 37 (Marks: 1) - Please choose one

Which of the element of SWOT analysis is most useful in developing competitive advantage of a firm?

- ▶ **Strength**
- ▶ Weakness
- ▶ Opportunity
- ▶ Threat

Question No: 38 (Marks: 1) - Please choose one

All of the following are the characteristics of Max Weber's ideal bureaucracy EXCEPT:

- ▶ Formalization of rules and procedures
- ▶ Impersonality in application of rules and sanctions
- ▶ **Production enhancement through employee empowerment**

- ▶ Specialization of labor

Question No: 39 (Marks: 1) - Please choose one

Which of the following is called an input to an organizational system?

- ▶ **Employees**

- ▶ Products

- ▶ Services

- ▶ Customers

Question No: 40 (Marks: 1) - Please choose one

Decisions should be made after a thorough:

- ▶ Action

- ▶ **Planning**

- ▶ Investigation

- ▶ Proceeding

Question No: 41 (Marks: 1) - Please choose one

In order to make organization more flexible and responsive through employee participation, organization should tend towards which of the following?

- ▶ **Decentralization**

- ▶ Globalization

- ▶ Departmentalization

- ▶ Widen the span of control

Question No: 42 (Marks: 1) - Please choose one

With respect to five hierarchical needs of Marlow's theory, at which level transformational style is more beneficial?

- ▶ Physical needs

- ▶ Safety needs

- ▶ Social needs

- ▶ **Self-actualization needs**

Question No: 43 (Marks: 1) - Please choose one

A third member in a group of three individuals significantly:

- ▶ **Assists in taking decisions through majority agreement**
- ▶ Adds valuable suggestions and ideas than other two
- ▶ Maintains unbiased environment within group
- ▶ Helps in decreasing individualism and enhances cohesiveness

Question No: 44 (Marks: 1) - Please choose one

Organic control is best described as the controlling mechanism of:

- ▶ **Learning organization**
- ▶ Bureaucratic organization
- ▶ Mechanistic organization
- ▶ Centralized organization

Question No: 45 (Marks: 1) - Please choose one

Which of the following groups usually adjourns?

- ▶ **Task group**
- ▶ Command group
- ▶ Friendship group
- ▶ Functional group

Question No: 46 (Marks: 1) - Please choose one

Which of the given factor significantly differentiate 'Teams' from 'Groups'?

- ▶ Teams consisted of at least 5 members, whereas group with at least 2 members
- ▶ Teams have common goal which is missing among the groups
- ▶ Teams are more synergized than groups
- ▶ **Teams interact regularly while groups occasionally**

Question No: 47 (Marks: 1) - Please choose one

MA. Sohail, CEO of Leads Group has to increase the salaries of marketing staff because of high turnover, demand of more salary and lack of motivation in the marketing department. Which of the following force created the need for change in the salary of marketing department?

- ▶ Change in implemented technology
- ▶ Change in the regional economy
- ▶ **Change in employees' behavior**
- ▶ Change in marketing strategy

Question No: 48 (Marks: 1) - Please choose one

When public sector organizations serve in terms of varying needs of children, disabled & adults, it is said to be adopting which kind of departmentalization?

- ▶ Product
- ▶ Geographic
- ▶ Outcome
- ▶ **Customer**

PAPER NO 9

FINAL TERM EXAMINATION
Fall 2008
MGT503- Principles of Management
BY ADNAN AWAN
Adnanawan6@gmail.com

Time: 120 min
Marks: 85

Question No: 1 (Marks: 1) - Please choose one

Which of the following statement shows the starting point in strategic management process?

- ▶ **Analyzing current mission, strategies and objectives**
- ▶ Identifying opportunities and threats

- ▶ Conducting an environmental scan
- ▶ Identifying opportunities and weaknesses

Question No: 2 (Marks: 1) - Please choose one

The supplies or raw materials needed to create a product are called:

- ▶ Outputs
- ▶ Investments
- ▶ Processes
- ▶ **Inputs**

Question No: 3 (Marks: 1) - Please choose one

Which one of the following roles is most important for managers in small firms?

- ▶ Disseminator
- ▶ **Leader**
- ▶ Spokesperson
- ▶ Figurehead

Question No: 4 (Marks: 1) - Please choose one

Adam Smith wrote his book “The Wealth of Nations” in:

- ▶ 20th century
- ▶ **18th century**
- ▶ 15th century
- ▶ 17th century

Question No: 5 (Marks: 1) - Please choose one

Tone of voice, posture and nonverbal facial expressions are examples of which of the following?

- ▶ **Body language**
- ▶ Feelings
- ▶ Formal communication
- ▶ Informal Communication

Question No: 6 (Marks: 1) - Please choose one

All of the following are advantages of oral communication **EXCEPT:**

- ▶ It is easy to use
- ▶ **It is accurate (Oral)**
- ▶ It facilitates feedback
- ▶ It can be done with little preparation

Question No: 7 (Marks: 1) - Please choose one

Control that prevents anticipated problems is called:

- ▶ **Feed forward control**
- ▶ Concurrent control
- ▶ Feedback control
- ▶ Management control

Question No: 8 (Marks: 1) - Please choose one
Women tend to use which of the following leadership style?

- ▶ Autocratic
- ▶ Laissez-faire
- ▶ Dictatorial
- ▶ **Democratic**

Question No: 9 (Marks: 1) - Please choose one
Which of the following is the correct order of the interpersonal communication process?

- ▶ Sender > message > encoding > receiver > feedback > decoding > message
- ▶ Sender > message > encoding > receiver > decoding > message > feedback
- ▶ **Sender > encoding > message > receiver > decoding > message > feedback**
- ▶ Sender > message > encoding > receiver > feedback > decoding > message

Question No: 10 (Marks: 1) - Please choose one
According to Herzberg's Motivation-Hygiene Theory, which of the following is NOT a motivator?

- ▶ Recognition
- ▶ Responsibility
- ▶ Advancement
- ▶ **Status**

Question No: 11 (Marks: 1) - Please choose one
"Employees dislike work, they are lazy, dislike responsibilities and must be coerced to perform". Which of the following best describes this statement?

- ▶ Hygiene Factor Theory
- ▶ Resistance theory
- ▶ **Theory X**
- ▶ Two factors theory

Question No: 12 (Marks: 1) - Please choose one
According to Maslow's hierarchy of needs, which needs are predominantly satisfied internally?

- ▶ Safety
- ▶ **Esteem**
- ▶ Physiological
- ▶ social

Question No: 13 (Marks: 1) - Please choose one
What should a manager do while motivating employees?

- ▶ Increase wages and salaries
- ▶ Incorporate promotional opportunities
- ▶ **Recognize individual differences**

- ▶ Use employee-recognition program

Question No: 14 (Marks: 1) - Please choose one

Which of the following factor is more important for men than women?

- ▶ Opportunity to learn
- ▶ Flexibility
- ▶ **Autonomy**
- ▶ Convenient

Question No: 15 (Marks: 1) - Please choose one

All of the following factors are the most challenging for the managers in today's competitive world EXCEPT:

- ▶ Meet the market demand of products
- ▶ Motivating competitors to do work efficiently
- ▶ Facing the competition
- ▶ **Environmental uncertainty**

Question No: 16 (Marks: 1) - Please choose one

Which of the following organization has a limitless span of control?

- ▶ **Learning**
- ▶ Boundaryless
- ▶ Team
- ▶ Matrix

Question No: 17 (Marks: 1) - Please choose one

A structure that is characterized by narrow span of management and many hierarchical levels is:

- ▶ **Tall Structure**
- ▶ Flat Structure
- ▶ Matrix Structure
- ▶ Divisional Structure

Question No: 18 (Marks: 1) - Please choose one

A company would have a characteristic of a mechanistic organization if:

- ▶ It contained cross-functional teams
- ▶ **It had narrow spans of control**
- ▶ There is low formalization
- ▶ There is a free flow of information

Question No: 19 (Marks: 1) - Please choose one

Which of the following processes allows lower level employees to be involved in decision-making?

- ▶ Departmentalization
- ▶ Unity of command

- ▶ Span of control
- ▶ **Decentralization**

Question No: 20 (Marks: 1) - Please choose one

Identify the organizational design process which has a potential weakness that, managers will not be able to provide necessary leadership and support?

- ▶ Span of control
- ▶ **Decentralization**
- ▶ Departmentalization
- ▶ Chain of command

Question No: 21 (Marks: 1) - Please choose one

An organization that wants to be more responsive to changes in its environment, especially to customers, is likely to have which kind of organization structure?

- ▶ Decentralized
- ▶ Very formal and rule oriented
- ▶ Highly centralized

▶ **Mechanistic**

Question No: 22 (Marks: 1) - Please choose one

Employees with more training and experience are able to work with less direct supervision which is the characteristics of which of the following?

- ▶ Wide span of control and a flatter organization
- ▶ Violates Fayol's principle of chain of command
- ▶ A highly centralized organization
- ▶ **Very narrow span of control and more levels of managers**

Question No: 23 (Marks: 1) - Please choose one

Explicit job descriptions and clearly defined procedures are part of which of the following organizational design process?

▶ **Formalized**

- ▶ Process
- ▶ Centralized
- ▶ Functional

Question No: 24 (Marks: 1) - Please choose one

The accounting department in an organization is an example of which of the following?

- ▶ Product departmentalization

- ▶ Customer departmentalization
- ▶ **Functional departmentalization**
- ▶ Geographical departmentalization

Question No: 25 (Marks: 1) - Please choose one

In BCG matrix which of the following businesses have a large share of a market that are not expected to grow substantially?

- ▶ Dogs
- ▶ Question mark
- ▶ Star
- ▶ **Cash cow**

Question No: 26 (Marks: 1) - Please choose one

A strategy in which an organization seeks to distinguish itself from competitors through the quality of its products or services is called:

- ▶ Deliberate strategy
- ▶ Differentiation strategy
- ▶ Emergent strategy
- ▶ **Focus Strategy**

Question No: 27 (Marks: 1) - Please choose one

ABC Company is in the process of buying a smaller competitor and incorporating that company's resources into his business. This is an example of which of the following types of strategies?

- ▶ Merger
- ▶ Stability
- ▶ Retrenchment
- ▶ **Acquisition**

Question No: 28 (Marks: 1) - Please choose one

Which one of the following is a strength of MBO?

- ▶ Overemphasis of quantitative goals
- ▶ **Requires training of employees**
- ▶ Clarify priorities and expectation
- ▶ Tends to falter without strong commitment

Question No: 29 (Marks: 1) - Please choose one

Most managers believe that if an MBO (management by objective) program is to be successful, it must start at:

- ▶ Non-managerial level
- ▶ Top Level
- ▶ **Middle level**
- ▶ Lower level

Question No: 30 (Marks: 1) - Please choose one

Organizations that exploit their distinctive competencies often attain above normal economic performance and obtain which of the following?

- ▶ Distinctive competencies
- ▶ Common strength
- ▶ **Competitive edge**
- ▶ Competitive parity

Question No: 31 (Marks: 1) - Please choose one

Which of the following is a strategy that promotes a superior alignment between the organization and its environment and the achievement of strategic goals?

- ▶ Effective strategy
- ▶ Scope
- ▶ **Emergent strategy**
- ▶ Deliberate strategy

Question No: 32 (Marks: 1) - Please choose one

Sony Recently set a goal of reducing its reliance on the consumer electronics market. Manager believes that the volatile nature of market made reliance too risky. It comes under which of the following goals?

- ▶ **Strategic goal**
- ▶ Operational goal
- ▶ Tactical goal
- ▶ Personal goal

Question No: 33 (Marks: 1) - Please choose one

Mission Statement of Hoover Universal Inc is: “Hoover universal is a diversified multi-industry corporation with strong manufacturing capabilities, entrepreneurial policies and individual business unit autonomy”

This statement shows which of the following attributes of mission statement?

- ▶ Customers
- ▶ Location
- ▶ Self concept
- ▶ **Desired public image**

Question No: 34 (Marks: 1) - Please choose one

Competitor intelligence allows managers to do which of the following?

- ▶ React to competitor actions
- ▶ Cut cost below the competition
- ▶ **Increase market diversification**
- ▶ Predict competitor actions

Question No: 35 (Marks: 1) - Please choose one

Tactical and strategic plans differ in all of the following ways EXCEPT:

- ▶ Time frame
- ▶ Scope
- ▶ Known set of organizational objectives
- ▶ **Environmental effects (correct)**

Question No: 36 (Marks: 1) - Please choose one

A single use plan of less scope and complexity which may be a part of broader program or may be a self contained plan is called:

- ▶ A Program
- ▶ **A project**
- ▶ A policy
- ▶ A rule

Question No: 37 (Marks: 1) - Please choose one

When a manager evaluates alternatives, selects it and then goes on to other problems without considering the remaining rational alternatives, it is known as:

- ▶ Optimizing
- ▶ Satisficing
- ▶ **Bounded Rationality**
- ▶ Rational decision-making

Question No: 38 (Marks: 1) - Please choose one

Suppose you need a subject to take in order to graduate. There are five different courses you could take. You call one friend and on the basis of her excellent experiences in mathematics, you choose it. Which of the following would best describe this situation?

- ▶ Bounded rationality
- ▶ Unbounded rationality
- ▶ Escalation of commitment
- ▶ **Rational decision-making**

Question No: 39 (Marks: 1) - Please choose one

Only employees with top-secret clearance may enter the sealed room, is an example of which of the following?

- ▶ **Rule**
- ▶ Procedure
- ▶ Policy
- ▶ Plan

Question No: 40 (Marks: 1) - Please choose one

"Whenever possible, we promote from within" is an example of which of the following?

- ▶ Rule
- ▶ **Procedure**
- ▶ Policy
- ▶ Plan

Question No: 41 (Marks: 1) - Please choose one

Once a manager has identified a problem, the next step would be the identification of:

- ▶ **Discrepancies**
- ▶ Decision criteria
- ▶ Scenarios
- ▶ Factor weights

Question No: 42 (Marks: 1) - Please choose one

In decision making process, ideas should be evaluated on the basis of:

- ▶ **Acceptability**
- ▶ Durability
- ▶ Accountability
- ▶ Liability

Question No: 43 (Marks: 1) - Please choose one

All of the following are the assumptions of rational decision making EXCEPT:

- ▶ Alternatives are known
- ▶ Possible outcomes known
- ▶ Optimal decision is possible
- ▶ **Information is unknown**

Question No: 44 (Marks: 1) - Please choose one

The choice of alternative is influenced by the limited amount of information available to the decision maker and by the psychological orientation of the decision maker under the conditions of:

- ▶ Certainty
- ▶ Uncertainty
- ▶ Risk
- ▶ **Intuition**

Question No: 45 (Marks: 1) - Please choose one

All of the following are Dimensions of organizational culture EXCEPT:

- ▶ Innovation
- ▶ Aggressiveness

- ▶ Stability
- ▶ **Customer orientation**

Question No: 46 (Marks: 1) - Please choose one

Which of the following is called an input to a system?

- ▶ **Human**
- ▶ Products
- ▶ Services
- ▶ Employee behavior

Question No: 47 (Marks: 1) - Please choose one

Group of studies that was conducted at Western Electric's during 1920 and 1930 are called:

- ▶ Social studies
- ▶ Moral studies
- ▶ Ethical studies
- ▶ **Hawthorne studies**

Question No: 48 (Marks: 1) - Please choose one

Which of the following is NOT one of Fredrick Taylor's four principles of management?

- ▶ **Avoid cooperation with workers**
- ▶ Scientifically select and then train workers
- ▶ Divide work and responsibility
- ▶ Study tasks scientifically and develop best method to perform it

Question No: 49 (Marks: 1) - Please choose one

Which of the following theory describes that effective group performance depends on the proper match between the leader's style of interacting with employees and the degree to which the situation gives control and influence to the leader?

- ▶ Fiedler's contingency model
- ▶ **Path-goal theory**
- ▶ Hersey and Blanchard's model
- ▶ The Ohio State studies

Question No: 50 (Marks: 1) - Please choose one

Which of the following is the obligation or expectation to perform a duty?

- ▶ **Responsibility**
- ▶ Unity of command
- ▶ Chain of command
- ▶ Span of control

Fall 2009
MGT503- Principles of Management

BY ADNAN AWAN
Adnanawan@gmail.com

Time: 120 min

Marks: 92

Question No: 1 (Marks: 1) - Please choose one

All of the following are said to be the early advocates of Behavioral viewpoints EXCEPT :

- ▶ Robert Owen
- ▶ Hugo Munsterberg
- ▶ Mary parker Follett
- ▶ **Max Weber**

Question No: 2 (Marks: 1) - Please choose one

An individual's belief that he or she is capable of performing a task is called:

- ▶ Self esteem
- ▶ Self direction
- ▶ **Self efficacy**
- ▶ Self confidence

Question No: 3 (Marks: 1) - Please choose one

The traditional shape of an organization was:

- ▶ Circle
- ▶ **Pyramid**
- ▶ Square

- ▶ Diamond

Question No: 4 (Marks: 1) - Please choose one

The basic purpose of the construction of China Wall was:

- ▶ To make territory clear
- ▶ To defend the area
- ▶ To protect the Silk Road
- ▶ **All of the given options**

Question No: 5 (Marks: 1) - Please choose one

The distinct purpose of an organization is typically expressed in terms of:

- ▶ **Systematic structure**
- ▶ A goal or set of goals
- ▶ Management competencies
- ▶ Vision & Mission statement

Question No: 6 (Marks: 1) - Please choose one

Amir is representing his company at the local Chamber of Commerce Annual Business Recognition luncheon. He is performing which of the following managerial role?

- ▶ Negotiation
- ▶ Monitor
- ▶ Figurehead
- ▶ **Liaison**

Question No: 7 (Marks: 1) - Please choose one

Munib is the CEO of a hospital. He has spent his day planning the schedules of employees for next month. He spent his day in:

- ▶ **Planning**
- ▶ Organizing
- ▶ Leading
- ▶ Controlling

Question No: 8 (Marks: 1) - Please choose one

NASA shoots a rocket and then continuously observes and makes whatever course corrections are needed to keep it on track. This process is called:

- ▶ Planning
- ▶ **Organizing**
- ▶ Leading
- ▶ Controlling

Question No: 9 (Marks: 1) - Please choose one

“Specialization increases output by making employees more efficient” it is called:

- ▶ **Division of work**
- ▶ Authority
- ▶ Scalar chain
- ▶ Order

Question No: 10 (Marks: 1) - Please choose one

Daimler- Benz, an automobile manufacturer use realistic computer simulations to study collision damage to cars. These simulations give them precise information and avoid the costs of crashing so many test cars. Which of the following approach of management is helping them in reducing their cost?

- ▶ **Management science**

- ▶ Operations management
- ▶ Total quality management
- ▶ Contingency perspective

Question No: 11 (Marks: 1) - Please choose one

Mega environment, that includes the attitudes, values, norms, beliefs, behaviors and associated demographic trends that are characteristics of a given geographic area, is called:

- ▶ **The socio-cultural element**
- ▶ The international element
- ▶ The economic element
- ▶ The legal-political element

Question No: 12 (Marks: 1) - Please choose one

The belief that a firm's obligation goes beyond that required by law and economics, and includes a pursuit of long-term goals that are good for society is known as:

- ▶ Ethical responsibility
- ▶ **Social responsibility**
- ▶ Social obligation
- ▶ Social responsiveness

Question No: 13 (Marks: 1) - Please choose one

EU, NAFTA, FTAA and ASEAN are examples of:

▶ **Regional trade alliances**

- ▶ Foreign airlines
- ▶ Soccer teams in Europe
- ▶ New multinational corporations

Question No: 14 (Marks: 1) - Please choose one

When an organization encounters an issue that requires resolution, but not very immediate action, it is called:

- ▶ Crisis problem
- ▶ **Non- Crisis problem**
- ▶ Opportunity problem
- ▶ Financial Problem

Question No: 15 (Marks: 1) - Please choose one

Which of the following is NOT one of the three techniques for assessing the environment?

- ▶ **Project management**
- ▶ Benchmarking
- ▶ Forecasting
- ▶ Environmental scanning

Question No: 16 (Marks: 1) - Please choose one

Which of the following is the basic rule of brainstorming?

- ▶ **Criticism is not allowed**
- ▶ Ideas should be radical
- ▶ Improvement of ideas is encouraged

- ▶ Quantity of idea production is stressed

Question No: 17 (Marks: 1) - Please choose one

Few years ago Nike has problem with inconsistency of goals. The firm was producing high quality shoes but they were not stylish. As a result company lost substantial market share. In this situation which kind of goal was missing?

- ▶ Manufacturing goal
- ▶ Marketing goal
- ▶ Financial goal
- ▶ **Operational goal**

Question No: 18 (Marks: 1) - Please choose one

When objectives are not written down or rarely verbalized, and the planning is general and lacks continuity, which one of the following type of planning is used?

- ▶ Environmental planning
- ▶ Economic planning
- ▶ **Informal planning**
- ▶ Formal planning

Question No: 19 (Marks: 1) - Please choose one

Which of the following is the set of strategic alternatives that an organization chooses from, as it manages its operations simultaneously across several industries and several markets?

- ▶ Business-level strategy
- ▶ **Corporate-level strategy**
- ▶ Functional-level strategy
- ▶ Market-level strategy

Question No: 20 (Marks: 1) - Please choose one

ABC Company continues to offer the same quality beauty products it has for the last 10 years. The company is successful and has no current plans for change. Which of the following types of strategies is it employing?

- ▶ Growth
- ▶ **Stability**
- ▶ Retrenchment
- ▶ Combination

Question No: 21 (Marks: 1) - Please choose one

A firm that stops buying supplies from other companies and begins to provide its own supplies, has diversified through:

- ▶ Forward vertical integration
- ▶ **Backward vertical integration**
- ▶ Forward horizontal integration
- ▶ Backward horizontal integration

Question No: 22 (Marks: 1) - Please choose one

Which of the following is NOT a strategy implementation step?

- ▶ Define strategic tasks
- ▶ Develop implementation agenda
- ▶ **Develop mission and goals**
- ▶ Assess organizational capabilities

Question No: 23 (Marks: 1) - Please choose one

Which of the following is the set of elements that can be used to configure an organization?

- ▶ Organization structure

► **Organization design**

- Organization chart
- Organization rotation

Question No: 24 (Marks: 1) - Please choose one

What things the Organizations are doing to facilitate an effective wider span of control for their managers?

- Decentralizing management functions
- Increasing inventory levels
- Increasing budget allowances
- **Investing in employee training**

Question No: 25 (Marks: 1) - Please choose one

While addressing the organizational design needs of the small organization which of the following is an important consideration?

- More formalization
- More specialization
- **More centralization**
- Tall hierarchy of authority

Question No: 26 (Marks: 1) - Please choose one

Which type of organizational entity is more of an organizational mind-set than a structured design?

- Matrix
- **Boundary less**
- Functional
- Learning

Question No: 27 (Marks: 1) - Please choose one

Contemporary organizational design includes all of the following EXCEPT :

- ▶ Team based structure
- ▶ Matrix structure
- ▶ Project structure
- ▶ **Divisional structure**

Question No: 28 (Marks: 1) - Please choose one

Which of the following creates the “Dual Chain of Command?”

- ▶ Team based and Project Structure
- ▶ Functional and Simple structure
- ▶ **Project and matrix Structure**
- ▶ Simple and matrix Structure

Question No: 29 (Marks: 1) - Please choose one

Suppose that motivated employees are in great tension. In order to relieve this tension they should:

- ▶ Involve in entertaining activities
- ▶ Achieve their personal Goal
- ▶ **Reduce putting efforts**
- ▶ Exert more efforts

Question No: 30 (Marks: 1) - Please choose one

Canalized efforts are the result of which of the following?

- ▶ Right direction

- ▶ Centralization
- ▶ Proper guidance
- ▶ **Good hierarchy**

Question No: 31 (Marks: 1) - Please choose one

Researchers have emphasized upon which trait of leadership?

- ▶ Self-confidence
- ▶ Situations
- ▶ Behavior
- ▶ **Leader-member relations**

Question No: 32 (Marks: 1) - Please choose one

To motivate professionals what point should be in consideration?

- ▶ **Commitment to their field**
- ▶ Job security
- ▶ Offering high pay
- ▶ Promotions

Question No: 33 (Marks: 1) - Please choose one

Visionary leaders appear to have all of the following qualities related to effectiveness in their leadership roles EXCEPT:

- ▶ Ability to explain the vision
- ▶ Ability to express the vision
- ▶ Ability to extend the vision
- ▶ **Ability to enforce the vision**

Question No: 34 (Marks: 1) - Please choose one

Which of the following is a characteristic of a high-performing team that makes the group greater than the sum of its parts?

- ▶ A quality circle
- ▶ Group dynamics
- ▶ **Synergy**
- ▶ Cohesiveness

Question No: 35 (Marks: 1) - Please choose one

Students in the Management class were required to complete a group project worth 25% of their marks in the course. By the later part of the semester Group One had completed their project and dispersed, Group Two were putting the final touches on the presentation, Group Three were arguing over who would do which part of the project, and Group Four had met once and done nothing more. What stage of group development was Group Four in?

- ▶ Adjourning
- ▶ **Forming**
- ▶ Storming
- ▶ Norming

Question No: 36 (Marks: 1) - Please choose one

Which of the following is a major drawback of written communication?

- ▶ Lack of feedback
- ▶ Lack of precision
- ▶ **Less well thought out**
- ▶ Lack of verifiable permanent record

Question No: 37 (Marks: 1) - Please choose one

Which of the following is the most popular type of control?

► **Feed forward**

- Concurrent
- Feedback
- Budgetary

Question No: 38 (Marks: 1) - Please choose one

A large chemical company not only dispose off all toxic waste properly as outlined by law, but it also spends \$1 million dollars each year on research to determine better processes for all businesses to use in disposing of toxic wastes. This company is exhibiting which of the following?

- **Social responsibility**
- Social obligation
- Moral obligation
- Social responsiveness

Question No: 39 (Marks: 1) - Please choose one

Mr. Kamran is a manager at virtual university of Pakistan. His responsibilities include developing a organization-wide marketing strategy that plays on the synergies between institute's offered Programs in order to drive increased no. of students. Kamran is a:

- Middle manager
- First-line manager
- **Top manager**
- Non-managerial

Question No: 40 (Marks: 1) - Please choose one

Sulman thinks about his job while playing with his son on the weekend, and he continually volunteers to do extra assignments and project for his department. These suggest that Sulman has a strong need for :

- Esteem
- Security
- **Achievement**

- ▶ Power

Question No: 41 (Marks: 1) - Please choose one

According to University of Michigan studies, a leader who emphasizes the technical aspects of the job and is concerned with accomplishing the group's tasks is said to be which of the following?

- ▶ Employee-oriented
- ▶ Initiating
- ▶ Considerate
- ▶ **Production-oriented**

Question No: 42 (Marks: 1) - Please choose one

Which of the following factor is more important for men than women?

- ▶ Opportunity to learn
- ▶ Flexibility
- ▶ **Autonomy**
- ▶ Convenience

Question No: 43 (Marks: 1) - Please choose one

Which of the following group techniques allows group members to meet together, but also allows independent thinking?

- ▶ Groupthink
- ▶ Electronic meetings
- ▶ Brainstorming
- ▶ **Nominal group technique**

Question No: 44 (Marks: 1) - Please choose one

A mission statement of an organization provides a unique insight to its _____ regarding future growth.

- ▶ Employees
- ▶ Stockholders
- ▶ **External group**
- ▶ Customers

Question No: 45 (Marks: 1) - Please choose one

Which of the following order is correct about strategy formulation?

- ▶ Developing specific strategies, identifying the mission and strategic goals, conducting competitive analysis
- ▶ Identifying the mission and strategic goals, conducting competitive analysis, developing specific strategies
- ▶ **Identifying the mission and strategic goals, developing specific strategies, conducting competitive analysis**
- ▶ Developing specific strategies, conducting competitive analysis, identifying the mission and strategic goals

Question No: 46 (Marks: 1) - Please choose one

All are the strategic challenges for entrepreneurs EXCEPT:

- ▶ choosing an Industry in which to compete
- ▶ emphasizing distinctive competencies
- ▶ **writing a business plan**
- ▶ increasing the number of employees

Question No: 47 (Marks: 1) - Please choose one

A Company organizes its 20000 employees into five departments i.e. Finance, HR, Marketing , Collection & Tax Control. Company is using which of the following type of departmentalization?

- ▶ Geographic
- ▶ **Functional**
- ▶ Customers
- ▶ Product

Question No: 48 (Marks: 1) - Please choose one

Grouping of job activities is also known as:

- ▶ Job design
- ▶ Job specification
- ▶ **Departmentalization**
- ▶ Distributing authority

Question No: 49 (Marks: 1) - Please choose one

ABC manufacturers have broken jobs into small component and assigned each component to specialists, Company has implemented which of the following concept?

- ▶ Distributing authority
- ▶ Departmentalization
- ▶ **Job specification**
- ▶ Job design

Question No: 50 (Marks: 1) - Please choose one

All of the following are the core characteristics of a Job Characteristics Model EXCEPT:

- ▶ Autonomy
- ▶ Task significance
- ▶ Feedback
- ▶ **Opportunity**

Question No: 51 (Marks: 1) - Please choose one

Tall structure is more expensive because of:

- ▶ Few departments
- ▶ Lesser resources
- ▶ Fewer hierarchical levels
- ▶ **More hierarchical levels**

Question No: 52 (Marks: 1) - Please choose one

Sara has switched to a new job where she is handling a wide variety of communication tasks. She feels that she can utilize her full potential in new job as compare to previous job with more pay. In this situation which of the following need is more important for Sara?

- ▶ Physiological
- ▶ **Self actualization**
- ▶ Esteem
- ▶ Safety

Question No: 53 (Marks: 1) - Please choose one

Seema is preparing for exams; she is studying for 12 hours daily because it gives her a sense of satisfaction that she is working hard. What urges Seema to work hard?

- ▶ Extrinsic motivation
- ▶ Self confidence
- ▶ Self efficacy
- ▶ **intrinsic motivation**

Question No: 54 (Marks: 1) - Please choose one

Mr. Ali and Ms. Fatima work for ABC Company. Both are equally working hard and putting same amount of efforts, but Mr. Ali is paid more than Ms. Fatima.

What kind of condition is being perceived by Fatima?

▶ Equity

▶ **Inequity**

▶ Power need

▶ Growth need

Question No: 55 (Marks: 1) - Please choose one

ERG stands for:

▶ Esteem, Relatedness and Growth

▶ Existence, Recognition and Growth

▶ **Existence, Relatedness and Growth**

▶ Esteem, Recognition and Growth

Question No: 56 (Marks: 1) - Please choose one

If an employee A compares his equity ratio with the other employee B, in which case he will feel inequity due to being over rewarded?

▶ $O/I_a < O/I_b$

▶ **$O/I_a > O/I_b$**

▶ $O/I_a = O/I_b$

▶ $O/I_b > O/I_a$

Question No: 57 (Marks: 1) - Please choose one

According to Ohio State Studies, a leader will be more effective who is exhibiting;

▶ Low in initiating structure and low consideration

▶ **High in initiating structure and high consideration**

▶ Low in initiating structure and high consideration

▶ High in initiating structure and low consideration

Question No: 58 (Marks: 1) - Please choose one

“Delegating” leadership style of Hersey and Ken Blanchard Contingency Theory relates to which of the following leadership style of Path-goal theory?

- ▶ Achievement-oriented
- ▶ **Participative**
- ▶ Supportive
- ▶ Directive

Question No: 59 (Marks: 1) - Please choose one

To analyze the group performance, group should be viewed as:

- ▶ **System**
- ▶ Feedback
- ▶ Output
- ▶ Input

Question No: 60 (Marks: 1) - Please choose one

All of the following are the dimensions that make the concept of trust. EXCEPT:

- ▶ Competence
- ▶ Consistency
- ▶ Communication
- ▶ **Integrity**

Question No: 61 (Marks: 1) - Please choose one

The behavior that arises among individuals who have previously worked in any other groups is called:

- ▶ Group behavior
- ▶ **Carryover behavior** not sure
- ▶ Group cohesiveness

- ▶ Primacy

Question No: 62 (Marks: 1) - Please choose one

The process in which one party perceives that its interests are being opposed or adversely affected by some other parties is called:

- ▶ Crises
- ▶ **Conflict**
- ▶ Agreement
- ▶ Stress

Question No: 63 (Marks: 1) - Please choose one

Feed-forward, Feedback and Concurrent control are the types of control methods based on:

- ▶ Decision making
- ▶ Market information
- ▶ **Timing**
- ▶ Financial resource

Question No: 64 (Marks: 1) - Please choose one

----- is a tool for measuring corporate and divisional performance by calculating after-tax operating profit minus the total annual cost of capital.

- ▶ Market value added
- ▶ Economic value added
- ▶ **Balanced Scorecard**
- ▶ Benchmarking

PAPER NO 11

FINAL TERM EXAMINATION

MGT503- Principles of Management
Fall 2008
BY ADNAN AWAN
Adnanawan6@gmail.com

Time: 120 min
Marks: 85

Question No: 1 (Marks: 1) - Please choose one

Value chain partners are part of which of the following component of Value Chain Management.

- ▶ Technical investment
- ▶ Leadership
- ▶ **Coordination and Collaboration**
- ▶ Planning

Question No: 2 (Marks: 1) - Please choose one

The process of managing the entire sequence of integrated activities and information about product flow is called:

- ▶ Total Quality Management
- ▶ **Supply Chain Management**
- ▶ Kaizen
- ▶ Value Chain Management

Question No: 3 (Marks: 1) - Please choose one

Control that prevents anticipated problems is called:

- ▶ **Feed forward control**
- ▶ Concurrent control
- ▶ Feedback control
- ▶ Management control

Question No: 4 (Marks: 1) - Please choose one

The organizational communication network that uses internet technology and allows authorized users inside the organization to communicate with certain outsiders such as customers or vendors is called:

- ▶ **Intranet**
- ▶ Extranet
- ▶ Videoconference
- ▶ E-mail

Question No: 5 (Marks: 1) - Please choose one

A leader who involves employees in decision making, delegates authority and allows employees to have direct input into the final decision is using which of the following leadership style?

- ▶ **Democratic-participative**
- ▶ Laissez-faire
- ▶ Autocratic
- ▶ Democratic-consultative

Question No: 6 (Marks: 1) - Please choose one

According to Fiedler, in moderately favorable situations which of the following leader performs better?

- ▶ Structure oriented
- ▶ Position oriented
- ▶ Production oriented
- ▶ **Relationship oriented**

Question No: 7 (Marks: 1) - Please choose one

The recent survey depicts that in the opinion of employees the most powerful workplace motivator is:

- ▶ Flextime
- ▶ Recognition
- ▶ **Goals**
- ▶ Salary

Question No: 8 (Marks: 1) - Please choose one

Which theory includes the component that employee motivation is influenced by relative as well as absolute rewards?

- ▶ Expectancy
- ▶ Three-needs
- ▶ Goal-setting
- ▶ **Equity**

Question No: 9 (Marks: 1) - Please choose one

According to Herzberg's Motivation-Hygiene Theory, which of the following is NOT a hygiene factor?

- ▶ Working Conditions
- ▶ Salary
- ▶ Relationship with supervisor
- ▶ **Work itself**

Question No: 10 (Marks: 1) - Please choose one

According to Maslow's hierarchy of needs, which needs are predominantly satisfied internally?

- ▶ Safety
- ▶ **Esteem**
- ▶ Physiological
- ▶ social

Question No: 11 (Marks: 1) - Please choose one

Maslow's hierarchy of needs theory proposes that every person has a hierarchy of:

- ▶ Four needs
- ▶ **Five needs**
- ▶ Three needs
- ▶ Six needs

Question No: 12 (Marks: 1) - Please choose one

What should a manager do while motivating employees?

- ▶ Increase wages and salaries
- ▶ Incorporate promotional opportunities
- ▶ Recognize individual differences
- ▶ **Use employee-recognition program**

Question No: 13 (Marks: 1) - Please choose one

An unsatisfied need creates which type of emotion?

- ▶ Anxiety
- ▶ **Tension**
- ▶ Drive
- ▶ Pressure

Question No: 14 (Marks: 1) - Please choose one

Which of the following is the best description of effort?

- ▶ The level of willpower towards work
- ▶ **The measure of intensity or drive**
- ▶ One's ability to work
- ▶ The work required to complete a task

Question No: 15 (Marks: 1) - Please choose one

Contemporary organizational design includes all of the following EXCEPT :

- ▶ Team based structure
- ▶ **Matrix structure**
- ▶ Project structure
- ▶ Divisional structure

Question No: 16 (Marks: 1) - Please choose one

Which of the following is the crucial element of team structure?

- ▶ Employee empowerment
- ▶ **Faster decision-making**
- ▶ Inexpensive to maintain
- ▶ Clear chain of command

Question No: 17 (Marks: 1) - Please choose one

Which of the following factors influence an organization towards centralization?

- ▶ Lower-level managers want a part in decision making
- ▶ Environment is complex and uncertain
- ▶ **Decisions are significant**
- ▶ Company is geographically dispersed

Question No: 18 (Marks: 1) - Please choose one

Identify the organizational design process which has a potential weakness that, managers will not be able to provide necessary leadership and support?

- ▶ Span of control
- ▶ **Decentralization**
- ▶ Departmentalization
- ▶ Chain of command

Question No: 19 (Marks: 1) - Please choose one

An organization that groups activities according to women's footwear, men's footwear, apparel and accessories would use which of the following departmentalization?

- ▶ **Product**
- ▶ Customer
- ▶ Geographic
- ▶ Functional

Question No: 20 (Marks: 1) - Please choose one

What kind of departmentalization would be in place in a government organization where different public service responsibilities are divided into activities for employers, children, and the disabled?

- ▶ Product
- ▶ Geographic
- ▶ Outcome
- ▶ **Customer**

Question No: 21 (Marks: 1) - Please choose one

Which of the following is not among the three perspectives that should be considered in preparing a business plan?

- ▶ Marketing perspective
- ▶ Perspective of the entrepreneur
- ▶ **Investor perspective**
- ▶ Technical perspective

Question No: 22 (Marks: 1) - Please choose one

An organization's structure should facilitate which of the following?

- ▶ Chain of command
- ▶ Necessity of departmentalization
- ▶ **Achievement of goals**
- ▶ Span of control

Question No: 23 (Marks: 1) - Please choose one

In which organizational structure employee have two managers?

- ▶ Team
- ▶ Learning
- ▶ Boundary less
- ▶ **Matrix**

Question No: 24 (Marks: 1) - Please choose one

The fact that managers can become experts within their industry is a function of which kind of departmentalization?

- ▶ Process
- ▶ Geographical
- ▶ **Functional**
- ▶ Product

Question No: 25 (Marks: 1) - Please choose one

Which of the following is a process by which individuals pursue opportunities, fulfill needs and wants through innovation, without regard to the resources they currently control?

- ▶ Small business ownership
- ▶ Innovative Management
- ▶ **Entrepreneurship**
- ▶ Privatization

Question No: 26 (Marks: 1) - Please choose one

First step of strategic management process, the mission, answers which of the following question?

- ▶ What business should we be in?
- ▶ **What is our reason for being in business?**
- ▶ Who are our customers?
- ▶ Who are our creditors?

Question No: 27 (Marks: 1) - Please choose one

When the hierarchy of organizational goals is clearly defined, it forms an integrated network of goals which is called:

- ▶ Hierarchical-link chain
- ▶ **Means-ends chain**
- ▶ Weakest-link chain
- ▶ Level-level chain

Question No: 28 (Marks: 1) - Please choose one

Safeguard is an anti-bacterial soap that provides superior longer lasting germ protection. Through this soap Procter & Gamble is practicing which of the following strategies?

- ▶ Stability Strategy
- ▶ **Differentiation strategy**

- ▶ Emergent strategy
- ▶ Cost leadership strategy

Question No: 29 (Marks: 1) - Please choose one
At the first step of goal setting a manager should:

- ▶ Evaluate available resources
- ▶ **Review organization's mission**
- ▶ Write down goals
- ▶ Estimate expected benefits

Question No: 30 (Marks: 1) - Please choose one
Which of the following is a primary benefit of MBO?

- ▶ Avoid competition
- ▶ Resistance against new entrance
- ▶ **Improve employee motivation**
- ▶ Increase resources

Question No: 31 (Marks: 1) - Please choose one
Which of the following is an area in the environment that if exploited may generate high performance for organization?

- ▶ Strength
- ▶ Weakness
- ▶ **Opportunity**
- ▶ Threat

Question No: 32 (Marks: 1) - Please choose one
A skill and capability that does not enable an organization to choose and implement strategies that support its mission is called its:

- ▶ Strength
- ▶ **Weakness**
- ▶ Opportunity
- ▶ Threat

Question No: 33 (Marks: 1) - Please choose one
Which of the following strategy specifies the range of markets in which an organization will compete?

- ▶ **Scope**
- ▶ Distinctive Competency
- ▶ Resource deployment
- ▶ Effective strategy

Question No: 34 (Marks: 1) - Please choose one
Few years ago Nike has problem with inconsistency of goals. The firm was producing high quality shoes but they were not stylish. As a result company lost substantial market share. In this situation which kind of goal was missing?

- ▶ **Manufacturing goal**
- ▶ Marketing goal
- ▶ Financial goal
- ▶ Operational goal

Question No: 35 (Marks: 1) - Please choose one
Sony has a goal to acquire a firm in the entertainment industry. The goal was realized when Sony bought Columbia picture. It comes under which of the following?

- ▶ **Strategic goal**
- ▶ Operational goal
- ▶ Tactical goal
- ▶ Personal goal

Question No: 36 (Marks: 1) - Please choose one

Which of the following group technique allows group members to meet together, but also allows independent thinking?

- ▶ Groupthink
- ▶ Electronic meetings
- ▶ Brainstorming
- ▶ **Nominal group technique**

Question No: 37 (Marks: 1) - Please choose one

Many decisions fail after the final choice because of the occurrence of which of the following?

- ▶ Decision criteria weights were incorrect
- ▶ People affected failed to accept the solution
- ▶ Satisficing occurred
- ▶ **Choice was wrong**

Question No: 38 (Marks: 1) - Please choose one

Which of the following term sometimes used to describe picking a course of action that is satisfactory under the circumstances?

- ▶ Escalation of commitment
- ▶ **Satisficing**
- ▶ Risk
- ▶ Bounded rationality

Question No: 39 (Marks: 1) - Please choose one

Jay tends to always look at the broad picture and likes to look at many alternatives. He focuses on the long run and looks for creative solutions. He prefers which of the following styles of decision making?

- ▶ Analytic
- ▶ **Conceptual**
- ▶ Directive
- ▶ Behavioral

Question No: 40 (Marks: 1) - Please choose one

The decision-making model consists of four styles: directive, analytic, behavioral and

-
- ▶ **Conceptual**
 - ▶ Intuitive
 - ▶ Group interaction
 - ▶ Laggard

Question No: 41 (Marks: 1) - Please choose one

"Whenever possible, we promote from within" is an example of which of the following?

- ▶ Rule
- ▶ Procedure
- ▶ **Policy**
- ▶ Plan

Question No: 42 (Marks: 1) - Please choose one

A large chemical company not only disposes of all toxic waste properly as outlined by law, but it also spends \$1 million dollars each year on research to determine better processes for

all businesses to use in disposing of toxic wastes. This company is exhibiting which of the following?

- ▶ **Social responsibility**
- ▶ Social obligation
- ▶ Moral obligation
- ▶ Social responsiveness

Question No: 43 (Marks: 1) - Please choose one

Which of the following approaches recognize differences among organizations and categorizes variables that affect an organization's performance?

- ▶ **Process approach**
- ▶ Contingency approach
- ▶ Function approach
- ▶ System approach

Question No: 44 (Marks: 1) - Please choose one

Giving prestigious job titles would be one way to satisfy people's need for :

- ▶ **Esteem**
- ▶ Belongingness
- ▶ Self-actualization
- ▶ Safety

Question No: 45 (Marks: 1) - Please choose one

"Specialization increases output by making employees more efficient" it is called:

- ▶ **Division of work**
- ▶ Authority
- ▶ Scalar chain
- ▶ Order

Question No: 46 (Marks: 1) - Please choose one

Henry Fayol described principles of management in the form of:

- ▶ 11 points
- ▶ 12 points
- ▶ **14 points**
- ▶ 15 points

Question No: 47 (Marks: 1) - Please choose one

Which of the following functions or activities involve recruiting and placing qualified personnel needed for the organization so that it may achieve its objectives and goals?

- ▶ Planning
- ▶ Organizing
- ▶ **Staffing**
- ▶ Leading

Question No: 48 (Marks: 1) - Please choose one

An organized set of behavior that is associated with particular office or position is called:

- ▶ **Role**
- ▶ Obligation
- ▶ Responsibility
- ▶ Responsibility

Question No: 49 (Marks: 1) - Please choose one

The person who maintains network of connection outside the organization to obtain information is called:

- ▶ Entrepreneur
- ▶ Disseminator
- ▶ **Spokesperson**
- ▶ Liaison

Question No: 50 (Marks: 1) - Please choose one

Ali has a job that pays him well, he desires to make a contribution to the organization, and he has an active social life. His desire is to become all that he is capable of becoming. Ali is at which of the following need defined by maslow?

- ▶ **Self-actualization**
- ▶ Safety
- ▶ Social
- ▶ Esteem

PAPER NO 12

FINAL TERM EXAMINATION

MGT503- Principles of Management

By ADNAN AWAN

Adnanawan6@gmail.com

Question No: 1 (Marks: 1) - Please choose one

All of the following are requirements for successful value chain management EXCEPT :

- ▶ Coordination and Collaboration
- ▶ Continuous Process Improvement
- ▶ **Organizational Processes**
- ▶ Technology Investment

Question No: 2 (Marks: 1) - Please choose one

An individual's belief that he or she is capable of performing a task is called:

- ▶ Self esteem
- ▶ Self direction
- ▶ **Self efficacy**
- ▶ Self confidence

Question No: 3 (Marks: 1) - Please choose one

The most important point of Prof. Edward Deming's Philosophy was:

- ▶ Achieving the Goals
- ▶ **Consistency of Purpose**
- ▶ Wastage of the resources should be minimized
- ▶ Collaboration among the members

Question No: 4 (Marks: 1) - Please choose one

LG and Sony electronics agreed to cooperate on developing new technologies. Representatives from each firm meet regularly to coordinate this new venture. Which of the following roles these managers are playing?

▶ **Liaison**

- ▶ Leader
- ▶ Disseminator
- ▶ Spokesperson

Question No: 5 (Marks: 1) - Please choose one

Munib is the CEO of a hospital. He has spent his day planning the schedules of employees for next month. He spent his day in:

- ▶ Planning
- ▶ **Organizing**
- ▶ Leading
- ▶ Controlling

Question No: 6 (Marks: 1) - Please choose one

Which type of managerial skill refers to the ability to analyze and diagnose complex situations?

- ▶ Problem-solving
- ▶ Interpersonal
- ▶ **Conceptual**
- ▶ Technical

Question No: 7 (Marks: 1) - Please choose one

Munsterberg is considered to be the father of _____ psychology.

- ▶ Clinical
- ▶ **Industrial**
- ▶ Behavior
- ▶ Theoretical

Question No: 8 (Marks: 1) - Please choose one

Two major characteristics of open system are :

▶ **Negative entropy and synergy**

- ▶ Positive entropy and synergy
- ▶ Entropy and synergy
- ▶ Anthropology and synergy

Question No: 9 (Marks: 1) - Please choose one

In Europe today banks and insurance companies are linking up in an effort to market a wide array of financial products that each would have trouble selling on its own. They are practicing which of the following concept?

- ▶ Transformation
- ▶ Entropy
- ▶ Negative Entropy

▶ **Synergy**

Question No: 10 (Marks: 1) - Please choose one

Few years ago, employees of a international company took wages cuts to help the firm offset large losses. Now firm is again earning profits and employees believe that their wages should be restored but company is not willing to restore their wages. Organization is showing which of the following behavior?

▶ **Unethical**

- ▶ Socially responsible
- ▶ Ethical
- ▶ Socioeconomic

Question No: 11 (Marks: 1) - Please choose one

Under which of the following approach, managers impose and enforce rules fairly and impartially and do so by following all legal rules and regulations. A manager using this theory would decide to provide the same rate of pay to individuals who are similar in their level of skills, performance and gender?

- ▶ Integrative social contracts
- ▶ Right view of ethics
- ▶ Utilitarian view of ethics

▶ **Theory of justice of ethics**

Question No: 12 (Marks: 1) - Please choose one

Only employees with top-secret clearance may enter the sealed room, is an example of which of the following?

- ▶ **Rule**
- ▶ Procedure
- ▶ Policy
- ▶ Plan

Question No: 13 (Marks: 1) - Please choose one

Jay tends to always look at the broad picture and likes to look at many alternatives. He focuses on the long run and looks for creative solutions. He prefers which of the following styles of decision making?

- ▶ Analytic
- ▶ **Conceptual**
- ▶ Directive
- ▶ Behavioral

Question No: 14 (Marks: 1) - Please choose one

The strap of Ali's bag tore off as he threw it over his shoulder. On the way to school, he stopped at the first store that carries bags, walked in and purchased one from the front rack. Ali has just made which of the following type of decision?

- ▶ Maximizing
- ▶ **Satisfying**
- ▶ Risky
- ▶ Optimal

Question No: 15 (Marks: 1) - Please choose one

All of the following include in the definition of planning EXCEPT:

- ▶ Defining organization's objectives or goals
- ▶ Establishing an overall strategy for achieving objectives or goals
- ▶ **Allocating resources and developing a chain of communication**
- ▶ Developing a hierarchy of plans to integrate and coordinate activities

Question No: 16 (Marks: 1) - Please choose one

Mission Statement of Johnson & Johnson is:

“We believe our first responsibility is to the doctors, nurses, and patients, to mothers and all others who use our products”

This statement shows which of the following attributes of mission statement?

- ▶ Location
- ▶ Customers
- ▶ Self concept
- ▶ **Desired public image**

Question No: 17 (Marks: 1) - Please choose one

When objectives are not written down or rarely verbalized, and the planning is general and lacks continuity, which one of the following type of planning is used?

- ▶ Environmental planning
- ▶ Economic planning
- ▶ **Informal planning**
- ▶ Formal planning

Question No: 18 (Marks: 1) - Please choose one

In those organizations where formal planning did not lead to higher performance, the culprit may be which of the following?

- ▶ Employees
- ▶ Marketing plan
- ▶ Management
- ▶ **Environment**

Question No: 19 (Marks: 1) - Please choose one

Which of the following is the set of strengths, characteristics and qualities including skills, technologies or resources that distinguish a firm from its competitors?

- ▶ Scope
- ▶ **Distinctive Competency**
- ▶ Resource deployment
- ▶ Effective strategy

Question No: 20 (Marks: 1) - Please choose one

A skill and capability that does not enable an organization to choose and implement strategies that support its mission is called its:

- ▶ Strength
- ▶ **Weakness**
- ▶ Opportunity
- ▶ Threat

Question No: 21 (Marks: 1) - Please choose one

ABC Company is in the process of buying a smaller competitor and incorporating that company's resources into his business. This is an example of which of the following types of strategies?

- ▶ Merger
- ▶ Stability
- ▶ Retrenchment
- ▶ **Acquisition**

Question No: 22 (Marks: 1) - Please choose one

Few years before Polka was a leading brand of ice-cream in Pakistan. Than it was purchased by Walls and all its products were replaced with “Walls” name. Here "Walls" adopted which of the following strategy?

- ▶ Merger
- ▶ Vertical integration
- ▶ **Acquisition**
- ▶ Horizontal integration

Question No: 23 (Marks: 1) - Please choose one

In BCG matrix which of the following businesses have only a small share of a quickly growing market?

- ▶ Star
- ▶ Dogs
- ▶ Cash cow
- ▶ **Question mark**

Question No: 24 (Marks: 1) - Please choose one

Which of the following is NOT a strategy implementation step?

- ▶ Define strategic tasks
- ▶ Develop implementation agenda
- ▶ **Develop mission and goals**
- ▶ Assess organizational capabilities

Question No: 25 (Marks: 1) - Please choose one

The degree to which tasks in an organization are divided into separate jobs is called:

- ▶ Centralization
- ▶ Span of control
- ▶ Chain of command
- ▶ **Work specialization**

Question No: 26 (Marks: 1) - Please choose one

While making a business plan an entrepreneur cannot conduct market research until he:

- ▶ Develops legal plan
- ▶ Develops insurance plan
- ▶ Writes cover letter
- ▶ **Chooses product or service**

Question No: 27 (Marks: 1) - Please choose one

Which of the following is the set of elements that can be used to configure an organization?

- ▶ **Organization structure**
- ▶ Organization design
- ▶ Organization chart
- ▶ Organization rotation

Question No: 28 (Marks: 1) - Please choose one

An owner of an organization hires a sales representative to market his products. He gave power to sale representative to make certain decision. He has been given:

- ▶ Responsibility

- ▶ Span of control
- ▶ **Authority**
- ▶ Accountability

Question No: 29 (Marks: 1) - Please choose one

What kind of departmentalization would be in place in a government organization where different public service responsibilities are divided into activities for employers, children, and the disabled?

- ▶ Product
- ▶ Geographic
- ▶ Outcome
- ▶ **Customer**

Question No: 30 (Marks: 1) - Please choose one

Identify the organizational design process which has a potential weakness that, managers will not be able to provide necessary leadership and support?

- ▶ **Decentralization**
- ▶ Departmentalization
- ▶ Chain of command
- ▶ Span of control

Question No: 31 (Marks: 1) - Please choose one

Today the concepts of Unity of Command, Authority and Responsibility are less important because of which of the following?

- ▶ Organizational structure
- ▶ Centralization and decentralization
- ▶ **Employee's Empowerment and Information Technology**
- ▶ Departmentalization

Question No: 32 (Marks: 1) - Please choose one

A structure that is characterized by narrow span of management and many hierarchical levels is:

- ▶ **Tall Structure**
- ▶ Flat Structure

- ▶ Matrix Structure
- ▶ Divisional Structure

Question No: 33 (Marks: 1) - Please choose one

Which of the following is a weakness of a simple structure?

- ▶ **It relies on one person**
- ▶ It is not flexible
- ▶ It is expensive
- ▶ There is unclear accountability

Question No: 34 (Marks: 1) - Please choose one

Which of the following is a contemporary organizational structural design?

- ▶ Functional
- ▶ Divisional
- ▶ **Learning**
- ▶ Simple

Question No: 35 (Marks: 1) - Please choose one

Which type of organizational entity is more of an organizational mind-set than a structured design?

- ▶ Matrix
- ▶ **Boundary less**
- ▶ Functional
- ▶ Learning

Question No: 36 (Marks: 1) - Please choose one

Which of the following creates the “Dual Chain of Command?”

- ▶ Team based and Project Structure
- ▶ Functional and Simple structure
- ▶ **Project and matrix Structure**
- ▶ Simple and matrix Structure

Question No: 37 (Marks: 1) - Please choose one

An unsatisfied need creates which type of emotion?

- ▶ Anxiety
- ▶ **Tension**
- ▶ Drive
- ▶ Pressure

Question No: 38 (Marks: 1) - Please choose one

People who want to exert more power often engage in which of the following activities?

- ▶ Visionary leadership
- ▶ Reward power
- ▶ **Office politics**
- ▶ Charismatic training

Question No: 39 (Marks: 1) - Please choose one

At Sony (an electronics manufacturer) a special team was selected to work out a marketing plan for its newest product, a voice-activated DVD player, that uses voice recognition commands instead of control buttons. During their most recent meeting, there was a conflict between a design manager and a marketing representative about whose responsibility it was to draft the marketing plan. Several members of the team got into a shouting match with one another. This team seems to be at which of the following stages of group development?

- ▶ Conflict
- ▶ Forming
- ▶ Norming
- ▶ **Storming**

Question No: 40 (Marks: 1) - Please choose one

A specific group of accountants at an accounting firm that meets regularly to develop better auditing procedures for the firm can be referred as which of the following?

- ▶ Task force
- ▶ **Functional team**
- ▶ Cross-functional team
- ▶ Virtual team

Question No: 41 (Marks: 1) - Please choose one

It is most appropriate to use oral communication when you have to communicate:

- ▶ A monthly report to the CEO on company performance
- ▶ **An impersonal message to a group of people**
- ▶ A lengthy welcoming message to a new salesperson
- ▶ A brief, time sensitive personal message

Question No: 42 (Marks: 1) - Please choose one

Atif just received the news that he has received the promotion for which he has been waiting for two years. He is ecstatic. Every communication for the rest of the day will be affected by which of the following?

- ▶ Filtering
- ▶ **Emotions**
- ▶ Language
- ▶ Nonverbal cues

Question No: 43 (Marks: 1) - Please choose one

Which of the following is a process that involves managers from all parts of the organization in the formulation of strategic goals?

- ▶ Strategic organizing
- ▶ Strategic management
- ▶ Strategic positioning
- ▶ **Strategic planning**

Question No: 44 (Marks: 1) - Please choose one

Which of the following is the obligation or expectation to perform a duty?

- ▶ **Responsibility**
- ▶ Unity of command
- ▶ Chain of command
- ▶ Span of control

Question No: 45 (Marks: 1) - Please choose one

Which one of Fayol's 14 principles of management helps preserve the concept of a continuous line of authority?

- ▶ Unity of demand
- ▶ **Unity of command**
- ▶ Demand structure
- ▶ Continuous demand

Question No: 46 (Marks: 1) - Please choose one

Mr. Kamran is a manager at virtual university of Pakistan. His responsibilities include developing a organization-wide marketing strategy that plays on the synergies between institute's offered Programs in order to drive increased no. of students. Kamran is a:

- ▶ Middle manager
- ▶ First-line manager
- ▶ **Top manager**
- ▶ Non-managerial

Question No: 47 (Marks: 1) - Please choose one

Which of the following was created by the unification of 12 countries in Europe?

- ▶ European Common Market
- ▶ **European Union**
- ▶ Western European Alliance
- ▶ Trans-European Market

Question No: 48 (Marks: 1) - Please choose one

Motivation is the result of interaction between which of the following?

- ▶ **Efforts and situation**
- ▶ Employee and manager
- ▶ Efforts and intention
- ▶ Individual and situation

Question No: 49 (Marks: 1) - Please choose one

Which of the following are the hygiene factors?

- ▶ Fringe benefits, recognition and motivation
- ▶ **Achievement, responsibility and growth**
- ▶ Friendship groups, working conditions and responsibilities

- ▶ Company policies, working conditions and salary

Question No: 50 (Marks: 1) - Please choose one

Which of the following is an example of body language?

- ▶ Eye contact
- ▶ Style of dress
- ▶ Facial expressions
- ▶ **All of the given options**

Adnanawan6gmail.com

PAPER NO 13

FINAL TERM EXAMINATION

Mgt503 principle of management

2009

By ADNAN AWAN

Adnanawan6@gmail.com

Question No: 1 (Marks: 1) - Please choose one

What is the basic assumption of situational approaches to leadership?

- ▶ Increasing worker job satisfaction through consideration behavior will get leaders the best results
- ▶ Initiating structure for employees by telling them what to do and how to do.
- ▶ **The appropriate leadership style varies from one set of circumstances to another**
- ▶ Effective leaders possess certain traits that are situation specific

Question No: 2 (Marks: 1) - Please choose one

Which of the following statement is NOT true for productivity?

- ▶ Productivity is a major goal in virtually every organization
- ▶ For individual companies, increased productivity means a more competitive cost structure
- ▶ Productivity is a composite of people and operations variables
- ▶ **Productivity can be improved by dealing with large number of suppliers**

Question No: 3 (Marks: 1) - Please choose one

All of the following are primary management functions EXCEPT:

- ▶ Setting goals
- ▶ **Hiring employees**
- ▶ Monitoring activities
- ▶ Motivating employees

Adnanawan6gmail.com

Question No: 4 (Marks: 1) - Please choose one

Which one of the following is explaining the Entrepreneur in the best way?

- ▶ Goals Setter
- ▶ Decision Maker
- ▶ Communicator
- ▶ **Initiator**

Question No: 5 (Marks: 1) - Please choose one

The success of the business can be judged through:

- ▶ Customer satisfaction
- ▶ Achieving of Organizational Goals
- ▶ Cost price reduction
- ▶ **All of the given options**

Question No: 6 (Marks: 1) - Please choose one

LG and Sony electronics agreed to cooperate on developing new technologies. Representatives from each firm meet regularly to coordinate this new venture. Which of the following roles these managers are playing?

- ▶ **Liaison**
- ▶ Leader

- ▶ Disseminator
- ▶ Spokesperson

Question No: 7 (Marks: 1) - Please choose one

Determining the tasks to be accomplished, how the tasks are to be grouped and who is responsible for the various tasks is known as which of the following processes of management?

- ▶ Planning
- ▶ **Organizing**
- ▶ Leading
- ▶ Controlling

Question No: 8 (Marks: 1) - Please choose one

Which level of management is responsible for making organization wide decisions and establishing the plans and goals that affect the entire organization?

- ▶ Non managerial staff
- ▶ **Top management**
- ▶ Middle management
- ▶ First-line management

Question No: 9 (Marks: 1) - Please choose one

Henry Fayol described principles of management in the form of:

- ▶ 11 points
- ▶ 12 points
- ▶ **14 points**
- ▶ 15 points

Question No: 10 (Marks: 1) - Please choose one

When management provides orderly personnel planning and ensures that replacements are available to fill vacancies, it is called :

- ▶ Division of work
- ▶ Discipline
- ▶ Unity of command
- ▶ **Stability of tenure of personnel**

Question No: 11 (Marks: 1) - Please choose one

The father of industrial psychology is:

- ▶ Robert Owen
- ▶ **Hugo Munsterberg**
- ▶ Mary parker Follett
- ▶ Max Weber

Question No: 12 (Marks: 1) - Please choose one

Environment reacts to the output of organization and provides:

- ▶ Feed forward
- ▶ Input
- ▶ Output
- ▶ **Feedback**

Question No: 13 (Marks: 1) - Please choose one

Which of the following styles of decision making is characterized by individuals who prefer complete information and consider several alternatives?

- ▶ Analytic
- ▶ Conceptual
- ▶ **Directive**
- ▶ Behavioral.

Question No: 14 (Marks: 1) - Please choose one

The intent of which of the following is to reduce uncertainty by playing out potential situations under different specific conditions?

- ▶ Project management
- ▶ Scheduling
- ▶ Environmental analysis
- ▶ **Scenario planning**

Question No: 15 (Marks: 1) - Please choose one

Mission Statement of Dow Chemicals is:

“To share the world’s obligation for the protection of the environment.”

This statement shows which of the following attributes of mission statement?

▶ **Desired public image**

- ▶ Customers
- ▶ Location
- ▶ Self concept

Question No: 16 (Marks: 1) - Please choose one

Which of the following is an area in the environment that if exploited may generate high performance for organization?

- ▶ Strength
- ▶ Weakness
- ▶ **Opportunity**
- ▶ Threat

Question No: 17 (Marks: 1) - Please choose one

Which of the following is a system in which specific performance objectives are jointly determined by subordinates and their superiors and progress towards objectives is periodically reviewed?

▶ **Management by objective**

- ▶ Management by resources
- ▶ Management by authority
- ▶ Management by system

Question No: 18 (Marks: 1) - Please choose one

Most managers believe that if an MBO (program is to be successful, it must start at:

- ▶ Non-managerial level
- ▶ **Top Level**
- ▶ Middle level
- ▶ Lower level

Question No: 19 (Marks: 1) - Please choose one

A firm that stops buying supplies from other companies and begins to provide its own supplies, has diversified through:

- ▶ Forward vertical integration
- ▶ **Backward vertical integration**

- ▶ Forward horizontal integration
- ▶ Backward horizontal integration

Question No: 20 (Marks: 1) - Please choose one

In BCG matrix which of the following businesses have the largest share of a rapidly growing market?

- ▶ Cash cow
- ▶ Question mark
- ▶ **Star**
- ▶ Dogs

Question No: 21 (Marks: 1) - Please choose one

In BCG matrix which of the following businesses have a large share of a market that are not expected to grow substantially?

- ▶ Dogs
- ▶ **Question mark**
- ▶ Star
- ▶ Cash cow

Question No: 22 (Marks: 1) - Please choose one

The degree to which tasks in an organization are divided into separate jobs is called:

- ▶ Centralization
- ▶ Span of control
- ▶ Chain of command
- ▶ **Work specialization**

Work specialization is the degree to which the work necessary to achieve organizational goals is broken down into various jobs.

Question No: 23 (Marks: 1) - Please choose one

As the number of employees in an organization grows, structure tends to become more:

- ▶ Informal
- ▶ Centralized
- ▶ **Decentralized**
- ▶ Specialized

Question No: 24 (Marks: 1) - Please choose one

The fact that managers can become experts within their industry is a function of which kind of departmentalization?

▶ **Product**

- ▶ Functional
- ▶ Process
- ▶ Geographical

Question No: 25 (Marks: 1) - Please choose one

The organization structure in which separate business units are grouped under a manager who is responsible for performance, strategy and operations is called:

▶ Outdated structure

▶ **A divisional structure**

- ▶ Functional structure
- ▶ A simple structure

Question No: 26 (Marks: 1) - Please choose one

“CLEAR” shampoo introduced the first ever anti-dandruff shampoo range for men. Through this shampoo Unilever is practicing which of the following strategies?

▶ Focus Strategy

▶ **Differentiation strategy**

- ▶ Cost leadership strategy
- ▶ Emergent strategy

A differentiation strategy

involves attempting to develop products and services that are viewed as unique in the industry.

Question No: 27 (Marks: 1) - Please choose one

What things the Organizations are doing to facilitate an effective wider span of control for their managers?

▶ **Decentralizing management functions**

- ▶ Increasing inventory levels
- ▶ Increasing budget allowances
- ▶ Investing in employee training

Question No: 28 (Marks: 1) - Please choose one

A complex uncertain environment influences an organization toward which of the following?

- ▶ Work specification
- ▶ Departmentalization
- ▶ **Decentralization**
- ▶ Formalization

Question No: 29 (Marks: 1) - Please choose one

A company's "chain of command" is a part of which process?

- ▶ Span of control
- ▶ **Organizational design**
- ▶ Formalization
- ▶ Work specialization

Question No: 30 (Marks: 1) - Please choose one

While addressing the organizational design needs of the small organization which of the following is an important consideration?

- ▶ More formalization
- ▶ More specialization
- ▶ **More centralization**
- ▶ Tall hierarchy of authority

Question No: 31 (Marks: 1) - Please choose one

Which of the following is an internal state that makes certain outcomes appear attractive?

- ▶ Fad
- ▶ Desire
- ▶ **Need**
- ▶ Fashion

Question No: 32 (Marks: 1) - Please choose one

Which of the following is the best description of effort?

- ▶ The level of willpower towards work
- ▶ **The measure of intensity or drive**
- ▶ One's ability to work

- ▶ The work required to complete a task.

Question No: 33 (Marks: 1) - Please choose one

Which of the following factor is more important for men than women?

- ▶ Opportunity to learn
- ▶ Flexibility
- ▶ **Autonomy**
- ▶ Convenient

Question No: 34 (Marks: 1) - Please choose one

According to Maslow, which hierarchy is in proper order from lowest to highest?

- ▶ Safety, physiological, esteem, self-actualization, social.
- ▶ Esteem, physiological, self-actualization, safety, social
- ▶ Self-actualization, physiological, social, esteem, safety
- ▶ **Physiological, safety, social, esteem, self-actualization**

Question No: 35 (Marks: 1) - Please choose one

According to Herzberg's Motivation-Hygiene Theory, which of the following is NOT a motivator?

- ▶ Recognition
- ▶ Responsibility
- ▶ Advancement
- ▶ **Status**

Question No: 36 (Marks: 1) - Please choose one

According to McClelland's three-need theory, people who are striving for personal achievement rather than for the trappings and rewards of success have a high:

- ▶ Need for achievement
- ▶ Need for affiliation
- ▶ **Need for power**
- ▶ Need for sympathy.

Question No: 37 (Marks: 1) - Please choose one

While motivating Professionals which of the following is at the lowest Priority list?

- ▶ Challenging Goals

▶ **Money and Promotion**

- ▶ Appreciation letters
- ▶ Job satisfaction

Question No: 38 (Marks: 1) - Please choose one

Which of the following is NOT an option while motivating low skilled employees?

- ▶ Clarity of goals
- ▶ Security

▶ **High pay**

- ▶ Job satisfaction

Question No: 39 (Marks: 1) - Please choose one

Visionary leaders appear to have all of the following qualities related to effectiveness in their leadership roles EXCEPT:

- ▶ Ability to explain the vision
- ▶ Ability to express the vision
- ▶ Ability to extend the vision

▶ **Ability to enforce the vision**

Question No: 40 (Marks: 1) - Please choose one

Leaders who guide or motivate their followers toward established goals by clarifying role and task requirements are using which of the following?

- ▶ Charismatic
- ▶ Transformational

▶ **Transactional**

- ▶ Democratic-participative

Question No: 41 (Marks: 1) - Please choose one

Which of the following group engages in collective work that requires joint effort and generates a positive synergy?

▶ **Work group**

- ▶ Work team
- ▶ Quality circle
- ▶ Functional team

Question No: 42 (Marks: 1) - Please choose one

All of the following are advantages of oral communication EXCEPT:

- ▶ It is easy to use
- ▶ **It is accurate**
- ▶ It facilitates feedback
- ▶ It can be done with little preparation

Question No: 43 (Marks: 1) - Please choose one

Which of the following is the process of monitoring activities and correcting any significant deviations?

- ▶ **Controlling**
- ▶ Planning
- ▶ Organizing
- ▶ Leading

Question No: 44 (Marks: 1) - Please choose one

Which of the following is NOT a formal group?

- ▶ Command groups
- ▶ Task forces
- ▶ Cross-functional teams
- ▶ **Business unit alliances**

Question No: 45 (Marks: 1) - Please choose one

Decisions which deal with situations where the factors are fairly structured and occur with some frequency are called:

- ▶ Heuristic decision
- ▶ **Programmed decision**
- ▶ Satisficing decision
- ▶ Non-programmed decision

Question No: 46 (Marks: 1) - Please choose one

Which one of the following functions or activities involves in recruiting and placing qualified personnel needed for the organization so that it may achieve its objectives and goals?

- ▶ Planning

► **Organizing**

- Staffing
- Leading

Question No: 47 (Marks: 1) - Please choose one

An organized set of behavior that is associated with particular office or position is called:

► **Role**

- Obligation
- Responsibility
- Function

Question No: 48 (Marks: 1) - Please choose one

Which of the following is the disadvantage of the Process departmentalization?

- Time consuming process
- **Cost of Production is high**
- Can be used only with certain type of products
- Duplication of functions across the departments

Question No: 49 (Marks: 1) - Please choose one

Which of the following are groups defined by the organization's structure, that have designated work assignments and specific tasks?

► **Formal groups**

- Informal groups
- Command groups
- Interest groups

Question No: 50 (Marks: 1) - Please choose one

There are three different approaches to designing control systems. Which of the following is used primarily in team-based or less bureaucratic types of organizations?

- Market control
- Economic control
- Bureaucratic control
- **Clan control**

PAPER NO 14

FINAL TERM EXAMINATION

MGT503- Principles of Management

Fall 2008

By ADNAN AWAN

Adnanawan6@gmail.com

Question No: 1 (Marks: 1) - Please choose one

Value chain partners are part of which of the following component of Value Chain Management.

- ▶ Technical investment
- ▶ Leadership
- ▶ **Coordination and Collaboration**
- ▶ Planning

Question No: 2 (Marks: 1) - Please choose one

The process of managing the entire sequence of integrated activities and information about product flow is called:

- ▶ Total Quality Management
- ▶ **Supply Chain Management**
- ▶ Kaizen
- ▶ Value Chain Management

Question No: 3 (Marks: 1) - Please choose one

Control that prevents anticipated problems is called:

- ▶ **Feed forward control**
- ▶ Concurrent control
- ▶ Feedback control

- ▶ Management control

Question No: 4 (Marks: 1) - Please choose one

The organizational communication network that uses internet technology and allows authorized users inside the organization to communicate with certain outsiders such as customers or vendors is called:

- ▶ Intranet
- ▶ Extranet
- ▶ Videoconference
- ▶ E-mail

Question No: 5 (Marks: 1) - Please choose one

A leader who involves employees in decision making, delegates authority and allows employees to have direct input into the final decision is using which of the following leadership style?

- ▶ Democratic-participative
- ▶ Laissez-faire
- ▶ Autocratic

- ▶ Democratic-consultative

Question No: 6 (Marks: 1) - Please choose one

According to Fiedler, in moderately favorable situations which of the following leader performs better?

- ▶ Structure oriented

- ▶ Position oriented
- ▶ Production oriented

▶ Relationship oriented

Question No: 7 (Marks: 1) - Please choose one

The recent survey depicts that in the opinion of employees the most powerful workplace motivator is:

- ▶ Flextime
- ▶ Recognition

▶ Goals

- ▶ Salary

Question No: 8 (Marks: 1) - Please choose one

Which theory includes the component that employee motivation is influenced by relative as well as absolute rewards?

- ▶ Expectancy
- ▶ Three-needs
- ▶ Goal-setting

▶ Equity

Equity

theory recognizes that individuals are concerned with their absolute rewards as well as the relationship of those rewards to what others receive.

Question No: 9 (Marks: 1) - Please choose one

According to Herzberg's Motivation-Hygiene Theory, which of the following is NOT a hygiene factor?

- ▶ Working Conditions
- ▶ Salary
- ▶ Relationship with supervisor

▶ Work itself

Question No: 10 (Marks: 1) - Please choose one

According to Maslow's hierarchy of needs, which needs are predominantly satisfied internally?

- ▶ Safety
- ▶ Esteem
- ▶ Physiological
- ▶ social

Question No: 11 (Marks: 1) - Please choose one

Maslow's hierarchy of needs theory proposes that every person has a hierarchy of:

- ▶ Four needs
- ▶ **Five needs**
- ▶ Three needs
- ▶ Six needs

Question No: 12 (Marks: 1) - Please choose one

What should a manager do while motivating employees?

- ▶ Increase wages and salaries
- ▶ Incorporate promotional opportunities
- ▶ Recognize individual differences
- ▶ **Use employee-recognition program**

Question No: 13 (Marks: 1) - Please choose one

An unsatisfied need creates which type of emotion?

- ▶ Anxiety
- ▶ **Tension**
- ▶ Drive
- ▶ Pressure

Question No: 14 (Marks: 1) - Please choose one

Which of the following is the best description of effort?

- ▶ The level of willpower towards work
- ▶ **The measure of intensity or drive**
- ▶ One's ability to work
- ▶ The work required to complete a task

Question No: 15 (Marks: 1) - Please choose one

Contemporary organizational design includes all of the following EXCEPT :

- ▶ Team based structure
- ▶ Matrix structure
- ▶ Project structure
- ▶ **Divisional structure**

Question No: 16 (Marks: 1) - Please choose one

Which of the following is the crucial element of team structure?

- ▶ **Employee empowerment**
- ▶ faster decision-making

- ▶ Inexpensive to maintain
- ▶ Clear chain of command

Question No: 17 (Marks: 1) - Please choose one

Which of the following factors influence an organization towards centralization?

- ▶ Lower-level managers want a part in decision making
- ▶ Environment is complex and uncertain
- ▶ **Decisions are significant**
- ▶ Company is geographically dispersed

Question No: 18 (Marks: 1) - Please choose one

Identify the organizational design process which has a potential weakness that, managers will not be able to provide necessary leadership and support?

- ▶ Span of control
- ▶ **Decentralization**
- ▶ Departmentalization
- ▶ Chain of command

Question No: 19 (Marks: 1) - Please choose one

An organization that groups activities according to women's footwear, men's footwear, apparel and accessories would use which of the following departmentalization?

- ▶ **Product**
- ▶ Customer
- ▶ Geographic
- ▶ Functional

Question No: 20 (Marks: 1) - Please choose one

What kind of departmentalization would be in place in a government organization where different public service responsibilities are divided into activities for employers, children, and the disabled?

- ▶ Product
- ▶ Geographic
- ▶ Outcome
- ▶ **Customer**

Question No: 21 (Marks: 1) - Please choose one

Which of the following is not among the three perspectives that should be considered in preparing a business plan?

- ▶ Marketing perspective
- ▶ Perspective of the entrepreneur
- ▶ Investor perspective
- ▶ **Technical perspective**

Question No: 22 (Marks: 1) - Please choose one

An organization's structure should facilitate which of the following?

- ▶ Chain of command
- ▶ Necessity of departmentalization
- ▶ **Achievement of goals**
- ▶ Span of control

Question No: 23 (Marks: 1) - Please choose one

In which organizational structure employee have two managers?

- ▶ Team
- ▶ Learning
- ▶ Boundary less
- ▶ **Matrix**

Question No: 24 (Marks: 1) - Please choose one

The fact that managers can become experts within their industry is a function of which kind of departmentalization?

- ▶ Process
- ▶ Geographical
- ▶ **Functional**
- ▶ Product

Question No: 25 (Marks: 1) - Please choose one

Which of the following is a process by which individuals pursue opportunities, fulfill needs and wants through innovation, without regard to the resources they currently control?

- ▶ Small business ownership
- ▶ Innovative Management
- ▶ **Entrepreneurship**
- ▶ Privatization

Question No: 26 (Marks: 1) - Please choose one

First step of strategic management process, the mission, answers which of the following question?

- ▶ What business should we be in?
- ▶ **What is our reason for being in business?**
- ▶ Who are our customers?
- ▶ Who are our creditors?

Question No: 27 (Marks: 1) - Please choose one

When the hierarchy of organizational goals is clearly defined, it forms an integrated network of goals which is called:

- ▶ Hierarchical-link chain
- ▶ **Means-ends chain**
- ▶ Weakest-link chain
- ▶ Level-level chain

Question No: 28 (Marks: 1) - Please choose one

Safeguard is an anti-bacterial soap that provides superior longer lasting germ protection. Through this soap Procter & Gamble is practicing which of the following strategies?

- ▶ Stability Strategy
- ▶ **Differentiation strategy**
- ▶ Emergent strategy
- ▶ Cost leadership strategy

Question No: 29 (Marks: 1) - Please choose one

At the first step of goal setting a manager should:

- ▶ Evaluate available resources
- ▶ **Review organization's mission**
- ▶ Write down goals
- ▶ Estimate expected benefits

Question No: 30 (Marks: 1) - Please choose one

Which of the following is a primary benefit of MBO?

- ▶ Avoid competition
- ▶ Resistance against new entrance
- ▶ **Improve employee motivation**
- ▶ Increase resources

Question No: 31 (Marks: 1) - Please choose one

Which of the following is an area in the environment that if exploited may generate high performance for organization?

- ▶ Strength
- ▶ Weakness
- ▶ **Opportunity**
- ▶ Threat

Question No: 32 (Marks: 1) - Please choose one

A skill and capability that does not enable an organization to choose and implement strategies that support its mission is called its:

- ▶ Strength
- ▶ **Weakness**
- ▶ Opportunity
- ▶ Threat

Question No: 33 (Marks: 1) - Please choose one

Which of the following strategy specifies the range of markets in which an organization will compete?

- ▶ **Scope**
- ▶ Distinctive Competency
- ▶ Resource deployment
- ▶ Effective strategy

Question No: 34 (Marks: 1) - Please choose one

Few years ago Nike has problem with inconsistency of goals. The firm was producing high quality shoes but they were not stylish. As a result company lost substantial market share. In this situation which kind of goal was missing?

- ▶ **Manufacturing goal**
- ▶ Marketing goal
- ▶ Financial goal
- ▶ Operational goal

Question No: 35 (Marks: 1) - Please choose one

Sony has a goal to acquire a firm in the entertainment industry. The goal was realized when Sony bought Columbia picture. It comes under which of the following?

- ▶ **Strategic goal**
- ▶ Operational goal
- ▶ Tactical goal
- ▶ Personal goal

Question No: 36 (Marks: 1) - Please choose one

Which of the following group technique allows group members to meet together, but also allows independent thinking?

- ▶ Groupthink
- ▶ Electronic meetings
- ▶ Brainstorming

▶ **Nominal group technique**

Question No: 37 (Marks: 1) - Please choose one

Many decisions fail after the final choice because of the occurrence of which of the following?

- ▶ Decision criteria weights were incorrect
- ▶ People affected failed to accept the solution
- ▶ Satisfying occurred

▶ **Choice was wrong**

Question No: 38 (Marks: 1) - Please choose one

Which of the following term sometimes used to describe picking a course of action that is satisfactory under the circumstances?

- ▶ Escalation of commitment

▶ **Satisficing**

- ▶ Risk
- ▶ Bounded rationality

Question No: 39 (Marks: 1) - Please choose one

Jay tends to always look at the broad picture and likes to look at many alternatives. He focuses on the long run and looks for creative solutions. He prefers which of the following styles of decision making?

- ▶ Analytic
- ▶ **Conceptual**
- ▶ Directive
- ▶ Behavioral

Question No: 40 (Marks: 1) - Please choose one

The decision-making model consists of four styles: directive, analytic, behavioral and _____.

▶ **Conceptual**

- ▶ Intuitive

- ▶ Group interaction
- ▶ Laggard

Question No: 41 (Marks: 1) - Please choose one

"Whenever possible, we promote from within" is an example of which of the following?

- ▶ Rule
- ▶ Procedure
- ▶ **Policy**
- ▶ Plan

Question No: 42 (Marks: 1) - Please choose one

A large chemical company not only disposes of all toxic waste properly as outlined by law, but it also spends \$1 million dollars each year on research to determine better processes for all businesses to use in disposing of toxic wastes. This company is exhibiting which of the following?

- ▶ **Social responsibility**
- ▶ Social obligation
- ▶ Moral obligation
- ▶ **Social responsiveness**

Question No: 43 (Marks: 1) - Please choose one

Which of the following approaches recognize differences among organizations and categorizes variables that affect an organization's performance?

- ▶ **Process approach**
- ▶ Contingency approach
- ▶ Function approach
- ▶ System approach

Question No: 44 (Marks: 1) - Please choose one

Giving prestigious job titles would be one way to satisfy people's need for :

- ▶ **Esteem**
- ▶ Belongingness
- ▶ Self-actualization
- ▶ Safety

Question No: 45 (Marks: 1) - Please choose one

"Specialization increases output by making employees more efficient" it is called:

- ▶ **Division of work**
- ▶ Authority

- ▶ Scalar chain
- ▶ Order

Question No: 46 (Marks: 1) - Please choose one

Henry Fayol described principles of management in the form of:

- ▶ 11 points
- ▶ 12 points
- ▶ **14 points**
- ▶ 15 points

Question No: 47 (Marks: 1) - Please choose one

Which of the following functions or activities involve recruiting and placing qualified personnel needed for the organization so that it may achieve its objectives and goals?

- ▶ Planning
- ▶ **Organizing**
- ▶ Staffing
- ▶ Leading

Question No: 48 (Marks: 1) - Please choose one

An organized set of behavior that is associated with particular office or position is called:

- ▶ **Role**
- ▶ Obligation
- ▶ Responsibility
- ▶ Responsibility

Question No: 49 (Marks: 1) - Please choose one

The person who maintains network of connection outside the organization to obtain information is called:

- ▶ Entrepreneur
- ▶ Disseminator
- ▶ Spokesperson
- ▶ **Liaison**

Liaison

Is maintains a network of contacts outside the work unit to obtain information.

Question No: 50 (Marks: 1) - Please choose one

Ali has a job that pays him well, he desires to make a contribution to the organization, and he has an active social life. His desire is to become all that he is capable of becoming. Ali is at which of the following need defined by maslow?

► **Self-actualization**

- Safety
- Social
- Esteem

PAPER NO 15

FINALTERM EXAMINATION
MGT503- Principles of Management
BY ADNAN AWAN
Adnanawan@gmail.com

Time: 120 min
Marks: 92

Question No: 1 (Marks: 1) - Please choose one
Sociology can be defined as:

- **The study of people in relation to their fellow human beings**
- The study of societies which help to learn about human and their activities
- It is the study of behavior of the individuals or groups within the political environment
- The science that seeks to measure and explains human behavior

Question No: 2 (Marks: 1) - Please choose one
The basic purpose of the construction of China Wall was:

- To make territory clear
- To defend the area
- To protect the Silk Road
- **All of the given options**

Question No: 3 (Marks: 1) - Please choose one
The person who maintains network of connection outside the organization to obtain information is called:

- Entrepreneur
- Disseminator
- Spokesperson
- **Liaison**

Question No: 4 (Marks: 1) - Please choose one
Jamshed is a CFO at Mutual Saving Bank. According to research studies, which management activities are likely to take up the greatest amount of his time?

- **Planning**
- Organizing
- Controlling
- Leading

Question No: 5 (Marks: 1) - Please choose one
All of the following are called "Classical Viewpoints" EXCEPT:
► Scientific management

▶ **Industrial management**

- ▶ Administrative management
- ▶ Bureaucratic management

Question No: 6 (Marks: 1) - Please choose one

Munsterberg is considered to be the father of _____ psychology.

- ▶ Clinical
- ▶ **Industrial**
- ▶ Behavior
- ▶ Theoretical

Question No: 7 (Marks: 1) - Please choose one

Viewpoint arguing that appropriate managerial action depends on the particular parameters of the situation is called:

- ▶ **Contingency theory**
- ▶ Behavioral theory
- ▶ Administrative theory
- ▶ Social theory

Question No: 8 (Marks: 1) - Please choose one

An organization that has developed the capacity to continuously learn, adapt and change is called:

- ▶ **Learning organization**
- ▶ Open organization
- ▶ Leading organization
- ▶ Close organization

Question No: 9 (Marks: 1) - Please choose one

System approach recognizes that organizations are not:

- ▶ **Self-contained**
- ▶ Self-controlled
- ▶ Self-discipline
- ▶ Self-motivated

Question No: 10 (Marks: 1) - Please choose one

Which of the following is called output of a system?

- ▶ Human
- ▶ Information resource
- ▶ **Employee behavior**
- ▶ Material

Question No: 11 (Marks: 1) - Please choose one

All of the following are Dimensions of organizational culture EXCEPT:

- ▶ Innovation
- ▶ Aggressiveness
- ▶ Stability
- ▶ **Customer orientation**

Question No: 12 (Marks: 1) - Please choose one

If an individual knows the price of three similar cars at different dealerships, he or she is operating under what type of decision-making condition?

- ▶ Risk

- ▶ Uncertainty
- ▶ **Certainty**
- ▶ Factual

Question No: 13 (Marks: 1) - Please choose one

In decision making process, ideas should be evaluated on the basis of:

- ▶ **Acceptability**
- ▶ Durability
- ▶ Accountability
- ▶ Liability

Question No: 14 (Marks: 1) - Please choose one

Asad spoke out in a meeting in favor of a potential cost savings that would result from a new employee benefits program offered by the company. He later received information that showed that his initial decision about the cost savings was incorrect, but he was too embarrassed to publicly admit that he was wrong, so he stuck by his original statement. Asad is practicing which of the following?

- ▶ **Bounded rationality**
- ▶ Satisfying
- ▶ Escalation of commitment
- ▶ Maximizing

Question No: 15 (Marks: 1) - Please choose one

Which of the following is NOT one of the three techniques for assessing the environment?

- ▶ **Project management**
- ▶ Benchmarking
- ▶ Forecasting
- ▶ Environmental scanning

Question No: 16 (Marks: 1) - Please choose one

In terms of linear programming, profit margins on different products that a company can produce represent which of the following?

- ▶ **Constraints**
- ▶ Feasibility regions
- ▶ Scenarios
- ▶ Basis for the objective function

Question No: 17 (Marks: 1) - Please choose one

Plans that apply to the entire organization, establish the organization's overall objectives and seek to position the organization in terms of its environment are called:

- ▶ Tactical plans
- ▶ **Strategic plans**
- ▶ Single-use plans
- ▶ Operational plans

Question No: 18 (Marks: 1) - Please choose one

Starbuck's _____ of opening one hundred stores per year helps everyone in the firm recognize the strong emphasis on growth.

- ▶ Goal
- ▶ Mission
- ▶ Vision

► **Plan**

Question No: 19 (Marks: 1) - Please choose one

Mission Statement of Johnson & Johnson is:

“We believe our first responsibility is to the doctors, nurses, and patients, to mothers and all others who use our products”

This statement shows which of the following attributes of mission statement?

- Location
- Customers
- Self concept
- **Desired public image**

Question No: 20 (Marks: 1) - Please choose one

A skill and capability that does not enable an organization to choose and implement strategies that support its mission is called its:

- Strength
- **Weakness**
- Opportunity
- Threat

Question No: 21 (Marks: 1) - Please choose one

At the first step of goal setting a manager should:

- Evaluate available resources
- **Review organization's mission**
- Write down goals
- Estimate expected benefits

Question No: 22 (Marks: 1) - Please choose one

In which of the following methods goals are defined at the top of the organization and then broken down into sub groups?

- Directional goal setting
- Stated goal setting
- **Traditional goal setting**
- Specific goal setting

Question No: 23 (Marks: 1) - Please choose one

A strategy in which an organization operates in several business that are some how linked with one another is called:

- Single product strategy
- **Related diversification**
- Unrelated diversification
- Conglomerate diversification

Question No: 24 (Marks: 1) - Please choose one

As the number of employees in an organization grows, structure tends to become more:

- Informal
- Centralized
- Decentralized
- **Specialized**

Question No: 25 (Marks: 1) - Please choose one

Being "closer to customers" is a strength of which form of departmentalization?

- ▶ Functional
- ▶ Geographic
- ▶ **Product**
- ▶ Process

Question No: 26 (Marks: 1) - Please choose one

What kind of structure does the parent company often provide to support services of its child company?

- ▶ Matrix
- ▶ **Divisional**
- ▶ Functional
- ▶ Team

Question No: 27 (Marks: 1) - Please choose one

Which type of organizational structure is made up of autonomous and self-contained units?

- ▶ **Divisional**
- ▶ Functional
- ▶ Bureaucracy
- ▶ Customer

Question No: 28 (Marks: 1) - Please choose one

The "degree of environmental uncertainty" affects a company's:

- ▶ **Unit production**
- ▶ Structure
- ▶ Technology
- ▶ Flow of information

Question No: 29 (Marks: 1) - Please choose one

An organization that wants to be more responsive to changes in its environment, especially to customers, is likely to have which kind of organization structure?

- ▶ **Decentralized**
- ▶ Very formal and rule oriented
- ▶ Highly centralized
- ▶ Mechanistic

Question No: 30 (Marks: 1) - Please choose one

A structure that is characterized by narrow span of management and many hierarchical levels is:

- ▶ **Tall Structure**
- ▶ Flat Structure
- ▶ Matrix Structure
- ▶ Divisional Structure

Question No: 31 (Marks: 1) - Please choose one
Which of the following is a weakness of a simple structure?

- ▶ **It relies on one person**
- ▶ It is not flexible
- ▶ It is expensive
- ▶ There is unclear accountability

Question No: 32 (Marks: 1) - Please choose one
Which of the following is the crucial element of team structure?

- ▶ **Employee empowerment**
- ▶ Faster decision-making
- ▶ Inexpensive to maintain
- ▶ Clear chain of command

Question No: 33 (Marks: 1) - Please choose one
Which type of organizational entity is more of an organizational mind-set than a structured design?

- ▶ Matrix
- ▶ **Boundary less**
- ▶ Functional
- ▶ Learning

Question No: 34 (Marks: 1) - Please choose one
All of the following factors are the most challenging for the managers in today's competitive world EXCEPT:

- ▶ Meet the market demand of products
- ▶ **Motivating competitors to do work efficiently**
- ▶ Facing the competition
- ▶ Environmental uncertainty

Question No: 35 (Marks: 1) - Please choose one
Which of the following characteristics is NOT a part of Theory X?

- ▶ Employees will dislike work
- ▶ Employees will need to be closely controlled
- ▶ **Employees will consider work to be a natural activity**
- ▶ Employees will have little ambition

Question No: 36 (Marks: 1) - Please choose one
Which of the following are the motivating variables of equity theory?

- ▶ Gender, tenure, education and level in organization
- ▶ Inputs, outputs, gender and time duration
- ▶ Level in organization, power and responsibility
- ▶ **Outputs, inputs, education and experience**

Question No: 37 (Marks: 1) - Please choose one
Which theory includes the component that employee motivation is influenced by relative as well as absolute rewards?

- ▶ **Expectancy**
- ▶ Three-needs
- ▶ Goal-setting
- ▶ Equity

Question No: 38 (Marks: 1) - Please choose one

People who want to exert more power often engage in which of the following activities?

- ▶ Visionary leadership
- ▶ Reward power
- ▶ **Office politics**
- ▶ Charismatic training

Question No: 39 (Marks: 1) - Please choose one

A leader who involves employees in decision-making, delegate's authority and gathers input from employees, but makes the final decision, he is using which of the following leadership style?

- ▶ Democratic-participative
- ▶ Laissez-faire
- ▶ Autocratic
- ▶ **Democratic-consultative**

Question No: 40 (Marks: 1) - Please choose one

A leader who involves employees in decision making, delegates authority and allows employees to have direct input into the final decision is using which of the following leadership style?

- ▶ Democratic-participative
- ▶ Laissez-faire
- ▶ Autocratic
- ▶ **Democratic-consultative**

Question No: 41 (Marks: 1) - Please choose one

Visionary leaders appear to have all of the following qualities related to effectiveness in their leadership roles EXCEPT:

- ▶ Ability to explain the vision
- ▶ Ability to express the vision
- ▶ Ability to extend the vision
- ▶ **Ability to enforce the vision**

Question No: 42 (Marks: 1) - Please choose one

Inputs into the operation system include all of the following EXCEPT:

- ▶ People
- ▶ Information
- ▶ Capital
- ▶ **Strategies**

Question No: 43 (Marks: 1) - Please choose one

Ali is especially good at communicating company goals to his employees and motivating them to achieve these goals. Ali is practicing which of the following skills?

- ▶ Conceptual skills
- ▶ Organizational skills
- ▶ Technical skills
- ▶ **Human skills**

Question No: 44 (Marks: 1) - Please choose one

The supplier is late with the order of papers that is needed by the college during final exams. The secretary is sent to Urdu Bazar to purchase papers until the delivery of order. This is an example of which of the following problem?

- ▶ Well-structured
- ▶ **Ill-structured**
- ▶ Programmed
- ▶ Non-programmed

Question No: 45 (Marks: 1) - Please choose one

Departmental store structured around home accessories, appliances, women's clothing, men's clothing and children's clothing is an example of which of the following?

- ▶ Functional departmentalization
- ▶ **Product departmentalization**
- ▶ Process departmentalization
- ▶ Geographical departmentalization

Question No: 46 (Marks: 1) - Please choose one

Which of the following is TRUE about the goal of Open-Book Management?

- ▶ **Get employees to think like owners**
- ▶ Help employees determine whether their salary is fair or not
- ▶ Allow employees to see the company's profitability
- ▶ Allow employees to seek other positions

Question No: 47 (Marks: 1) - Please choose one

Mr. A wants to earn a master's degree within two years from a native university. Which of the following SMART objective Mr. A has missed while setting this goal?

- ▶ Time-bound
- ▶ Acceptable
- ▶ **Measurable**
- ▶ Specific

Question No: 48 (Marks: 1) - Please choose one

Which of the following plan will be exercised for a situation where the company has to prepare a plan for the repairs of a newly introduced mobile in the market in case of any malfunctioning?

- ▶ Specific plan
- ▶ **Operational plan**
- ▶ Standing plan
- ▶ Single-use plan

Question No: 49 (Marks: 1) - Please choose one

Which of the following is not TRUE about strategic management?

- ▶ It's involved in many of the decisions that managers make
- ▶ Companies with formal strategic management systems had higher financial returns than those companies with no such systems
- ▶ **It makes decisions by focusing on the targets or future end results set by lower management that address specific, measurable outcomes required from the lower levels**
- ▶ It has moved beyond for-profit organizations to include all types of organizations, including not-for-profit

Question No: 50 (Marks: 1) - Please choose one

A significant edge over the competition in dealing with competitive forces is called:

- ▶ Core Competencies
- ▶ **Competitive advantage**
- ▶ Competitive force
- ▶ Swot analysis

Question No: 51 (Marks: 1) - Please choose one

Entrepreneurs can act as:

- ▶ Idea sponsor
- ▶ Idea champion
- ▶ Idea generator
- ▶ **All of the following options**

Question No: 52 (Marks: 1) - Please choose one

A Company is dealing in many businesses, for its fertilizer's business , company will require which of the following level strategy?

- ▶ Corporate level
- ▶ **Business level**
- ▶ Functional level
- ▶ Operational level

Question No: 53 (Marks: 1) - Please choose one

In which of the following type of departmentalization, employees are more concern about specialty than the needs of organization overall.

- ▶ Product
- ▶ Customer
- ▶ **Functional**
- ▶ Geographic

Question No: 54 (Marks: 1) - Please choose one

Degree to which the job provides clear and timely information about performance results is called:

- ▶ Autonomy
- ▶ **Feedback**
- ▶ Supervision
- ▶ Responsibility

Question No: 55 (Marks: 1) - Please choose one

When we talk about an organization's core technology, we mean organization's:

- ▶ Less important technology
- ▶ **Most important technology**
- ▶ All technologies the organization is using
- ▶ Technology that is never used

Question No: 56 (Marks: 1) - Please choose one

The structure of a learning organization should be:

- ▶ Mechanistic
- ▶ **Organic**
- ▶ Rigid
- ▶ Inflexible

Question No: 57 (Marks: 1) - Please choose one

Mr. A is a marketing manger of an organization where he is controlling six employees whereas Mr. B is a production manager of the same organization and he is controlling Fifteen employees. Mr. B is having _____ as compare to Mr. A.

- ▶ Narrow span of control
- ▶ **Wide span of control**
- ▶ Central span of control
- ▶ All of the given options

Question No: 58 (Marks: 1) - Please choose one

Mr. A is working as machine operator and he has to take precautionary measures to keep himself safe from any injury. Which of the following needs is critical for Mr. A?

- ▶ Social
- ▶ Self actualization
- ▶ Esteem
- ▶ **Safety**

Question No: 59 (Marks: 1) - Please choose one

Which of the following can be used by the mangers to weaken the behavior by not providing a desirable outcome to employees?

- ▶ Avoidance
- ▶ Positive reinforcement
- ▶ Extinction
- ▶ **Punishment**

Question No: 60 (Marks: 1) - Please choose one

The president of ABC Company asks his employees to follow the rule and regulations and all of his employees comply with his order. President influences the employees by which of the following power?

- ▶ Referent Power
- ▶ Coercive Power
- ▶ Expert Power
- ▶ **Legitimate Power**

Question No: 61 (Marks: 1) - Please choose one

Martin Luther king was a passionate leader with influencing personality and had the ability to make stirring, emotionally arousing speeches. Which leadership style he had?

- ▶ Transactional
- ▶ Transformational
- ▶ **Charismatic**
- ▶ Visionary

Question No: 62 (Marks: 1) - Please choose one

Workers in the production department are given a manual having information regarding the machine operations. This is an example of:

- ▶ Non-verbal
- ▶ Verbal
- ▶ **Written**
- ▶ Oral

Question No: 63 (Marks: 1) - Please choose one

The process in which one party perceives that its interests are being opposed or adversely affected by some other parties is called:

- ▶ Crises
- ▶ **Conflict**
- ▶ Agreement
- ▶ Stress

Question No: 64 (Marks: 1) - Please choose one

A performance measurement tool that covers four areas "financial, customer, internal processes, and people" and that can enhance company's performance is called:

- ▶ Benchmarking
- ▶ Cyber control system
- ▶ Non-cybernetic control system
- ▶ **Balanced scorecard**

MGT503 FINAL SUBJECTIVE

PREINCIPLE OF MANGMENT

Adnanawan6@gmail.com

Question No: 49 (Marks: 3)

Discuss different roles of a team leader?

Answer

There are four roles of team leader.

1. Liaisons with external constituencies
2. Troubleshooters
3. Conflict managers
4. Coaches

Question No: 54 (Marks: 10)

Discuss the Boston Consulting Group (BCG) matrix and explain its usefulness in segmenting businesses. Discuss the characteristics for each of the four categories based on the BCG matrix..

Answer

BOSTON CONSULTING GROUP (BCG) MATRIX:

The BCG matrix was developed by Boston Consulting Group. Its main purpose was to compare different businesses in an organization's portfolio on the basis of market share and market growth. It helps the organization in allocating resources to its various businesses.

Categories of BCG matrix:

The matrix defines four business groups. The SBUs plotted on BCG matrix can be classified as follows:

□ **Star:**

Star has a high market share in a growing market.

□ **Cash Cow:**

Cash Cow is an SBU which has high market share in a slowly growing market.

□ **Question Mark:**

Have low market share in a growing market. They are the problem creators.

□ **Dog:**

Has low market share in a low growing market.

Question No: 51 (Marks: 5)

Can individual be so much motivated that his/ her performance declines as a result of excessive efforts ? Discuss.

ANSWER

Yes, in certain case it's true. If a person set goals too high for himself, he may end up Demotivating himself because of the failure to achieve the goals.

When rewards are used by organizations as payoffs for better performance, the intrinsic rewards, which are derived from person doing what they like, are reduced.

Due to excessive efforts, person loss the control over own behavior so that pervious motivation diminishes.

The elimination of extrinsic rewards can produce a shifting from an external to an internal explanation in an individual's perception of thinking that why he works on a task. Too much motivation make person to think differentiate themselves from others by their desire to do things better.

Question No: 52 (Marks: 10)

How can we implement Maslow's Hierarchy of need theory in our life? Discuss in detail.

ANSWER

Maslow's Hierarchy of Needs is based on the assumption that people are motivated by a series of five universal needs. These needs are ranked, according to the order in which they influence human behavior, in hierarchical fashion.

Physiological needs are deemed to be the lowest- level needs. These needs but be fulfilled

Safety needs –

the needs for shelter and security

Social needs

Include the need for belongingness and love

Esteem needs

After social needs have been satisfied, ego and esteem needs

Self-actualization

The need for self-realization, continuous self-development, and the process of becoming all that a person is capable of becoming.

In daily life if we translate this theory its discuss food is basic need of human being we should look into this basic need to motivate our workers

Stability is equal to safety in malsow's theory. Friendship is equal to esteem in theory.

Status and achievements esteem and achievement respectively.

Above theory is used to motivate our works,. We also get guideline during our daily life. It provides us the path to look into needs of others.

Question No: 53 (Marks: 10)

How can a manager make the delegation process more effective? Give Logical reasons to support your answer.

Answer

DELEGATION:

Delegation is the assignment of part of manager's work to Others along with responsibility and authority.

Effective Delegation: Delegation can be made effective in many ways:

- Trust: It is very important while delegating to have full trust in the subordinates. If manger lacks trust in subordinates he will always have a threat of their failure.
- Training the subordinates: Delegation can be effectively done if subordinates know what and how they have to do their work. For this they must be trained well.
- Manager's knowledge about delegation: While delegating manager should know how to delegate i.e. how to take work from subordinates and which tasks should be assigned to subordinates.

Question No: (Marks: 5)

Who are responsible for setting goals? Do you think different Managers set goals, or one manager is responsible for it?

ANSWER

GOAL SETTING:

Goals are the desired outcomes for the individuals, groups or organizations. The success of an organization depends on its goals and how they are achieved. Goal setting is the responsibility of a manager. There are three managers at three different levels:

- Top manager
- Middle manager
- First Line manager

Each manager is responsible for setting goals at different level.

1. Top manager sets the strategic goals which are organization wide.
2. Middle managers set Tactical goals
3. First line managers set operational goals which are related to the operations of the organization.

But it is important

Question No: 53 (Marks: 10)

Do you think motivation comes from within a person or it is a result of the situation? Explain in your own words. What is motivation

ANSWER

Motivation is the internal condition that activates behavior and gives it direction; and energizes and directs goal-oriented behavior

Motivation comes from within. Very few people are highly motivated at work. Most people work at only a small fraction of their actual capabilities. Your Employer can create only motivational environment. It is up to you to motivate yourself.

The highest levels of motivation come when we are in tune with our mind and thinking.

Self-improvement is one of the best motivators because its comes from you inner feelings.

Money Does Not Motivate. People adapt to the amount of money they are making that motivation is short- lived. Managers often try to motivate employees via promises of financial rewards and promotion but people likes motivators such as feeling valued and appreciated. People are motivated when they feel understood.

True motivation only comes from within an individual but it can only be started from external factors.

Question No: (Marks: 3)

The famous painter Gull Ji was professionally an architect whereas; he was famous worldwide for his paintings. Which of the level of need is demonstrated in this case?

Answer:

The famous painter gull ji need to self actualization need. because now his all desires are completed according to Maslow theory. He fulfills his desires to become a famous in world

Question No: 54 (Marks: 10)

XYZ Ltd is a firm which undertakes reconstruction and maintenance. The work is carried out by teams which operate independently of each other. As a team co-ordinator, you have investigated a number of recent customer complaints about delays. It appears that instructions given to head office are not reaching the teams quickly or clearly enough. The team's come away feeling that head office lacks understanding of their work and respect for their inputs. You have identified the problem as poor communication on many levels.

ANSWER

With the above stated issue explain the particular problems of upward communication in an organization. Suggest how upward communication can be improved?

Upward communication flows from employees to managers.

Upward communication can be used in order to keep managers aware of how employees feel about their jobs, their coworkers then we must provide them proper facility to communicate with management. A climate of trust, respect should be created between worker and managers. We should share decision making power with them.

Listen Problems and exceptions of the team. Take Suggestions for improvement from team. Try to establish Performance reports to motivate them

Look into Grievances and disputes

Question No: (Marks: 3)

“Strong communication network is an essential component of learning organizations”. Elaborate the statement.

Answer:

Without strong communication network learning organization cannot survive because challenging environment need to latest knowledge techniques, problem solving methods, workforce assortment issues, employees culture, employees working environment, and it is only possible when strong communication network is available. Every one has sufficient information for every thing in organization.

Question No: 51 (Marks: 5)

Is organizing important for all levels of managers? Give your opinion. ORGANIZING, the second important function of (POLCA).

ANSWER

Organizing is itself an important managerial function which make it possible for managers to achieve the defined organizational goals, and managers are the persons who make that happen with organizing their team members their organization members it is actually , assembling required resources to attain organizational objectives.

In short organizing is one of the major responsibility of all level of managers (top level, middle level, and first level) organizing have its unique importance for every level of management. And managers cannot achieve their organizational goals without that function.

Question No: 53 (Marks: 5)

Teacher does not evaluate the students’ home assignments rather he gives average marks to all of the students. After declaration of the results how students will respond to teacher’s evaluation in the light of expectancy theory?

Answer:

Teacher is rewarding average marks for all assignment. When students will see their marks then he should tell to teacher please give my marks according to my performance which performed by me in my home assignments. And they will say I should be deserved to get excellent marks according to my answer so please recheck our assignment again and try to make difference between us who is better performer in assignment and who is not better performer in assignments and according to our performance give marks for create difference

Question No: 52 (Marks: 5)

How would you differentiate between Bureaucratic control and Clan control approach?

Answer:

Bureaucratic control is formal control as contrast to clan control, it is mostly relied on organization work environment and behaviors of employees particularly means rules polices for employees and budgets which is important for every organization to estimate the cost of every portion like sales budget, purchase budgets and require proper documentation and plan.

But clan control is informal means opposite of bureaucratic control not require proper documentation for every work. And informal relationships to regulate employee behaviors and facilitate the reaching of organizational goals

REMEMBER ME IN YOUR Prayer

ADNAN AWAN

Adnanawan6@gmail.com

Question No: 49 (Marks: 3)

Discuss different roles of a team leader?

There are four roles of team leader.

1. Liaisons with external constituencies
2. Troubleshooters
3. Conflict managers
4. Coaches

Question No: 54 (Marks: 10)

Discuss the Boston Consulting Group (BCG) matrix and explain its usefulness in segmenting businesses. Discuss the characteristics for each of the four categories based on the BCG matrix..

Answer

BOSTON CONSULTING GROUP (BCG) MATRIX:

The BCG matrix was developed by Boston Consulting Group. Its main purpose was to compare different businesses in an organization's portfolio on the basis of market share and market growth. It helps the organization in allocating resources to its various businesses.

Categories of BCG matrix:

The matrix defines four business groups. The SBUs plotted on BCG matrix can be classified as follows:

. Star:

Star has a high market share in a growing market.

. Cash Cow:

Cash Cow is an SBU which has high market share in a slowly growing market.

. Question Mark:

Have low market share in a growing market. They are the problem creators.

. Dog:

Has low market share in a low growing market.

Question No: 51 (Marks: 5)

Can individual be so much motivated that his/ her performance declines as a result of excessive efforts ? Discuss.

ANSWER

Yes, in certain case it's true. If a person set goals too high for himself, he may end up Demotivating himself because of the failure to achieve the goals.
When rewards are used by organizations as payoffs for better performance, the intrinsic

rewards, which are derived from person doing what they like, are reduced.

Due to excessive efforts, person loses the control over own behavior so that previous motivation diminishes.

The elimination of extrinsic rewards can produce a shifting from an external to an internal explanation in an individual's perception of thinking that why he works on a task. Too much motivation makes person to think differentiate themselves from others by their desire to do things better.

Question No: 52 (Marks: 10)

How can we implement Maslow's Hierarchy of need theory in our life? Discuss in detail.

ANSWER

Maslow's Hierarchy of Needs is based on the assumption that people are motivated by a series of five universal needs. These needs are ranked, according to the order in which they influence human behavior, in hierarchical fashion.

Physiological needs are deemed to be the lowest-level needs. These needs but be Fulfilled

Safety needs

The needs for shelter and security

Social needs

Include the need for belongingness and love

Esteem needs

After social needs have been satisfied, ego and esteem needs

Self-actualization

the need for self-realization, continuous self-development, and the process of becoming

all that a person is capable of becoming.

In daily life if we translate this theory its discuss food is basic need of human being we should look into this basic need to motivate our workers

Stability is equal to safety in Maslow's theory . friendship is equal to esteem in theory. Status and achievements esteem and achievement respectively.

Above theory is used to motivate our works,. We also get guideline during our daily life. It provides us the path to look into needs of others.

Question No: 53 (Marks: 10)

How can a manager make the delegation process more effective? Give Logical reasons to support your answer.

Answer

DELEGATION:

Delegation is the assignment of part of manager's work to Others along with responsibility and authority.

Effective Delegation: Delegation can be made effective in many ways:

- Trust: It is very important while delegating to have full trust in the subordinates. If manager lacks trust in subordinates he will always have a threat of their failure.
- Training the subordinates: Delegation can be effectively done if

subordinates know what and how they have to do their work. For this they must be trained well.

- Manager's knowledge about delegation: While delegating manager should know how to delegate i.e. how to take work from subordinates and which tasks should be assigned to subordinates.

Question No: (Marks: 5)

Who are responsible for setting goals? Do you think different Managers set goals, or one manager is responsible for it?

ANSWER

GOAL SETTING:

Goals are the desired outcomes for the individuals, groups or organizations. The success of an organization depends on its goals and how they are achieved. Goal setting is the responsibility of a manager.

There

are three managers at three different levels:

- . Top manager
- . Middle manager
- . First Line manager

Each manager is responsible for setting goals at different level.

1. Top manager sets the strategic goals which are organization wide.
2. Middle managers set Tactical goals
3. First line managers set operational goals which are related to the operations of the organization.

But it is important

Question No: 53 (Marks: 10)

Do you think motivation comes from within a person or it is a result of the situation?

Explain in your own words. What is motivation

ANSWER

Motivation is the internal condition that activates behavior and gives it direction; and energizes and directs goal-oriented behavior

Motivation comes from within. Very few people are highly motivated at work. Most people work at only a small fraction of their actual capabilities. Your Employer can create only motivational environment. It is up to you to motivate yourself.

The highest levels of motivation come when we are in tune with our mind and thinking.

Self-improvement is one of the best motivators because its comes from you inner feelings. Money Does Not Motivate. People adapt to the amount of money they are making that motivation is short- lived. Managers often try to motivate employees via promises of financial rewards and promotion but people likes motivators such as feeling

valued and appreciated. People are motivated when they feel understood.

True motivation only comes from within an individual but it can only be started from external factors.

Question No: (Marks: 3)

The famous painter Gull Ji was professionally an architect whereas; he was famous worldwide for his paintings. Which of the level of need is demonstrated in this case?

Answer:

The famous painter gull ji need to self actualization need. because now his all desires are completed according to Maslow theory. He fulfills his desires to become a famous in world

Question No: (Marks: 3)

“Strong communication network is an essential component of learning organizations”. Elaborate the statement.

Answer:

Without strong communication network learning organization cannot survive because challenging environment need to latest knowledge techniques, problem solving methods, workforce assortment issues, employees culture, employees working environment, and it is only possible when strong communication network is available. Every one has sufficient information for every thing in organization.

Question No: 51 (Marks: 5)

Is organizing important for all levels of managers? Give your opinion.

ORGANIZING, the second important function of (POLCA).

ANSWER

Organizing is itself an important managerial function which make it possible for managers to achieve the defined organizational goals, and managers are the persons who make that happen with organizing their team members their organization members it is actually , assembling required resources to attain organizational objectives. In short organizing is one of the major responsibility of all level of managers (top level, middle level, and first level) organizing have its unique importance for every level of management. And managers cannot achieve their organizational goals without that function.

Question No: 53 (Marks: 5)

Teacher does not evaluate the students’ home assignments rather he gives average marks to all of the students. After declaration of the results how students will respond to teacher’s evaluation in the light of expectancy theory?

Answer:

Teacher is rewarding average marks for all assignment. When students will see their marks then he should tell to teacher please give my marks according to my performance which performed by me in my home assignments. And they will say I should be deserved to get excellent marks according to my answer so please recheck our assignment again and try to make difference between us who is better performer in assignment and who is not better performer in assignments and according to our performance give marks for create difference

Question No: 52 (Marks: 5)

How would you differentiate between Bureaucratic control and Clan control approach?

Answer:

Bureaucratic control is formal control as contrast to clan control, it is mostly relied on organization work environment and behaviors of employees particularly means rules polices for employees and budgets which is important for every organization to estimate

the cost of every portion like sales budget, purchase budgets and require proper documentation and plan.

But clan control is informal means opposite of bureaucratic control not require proper documentation for every work. And informal relationships to regulate employee behaviors and facilitate the reaching of organizational goals

The name 'ADNAN AWAN' is written in large, bold, capital letters. Each letter has a different color, creating a rainbow gradient from left to right: A (pink), D (red), N (orange), A (yellow), N (green), A (teal), W (blue), and N (purple). The letters are set against a black background and have a white outline. A grey shadow is cast to the left of the letters.The email address 'Adnanawan6@gmail.com' is written in a stylized font. Each character has a different color, creating a rainbow gradient: A (pink), d (red), n (orange), a (yellow), n (green), a (teal), w (blue), a (purple), n (pink), 6 (red), @ (orange), g (yellow), m (green), a (teal), i (blue), l (purple), . (pink), c (red), o (orange), m (yellow). The text is set against a black background and has a white outline. A grey shadow is cast to the left of the text.

FINALTERM EXAMINATION
MGT503- Principles of Management
Spring 2010
By ADNAN AWAN
Adnanawan6@gmail.com

Time: 90 min

Marks: 69

Question No: 1 (Marks: 1) - Please choose one

The bank of New England uses models to figure out how many teller need to be on duty at each location at various times throughout the day. Bank is using which of the following approaches?

- ▶ Management science
- ▶ Operations management
- ▶ Total quality management
- ▶ **Contingency perspective**

Question No: 2 (Marks: 1) - Please choose one

The culture of an organization is largely determined by:

- ▶ **Top management**
- ▶ Employees
- ▶ Stockholders
- ▶ The company founders

Question No: 3 (Marks: 1) - Please choose one

Sony Corporation's focus on product innovation is an example of which of the following dimensions of organizational culture?

- ▶ Attention to detail
- ▶ People orientation
- ▶ **Outcome orientation**
- ▶ Aggressiveness

Question No: 4 (Marks: 1) - Please choose one

An individual's personal beliefs regarding what is right and wrong or good and bad is called:

- ▶ **Ethics**
- ▶ Values
- ▶ Norms
- ▶ Rituals

Question No: 5 (Marks: 1) - Please choose one

EU, NAFTA, FTAA and ASEAN are examples of:

- ▶ **Regional trade alliances**
- ▶ Foreign airlines
- ▶ Soccer teams in Europe
- ▶ New multinational corporations

Adnanawan6gmail.com

Question No: 6 (Marks: 1) - Please choose one

Which one is the final step in the decision-making process:

- ▶ Evaluating the decision
- ▶ Recognizing the decision
- ▶ Evaluating the alternatives
- ▶ **Implementing the decision**

Question No: 7 (Marks: 1) - Please choose one

All of the following are the assumptions of rational decision making EXCEPT:

- ▶ Alternatives are known
- ▶ Possible outcomes known
- ▶ Optimal decision is possible
- ▶ **Information is unknown**

Question No: 8 (Marks: 1) - Please choose one

Which of the following is a variation of the electronic meeting that links media from different locations?

- ▶ E-commerce
- ▶ The Delphi technique
- ▶ E-Brainstorming
- ▶ **Video conference**

Question No: 9 (Marks: 1) - Please choose one

Mission Statement of Johnson & Johnson is:

"We believe our first responsibility is to the doctors, nurses, and patients, to mothers and all others who use our products"

This statement shows which of the following attributes of mission statement?

- ▶ Location
- ▶ Customers
- ▶ Self concept
- ▶ **Desired public image**

Question No: 10 (Marks: 1) - Please choose one

Operational plans are normally associated with which of the following organizational level?

- ▶ Global level
- ▶ Corporate level
- ▶ **Business level**
- ▶ Functional level

Question No: 11 (Marks: 1) - Please choose one

Which of the following is a primary benefit of MBO?

- ▶ Avoid competition
- ▶ Resistance against new entrance
- ▶ **Improve employee motivation**
- ▶ Increase resources

Question No: 12 (Marks: 1) - Please choose one

In BCG matrix which of the following businesses have a large share of a market that are not expected to grow substantially?

- ▶ Dogs
- ▶ **Question mark**

- ▶ Star
- ▶ Cash cow

Question No: 13 (Marks: 1) - Please choose one

Which of the following organization is responsible for the development of small business in Pakistan?

- ▶ **SMEDA**
- ▶ BISE
- ▶ ICMA
- ▶ PCSIR

Question No: 14 (Marks: 1) - Please choose one

Employees with more training and experience are able to work with less direct supervision which is the characteristics of which of the following?

- ▶ Wide span of control and a flatter organization
- ▶ Violates Fayol's principle of chain of command
- ▶ A highly centralized organization
- ▶ **Very narrow span of control and more levels of managers**

Question No: 15 (Marks: 1) - Please choose one

Maslow's hierarchy of needs theory proposes that every person has a hierarchy of:

- ▶ Four needs
- ▶ **Five needs**
- ▶ Three needs
- ▶ Six needs

Question No: 16 (Marks: 1) - Please choose one

Which of the following theory points out that the individual has to be rewarded with something that he or she values?

- ▶ Herzberg's theory
- ▶ Expectancy theory
- ▶ **Equity theory**
- ▶ McClelland's goal setting theory

Question No: 17 (Marks: 1) - Please choose one

Which of the following is a major drawback of written communication?

- ▶ Lack of feedback
- ▶ Lack of precision
- ▶ **Less well thought out**
- ▶ Lack of verifiable permanent record

Question No: 18 (Marks: 1) - Please choose one

The process in which a sender manipulates information so the receiver will see it more favorably, is called:

- ▶ **Filtering**
- ▶ Selective perception
- ▶ Noise
- ▶ Information overload

Question No: 19 (Marks: 1) - Please choose one

Control that prevents anticipated problems is called:

- ▶ **Feed forward control**
- ▶ Concurrent control

- ▶ Feedback control
- ▶ Management control

Question No: 20 (Marks: 1) - Please choose one

Amir has found out that his department operates on the most popular type of control that many other companies use. Which type of control all companies have in common?

- ▶ **Feed forward**
- ▶ Concurrent
- ▶ Feedback
- ▶ Indirect

Question No: 21 (Marks: 1) - Please choose one

Which one of Fayol's 14 principles of management helps preserve the concept of a continuous line of authority?

- ▶ Unity of demand
- ▶ **Unity of command**
- ▶ Demand structure
- ▶ Continuous demand

Question No: 22 (Marks: 1) - Please choose one

Ali always consults with his employees and uses their suggestions before making a decision. He is demonstrating which type of leadership style?

- ▶ Directive
- ▶ Achievement-oriented
- ▶ **Participative**
- ▶ Supportive

Question No: 23 (Marks: 1) - Please choose one

A significant edge over the competition in dealing with competitive forces is called:

- ▶ Core Competencies
- ▶ Competitive advantage
- ▶ **Competitive force**
- ▶ Swot analysis

Question No: 24 (Marks: 1) - Please choose one

Which of the following is the benefit of strategic management for the organizations?

- ▶ Direction for organization
- ▶ Competitive advantage
- ▶ Supports innovation
- ▶ **All of the given options**

Question No: 25 (Marks: 1) - Please choose one

If the environment is stable then the structure of the organization could be:

- ▶ Organic
- ▶ Divisional
- ▶ **Mechanistic**
- ▶ Simple

Question No: 26 (Marks: 1) - Please choose one

On achieving the targeted sales, Salman the marketing manager of ABC Company has been rewarded an award of "Best employee of the year". He is happy with this

outcome as a result of his performance, because this reward has _____ for him.

▶ **Equity valence value**

- ▶ Negative valence value
- ▶ Less valence value
- ▶ More valence value

Question No: 27 (Marks: 1) - Please choose one

The president of ABC Company asks his employees to follow the rule and regulations and all of his employees comply with his order. President influences the employees by which of the following power?

- ▶ Referent Power
- ▶ Coercive Power
- ▶ Expert Power

▶ **Legitimate Power**

Question No: 28 (Marks: 1) - Please choose one

50 applicants had been interviewed for the post of financial analyst. Among these 50 people, 5 people had been short listed because they were holding diplomas of specialization along with the degrees required. They influenced the interviewer with which of the following powers?

▶ **Expert Power**

- ▶ Coercive Power
- ▶ Legitimate Power
- ▶ Reward Power

Question No: 29 (Marks: 1) - Please choose one

Workers in spinning department are trying to communicate the bad working conditions to their supervisor by saying; "machines are creating too much heat and noise and disturbing our work". Workers have used which of the following type of communication?

▶ **Oral**

- ▶ Written
- ▶ Non-verbal
- ▶ All of the given options

Question No: 30 (Marks: 1) - Please choose one

Tendency of people to expend less effort while working in a group as compare to working alone is called:

- ▶ Synergy
- ▶ **Social Loafing**
- ▶ Group Task
- ▶ Group Cohesiveness

Question No: 31 (Marks: 1) - Please choose one

Communication which takes place without regard to hierarchical or task requirements is called:

- ▶ Formal
- ▶ **Informal**
- ▶ Official
- ▶ Ceremonial

Question No: 32 (Marks: 1) - Please choose one

Cognitive ability of an individual effects the decision making process in which of the following manner?

- ▶ Can not utilize the available resources
- ▶ **Can not interpret all available information**
- ▶ Can not provide required financial resources
- ▶ Can not control the external situations

Question No: 33 (Marks: 1) - Please choose one
SWOT analysis is a technique of:

- ▶ **Environmental scanning**
- ▶ Forecasting
- ▶ Benchmarking
- ▶ Budgeting

Question No: 34 (Marks: 1) - Please choose one
Group members usually do not see each other while making decisions in:

- ▶ Brainstorming
- ▶ Delphi
- ▶ **Interacting**
- ▶ Interacting

Adnanawan6@gmail.com

Question No: 35 (Marks: 1) - Please choose one
Which of the following behaviour had dramatically influenced by Hawthorne studies?

- ▶ **Informal behaviour**
- ▶ Social behaviour
- ▶ Moral behaviour
- ▶ Ethical behaviour

Question No: 36 (Marks: 1) - Please choose one
Which of the following is called an input to an organizational system?

- ▶ **Employees**
- ▶ Products
- ▶ Services
- ▶ Customers

Question No: 37 (Marks: 1) - Please choose one
Which of the following techniques relies on individual or group judgments rather than on mathematical analysis?

- ▶ Quantitative forecasting
- ▶ Technological forecasting
- ▶ **Qualitative forecasting**
- ▶ Benchmark forecasting

Question No: 38 (Marks: 1) - Please choose one
Considering the changing patterns of the business world, which of the given is considered to be the modern motivating tool?

- ▶ High salary
- ▶ Flexi time
- ▶ **Secured job**
- ▶ Medical allowance

Question No: 39 (Marks: 1) - Please choose one

In order to make organization more flexible and responsive through employee participation, organization should tend towards which of the following?

▶ **Decentralization**

- ▶ Globalization
- ▶ Departmentalization
- ▶ Widen the span of control

Question No: 40 (Marks: 1) - Please choose one

Which of the following is an extrinsic factor of motivation?

▶ **Wages and salaries**

- ▶ Job variety
- ▶ Sense of accomplishment
- ▶ All of the given options

Question No: 41 (Marks: 1) - Please choose one

Starbuck's _____ of opening one hundred stores per year helps everyone in the firm, in recognizing the strong emphasis on growth.

- ▶ Goal
- ▶ Mission
- ▶ Vision

▶ **Plan**

Question No: 42 (Marks: 1) - Please choose one

Call centers have been developed to record and put forward the customers' complaints to:

- ▶ Problem solving teams
- ▶ Cross functional teams

▶ **Quality circles**

- ▶ Work teams

Question No: 43 (Marks: 1) - Please choose one

Pamphlets used for the promotion of a product are the example of:

- ▶ Oral communication

▶ **Non-verbal communication**

- ▶ Written communication
- ▶ None of the given options

Question No: 44 (Marks: 1) - Please choose one

In recent research on trait theory all of the following were indicators of leadership EXCEPT:

- ▶ Extraversion
- ▶ Introversion
- ▶ **Honesty**
- ▶ Desire to lead

Question No: 45 (Marks: 1) - Please choose one

Who developed the first comprehensive contingency model for leadership?

▶ **Fiedler**

- ▶ Vroom
- ▶ House
- ▶ Hersey

Question No: 46 (Marks: 1) - Please choose one

Which of the following is a power that has been legitimated by the organizations?

- ▶ Responsibility
- ▶ Span of control
- ▶ **Authority**
- ▶ Accountability

Question No: 47 (Marks: 1) - Please choose one

The individuals who are working in the organizations in a capacity of generating & supporting new ideas for the organization are called:

- ▶ Lender
- ▶ Entrepreneur
- ▶ **Stakeholder**
- ▶ Financer

Question No: 48 (Marks: 1) - Please choose one

SWOT analysis divides organizational strengths into two categories; common strength and_____.

- ▶ Chance of growth
- ▶ Core competency
- ▶ **System loophole**
- ▶ Competitor risk

Adnanawan6@gmail.com

PAPER NO 2

FINAL TERM EXAMINATION

Spring 2010

MGT503- Principles of Management

BY ADNAN AWAN

Adnanawan6@gmail.com

Time: 90 min

Marks: 69

Question No: 1 (Marks: 1) - Please choose one

All of following are true regarding teams EXCEPT:

- ▶ Teams are more flexible than traditional departments
- ▶ **Teams are less responsive to a changing environment**
- ▶ Teams can serve as a source of job satisfaction
- ▶ Teams better utilize employee talents

Question No: 2 (Marks: 1) - Please choose one

If you get more output from a given input, you have:

- ▶ Decreased effectiveness
- ▶ Increased effectiveness

- ▶ Decreased efficiency
- ▶ **Increased efficiency**

Question No: 3 (Marks: 1) - Please choose one

Constituencies in an organization's external environment that are affected by the organization's decisions and actions are called:

- ▶ **Stakeholders**
- ▶ Advisories
- ▶ Beneficiaries
- ▶ Environmentalists

Question No: 4 (Marks: 1) - Please choose one

European Union was established in:

- ▶ February 1992
- ▶ January 1994
- ▶ **July 1992**
- ▶ November 1993

Question No: 5 (Marks: 1) - Please choose one

Mission Statement of Johnson & Johnson is:

"We believe our first responsibility is to the doctors, nurses, and patients, to mothers and all others who use our products"

This statement shows which of the following attributes of mission statement?

- ▶ Location
- ▶ Customers
- ▶ Self concept
- ▶ **Desired public image**

Question No: 6 (Marks: 1) - Please choose one

Operational plans are normally associated with which of the following organizational level?

- ▶ Global level
- ▶ Corporate level
- ▶ **Business level**
- ▶ Functional level

Question No: 7 (Marks: 1) - Please choose one

Which of the following is the set of strategic alternatives that an organization chooses from, as it conducts business in a particular industry or market?

- ▶ Business-level strategy
- ▶ **Corporate-level strategy**
- ▶ Functional-level strategy
- ▶ Market-level strategy

Question No: 8 (Marks: 1) - Please choose one

In BCG matrix which of the following businesses have a very small share of a market and are not expected to grow?

- ▶ Star
- ▶ Dogs
- ▶ Cash cow
- ▶ **Question mark**

Question No: 9 (Marks: 1) - Please choose one

When managers delegate authority, they must allocate equal:

- ▶ **Responsibility**
- ▶ Power
- ▶ Money
- ▶ Influence

Question No: 10 (Marks: 1) - Please choose one

Which of the following organization is responsible for the development of small business in Pakistan?

- ▶ **SMEDA**
- ▶ BISE
- ▶ ICMA
- ▶ PCSIR

Question No: 11 (Marks: 1) - Please choose one

Which of the following creates the "Dual Chain of Command?"

- ▶ Team based and Project Structure
- ▶ Functional and Simple structure
- ▶ **Project and matrix Structure**
- ▶ Simple and matrix Structure

Question No: 12 (Marks: 1) - Please choose one

Which of the following is an internal state that makes certain outcomes appear attractive?

- ▶ Fad
- ▶ Desire
- ▶ **Need**
- ▶ Fashion

Question No: 13 (Marks: 1) - Please choose one

The statement that people will exercise self direction and self control if they are committed to the objectives, is true about which of the following?

- ▶ Equity Theory
- ▶ **ERG Theory**
- ▶ Theory X
- ▶ Theory Y

Question No: 14 (Marks: 1) - Please choose one

According to Herzberg's Motivation-Hygiene Theory, which of the following is NOT a hygiene factor?

- ▶ Working Conditions
- ▶ Salary
- ▶ **Relationship with supervisor**
- ▶ Work itself

Question No: 15 (Marks: 1) - Please choose one

Which of the following group engages in collective work that requires joint effort and generates a positive synergy?

- ▶ **Work group**
- ▶ Work team
- ▶ Quality circle
- ▶ Functional team

Question No: 16 (Marks: 1) - Please choose one

A team whose members are at different locations, who work together and solve problems through computer-assisted exchange rather than personal, face-to-face meetings are operating as which of the following?

- ▶ Virtual team
- ▶ Quality circle
- ▶ Self-directed team
- ▶ **Cross-functional team**

Question No: 17 (Marks: 1) - Please choose one

Amir has found out that his department operates on the most popular type of control that many other companies use. Which type of control all companies have in common?

- ▶ Feed forward
- ▶ **Concurrent**
- ▶ Feedback
- ▶ Indirect

Question No: 18 (Marks: 1) - Please choose one

Which of the following can be defined as the art and science of formulating, implementing and evaluating cross-functional decisions that enable an organization to achieve its objectives?

- ▶ Strategy formulation
- ▶ Strategy evaluation
- ▶ Strategy implementation
- ▶ **Strategic management**

Question No: 19 (Marks: 1) - Please choose one

Decisions which deal with situations where the factors are fairly structured and occur with some frequency are called:

- ▶ Heuristic decision
- ▶ **Programmed decision**
- ▶ Satisfying decision
- ▶ Non-programmed decision

Question No: 20 (Marks: 1) - Please choose one

"Employees dislike work, they are lazy, dislike responsibilities and must be coerced to perform". Which of the following best describes this statement?

- ▶ Hygiene Factor Theory
- ▶ Resistance Theory
- ▶ **Theory X**
- ▶ Two factors Theory

Question No: 21 (Marks: 1) - Please choose one

Management of ABC Company has decided to adopt a systematic way of setting goals for its work units and for employees so that all their activities are directly linked to achieve the organizational goals. Management of ABC Company is following which of the following concept?

- ▶ Management by objective
- ▶ **Management by resources**
- ▶ Management by authority
- ▶ Management by system

Question No: 22 (Marks: 1) - Please choose one

Mr. Ali is working in XYZ Company for the last three years and since then he is performing the same tasks. Now he wants to put his efforts in the more challenging tasks that could increase the amount of his control and responsibilities.

What possible job practices should be added to Ali's job?

- ▶ Job enlargement
- ▶ **Job enrichment**
- ▶ Job rotation
- ▶ Feedback

Question No: 23 (Marks: 1) - Please choose one

Honda has decided to shift towards the higher efficiency rather than sales growth. For achieving such goal, some authorities were delegated to middle managers, which were previously held by top management. Honda has applied which of the following concept?

- ▶ **Highly centralized**
- ▶ Departmentalization
- ▶ Decentralization
- ▶ Centralization

Question No: 24 (Marks: 1) - Please choose one

"How long effort is maintained" relates to which of the following approach of performing a task?

- ▶ **Intensity**
- ▶ Direction
- ▶ Persistence
- ▶ Motivation

Question No: 25 (Marks: 1) - Please choose one

All of the following are the behavioural theories EXCEPT:

- ▶ Path Goal studies
- ▶ Ohio State Studies
- ▶ Michigan Studies
- ▶ **Iowa Studies**

Question No: 26 (Marks: 1) - Please choose one

Which of the following can be used as a medium of communication in the organizations?

- ▶ Manuals
- ▶ Meetings
- ▶ Face to face discussions
- ▶ **All of the given options**

Question No: 27 (Marks: 1) - Please choose one

During a meeting Mr. A, from the quality control department was not agreeing with the marketing manager on the issue like "how to improve the product quality ". He simply leaves the meeting and by doing so he wants to communicate his disagreement with the marketing manager. This is an example of:

- ▶ Non-verbal
- ▶ Verbal
- ▶ Written
- ▶ **Oral**

Question No: 28 (Marks: 1) - Please choose one

The force that results in greater combined gains/benefits through group interaction is called:

- ▶ **Positive synergy**
- ▶ Negative synergy
- ▶ Individualism
- ▶ Cohesiveness

Question No: 29 (Marks: 1) - Please choose one

Which of the given option represents the relationship between 'Management Science' & 'Operation Management'?

- ▶ **Both are used interchangeably**
- ▶ Operation management is an applied form of management science
- ▶ Management science is an applied form of operation management
- ▶ No relationship exists between the two

Question No: 30 (Marks: 1) - Please choose one

Job activities performed by workers of an organization are served as:

- ▶ **Input in a system**
- ▶ Transformation process
- ▶ Output offered by organization
- ▶ Feedback from the environment

Question No: 31 (Marks: 1) - Please choose one

In order to respond to irrational situations, which of the following style is preferred?

- ▶ Crisis decision making style
- ▶ **Programmed decision making style**
- ▶ Opportunity decision making style
- ▶ Non-programmed decision making style

Question No: 32 (Marks: 1) - Please choose one

Amir is representing his company at the local Chamber of Commerce Annual Business Recognition luncheon. He is performing which of the following managerial role?

- ▶ **Liaison**
- ▶ Negotiator
- ▶ Monitor
- ▶ Figurehead

Question No: 33 (Marks: 1) - Please choose one

Selection of students in the admission process of university is an illustration of:

- ▶ Structured decisions
- ▶ Ill-structured decisions
- ▶ **Programmed decisions**
- ▶ Non-programmed decisions

Question No: 34 (Marks: 1) - Please choose one

Which of the following reasoning gave emergence to the concept of non-rational models of decision making?

- ▶ All the necessary information is not always available
- ▶ Strict rules and regulations are defined in the organizations
- ▶ Highly needed by the bureaucratic & public sector organizations
- ▶ **All of the given options**

Question No: 35 (Marks: 1) - Please choose one

Behavioral viewpoint emphasizes the need of understanding the various factors affecting the_____in an organization.

- ▶ Undesired behavior
- ▶ Moral behavior
- ▶ **Ethical behavior**
- ▶ Human behavior

Question No: 36 (Marks: 1) - Please choose one

Which of the following is called an input to an organizational system?

- ▶ **Employees**
- ▶ Products
- ▶ Services
- ▶ Customers

Question No: 37 (Marks: 1) - Please choose one

Disney World buys soft drinks from coca-cola, food from Sara Lee and paper products from Mead. Coca-cola, Sara Lee and Mead are Disney's:

- ▶ Competitors

► **Suppliers**

- Owners
- Customers

Question No: 38 (Marks: 1) - Please choose one

The common currency used by European Union is called:

- Franc
- Franc-mark
- Pound
- **Euro**

Question No: 39 (Marks: 1) - Please choose one

In order to achieve efficiency organizations segregate tasks in terms of similarity of its activities, the process is labeled as:

- Job specification
- **Job specialization**
- Job design
- Job description

Question No: 40 (Marks: 1) - Please choose one

Which of the given power is attained through formal hierarchy?

- Expert power
- **Information power**
- Charismatic power
- Referent power

Question No: 41 (Marks: 1) - Please choose one

Goal-setting theory states that "more difficult goals lead to more efforts". Therefore goals should be:

- Beyond the individuals capacity
- Challenging but not unattainable
- Timeless to continue the efforts in long run
- **All of the given options**

Question No: 42 (Marks: 1) - Please choose one

Employee's personal inclination towards goal attainment is referred as:

- Goal commitment
- Goal difficulty
- Goal acceptance
- **Goal specificity**

Question No: 43 (Marks: 1) - Please choose one

Mr. A, Mr. B, Mr. C and Mr. D are working on a project in a team. Mr. A wants to dominate others, as he wants to become a leader and controlling authority. Mr. A meets which of the following needs?

- **Need for power**
- Need for achievement
- Need for success

- ▶ Need for affiliation

Question No: 44 (Marks: 1) - Please choose one

It is essential for a team to be a:

- ▶ **Formal group**
- ▶ Large group
- ▶ Informal group
- ▶ Small group

Question No: 45 (Marks: 1) - Please choose one

Which of the following is selected by the sender and may be formal for job-related messages or informal for personal or social messages?

- ▶ Message
- ▶ **Channel**
- ▶ Feedback
- ▶ Noise

Question No: 46 (Marks: 1) - Please choose one

Which of the following leader's behavior was identified by Researchers at Ohio State Universities?

- ▶ **Consideration and initiating structure**
- ▶ Consideration and autocratic
- ▶ Autocratic style
- ▶ Charismatic skills

Question No: 47 (Marks: 1) - Please choose one

In Pakistan China imported goods are relatively cheap. These companies are practicing which of the following strategies?

- ▶ Focus Strategy
- ▶ Differentiation strategy
- ▶ **Cost leadership strategy**
- ▶ Emergent strategy

Question No: 48 (Marks: 1) - Please choose one

Which of the following is the set of strengths, characteristics and qualities including skills, technologies or resources that distinguish a firm from its competitors?

- ▶ Scope of business
- ▶ **Distinctive competency**
- ▶ Resource deployment
- ▶ Effective strategy

PAPER NO 3

FINAL TERM EXAMINATION
Spring 2010
MGT503- Principles of Management
BY ADNAN AWAN
Adnanawan6@gmail.com

Time: 90 min

Question No: 1 (Marks: 1) - Please choose one

Which of the following courses helps managers gain a better understanding of motivation, leadership, trust, employee selection, performance appraisals and training techniques?

- ▶ Psychology
- ▶ Sociology
- ▶ Political science
- ▶ **Anthropology**

Question No: 2 (Marks: 1) - Please choose one

All of the following are included in the four components of the management process EXCEPT:

- ▶ Organizing
- ▶ Leading
- ▶ **Delegating**
- ▶ Planning

Question No: 3 (Marks: 1) - Please choose one

Ali is a Branch Manager at Mutual Saving Bank. If he is an average middle manager, which of the following management activities is he likely to spend the greatest amount of time?

- ▶ Planning
- ▶ **Controlling**
- ▶ Leading
- ▶ Organizing

Question No: 4 (Marks: 1) - Please choose one

Who studied work to eliminate inefficient hand-and-body motions?

- ▶ Henri Fayol
- ▶ **Frank and Lillian Gilbreth**
- ▶ Fredrick Taylor
- ▶ Henry Towne

Question No: 5 (Marks: 1) - Please choose one

All of the following are called "Classical Viewpoints" EXCEPT:

- ▶ Scientific management
- ▶ **Industrial management**
- ▶ Administrative management
- ▶ Bureaucratic management

Question No: 6 (Marks: 1) - Please choose one

Which of the following concept suggests that organizational units may often be more successful working together than working alone?

- ▶ Transformation
- ▶ **Synergy**
- ▶ Negative Entropy
- ▶ Entropy

Synergy

is the ability of the whole to equal more than the sum of its parts.

Question No: 7 (Marks: 1) - Please choose one

A form of business exchange or transaction in which the parties interact electronically is called:

▶ **E-commerce**

- ▶ E-business
- ▶ E-shopping
- ▶ E- trading

Question No: 8 (Marks: 1) - Please choose one

Which one is the final step in the decision-making process:

- ▶ Evaluating the decision
- ▶ Recognizing the decision
- ▶ Evaluating the alternatives

▶ **Implementing the decision**

Question No: 9 (Marks: 1) - Please choose one

A situation that offers a strong potential for significant organizational gain if appropriate actions are taken is called:

- ▶ Crisis problem
- ▶ Non- Crisis problem

▶ **Opportunity problem**

- ▶ Financial Problem

Question No: 10 (Marks: 1) - Please choose one

Competitor intelligence allows managers to do which of the following?

- ▶ React to competitor actions
- ▶ Cut cost below the competition
- ▶ Increase market diversification

▶ **Predict competitor actions**

Question No: 11 (Marks: 1) - Please choose one

Mission Statement of Johnson & Johnson is:

"We believe our first responsibility is to the doctors, nurses, and patients, to mothers and all others who use our products"

This statement shows which of the following attributes of mission statement?

- ▶ Location
- ▶ **Customers**
- ▶ Self concept
- ▶ Desired public image

Question No: 12 (Marks: 1) - Please choose one

Operational plans are normally associated with which of the following organizational level?

- ▶ Global level
- ▶ Corporate level
- ▶ Business level
- ▶ **Functional level**

Question No: 13 (Marks: 1) - Please choose one

The method by which strategies are operationalized or executed within the organization is called:

- ▶ Strategy formulation
- ▶ **Strategy implementation**
- ▶ Strategy evaluation
- ▶ Strategy imitation

Question No: 14 (Marks: 1) - Please choose one

When the strength provides superior and unique customer value and is difficult to imitate then the distinctive competence creates a sustainable:

- ▶ **Competitive advantage**
- ▶ Scope
- ▶ Resource deployment
- ▶ Effective strategy

Question No: 15 (Marks: 1) - Please choose one

Which of the following is an area in the environment that if exploited may generate high performance for organization?

- ▶ Strength
- ▶ Weakness
- ▶ **Opportunity**
- ▶ Threat

Question No: 16 (Marks: 1) - Please choose one

In BCG matrix which of the following businesses have a large share of a market that are not expected to grow substantially?

- ▶ Dogs
- ▶ Question mark
- ▶ Star
- ▶ **Cash cow**

The Cash Cow has a high market share in a slowly growing market.

Question No: 17 (Marks: 1) - Please choose one

A company's "chain of command" is a part of which process?

- ▶ Span of control
- ▶ **Organizational design**
- ▶ Formalization
- ▶ Work specialization

Question No: 18 (Marks: 1) - Please choose one

Which of the following is a characteristic of an organic organization?

- ▶ Centralization
- ▶ High specialization
- ▶ High formalization
- ▶ **Free flow of information**

Question No: 19 (Marks: 1) - Please choose one

According to Maslow, which one of the following needs does not fit into the higher-order needs?

- ▶ Self-actualization
- ▶ Esteem
- ▶ **Physiological**
- ▶ Social

According to Maslow it is most basic or lower order need.

Question No: 20 (Marks: 1) - Please choose one
According to Maslow, which hierarchy is in proper order from lowest to highest?

- ▶ Safety, physiological, esteem, self-actualization, social.
- ▶ Esteem, physiological, self-actualization, safety, social
- ▶ Self-actualization, physiological, social, esteem, safety
- ▶ **Physiological, safety, social, esteem, self-actualization**

Question No: 21 (Marks: 1) - Please choose one
The statement that people will exercise self direction and self control if they are committed to the objectives, is true about which of the following?

- ▶ Equity Theory
- ▶ ERG Theory
- ▶ Theory X
- ▶ **Theory Y**

Question No: 22 (Marks: 1) - Please choose one
Which theory includes the component that employee motivation is influenced by relative as well as absolute rewards?

- ▶ Expectancy
- ▶ Three-needs
- ▶ Goal-setting
- ▶ **Equity**

Question No: 23 (Marks: 1) - Please choose one
Which of the following is the?

- ▶ Group Conformity
- ▶ **Group cohesiveness**
- ▶ Group decision making
- ▶ Group norms

Question No: 24 (Marks: 1) - Please choose one
Self-managing teams possess all of the following characteristics EXCEPT:

- ▶ **Members hire other members**
- ▶ Members determine the compensation of its members
- ▶ Members have discretion in scheduling work within the team
- ▶ Members have discretion in distributing tasks within the team

Question No: 25 (Marks: 1) - Please choose one
Which of the following is the most cited benefit of value chain management?

- ▶ **Cost savings**
- ▶ Increased sales
- ▶ Inventory reductions
- ▶ Accelerated delivery times

Question No: 26 (Marks: 1) - Please choose one

A large chemical company not only dispose off all toxic waste properly as outlined by law, but it also spends \$1 million dollars each year on research to determine better processes for all businesses to use in disposing of toxic wastes. This company is exhibiting which of the following?

► **Social responsibility**

- Social obligation
- Moral obligation
- Social responsiveness

Question No: 27 (Marks: 1) - Please choose one

If goals are _____, it will help the employees to identify the purpose of goals and to recognize the ways of meeting them.

► **Relevant**

- Time-limit
- General
- Measurable

Question No: 28 (Marks: 1) - Please choose one

When we talk about an organization's core technology, we mean organization's:

- Less important technology
- **Most important technology**
- All technologies the organization is using
- Technology that is never used

Question No: 29 (Marks: 1) - Please choose one

An organizational structure made up of working groups or teams is called:

► **Team-based structure**

- Project structure
- Matrix structure
- Divisional structure

Question No: 30 (Marks: 1) - Please choose one

Tall structure is more expensive because of:

- Few departments
- Lesser resources
- Fewer hierarchical levels
- **More hierarchical levels**

Question No: 31 (Marks: 1) - Please choose one

Which of the following theory directly relates the individual's behavior with the consequences of their actions?

► **Reinforcement theory**

- Goal setting theory
- Equity theory
- Expectancy theory

Question No: 32 (Marks: 1) - Please choose one

Mr. Haris and Mr. Fahad are working equally but Mr. Haris is paid more than Mr. Fahad. Mr. Haris is being----- and Mr. Fahad is being-----.

- Over rewarded, under rewarded
- **Under rewarded, over rewarded**
- Rewarded, unrewarded

- ▶ Over rewarded, unrewarded

Question No: 33 (Marks: 1) - Please choose one

To analyze the group performance, group should be viewed as:

- ▶ System
- ▶ **Feedback**
- ▶ Output
- ▶ Input

Question No: 34 (Marks: 1) - Please choose one

XYZ Company is dealing in consumer products and operating in highly competitive market. Company wants to assure the quality of its product by applying best suitable control method. Which of the following control method will be suitable for XYZ Company?

- ▶ Bureaucratic control
- ▶ **Market control**
- ▶ Clan control
- ▶ None of the given options

Question No: 35 (Marks: 1) - Please choose one

Tax revenue is one of the significant resources of the city government, in which type of resource category tax revenue falls?

- ▶ Human resources
- ▶ **Financial resources**
- ▶ Physical resources
- ▶ Information resources

Question No: 36 (Marks: 1) - Please choose one

Which of the following group techniques allows group members to meet together, but also allows independent thinking?

- ▶ Brainstorming technique
- ▶ **Nominal group technique**
- ▶ Delphi technique
- ▶ Devil's advocacy technique

Question No: 37 (Marks: 1) - Please choose one

In terms of linear programming, profit margins on different products that a company can produce represent which of the following?

- ▶ Constraints
- ▶ Feasibility regions
- ▶ Scenarios
- ▶ **Objective function**

Question No: 38 (Marks: 1) - Please choose one

The university has selected some of its faculty members to conduct the worthy researches on variant topics. These members are also responsible for their courses in addition to this creative task of assisting research. Which of the following is applied in the given situation?

- ▶ Job rotation
- ▶ **Job enlargement**
- ▶ Job enrichment
- ▶ Job specification

Question No: 39 (Marks: 1) - Please choose one
Which of the given power is attained through formal hierarchy?

- ▶ **Expert power**
- ▶ Information power
- ▶ Charismatic power
- ▶ Referent power

Question No: 40 (Marks: 1) - Please choose one
Keeping distinguished features of Transformational leaders, at which hierarchical level they mostly found in an organization?

- ▶ Bottom level
- ▶ **Top level**
- ▶ Middle level
- ▶ First-line level

Question No: 41 (Marks: 1) - Please choose one
With respect to five hierarchical needs of Marlow's theory, at which level transformational style is more beneficial?

- ▶ Physical needs
- ▶ Safety needs
- ▶ Social needs
- ▶ **Self-actualization needs**

Question No: 42 (Marks: 1) - Please choose one
Which of the following groups usually adjourns?

- ▶ **Task group**
- ▶ Command group
- ▶ Friendship group
- ▶ Functional group

Question No: 43 (Marks: 1) - Please choose one
Health camps were established in Azad Jammu Kashmir as the rehabilitation program for earthquake effecties. These camps consisted of doctors and surgeons from various fields of specialization. Therefore health camp is an example of:

- ▶ Quality circle
- ▶ Virtual teams
- ▶ **Cross- functional teams**
- ▶ Management teams

Question No: 44 (Marks: 1) - Please choose one
Which of the following purpose is served through communication?

- ▶ Motivating employees
- ▶ Sharing information
- ▶ Conveying emotional expressions
- ▶ **All of the given options**

Question No: 45 (Marks: 1) - Please choose one
In a growing number of organizations, the traditional team consisting of a manager and a team that reports directly to him or her is being replaced, into _____, by giving relative autonomy to them to form more flexible teams.

- ▶ Quality improvement teams

- ▶ Virtual teams
- ▶ **Self-managing teams**

- ▶ Cross-functional teams

Question No: 46 (Marks: 1) - Please choose one

XYZ Company has been dealing in crockery since the last 12 years. Company's performance is satisfactory and the environment appears to be constant, that's why company perceives no reason to change, hence falls under:

- ▶ **Stability**
- ▶ Diversification
- ▶ Concentration
- ▶ Direct Expansion

Question No: 47 (Marks: 1) - Please choose one

When public sector organizations serve in terms of varying needs of children, disabled & adults, it is said to be adopting which kind of departmentalization?

- ▶ Product
- ▶ Geographic
- ▶ Outcome
- ▶ **Customer**

Question No: 48 (Marks: 1) - Please choose one

Zarkoo Airlines use _____ departmentalization to arrange its activities as commercial airplanes and military airplanes.

- ▶ **Functional**
- ▶ Geographic
- ▶ Customer
- ▶ Matrix

Adnanawan6@gmail.com

PAPER NO 4

FINAL TERM EXAMINATION
Spring 2010
MGT503- Principles of Management
BY ADNAN AWAN

Adnanawan6@gmail.com

Time: 90 min
Marks: 69

Question No: 1 (Marks: 1) - Please choose one
 Leadership role is more important for:

- ▶ **Top level managers**
- ▶ First line managers
- ▶ Middle level managers
- ▶ Non managerial staff

Question No: 2 (Marks: 1) - Please choose one

All of the following are included in Fayol's fundamental principles of management EXCEPT:

- ▶ **Diversity**
- ▶ Order
- ▶ Initiative
- ▶ Authority

Question No: 3 (Marks: 1) - Please choose one

A situation in which manager can make an accurate decision is called:

- ▶ **Certainty**
- ▶ Uncertainty
- ▶ Risk
- ▶ Factual

Question No: 4 (Marks: 1) - Please choose one

A manager who is deciding how to invest excess cash gets information from the bank. The manager describes various options available for investment, each of which has a guaranteed rate of return. This situation is called:

- ▶ Certainty
- ▶ Uncertainty
- ▶ Risk
- ▶ **Optimal decision-making**

Question No: 5 (Marks: 1) - Please choose one

All of the following are the assumptions of rational decision making EXCEPT:

- ▶ Alternatives are known
- ▶ Possible outcomes known
- ▶ Optimal decision is possible
- ▶ **Information is unknown**

Question No: 6 (Marks: 1) - Please choose one

Plans which have the broadest organizational focus and the longest time frame are called:

- ▶ Tactical
- ▶ **Strategic**
- ▶ Directional
- ▶ Operational

Question No: 7 (Marks: 1) - Please choose one

The method by which strategies are operationalized or executed within the organization is called:

- ▶ Strategy formulation
- ▶ **Strategy implementation**
- ▶ Strategy evaluation
- ▶ Strategy imitation

Question No: 8 (Marks: 1) - Please choose one

Which stage of strategic management focuses on; "how the strategy is achieved"?

- ▶ Implementation stage
- ▶ Evaluation stage
- ▶ Realization stage
- ▶ **Formulation stage**

Question No: 9 (Marks: 1) - Please choose one

Which of the following is a document that summarizes the business strategy and structure?

- ▶ **Business plan**
- ▶ Letter of credit
- ▶ Article of association
- ▶ Memorandum

Question No: 10 (Marks: 1) - Please choose one

Horizontal coordination links the activities of which of the following?

- ▶ Same departmental level
- ▶ From Top to bottom
- ▶ From Bottom to top level
- ▶ **Different departmental level**

Question No: 11 (Marks: 1) - Please choose one

All of the following factors are the most challenging for the managers in today's competitive world EXCEPT:

- ▶ Meet the market demand of products
- ▶ **Motivating competitors to do work efficiently**
- ▶ Facing the competition
- ▶ Environmental uncertainty

Question No: 12 (Marks: 1) - Please choose one

Channelized efforts are the result of which of the following?

- ▶ **Right direction**
- ▶ Centralization
- ▶ Proper guidance
- ▶ Good hierarchy

Question No: 13 (Marks: 1) - Please choose one

The statement that people will exercise self direction and self control if they are committed to the objectives, is true about which of the following?

- ▶ Equity Theory
- ▶ ERG Theory
- ▶ Theory X
- ▶ **Theory Y**

Question No: 14 (Marks: 1) - Please choose one

To motivate professionals what point should be in consideration?

- ▶ Commitment to their field
- ▶ Job security
- ▶ Offering high pay
- ▶ **Promotions**

Question No: 15 (Marks: 1) - Please choose one

A leader who involves employees in decision making, delegates authority and allows employees to have direct input into the final decision is using which of the following leadership style?

- ▶ Democratic-participative
- ▶ **Laissez-faire**
- ▶ Autocratic
- ▶ Democratic-consultative

Question No: 16 (Marks: 1) - Please choose one

Which of the following is a characteristic of a high-performing team that makes the group greater than the sum of its parts?

- ▶ A quality circle
- ▶ Group dynamics
- ▶ Synergy
- ▶ **Cohesiveness**

Question No: 17 (Marks: 1) - Please choose one

Which of the following group engages in collective work that requires joint effort and generates a positive synergy?

- ▶ **Work group**
- ▶ Work team
- ▶ Quality circle
- ▶ Functional team

Question No: 18 (Marks: 1) - Please choose one

As if's work team does its own hiring and scheduling and is even responsible for evaluating each other's performance. Asif is part of which of the following team?

- ▶ Problem-solving
- ▶ Cross-functional
- ▶ **Self-managed**
- ▶ Virtual

Question No: 19 (Marks: 1) - Please choose one

All of the following are examples of non-verbal communication EXCEPT:

- ▶ **Conference**
- ▶ Body position
- ▶ The distance between two people
- ▶ The style of clothing people wear

Question No: 20 (Marks: 1) - Please choose one

The supplies or raw material is needed to create a product are called:

- ▶ **Outputs**
- ▶ Investments
- ▶ Processes
- ▶ Inputs

Question No: 21 (Marks: 1) - Please choose one

What do we call the entire series of organizational work activities that add value at each step that begin with the processing of raw materials and end with a finished product in the hands of end users?

- ▶ Value Chain Management
- ▶ **Value Chain Management Operations**
- ▶ Value
- ▶ Value Chain

Question No: 22 (Marks: 1) - Please choose one

Which of the following is the obligation or expectation to perform a duty?

- ▶ **Responsibility**
- ▶ Unity of command
- ▶ Chain of command
- ▶ Span of control

Question No: 23 (Marks: 1) - Please choose one

Aslam is a manager of a software house. He is very competitive and tries to stay ahead of the competition. For this purpose he should provide information or services before any other company provides. But as internet industry is a dynamic industry, he has to provide information to his clients before it comes to market. In different situations he doesn't know what new trend will come in market. Aslam is operating under which of the following conditions?

- ▶ Risk
- ▶ Bounded Rationality
- ▶ **Uncertainty**
- ▶ Certainty

Question No: 24 (Marks: 1) - Please choose one

MBO was first described by:

- ▶ **Michael Porter**
- ▶ Charles Babbage
- ▶ Peter Drucker
- ▶ Hugo Munsterbeg

Question No: 25 (Marks: 1) - Please choose one

Policies, procedures, rules and regulations are kinds of:

- ▶ Budgeting
- ▶ Single-use plans
- ▶ **Standing plans**
- ▶ Informal plans

Question No: 26 (Marks: 1) - Please choose one

Which of the following is also known as strategy analysis?

- ▶ **SWOT analysis**
- ▶ External analysis
- ▶ Internal analysis
- ▶ Situation analysis

Question No: 27 (Marks: 1) - Please choose one

Which of the following should be completed first in the strategic management process?

- ▶ Performing SWOT analysis
- ▶ Implementing strategies

- ▶ Scan the environment
- ▶ **Define the organizational mission**

Question No: 28 (Marks: 1) - Please choose one

Small companies may not have so many opportunities of promotions, so they usually try to motivate employees through:

- ▶ Attractive packages
- ▶ High Incentives
- ▶ Turnover
- ▶ **Job enlargement**

Question No: 29 (Marks: 1) - Please choose one

Mr. Haris and Mr. Fahad are working equally but Mr. Haris is paid more than Mr. Fahad. Mr. Haris is being----- and Mr. Fahad is being-----.

- ▶ Over rewarded, under rewarded
- ▶ Under rewarded, over rewarded
- ▶ **Rewarded, unrewarded**
- ▶ Over rewarded, unrewarded

Question No: 30 (Marks: 1) - Please choose one

In many organizations individuals who have good computer skills and ability to solve related problems can influence others because of their:

- ▶ Coercive Power
- ▶ Referent Power
- ▶ **Expert Power**
- ▶ Reward Power

Question No: 31 (Marks: 1) - Please choose one

The effectiveness of downward communication can be increased by using all of the following approaches EXCEPT:

- ▶ By using multiple channels
- ▶ By repeating the message
- ▶ By encouraging feedback
- ▶ **By distorting the message**

Question No: 32 (Marks: 1) - Please choose one

Feed-forward, Feedback and Concurrent control are the types of control methods based on:

- ▶ **Decision making**
- ▶ Market information
- ▶ Timing
- ▶ Financial resources

Question No: 33 (Marks: 1) - Please choose one

A universally accepted model of a successful manager could be described as:

- ▶ **One who practices all the four management functions**
- ▶ One who executes all of the roles in a professional manner
- ▶ One who possesses all management skills at high levels
- ▶ There is no universally accepted model of a successful manager

Question No: 34 (Marks: 1) - Please choose one

With the passage of time the concept of work specialization has emerged in the business world. Which of the following skill category is influenced significantly due to this change?

▶ **Conceptual skill**

- ▶ Interpersonal skill
- ▶ Technical skill
- ▶ Human skill

Question No: 35 (Marks: 1) - Please choose one

Why customers are recognized as one of the major stakeholders of an organization?

▶ They are directly influenced by the company's culture

▶ **They engage their finances in the company's offerings**

- ▶ They are highly influenced by the company stock ratings
- ▶ They can impact the labor market of an organization

Question No: 36 (Marks: 1) - Please choose one

Which of the given role is played by Central Board of Revenue (CBR) in our environment with respect to the operating organizations?

- ▶ Competitors
- ▶ Clients
- ▶ Labor markets

▶ **Regulators**

Question No: 37 (Marks: 1) - Please choose one

In order to make effective decisions, managers have to be cautious enough while allocating the resources. Which of the given technique helps managers in this regard?

- ▶ Environmental scanning
- ▶ Forecasting
- ▶ Benchmarking

▶ **Budgeting**

Question No: 38 (Marks: 1) - Please choose one

Disney World buys soft drinks from Coca-Cola, food from Sara Lee and paper products from Mead. Coca-Cola, Sara Lee and Mead are Disney's:

- ▶ Competitors
- ▶ **Suppliers**
- ▶ Owners
- ▶ Customers

Question No: 39 (Marks: 1) - Please choose one

Scrutinizing the work situation for changing conditions that may signal the materialization of a problem comes under:

- ▶ Scanning stage
- ▶ Categorization stage
- ▶ Diagnosis stage

▶ **Implementation stage**

Question No: 40 (Marks: 1) - Please choose one

Pakistan Cricket Board (PCB) has appointed Waqar Younis as the coach of the Pakistani team to guide them the game tactics. On what grounds PCB has selected Waqar Younis?

► **He possesses expert power**

- He exercises reward power
- He occupies coercive power
- He enjoys information power

Question No: 41 (Marks: 1) - Please choose one

Considering the changing patterns of the business world, which of the given is considered to be the modern motivating tool?

► **High salary**

- Flexi time
- Secured job
- Medical allowance

Question No: 42 (Marks: 1) - Please choose one

Which of the following is the best description of motivation?

- An internal drive in a specific direction
- A trait that some people have and some people don't
- A trained condition or response

► **A talent that must be developed and perfected**

Question No: 43 (Marks: 1) - Please choose one

Which one of the following is a strength of MBO?

► **Overemphasis on quantitative goals**

- Requires training of employees
- Clarify priorities and expectation
- Tends to falter without strong commitment

Question No: 44 (Marks: 1) - Please choose one

ABC Corp. has turned each of its divisions into profit centers and evaluates each division by the percentage of total corporate profits that it generates. It uses which of the following control?

- Accounting
- Bureaucratic
- **Financial**
- Sector

Question No: 45 (Marks: 1) - Please choose one

Which of the following best describes this statement; "The degree to which the individual believes that performing at a particular level is instrumental in attaining the desired outcome"?

- Effort-performance linkage
- **Performance-reward linkage**
- Valence of a reward
- All of the given options

Question No: 46 (Marks: 1) - Please choose one

Which of the following is the set of strengths, characteristics and qualities including skills, technologies or resources that distinguish a firm from its competitors?

- Scope of business
- Distinctive competency
- **Resource deployment**
- Effective strategy

Question No: 47 (Marks: 1) - Please choose one

"Cost-saving advantages from specialization" is a feature of which kind of structural organization?

- ▶ Divisional
- ▶ Team
- ▶ Learning
- ▶ **Functional**

Question No: 48 (Marks: 1) - Please choose one

An organization that groups activities according to women's footwear, men's footwear, apparel and accessories would use which of the following departmentalization?

- ▶ Product
- ▶ **Operational**
- ▶ Geographic
- ▶ Functional

Paper No 5

FINAL TERM EXAMINATION
Fall 2009
MGT503- Principles of Management
BY ADNAN AWAN
Adnanawan6@gmail.com

Time: 120 min
Marks: 92

Question No:1 (Marks: 1) - Please choose one

Which of the following is the latest concept in financial control?

- ▶ Economic Market Value
- ▶ Earning Market Value
- ▶ Financial Value Added
- ▶ **Economic Value Added**

Question No: 2 (Marks: 1) - Please choose one

Feed forward control is also called as:

- ▶ **Preliminary control**
- ▶ Post action control
- ▶ Output control
- ▶ Concurrent control

Question No: 3 (Marks: 1) - Please choose one

A ----- is a control system that relies on human discretion as a basic part of its process.

- ▶ Cyber control system
- ▶ **Non-cybernetic control system**
- ▶ Market control system
- ▶ None of the given option

Question No: 4 (Marks: 1) - Please choose one

----- is a tool for measuring corporate and divisional performance by calculating after-tax operating profit minus the total annual cost of capital.

- ▶ Market value added
- ▶ **Economic value added**
- ▶ Balanced Scorecard
- ▶ Benchmarking

Question No:5 (Marks: 1) - Please choose one

All of the following are managerial roles identified in Mintzberg's Model EXCEPT:

<http://vustudents.ning.com>

- ▶ Informational
- ▶ Interpersonal
- ▶ **Functional**
- ▶ Decisional

Question No: 6 (Marks: 1) - Please choose one

When managers motivate employees, direct the activities of others and resolve conflicts, they are performing which of the following functions of management?

- ▶ Controlling
- ▶ Organizing
- ▶ **Leading**
- ▶ Planning

Question No: 7 (Marks: 1) - Please choose one

Who studied work to eliminate inefficient hand-and-body motions?

- ▶ Henri Fayol
- ▶ Frank and Lillian Gilbreth
- ▶ **Fredrick Taylor**
- ▶ Henry Towne

Question No: 8 (Marks: 1) - Please choose one

Low level management has a complete authority to make decisions in case of:

- ▶ Centralization
- ▶ **Decentralization**
- ▶ Scalar Chain
- ▶ Order

Question No: 9 (Marks: 1) - Please choose one

System approach recognizes that organizations are not:

- ▶ **Self-contained**
- ▶ Self-controlled
- ▶ Self-discipline
- ▶ Self-motivated

Question No: 10 (Marks: 1) - Please choose one

Mega environment is also called:

- ▶ Open environment
- ▶ Close environment
- ▶ Flexible environment

► **General environment**

Question No:11 (Marks: 1) - Please choose one

Maslow's hierarchy of needs theory proposes that every person has a hierarchy of:

- Four needs
- **Five needs**
- Three needs
- Six needs

Question No:12 (Marks: 1) - Please choose one

Which of the following deals with the need of a business to meet only basic economic and legal standards?

- Social responsibility
- **Social obligation**
- Moral obligation
- Social responsiveness

Question No: 13 (Marks: 1) - Please choose one

NAFTA was established by the Mexican, Canadian and U.S government on:

- August 12, 1990
- August 12, 1993
- **August 12, 1994**
- August 12, 1992

Question No:14 (Marks: 1) - Please choose one

A society where there is relatively little job mobility and widely practiced lifetime employment would be an example of which of the following dimensions of national culture?

- Power distance
- **Uncertainty avoidance**
- Short- versus long-term orientation
- Individualism versus collectivism

Question No:15 (Marks: 1) - Please choose one

A situation in which manager can make an accurate decision is called:

- **Certainty**
- Uncertainty
- Risk
- Factual

Question No:16 (Marks: 1) - Please choose one

"No smoking allowed" is an example of which of the following?

- **Rule**
- Procedure
- Policy
- Plan

Question No:17 (Marks: 1) - Please choose one

"Whenever possible, we promote from within" is an example of which of the following?

- Rule
- Procedure

- ▶ **Policy**
- ▶ Plan

Question No:18 (Marks: 1) - Please choose one

Aisha uses a decision-making style characterized by low tolerance for ambiguity and a rational way of thinking. What style does Aisha use?

- ▶ Analytic
- ▶ Conceptual
- ▶ **Directive**
- ▶ Behavioral

Question No: 19 (Marks: 1) - Please choose one

A problem with groupthink is that no one is actually in charge of making the final decision or outcome, which results in:

- ▶ **Ambiguous responsibility**
- ▶ Role incoherence
- ▶ Role ambiguity
- ▶ Ambiguous delegation

Question No: 20 (Marks: 1) - Please choose one

Which of the following is NOT one of the three techniques for assessing the environment?

- ▶ **Project management**
- ▶ Benchmarking
- ▶ Forecasting
- ▶ Environmental scanning

Question No:21 (Marks: 1) - Please choose one

Operational plans are normally associated with which of the following organizational level?

- ▶ Global level
- ▶ Corporate level
- ▶ Business level
- ▶ **Functional level**

Question No:22 (Marks: 1) - Please choose one

Which stage of strategic management focuses on; “how the strategy is achieved”?

- ▶ Implementation stage
- ▶ **Evaluation stage**
- ▶ Realization stage
- ▶ Formulation stage

Question No:23 (Marks: 1) - Please choose one

Which of the following is a system in which specific performance objectives are jointly determined by subordinates and their superiors and progress towards objectives is periodically reviewed?

- ▶ **Management by objective**
- ▶ Management by resources
- ▶ Management by authority
- ▶ Management by system

Question No: 24 (Marks: 1) - Please choose one

At the first step of goal setting a manager should:

► **Evaluate available resources**

- Review organization's mission
- Write down goals
- Estimate expected benefits

Question No: 25 (Marks: 1) - Please choose one

In Pakistan China imported goods are available on very inexpensive price. These companies are practicing which of the following strategies?

- Focus Strategy
- Differentiation strategy
- **Cost leadership strategy**
- Emergent strategy

Question No:26 (Marks: 1) - Please choose one

Which of the following is the collection of managerial decisions and actions that determine the long-run performance of an organization?

- **Strategic management**
- Goal-oriented management
- Planning
- Leadership

Question No:27 (Marks: 1) - Please choose one

Which of the following is a document that summarizes the business strategy and structure?

- **Business plan**
- Letter of credit
- Article of association
- Memorandum

Question No: 28 (Marks: 1) - Please choose one

Ali has just been promoted to line manager for the assembling plant. Since Ali is now a manager, which of the following automatically also goes with the title of manager?

- Span of control
- Authority
- Acceptance by the employees
- Respect

Question No:29 (Marks: 1) - Please choose one

Explicit job descriptions and clearly defined procedures are part of which of the following organizational design process?

- **Formalized**
- Process
- Centralized
- Functional

Question No:30 (Marks: 1) - Please choose one

Which of the following is best described as, it is any business that is independently owned and operated and is not dominate in its market?

- Corporation

- ▶ Entrepreneurship
- ▶ **Small business**
- ▶ Strategic alliance

Question No:31 (Marks: 1) - Please choose one

While making a business plan an entrepreneur cannot conduct market research until he:

- ▶ Develops legal plan
- ▶ Develops insurance plan
- ▶ Writes cover letter
- ▶ **Chooses product or service**

Question No: 32 (Marks: 1) - Please choose one

Which of the following is present in a Learning organization?

- ▶ Well-defined structure
- ▶ No leaders
- ▶ Unlimited autonomy
- ▶ A strong sense of community

Question No:33(Marks: 1) - Please choose one

Which of the following is the crucial element of team structure?

- ▶ **Employee empowerment**
- ▶ Faster decision-making
- ▶ Inexpensive to maintain
- ▶ Clear chain of command

Question No: 34 (Marks: 1) - Please choose one

Which of the following is a characteristic of an organic organization?

- ▶ Centralization
- ▶ High specialization
- ▶ High formalization
- ▶ **Free flow of information**

Question No:35 (Marks: 1) - Please choose one

What was the focus of leadership studies in 1920s and 1930s?

- ▶ Charisma
- ▶ Tasks
- ▶ **Traits**
- ▶ Behaviors

Question No:36 (Marks: 1) - Please choose one

Reinforcement theorists believe that behavior results from which of the following?

- ▶ **External consequences**
- ▶ Internal personality traits
- ▶ Setting high goals
- ▶ Intrinsic satisfiers

Question No:37 (Marks: 1) - Please choose one

A leader who involves employees in decision making, delegates authority and allows employees to have direct input into the final

decision is using which of the following leadership style?

- ▶ **Democratic-participative**
- ▶ Laissez-faire
- ▶ Autocratic
- ▶ Democratic-consultative

Question No:38 (Marks: 1) - Please choose one

Women tend to use which of the following leadership style?

- ▶ Autocratic
- ▶ Laissez-faire
- ▶ Dictatorial
- ▶ **Democratic**

Question No:39 (Marks: 1) - Please choose one

Asif's work team does its own hiring and scheduling and is even responsible for evaluating each other's performance. Asif is part of which of the following team?

- ▶ Problem-solving
- ▶ **Cross-functional**
- ▶ Self-managed
- ▶ Virtual

Question No:40 (Marks: 1) - Please choose one

The supplies or raw materials needed to create a product are called:

- ▶ Outputs
- ▶ Investments
- ▶ Processes
- ▶ **Inputs**

Question No:41 (Marks: 1) - Please choose one

Behavioral viewpoint emphasizes the need of understanding the various factors affecting the _____ in an organization.

- ▶ Social behavior
- ▶ Moral behavior
- ▶ Ethical behavior
- ▶ **Human behavior**

Question No:42 (Marks: 1) - Please choose one

ABC Corp. has turned each of its divisions into profit centers and evaluates each division by the percentage of total corporate profits that it generates. It uses which of the following control?

- ▶ Accounting
- ▶ Bureaucratic
- ▶ **Market**
- ▶ Sector

Question No:43 (Marks: 1) - Please choose one

Which of the following factor is more important for men than women?

- ▶ Opportunity to learn
- ▶ Flexibility
- ▶ **Autonomy**
- ▶ Convenience

Question No:44 (Marks: 1) - Please choose one

The Walt Disney Company's movies, theme parks and television programs all benefit one another. Children who enjoy a Disney movie like LION KING want to go to Disney world and see lion king show. They benefit greatly from:

- ▶ **Negative Entropy**
- ▶ Synergy
- ▶ Transformation
- ▶ Entropy

Question No:45 (Marks: 1) - Please choose one

According to Adam Smith, the division of labor results in:

- ▶ Increased worker's motivation
- ▶ Decreased worker's specialization
- ▶ **Increased worker's productivity**
- ▶ Decreased worker's motivation

Question No: 46 (Marks: 1) - Please choose one

Which one of Fayol's 14 principles of management helps preserve the concept of a continuous line of authority?

- ▶ Unity of demand
- ▶ **Unity of command**
- ▶ Demand structure
- ▶ Continuous demand

Question No:47 (Marks: 1) - Please choose one

Mr. A wants to earn a master's degree within two years from a native university. Which of the following SMART objective Mr. A has missed while setting this goal?

- ▶ Time-bound
- ▶ Acceptable
- ▶ **Measurable**
- ▶ Specific

Question No: 48 (Marks: 1) - Please choose one

Which of the following is also known as strategy analysis?

- ▶ **SWOT analysis**
- ▶ External analysis
- ▶ Internal analysis
- ▶ Situation analysis

Question No: 49 (Marks: 1) - Please choose one

Which of the following involves selling or dissolving an entire organization?

- ▶ Divesture
- ▶ **Liquidation**
- ▶ Bankruptcy
- ▶ Harvest

Question No: 50 (Marks: 1) - Please choose one

Grouping of job activities is also known as:

- ▶ **Job design**

- ▶ Job specification
- ▶ Departmentalization
- ▶ Distributing authority

Question No:51 (Marks: 1) - Please choose one

Some students are planning to form a group. They have decided to serve their community by creating the awareness among the people about the adverse effects of pollution. This group will be named as:

- ▶ Command group
- ▶ Functional group
- ▶ Task group
- ▶ **Interest group**

Question No: 52 (Marks: 1) - Please choose one

Which of the following is an example of a group that is formed by the employees themselves to serve the members' social needs?

- ▶ Cross functional group
- ▶ Command group
- ▶ Formal group
- ▶ **Informal group**

Question No: 53 (Marks: 1) - Please choose one

Which of the following characteristics of a group is helpful in determining the synergy level in a group?

- ▶ Group norms
- ▶ Group cohesiveness
- ▶ Group development
- ▶ **All of the given options**

Question No:54 (Marks: 1) - Please choose one

Which of the following can be used as a medium of communication in the organizations?

- ▶ Manuals
- ▶ Meetings
- ▶ Face to face discussions
- ▶ **All of the given options**

Question No:55 (Marks: 1) - Please choose one

Honda has decided to shift towards the higher efficiency rather than sales growth. For achieving such goal, some authorities were delegated to middle managers, which were previously held by top management. Honda has applied which of the following concept?

- ▶ Highly centralized
- ▶ Departmentalization
- ▶ **Decentralization**
- ▶ Centralization

Question No56 (Marks: 1) - Please choose one

Which of the following organizational structure has fewer hierarchical levels?

- ▶ Matrix Structure
- ▶ Divisional Structure
- ▶ **Flat Structure**
- ▶ Tall Structure

Question No:57 (Marks: 1) - Please choose one

The way you use your hands relates to which of the following?

- ▶ **Emotional quotient**
- ▶ Intelligence quotient
- ▶ Technical quotient
- ▶ Emotional intelligence

Question No:58 (Marks: 1) - Please choose one

Mr. Ali, Production manager of Alpha Company has been assigned a task of completing an assignment in a specific time. Mr. Ali is assessing his efforts that will lead to the required level of performance. Mr. Ali is concentrating on which issue according to expectancy theory?

- ▶ **Effort- performance relationship**
- ▶ Performance- outcome relationship
- ▶ Performance- valence relationship
- ▶ All of the given options

Question No:59 (Marks: 1) - Please choose one

Tendency of people to expend less effort while working in a group as compare to working alone is called:

- ▶ Synergy
- ▶ **Social Loafing**
- ▶ Group Task
- ▶ Group Cohesiveness

Question No:60 (Marks: 1) - Please choose one

Mr. Haris and Mr. Fahad are working equally but Mr. Haris is paid more than Mr. Fahad. Mr. Haris is being----- and Mr. Fahad is being-----.

- ▶ **Over rewarded, under rewarded**
- ▶ Under rewarded, over rewarded
- ▶ Rewarded, unrewarded
- ▶ Over rewarded, unrewarded

Question No:61 (Marks: 1) - Please choose one

Which of the following is a variation of the electronic meeting that links media from different locations?

- ▶ E-commerce
- ▶ The Delphi technique
- ▶ E-Brainstorming
- ▶ **Video conference**

Question No:62 (Marks: 1) - Please choose one

50 applicants had been interviewed for the post of financial analyst. Among these 50 people, 5 people had been short listed because they were holding diplomas of specialization along with the degrees required. They influenced the interviewer with which of the following powers?

- ▶ **Expert Power**
- ▶ Coercive Power
- ▶ Legitimate Power
- ▶ Reward Power

Question No:63 (Marks: 1) - Please choose one

Leaders are those who-----:

- ▶ Do things right
- ▶ Do the right things
- ▶ **Both of the given options**
- ▶ None of the given options

Question No: 64 (Marks: 1) - Please choose one
 According to Ohio State Studies, a leader will be more effective who is exhibiting;

- ▶ Low in initiating structure and low consideration
- ▶ **High in initiating structure and high consideration**

Adnanawan6@gmail.com

PAPER NO 6

FINAL TERM EXAMINATION

Spring 2010

MGT503- Principles of Management

BY ADNAN AWAN

Adnanawan6@gmail.com

Time: 90 min

Marks: 69

Question No: 1 (Marks: 1) - Please choose one

The traditional shape of an organization was:

- ▶ Circle
- ▶ **Pyramid**
- ▶ Square
- ▶ Diamond

Question No: 2 (Marks: 1) - Please choose one

When the CEO of a large retail store chain decided to sell off or close some of the stores that were not profitable, he was performing which of the following management functions?

- ▶ Leading

► Planning

► **Controlling**

- ▶ Organizing

Question No: 3 (Marks: 1) - Please choose one

NASA shoots a rocket and then continuously observes and makes whatever course corrections are needed to keep it on track. This process is called:

- ▶ Planning
- ▶ Organizing
- ▶ Leading
- ▶ **Controlling**

Question No: 4 (Marks: 1) - Please choose one

Munsterberg is considered to be the father of _____psychology.

- ▶ Clinical
- ▶ **Industrial**
- ▶ Behavior
- ▶ Theoretical

Question No: 5 (Marks: 1) - Please choose one

Decision making is typically described as which of the following?

- ▶ Deciding what is correct
- ▶ Putting preferences on paper
- ▶ **Choosing among alternatives**
- ▶ Processing information to completion

Question No: 6 (Marks: 1) - Please choose one

When objectives are not written down or rarely verbalized, and the planning is general and lacks continuity, which one of the following type of planning is used?

- ▶ Environmental planning
- ▶ Economic planning
- ▶ **Informal planning**

- ▶ Formal planning

Question No: 7 (Marks: 1) - Please choose one

Which one of the following is a weakness of MBO?

- ▶ Coordination of goals and plans
- ▶ Clarify priorities and expectation
- ▶ Foster employee motivation

▶ May cause overemphasis of quantitative goals.

Question No: 8 (Marks: 1) - Please choose one

If managers significantly change the organization's strategy, they need to modify which part to accommodate and support the change?

- ▶ Span of control
- ▶ Chain of command
- ▶ Goals

▶ Structure

Question No: 9 (Marks: 1) - Please choose one

Which of the following is a contemporary organizational structural design?

- ▶ Functional
- ▶ Divisional

▶ Learning

- ▶ Simple

Question No: 10 (Marks: 1) - Please choose one

According to Maslow's hierarchy of needs, which needs are predominantly satisfied internally?

- ▶ Safety

▶ Esteem

- ▶ Physiological
- ▶ social

Question No: 11 (Marks: 1) - Please choose one

Self respect, achievement and recognition are the example of which type of need?

- ▶ Social
- ▶ Physiological
- ▶ Self actualization

▶ **Esteem**

Question No: 12 (Marks: 1) - Please choose one

Which theory includes the component that employee motivation is influenced by relative as well as absolute rewards?

- ▶ Expectancy
- ▶ Three-needs
- ▶ Goal-setting

▶ **Equity**

Question No: 13 (Marks: 1) - Please choose one

Which of the following is a special group presenting unique motivational challenges?

- ▶ Top management

▶ **Professionals**

- ▶ Stakeholders
- ▶ Competitors

Question No: 14 (Marks: 1) - Please choose one

Which of the following is a situational leadership model?

- ▶ The trait approach
- ▶ **Transformational leadership**

- ▶ Blake and Mouton's Leadership Grid
- ▶ The path goal theory

Question No: 15 (Marks: 1) - Please choose one

Leaders who revitalize organizations by instilling a vision and deep sense of commitment in their followers are referred to as which of the following types of leaders?

- ▶ Charismatic
- ▶ Autocratic
- ▶ **Transformational**
- ▶ Transactional

Question No: 16 (Marks: 1) - Please choose one

All of the following are the major types of barrier that limit the success of value chain management EXCEPT:

- ▶ Required capabilities
- ▶ Organizational factors
- ▶ **Cultural factors**
- ▶ Technology investments

Question No: 17 (Marks: 1) - Please choose one

Decisions which deal with situations where the factors are fairly structured and occur with some frequency are called:

- ▶ Heuristic decision
- ▶ **Programmed decision**
- ▶ Satisfying decision
- ▶ Non-programmed decision

Question No: 18 (Marks: 1) - Please choose one

Which of the following refers to the concentration of decision authority at the top levels of the organizational hierarchy?

- ▶ Decentralization
- ▶ Departmentalization

▶ **Centralization**

- ▶ Formalization

Question No: 19 (Marks: 1) - Please choose one

A mission statement of an organization provides a unique insight to its _____ regarding future growth.

- ▶ Employees
- ▶ Stockholders

▶ **External group**

- ▶ Customers

Question No: 20 (Marks: 1) - Please choose one

Mr. A wants to earn a master's degree within two years from a native university. Which of the following SMART objective Mr. A has missed while setting this goal?

- ▶ Time-bound
- ▶ Acceptable

▶ **Measurable**

- ▶ Specific

Question No: 21 (Marks: 1) - Please choose one

Strategy formulation is the part of the strategic management process that includes all of the following EXCEPT:

- ▶ Identifying the mission and strategic goals
- ▶ Conducting competitive analysis

▶ **Communicating to all stakeholders**

- ▶ Developing specific strategies

Question No: 22 (Marks: 1) - Please choose one

----- helps the organizations identify and develop a competitive advantage, a significant edge over the competition in dealing with competitive forces.

- ▶ **Strategic management**
- ▶ Contingency Planning
- ▶ Operations management
- ▶ Management by objective

Question No: 23 (Marks: 1) - Please choose one

Which of the following level strategy is narrow in scope than business level strategy?

- ▶ Corporate level
- ▶ **Functional level**
- ▶ Regional level
- ▶ National level

Question No: 24 (Marks: 1) - Please choose one

Mr. A is a marketing manger of an organization where he is controlling six employees whereas Mr. B is a production manager of the same organization and he is controlling Fifteen employees. Mr. B is having _____as compare to Mr. A.

- ▶ Narrow span of control
- ▶ **Wide span of control**
- ▶ Central span of control
- ▶ All of the given options

Question No: 25 (Marks: 1) - Please choose one

For the workers with external locus of control, manager will use which of the following leadership style?

- ▶ Achievement-oriented
- ▶ Participative
- ▶ Supportive
- ▶ **Directive**

Question No: 26 (Marks: 1) - Please choose one

According to Ohio State Studies, a leader will be more effective who is exhibiting;

▶ Low in initiating structure and low consideration

▶ **High in initiating structure and high consideration**

▶ Low in initiating structure and high consideration

▶ High in initiating structure and low consideration

Question No: 27 (Marks: 1) - Please choose one

Which of the following is an example of informal group?

▶ College

▶ Marketing department

▶ **Welfare committee formed in an area**

▶ Organization

Question No: 28 (Marks: 1) - Please choose one

In which of the given situation probabilities are objective?

▶ **Certain situations**

▶ Uncertain situations

▶ Ambiguous situations

▶ Indefinite situations

Question No: 29 (Marks: 1) - Please choose one

In order to respond to irrational situations, which of the following style is preferred?

▶ Crisis decision making style

▶ **Programmed decision making style**

▶ Opportunity decision making style

▶ Non-programmed decision making style

Question No: 30 (Marks: 1) - Please choose one

Hospitals have well structured procedures to admit the patients, hence are:

▶ Structured decisions

▶ **Programmed decisions**

- ▶ Ill-structured decisions
- ▶ Non-programmed decisions

Question No: 31 (Marks: 1) - Please choose one

The best opinion is selected among various alternatives through voting by the participants in a group decision making while conducting:

- ▶ Brainstorming
- ▶ Delphi
- ▶ **Nominal**
- ▶ Interacting

Question No: 32 (Marks: 1) - Please choose one

Which of the given decisional tool is mostly used in the production sector?

- ▶ Queuing
- ▶ Simulation
- ▶ Decision tree
- ▶ All of the given options

Question No: 33 (Marks: 1) - Please choose one

Which of the following equation represents break even point?

- ▶ **Revenue = Costs**
- ▶ Revenue > Costs
- ▶ Revenue < Costs
- ▶ All of the given options

Question No: 34 (Marks: 1) - Please choose one

All of the following are major elements of the mega environment, EXCEPT:

- ▶ Technology
- ▶ Economy
- ▶ Socio-cultural

► **Competitor**

Question No: 35 (Marks: 1) - Please choose one

Organizations prefer departmentalization on which of the following grounds?

- Maintain specific rules & policies overall the organization
- Facilitate decentralization within the organization
- Monitor the customers' trend in the market

► **All of the following options**

Question No: 36 (Marks: 1) - Please choose one

Which of the following is the crucial element of team structure?

► **Employee empowerment**

- Faster decision-making
- Inexpensive maintenance
- Clear chain of command

Question No: 37 (Marks: 1) - Please choose one

Which of the following group commonly improves interpersonal communication?

► **Task**

- Command
- Functional
- Friendship

Question No: 35 (Marks: 1) - Please choose one

Which of the given factor significantly differentiate 'Teams' from 'Groups'?

- ▶ Teams consisted of at least 5 members, whereas group with at least 2 members
- ▶ Teams have common goal which is missing among the groups
- ▶ Teams are more synergized than groups
- ▶ **Teams interact regularly while groups occasionally**

Question No: 39 (Marks: 1) - Please choose one

Call centers have been developed to record and put forward the customers' complaints to:

- ▶ **Problem solving teams**
- ▶ Cross functional teams
- ▶ Quality circles
- ▶ Work teams

Question No: 40 (Marks: 1) - Please choose one

Which of the given factor significantly differentiate 'Teams' from 'Groups'?

- ▶ Teams consisted of at least 5 members, whereas group with at least 2 members
- ▶ Teams have common goal which is missing among the groups
- ▶ Teams are more synergized than groups
- ▶ **Teams interact regularly while groups occasionally**

Question No: 41 (Marks: 1) - Please choose one

The bureaucratic organization believes in the implementation of:

- ▶ **Downward communication channel**
- ▶ Upwards communication channel
- ▶ Lateral communication channel
- ▶ Diagonal communication channel

Question No: 42 (Marks: 1) - Please choose one

In a growing number of organizations, the traditional team consisting of a manager and a team that reports directly to him or her is being replaced, into _____, by giving relative autonomy to them to form more flexible teams.

- ▶ Quality improvement teams
- ▶ Virtual teams
- ▶ **Self-managing teams**
- ▶ Cross-functional teams

Question No: 43 (Marks: 1) - Please choose one

A group phenomenon in which individual members reduce their individual efforts and contributions as the group increases in size is called:

- ▶ **Free rider tendency**
- ▶ Group think
- ▶ Carryover behavior
- ▶ None of the given options

Question No: 44 (Marks: 1) - Please choose one

Managers focus on problem solving whereas the focus of leader is on:

- ▶ Maintaining standards
- ▶ **Inspiring the individuals**
- ▶ Planning for short-term goals
- ▶ Concentrating on set instructions

Question No: 45 (Marks: 1) - Please choose one

In Pakistan China imported goods are relatively cheap. These companies are practicing which of the following strategies?

- ▶ Focus Strategy
- ▶ Differentiation strategy
- ▶ **Cost leadership strategy**
- ▶ Emergent strategy

Question No: 46 (Marks: 1) - Please choose one

Boredom, task repetition and fatigue are three negative consequences of which of the following organizational design process?

- ▶ Span of control
- ▶ Decentralization
- ▶ **Work specialization**
- ▶ Departmentalization

Question No: 47 (Marks: 1) - Please choose one

When public sector organizations serve in terms of varying needs of children, disabled & adults, it is said to be adopting which kind of departmentalization?

- ▶ Product
- ▶ Geographic
- ▶ Outcome
- ▶ **Customer**

Question No: 48 (Marks: 1) - Please choose one

An organization that groups activities according to women's footwear, men's footwear, apparel and accessories would use which of the following departmentalization?

- ▶ **Product**
- ▶ Operational
- ▶ Geographic

- ▶ Functional

PAPER NO 7

FINAL TERM EXAMINATION

Fall 2009

MGT503- Principles of Management (Session - 1)

Time: 120 min

Marks: 92

Question No: 1 (Marks: 1) - Please choose one

According to Fiedler's LPC Theory, the extent to which the leader delineates "which, what, how, and why" work should be performed is referred to as which of the following?

- ▶ Task structure
- ▶ Leader member relations
- ▶ Position power
- ▶ **Task oriented leadership**

Question No: 2 (Marks: 1) - Please choose one

Which of the following leaders can inspire followers above their own self-interests and can have a profound effect on their performance?

- ▶ Transactional leader
- ▶ **Transformational leader**
- ▶ Emotional leader
- ▶ Informational leader

Question No: 3 (Marks: 1) - Please choose one

Which of the following statements would be TRUE according to Theory Y manager?

- ▶ **Employees view work as being as natural as rest or play**
- ▶ Employees will shirk responsibilities whenever possible
- ▶ Employees dislike work
- ▶ Employees must be coerced, controlled, or threatened

Question No: 4 (Marks: 1) - Please choose one

The Great China Wall has been built in almost:

- ▶ 900 years
- ▶ **956 years**
- ▶ 856 years
- ▶ 1000 years

Question No: 5 (Marks: 1) - Please choose one

Which one of the following is explaining the Entrepreneur in the best way?

- ▶ Goals Setter
- ▶ Decision Maker
- ▶ Communicator
- ▶ **Initiator**

Question No: 6 (Marks: 1) - Please choose one

Determining the tasks to be accomplished, how the tasks are to be grouped and who is responsible for the various tasks is known as which of the following processes of management?

- ▶ Planning
- ▶ **Organizing**
- ▶ Leading
- ▶ Controlling

Question No: 7 (Marks: 1) - Please choose one

If you get more output from a given input, you have:

- ▶ Decreased effectiveness
- ▶ Increased effectiveness
- ▶ Decreased efficiency
- ▶ **Increased efficiency**

Question No: 8 (Marks: 1) - Please choose one

All of the following are titles of middle level managers EXCEPT:

- ▶ **Operator**
- ▶ District manager
- ▶ Dean
- ▶ Division manager

Question No: 9 (Marks: 1) - Please choose one

When management provides orderly personnel planning and ensures that replacements are available to fill vacancies, it is called :

- ▶ Division of work
- ▶ Discipline
- ▶ Unity of command
- ▶ **Stability of tenure of personnel**

Question No: 10 (Marks: 1) - Please choose one

A field of expertise that is responsible for the production and delivery of an organization's products and services is called:

- ▶ Management information system
- ▶ **Operations management**
- ▶ Marketing management
- ▶ Principles of management

Question No: 11 (Marks: 1) - Please choose one

Which of the following must be present in order to initiate the decision-making process?

- ▶ Plenty of time
- ▶ Pressure to act
- ▶ Time management
- ▶ **Effective use of resources**

Question No: 12 (Marks: 1) - Please choose one

Choosing the best alternative is a relatively simple matter if we have done a good job in step five of rational decision making process while assigning:

- ▶ The weighted criteria correctly
- ▶ Right decision criteria
- ▶ **Analyzing alternatives**
- ▶ The highest weighted score

Question No: 13 (Marks: 1) - Please choose one

Only employees with top-secret clearance may enter the sealed room, is an example of which of the following?

- ▶ **Rule**
- ▶ Procedure
- ▶ Policy
- ▶ Plan

Question No: 14 (Marks: 1) - Please choose one

Aisha uses a decision-making style characterized by low tolerance for ambiguity and a rational way of thinking. What style does Aisha use?

- ▶ Analytic
- ▶ Conceptual
- ▶ **Directive**
- ▶ Behavioral

Question No: 15 (Marks: 1) - Please choose one

Which of the following styles of decision making is characterized by individuals who prefer complete information and consider several alternatives?

- ▶ Analytic
- ▶ Conceptual
- ▶ **Directive**
- ▶ Behavioral

Question No: 16 (Marks: 1) - Please choose one

Sara has a new job and is learning to perform the tasks assigned to her. Different situations demand different decision-making processes. As she learns the general guidelines of the job, Sara is given more decision-making authority. The guidelines establish parameters for decision making and are referred as:

- ▶ Rule
- ▶ Policy
- ▶ Broad guideline
- ▶ **Procedure**

Question No: 17 (Marks: 1) - Please choose one

A few years ago Black and Decker bought general electric's small appliance business. 150 products were converted from GE to Black and Decker label. A total of 140 steps were used for each product. It took 3 years. The total conversion of product line was:

- ▶ A Program
- ▶ **A project**
- ▶ A policy
- ▶ A rule

Question No: 18 (Marks: 1) - Please choose one

Plans that apply to the entire organization, establish the organization's overall objectives and seek to position the organization in terms of its environment are called:

- ▶ Tactical plans
- ▶ **Strategic plans**
- ▶ Single-use plans
- ▶ Operational plans

Question No: 19 (Marks: 1) - Please choose one

Operational plans are normally associated with which of the following organizational level?

- ▶ Global level
- ▶ Corporate level
- ▶ Business level
- ▶ **Functional level**

Question No: 20 (Marks: 1) - Please choose one

In Pakistan film industry, all studios possess strengths in lighting, sound recording, set and costume design. It is called:

- ▶ Distinctive competencies
- ▶ **Common strength**
- ▶ Competitive edge
- ▶ Competitive parity

Question No: 21 (Marks: 1) - Please choose one

In Pakistan China imported goods are available on very inexpensive price. These companies are practicing which of the following strategies?

- ▶ Focus Strategy
- ▶ Differentiation strategy
- ▶ **Cost leadership strategy**
- ▶ Emergent strategy

Question No: 22 (Marks: 1) - Please choose one

A strategy in which an organization operates in several business that are some how linked with one another is called:

- ▶ Single product strategy
- ▶ **Related diversification**
- ▶ Unrelated diversification
- ▶ Conglomerate diversification

Question No: 23 (Marks: 1) - Please choose one

Which of the following is NOT a strategy implementation step?

- ▶ Define strategic tasks
- ▶ Develop implementation agenda
- ▶ Develop mission and goals
- ▶ **Assess organizational capabilities**

Question No: 24 (Marks: 1) - Please choose one

"Cost-savings advantages from specialization" is a feature of which kind of structural organization?

- ▶ Divisional
- ▶ Team
- ▶ Learning

▶ **Functional**

Question No: 25 (Marks: 1) - Please choose one

Which of the following is not among the three perspectives that should be considered in preparing a business plan?

- ▶ Marketing perspective
- ▶ Perspective of the entrepreneur
- ▶ Investor perspective
- ▶ **Technical perspective**

Question No: 26 (Marks: 1) - Please choose one

An owner of an organization hires a sales representative to market his products. He gave power to sale representative to make certain decision. He has been given:

- ▶ Responsibility
- ▶ Span of control
- ▶ **Authority**
- ▶ Accountability

Question No: 27 (Marks: 1) - Please choose one

While addressing the organizational design needs of the small organization which of the following is an important consideration?

- ▶ More formalization
- ▶ More specialization
- ▶ **More centralization**
- ▶ Tall hierarchy of authority

Question No: 28 (Marks: 1) - Please choose one

Which of the following is strength of an organization with a simple structure?

- ▶ Clear accountability
- ▶ **Rely on one person**
- ▶ Maintain as the organization grows
- ▶ Employees are more empowered

Question No: 29 (Marks: 1) - Please choose one

Which of the following is a contemporary organizational structural design?

- ▶ Functional
- ▶ Divisional
- ▶ **Learning**
- ▶ Simple

Question No: 30 (Marks: 1) - Please choose one

Suppose that motivated employees are in great tension. In order to relieve this tension they should:

- ▶ Involve in entertaining activities
- ▶ **Achieve their personal Goal**
- ▶ Reduce putting efforts
- ▶ Exert more efforts

Question No: 31 (Marks: 1) - Please choose one

What should a manager do while motivating employees?

- ▶ Increase wages and salaries
- ▶ Incorporate promotional opportunities
- ▶ **Recognize individual differences**
- ▶ Use employee-recognition program

Question No: 32 (Marks: 1) - Please choose one

According to Maslow, which hierarchy is in proper order from lowest to highest?

- ▶ Safety, physiological, esteem, self-actualization, social.
- ▶ Esteem, physiological, self-actualization, safety, social
- ▶ Self-actualization, physiological, social, esteem, safety
- ▶ **Physiological, safety, social, esteem, self-actualization**

Question No: 33 (Marks: 1) - Please choose one

According to Herzberg's Motivation-Hygiene Theory, which of the following is NOT a hygiene factor?

- ▶ Working Conditions
- ▶ Salary
- ▶ Relationship with supervisor
- ▶ **Work itself**

Question No: 34 (Marks: 1) - Please choose one

Which of the following is a special group presenting unique motivational challenges?

- ▶ Top management
- ▶ **Professionals**
- ▶ Stakeholders
- ▶ Competitors

Question No: 35 (Marks: 1) - Please choose one

The need for such factors as status, recognition, attention, self-respect, autonomy, and achievement are examples of which of the following needs according to Maslow's hierarchy of needs?

- ▶ Physiological
- ▶ **Esteem**
- ▶ Social
- ▶ Self-actualization

Question No: 36 (Marks: 1) - Please choose one

Groups that are determined by the organization chart and composed of individuals who report directly to a given manager are called:

- ▶ **Formal groups**
- ▶ Informal groups
- ▶ Task groups
- ▶ Command groups

Question No: 37 (Marks: 1) - Please choose one

Which of the following is a variation of the electronic meeting that links media from different locations?

- ▶ E-commerce
- ▶ The Delphi technique

▶ E-Brainstorming

▶ **Video conference**

Question No: 38 (Marks: 1) - Please choose one

Asif's work team does its own hiring and scheduling and is even responsible for evaluating each other's performance. Asif is part of which of the following team?

▶ Problem-solving

▶ **Cross-functional**

▶ Self-managed

▶ Virtual

Question No: 39 (Marks: 1) - Please choose one

Tone of voice, posture and nonverbal facial expressions are examples of which of the following?

▶ **Body language**

▶ Feelings

▶ Formal communication

▶ Informal Communication

Question No: 40 (Marks: 1) - Please choose one

Which of the following refers to the fact that individuals see and hear depending upon their needs, motivation, experience, background and other personal characteristics?

▶ Filtering

▶ Feedback

▶ Emotions

▶ **Selective Perception**

Question No: 41 (Marks: 1) - Please choose one

The organizational communication network that uses internet technology and allows authorized users inside the organization to communicate with certain outsiders such as customers or vendors is called:

▶ Intranet

▶ **Extranet**

▶ Videoconference

▶ E-mail

Question No: 42 (Marks: 1) - Please choose one

Which of the following is the most popular type of control?

▶ **Feed forward**

▶ Concurrent

- ▶ Feedback
- ▶ Budgetary

Question No: 43 (Marks: 1) - Please choose one

The supplies or raw materials needed to create a product are called:

▶ **Outputs**

- ▶ Investments
- ▶ Processes
- ▶ Inputs

Question No: 44 (Marks: 1) - Please choose one

Adam Smith wrote which of the following books?

▶ **Wealth of Nations**

- ▶ Behavioral Science
- ▶ Fundamentals of Management
- ▶ Organizational Behavior

Question No: 45 (Marks: 1) - Please choose one

Employees are also known as:

▶ Internal customers

▶ **Stock holders**

- ▶ Investors
- ▶ Shareholders

Question No: 46 (Marks: 1) - Please choose one

As managers move toward the organizational hierarchy, problems are more likely to become which of the following?

▶ Well-structured

▶ **Ill-structured**

- ▶ Programmed
- ▶ Non-programmed

Question No: 47 (Marks: 1) - Please choose one

Salman enjoys coming to work because of working in a team that is developing a new product. The sense of belonging and friendship he shares with them demonstrates what Maslow categorized as:

▶ Physiological needs

▶ Safety needs

▶ **Social needs**

▶ Power needs

Question No: 48 (Marks: 1) - Please choose one

ABC Corp. has turned each of its divisions into profit centers and evaluates each division by the percentage of total corporate profits that it generates. It uses which of the following control?

- ▶ **Accounting**
- ▶ Bureaucratic
- ▶ Market
- ▶ Sector

Question No: 49 (Marks: 1) - Please choose one

Mr. Ali, Production manager of Alpha Company has been assigned a task of completing an assignment in a specific time. Mr. Ali is assessing his efforts that will lead to the required level of performance. Mr. Ali is concentrating on which issue according to expectancy theory?

- ▶ **Effort- performance relationship**
- ▶ Performance- outcome relationship
- ▶ Performance- valence relationship
- ▶ All of the given options

Question No: 50 (Marks: 1) - Please choose one

A significant edge over the competition in dealing with competitive forces is called:

- ▶ Core Competencies
- ▶ **Competitive advantage**
- ▶ Competitive force
- ▶ Swot analysis

Question No: 51 (Marks: 1) - Please choose one

A company is having cost advantages due to its efficient process, this cost advantage of company will be traded as which of the following?

- ▶ Threat
- ▶ Opportunity
- ▶ Weakness
- ▶ **Strength**

Question No: 52 (Marks: 1) - Please choose one

Which of the following level strategy is narrow in scope than business level strategy?

- ▶ Corporate level
- ▶ **Functional level**
- ▶ Regional level
- ▶ National level

Question No: 53 (Marks: 1) - Please choose one

All of the following are defensive strategies **EXCEPT:**

- ▶ Divesture
- ▶ Bankruptcy
- ▶ **Stability**
- ▶ Harvest

Question No: 54 (Marks: 1) - Please choose one

What is one of the weaknesses of functional departmentalization?

- ▶ A limited view of organizational goals
- ▶ **Can only be used with certain types of products**
- ▶ Can feel isolated from other organizational areas
- ▶ A duplication of functions

Question No: 55 (Marks: 1) - Please choose one

In which of the following type of departmentalization, employees are more concern about specialty than the needs of organization overall.

- ▶ Product
- ▶ Customer
- ▶ **Functional**
- ▶ Geographic

Question No: 56 (Marks: 1) - Please choose one

Mr. A was given the task of making 100 questions per day and 600 questions after a week, but he was able to make 500 questions at the weekend. Now he is answerable for his performance which is below expected target. Which of the following title mostly suits Mr. A?

- ▶ Responsible
- ▶ Authoritative
- ▶ **Accountable**
- ▶ Autonomous

Question No: 57 (Marks: 1) - Please choose one

“What motivates us” relates to which of the following type of motivation theory?

- ▶ Content Theories of motivation
- ▶ Process theories of motivation
- ▶ **Reinforcement theories of motivation**
- ▶ Hawthorne studies

Question No: 58 (Marks: 1) - Please choose one

When we talk about risk taker, which name comes first in your mind?

► **Leader**

- ▶ Manager
- ▶ Businessman
- ▶ Entrepreneur

Question No: 59 (Marks: 1) - Please choose one

Challenging job itself is -----.

- ▶ Extrinsic satisfaction
- ▶ Achievement
- ▶ High target

► **intrinsic satisfaction**

Question No: 60 (Marks: 1) - Please choose one

Some students are planning to form a group. They have decided to serve their community by creating the awareness among the people about the adverse effects of pollution. This group will be named as:

- ▶ Command group
- ▶ Functional group
- ▶ Task group

► **Interest group**

Question No: 61 (Marks: 1) - Please choose one

Amir has very good communication skills and inspires his followers through his personal appeal and confidence. Which leadership styles Amir adopts?

- ▶ Visionary
- ▶ **Charismatic**
- ▶ Transformational
- ▶ Laissez fair

Question No: 62 (Marks: 1) - Please choose one

Which of the following is an example of a group that is formed by the employees themselves to serve the members' social needs?

- ▶ Cross functional group
- ▶ Command group
- ▶ Formal group

► **Informal group**

Question No: 63 (Marks: 1) - Please choose one

Which of the following is included in communication functions?

- ▶ Motivating
- ▶ Sharing information
- ▶ Conveying emotional expressions

► **All of the given options**

Question No: 64 (Marks: 1) - Please choose one

Letters, memos and manuals are the examples of which of the following type of communication?

- ▶ Non-verbal
- ▶ Verbal
- ▶ **Written**
- ▶ Oral

Paper No 8

FINALTERM EXAMINATION

Spring 2010

MGT503- Principles of Management

BY ADNAN AWAN

Adnanawan6@gmail.com

Question No: 1 (Marks: 1) - Please choose one

Through technological and managerial process inputs of an organization are transformed into:

- ▶ **Output**
- ▶ Feedback
- ▶ Feed forward
- ▶ Transformation

Question No: 2 (Marks: 1) - Please choose one

Promoting team spirit within the organization is called:

- ▶ Stability of tenure of personnel
- ▶ Remuneration

► Centralization

► **Esprit de corps**

Question No: 3 (Marks: 1) - Please choose one

Constituencies in an organization's external environment that are affected by the organization's decisions and actions are called:

► **Stakeholders**

► Advisories

► Beneficiaries

► Environmentalists

Question No: 4 (Marks: 1) - Please choose one

The culture of an organization is largely determined by:

► **Top management**

► Employees

► Stockholders

► The company founders

Question No: 5 (Marks: 1) - Please choose one

The set of processes involved in creating or determining the strategies of the organization is called:

► **Strategy formulation**

► Strategy implementation

► Strategy evaluation

► Strategy imitation

Question No: 6 (Marks: 1) - Please choose one

When the strength provides superior and unique customer value and is difficult to imitate then the distinctive competence creates a sustainable:

► **Competitive advantage**

► Scope

- ▶ Resource deployment
- ▶ Effective strategy

Question No: 7 (Marks: 1) - Please choose one

Most managers believe that if an MBO (management by objective) program is to be successful, it must start at:

- ▶ Non-managerial level
- ▶ Top Level
- ▶ **Middle level**
- ▶ Lower level

Question No: 8 (Marks: 1) - Please choose one

Which of the following is the set of strategic alternatives that an organization chooses from, as it manages its operations simultaneously across several industries and several markets?

- ▶ Business-level strategy
- ▶ **Corporate-level strategy**
- ▶ Functional-level strategy
- ▶ Market-level strategy

Question No: 9 (Marks: 1) - Please choose one

ABC Company continues to offer the same quality beauty products it has for the last 10 years. The company is successful and has no current plans for change. Which of the following types of strategies is it employing?

- ▶ Growth
- ▶ **Stability**
- ▶ Retrenchment
- ▶ Combination

Question No: 10 (Marks: 1) - Please choose one

A strategy in which an organization seeks to distinguish itself from competitors through the quality of its products or services is called:

- ▶ Deliberate strategy

► **Differentiation strategy**

► Emergent strategy

► Focus Strategy

Question No: 11 (Marks: 1) - Please choose one

In which organizational structure employee have two managers?

► Team

► Learning

► Boundaryless

► **Matrix**

Question No: 12 (Marks: 1) - Please choose one

Suppose that motivated employees are in great tension. In order to relieve this tension they should:

► **Involve in entertaining Strategy**

► Stability of tenure of personnel

► Remuneration

► Centralization

Question No: 13 (Marks: 1) - Please choose one

In Equity theory, which of the following term is used for persons, systems or selves against which individuals compare themselves?

► Model

► **Referent**

► Leader

► Professional

Question No: 14 (Marks: 1) - Please choose one

Which of the following is one of the seven traits associated with leadership?

► Fluency of speech

► **Honesty**

- ▶ Appearance
- ▶ Social class

Question No: 15 (Marks: 1) - Please choose one

Women tend to use which of the following leadership style?

- ▶ Autocratic
- ▶ Laissez-faire
- ▶ Dictatorial
- ▶ **Democratic**

Question No: 16 (Marks: 1) - Please choose one

It is most appropriate to use oral communication when you have to communicate:

- ▶ A monthly report to the CEO on company performance
- ▶ **An impersonal message to a group of people**
- ▶ A lengthy welcoming message to a new salesperson
- ▶ A brief, time sensitive personal message

Question No: 17 (Marks: 1) - Please choose one

Direct supervision is the best-known form of which of the following control?

- ▶ Feed forward
- ▶ Concurrent
- ▶ Feedback
- ▶ **Management**

Question No: 18 (Marks: 1) - Please choose one

Which of the following is a process that involves managers from all parts of the organization in the formulation of strategic goals?

- ▶ Strategic organizing
- ▶ **Strategic management**
- ▶ Strategic positioning

- ▶ Strategic planning

Question No: 19 (Marks: 1) - Please choose one

Which of the following is the disadvantage of the Process departmentalization?

- ▶ Time consuming process
- ▶ **Cost of Production is high**
- ▶ Can be used only with certain type of products
- ▶ Duplication of functions across the departments

Question No: 20 (Marks: 1) - Please choose one

According to Adam Smith, the division of labor results in:

- ▶ Increased worker's motivation
- ▶ Decreased worker's specialization
- ▶ **Increased worker's productivity**
- ▶ Decreased worker's motivation

Question No: 21 (Marks: 1) - Please choose one

Which of the following terms is sometimes used to describe picking a course of action that is satisfactory under the circumstances?

- ▶ Escalation of commitment
- ▶ **Satisfying**
- ▶ Risk
- ▶ Bounded rationality

Question No: 22 (Marks: 1) - Please choose one

Which of the following order is correct about strategy formulation?

- ▶ Developing specific strategies, identifying the mission and strategic goals, conducting competitive analysis
- ▶ **Identifying the mission and strategic goals, conducting competitive analysis, developing specific strategies**
- ▶ Identifying the mission and strategic goals, developing specific strategies, conducting competitive analysis

► Developing specific strategies, conducting competitive analysis, identifying the mission and strategic goals

Question No: 23 (Marks: 1) - Please choose one

When we talk about an organization's core technology, we mean organization's:

- Less important technology
- **Most important technology**
- All technologies the organization is using
- Technology that is never used

Question No: 24 (Marks: 1) - Please choose one

"What motivates us" relates to which of the following type of motivation theory?

- Content Theories of motivation
- Process theories of motivation
- **Reinforcement theories of motivation**
- Hawthorne studies

Question No: 25 (Marks: 1) - Please choose one

Mr. A is working as machine operator and he has to take precautionary measures to keep himself safe from any injury. Which of the following needs is critical for Mr. A?

- Social
- Self actualization
- Esteem
- **Safety**

Question No: 26 (Marks: 1) - Please choose one

Saad, a new employee has observed that one of his colleagues is being warned by the manager on coming late. Saad decided to come on time to avoid such warning, manager has used which of the following behaviour modification method?

- Extinction
- Negative reinforcement
- Punishment

► **Positive reinforcement**

Question No: 27 (Marks: 1) - Please choose one

According to Goal setting theory which of the following is important while setting the goals?

► Goal commitment

► **All of the given options**

► Goal specificity

► Goal acceptance

Question No: 28 (Marks: 1) - Please choose one

Mr. A has been given the project of collecting data on students' motivation from different institutes. He is performing the tasks by putting all of his efforts because he will be given bonus pay if he fulfills his task on time. He is influenced by which of the following powers of his boss?

► **Reward Power**

► Coercive Power

► Referent Power

► Expert Power

Question No: 29 (Marks: 1) - Please choose one

Amir has very good communication skills and inspires his followers through his personal appeal and confidence. Which leadership styles Amir adopts?

► Visionary

► **Charismatic**

► Transformational

► Laissez fair

Question No: 30 (Marks: 1) - Please choose one

The behavior that arises among individuals who have previously worked in any other groups is called:

► Primacy

► **Carryover behavior**

► Group cohesiveness

- ▶ Group behavior

Question No: 31 (Marks: 1) - Please choose one

Controlling function is important at which level of organizations?

- ▶ Strategic
- ▶ Tactic
- ▶ Operation

▶ **All of the given options**

Question No: 32 (Marks: 1) - Please choose one

A performance measurement tool that covers four areas "financial, customer, internal processes, and people" and that can enhance company's performance is called:

- ▶ Benchmarking
- ▶ Cyber control system
- ▶ Non-cybernetic control system

▶ **Balanced scorecard**

Question No: 33 (Marks: 1) - Please choose one

In order to successfully attain the organizational targets & customer satisfaction, in which of the following area managers have to concentrate?

- ▶ Co-ordination with subordinates & peers
- ▶ Feedback from internal & external environment
- ▶ Integrated network of departments & divisions

▶ **All of the given options**

Question No: 34 (Marks: 1) - Please choose one

In order to deal against global competition which of the given approach is generally adopted by different countries?

- ▶ Concentrate on producing cheap products
- ▶ Target the elite class of the society only

▶ **Draft cooperation agreement with other countries**

- ▶ Enhance profit margins by setting high prices

Question No: 35 (Marks: 1) - Please choose one

Cognitive ability of an individual affects the decision making process in which of the following manner?

- ▶ Can not utilize the available resources
- ▶ **Can not interpret all available information**
- ▶ Can not provide required financial resources
- ▶ Can not control the external situations

Question No: 36 (Marks: 1) - Please choose one

While scanning the environment, which of the given element is considered at the most, by the organizations?

- ▶ Internal environment
- ▶ **Task external environment**
- ▶ Mega external environment
- ▶ Domestic environment

Question No: 37 (Marks: 1) - Please choose one

Which of the element of SWOT analysis is most useful in developing competitive advantage of a firm?

- ▶ **Strength**
- ▶ Weakness
- ▶ Opportunity
- ▶ Threat

Question No: 38 (Marks: 1) - Please choose one

All of the following are the characteristics of Max Weber's ideal bureaucracy EXCEPT:

- ▶ Formalization of rules and procedures
- ▶ Impersonality in application of rules and sanctions
- ▶ **Production enhancement through employee empowerment**

- ▶ Specialization of labor

Question No: 39 (Marks: 1) - Please choose one

Which of the following is called an input to an organizational system?

- ▶ **Employees**

- ▶ Products

- ▶ Services

- ▶ Customers

Question No: 40 (Marks: 1) - Please choose one

Decisions should be made after a thorough:

- ▶ Action

- ▶ **Planning**

- ▶ Investigation

- ▶ Proceeding

Question No: 41 (Marks: 1) - Please choose one

In order to make organization more flexible and responsive through employee participation, organization should tend towards which of the following?

- ▶ **Decentralization**

- ▶ Globalization

- ▶ Departmentalization

- ▶ Widen the span of control

Question No: 42 (Marks: 1) - Please choose one

With respect to five hierarchical needs of Marlow's theory, at which level transformational style is more beneficial?

- ▶ Physical needs

- ▶ Safety needs

- ▶ Social needs

- ▶ **Self-actualization needs**

Question No: 43 (Marks: 1) - Please choose one

A third member in a group of three individuals significantly:

- ▶ **Assists in taking decisions through majority agreement**
- ▶ Adds valuable suggestions and ideas than other two
- ▶ Maintains unbiased environment within group
- ▶ Helps in decreasing individualism and enhances cohesiveness

Question No: 44 (Marks: 1) - Please choose one

Organic control is best described as the controlling mechanism of:

- ▶ **Learning organization**
- ▶ Bureaucratic organization
- ▶ Mechanistic organization
- ▶ Centralized organization

Question No: 45 (Marks: 1) - Please choose one

Which of the following groups usually adjourns?

- ▶ **Task group**
- ▶ Command group
- ▶ Friendship group
- ▶ Functional group

Question No: 46 (Marks: 1) - Please choose one

Which of the given factor significantly differentiate 'Teams' from 'Groups'?

- ▶ Teams consisted of at least 5 members, whereas group with at least 2 members
- ▶ Teams have common goal which is missing among the groups
- ▶ Teams are more synergized than groups
- ▶ **Teams interact regularly while groups occasionally**

Question No: 47 (Marks: 1) - Please choose one

MA. Sohail, CEO of Leads Group has to increase the salaries of marketing staff because of high turnover, demand of more salary and lack of motivation in the marketing department. Which of the following force created the need for change in the salary of marketing department?

- ▶ Change in implemented technology
- ▶ Change in the regional economy
- ▶ **Change in employees' behavior**
- ▶ Change in marketing strategy

Question No: 48 (Marks: 1) - Please choose one

When public sector organizations serve in terms of varying needs of children, disabled & adults, it is said to be adopting which kind of departmentalization?

- ▶ Product
- ▶ Geographic
- ▶ Outcome
- ▶ **Customer**

PAPER NO 9

FINAL TERM EXAMINATION
Fall 2008
MGT503- Principles of Management
BY ADNAN AWAN
Adnanawan6@gmail.com

Time: 120 min
Marks: 85

Question No: 1 (Marks: 1) - Please choose one

Which of the following statement shows the starting point in strategic management process?

- ▶ **Analyzing current mission, strategies and objectives**
- ▶ Identifying opportunities and threats

- ▶ Conducting an environmental scan
- ▶ Identifying opportunities and weaknesses

Question No: 2 (Marks: 1) - Please choose one

The supplies or raw materials needed to create a product are called:

- ▶ Outputs
- ▶ Investments
- ▶ Processes
- ▶ **Inputs**

Question No: 3 (Marks: 1) - Please choose one

Which one of the following roles is most important for managers in small firms?

- ▶ Disseminator
- ▶ **Leader**
- ▶ Spokesperson
- ▶ Figurehead

Question No: 4 (Marks: 1) - Please choose one

Adam Smith wrote his book “The Wealth of Nations” in:

- ▶ 20th century
- ▶ **18th century**
- ▶ 15th century
- ▶ 17th century

Question No: 5 (Marks: 1) - Please choose one

Tone of voice, posture and nonverbal facial expressions are examples of which of the following?

- ▶ **Body language**
- ▶ Feelings
- ▶ Formal communication
- ▶ Informal Communication

Question No: 6 (Marks: 1) - Please choose one

All of the following are advantages of oral communication **EXCEPT:**

- ▶ It is easy to use
- ▶ **It is accurate (Oral)**
- ▶ It facilitates feedback
- ▶ It can be done with little preparation

Question No: 7 (Marks: 1) - Please choose one

Control that prevents anticipated problems is called:

- ▶ **Feed forward control**
- ▶ Concurrent control
- ▶ Feedback control
- ▶ Management control

Question No: 8 (Marks: 1) - Please choose one
Women tend to use which of the following leadership style?

- ▶ Autocratic
- ▶ Laissez-faire
- ▶ Dictatorial
- ▶ **Democratic**

Question No: 9 (Marks: 1) - Please choose one
Which of the following is the correct order of the interpersonal communication process?

- ▶ Sender > message > encoding > receiver > feedback > decoding > message
- ▶ Sender > message > encoding > receiver > decoding > message > feedback
- ▶ **Sender > encoding > message > receiver > decoding > message > feedback**
- ▶ Sender > message > encoding > receiver > feedback > decoding > message

Question No: 10 (Marks: 1) - Please choose one
According to Herzberg's Motivation-Hygiene Theory, which of the following is NOT a motivator?

- ▶ Recognition
- ▶ Responsibility
- ▶ Advancement
- ▶ **Status**

Question No: 11 (Marks: 1) - Please choose one
"Employees dislike work, they are lazy, dislike responsibilities and must be coerced to perform". Which of the following best describes this statement?

- ▶ Hygiene Factor Theory
- ▶ Resistance theory
- ▶ **Theory X**
- ▶ Two factors theory

Question No: 12 (Marks: 1) - Please choose one
According to Maslow's hierarchy of needs, which needs are predominantly satisfied internally?

- ▶ Safety
- ▶ **Esteem**
- ▶ Physiological
- ▶ social

Question No: 13 (Marks: 1) - Please choose one
What should a manager do while motivating employees?

- ▶ Increase wages and salaries
- ▶ Incorporate promotional opportunities
- ▶ **Recognize individual differences**

- ▶ Use employee-recognition program

Question No: 14 (Marks: 1) - Please choose one

Which of the following factor is more important for men than women?

- ▶ Opportunity to learn
- ▶ Flexibility
- ▶ **Autonomy**
- ▶ Convenient

Question No: 15 (Marks: 1) - Please choose one

All of the following factors are the most challenging for the managers in today's competitive world EXCEPT:

- ▶ Meet the market demand of products
- ▶ Motivating competitors to do work efficiently
- ▶ Facing the competition
- ▶ **Environmental uncertainty**

Question No: 16 (Marks: 1) - Please choose one

Which of the following organization has a limitless span of control?

- ▶ **Learning**
- ▶ Boundaryless
- ▶ Team
- ▶ Matrix

Question No: 17 (Marks: 1) - Please choose one

A structure that is characterized by narrow span of management and many hierarchical levels is:

- ▶ **Tall Structure**
- ▶ Flat Structure
- ▶ Matrix Structure
- ▶ Divisional Structure

Question No: 18 (Marks: 1) - Please choose one

A company would have a characteristic of a mechanistic organization if:

- ▶ It contained cross-functional teams
- ▶ **It had narrow spans of control**
- ▶ There is low formalization
- ▶ There is a free flow of information

Question No: 19 (Marks: 1) - Please choose one

Which of the following processes allows lower level employees to be involved in decision-making?

- ▶ Departmentalization
- ▶ Unity of command

- ▶ Span of control
- ▶ **Decentralization**

Question No: 20 (Marks: 1) - Please choose one

Identify the organizational design process which has a potential weakness that, managers will not be able to provide necessary leadership and support?

- ▶ Span of control
- ▶ **Decentralization**
- ▶ Departmentalization
- ▶ Chain of command

Question No: 21 (Marks: 1) - Please choose one

An organization that wants to be more responsive to changes in its environment, especially to customers, is likely to have which kind of organization structure?

- ▶ Decentralized
- ▶ Very formal and rule oriented
- ▶ Highly centralized

▶ **Mechanistic**

Question No: 22 (Marks: 1) - Please choose one

Employees with more training and experience are able to work with less direct supervision which is the characteristics of which of the following?

- ▶ Wide span of control and a flatter organization
- ▶ Violates Fayol's principle of chain of command
- ▶ A highly centralized organization
- ▶ **Very narrow span of control and more levels of managers**

Question No: 23 (Marks: 1) - Please choose one

Explicit job descriptions and clearly defined procedures are part of which of the following organizational design process?

▶ **Formalized**

- ▶ Process
- ▶ Centralized
- ▶ Functional

Question No: 24 (Marks: 1) - Please choose one

The accounting department in an organization is an example of which of the following?

- ▶ Product departmentalization

- ▶ Customer departmentalization
- ▶ **Functional departmentalization**
- ▶ Geographical departmentalization

Question No: 25 (Marks: 1) - Please choose one

In BCG matrix which of the following businesses have a large share of a market that are not expected to grow substantially?

- ▶ Dogs
- ▶ Question mark
- ▶ Star
- ▶ **Cash cow**

Question No: 26 (Marks: 1) - Please choose one

A strategy in which an organization seeks to distinguish itself from competitors through the quality of its products or services is called:

- ▶ Deliberate strategy
- ▶ Differentiation strategy
- ▶ Emergent strategy
- ▶ **Focus Strategy**

Question No: 27 (Marks: 1) - Please choose one

ABC Company is in the process of buying a smaller competitor and incorporating that company's resources into his business. This is an example of which of the following types of strategies?

- ▶ Merger
- ▶ Stability
- ▶ Retrenchment
- ▶ **Acquisition**

Question No: 28 (Marks: 1) - Please choose one

Which one of the following is a strength of MBO?

- ▶ Overemphasis of quantitative goals
- ▶ **Requires training of employees**
- ▶ Clarify priorities and expectation
- ▶ Tends to falter without strong commitment

Question No: 29 (Marks: 1) - Please choose one

Most managers believe that if an MBO (management by objective) program is to be successful, it must start at:

- ▶ Non-managerial level
- ▶ Top Level
- ▶ **Middle level**
- ▶ Lower level

Question No: 30 (Marks: 1) - Please choose one

Organizations that exploit their distinctive competencies often attain above normal economic performance and obtain which of the following?

- ▶ Distinctive competencies
- ▶ Common strength
- ▶ **Competitive edge**
- ▶ Competitive parity

Question No: 31 (Marks: 1) - Please choose one

Which of the following is a strategy that promotes a superior alignment between the organization and its environment and the achievement of strategic goals?

- ▶ Effective strategy
- ▶ Scope
- ▶ **Emergent strategy**
- ▶ Deliberate strategy

Question No: 32 (Marks: 1) - Please choose one

Sony Recently set a goal of reducing its reliance on the consumer electronics market. Manager believes that the volatile nature of market made reliance too risky. It comes under which of the following goals?

- ▶ **Strategic goal**
- ▶ Operational goal
- ▶ Tactical goal
- ▶ Personal goal

Question No: 33 (Marks: 1) - Please choose one

Mission Statement of Hoover Universal Inc is:“Hoover universal is a diversified multi-industry corporation with strong manufacturing capabilities, entrepreneurial policies and individual business unit autonomy”

This statement shows which of the following attributes of mission statement?

- ▶ Customers
- ▶ Location
- ▶ Self concept
- ▶ **Desired public image**

Question No: 34 (Marks: 1) - Please choose one

Competitor intelligence allows managers to do which of the following?

- ▶ React to competitor actions
- ▶ Cut cost below the competition
- ▶ **Increase market diversification**
- ▶ Predict competitor actions

Question No: 35 (Marks: 1) - Please choose one

Tactical and strategic plans differ in all of the following ways EXCEPT:

- ▶ Time frame
- ▶ Scope
- ▶ Known set of organizational objectives
- ▶ **Environmental effects (correct)**

Question No: 36 (Marks: 1) - Please choose one

A single use plan of less scope and complexity which may be a part of broader program or may be a self contained plan is called:

- ▶ A Program
- ▶ **A project**
- ▶ A policy
- ▶ A rule

Question No: 37 (Marks: 1) - Please choose one

When a manager evaluates alternatives, selects it and then goes on to other problems without considering the remaining rational alternatives, it is known as:

- ▶ Optimizing
- ▶ Satisficing
- ▶ **Bounded Rationality**
- ▶ Rational decision-making

Question No: 38 (Marks: 1) - Please choose one

Suppose you need a subject to take in order to graduate. There are five different courses you could take. You call one friend and on the basis of her excellent experiences in mathematics, you choose it. Which of the following would best describe this situation?

- ▶ Bounded rationality
- ▶ Unbounded rationality
- ▶ Escalation of commitment
- ▶ **Rational decision-making**

Question No: 39 (Marks: 1) - Please choose one

Only employees with top-secret clearance may enter the sealed room, is an example of which of the following?

- ▶ **Rule**
- ▶ Procedure
- ▶ Policy
- ▶ Plan

Question No: 40 (Marks: 1) - Please choose one

"Whenever possible, we promote from within" is an example of which of the following?

- ▶ Rule
- ▶ **Procedure**
- ▶ Policy
- ▶ Plan

Question No: 41 (Marks: 1) - Please choose one

Once a manager has identified a problem, the next step would be the identification of:

- ▶ **Discrepancies**
- ▶ Decision criteria
- ▶ Scenarios
- ▶ Factor weights

Question No: 42 (Marks: 1) - Please choose one

In decision making process, ideas should be evaluated on the basis of:

- ▶ **Acceptability**
- ▶ Durability
- ▶ Accountability
- ▶ Liability

Question No: 43 (Marks: 1) - Please choose one

All of the following are the assumptions of rational decision making EXCEPT:

- ▶ Alternatives are known
- ▶ Possible outcomes known
- ▶ Optimal decision is possible
- ▶ **Information is unknown**

Question No: 44 (Marks: 1) - Please choose one

The choice of alternative is influenced by the limited amount of information available to the decision maker and by the psychological orientation of the decision maker under the conditions of:

- ▶ Certainty
- ▶ Uncertainty
- ▶ Risk
- ▶ **Intuition**

Question No: 45 (Marks: 1) - Please choose one

All of the following are Dimensions of organizational culture EXCEPT:

- ▶ Innovation
- ▶ Aggressiveness

- ▶ Stability
- ▶ **Customer orientation**

Question No: 46 (Marks: 1) - Please choose one

Which of the following is called an input to a system?

- ▶ **Human**
- ▶ Products
- ▶ Services
- ▶ Employee behavior

Question No: 47 (Marks: 1) - Please choose one

Group of studies that was conducted at Western Electric's during 1920 and 1930 are called:

- ▶ Social studies
- ▶ Moral studies
- ▶ Ethical studies
- ▶ **Hawthorne studies**

Question No: 48 (Marks: 1) - Please choose one

Which of the following is NOT one of Fredrick Taylor's four principles of management?

- ▶ **Avoid cooperation with workers**
- ▶ Scientifically select and then train workers
- ▶ Divide work and responsibility
- ▶ Study tasks scientifically and develop best method to perform it

Question No: 49 (Marks: 1) - Please choose one

Which of the following theory describes that effective group performance depends on the proper match between the leader's style of interacting with employees and the degree to which the situation gives control and influence to the leader?

- ▶ Fiedler's contingency model
- ▶ **Path-goal theory**
- ▶ Hersey and Blanchard's model
- ▶ The Ohio State studies

Question No: 50 (Marks: 1) - Please choose one

Which of the following is the obligation or expectation to perform a duty?

- ▶ **Responsibility**
- ▶ Unity of command
- ▶ Chain of command
- ▶ Span of control

PAPER NO 10

FINAL TERM EXAMINATION

Fall 2009
MGT503- Principles of Management

BY ADNAN AWAN
Adnanawan@gmail.com

Time: 120 min

Marks: 92

Question No: 1 (Marks: 1) - Please choose one

All of the following are said to be the early advocates of Behavioral viewpoints EXCEPT :

- ▶ Robert Owen
- ▶ Hugo Munsterberg
- ▶ Mary parker Follett
- ▶ **Max Weber**

Question No: 2 (Marks: 1) - Please choose one

An individual's belief that he or she is capable of performing a task is called:

- ▶ Self esteem
- ▶ Self direction
- ▶ **Self efficacy**
- ▶ Self confidence

Question No: 3 (Marks: 1) - Please choose one

The traditional shape of an organization was:

- ▶ Circle
- ▶ **Pyramid**
- ▶ Square

- ▶ Diamond

Question No: 4 (Marks: 1) - Please choose one

The basic purpose of the construction of China Wall was:

- ▶ To make territory clear
- ▶ To defend the area
- ▶ To protect the Silk Road
- ▶ **All of the given options**

Question No: 5 (Marks: 1) - Please choose one

The distinct purpose of an organization is typically expressed in terms of:

- ▶ **Systematic structure**
- ▶ A goal or set of goals
- ▶ Management competencies
- ▶ Vision & Mission statement

Question No: 6 (Marks: 1) - Please choose one

Amir is representing his company at the local Chamber of Commerce Annual Business Recognition luncheon. He is performing which of the following managerial role?

- ▶ Negotiation
- ▶ Monitor
- ▶ Figurehead
- ▶ **Liaison**

Question No: 7 (Marks: 1) - Please choose one

Munib is the CEO of a hospital. He has spent his day planning the schedules of employees for next month. He spent his day in:

- ▶ **Planning**
- ▶ Organizing
- ▶ Leading
- ▶ Controlling

Question No: 8 (Marks: 1) - Please choose one

NASA shoots a rocket and then continuously observes and makes whatever course corrections are needed to keep it on track. This process is called:

- ▶ Planning
- ▶ **Organizing**
- ▶ Leading
- ▶ Controlling

Question No: 9 (Marks: 1) - Please choose one

“Specialization increases output by making employees more efficient” it is called:

- ▶ **Division of work**
- ▶ Authority
- ▶ Scalar chain
- ▶ Order

Question No: 10 (Marks: 1) - Please choose one

Daimler- Benz, an automobile manufacturer use realistic computer simulations to study collision damage to cars. These simulations give them precise information and avoid the costs of crashing so many test cars. Which of the following approach of management is helping them in reducing their cost?

- ▶ **Management science**

- ▶ Operations management
- ▶ Total quality management
- ▶ Contingency perspective

Question No: 11 (Marks: 1) - Please choose one

Mega environment, that includes the attitudes, values, norms, beliefs, behaviors and associated demographic trends that are characteristics of a given geographic area, is called:

- ▶ **The socio-cultural element**
- ▶ The international element
- ▶ The economic element
- ▶ The legal-political element

Question No: 12 (Marks: 1) - Please choose one

The belief that a firm's obligation goes beyond that required by law and economics, and includes a pursuit of long-term goals that are good for society is known as:

- ▶ Ethical responsibility
- ▶ **Social responsibility**
- ▶ Social obligation
- ▶ Social responsiveness

Question No: 13 (Marks: 1) - Please choose one

EU, NAFTA, FTAA and ASEAN are examples of:

▶ **Regional trade alliances**

- ▶ Foreign airlines
- ▶ Soccer teams in Europe
- ▶ New multinational corporations

Question No: 14 (Marks: 1) - Please choose one

When an organization encounters an issue that requires resolution, but not very immediate action, it is called:

- ▶ Crisis problem
- ▶ **Non- Crisis problem**
- ▶ Opportunity problem
- ▶ Financial Problem

Question No: 15 (Marks: 1) - Please choose one

Which of the following is NOT one of the three techniques for assessing the environment?

- ▶ **Project management**
- ▶ Benchmarking
- ▶ Forecasting
- ▶ Environmental scanning

Question No: 16 (Marks: 1) - Please choose one

Which of the following is the basic rule of brainstorming?

- ▶ **Criticism is not allowed**
- ▶ Ideas should be radical
- ▶ Improvement of ideas is encouraged

- ▶ Quantity of idea production is stressed

Question No: 17 (Marks: 1) - Please choose one

Few years ago Nike has problem with inconsistency of goals. The firm was producing high quality shoes but they were not stylish. As a result company lost substantial market share. In this situation which kind of goal was missing?

- ▶ Manufacturing goal
- ▶ Marketing goal
- ▶ Financial goal
- ▶ **Operational goal**

Question No: 18 (Marks: 1) - Please choose one

When objectives are not written down or rarely verbalized, and the planning is general and lacks continuity, which one of the following type of planning is used?

- ▶ Environmental planning
- ▶ Economic planning
- ▶ **Informal planning**
- ▶ Formal planning

Question No: 19 (Marks: 1) - Please choose one

Which of the following is the set of strategic alternatives that an organization chooses from, as it manages its operations simultaneously across several industries and several markets?

- ▶ Business-level strategy
- ▶ **Corporate-level strategy**
- ▶ Functional-level strategy
- ▶ Market-level strategy

Question No: 20 (Marks: 1) - Please choose one

ABC Company continues to offer the same quality beauty products it has for the last 10 years. The company is successful and has no current plans for change. Which of the following types of strategies is it employing?

- ▶ Growth
- ▶ **Stability**
- ▶ Retrenchment
- ▶ Combination

Question No: 21 (Marks: 1) - Please choose one

A firm that stops buying supplies from other companies and begins to provide its own supplies, has diversified through:

- ▶ Forward vertical integration
- ▶ **Backward vertical integration**
- ▶ Forward horizontal integration
- ▶ Backward horizontal integration

Question No: 22 (Marks: 1) - Please choose one

Which of the following is NOT a strategy implementation step?

- ▶ Define strategic tasks
- ▶ Develop implementation agenda
- ▶ **Develop mission and goals**
- ▶ Assess organizational capabilities

Question No: 23 (Marks: 1) - Please choose one

Which of the following is the set of elements that can be used to configure an organization?

- ▶ Organization structure

► **Organization design**

- Organization chart
- Organization rotation

Question No: 24 (Marks: 1) - Please choose one

What things the Organizations are doing to facilitate an effective wider span of control for their managers?

- Decentralizing management functions
- Increasing inventory levels
- Increasing budget allowances
- **Investing in employee training**

Question No: 25 (Marks: 1) - Please choose one

While addressing the organizational design needs of the small organization which of the following is an important consideration?

- More formalization
- More specialization
- **More centralization**
- Tall hierarchy of authority

Question No: 26 (Marks: 1) - Please choose one

Which type of organizational entity is more of an organizational mind-set than a structured design?

- Matrix
- **Boundary less**
- Functional
- Learning

Question No: 27 (Marks: 1) - Please choose one

Contemporary organizational design includes all of the following EXCEPT :

- ▶ Team based structure
- ▶ Matrix structure
- ▶ Project structure
- ▶ **Divisional structure**

Question No: 28 (Marks: 1) - Please choose one

Which of the following creates the “Dual Chain of Command?”

- ▶ Team based and Project Structure
- ▶ Functional and Simple structure
- ▶ **Project and matrix Structure**
- ▶ Simple and matrix Structure

Question No: 29 (Marks: 1) - Please choose one

Suppose that motivated employees are in great tension. In order to relieve this tension they should:

- ▶ Involve in entertaining activities
- ▶ Achieve their personal Goal
- ▶ **Reduce putting efforts**
- ▶ Exert more efforts

Question No: 30 (Marks: 1) - Please choose one

Canalized efforts are the result of which of the following?

- ▶ Right direction

- ▶ Centralization
- ▶ Proper guidance
- ▶ **Good hierarchy**

Question No: 31 (Marks: 1) - Please choose one

Researchers have emphasized upon which trait of leadership?

- ▶ Self-confidence
- ▶ Situations
- ▶ Behavior
- ▶ **Leader-member relations**

Question No: 32 (Marks: 1) - Please choose one

To motivate professionals what point should be in consideration?

- ▶ **Commitment to their field**
- ▶ Job security
- ▶ Offering high pay
- ▶ Promotions

Question No: 33 (Marks: 1) - Please choose one

Visionary leaders appear to have all of the following qualities related to effectiveness in their leadership roles EXCEPT:

- ▶ Ability to explain the vision
- ▶ Ability to express the vision
- ▶ Ability to extend the vision
- ▶ **Ability to enforce the vision**

Question No: 34 (Marks: 1) - Please choose one

Which of the following is a characteristic of a high-performing team that makes the group greater than the sum of its parts?

- ▶ A quality circle
- ▶ Group dynamics
- ▶ **Synergy**
- ▶ Cohesiveness

Question No: 35 (Marks: 1) - Please choose one

Students in the Management class were required to complete a group project worth 25% of their marks in the course. By the later part of the semester Group One had completed their project and dispersed, Group Two were putting the final touches on the presentation, Group Three were arguing over who would do which part of the project, and Group Four had met once and done nothing more. What stage of group development was Group Four in?

- ▶ Adjourning
- ▶ **Forming**
- ▶ Storming
- ▶ Norming

Question No: 36 (Marks: 1) - Please choose one

Which of the following is a major drawback of written communication?

- ▶ Lack of feedback
- ▶ Lack of precision
- ▶ **Less well thought out**
- ▶ Lack of verifiable permanent record

Question No: 37 (Marks: 1) - Please choose one

Which of the following is the most popular type of control?

► **Feed forward**

- Concurrent
- Feedback
- Budgetary

Question No: 38 (Marks: 1) - Please choose one

A large chemical company not only dispose off all toxic waste properly as outlined by law, but it also spends \$1 million dollars each year on research to determine better processes for all businesses to use in disposing of toxic wastes. This company is exhibiting which of the following?

- **Social responsibility**
- Social obligation
- Moral obligation
- Social responsiveness

Question No: 39 (Marks: 1) - Please choose one

Mr. Kamran is a manager at virtual university of Pakistan. His responsibilities include developing a organization-wide marketing strategy that plays on the synergies between institute's offered Programs in order to drive increased no. of students. Kamran is a:

- Middle manager
- First-line manager
- **Top manager**
- Non-managerial

Question No: 40 (Marks: 1) - Please choose one

Sulman thinks about his job while playing with his son on the weekend, and he continually volunteers to do extra assignments and project for his department. These suggest that Sulman has a strong need for :

- Esteem
- Security
- **Achievement**

- ▶ Power

Question No: 41 (Marks: 1) - Please choose one

According to University of Michigan studies, a leader who emphasizes the technical aspects of the job and is concerned with accomplishing the group's tasks is said to be which of the following?

- ▶ Employee-oriented
- ▶ Initiating
- ▶ Considerate
- ▶ **Production-oriented**

Question No: 42 (Marks: 1) - Please choose one

Which of the following factor is more important for men than women?

- ▶ Opportunity to learn
- ▶ Flexibility
- ▶ **Autonomy**
- ▶ Convenience

Question No: 43 (Marks: 1) - Please choose one

Which of the following group techniques allows group members to meet together, but also allows independent thinking?

- ▶ Groupthink
- ▶ Electronic meetings
- ▶ Brainstorming
- ▶ **Nominal group technique**

Question No: 44 (Marks: 1) - Please choose one

A mission statement of an organization provides a unique insight to its _____ regarding future growth.

- ▶ Employees
- ▶ Stockholders
- ▶ **External group**
- ▶ Customers

Question No: 45 (Marks: 1) - Please choose one

Which of the following order is correct about strategy formulation?

- ▶ Developing specific strategies, identifying the mission and strategic goals, conducting competitive analysis
- ▶ Identifying the mission and strategic goals, conducting competitive analysis, developing specific strategies
- ▶ **Identifying the mission and strategic goals, developing specific strategies, conducting competitive analysis**
- ▶ Developing specific strategies, conducting competitive analysis, identifying the mission and strategic goals

Question No: 46 (Marks: 1) - Please choose one

All are the strategic challenges for entrepreneurs EXCEPT:

- ▶ choosing an Industry in which to compete
- ▶ emphasizing distinctive competencies
- ▶ **writing a business plan**
- ▶ increasing the number of employees

Question No: 47 (Marks: 1) - Please choose one

A Company organizes its 20000 employees into five departments i.e. Finance, HR, Marketing , Collection & Tax Control. Company is using which of the following type of departmentalization?

- ▶ Geographic
- ▶ **Functional**
- ▶ Customers
- ▶ Product

Question No: 48 (Marks: 1) - Please choose one

Grouping of job activities is also known as:

- ▶ Job design
- ▶ Job specification
- ▶ **Departmentalization**
- ▶ Distributing authority

Question No: 49 (Marks: 1) - Please choose one

ABC manufacturers have broken jobs into small component and assigned each component to specialists, Company has implemented which of the following concept?

- ▶ Distributing authority
- ▶ Departmentalization
- ▶ **Job specification**
- ▶ Job design

Question No: 50 (Marks: 1) - Please choose one

All of the following are the core characteristics of a Job Characteristics Model EXCEPT:

- ▶ Autonomy
- ▶ Task significance
- ▶ Feedback
- ▶ **Opportunity**

Question No: 51 (Marks: 1) - Please choose one

Tall structure is more expensive because of:

- ▶ Few departments
- ▶ Lesser resources
- ▶ Fewer hierarchical levels
- ▶ **More hierarchical levels**

Question No: 52 (Marks: 1) - Please choose one

Sara has switched to a new job where she is handling a wide variety of communication tasks. She feels that she can utilize her full potential in new job as compare to previous job with more pay. In this situation which of the following need is more important for Sara?

- ▶ Physiological
- ▶ **Self actualization**
- ▶ Esteem
- ▶ Safety

Question No: 53 (Marks: 1) - Please choose one

Seema is preparing for exams; she is studying for 12 hours daily because it gives her a sense of satisfaction that she is working hard. What urges Seema to work hard?

- ▶ Extrinsic motivation
- ▶ Self confidence
- ▶ Self efficacy
- ▶ **intrinsic motivation**

Question No: 54 (Marks: 1) - Please choose one

Mr. Ali and Ms. Fatima work for ABC Company. Both are equally working hard and putting same amount of efforts, but Mr. Ali is paid more than Ms. Fatima.

What kind of condition is being perceived by Fatima?

▶ Equity

▶ **Inequity**

▶ Power need

▶ Growth need

Question No: 55 (Marks: 1) - Please choose one

ERG stands for:

▶ Esteem, Relatedness and Growth

▶ Existence, Recognition and Growth

▶ **Existence, Relatedness and Growth**

▶ Esteem, Recognition and Growth

Question No: 56 (Marks: 1) - Please choose one

If an employee A compares his equity ratio with the other employee B, in which case he will feel inequity due to being over rewarded?

▶ $O/I_a < O/I_b$

▶ **$O/I_a > O/I_b$**

▶ $O/I_a = O/I_b$

▶ $O/I_b > O/I_a$

Question No: 57 (Marks: 1) - Please choose one

According to Ohio State Studies, a leader will be more effective who is exhibiting;

▶ Low in initiating structure and low consideration

▶ **High in initiating structure and high consideration**

▶ Low in initiating structure and high consideration

▶ High in initiating structure and low consideration

Question No: 58 (Marks: 1) - Please choose one

“Delegating” leadership style of Hersey and Ken Blanchard Contingency Theory relates to which of the following leadership style of Path-goal theory?

- ▶ Achievement-oriented
- ▶ **Participative**
- ▶ Supportive
- ▶ Directive

Question No: 59 (Marks: 1) - Please choose one

To analyze the group performance, group should be viewed as:

- ▶ **System**
- ▶ Feedback
- ▶ Output
- ▶ Input

Question No: 60 (Marks: 1) - Please choose one

All of the following are the dimensions that make the concept of trust. EXCEPT:

- ▶ Competence
- ▶ Consistency
- ▶ Communication
- ▶ **Integrity**

Question No: 61 (Marks: 1) - Please choose one

The behavior that arises among individuals who have previously worked in any other groups is called:

- ▶ Group behavior
- ▶ **Carryover behavior** not sure
- ▶ Group cohesiveness

- ▶ Primacy

Question No: 62 (Marks: 1) - Please choose one

The process in which one party perceives that its interests are being opposed or adversely affected by some other parties is called:

- ▶ Crises
- ▶ **Conflict**
- ▶ Agreement
- ▶ Stress

Question No: 63 (Marks: 1) - Please choose one

Feed-forward, Feedback and Concurrent control are the types of control methods based on:

- ▶ Decision making
- ▶ Market information
- ▶ **Timing**
- ▶ Financial resource

Question No: 64 (Marks: 1) - Please choose one

----- is a tool for measuring corporate and divisional performance by calculating after-tax operating profit minus the total annual cost of capital.

- ▶ Market value added
- ▶ Economic value added
- ▶ **Balanced Scorecard**
- ▶ Benchmarking

PAPER NO 11

FINAL TERM EXAMINATION

MGT503- Principles of Management
Fall 2008
BY ADNAN AWAN
Adnanawan6@gmail.com

Time: 120 min
Marks: 85

Question No: 1 (Marks: 1) - Please choose one
Value chain partners are part of which of the following component of Value Chain Management.

- ▶ Technical investment
- ▶ Leadership
- ▶ **Coordination and Collaboration**
- ▶ Planning

Question No: 2 (Marks: 1) - Please choose one
The process of managing the entire sequence of integrated activities and information about product flow is called:

- ▶ Total Quality Management
- ▶ **Supply Chain Management**
- ▶ Kaizen
- ▶ Value Chain Management

Question No: 3 (Marks: 1) - Please choose one
Control that prevents anticipated problems is called:

- ▶ **Feed forward control**
- ▶ Concurrent control
- ▶ Feedback control
- ▶ Management control

Question No: 4 (Marks: 1) - Please choose one
The organizational communication network that uses internet technology and allows authorized users inside the organization to communicate with certain outsiders such as customers or vendors is called:

- ▶ **Intranet**
- ▶ Extranet
- ▶ Videoconference
- ▶ E-mail

Question No: 5 (Marks: 1) - Please choose one
A leader who involves employees in decision making, delegates authority and allows employees to have direct input into the final decision is using which of the following leadership style?

- ▶ **Democratic-participative**
- ▶ Laissez-faire
- ▶ Autocratic
- ▶ Democratic-consultative

Question No: 6 (Marks: 1) - Please choose one
According to Fiedler, in moderately favorable situations which of the following leader performs better?

- ▶ Structure oriented
- ▶ Position oriented
- ▶ Production oriented
- ▶ **Relationship oriented**

Question No: 7 (Marks: 1) - Please choose one

The recent survey depicts that in the opinion of employees the most powerful workplace motivator is:

- ▶ Flextime
- ▶ Recognition
- ▶ **Goals**
- ▶ Salary

Question No: 8 (Marks: 1) - Please choose one

Which theory includes the component that employee motivation is influenced by relative as well as absolute rewards?

- ▶ Expectancy
- ▶ Three-needs
- ▶ Goal-setting
- ▶ **Equity**

Question No: 9 (Marks: 1) - Please choose one

According to Herzberg's Motivation-Hygiene Theory, which of the following is NOT a hygiene factor?

- ▶ Working Conditions
- ▶ Salary
- ▶ Relationship with supervisor
- ▶ **Work itself**

Question No: 10 (Marks: 1) - Please choose one

According to Maslow's hierarchy of needs, which needs are predominantly satisfied internally?

- ▶ Safety
- ▶ **Esteem**
- ▶ Physiological
- ▶ social

Question No: 11 (Marks: 1) - Please choose one

Maslow's hierarchy of needs theory proposes that every person has a hierarchy of:

- ▶ Four needs
- ▶ **Five needs**
- ▶ Three needs
- ▶ Six needs

Question No: 12 (Marks: 1) - Please choose one

What should a manager do while motivating employees?

- ▶ Increase wages and salaries
- ▶ Incorporate promotional opportunities
- ▶ Recognize individual differences
- ▶ **Use employee-recognition program**

Question No: 13 (Marks: 1) - Please choose one

An unsatisfied need creates which type of emotion?

- ▶ Anxiety
- ▶ **Tension**
- ▶ Drive
- ▶ Pressure

Question No: 14 (Marks: 1) - Please choose one

Which of the following is the best description of effort?

- ▶ The level of willpower towards work
- ▶ **The measure of intensity or drive**
- ▶ One's ability to work
- ▶ The work required to complete a task

Question No: 15 (Marks: 1) - Please choose one

Contemporary organizational design includes all of the following EXCEPT :

- ▶ Team based structure
- ▶ **Matrix structure**
- ▶ Project structure
- ▶ Divisional structure

Question No: 16 (Marks: 1) - Please choose one

Which of the following is the crucial element of team structure?

- ▶ Employee empowerment
- ▶ **Faster decision-making**
- ▶ Inexpensive to maintain
- ▶ Clear chain of command

Question No: 17 (Marks: 1) - Please choose one

Which of the following factors influence an organization towards centralization?

- ▶ Lower-level managers want a part in decision making
- ▶ Environment is complex and uncertain
- ▶ **Decisions are significant**
- ▶ Company is geographically dispersed

Question No: 18 (Marks: 1) - Please choose one

Identify the organizational design process which has a potential weakness that, managers will not be able to provide necessary leadership and support?

- ▶ Span of control
- ▶ **Decentralization**
- ▶ Departmentalization
- ▶ Chain of command

Question No: 19 (Marks: 1) - Please choose one

An organization that groups activities according to women's footwear, men's footwear, apparel and accessories would use which of the following departmentalization?

- ▶ **Product**
- ▶ Customer
- ▶ Geographic
- ▶ Functional

Question No: 20 (Marks: 1) - Please choose one

What kind of departmentalization would be in place in a government organization where different public service responsibilities are divided into activities for employers, children, and the disabled?

- ▶ Product
- ▶ Geographic
- ▶ Outcome
- ▶ **Customer**

Question No: 21 (Marks: 1) - Please choose one

Which of the following is not among the three perspectives that should be considered in preparing a business plan?

- ▶ Marketing perspective
- ▶ Perspective of the entrepreneur
- ▶ **Investor perspective**
- ▶ Technical perspective

Question No: 22 (Marks: 1) - Please choose one

An organization's structure should facilitate which of the following?

- ▶ Chain of command
- ▶ Necessity of departmentalization
- ▶ **Achievement of goals**
- ▶ Span of control

Question No: 23 (Marks: 1) - Please choose one

In which organizational structure employee have two managers?

- ▶ Team
- ▶ Learning
- ▶ Boundary less
- ▶ **Matrix**

Question No: 24 (Marks: 1) - Please choose one

The fact that managers can become experts within their industry is a function of which kind of departmentalization?

- ▶ Process
- ▶ Geographical
- ▶ **Functional**
- ▶ Product

Question No: 25 (Marks: 1) - Please choose one

Which of the following is a process by which individuals pursue opportunities, fulfill needs and wants through innovation, without regard to the resources they currently control?

- ▶ Small business ownership
- ▶ Innovative Management
- ▶ **Entrepreneurship**
- ▶ Privatization

Question No: 26 (Marks: 1) - Please choose one

First step of strategic management process, the mission, answers which of the following question?

- ▶ What business should we be in?
- ▶ **What is our reason for being in business?**
- ▶ Who are our customers?
- ▶ Who are our creditors?

Question No: 27 (Marks: 1) - Please choose one

When the hierarchy of organizational goals is clearly defined, it forms an integrated network of goals which is called:

- ▶ Hierarchical-link chain
- ▶ **Means-ends chain**
- ▶ Weakest-link chain
- ▶ Level-level chain

Question No: 28 (Marks: 1) - Please choose one

Safeguard is an anti-bacterial soap that provides superior longer lasting germ protection. Through this soap Procter & Gamble is practicing which of the following strategies?

- ▶ Stability Strategy
- ▶ **Differentiation strategy**

- ▶ Emergent strategy
- ▶ Cost leadership strategy

Question No: 29 (Marks: 1) - Please choose one
At the first step of goal setting a manager should:

- ▶ Evaluate available resources
- ▶ **Review organization's mission**
- ▶ Write down goals
- ▶ Estimate expected benefits

Question No: 30 (Marks: 1) - Please choose one
Which of the following is a primary benefit of MBO?

- ▶ Avoid competition
- ▶ Resistance against new entrance
- ▶ **Improve employee motivation**
- ▶ Increase resources

Question No: 31 (Marks: 1) - Please choose one
Which of the following is an area in the environment that if exploited may generate high performance for organization?

- ▶ Strength
- ▶ Weakness
- ▶ **Opportunity**
- ▶ Threat

Question No: 32 (Marks: 1) - Please choose one
A skill and capability that does not enable an organization to choose and implement strategies that support its mission is called its:

- ▶ Strength
- ▶ **Weakness**
- ▶ Opportunity
- ▶ Threat

Question No: 33 (Marks: 1) - Please choose one
Which of the following strategy specifies the range of markets in which an organization will compete?

- ▶ **Scope**
- ▶ Distinctive Competency
- ▶ Resource deployment
- ▶ Effective strategy

Question No: 34 (Marks: 1) - Please choose one
Few years ago Nike has problem with inconsistency of goals. The firm was producing high quality shoes but they were not stylish. As a result company lost substantial market share. In this situation which kind of goal was missing?

- ▶ **Manufacturing goal**
- ▶ Marketing goal
- ▶ Financial goal
- ▶ Operational goal

Question No: 35 (Marks: 1) - Please choose one
Sony has a goal to acquire a firm in the entertainment industry. The goal was realized when Sony bought Columbia picture. It comes under which of the following?

- ▶ **Strategic goal**
- ▶ Operational goal
- ▶ Tactical goal
- ▶ Personal goal

Question No: 36 (Marks: 1) - Please choose one

Which of the following group technique allows group members to meet together, but also allows independent thinking?

- ▶ Groupthink
- ▶ Electronic meetings
- ▶ Brainstorming
- ▶ **Nominal group technique**

Question No: 37 (Marks: 1) - Please choose one

Many decisions fail after the final choice because of the occurrence of which of the following?

- ▶ Decision criteria weights were incorrect
- ▶ People affected failed to accept the solution
- ▶ Satisficing occurred
- ▶ **Choice was wrong**

Question No: 38 (Marks: 1) - Please choose one

Which of the following term sometimes used to describe picking a course of action that is satisfactory under the circumstances?

- ▶ Escalation of commitment
- ▶ **Satisficing**
- ▶ Risk
- ▶ Bounded rationality

Question No: 39 (Marks: 1) - Please choose one

Jay tends to always look at the broad picture and likes to look at many alternatives. He focuses on the long run and looks for creative solutions. He prefers which of the following styles of decision making?

- ▶ Analytic
- ▶ **Conceptual**
- ▶ Directive
- ▶ Behavioral

Question No: 40 (Marks: 1) - Please choose one

The decision-making model consists of four styles: directive, analytic, behavioral and

-
- ▶ **Conceptual**
 - ▶ Intuitive
 - ▶ Group interaction
 - ▶ Laggard

Question No: 41 (Marks: 1) - Please choose one

"Whenever possible, we promote from within" is an example of which of the following?

- ▶ Rule
- ▶ Procedure
- ▶ **Policy**
- ▶ Plan

Question No: 42 (Marks: 1) - Please choose one

A large chemical company not only disposes of all toxic waste properly as outlined by law, but it also spends \$1 million dollars each year on research to determine better processes for

all businesses to use in disposing of toxic wastes. This company is exhibiting which of the following?

- ▶ **Social responsibility**
- ▶ Social obligation
- ▶ Moral obligation
- ▶ Social responsiveness

Question No: 43 (Marks: 1) - Please choose one

Which of the following approaches recognize differences among organizations and categorizes variables that affect an organization's performance?

- ▶ **Process approach**
- ▶ Contingency approach
- ▶ Function approach
- ▶ System approach

Question No: 44 (Marks: 1) - Please choose one

Giving prestigious job titles would be one way to satisfy people's need for :

- ▶ **Esteem**
- ▶ Belongingness
- ▶ Self-actualization
- ▶ Safety

Question No: 45 (Marks: 1) - Please choose one

"Specialization increases output by making employees more efficient" it is called:

- ▶ **Division of work**
- ▶ Authority
- ▶ Scalar chain
- ▶ Order

Question No: 46 (Marks: 1) - Please choose one

Henry Fayol described principles of management in the form of:

- ▶ 11 points
- ▶ 12 points
- ▶ **14 points**
- ▶ 15 points

Question No: 47 (Marks: 1) - Please choose one

Which of the following functions or activities involve recruiting and placing qualified personnel needed for the organization so that it may achieve its objectives and goals?

- ▶ Planning
- ▶ Organizing
- ▶ **Staffing**
- ▶ Leading

Question No: 48 (Marks: 1) - Please choose one

An organized set of behavior that is associated with particular office or position is called:

- ▶ **Role**
- ▶ Obligation
- ▶ Responsibility
- ▶ Responsibility

Question No: 49 (Marks: 1) - Please choose one

The person who maintains network of connection outside the organization to obtain information is called:

- ▶ Entrepreneur
- ▶ Disseminator
- ▶ **Spokesperson**
- ▶ Liaison

Question No: 50 (Marks: 1) - Please choose one

Ali has a job that pays him well, he desires to make a contribution to the organization, and he has an active social life. His desire is to become all that he is capable of becoming. Ali is at which of the following need defined by maslow?

- ▶ **Self-actualization**
- ▶ Safety
- ▶ Social
- ▶ Esteem

PAPER NO 12

FINAL TERM EXAMINATION

MGT503- Principles of Management

By ADNAN AWAN

Adnanawan6@gmail.com

Question No: 1 (Marks: 1) - Please choose one

All of the following are requirements for successful value chain management EXCEPT :

- ▶ Coordination and Collaboration
- ▶ Continuous Process Improvement
- ▶ **Organizational Processes**
- ▶ Technology Investment

Question No: 2 (Marks: 1) - Please choose one

An individual's belief that he or she is capable of performing a task is called:

- ▶ Self esteem
- ▶ Self direction
- ▶ **Self efficacy**
- ▶ Self confidence

Question No: 3 (Marks: 1) - Please choose one

The most important point of Prof. Edward Deming's Philosophy was:

- ▶ Achieving the Goals
- ▶ **Consistency of Purpose**
- ▶ Wastage of the resources should be minimized
- ▶ Collaboration among the members

Question No: 4 (Marks: 1) - Please choose one

LG and Sony electronics agreed to cooperate on developing new technologies. Representatives from each firm meet regularly to coordinate this new venture. Which of the following roles these managers are playing?

▶ **Liaison**

- ▶ Leader
- ▶ Disseminator
- ▶ Spokesperson

Question No: 5 (Marks: 1) - Please choose one

Munib is the CEO of a hospital. He has spent his day planning the schedules of employees for next month. He spent his day in:

- ▶ Planning
- ▶ **Organizing**
- ▶ Leading
- ▶ Controlling

Question No: 6 (Marks: 1) - Please choose one

Which type of managerial skill refers to the ability to analyze and diagnose complex situations?

- ▶ Problem-solving
- ▶ Interpersonal
- ▶ **Conceptual**
- ▶ Technical

Question No: 7 (Marks: 1) - Please choose one

Munsterberg is considered to be the father of _____ psychology.

- ▶ Clinical
- ▶ **Industrial**
- ▶ Behavior
- ▶ Theoretical

Question No: 8 (Marks: 1) - Please choose one

Two major characteristics of open system are :

► **Negative entropy and synergy**

- Positive entropy and synergy
- Entropy and synergy
- Anthropology and synergy

Question No: 9 (Marks: 1) - Please choose one

In Europe today banks and insurance companies are linking up in an effort to market a wide array of financial products that each would have trouble selling on its own. They are practicing which of the following concept?

- Transformation
- Entropy
- Negative Entropy

► **Synergy**

Question No: 10 (Marks: 1) - Please choose one

Few years ago, employees of a international company took wages cuts to help the firm offset large losses. Now firm is again earning profits and employees believe that their wages should be restored but company is not willing to restore their wages. Organization is showing which of the following behavior?

► **Unethical**

- Socially responsible
- Ethical
- Socioeconomic

Question No: 11 (Marks: 1) - Please choose one

Under which of the following approach, managers impose and enforce rules fairly and impartially and do so by following all legal rules and regulations. A manager using this theory would decide to provide the same rate of pay to individuals who are similar in their level of skills, performance and gender?

- Integrative social contracts
- Right view of ethics
- Utilitarian view of ethics

► **Theory of justice of ethics**

Question No: 12 (Marks: 1) - Please choose one

Only employees with top-secret clearance may enter the sealed room, is an example of which of the following?

- ▶ **Rule**
- ▶ Procedure
- ▶ Policy
- ▶ Plan

Question No: 13 (Marks: 1) - Please choose one

Jay tends to always look at the broad picture and likes to look at many alternatives. He focuses on the long run and looks for creative solutions. He prefers which of the following styles of decision making?

- ▶ Analytic
- ▶ **Conceptual**
- ▶ Directive
- ▶ Behavioral

Question No: 14 (Marks: 1) - Please choose one

The strap of Ali's bag tore off as he threw it over his shoulder. On the way to school, he stopped at the first store that carries bags, walked in and purchased one from the front rack. Ali has just made which of the following type of decision?

- ▶ Maximizing
- ▶ **Satisfying**
- ▶ Risky
- ▶ Optimal

Question No: 15 (Marks: 1) - Please choose one

All of the following include in the definition of planning EXCEPT:

- ▶ Defining organization's objectives or goals
- ▶ Establishing an overall strategy for achieving objectives or goals
- ▶ **Allocating resources and developing a chain of communication**
- ▶ Developing a hierarchy of plans to integrate and coordinate activities

Question No: 16 (Marks: 1) - Please choose one

Mission Statement of Johnson & Johnson is:

“We believe our first responsibility is to the doctors, nurses, and patients, to mothers and all others who use our products”

This statement shows which of the following attributes of mission statement?

- ▶ Location
- ▶ Customers
- ▶ Self concept
- ▶ **Desired public image**

Question No: 17 (Marks: 1) - Please choose one

When objectives are not written down or rarely verbalized, and the planning is general and lacks continuity, which one of the following type of planning is used?

- ▶ Environmental planning
- ▶ Economic planning
- ▶ **Informal planning**
- ▶ Formal planning

Question No: 18 (Marks: 1) - Please choose one

In those organizations where formal planning did not lead to higher performance, the culprit may be which of the following?

- ▶ Employees
- ▶ Marketing plan
- ▶ Management
- ▶ **Environment**

Question No: 19 (Marks: 1) - Please choose one

Which of the following is the set of strengths, characteristics and qualities including skills, technologies or resources that distinguish a firm from its competitors?

- ▶ Scope
- ▶ **Distinctive Competency**
- ▶ Resource deployment
- ▶ Effective strategy

Question No: 20 (Marks: 1) - Please choose one

A skill and capability that does not enable an organization to choose and implement strategies that support its mission is called its:

- ▶ Strength
- ▶ **Weakness**
- ▶ Opportunity
- ▶ Threat

Question No: 21 (Marks: 1) - Please choose one

ABC Company is in the process of buying a smaller competitor and incorporating that company's resources into his business. This is an example of which of the following types of strategies?

- ▶ Merger
- ▶ Stability
- ▶ Retrenchment
- ▶ **Acquisition**

Question No: 22 (Marks: 1) - Please choose one

Few years before Polka was a leading brand of ice-cream in Pakistan. Than it was purchased by Walls and all its products were replaced with “Walls” name. Here "Walls" adopted which of the following strategy?

- ▶ Merger
- ▶ Vertical integration
- ▶ **Acquisition**
- ▶ Horizontal integration

Question No: 23 (Marks: 1) - Please choose one

In BCG matrix which of the following businesses have only a small share of a quickly growing market?

- ▶ Star
- ▶ Dogs
- ▶ Cash cow
- ▶ **Question mark**

Question No: 24 (Marks: 1) - Please choose one

Which of the following is NOT a strategy implementation step?

- ▶ Define strategic tasks
- ▶ Develop implementation agenda
- ▶ **Develop mission and goals**
- ▶ Assess organizational capabilities

Question No: 25 (Marks: 1) - Please choose one

The degree to which tasks in an organization are divided into separate jobs is called:

- ▶ Centralization
- ▶ Span of control
- ▶ Chain of command
- ▶ **Work specialization**

Question No: 26 (Marks: 1) - Please choose one

While making a business plan an entrepreneur cannot conduct market research until he:

- ▶ Develops legal plan
- ▶ Develops insurance plan
- ▶ Writes cover letter
- ▶ **Chooses product or service**

Question No: 27 (Marks: 1) - Please choose one

Which of the following is the set of elements that can be used to configure an organization?

- ▶ **Organization structure**
- ▶ Organization design
- ▶ Organization chart
- ▶ Organization rotation

Question No: 28 (Marks: 1) - Please choose one

An owner of an organization hires a sales representative to market his products. He gave power to sales representative to make certain decision. He has been given:

- ▶ Responsibility

- ▶ Span of control
- ▶ **Authority**
- ▶ Accountability

Question No: 29 (Marks: 1) - Please choose one

What kind of departmentalization would be in place in a government organization where different public service responsibilities are divided into activities for employers, children, and the disabled?

- ▶ Product
- ▶ Geographic
- ▶ Outcome
- ▶ **Customer**

Question No: 30 (Marks: 1) - Please choose one

Identify the organizational design process which has a potential weakness that, managers will not be able to provide necessary leadership and support?

- ▶ **Decentralization**
- ▶ Departmentalization
- ▶ Chain of command
- ▶ Span of control

Question No: 31 (Marks: 1) - Please choose one

Today the concepts of Unity of Command, Authority and Responsibility are less important because of which of the following?

- ▶ Organizational structure
- ▶ Centralization and decentralization
- ▶ **Employee's Empowerment and Information Technology**
- ▶ Departmentalization

Question No: 32 (Marks: 1) - Please choose one

A structure that is characterized by narrow span of management and many hierarchical levels is:

- ▶ **Tall Structure**
- ▶ Flat Structure

- ▶ Matrix Structure
- ▶ Divisional Structure

Question No: 33 (Marks: 1) - Please choose one

Which of the following is a weakness of a simple structure?

- ▶ **It relies on one person**
- ▶ It is not flexible
- ▶ It is expensive
- ▶ There is unclear accountability

Question No: 34 (Marks: 1) - Please choose one

Which of the following is a contemporary organizational structural design?

- ▶ Functional
- ▶ Divisional
- ▶ **Learning**
- ▶ Simple

Question No: 35 (Marks: 1) - Please choose one

Which type of organizational entity is more of an organizational mind-set than a structured design?

- ▶ Matrix
- ▶ **Boundary less**
- ▶ Functional
- ▶ Learning

Question No: 36 (Marks: 1) - Please choose one

Which of the following creates the “Dual Chain of Command?”

- ▶ Team based and Project Structure
- ▶ Functional and Simple structure
- ▶ **Project and matrix Structure**
- ▶ Simple and matrix Structure

Question No: 37 (Marks: 1) - Please choose one

An unsatisfied need creates which type of emotion?

- ▶ Anxiety
- ▶ **Tension**
- ▶ Drive
- ▶ Pressure

Question No: 38 (Marks: 1) - Please choose one

People who want to exert more power often engage in which of the following activities?

- ▶ Visionary leadership
- ▶ Reward power
- ▶ **Office politics**
- ▶ Charismatic training

Question No: 39 (Marks: 1) - Please choose one

At Sony (an electronics manufacturer) a special team was selected to work out a marketing plan for its newest product, a voice-activated DVD player, that uses voice recognition commands instead of control buttons. During their most recent meeting, there was a conflict between a design manager and a marketing representative about whose responsibility it was to draft the marketing plan. Several members of the team got into a shouting match with one another. This team seems to be at which of the following stages of group development?

- ▶ Conflict
- ▶ Forming
- ▶ Norming
- ▶ **Storming**

Question No: 40 (Marks: 1) - Please choose one

A specific group of accountants at an accounting firm that meets regularly to develop better auditing procedures for the firm can be referred as which of the following?

- ▶ Task force
- ▶ **Functional team**
- ▶ Cross-functional team
- ▶ Virtual team

Question No: 41 (Marks: 1) - Please choose one

It is most appropriate to use oral communication when you have to communicate:

- ▶ A monthly report to the CEO on company performance
- ▶ **An impersonal message to a group of people**
- ▶ A lengthy welcoming message to a new salesperson
- ▶ A brief, time sensitive personal message

Question No: 42 (Marks: 1) - Please choose one

Atif just received the news that he has received the promotion for which he has been waiting for two years. He is ecstatic. Every communication for the rest of the day will be affected by which of the following?

- ▶ Filtering
- ▶ **Emotions**
- ▶ Language
- ▶ Nonverbal cues

Question No: 43 (Marks: 1) - Please choose one

Which of the following is a process that involves managers from all parts of the organization in the formulation of strategic goals?

- ▶ Strategic organizing
- ▶ Strategic management
- ▶ Strategic positioning
- ▶ **Strategic planning**

Question No: 44 (Marks: 1) - Please choose one

Which of the following is the obligation or expectation to perform a duty?

- ▶ **Responsibility**
- ▶ Unity of command
- ▶ Chain of command
- ▶ Span of control

Question No: 45 (Marks: 1) - Please choose one

Which one of Fayol's 14 principles of management helps preserve the concept of a continuous line of authority?

- ▶ Unity of demand
- ▶ **Unity of command**
- ▶ Demand structure
- ▶ Continuous demand

Question No: 46 (Marks: 1) - Please choose one

Mr. Kamran is a manager at virtual university of Pakistan. His responsibilities include developing a organization-wide marketing strategy that plays on the synergies between institute's offered Programs in order to drive increased no. of students. Kamran is a:

- ▶ Middle manager
- ▶ First-line manager
- ▶ **Top manager**
- ▶ Non-managerial

Question No: 47 (Marks: 1) - Please choose one

Which of the following was created by the unification of 12 countries in Europe?

- ▶ European Common Market
- ▶ **European Union**
- ▶ Western European Alliance
- ▶ Trans-European Market

Question No: 48 (Marks: 1) - Please choose one

Motivation is the result of interaction between which of the following?

- ▶ **Efforts and situation**
- ▶ Employee and manager
- ▶ Efforts and intention
- ▶ Individual and situation

Question No: 49 (Marks: 1) - Please choose one

Which of the following are the hygiene factors?

- ▶ Fringe benefits, recognition and motivation
- ▶ **Achievement, responsibility and growth**
- ▶ Friendship groups, working conditions and responsibilities

- ▶ Company policies, working conditions and salary

Question No: 50 (Marks: 1) - Please choose one

Which of the following is an example of body language?

- ▶ Eye contact
- ▶ Style of dress
- ▶ Facial expressions
- ▶ **All of the given options**

Adnanawan6gmail.com

PAPER NO 13

FINAL TERM EXAMINATION

Mgt503 principle of management

2009

By ADNAN AWAN

Adnanawan6@gmail.com

Question No: 1 (Marks: 1) - Please choose one

What is the basic assumption of situational approaches to leadership?

- ▶ Increasing worker job satisfaction through consideration behavior will get leaders the best results
- ▶ Initiating structure for employees by telling them what to do and how to do.
- ▶ **The appropriate leadership style varies from one set of circumstances to another**
- ▶ Effective leaders possess certain traits that are situation specific

Question No: 2 (Marks: 1) - Please choose one

Which of the following statement is NOT true for productivity?

- ▶ Productivity is a major goal in virtually every organization
- ▶ For individual companies, increased productivity means a more competitive cost structure
- ▶ Productivity is a composite of people and operations variables
- ▶ **Productivity can be improved by dealing with large number of suppliers**

Question No: 3 (Marks: 1) - Please choose one

All of the following are primary management functions EXCEPT:

- ▶ Setting goals
- ▶ **Hiring employees**
- ▶ Monitoring activities
- ▶ Motivating employees

Adnanawan6gmail.com

Question No: 4 (Marks: 1) - Please choose one

Which one of the following is explaining the Entrepreneur in the best way?

- ▶ Goals Setter
- ▶ Decision Maker
- ▶ Communicator
- ▶ **Initiator**

Question No: 5 (Marks: 1) - Please choose one

The success of the business can be judged through:

- ▶ Customer satisfaction
- ▶ Achieving of Organizational Goals
- ▶ Cost price reduction
- ▶ **All of the given options**

Question No: 6 (Marks: 1) - Please choose one

LG and Sony electronics agreed to cooperate on developing new technologies. Representatives from each firm meet regularly to coordinate this new venture. Which of the following roles these managers are playing?

- ▶ **Liaison**
- ▶ Leader

- ▶ Disseminator
- ▶ Spokesperson

Question No: 7 (Marks: 1) - Please choose one

Determining the tasks to be accomplished, how the tasks are to be grouped and who is responsible for the various tasks is known as which of the following processes of management?

- ▶ Planning
- ▶ **Organizing**
- ▶ Leading
- ▶ Controlling

Question No: 8 (Marks: 1) - Please choose one

Which level of management is responsible for making organization wide decisions and establishing the plans and goals that affect the entire organization?

- ▶ Non managerial staff
- ▶ **Top management**
- ▶ Middle management
- ▶ First-line management

Question No: 9 (Marks: 1) - Please choose one

Henry Fayol described principles of management in the form of:

- ▶ 11 points
- ▶ 12 points
- ▶ **14 points**
- ▶ 15 points

Question No: 10 (Marks: 1) - Please choose one

When management provides orderly personnel planning and ensures that replacements are available to fill vacancies, it is called :

- ▶ Division of work
- ▶ Discipline
- ▶ Unity of command
- ▶ **Stability of tenure of personnel**

Question No: 11 (Marks: 1) - Please choose one

The father of industrial psychology is:

- ▶ Robert Owen
- ▶ **Hugo Munsterberg**
- ▶ Mary parker Follett
- ▶ Max Weber

Question No: 12 (Marks: 1) - Please choose one

Environment reacts to the output of organization and provides:

- ▶ Feed forward
- ▶ Input
- ▶ Output
- ▶ **Feedback**

Question No: 13 (Marks: 1) - Please choose one

Which of the following styles of decision making is characterized by individuals who prefer complete information and consider several alternatives?

- ▶ Analytic
- ▶ Conceptual
- ▶ **Directive**
- ▶ Behavioral.

Question No: 14 (Marks: 1) - Please choose one

The intent of which of the following is to reduce uncertainty by playing out potential situations under different specific conditions?

- ▶ Project management
- ▶ Scheduling
- ▶ Environmental analysis
- ▶ **Scenario planning**

Question No: 15 (Marks: 1) - Please choose one

Mission Statement of Dow Chemicals is:

“To share the world’s obligation for the protection of the environment.”

This statement shows which of the following attributes of mission statement?

► **Desired public image**

- Customers
- Location
- Self concept

Question No: 16 (Marks: 1) - Please choose one

Which of the following is an area in the environment that if exploited may generate high performance for organization?

- Strength
- Weakness
- **Opportunity**
- Threat

Question No: 17 (Marks: 1) - Please choose one

Which of the following is a system in which specific performance objectives are jointly determined by subordinates and their superiors and progress towards objectives is periodically reviewed?

► **Management by objective**

- Management by resources
- Management by authority
- Management by system

Question No: 18 (Marks: 1) - Please choose one

Most managers believe that if an MBO (program is to be successful, it must start at:

- Non-managerial level
- **Top Level**
- Middle level
- Lower level

Question No: 19 (Marks: 1) - Please choose one

A firm that stops buying supplies from other companies and begins to provide its own supplies, has diversified through:

- Forward vertical integration
- **Backward vertical integration**

- ▶ Forward horizontal integration
- ▶ Backward horizontal integration

Question No: 20 (Marks: 1) - Please choose one

In BCG matrix which of the following businesses have the largest share of a rapidly growing market?

- ▶ Cash cow
- ▶ Question mark
- ▶ **Star**
- ▶ Dogs

Question No: 21 (Marks: 1) - Please choose one

In BCG matrix which of the following businesses have a large share of a market that are not expected to grow substantially?

- ▶ Dogs
- ▶ **Question mark**
- ▶ Star
- ▶ Cash cow

Question No: 22 (Marks: 1) - Please choose one

The degree to which tasks in an organization are divided into separate jobs is called:

- ▶ Centralization
- ▶ Span of control
- ▶ Chain of command
- ▶ **Work specialization**

Work specialization is the degree to which the work necessary to achieve organizational goals is broken down into various jobs.

Question No: 23 (Marks: 1) - Please choose one

As the number of employees in an organization grows, structure tends to become more:

- ▶ Informal
- ▶ Centralized
- ▶ **Decentralized**
- ▶ Specialized

Question No: 24 (Marks: 1) - Please choose one

The fact that managers can become experts within their industry is a function of which kind of departmentalization?

▶ **Product**

- ▶ Functional
- ▶ Process
- ▶ Geographical

Question No: 25 (Marks: 1) - Please choose one

The organization structure in which separate business units are grouped under a manager who is responsible for performance, strategy and operations is called:

▶ Outdated structure

▶ **A divisional structure**

- ▶ Functional structure
- ▶ A simple structure

Question No: 26 (Marks: 1) - Please choose one

“CLEAR” shampoo introduced the first ever anti-dandruff shampoo range for men. Through this shampoo Unilever is practicing which of the following strategies?

▶ Focus Strategy

▶ **Differentiation strategy**

- ▶ Cost leadership strategy
- ▶ Emergent strategy

A differentiation strategy

involves attempting to develop products and services that are viewed as unique in the industry.

Question No: 27 (Marks: 1) - Please choose one

What things the Organizations are doing to facilitate an effective wider span of control for their managers?

▶ **Decentralizing management functions**

- ▶ Increasing inventory levels
- ▶ Increasing budget allowances
- ▶ Investing in employee training

Question No: 28 (Marks: 1) - Please choose one

A complex uncertain environment influences an organization toward which of the following?

- ▶ Work specification
- ▶ Departmentalization
- ▶ **Decentralization**
- ▶ Formalization

Question No: 29 (Marks: 1) - Please choose one

A company's "chain of command" is a part of which process?

- ▶ Span of control
- ▶ **Organizational design**
- ▶ Formalization
- ▶ Work specialization

Question No: 30 (Marks: 1) - Please choose one

While addressing the organizational design needs of the small organization which of the following is an important consideration?

- ▶ More formalization
- ▶ More specialization
- ▶ **More centralization**
- ▶ Tall hierarchy of authority

Question No: 31 (Marks: 1) - Please choose one

Which of the following is an internal state that makes certain outcomes appear attractive?

- ▶ Fad
- ▶ Desire
- ▶ **Need**
- ▶ Fashion

Question No: 32 (Marks: 1) - Please choose one

Which of the following is the best description of effort?

- ▶ The level of willpower towards work
- ▶ **The measure of intensity or drive**
- ▶ One's ability to work

- ▶ The work required to complete a task.

Question No: 33 (Marks: 1) - Please choose one

Which of the following factor is more important for men than women?

- ▶ Opportunity to learn
- ▶ Flexibility
- ▶ **Autonomy**
- ▶ Convenient

Question No: 34 (Marks: 1) - Please choose one

According to Maslow, which hierarchy is in proper order from lowest to highest?

- ▶ Safety, physiological, esteem, self-actualization, social.
- ▶ Esteem, physiological, self-actualization, safety, social
- ▶ Self-actualization, physiological, social, esteem, safety
- ▶ **Physiological, safety, social, esteem, self-actualization**

Question No: 35 (Marks: 1) - Please choose one

According to Herzberg's Motivation-Hygiene Theory, which of the following is NOT a motivator?

- ▶ Recognition
- ▶ Responsibility
- ▶ Advancement
- ▶ **Status**

Question No: 36 (Marks: 1) - Please choose one

According to McClelland's three-need theory, people who are striving for personal achievement rather than for the trappings and rewards of success have a high:

- ▶ Need for achievement
- ▶ Need for affiliation
- ▶ **Need for power**
- ▶ Need for sympathy.

Question No: 37 (Marks: 1) - Please choose one

While motivating Professionals which of the following is at the lowest Priority list?

- ▶ Challenging Goals

► **Money and Promotion**

- Appreciation letters
- Job satisfaction

Question No: 38 (Marks: 1) - Please choose one

Which of the following is NOT an option while motivating low skilled employees?

- Clarity of goals
- Security

► **High pay**

- Job satisfaction

Question No: 39 (Marks: 1) - Please choose one

Visionary leaders appear to have all of the following qualities related to effectiveness in their leadership roles EXCEPT:

- Ability to explain the vision
- Ability to express the vision
- Ability to extend the vision

► **Ability to enforce the vision**

Question No: 40 (Marks: 1) - Please choose one

Leaders who guide or motivate their followers toward established goals by clarifying role and task requirements are using which of the following?

- Charismatic
- Transformational

► **Transactional**

- Democratic-participative

Question No: 41 (Marks: 1) - Please choose one

Which of the following group engages in collective work that requires joint effort and generates a positive synergy?

► **Work group**

- Work team
- Quality circle
- Functional team

Question No: 42 (Marks: 1) - Please choose one

All of the following are advantages of oral communication EXCEPT:

- ▶ It is easy to use
- ▶ **It is accurate**
- ▶ It facilitates feedback
- ▶ It can be done with little preparation

Question No: 43 (Marks: 1) - Please choose one

Which of the following is the process of monitoring activities and correcting any significant deviations?

- ▶ **Controlling**
- ▶ Planning
- ▶ Organizing
- ▶ Leading

Question No: 44 (Marks: 1) - Please choose one

Which of the following is NOT a formal group?

- ▶ Command groups
- ▶ Task forces
- ▶ Cross-functional teams
- ▶ **Business unit alliances**

Question No: 45 (Marks: 1) - Please choose one

Decisions which deal with situations where the factors are fairly structured and occur with some frequency are called:

- ▶ Heuristic decision
- ▶ **Programmed decision**
- ▶ Satisficing decision
- ▶ Non-programmed decision

Question No: 46 (Marks: 1) - Please choose one

Which one of the following functions or activities involves in recruiting and placing qualified personnel needed for the organization so that it may achieve its objectives and goals?

- ▶ Planning

► **Organizing**

- Staffing
- Leading

Question No: 47 (Marks: 1) - Please choose one

An organized set of behavior that is associated with particular office or position is called:

► **Role**

- Obligation
- Responsibility
- Function

Question No: 48 (Marks: 1) - Please choose one

Which of the following is the disadvantage of the Process departmentalization?

- Time consuming process
- **Cost of Production is high**
- Can be used only with certain type of products
- Duplication of functions across the departments

Question No: 49 (Marks: 1) - Please choose one

Which of the following are groups defined by the organization's structure, that have designated work assignments and specific tasks?

► **Formal groups**

- Informal groups
- Command groups
- Interest groups

Question No: 50 (Marks: 1) - Please choose one

There are three different approaches to designing control systems. Which of the following is used primarily in team-based or less bureaucratic types of organizations?

- Market control
- Economic control
- Bureaucratic control

► **Clan control**

PAPER NO 14

FINAL TERM EXAMINATION

MGT503- Principles of Management

Fall 2008

By ADNAN AWAN

Adnanawan6@gmail.com

Question No: 1 (Marks: 1) - Please choose one

Value chain partners are part of which of the following component of Value Chain Management.

- ▶ Technical investment
- ▶ Leadership
- ▶ **Coordination and Collaboration**
- ▶ Planning

Question No: 2 (Marks: 1) - Please choose one

The process of managing the entire sequence of integrated activities and information about product flow is called:

- ▶ Total Quality Management
- ▶ **Supply Chain Management**
- ▶ Kaizen
- ▶ Value Chain Management

Question No: 3 (Marks: 1) - Please choose one

Control that prevents anticipated problems is called:

- ▶ **Feed forward control**
- ▶ Concurrent control
- ▶ Feedback control

- ▶ Management control

Question No: 4 (Marks: 1) - Please choose one

The organizational communication network that uses internet technology and allows authorized users inside the organization to communicate with certain outsiders such as customers or vendors is called:

- ▶ Intranet
- ▶ **Extranet**
- ▶ Videoconference
- ▶ E-mail

Question No: 5 (Marks: 1) - Please choose one

A leader who involves employees in decision making, delegates authority and allows employees to have direct input into the final decision is using which of the following leadership style?

- ▶ **Democratic-participative**
- ▶ Laissez-faire
- ▶ Autocratic

- ▶ Democratic-consultative

Question No: 6 (Marks: 1) - Please choose one

According to Fiedler, in moderately favorable situations which of the following leader performs better?

- ▶ Structure oriented

- ▶ Position oriented
- ▶ Production oriented

▶ Relationship oriented

Question No: 7 (Marks: 1) - Please choose one

The recent survey depicts that in the opinion of employees the most powerful workplace motivator is:

- ▶ Flextime
- ▶ Recognition
- ▶ Goals
- ▶ Salary

Question No: 8 (Marks: 1) - Please choose one

Which theory includes the component that employee motivation is influenced by relative as well as absolute rewards?

- ▶ Expectancy
- ▶ Three-needs
- ▶ Goal-setting
- ▶ Equity

Equity

theory recognizes that individuals are concerned with their absolute rewards as well as the relationship of those rewards to what others receive.

Question No: 9 (Marks: 1) - Please choose one

According to Herzberg's Motivation-Hygiene Theory, which of the following is NOT a hygiene factor?

- ▶ Working Conditions
- ▶ Salary
- ▶ Relationship with supervisor

▶ Work itself

Question No: 10 (Marks: 1) - Please choose one

According to Maslow's hierarchy of needs, which needs are predominantly satisfied internally?

- ▶ Safety
- ▶ Esteem
- ▶ Physiological
- ▶ social

Question No: 11 (Marks: 1) - Please choose one

Maslow's hierarchy of needs theory proposes that every person has a hierarchy of:

- ▶ Four needs
- ▶ **Five needs**
- ▶ Three needs
- ▶ Six needs

Question No: 12 (Marks: 1) - Please choose one

What should a manager do while motivating employees?

- ▶ Increase wages and salaries
- ▶ Incorporate promotional opportunities
- ▶ Recognize individual differences
- ▶ **Use employee-recognition program**

Question No: 13 (Marks: 1) - Please choose one

An unsatisfied need creates which type of emotion?

- ▶ Anxiety
- ▶ **Tension**
- ▶ Drive
- ▶ Pressure

Question No: 14 (Marks: 1) - Please choose one

Which of the following is the best description of effort?

- ▶ The level of willpower towards work
- ▶ **The measure of intensity or drive**
- ▶ One's ability to work
- ▶ The work required to complete a task

Question No: 15 (Marks: 1) - Please choose one

Contemporary organizational design includes all of the following EXCEPT :

- ▶ Team based structure
- ▶ Matrix structure
- ▶ Project structure
- ▶ **Divisional structure**

Question No: 16 (Marks: 1) - Please choose one

Which of the following is the crucial element of team structure?

- ▶ **Employee empowerment**
- ▶ faster decision-making

- ▶ Inexpensive to maintain
- ▶ Clear chain of command

Question No: 17 (Marks: 1) - Please choose one

Which of the following factors influence an organization towards centralization?

- ▶ Lower-level managers want a part in decision making
- ▶ Environment is complex and uncertain
- ▶ **Decisions are significant**
- ▶ Company is geographically dispersed

Question No: 18 (Marks: 1) - Please choose one

Identify the organizational design process which has a potential weakness that, managers will not be able to provide necessary leadership and support?

- ▶ Span of control
- ▶ **Decentralization**
- ▶ Departmentalization
- ▶ Chain of command

Question No: 19 (Marks: 1) - Please choose one

An organization that groups activities according to women's footwear, men's footwear, apparel and accessories would use which of the following departmentalization?

- ▶ **Product**
- ▶ Customer
- ▶ Geographic
- ▶ Functional

Question No: 20 (Marks: 1) - Please choose one

What kind of departmentalization would be in place in a government organization where different public service responsibilities are divided into activities for employers, children, and the disabled?

- ▶ Product
- ▶ Geographic
- ▶ Outcome
- ▶ **Customer**

Question No: 21 (Marks: 1) - Please choose one

Which of the following is not among the three perspectives that should be considered in preparing a business plan?

- ▶ Marketing perspective
- ▶ Perspective of the entrepreneur
- ▶ Investor perspective
- ▶ **Technical perspective**

Question No: 22 (Marks: 1) - Please choose one

An organization's structure should facilitate which of the following?

- ▶ Chain of command
- ▶ Necessity of departmentalization
- ▶ **Achievement of goals**
- ▶ Span of control

Question No: 23 (Marks: 1) - Please choose one

In which organizational structure employee have two managers?

- ▶ Team
- ▶ Learning
- ▶ Boundary less
- ▶ **Matrix**

Question No: 24 (Marks: 1) - Please choose one

The fact that managers can become experts within their industry is a function of which kind of departmentalization?

- ▶ Process
- ▶ Geographical
- ▶ **Functional**
- ▶ Product

Question No: 25 (Marks: 1) - Please choose one

Which of the following is a process by which individuals pursue opportunities, fulfill needs and wants through innovation, without regard to the resources they currently control?

- ▶ Small business ownership
- ▶ Innovative Management
- ▶ **Entrepreneurship**
- ▶ Privatization

Question No: 26 (Marks: 1) - Please choose one

First step of strategic management process, the mission, answers which of the following question?

- ▶ What business should we be in?
- ▶ **What is our reason for being in business?**
- ▶ Who are our customers?
- ▶ Who are our creditors?

Question No: 27 (Marks: 1) - Please choose one

When the hierarchy of organizational goals is clearly defined, it forms an integrated network of goals which is called:

- ▶ Hierarchical-link chain
- ▶ **Means-ends chain**
- ▶ Weakest-link chain
- ▶ Level-level chain

Question No: 28 (Marks: 1) - Please choose one

Safeguard is an anti-bacterial soap that provides superior longer lasting germ protection. Through this soap Procter & Gamble is practicing which of the following strategies?

- ▶ Stability Strategy
- ▶ **Differentiation strategy**
- ▶ Emergent strategy
- ▶ Cost leadership strategy

Question No: 29 (Marks: 1) - Please choose one

At the first step of goal setting a manager should:

- ▶ Evaluate available resources
- ▶ **Review organization's mission**
- ▶ Write down goals
- ▶ Estimate expected benefits

Question No: 30 (Marks: 1) - Please choose one

Which of the following is a primary benefit of MBO?

- ▶ Avoid competition
- ▶ Resistance against new entrance
- ▶ **Improve employee motivation**
- ▶ Increase resources

Question No: 31 (Marks: 1) - Please choose one

Which of the following is an area in the environment that if exploited may generate high performance for organization?

- ▶ Strength
- ▶ Weakness
- ▶ **Opportunity**
- ▶ Threat

Question No: 32 (Marks: 1) - Please choose one

A skill and capability that does not enable an organization to choose and implement strategies that support its mission is called its:

- ▶ Strength
- ▶ **Weakness**
- ▶ Opportunity
- ▶ Threat

Question No: 33 (Marks: 1) - Please choose one

Which of the following strategy specifies the range of markets in which an organization will compete?

- ▶ **Scope**
- ▶ Distinctive Competency
- ▶ Resource deployment
- ▶ Effective strategy

Question No: 34 (Marks: 1) - Please choose one

Few years ago Nike has problem with inconsistency of goals. The firm was producing high quality shoes but they were not stylish. As a result company lost substantial market share. In this situation which kind of goal was missing?

- ▶ **Manufacturing goal**
- ▶ Marketing goal
- ▶ Financial goal
- ▶ Operational goal

Question No: 35 (Marks: 1) - Please choose one

Sony has a goal to acquire a firm in the entertainment industry. The goal was realized when Sony bought Columbia picture. It comes under which of the following?

- ▶ **Strategic goal**
- ▶ Operational goal
- ▶ Tactical goal
- ▶ Personal goal

Question No: 36 (Marks: 1) - Please choose one

Which of the following group technique allows group members to meet together, but also allows independent thinking?

- ▶ Groupthink
- ▶ Electronic meetings
- ▶ Brainstorming

▶ **Nominal group technique**

Question No: 37 (Marks: 1) - Please choose one

Many decisions fail after the final choice because of the occurrence of which of the following?

- ▶ Decision criteria weights were incorrect
- ▶ People affected failed to accept the solution
- ▶ Satisfying occurred

▶ **Choice was wrong**

Question No: 38 (Marks: 1) - Please choose one

Which of the following term sometimes used to describe picking a course of action that is satisfactory under the circumstances?

- ▶ Escalation of commitment

▶ **Satisficing**

- ▶ Risk
- ▶ Bounded rationality

Question No: 39 (Marks: 1) - Please choose one

Jay tends to always look at the broad picture and likes to look at many alternatives. He focuses on the long run and looks for creative solutions. He prefers which of the following styles of decision making?

- ▶ Analytic

▶ **Conceptual**

- ▶ Directive
- ▶ Behavioral

Question No: 40 (Marks: 1) - Please choose one

The decision-making model consists of four styles: directive, analytic, behavioral and _____.

▶ **Conceptual**

- ▶ Intuitive

- ▶ Group interaction
- ▶ Laggard

Question No: 41 (Marks: 1) - Please choose one

"Whenever possible, we promote from within" is an example of which of the following?

- ▶ Rule
- ▶ Procedure
- ▶ **Policy**
- ▶ Plan

Question No: 42 (Marks: 1) - Please choose one

A large chemical company not only disposes of all toxic waste properly as outlined by law, but it also spends \$1 million dollars each year on research to determine better processes for all businesses to use in disposing of toxic wastes. This company is exhibiting which of the following?

- ▶ **Social responsibility**
- ▶ Social obligation
- ▶ Moral obligation
- ▶ **Social responsiveness**

Question No: 43 (Marks: 1) - Please choose one

Which of the following approaches recognize differences among organizations and categorizes variables that affect an organization's performance?

- ▶ **Process approach**
- ▶ Contingency approach
- ▶ Function approach
- ▶ System approach

Question No: 44 (Marks: 1) - Please choose one

Giving prestigious job titles would be one way to satisfy people's need for :

- ▶ **Esteem**
- ▶ Belongingness
- ▶ Self-actualization
- ▶ Safety

Question No: 45 (Marks: 1) - Please choose one

"Specialization increases output by making employees more efficient" it is called:

- ▶ **Division of work**
- ▶ Authority

- ▶ Scalar chain
- ▶ Order

Question No: 46 (Marks: 1) - Please choose one

Henry Fayol described principles of management in the form of:

- ▶ 11 points
- ▶ 12 points
- ▶ 14 points
- ▶ 15 points

Question No: 47 (Marks: 1) - Please choose one

Which of the following functions or activities involve recruiting and placing qualified personnel needed for the organization so that it may achieve its objectives and goals?

- ▶ Planning
- ▶ Organizing
- ▶ Staffing
- ▶ Leading

Question No: 48 (Marks: 1) - Please choose one

An organized set of behavior that is associated with particular office or position is called:

- ▶ Role
- ▶ Obligation
- ▶ Responsibility
- ▶ Responsibility

Question No: 49 (Marks: 1) - Please choose one

The person who maintains network of connection outside the organization to obtain information is called:

- ▶ Entrepreneur
- ▶ Disseminator
- ▶ Spokesperson
- ▶ Liaison

Liaison

Is maintains a network of contacts outside the work unit to obtain information.

Question No: 50 (Marks: 1) - Please choose one

Ali has a job that pays him well, he desires to make a contribution to the organization, and he has an active social life. His desire is to become all that he is capable of becoming. Ali is at which of the following need defined by maslow?

► **Self-actualization**

- Safety
- Social
- Esteem

PAPER NO 15

FINAL TERM EXAMINATION
MGT503- Principles of Management
BY ADNAN AWAN
Adnanawan@gmail.com

Time: 120 min
Marks: 92

Question No: 1 (Marks: 1) - Please choose one
Sociology can be defined as:

► **The study of people in relation to their fellow human beings**

- The study of societies which help to learn about human and their activities
- It is the study of behavior of the individuals or groups within the political environment
- The science that seeks to measure and explains human behavior

Question No: 2 (Marks: 1) - Please choose one
The basic purpose of the construction of China Wall was:

- To make territory clear
- To defend the area
- To protect the Silk Road
- **All of the given options**

Question No: 3 (Marks: 1) - Please choose one
The person who maintains network of connection outside the organization to obtain information is called:

- Entrepreneur
- Disseminator
- Spokesperson
- **Liaison**

Question No: 4 (Marks: 1) - Please choose one
Jamshed is a CFO at Mutual Saving Bank. According to research studies, which management activities are likely to take up the greatest amount of his time?

- **Planning**
- Organizing
- Controlling
- Leading

Question No: 5 (Marks: 1) - Please choose one
All of the following are called "Classical Viewpoints" EXCEPT:
► Scientific management

▶ **Industrial management**

- ▶ Administrative management
- ▶ Bureaucratic management

Question No: 6 (Marks: 1) - Please choose one

Munsterberg is considered to be the father of _____ psychology.

- ▶ Clinical
- ▶ **Industrial**
- ▶ Behavior
- ▶ Theoretical

Question No: 7 (Marks: 1) - Please choose one

Viewpoint arguing that appropriate managerial action depends on the particular parameters of the situation is called:

- ▶ **Contingency theory**
- ▶ Behavioral theory
- ▶ Administrative theory
- ▶ Social theory

Question No: 8 (Marks: 1) - Please choose one

An organization that has developed the capacity to continuously learn, adapt and change is called:

- ▶ **Learning organization**
- ▶ Open organization
- ▶ Leading organization
- ▶ Close organization

Question No: 9 (Marks: 1) - Please choose one

System approach recognizes that organizations are not:

- ▶ **Self-contained**
- ▶ Self-controlled
- ▶ Self-discipline
- ▶ Self-motivated

Question No: 10 (Marks: 1) - Please choose one

Which of the following is called output of a system?

- ▶ Human
- ▶ Information resource
- ▶ **Employee behavior**
- ▶ Material

Question No: 11 (Marks: 1) - Please choose one

All of the following are Dimensions of organizational culture EXCEPT:

- ▶ Innovation
- ▶ Aggressiveness
- ▶ Stability
- ▶ **Customer orientation**

Question No: 12 (Marks: 1) - Please choose one

If an individual knows the price of three similar cars at different dealerships, he or she is operating under what type of decision-making condition?

- ▶ Risk

- ▶ Uncertainty
- ▶ **Certainty**
- ▶ Factual

Question No: 13 (Marks: 1) - Please choose one

In decision making process, ideas should be evaluated on the basis of:

- ▶ **Acceptability**
- ▶ Durability
- ▶ Accountability
- ▶ Liability

Question No: 14 (Marks: 1) - Please choose one

Asad spoke out in a meeting in favor of a potential cost savings that would result from a new employee benefits program offered by the company. He later received information that showed that his initial decision about the cost savings was incorrect, but he was too embarrassed to publicly admit that he was wrong, so he stuck by his original statement. Asad is practicing which of the following?

- ▶ **Bounded rationality**
- ▶ Satisfying
- ▶ Escalation of commitment
- ▶ Maximizing

Question No: 15 (Marks: 1) - Please choose one

Which of the following is NOT one of the three techniques for assessing the environment?

- ▶ **Project management**
- ▶ Benchmarking
- ▶ Forecasting
- ▶ Environmental scanning

Question No: 16 (Marks: 1) - Please choose one

In terms of linear programming, profit margins on different products that a company can produce represent which of the following?

- ▶ **Constraints**
- ▶ Feasibility regions
- ▶ Scenarios
- ▶ Basis for the objective function

Question No: 17 (Marks: 1) - Please choose one

Plans that apply to the entire organization, establish the organization's overall objectives and seek to position the organization in terms of its environment are called:

- ▶ Tactical plans
- ▶ **Strategic plans**
- ▶ Single-use plans
- ▶ Operational plans

Question No: 18 (Marks: 1) - Please choose one

Starbuck's _____ of opening one hundred stores per year helps everyone in the firm recognize the strong emphasis on growth.

- ▶ Goal
- ▶ Mission
- ▶ Vision

► **Plan**

Question No: 19 (Marks: 1) - Please choose one

Mission Statement of Johnson & Johnson is:

“We believe our first responsibility is to the doctors, nurses, and patients, to mothers and all others who use our products”

This statement shows which of the following attributes of mission statement?

- Location
- Customers
- Self concept
- **Desired public image**

Question No: 20 (Marks: 1) - Please choose one

A skill and capability that does not enable an organization to choose and implement strategies that support its mission is called its:

- Strength
- **Weakness**
- Opportunity
- Threat

Question No: 21 (Marks: 1) - Please choose one

At the first step of goal setting a manager should:

- Evaluate available resources
- **Review organization's mission**
- Write down goals
- Estimate expected benefits

Question No: 22 (Marks: 1) - Please choose one

In which of the following methods goals are defined at the top of the organization and then broken down into sub groups?

- Directional goal setting
- Stated goal setting
- **Traditional goal setting**
- Specific goal setting

Question No: 23 (Marks: 1) - Please choose one

A strategy in which an organization operates in several business that are some how linked with one another is called:

- Single product strategy
- **Related diversification**
- Unrelated diversification
- Conglomerate diversification

Question No: 24 (Marks: 1) - Please choose one

As the number of employees in an organization grows, structure tends to become more:

- Informal
- Centralized
- Decentralized
- **Specialized**

Question No: 25 (Marks: 1) - Please choose one

Being "closer to customers" is a strength of which form of departmentalization?

- ▶ Functional
- ▶ Geographic
- ▶ **Product**
- ▶ Process

Question No: 26 (Marks: 1) - Please choose one

What kind of structure does the parent company often provide to support services of its child company?

- ▶ Matrix
- ▶ **Divisional**
- ▶ Functional
- ▶ Team

Question No: 27 (Marks: 1) - Please choose one

Which type of organizational structure is made up of autonomous and self-contained units?

- ▶ **Divisional**
- ▶ Functional
- ▶ Bureaucracy
- ▶ Customer

Question No: 28 (Marks: 1) - Please choose one

The "degree of environmental uncertainty" affects a company's:

- ▶ **Unit production**
- ▶ Structure
- ▶ Technology
- ▶ Flow of information

Question No: 29 (Marks: 1) - Please choose one

An organization that wants to be more responsive to changes in its environment, especially to customers, is likely to have which kind of organization structure?

- ▶ **Decentralized**
- ▶ Very formal and rule oriented
- ▶ Highly centralized
- ▶ Mechanistic

Question No: 30 (Marks: 1) - Please choose one

A structure that is characterized by narrow span of management and many hierarchical levels is:

- ▶ **Tall Structure**
- ▶ Flat Structure
- ▶ Matrix Structure
- ▶ Divisional Structure

Question No: 31 (Marks: 1) - Please choose one
Which of the following is a weakness of a simple structure?

- ▶ **It relies on one person**
- ▶ It is not flexible
- ▶ It is expensive
- ▶ There is unclear accountability

Question No: 32 (Marks: 1) - Please choose one
Which of the following is the crucial element of team structure?

- ▶ **Employee empowerment**
- ▶ Faster decision-making
- ▶ Inexpensive to maintain
- ▶ Clear chain of command

Question No: 33 (Marks: 1) - Please choose one
Which type of organizational entity is more of an organizational mind-set than a structured design?

- ▶ Matrix
- ▶ **Boundary less**
- ▶ Functional
- ▶ Learning

Question No: 34 (Marks: 1) - Please choose one
All of the following factors are the most challenging for the managers in today's competitive world EXCEPT:

- ▶ Meet the market demand of products
- ▶ **Motivating competitors to do work efficiently**
- ▶ Facing the competition
- ▶ Environmental uncertainty

Question No: 35 (Marks: 1) - Please choose one
Which of the following characteristics is NOT a part of Theory X?

- ▶ Employees will dislike work
- ▶ Employees will need to be closely controlled
- ▶ **Employees will consider work to be a natural activity**
- ▶ Employees will have little ambition

Question No: 36 (Marks: 1) - Please choose one
Which of the following are the motivating variables of equity theory?

- ▶ Gender, tenure, education and level in organization
- ▶ Inputs, outputs, gender and time duration
- ▶ Level in organization, power and responsibility
- ▶ **Outputs, inputs, education and experience**

Question No: 37 (Marks: 1) - Please choose one
Which theory includes the component that employee motivation is influenced by relative as well as absolute rewards?

- ▶ **Expectancy**
- ▶ Three-needs
- ▶ Goal-setting
- ▶ Equity

Question No: 38 (Marks: 1) - Please choose one

People who want to exert more power often engage in which of the following activities?

- ▶ Visionary leadership
- ▶ Reward power
- ▶ **Office politics**
- ▶ Charismatic training

Question No: 39 (Marks: 1) - Please choose one

A leader who involves employees in decision-making, delegate's authority and gathers input from employees, but makes the final decision, he is using which of the following leadership style?

- ▶ Democratic-participative
- ▶ Laissez-faire
- ▶ Autocratic
- ▶ **Democratic-consultative**

Question No: 40 (Marks: 1) - Please choose one

A leader who involves employees in decision making, delegates authority and allows employees to have direct input into the final decision is using which of the following leadership style?

- ▶ Democratic-participative
- ▶ Laissez-faire
- ▶ Autocratic
- ▶ **Democratic-consultative**

Question No: 41 (Marks: 1) - Please choose one

Visionary leaders appear to have all of the following qualities related to effectiveness in their leadership roles EXCEPT:

- ▶ Ability to explain the vision
- ▶ Ability to express the vision
- ▶ Ability to extend the vision
- ▶ **Ability to enforce the vision**

Question No: 42 (Marks: 1) - Please choose one

Inputs into the operation system include all of the following EXCEPT:

- ▶ People
- ▶ Information
- ▶ Capital
- ▶ **Strategies**

Question No: 43 (Marks: 1) - Please choose one

Ali is especially good at communicating company goals to his employees and motivating them to achieve these goals. Ali is practicing which of the following skills?

- ▶ Conceptual skills
- ▶ Organizational skills
- ▶ Technical skills
- ▶ **Human skills**

Question No: 44 (Marks: 1) - Please choose one

The supplier is late with the order of papers that is needed by the college during final exams. The secretary is sent to Urdu Bazar to purchase papers until the delivery of order. This is an example of which of the following problem?

- ▶ Well-structured
- ▶ **Ill-structured**
- ▶ Programmed
- ▶ Non-programmed

Question No: 45 (Marks: 1) - Please choose one

Departmental store structured around home accessories, appliances, women's clothing, men's clothing and children's clothing is an example of which of the following?

- ▶ Functional departmentalization
- ▶ **Product departmentalization**
- ▶ Process departmentalization
- ▶ Geographical departmentalization

Question No: 46 (Marks: 1) - Please choose one

Which of the following is TRUE about the goal of Open-Book Management?

- ▶ **Get employees to think like owners**
- ▶ Help employees determine whether their salary is fair or not
- ▶ Allow employees to see the company's profitability
- ▶ Allow employees to seek other positions

Question No: 47 (Marks: 1) - Please choose one

Mr. A wants to earn a master's degree within two years from a native university. Which of the following SMART objective Mr. A has missed while setting this goal?

- ▶ Time-bound
- ▶ Acceptable
- ▶ **Measurable**
- ▶ Specific

Question No: 48 (Marks: 1) - Please choose one

Which of the following plan will be exercised for a situation where the company has to prepare a plan for the repairs of a newly introduced mobile in the market in case of any malfunctioning?

- ▶ Specific plan
- ▶ **Operational plan**
- ▶ Standing plan
- ▶ Single-use plan

Question No: 49 (Marks: 1) - Please choose one

Which of the following is not TRUE about strategic management?

- ▶ It's involved in many of the decisions that managers make
- ▶ Companies with formal strategic management systems had higher financial returns than those companies with no such systems
- ▶ **It makes decisions by focusing on the targets or future end results set by lower management that address specific, measurable outcomes required from the lower levels**
- ▶ It has moved beyond for-profit organizations to include all types of organizations, including not-for-profit

Question No: 50 (Marks: 1) - Please choose one

A significant edge over the competition in dealing with competitive forces is called:

- ▶ Core Competencies
- ▶ **Competitive advantage**
- ▶ Competitive force
- ▶ Swot analysis

Question No: 51 (Marks: 1) - Please choose one

Entrepreneurs can act as:

- ▶ Idea sponsor
- ▶ Idea champion
- ▶ Idea generator
- ▶ **All of the following options**

Question No: 52 (Marks: 1) - Please choose one

A Company is dealing in many businesses, for its fertilizer's business , company will require which of the following level strategy?

- ▶ Corporate level
- ▶ **Business level**
- ▶ Functional level
- ▶ Operational level

Question No: 53 (Marks: 1) - Please choose one

In which of the following type of departmentalization, employees are more concern about specialty than the needs of organization overall.

- ▶ Product
- ▶ Customer
- ▶ **Functional**
- ▶ Geographic

Question No: 54 (Marks: 1) - Please choose one

Degree to which the job provides clear and timely information about performance results is called:

- ▶ Autonomy
- ▶ **Feedback**
- ▶ Supervision
- ▶ Responsibility

Question No: 55 (Marks: 1) - Please choose one

When we talk about an organization's core technology, we mean organization's:

- ▶ Less important technology
- ▶ **Most important technology**
- ▶ All technologies the organization is using
- ▶ Technology that is never used

Question No: 56 (Marks: 1) - Please choose one

The structure of a learning organization should be:

- ▶ Mechanistic
- ▶ **Organic**
- ▶ Rigid
- ▶ Inflexible

Question No: 57 (Marks: 1) - Please choose one

Mr. A is a marketing manger of an organization where he is controlling six employees whereas Mr. B is a production manager of the same organization and he is controlling Fifteen employees. Mr. B is having _____ as compare to Mr. A.

- ▶ Narrow span of control
- ▶ **Wide span of control**
- ▶ Central span of control
- ▶ All of the given options

Question No: 58 (Marks: 1) - Please choose one

Mr. A is working as machine operator and he has to take precautionary measures to keep himself safe from any injury. Which of the following needs is critical for Mr. A?

- ▶ Social
- ▶ Self actualization
- ▶ Esteem
- ▶ **Safety**

Question No: 59 (Marks: 1) - Please choose one

Which of the following can be used by the mangers to weaken the behavior by not providing a desirable outcome to employees?

- ▶ Avoidance
- ▶ Positive reinforcement
- ▶ Extinction
- ▶ **Punishment**

Question No: 60 (Marks: 1) - Please choose one

The president of ABC Company asks his employees to follow the rule and regulations and all of his employees comply with his order. President influences the employees by which of the following power?

- ▶ Referent Power
- ▶ Coercive Power
- ▶ Expert Power
- ▶ **Legitimate Power**

Question No: 61 (Marks: 1) - Please choose one

Martin Luther king was a passionate leader with influencing personality and had the ability to make stirring, emotionally arousing speeches. Which leadership style he had?

- ▶ Transactional
- ▶ Transformational
- ▶ **Charismatic**
- ▶ Visionary

Question No: 62 (Marks: 1) - Please choose one

Workers in the production department are given a manual having information regarding the machine operations. This is an example of:

- ▶ Non-verbal
- ▶ Verbal
- ▶ **Written**
- ▶ Oral

Question No: 63 (Marks: 1) - Please choose one

The process in which one party perceives that its interests are being opposed or adversely affected by some other parties is called:

- ▶ Crises
- ▶ **Conflict**
- ▶ Agreement
- ▶ Stress

Question No: 64 (Marks: 1) - Please choose one

A performance measurement tool that covers four areas "financial, customer, internal processes, and people" and that can enhance company's performance is called:

- ▶ Benchmarking
- ▶ Cyber control system
- ▶ Non-cybernetic control system
- ▶ **Balanced scorecard**

REMEMBER ME IN YOUR Prayer

Adnanawan6@gmail.com

ADNAN AWAN

Adnanawan6@gmail.com

Question No: 1 (Marks: 1) - Please choose one

_____ are those plans that are extended beyond three years.

- ▶ Short term plans
- ▶ Long term plans
- ▶ Specific plans
- ▶ Strategic plans

Question No: 2 (Marks: 1) - Please choose one

_____ need involves the desire to affiliate with and be accepted by others.

- ▶ Esteem
- ▶ Belongingness
- ▶ Safety
- ▶ Self-actualization

Question No: 3 (Marks: 1) - Please choose one

_____ is the recording system which enables sender to leave messages for receiver by telephone.

- ▶ Electronic mail
- ▶ Voice mail
- ▶ Videoconferencing
- ▶ Teleconferencing

Question No: 4 (Marks: 1) - Please choose one

A motivational approach in which an organization's financial statements are opened to and shared with all of the employees is called _____

- ▶ Open-book management

- ▶ Pay-for-performance programs
- ▶ Reinforcement theory
- ▶ Feedback

Question No: 5 (Marks: 1) - Please choose one

A _____ refers to the authority and responsibility for achieving the major goals of the organization.

- ▶ Line position
- ▶ Staff position
- ▶ Line authority
- ▶ None of the given options

Question No: 6 (Marks: 1) - Please choose one

Needs that impel creativity and innovation, along with the desire to have a productive impact on our surroundings are _____ needs.

- ▶ Existence
- ▶ Relatedness
- ▶ Growth
- ▶ None of the given options

Question No: 7 (Marks: 1) - Please choose one

_____ is the capacity to affect the behaviors of others.

- ▶ Leadership
- ▶ Power
- ▶ Trait
- ▶ Aggression

Question No: 8 (Marks: 1) - Please choose one

A_____ is the combining of two or more companies into one organization.

- ▶ Merger
- ▶ Acquisition
- ▶ Diversification
- ▶ None of the given options

Question No: 9 (Marks: 1) - Please choose one

The vertical flow of communication from lower level to one or more higher levels is _____

- ▶ Upward communication
- ▶ Downward communication
- ▶ Formal Communication
- ▶ Horizontal communication

Question No: 10 (Marks: 1) - Please choose one

Inputs necessary for the group to operate are _____ inputs.

- ▶ Group size
- ▶ Work group
- ▶ Group task
- ▶ None of the given options

Question No: 11 (Marks: 1) - Please choose one

Challenging goals usually lead to _____ performance from individuals and groups.

- ▶ higher
- ▶ lower

- ▶ excellent
- ▶ none of the given options

Question No: 12 (Marks: 1) - Please choose one

The recently emerged type of managerial job is _____

- ▶ Top manager
- ▶ Middle manager
- ▶ First- line manager
- ▶ Team leader

Question No: 13 (Marks: 1) - Please choose one

A _____ is an organizational design with low departmentalization, wide spans of control, authority centralized in a single person, and little formalization.

- ▶ Simple structure
- ▶ Divisional structure
- ▶ Functional structure
- ▶ Team based structure

Question No: 14 (Marks: 1) - Please choose one

_____ is the extent to which power and authority are retained at the top organizational levels.

- ▶ Centralization
- ▶ Decentralization
- ▶ Departmentalization
- ▶ None of the given options

Question No: 15 (Marks: 1) - Please choose one

_____ ratio measures how efficiently and effectively the firm is using its assets to generate profit.

- ▶ Liquidity
- ▶ Leverage
- ▶ Profitability
- ▶ Activity

Question No: 16 (Marks: 1)

Factors that eliminate dissatisfaction from job are _____

Question No: 17 (Marks: 1)

An organization's _____ is the organization's purpose or fundamental reason for existence.

Question No: 18 (Marks: 1)

_____ influences the goal-performance relationship.

Question No: 19 (Marks: 1)

_____ integration occurs when a business grows by becoming its own supplier.

Question No: 20 (Marks: 1)

The _____ performs symbolic legal or social duties.

Question No: 21 (Marks: 1) - Please choose one

A policy is an explicit statement that tells managers what they ought or ought not to do.

- ▶ True
- ▶ False

Question No: 22 (Marks: 1) - Please choose one

Organizing is to motivate and to inspire workers.

- ▶ True

▶ False

Question No: 23 (Marks: 1) - Please choose one

A learning organization is one that has developed the capacity to continuously adapt and change.

▶ True

▶ False

Question No: 24 (Marks: 1) - Please choose one

Charisma was once thought to be an inborn personality trait.

▶ True

▶ False

Question No: 25 (Marks: 1) - Please choose one

Teams cannot vary in their purpose or goal.

▶ True

▶ False

Question No: 26 (Marks: 3)

What is the difference between Theory X and Theory Y?

Question No: 27 (Marks: 3)

How rational decision making is affected by bounded rationality and satisficing?

Question No: 28 (Marks: 3)

Differentiate between Esteem need and Self-actualization need?

Question No: 29 (Marks: 3)

How strategy is helpful in the planning process?

Question No: 30 (Marks: 3)

Why motivation is important?

Question No: 31 (Marks: 10)

Being a manager in “an electronic company”, how would you set goals for your company?

Question No: 32 (Marks: 10)

Please describe the concept of using “power” by a leader to influence a non-performing worker?